RAHANDUSMINISTEERIUM

# THE REPUBLIC OF ESTONIA CONSOLIDATED ANNUAL REPORT OF THE STATE FOR 2022

# Table of contents

**Table of contents** ..... **2**
**Preface by the Minister of Finance** ..... **4**
**Introduction** ..... **5**
**Definitions** ..... **6**
**1 Management report** ..... **7**
1.1 Financial overview of the general government sector ..... 7
1.1.1 Key economic and financial indicators in 2022 ..... 7
1.1.2 Important events ..... 8
1.1.3 General macroeconomic development and impact on financial performance ..... 9
1.1.4 Overview and budgetary position of the public sector and general government sector ..... 10
1.1.5 Revenue of the general government sector ..... 12
1.1.6 Expenditure and investments of the general government sector ..... 14
1.1.7 Balance sheet of the general government sector ..... 17
1.1.8 Debt liabilities of the general government sector ..... 20
1.1.9 Contingent liabilities ..... 21
1.1.10 Principles of managing the state's financial risks and liquidity ..... 22
1.2 Overview of activities ..... 24
1.2.1 Long-term development strategy "Estonia 2035" ..... 24
1.2.2 Welfare ..... 28
1.2.3 Health ..... 30
1.2.4 Educated and active population ..... 33
1.2.5 Estonian language and identity ..... 36
1.2.6 Environment ..... 38
1.2.7 Research and development and entrepreneurship ..... 40
1.2.8 Agriculture and fishery ..... 43
1.2.9 Transport ..... 45
1.2.10 Energy ..... 47
1.2.11 Digital society ..... 49
1.2.12 Effective state ..... 51
1.2.13 State governed by the rule of law ..... 53
1.2.14 Internal security ..... 55
1.2.15 Foreign policy ..... 57
1.2.16 Security and national defence ..... 60
1.2.17 Culture and sports ..... 62
1.2.18 Cohesive society ..... 64
1.2.19 Chancellery of the *Riigikogu* ..... 66
1.2.20 Supreme Court ..... 67
1.2.21 National Audit Office ..... 69
1.2.22 Office of the President of the Republic ..... 70
1.2.23 Office of the Chancellor of Justice ..... 71
1.2.24 Results of internal and external assessments of the internal audit units of ministries ..... 71
**2 Consolidated and unconsolidated annual accounts of the state** ..... **73**
2.1 Balance sheet ..... 73
2.2 Statement of financial performance ..... 75
2.3 Cash flow statement ..... 76

2.4 Statement of changes in net assets ... 77
2.5 Report on the implementation of the state budget ... 79
2.6 Accounting methods and valuation principles ... 125
2.7 Notes (a1–a31) ... 131
**3 Information on local governments ... 205**
3.1 Balance sheet ... 205
3.2 Statement of financial performance ... 207
3.3 Cash flow statement ... 208
3.4 Statement of changes in net assets ... 209
3.5 Accounting methods and valuation principles ... 210
3.6 Notes (b1–b22) ... 211
**4 Information on public sector and general government sector ... 244**
4.1 Balance sheet ... 244
4.2 Statement of financial performance ... 246
4.3 Cash flow statement ... 247
4.4 Statement of changes in net assets ... 248
4.5 Accounting methods and valuation principles ... 250
4.6 Notes (c1–c28) ... 251
**Signature to the consolidated annual report ... 277**

# Preface by the Minister of Finance

**Dear reader of the consolidated annual report of the state for 2022!**

2022 was a year of contradictions – our economy started to recover from the COVID-19 crisis, all the coronavirus restrictions in place disappeared, while on the other hand, we faced a cruel new crisis that once again affected the whole world. Russia launched a full-scale military aggression in Ukraine. We all remember the early hours of the morning of our Republic's birthday, when we were gripped by shock, fear and ignorance. The war in Ukraine and Russia's desire to tear apart Europe's existing security principles put Estonia in the most difficult security situation since the Second World War. Security and the military preparedness of our country became an immediate priority.

In order to be able to protect our country in the best possible way and allocate additional funds for defence expenditure, public finances must be in order. Proper public finances are a guarantee for the protection of Estonia – if we are about to be hit by another major crisis, we must be prepared to increase our expenditure, but if our public debt is growing at an already historically fast pace, it is simply not possible.

In 2020, the general government sector deficit at 5.5 percent of GDP was the largest in history. The first steps towards fiscal balance began in 2021 and the fiscal position improved significantly compared to 2020 as a result of the rapid economic recovery, reaching 2.4 percent of GDP. The state budget for 2022 was planned with a budgetary deficit of 698 million euros, or 2.2 percent of GDP, in the general government sector, plus the supplementary budget. In reality, the deficit of the general government sector was 335 million euros, or 0.9 of GDP, in 2022. The deficit was smaller than forecasted, mainly due to lower costs.

Good tax receipts also contributed – a strong labour market and the rapid growth of the wage fund supported the payment of labour taxes, and higher than expected inflation led to better payment of value added tax. Unfortunately, the war began and additional expenses had to be made, which was accompanied by the new government's decisions to raise child and family benefits, the tax-free minimum on income, make the average pension income tax-free, increase investments in higher education and research and development, and to give teachers, rescuers and policemen a significant pay rise. According to the forecast, our budget deficit would therefore consistently exceed four percent of GDP in the coming years.

We have to be frank in recognising that the deficit of the last few years is of a permanent nature, as both crisis-related and other additional costs are predominantly fixed costs. In addition, the full-scale Russian aggression in Ukraine that began last February has made it necessary to sharply increase our defence spending to at least three percent of GDP.

Financing current expenditure, grants and subsidies with debt in such a way that the public debt burden starts to increase every year is not justified. Such activities are unsustainable and will exacerbate the risks of future debt burden problems.

The persistence of budget deficits will lead to an increase in the debt burden and interest costs, impairing the country's ability to cope with future crises. If we do nothing to improve this situation, a persistently high deficit will increase the debt burden to 33 percent of GDP by 2027, leading to a sharp increase in interest expenditure from less than 0.01 percent of GDP to one percent of GDP.

In addition, Eesti Pank has said that a persistent budget deficit would mean permanent pressure on consumer prices. If the government did not take the path of reducing the deficit, it would permanently increase the inflationary pressure on consumers.

The full-scale war in Ukraine started by Russia caused a rapid increase in the price of raw materials and energy and created further supply disruptions for companies. The rapid increase in the price of inputs began to reach the prices of various goods and services, making inflation more broad-based. The increase in energy prices in Estonia has been twice as fast as in the rest of the euro area. This can be explained by the high proportion of energy in consumption expenditure and the rapid transfer of exchange prices to household utility bills.

In 2022, the consumer price index increased by as much as 19.4 percent compared to the previous year. The last time we experienced such a rapid price rise was in the mid-1990s. Fortunately, Estonia's inflation peak has passed. Inflation has decreased mainly due to a clear decrease in energy prices. In June, we expect a retreat to single digits, and in autumn we can see inflation figures below five percent.

In view of Estonia's future, moving towards the balance of the state budget is essential and responsible. In a country with a small population and an open economy, we cannot live at the expense of future generations. Certainly, we cannot afford a situation where, when the next crisis arrives, we no longer have the financial space to intervene decisively in its resolution. Our cost-benefit ratio must be in place, because that is how we can keep the economic environment competitive and the public finances sustainable.

Happy reading and thinking along!

Mart Võrklaev

Minister of Finance

# Introduction

The consolidated annual report of the state is an annual report submitted by the Ministry of Finance to the *Riigikogu*, which gives an overview of the achievement of the objectives set out in the state budget, the financial position, financial performance and cash flows of the state, and allows the *Riigikogu* to exercise its control function over the Government of the Republic. The consolidated annual report gives the Government of the Republic an opportunity to explain its activities in the accounting year and present the *Riigikogu* with information necessary for making budgetary decisions. The consolidated annual report of the state also ensures the availability of governmental and public sector information necessary for performing the international accounting and financial reporting obligation.

The consolidated annual report is based on the reports of state accounting entities and accounting entities under the dominant influence of the state but also accounting entities of other public sector entities, statements of financial performance of areas of government of ministries, and other reports.

The consolidated annual report of the state includes an audit report prepared by the National Audit Office as a result of auditing the annual accounts. By auditing the consolidated annual report of the state, the National Audit Office provides assurance that the state accounting indicators submitted to the *Riigikogu* and the public provide correct information about the financial position of the state and the economic performance of the concluded year, and the report on the implementation of the state budget provides relevant information about state revenue, expenditure and investments.

The consolidated annual report of the state comprises four parts: management report, annual accounts, information about local authorities, and information about the public sector and the general government sector.

The management report is part of the consolidated annual report of the state, which gives an overview of the state's activities and circumstances that are decisive in assessing the state's financial position and economic activity, significant events during the financial year, and expected developments in the next financial year.

The annual accounts of the state provide an overview of the state's consolidated and unconsolidated financial position, financial performance, cash flows and implementation of the state budget, and explain the most important entries.

Information on public sector and general government sector and information on local authorities includes a consolidated overview of the financial position, financial performance, and cash flows of these sectors.

The figures in the consolidated annual report have been presented as of 31 December 2022 and have generally been adjusted until 30 April 2023, which is the latest deadline for amending the reports according to subsection 9 (4) of the Minister of Finance Regulation No. 105 "Public sector financial accounting and reporting guidelines" of 11 December 2003. Individual significant changes up to the submission of the report have been made after this deadline in the course of audits.

The Ministry of Finance shall submit a consolidated annual report of the state to the National Audit Office no later than by 30 June of the year following the accounting year, and the National Audit Office shall complete the audit of the annual accounts of the consolidated annual report of the state and review of the lawfulness of transactions no later than by 31 August.

At the beginning of September, the Ministry of Finance shall submit the consolidated annual report of the state and the audit report of the National Audit Office to the Government of the Republic for approval.

The Government of the Republic shall submit the approved consolidated annual report of the state to the *Riigikogu* for approval together with the draft decision on the distribution of the state's unconsolidated cash flow surplus. The audit report of the National Audit Office shall be added to the consolidated annual report of the state.

# Definitions

**Public sector** – i.e. the first sector, is engaged in governance and administration. Public sector institutions can be divided into state-owned or local government-owned institutions based on the type of owner. If the state's equity in the business entity is 50 percent or greater, it is a public sector subtype of "state". If the local government's equity in the business entity is 50 percent or greater, it is a public sector subtype of "local government". The general government sector accounts for the largest share (in terms of staff and budget) of the public sector.

**Budgetary position** – the difference between revenue and expenditure in the budget. A deficit occurs when expenditure exceeds revenue and a surplus when revenue exceeds expenditure.

**Central government** – state budgetary entities and foundations, non-profit associations and companies under their dominant influence that belong to the general government sector.

**Consolidated expenditure** – Expenditure in which the items of all public sector entities have been aggregated item by item and individual balances have been eliminated.

**Liquidity reserve** – financial reserve for managing the day-to-day cash flow of the state, and its volume also changes on a daily basis. The liquidity reserve includes the funds of the state, the Health Insurance Fund, the Unemployment Insurance Fund, some foundations, and other entities (for example, AS Pensionikeskus).

**Nominal budgetary position** – the difference between total revenue and total expenditure.

**Gross domestic product** – is the total value of final goods and services produced in a particular territory (usually a country) during a year. Throughout the consolidated annual report of the state, the abbreviation GDP is used.

**Social security funds** – Health Insurance Fund and Unemployment Insurance Fund. A social security fund is a national or local institutional unit whose main area of activity is the provision of social benefits and which meets the following two conditions: 1) persons or groups of persons designated by law or other legal act have the obligation to participate in social security schemes or to pay contributions; 2) the general government sector is responsible for the management of the institution by establishing or approving contributions and social benefits, independently of its role as supervisory body or employer.

**Stabilisation Reserve Fund** – financial reserve for crisis situations used, for example, in financial crises, emergency situations and to reduce general economic risks.

**Statistical budgetary position (deficit or surplus)** – the difference between budget revenue and expenditure adjusted by the acquisition of non-current assets. A deficit occurs when expenditure exceeds revenue and a surplus when revenue exceeds expenditure.

**Structural budgetary position** – cyclically adjusted budgetary position of the general government sector that does not take into account one-off or temporary transactions.

**Performance area** – area in line with the action programme of the Government of the Republic and covered by the state budget strategy, which has a long-term objective set by the Government of the Republic together with one or several metrics for assessing the achievement thereof. Performance area conveys the state's policies and area-specific priorities for the achievement of the state's long-term objectives.

**General government sector** – includes public sector entities not considered market producers that are financed mainly through mandatory payments made by entities belonging to other sectors. In Estonia, the general government sector is divided into three subsectors: central government, local governments, and social insurance funds.

**Budgetary position of the general government sector** – the difference between total revenue and total expenditure of the general government sector.

**Foreign funds** – funds from the budget of a non-resident, including the European Union, an international organisation, a foreign country or a foreign non-governmental organisation, which the recipient of the funds uses to implement developments, reforms and investments.

**Debt burden** – the ratio between debt and GDP. (Consolidated) debt of the general government sector known as Maastricht debt in international comparison is used as a metric.

# 1 Management report

## 1.1 Financial overview of the general government sector

### 1.1.1 Key economic and financial indicators in 2022

**Table 1.** Key economic and financial indicators

| | | 2022 | 2021 |
|---|---|---|---|
| | **Annual growth of real GDP** | **–1.3%** | 8.0% |
| | **Unemployment** | **5.6%** | 6.2% |
| | **Inflation** | **19.4%** | 4.6% |
| | **Wage growth** | **8.9%** | 6.9% |
| | **Revenue of the general government sector** | **EUR 13,699 million** | EUR 12,320 million |
| | **Expenditure of the general government sector** | **EUR 13,256 million** | EUR 12,397 million |
| | **Accounting result of the general government sector** | **EUR 443 million** | EUR –77 million |
| | **Nominal budgetary position of the general government sector** | **–0.9% of GDP** | –2.4% of GDP |
| | **Structural budgetary position of the general government sector** | **–0.7% of GDP** | –4.8% of GDP |
| | **Debt burden of the general government sector** | **18.4% of GDP** | 17.6% of GDP |
| | **Consolidated financial reserves of the general government sector** | **11.0% of GDP** | 9.9% of GDP |

Source: Statistics Estonia, Consolidated annual report of the state for 2022

## 1.1.2 Important events

### IMPORTANT EVENTS IN 2022

**War in Ukraine**

On 24 February 2022, Russia began an attack on Ukraine, which resulted in a mass exodus from the country. Estonia adapted to the reception of refugees and is reorganising its society in the light of changing circumstances. From 27 February to the end of 2022, Estonia received about 120 000 Ukrainian refugees, of whom about 65 000 stayed in Estonia.

**Impact of sanctions related to the war in Ukraine**

The war in Ukraine has driven both Estonia and all other European countries to find new ways to source energy. In order to ensure an independent gas supply from Russia, a liquefied natural gas (LNG) reception capacity (Pakrineeme shuttle quay) was established in Estonia in cooperation between the private and public sectors. It did not start operating in 2022. At the same time, the price of diesel and petrol increased due to the disruption of fuel supplies from Russia.

**Easing of the coronavirus restrictions**

The government lifted all the coronavirus restrictions in force in March 2022 when the average number of people hospitalised with symptomatic coronavirus remained below 25 by ten days. Soon after, the obligation to wear a mask in public places that remained in place at first was also abolished.

**Inflation**

The rapid recovery of the economy from the pandemic, the energy crisis and the effects of the war in Ukraine led to very high inflation in 2022. The rise in consumer prices accelerated to 19.4 percent, which was also the fastest in the euro area. The main reason for the price increase was the increase in energy prices, which accounted for almost half of the increase in consumer prices. The rapid rise in energy and raw material prices caused a significant increase in the input prices of companies, which also passed on to the prices of various goods and services. Food prices rose by almost 20 percent, while the food industry and retail chains did not manage to add the price of inputs to the final prices.

**Supplementary budget**

The financial volume of the decisions of the 2022 supplementary budget was 747.6 million euros. This allocated 247.6 million euros to strengthen Estonia's comprehensive security and resilience, 257.3 million euros to strengthen energy security and 242.7 million euros to cover primary expenses related to war refugees. In order to increase energy security, a gas reserve was established for Estonia and funding was secured to create LNG capacity. To improve people's livelihoods, the subsistence level was increased from 150 to 200 euros. Expenditure related to education and Estonian language studies related to war refugees who temporarily came to Estonia for shelter from war was also financed. The impact of the supplementary budget on the nominal budgetary position of the general government sector was 1.9 percent of GDP. The measures were financed through the liquidity reserve and the additional debt instruments involved.

### IMPORTANT EVENTS AFTER 2022

**Continuation of the war in Ukraine**

Russia's war in Ukraine, which started on 24 February 2022, is still ongoing, with mass emigration from Ukraine continuing. By the end of May 2023, Estonia has received more than 132,000 Ukrainian refugees, of whom more than 72,000 have remained in Estonia.

**Inflation**

In the first few months of 2023, inflation has decelerated rapidly to 13.5 percent in April on the back of falling energy prices and a strengthening benchmark. A slowdown in price increases can also be observed for food and services. The economic cycle is weak and household pandemic savings are coming to an end, making it more difficult for businesses to raise prices. Inflation is forecasted to fall to single digits at the beginning of the summer.

**Elections and a new coalition**

In March 2023, the regular *Riigikogu* elections were held, and the Estonian Reform Party formed a government with the Estonian 200 and the Social Democratic Party. Under the new government's coalition agreement, the fiscal situation of the country will be improved with the aim of moving towards a balanced budget position of the general government sector. To this end, the Government plans to raise income tax, value added tax, excise duty and gambling tax and to look for ways to cut state budget expenses.

### 1.1.3 General macroeconomic development and impact on financial performance

**In 2022, Estonia's economy was affected by rapid inflation, rising interest rates and uncertainty.** Nominally, the economy grew rapidly compared to 2021, by 15.1 percent, but actually fell by 1.3 percent (see Figure 1). Real estate activities, energy, agriculture and trade contributed the most to the downturn. Accommodation and food services, construction, professional, scientific and technical activities, and recreation and leisure activities made a positive contribution to economic development. Growth in average gross monthly wages was fairly rapid, at around nine percent, but it was below inflation, leading to a decrease in household purchasing power.

**Output in the manufacturing sector fell in 2022 due to rapid increases in energy and other input prices, problems with raw material availability and weak external demand.** Construction volumes also fell slightly. While at the beginning of the year, construction companies felt that labour shortages were the main obstacle to construction activity, then since the autumn they have been facing a lack of demand. Construction prices grew rapidly throughout the year.

**The rise in interest rates and the rapid increase in house prices cooled real estate market activity.** By the end of 2022, the average interest rate on new housing loans had risen from an average of 2.3 percent in previous years to 4.4 percent, and house prices increased by around 22 percent in 2022 compared to 2021. The number of housing transactions was slightly more than a tenth lower than in 2021.

**Household consumption was strong in the first half of 2022, supported by savings accumulated during the pandemic and money freed up from the second pension pillar.** In the second half of the year, however, rapid inflation started to affect consumption more: the savings were no longer enough to compensate for the price increase and consumption decreased. Overall, however, private consumption increased by 2.6 percent at constant prices.

**The labour market situation remained good in 2022.** The number of people in employment grew by around four percent, unemployment stayed below six percent and wages rose by nine percent on average. Despite the decrease in the real volume of economic activity, the average financial position of companies was good and the operating surplus increased by 24 percent, outpacing a 14 percent rise in wage costs. For the most part, cost increases were passed on to final prices, so there was no need to lay off staff or cut wages. However, in the second half of the year, registered unemployment returned to a slight upward trend, affected by job cuts in industry and construction as well as the inflow of Ukrainian refugees. Overall, refugees have successfully entered the labour market – by the end of 2022, two thirds of refugees of working age were active in the labour market and more than half of them were employed.

**The price increase in 2022 was a record high due to a combination of factors.** The entire global economy recovered from the pandemic crisis, compounded by the energy crisis and supply disruptions caused by Russia's military action. In Estonia, the rise in consumer prices accelerated to 19.4 percent, which was also the fastest in the euro area. In small and open economies, pricing is more flexible and input price increases are passed on more quickly. The increase in prices was driven by the increase in energy prices, which accounted for almost half of the increase in consumer prices. The government's mitigation measures helped to somewhat mitigate the rising cost of energy carriers. The rapid rise in energy and raw material prices caused a significant increase in the input prices of companies and it also passed on to the prices of various goods and services. In the first few months of 2023, inflation has decelerated rapidly to 13.5 percent in April on the back of falling energy prices and a strengthening benchmark. A slowdown in price increases can also be observed for food and services. Weak economic cycle and households running out of savings make it difficult for businesses to raise prices in the future.

**In the first quarters of 2022, external demand was strong, reflecting the rapid recovery of trade after COVID-19 and services affected by restriction.** However, a reversal of the trend could be observed in the fourth quarter. Global trade turned into decline, affecting Estonia's main trading partners and the wider euro area. At the same time, the economic cycle was worse in Estonia's main export markets than in the euro area as a whole. Estonia's exports of goods and services increased by five percent over the year as a whole, but export growth was slower due to growth in external demand. Growth in exports last year was driven by a strong services sector, where sales to non-residents increased by 16 percent. The strong performance in services exports was driven by strong growth in exports of higher value-added business and IT services and a rapid recovery in foreign tourist arrivals. At the same time, merchandise exports declined slightly.

The significant appreciation of imported energy carriers due to the energy crisis, the stockpiling of certain goods due to sanctions and supply insecurity, and the increased purchase of transport vehicles kept imports strong, which is why **the trade balance deficit in 2022 became the largest in fourteen years.**

A more detailed overview of the key financial indicators is presented in the spring economic forecast of the Ministry of Finance.[1]

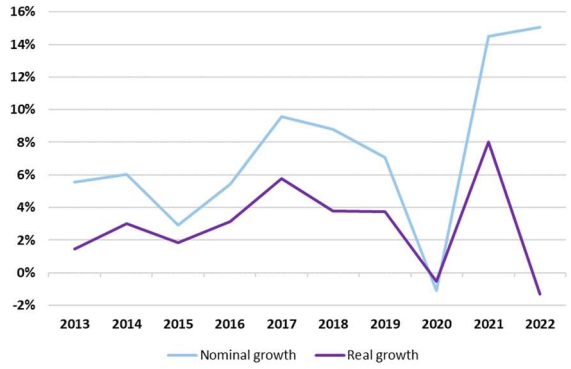



**Figure 1.** Nominal and real GDP growth by year. Source: Statistics Estonia

[1] https://www.fin.ee/riigi-rahandus-ja-maksud/fiskaalpoliitika-ja-majandus/rahandusministeeriumi-majandusprognoos.

## 1.1.4 Overview and budgetary position of the public sector and general government sector

### COMPOSITION OF THE PUBLIC SECTOR AND THE GENERAL GOVERNMENT SECTOR

The public sector is composed of entities which are publicly owned on the basis of ownership. The public sector is divided into two: the general government sector and other public sector entities. Most of the budgetary and statistical analyses are done for the general government sector. The budgetary rules of Estonian state budget are also based on the general government sector[2]. Internationally, too, the assessment of the budgetary position and fiscal sustainability of countries is based on the revenue, expenditure, assets and liabilities of the general government sector.

The general government sector is composed of public sector entities which are not considered market producers, and which are mostly financed through mandatory taxes. These include state budgetary institutions, local authorities, social insurance funds (the Health Insurance Fund[3] and the Unemployment Insurance Fund), and other institutions. Other institutions are legal entities governed by public law (for example, universities, the Guarantee Fund, the Estonian National Opera), foundations (for example, hospitals), non-profit associations, and companies (for example, AS Riigi Kinnisvara). The general government sector does not include other public sector institutions such as the Bank of Estonia (together with the Estonian Financial Supervision and Resolution Authority) and foundations, non-profit associations and companies that produce goods and provide services in which the state and other members of the general government sector have holdings (for example, AS Eesti Energia, AS Elering, AS Tallinna Sadam).

In 2022, the consolidated expenditure of the public sector amounted to 16.61 billion euros[4] (14.48 billion euros in 2021), of which expenditure of the general government sector accounted for 80 percent and the expenditure of other public sector entities accounted for 20 percent (see Figure 2).

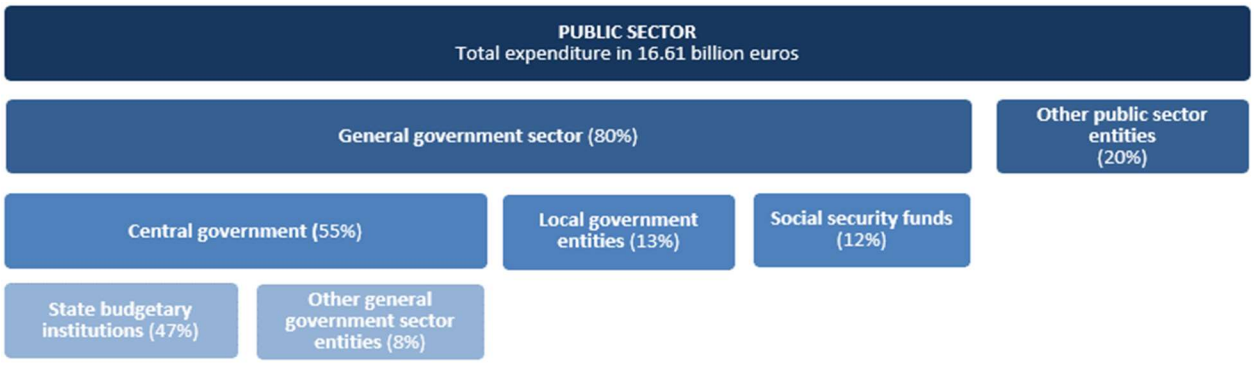



**Figure 2.** Total volume of public sector expenditure in 2022

### NUMBER OF PUBLIC AND GENERAL GOVERNMENT ENTITIES

In 2022, the public sector included 720 entities, of which 559 entities (78%) belonged to the general government sector. There were a total of 161 other public sector entities, 138 of those were companies, 22 foundations and non-profit associations, and one legal entity governed by public law (Bank of Estonia and the Estonian Financial Supervision and Resolution Authority). Of the 559 general government entities, 165 were state agencies, 79 local authorities, 21 legal persons in public law, 42 companies and 252 foundations and non-profit associations, 187 of which are owned by local authorities.

### STATISTICAL BUDGETARY POSITION OF THE GENERAL GOVERNMENT SECTOR

In 2022, the statistical budgetary position of the general government was in a deficit of 335 million euros (0.9 percent of GDP, see Figure 3). However, the budgetary position of 2022 improved significantly compared to 2021 as a result of the rapid economic recovery. One of the reasons for the better budgetary position was good tax receipts, partly due to rapid price increases. Non-tax revenues were also higher than usual. Expenditure in the 2022 supplementary budget was also lower than expected (see Table 2).

In 2022, the budgetary deficit of the central government was 388 million euros (791 million euros in 2021). Compared to the previous year, the budget deficit decreased largely due to the increase in the general wage fund (including the taxes on war refugees) and the income tax on those leaving the second pension pillar. Both were indirectly driven by rapid price increases. Value added tax receipts also grew strongly – 15 percent more than a year earlier. In addition to taxes, non-tax revenues, such as sales of goods and services (by 28 percent), environmental charges and other revenues (by 48 percent) and financial revenues (by 91 percent) also increased strongly. The budgetary position of social security funds was in surplus of 157 million euros in 2022 (136 million in 2021). The budget position of the Health Insurance Fund improved due to the recovered social tax revenue and the continued financial support of the central government. The Unemployment Fund also reached a surplus by the end of the year (25 million euros).

[2] https://www.riigiteataja.ee/akt/121062016019?leiaKehtiv
[3] The change of the name of the Health Insurance Fund in Estonian from Haigekassa to Tervisekassa was introduced from 1 April 2023.
[4] In the consolidated expenditure, the rows of all public sector units are added line by line and balances between them are eliminated.

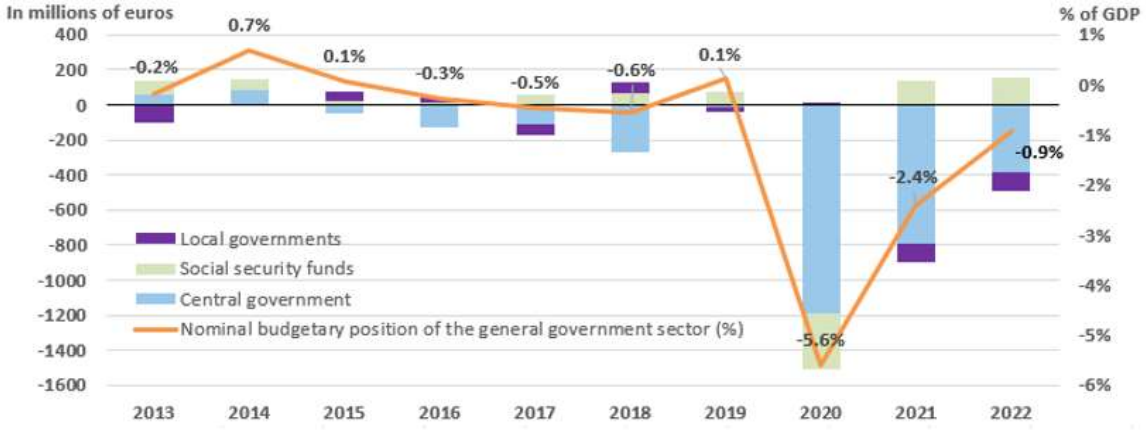



**Figure 3.** Budgetary surplus or deficit of the general government sector by subsectors as a proportion of GDP

## OPERATING RESULT AND STATISTICAL BUDGETARY POSITION OF THE GENERAL GOVERNMENT SECTOR

The state budget is the government's main financial planning and control measure, which establishes expenditure limits for state agencies and allocates funds to other general government sector entities. The annual accounts of the state are the government's report which serves to present the financial status and results of the state and to improve financial planning and control. The data provided in the annual accounts are accrual-based. The state budget is in line with the accounting methodology of statistical indicators, which is also primarily accrual-based and is largely based on accounting data but also includes cash-based elements, such as tax revenue, incl. three types of tax with a one-month shift.

The statistical budgetary position (surplus or deficit) is not immediately comparable to the operating result used in accounting. Operating result is the difference between revenue and expenditure. Surplus or deficit of the budgetary position, in the most general terms, is the operating result adjusted by the acquisition of non-current assets. As the acquisition of non-current assets is fully recorded in the year of acquisition, the subsequent accounting depreciation and other write-offs are not included in surplus/deficit anymore. In practice, the method for calculating the surplus or deficit of the budgetary position is even more complex and includes many other differences compared to the accounting principles.

In 2022, the negative accounting result of the general government sector was 440.5 million euros and the statistical budgetary position was -335 million euros (see Table 2 and Figure 4)

**Table 2**. Development of the general government sector position, EUR million

| | 2022 | 2021 |
|---|---|---|
| **Operating result according to the annual accounts** | **443.2** | **–77. 0** |
| Depreciation and change in value are eliminated | 730.0 | 670.1 |
| Change in fair value of biological assets is eliminated | –13.4 | –5.0 |
| Acquisition of non-current assets (non-financial assets) is added, excl. prepayments | –1,250.7 | –1,206,1 |
| Derecognition of carrying amount of non-current assets (non-financial assets) sold is eliminated | 7.3 | 8.3 |
| Super dividends, profit/loss from the sale of shares, write-down and reversal of write-down are eliminated | –155.1 | –218.0 |
| Acquisition of holdings not estimated to yield dividend income in the future is recorded as expenditure | 0.0 | –10.0 |
| Contributions to special purpose investment funds financed by the EU funds are recorded as expenditure | –24.0 | 0.0 |
| Impact of the change in provisions is eliminated (except for guarantees) | 195.0 | 184.6 |
| Impact of the sale of emission allowance is adjusted | –85.6 | –106.3 |
| Tax revenue is adjusted according to receipts (with a one-month shift) | –38.2 | 11.9 |
| Change in inventories is added, except prepayments | –196.6 | –47.2 |
| Other adjustments | 52.7 | 32.2 |
| **General government deficit according to Statistics Estonia[5]** | **–335.4** | **–762.5** |
| **General government deficit to GDP (%)** | **–0.9%** | **–2.4%** |

Source: Public Sector Financial Statements system of the Ministry of Finance and the Tax and Customs Board

[5] Statistics Estonia, RR055: GENERAL GOVERNMENT SECTOR REVENUE AND EXPENDITURE BY SECTOR (ESA 2010) | Year, Indicator, Revenue and Expenditure and Sector https://andmed.stat.ee/et/stat/majandus_rahandus_valitsemissektori-rahandus_valitsemissektori-tulud-kulud/RR055/table/tableViewLayout2.




**Figure 4.** Comparison of the accounting result and statistical budgetary position of the general government sector, in millions of euros

## 1.1.5 Revenue of the general government sector

### Overview of the revenue of 2022

General government sector revenue in 2022 amounted to 13.70 billion euros, or 37.9 percent of gross domestic product. In 2022, revenues increased by 11 percent (by 1.38 billion euros).

Tax revenues increased by 10 percent (by 0.97 billion euros). In volume terms, the increase was mainly driven by value added tax (increasing by 385.8 million euros), the payment of which was supported by a rapid increase in prices and the continued use of money withdrawn from the second pension pillar. In percentage terms, the income tax revenue of legal entities grew the fastest (28%), while the distributed profit of both the private and public sectors increased.

According to the declarations of the Tax and Customs Board (without taking into account the temporary salary compensation subsidy by the Unemployment Insurance Fund), the income from labour taxes was supported by a 14 percent increase in wage expenditure in comparison with 2021. Wage costs increased mainly due to the increase in average wages (by 10 percent), the number of jobs also increased (by four percent). However, the increase in social tax in 2022 amounted to only seven percent, because of the deduction of the social tax passed on to the funded pension funds, which amounted to 105.4 million euros in 2021 and 288.6 million euros in 2022.

Non-tax revenue increased by 18 percent (by 0.41 billion euros). In volume terms, the largest increases were in sale of goods and services (by 203.5 million euros) and foreign grants (by 107.0 million euros (see Figure 7)). Dividend income increased by 78.9 million euros compared to the previous year, mainly due to an increase in dividends from Eesti Energia and the State Forest Management Centre.

### Long-term trend: taxes, other income, foreign grants

During the period 2013–2022, tax revenue accounted for an average of 81 percent of the general government sector revenue. Over the same period, non-tax revenues accounted for an average of 19 percent of total revenues, and their share of general government sector revenues has increased to 20 percent over the last three years (see Figure 5).

From 2013–2022, social tax accounted for an average of 35 percent of tax revenue, income tax a quarter and value added tax 24 percent. The proportion of these three taxes (81 percent in 2013) has increased compared to the beginning of the period, reaching 87 percent of tax revenues by the end of the period due to an increase in the proportion of both income tax and value added tax (see Figure 6). In recent years, various factors have affected the growth of value added tax and income tax revenue. In 2022, value added tax revenue was boosted by a surge in price increases. Leavers from the second pillar of the pension system increased both income tax and value added tax revenue. The income tax of a natural person was affected by the fact that the basic exemption remained at the same level, which meant that the increase in wages took people out of the non-taxable income zone. The income tax of a legal person was influenced by the increase in the profits of companies.

Grants received accounted for the largest share of non-tax revenue over the period 2013–2022, averaging 48 percent (see Figure 7). The use of foreign aid is described in detail below.

The amount of foreign aid in 2013–2022 depended on the grant implementation cycle. This period is affected by the European Union budget periods of 2007–2013, 2014–2020 and 2021–2027. At the beginning of the European Union budget period, the speed of implementation of structural support is usually lower, increasing by the end of the period. The average proportion of foreign aid in other income was 46 percent between 2013 and 2022, ranging from 42 percent in 2014 to 57 percent in 2019 (see Figure 8).

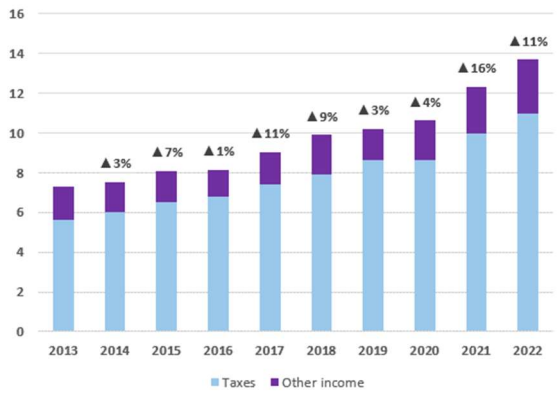



**Figure 5.** Structure of the revenue of the general government sector, in billions of euros

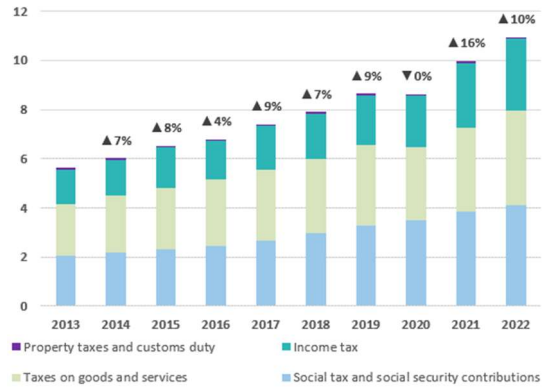



**Figure 6.** Tax revenue of the general government sector, in billions of euros

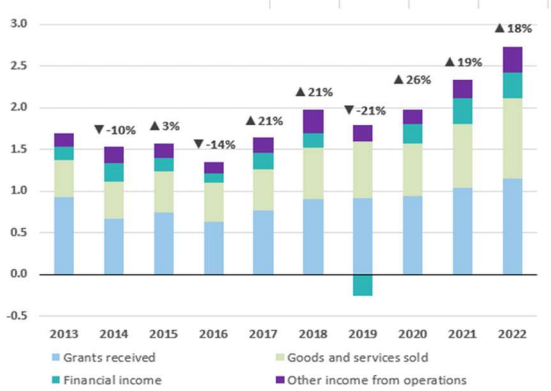



**Figure 7.** Other income of the general government sector, in billions of euros

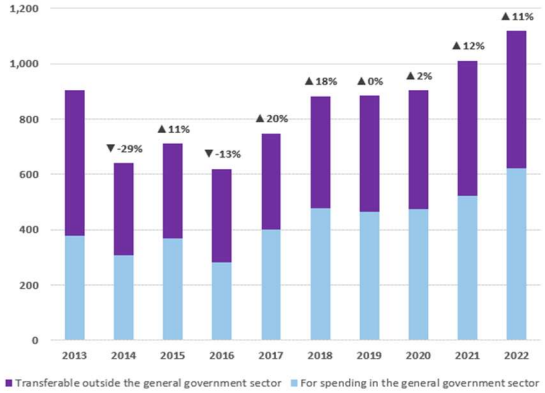



**Figure 8.** Foreign aid, in millions of euros

## USE OF FOREIGN FUNDS

In the state budget planning, foreign funds account for about 10 percent of the total budget. Foreign grants accounted for 1.12 billion euros of the 2022 state budget execution (general government sector share).

The largest share of foreign funds is made up of funds from the European Structural and Investment Funds, which are implemented under the Operational Programme for Cohesion Policy Funds[6], Estonian Rural Development Plan[7], and the Operational Programme for the European Maritime and Fisheries Fund. In the European Union budget period of 2014–2020, 4.80 billion euros were allocated to Estonia, which can be used until the end of 2023.

The volume of European Union grants from the Operational Programme for Cohesion Policy Funds is 3.68 billion euros, which together with co-financing by the state and self-financing by beneficiaries exceeds 5.20 billion euros. It includes additional 29.7 million euros of REACT-EU funds allocated in 2022 in order to tackle the consequences of COVID-19, boost economy, and respond to the energy crisis.

The war and the energy crisis were major events in the implementation of the Structural Funds in 2022, affecting project implementation. The rise in the cost of construction sites has been a problem for years, but the war that started brought temporary difficulties in the supply of materials in addition to the increase in prices. All this affected the completion of schools, hospitals, health centres and the like financed from structural funds.

Finding ways to use structural funds to help refugees from Ukraine posed additional challenges (see Figure 9).

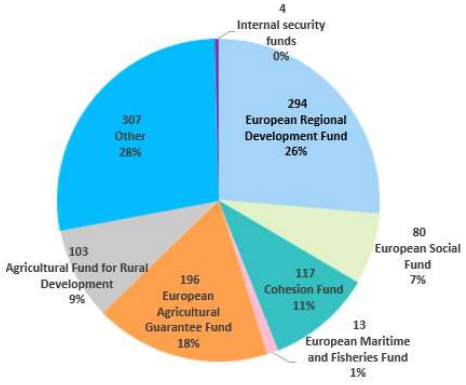



**Figure 9.** Distribution of expenditure of disbursed foreign aid by funds in 2022 (in millions of euros, % of total volume)

By the end of 2022, commitments were made from the European Union funds under **the Cohesion Policy Funds** for the period 2014–2020 in the amount of 3.75 billion euros (102 percent), of which 3.11 billion had been disbursed. Within the year, 536 million euros were directed into Estonian economy.

[6] Includes the funds of the European Social Fund, the European Regional Development Fund and the Cohesion Fund, abbreviated ESF, ERDF and CF respectively.
[7] Covers funds from the European Agricultural Fund for Rural Development (EAFRD).

**The Estonian Rural Development Plan 2014–2020** focuses on six European Union priorities in rural development. As at the end of 2022, commitments to European Union funds amounted to 890 million euros, of which 771.9 million euros have been disbursed.

In 2022, the rural development programme continued to use the grants foreseen for the transition period of the new EU Common Agricultural Policy.

**The 2014–2020 operational programme of the European Maritime and Fisheries Fund**[8] assembles six objectives. By the end of 2022, liabilities had been assumed out of the European Union funds in the amount of 95 million euros and 79.4 million euros had been disbursed.

The size of European Union grants in the **Internal Security Fund**[9] programme of the budget period 2014–2020 is 53.2 million euros, together with the co-financing by the state and self-financing by the beneficiary 66 million euros. The purpose of the Fund is to contribute to ensuring security in the European Union, to facilitate the legal movement of people through external border control and processing of Schengen visas. The eligibility period for the use of the Fund expired in 2022. The final disbursement percentage remained at 94 percent of the Fund's total amount of 49.9 million euros. As from 2023, funds for the 2021–2027 funding period will already be used.

The volume of European Union grants in the **Asylum, Migration and Integration Fund** programme of the budget period 2014–2020 is 15.5 million euros, together with co-financing by the state 20 million euros. The Fund contributes to the effective management of migration flows and the implementation, strengthening and development of the common migration policy. By the end of 2022, liabilities had been assumed out of the European Union funds in the amount of 13.6 million euros and 12.5 million euros had been disbursed.

In December 2020, the Council of the European Union approved European Union long-term budget for 2021–2027. Estonia will receive 3.37 billion euros in grants from the European Union Cohesion Policy Funds for 2021–2027. The strategy documents for the start of the new implementation period – the Partnership Contract and the Operational Programme – were approved in 2022, which meant that the funds could be launched. By the end of the year, 19 legal acts had already been approved to distribute the various grants and the first payments have already been made.

In addition to the long-term budget of the European Union, the final budget for Estonia's recovery plan until 2026 under the "NextGenerationEU"[10] recovery instrument was announced in 2022. The final volume of the financing for Estonia was 863.3 million euros.

## 1.1.6 Expenditure and investments of the general government sector

### Overview of expenditure and investments of the general government sector

The total unconsolidated expenditure of sectors within the general government sector in 2022 amounted to 17.31 billion euros, equivalent to 47.9 percent of GDP, of which state (unconsolidated) expenditure accounted for 9.89 billion, or 57 percent (see Figure 10).

(Unconsolidated) expenditure of local authorities amounted to 2.67 billion euros, expenditure of social security funds to 2.65 billion euros, and expenditure of other entities to 2.10 billion euros.

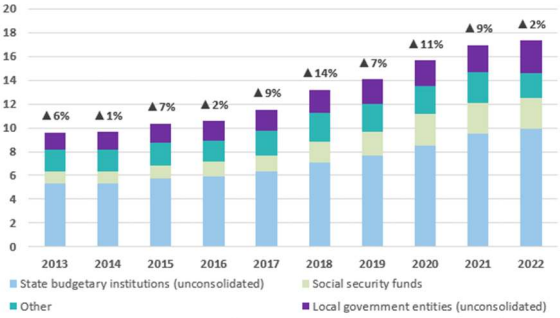



**Figure 10.** Unconsolidated expenditure of subsectors of the general government sector, in billions of euros

### Overview of the expenditure of 2022

Expenditure of the general government sector accounted for 80 percent (86 percent in 2021) of the consolidated expenditure of the public sector in 2022. 75 percent of the consolidated expenditure of the general government sector, were the expenses of public agencies and 20 percent were the expenses of local governments.

In 2022, the share of the consolidated expenditure of state budget institutions in the total expenditure of the general government sector decreased by 1.9 percentage points compared to the previous year, while the share of local governments increased by 1.5 percentage points. In 2022, state budget institutions used nearly 237 million euros less from the supplementary budget for expenses than in 2021, which reduced the growth rate of state-funded expenditure.

The growth rate of local government expenditure in 2022 increased, as the grants awarded by local governments increased by almost half, due to an increase in both the subsistence allowances granted and the increase in the targeted funding for operating costs and the acquisition of non-current assets.

Consolidated expenditure of the general government sector without investments amounted to 13.26 billion euros in 2022 (12.40 billion euros in 2021), i.e. seven percent (859.6 million euros) more than the year before (see Figure 11). Of the general government sector

[8] Abbreviation EMFF
[9] It consists of two financial instruments: the Instrument for External Borders and Visas (ISFB) and the Instrument for Police Cooperation, Prevention and Fight against Crime and Crisis Management (ISFP).
[10] European Union Recovery Instrument, abbreviation NGEU

expenditures, the largest increases compared to 2021 were in management expenses (330.2 million euros, 17 percent) and in labour costs (313.4 million euros, nine percent).

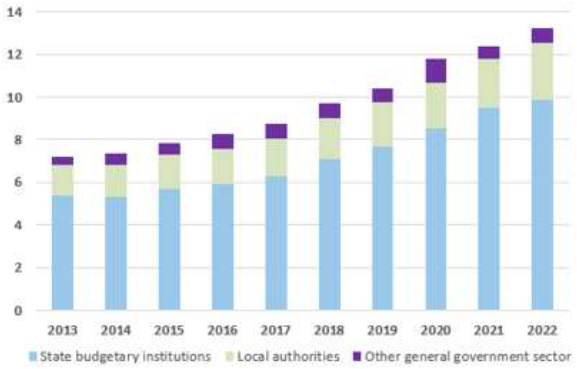



**Figure 11.** Expenditure of the general government sector without investments, in billions of euros

The structure of the expenditure of the general government sector in 2022 became similar to that of the pre-crisis years, when the share of subsidies awarded remained below 50 percent of total expenditure and operating expenditure accounted for around 45 percent of total expenditure (see Figure 12). In 2022, the share of subsidies awarded in total general government sector expenditure decreased by 2.9 percentage points compared to the previous year, while the share of labour expenditure increased by 0.6 percentage points and that of management expenses by 1.5 percentage points. In 2022, the share of subsidies awarded decreased due to a lower use of the supplementary budget, a reduction in the social tax and the funded pension paid in special cases, and the end of the four-percent suspension period for contributions to the second pillar from social tax. However, in a context of rapid inflation and rising energy costs, staff salaries and the management expenses of institutions increased.




**Figure 12.** Structure of the expenditure of the general government sector, in billions of euros

### LARGEST EXPENSE, I.E. SUBSIDIES

The volume of subsidies granted, which at the end of 2022 amounted to 6.26 billion euros in the general government sector (6.21 billion euros in 2021), increased by 42.8 euros million over the year, mainly due to an increase in social benefits.

Over the year, subsidies for the unemployed and benefits for incapacity for work increased by 31.5 million euros (eight percent), other health insurance allowances by 37.2 million euros (10 percent), subsistence benefits by 47.0 million euros (173 percent), family benefits by 87.6 million euros (14 percent) and pensions by 131.8 million euros (six percent).

A decision was made to temporarily pay the four percent of social tax normally paid to the second pillar funded pension, together with the rate of return, as additional provision from the state budget for the period of suspension. While the amount of the provision was 147.5 million euros in 2020 and 205.5 million euros in 2021, it was only 21.6 million euros in 2022, because in 2022, only the compensation of the average return payable with the suspension of the second pillar was taken into account as a provision, and not the contributions to the second pillar from social tax (four percent).

Targeted funding for the acquisition of non-current assets decreased by 26.3 million euros in 2022, and targeted funding for operating expenditure decreased by 51.1 million euros. Targeted funding for operating expenses decreased the most in the areas of activity of social protection (86.2 million euros) and general government sector services (27.1 million euros). Targeted funding for the acquisition of non-current assets decreased most in the area of activity of environmental protection (40.6 million euros). An overview of grants received and awarded, including the distribution thereof by fields, can be found in section 4.6 of the annual accounts in Note c15.

## EXPENDITURE OF THE GENERAL GOVERNMENT SECTOR[11] BY AREAS OF ACTIVITY

### Labour costs

**Labour costs of the general government sector[12] amounted to 3.70 billion euros in 2022** (see Figure 13) and accounted for 10.4 percent[13] of GDP. Compared to the previous year, the share of GDP has declined and the previous upward trend has been restored to the same level as in 2018.

In 2022, labour costs increased most in social security funds (10.3 percent), central government (9.1 percent) and local government authorities[14] (9.5 percent).

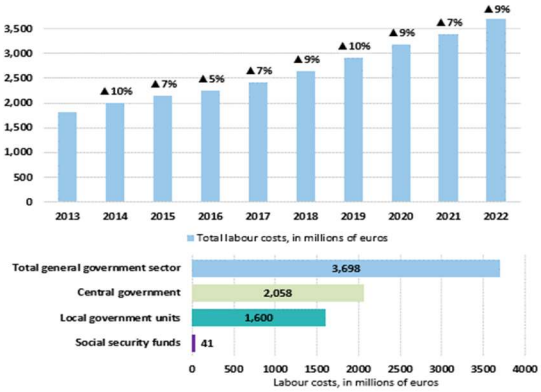



**Figure 13.** Change in the labour costs of the general government sector over the years. Source: Public Sector Financial Statements system of the Ministry of Finance

**The average gross monthly wage in the general government sector increased by 8.7 percent in 2022.** The growth rate was similar to the average gross monthly wage in Estonia (8.9 percent (see Figure 14)). Within the general government sector, the growth was the fastest in the central government (9.3 percent). Increase in the average gross wage of local authorities was 8.4 percent and 4.3 percent in social security funds.

Over the past ten years, the increase in the average monthly gross wage of the general government sector per year has been 1.6 percent higher than the Estonian average. The gross monthly wage of the general government sector has increased by 93 percent over a decade, while the Estonian average gross monthly wage has increased by 78 percent.

The average gross monthly wage of the general government sector has increased from 942 euros to 1,788 euros during this period. In 2022, the Estonian average gross monthly wage was 1,685 euros. There are more employees with higher education in the general government sector, which is why the wages are higher than the Estonian average gross monthly wage.

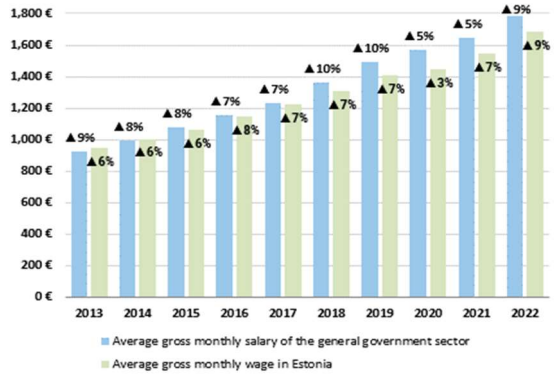



**Figure 14.** Change in the Estonian average gross monthly wage and average gross monthly wage of the general government sector over the years. Source: Public Sector Financial Statements system of the Ministry of Finance

**120 555 employees were employed in the general government sector in 2022[15]. The number of employees statistically increased by 423 employees, or 0.4 percent.** Government sector employees were divided between the central government, local authorities, and social security funds.

54 percent of all general government employees worked at the local government, 45 percent worked at the central government, and one percent, i.e.1,197 employees of all the general government employees, worked at social security funds.

More detailed information about the numbers and average wage of the employees of the general government sector can be found in the annual report of the Civil Service for 2022: https://www.fin.ee/riik-ja-omavalitsused-planeeringud/avalik-teenistus/personali-ja-palgastatistika.

### Management expenses

In 2022, the volume of management expenses of the general government sector amounted to 2.24 billion euros (1.91 billion euros in 2021); annual growth was 17 percent. In 2022, the management expenses of immovable property, buildings and premises (96.4 million, 28 percent), expenses of defence equipment and materials (63.8 million, 62 percent), social services (36.5 million, 25 percent) and vehicle management expenses (31.2 million euros, 32 percent) increased the most. The management expenses of immovable property, buildings and premises increased mainly due to the increase in energy costs, social services dueto accommodation costs related to refugees and the management expenses of vehicles due to the increase in fuel costs. The expenditure of medical supplies and services decreased the most, i.e. 34.1 million euros (11 percent), in 2022, as the expenditure on stopping the spread of the coronavirus decreased compared to 2021. An overview of the management expenses of the general government sector can be found in section 4.6 in Note c21.

[11] Excluding subsidies.
[12] Labour costs comprise the following parts: basic wage of permanent staff, additional remuneration, compensation, bonuses and performance pay, holiday pay, taxes and social security contributions related to labour costs, fringe benefits, wages of other persons, wages arising from contracts under the law of obligations, special pensions, pension increased, capitalised labour cost.
[13] Source: Eurostat (last updated on 21 April 2023)
[14] Includes entities under the dominant influence of entities in the general government sector.
[15] The average number of employees reduced to full-time working hours per year has been taken as the number of employees throughout the chapter.

### INVESTMENTS OF THE GENERAL GOVERNMENT SECTOR BY SECTORS

When comparing 2022 with 2013, the share of investments of state budget institutions has decreased by 3.7 percentage points and accounts for 40 percent of the investments of the general government sector (see Figure 15). Investments of the general government sector decreased by 43.1 million euros (three percent) in 2022 compared to the previous year. A total of 1.22 billion euros were invested in 2022 (1.27 billion euros in 2021). 491.8 million euros of this (549.9 million euros in 2021) were invested by state agencies and 371.1 million euros (413.4 million euros in 2021) by local governments.

Investments of the general government sector decreased the most in the fields of transport (66.8 million euros, 16 percent) and national defence (53.7 million euros, 30 percent) and increased the most in the fields of education (32.7 million euros, 16 percent) and general public services (23.5 million euros, 31 percent). An overview of the investments of the general government sector by areas of activity can be found in the annual accounts section 4.6 in Note c10.

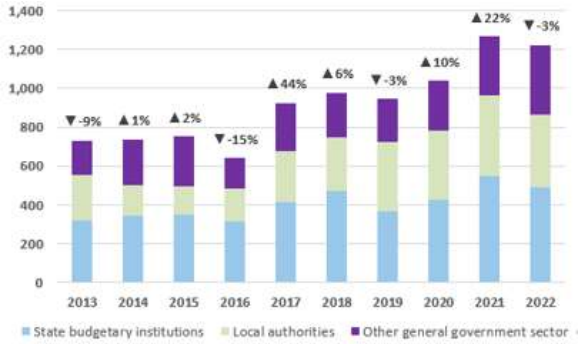



**Figure 15.** Investments of general government entities, in millions of euros

## 1.1.7 Balance sheet of the general government sector

### STRUCTURE OF THE BALANCE SHEET

At the end of 2022, the consolidated assets of the general government sector amounted to 23.05 billion euros (63.7 percent of GDP), increasing by one billion, i.e. 12 percent, in a year (6.7 percent of GDP (see Figure 16)). Illiquidity non-financial assets (hereinafter other assets) that accounted for almost half of the total assets and amounted to 11.00 billion euros (30.4 percent of GDP) at the end of 2022 held the largest share of assets. Other assets increased by 742.1 million, i.e. seven percent, in a year, mainly on account of tangible non-current assets. Holdings with a proportion of 20 percent accounted for the second largest share — 4.72 billion euros (13 percent of GDP) at the end of 2022. Receivables and prepayments (15 percent of total assets, i.e. 3.33 billion euros) and liquid assets (17 percent of total assets, i.e. 4.00 billion euros) followed. Liquid assets grew the fastest over the year (29 percent), driven by short-term financial investments.




**Figure 16.** Balance sheet of the general government sector, in millions of euros

Liabilities of the general government sector amounted to 13.92 billion euros (38.5 percent of GDP) at the end of 2022, having increased by 2.35 billion euros, i.e. 20 percent, (6.5 percent of GDP) in a year.

Liabilities were divided into two: borrowings (45 percent of liabilities) and other liabilities (55 percent of liabilities). At the end of 2022, borrowings or loan liabilities amounted to 6.31 billion euros (17.4 percent of GDP) and the growth of these liabilities has accelerated since 2020, having increased by 1.12 billion euros or 22 percent in the last year (see sub-chapter "Debt liabilities of the general government sector"). Other liabilities amounted to 7.61 billion euros (21 percent of GDP) at the end of 2022. Other liabilities include provisions, prepayments received, trade payables, and payables to employees. Their growth is influenced by broader price and wage increases.

Net assets of the general government sector amounted to 9.11 billion euros (25.2 percent of GDP) at the end of 2022 (see Figure 17).

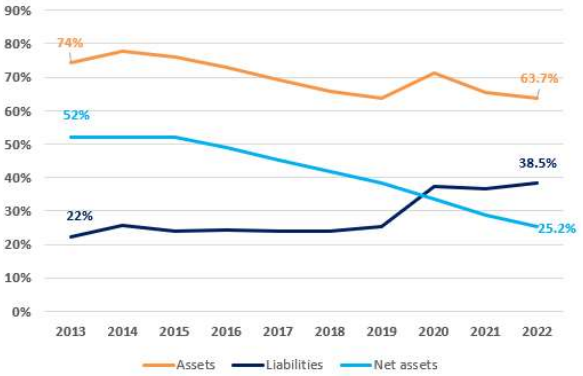



**Figure 17.** Proportion of assets, liabilities and net assets of the general government sector of GDP

Net assets of the general government increased by 83.5 million euros, i.e. one percent, over the year, and have thus remained at a relatively similar nominal level over the past three years, except for a significant net asset decrease of 1.40 billion euros, i.e. 13 percent, in 2020[16] (see part B of statement of changes in the net assets of the general government sector).

[16] In 2020, which was marked by the coronavirus pandemic and recession, the 1.4 billion euro decrease in the net assets of the general government sector was caused by the negative result of the financial year (1.2 billion euros) and the actuarial loss of pension provisions (204 million euros).

## CURRENT ASSETS AND LIQUID ASSETS

Liquid assets accounted for 4.00 billion euros, i.e. 59 percent, of the current assets of the general government sector (6.84 billion euros) at the end of 2022. The State Treasury Department of the Ministry of Finance managed 75 percent of the liquid assets of the general government sector, being in charge of state financial reserves in the amount of 3.01 billion euros (see Figure 18). The State Treasury Department is responsible for the consolidated cash flow management of state agencies, social security funds and state-owned foundations and manages the Liquidity Reserve and the Stabilisation Reserve Fund (see subchapter "Principles for consolidated cash flow and financial risk management of the state").

At the end of 2022, the current assets of the general government sector exceeded current liabilities (4.07 billion euros) 1.7 times[17]. This indicates the generally good short-term financial capacity of the general government sector, as current assets exceed current liabilities. At the end of 2021, the current ratio was also 1.7. In the last ten years, the ratio has remained between 1.7 (2021 and 2022) and 2.9 (in 2015), with the average being 2.2.

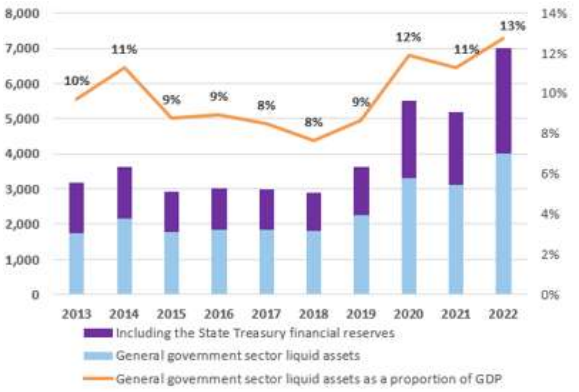



**Figure 18.** Liquid assets of the general government sector, including financial reserves held by the State Treasury, in millions of euros

## RECEIVABLES AND PREPAYMENTS

Short-term and long-term receivables and prepayments of the general government sector increased by 464.3 million euros, i.e. 16 percent, to 3.33 billion euros (9.2 percent of GDP (see Figure 19)) over the year.

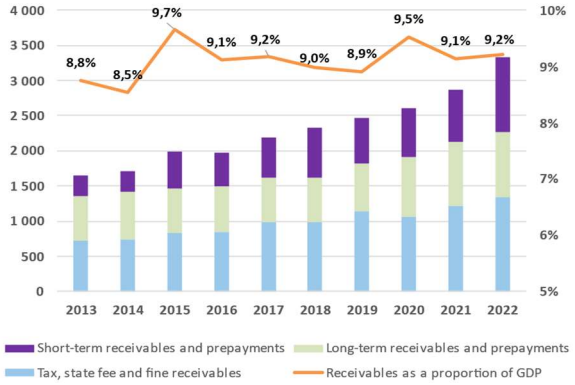



**Figure 19.** Receivables and prepayments of the general government sector, in millions of euros

Tax, state fee and fine receivables accounted for 1.33 billion euros, i.e. 40 percent, of all receivables and prepayments, other short-term receivables and prepayments accounted for 1.06 billion euros (32 percent), and other long-term receivables and prepayments accounted for 0.93 billion euros (28 percent).

Among other receivables and prepayments, loans granted (794.6 million euros) and outstanding targeted financing amounting to 744.6 million euros are the largest (see 4.6 Note c4).

Loans granted in the general government sector include 451.9 million euros (the same at the end of 2021) of loans of the Estonian state granted to Greece, Ireland and Portugal through the European Financial Stability Facility[18] (see 2.7 Note a6). This amount is also recognised under government debt (see 2.7 Note a17).

In the Greek programme, long-term interest receivables (see 2.7 Note a5) and interest payables (see 2.7 Note a15) in the amount of 30.3 million euros (39.5 million euros at the end of 2021) will be added. The largest lenders in the general government sector include the Estonian Business and Innovation Agency, the Estonian Rural Development Foundation, and the Estonian Environmental Investment Centre.

## HOLDINGS

At the end of 2022, the general government sector had holdings in the amount of 4.72 billion euros (13.0 percent of GDP), which is 329.0 million euros, i.e. 20 percent, more than the previous year (see Figure 20).

State-owned subsidiaries and affiliated undertakings in the value of 3.82 billion euros accounted for the largest share (81 percent) of the general government holdings. State participation in them increased by 152.4 million euros over the year (see 4.6 Note c6 and 2.7 Note a9).

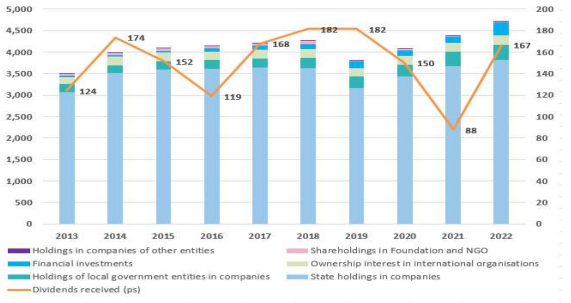



**Figure 20.** Holdings and dividends of the general government sector in millions of euros

[17] Current ratio (current assets/current liabilities)

[18] The European Financial Stability Facility (EFSF) is an institution jointly established by the euro zone countries in June 2010 to ensure the financial stability of the euro area. The European Financial Stability Facility issued long-term loans to Ireland, Greece and Portugal, for the financing of which long-term bonds guaranteed by euro zone countries were issued. The European Financial Stability Facility will not be issuing new loans to the members of the euro zone as this function was taken over by the European Stability Mechanism founded in 2021.

Participation of local governments in subsidiaries and affiliated undertakings amounted to 348.4 million euros, increasing by 6.8 million euros in 2022 (see 4.6 Note c6 and 3.6 Note b5).

State participation in international organisations amounted to a total of 215.3 million euros (210.1 million euros in 2021). The largest was the participation in the European Stability Mechanism in the amount of 148.8 million euros (see 2.7 Note a3). In 2022, dividend income in the amount of 166.6 million euros, which was 78.9 million euros more than a year earlier, was received from subsidiaries and affiliated undertakings.

The state owned 28 subsidiaries and affiliated undertakings. Of these, six are included in the general government sector, the largest of which were AS Riigi Kinnisvara and AS Eesti Liinirongid (see 2.7 Note a1 B2).

The general government sector did not include 25 state subsidiaries and affiliated undertakings, the largest of which were Eesti Energia AS (group), State Forest Management Centre, and Elering AS (group).

Consolidated overviews of holdings are published annually, providing more detailed information about the principal activities and financial position of state-owned foundations and companies.

## OTHER ASSETS

Other assets amounting to 11.00 million euros at the end of 2022 (30.4 percent of GDP) accounted for half of the total assets of the general government sector.

Other assets increased by 742.1 million euros over the year. Property, plant and equipment increased by 495.5 million euros to 10.09 billion euros over the year and accounted for 92 percent of other assets.

In addition, other assets include inventories (in the amount of 432.2 million euros), intangible non-current assets (in the amount of 242.8 million euros), investment property (in the amount of 202.2 million euros), and biological assets (in the amount of 33.7 million euros).

In 2022, inventories grew significantly faster than before: by 200.6 million euros or 87 percent (an increase of 23 percent in 2021).

Buildings and facilities with a value of 7.13 billion euros accounted for the largest share of non-current assets of the general government sector.

Land amounted to 797.1 million euros and plant and equipment to 817.7 million euros (see 4.6 Notes c7, c8 and c9).

General government authorities acquired non-current assets for 1.22 billion euros in 2022. This was 43.1 million euros less than in 2021.

In 2022, investments were made the most in transport (EUR 351.6 million), education (238,3 million euros) and health (EUR 129.8 million (see 4.6 Note c10 and Figure 21)).

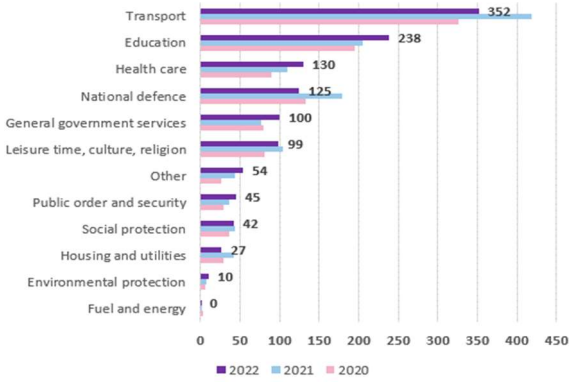



**Figure 21.** Acquisition by the general government sector of property, plant and equipment and intangible non-current assets and investment property by areas of activity in millions of euros in the last three years

## OTHER LIABILITIES

General government sector liabilities are divided into two: loan liabilities[19] and other liabilities. Other liabilities include provisions, prepayments received, liabilities to suppliers and employees. Other liabilities increased by 1.23 billion euros, or 19 percent, over the year, amounting to 7.61 billion euros at the end of 2022 (see 4.6 Note c12 and c13). Provisions accounted for 59 percent and other payables 41 percent of other liabilities (see Figure 22).

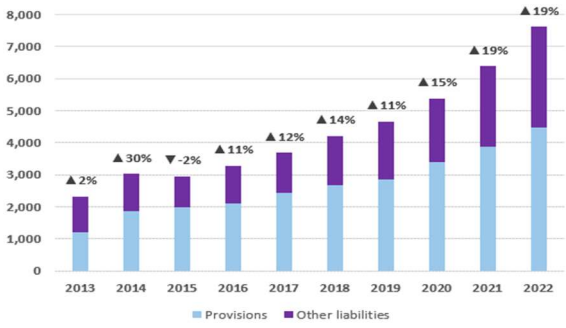



**Figure 22.** Structure of liabilities (excluding loan liabilities) in millions of euros

At the end of 2022, the general government sector provisions amounted to 4.48 billion euros, which was 15 percent more than in 2021 (see 4.6 Note c13). 98 percent of provisions were for public sector pension liabilities (4.40 billion euros) and related to the government payment obligations of special pensions and the second pillar pension system (see Figure 23). Other provisions (77.1 million euros) consisted of guaranteed liabilities, loan securities, legal costs and environmental protection provisions.

Pension provisions are calculated for the former and current state employees and their family members who have a statutory right for special pension or a pension increase exceeding the ordinary state pension. These include police and rescue officers, servicemen, prosecutors, judges and the Chancellor of Justice, Members of Parliament, and other officials (see 2.7 Note a16 A). As at the end of 2022, public sector pension provisions were allocated to 30.167 people (30.319 people in 2021) in the total amount of 4.12 billion euros (3.54 billion euros in 2021). Factors affecting the size of provisions for special pensions include life expectancy, interest rates, the number of pensioners and their accumulated pension rights.

[19] Loan liabilities are explained in more detail in the subchapter "Debt liabilities of the general government sector".

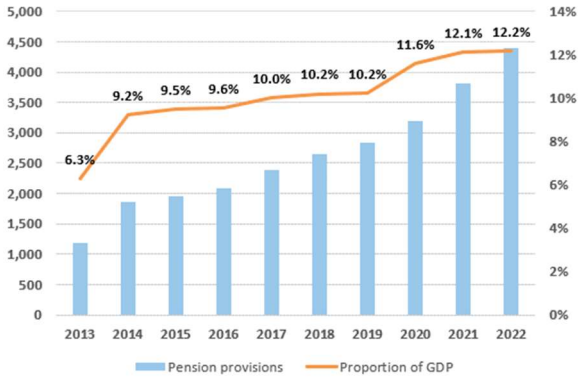



**Figure 23**. Pension provisions in millions of euros and proportion of GDP

Since actuarial gains and losses on pension provisions may fluctuate significantly year by year, they are recognised directly as changes in net assets. In 2022, these amounted to a loss of 394.7 million euros (a loss of 167.6 million euros in 2021). The provision for special pensions of employees of the Police and Border Guard Board increased significantly as a result of amendments to the Police and Border Guard Act. Previously, special pensions were calculated on the basis of the remuneration for the service rank and the scaled salary of the position. From 2022 onwards, the calculation is based on the basic salary of the position. Actuarial loss is affected by the change in long-term forecast of the average salary and the pension index. The amounts accrued for the current period are recognised under labour costs (see 2.7 Note a23).

The financial statements of the state do not recognise first pillar pension contributions earned by Estonian employees to be charged (state pension) as liabilities, therefore, no dedicated provision has been formed for this liability. According to International Public Sector Accounting Standards, first pillar pension contributions are recognised in financial statements in the period for which they are due. At the same time, the Ministry of Finance prepares long-term forecasts of state pension revenue and expenditure and assesses the difference between projected social tax received and projected state pension expenditure, which must be funded by other income of the state budget.

## 1.1.8 Debt liabilities of the general government sector

### DEBT LIABILITIES OF THE GENERAL GOVERNMENT SECTOR BY ENTITIES

The statistical debt liabilities of the general government sector as at the end of 2022 was 6.66 billion euros (18.4 percent of GDP), having increased by 1.12 million euros, i.e., 20 percent, compared to the previous year (see Figure 24).

The biggest increase, by 1.05 billion euros, i.e. 30 percent, was in debt liabilities for the state due to the war that began in Ukraine in 2022 and energy crisis. At the end of 2022, the 4.53 billion euro debt portfolio of the Ministry of Finance accounted for 68 percent of the total debt of the general government sector.

Debt liabilities of the state also include the state guarantee for the loans granted by the European Financial Stability Facility in the amount of 482 million euros, which accounted for seven percent of the total general government debt in 2022.

Compared to 2021, the liability related to the European Financial Stability Facility increased by three million euros. To date, Estonia has not made any payments related to the state guarantee for debt liabilities of the European Financial Stability Facility.

The debt liabilities of other central government entities belonging to the general government sector decreased by eight million euros in 2022 and amounted to 657 million euros at the end of 2022. These debt liabilities account for 10 percent of the total general government debt. Debt liabilities of local governments increased by 79 million euros, i.e. nine percent, over the year and amounted to 987 million euros at the end of 2022, accounting for 15 percent of the total general government sector debt. Social security funds had no debt liabilities.

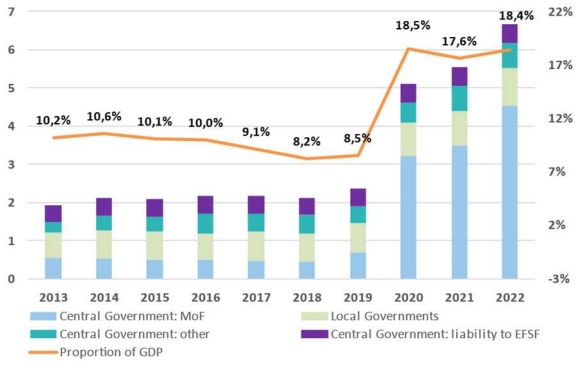



**Figure 24.** Breakdown of general government sector debt liabilities by entities, in billions of euros. Source: Statistics Estonia

### STRUCTURE OF DEBT LIABILITIES OF THE GENERAL GOVERNMENT SECTOR

Bonds accounted for 46 percent, loans 52 percent and finance leases three percent of the debt liabilities of the general government sector at the end of 2022 (see 4.6 Note c14).

The proportions of debt liability instruments changed significantly in 2020 when the Ministry of Finance returned to international capital markets, issuing EUR 1.50 billion of Eurobonds with maturity in 2030 (see Figure 25).

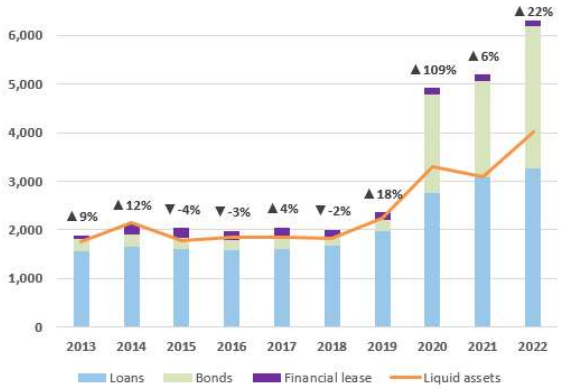



**Figure 25.** Debt liabilities of the general government sector on the basis of instruments in millions of euros

In 2022, EUR 1 billion of long-term eurobonds maturing in 2032 were issued.

In addition, the Ministry of Finance uses T-bills (balance 350 million euros at the end of 2022) and long-term loans from the Nordic Investment Bank, the European Investment Bank, the Council of Europe Development Bank and the European Commission (balance 2.7 billion euros at the end of 2022 (see 2.7 Note a17 and Table 3)) to manage the cash flow. All debt liabilities of the general government sector are in euros.

For a long time, debt liabilities of the general government sector were at a level similar to financial reserves. The trend changed in 2020 with the outbreak of the COVID-19 pandemic. The war that began in Ukraine in 2022 and coping with the energy crisis further increased the state's borrowing needs.

The refinancing risk of the debt portfolio of the Ministry of Finance as the biggest borrower in the general government sector is low. Repayments of the principal amount of the debt liabilities are evenly spread over the years, except for the years 2030 and 2032 when the Eurobond issued in 2020 in the amount of 1.50 billion euros and the Eurobond issued in 2022 in the amount of one billion euros respectively will be redeemed (see Figure 26).

The low refinancing risk is also characterised by the weighted average repayment period of 7.3 years for the state's debt liabilities (see Figure 27).

In comparison, the average repayment period for the debt liabilities of European Union states is 8.3 years, according to the European Commission.

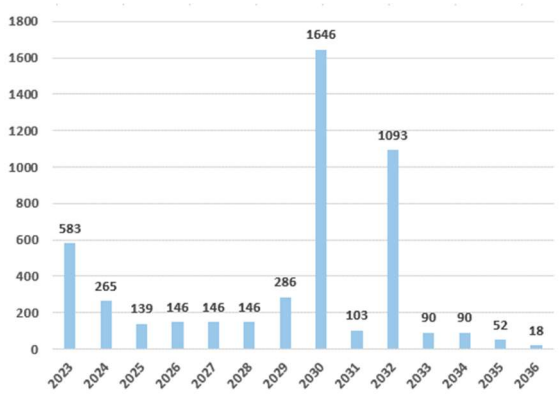



**Figure 26.** Debt liabilities' repayment profile of the Ministry of Finance, in millions of euros

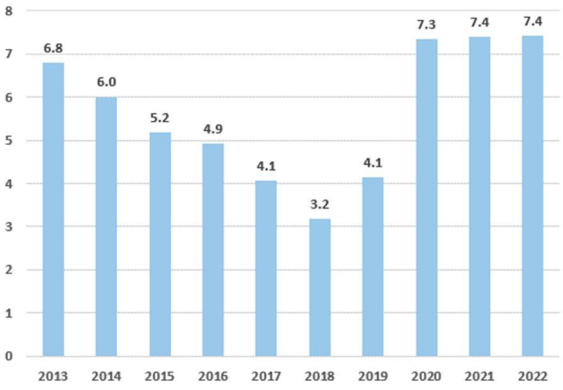



**Figure 27.** Weighted average repayment period of debt liabilities of the Ministry of Finance, in years

**Table 3.** Comparison of the structure of debt liabilities of the Ministry of Finance in 2020, 2021 and 2022, in millions of euros

| | 31.12.2020 | Proportion | 31.12.2021 | Proportion | 31.12.2022 | Proportion | Net change 2022 / 2021 |
|---|---|---|---|---|---|---|---|
| **Total debt liabilities** | **3,200** | **100%** | **3,481** | **100%** | **4,528** | **100%** | **1,047** |
| **Long-term loans** | 1,275 | 40% | 1,581 | 45% | 1,678 | 37% | 97 |
| **Short-term bonds** | 425 | 13% | 400 | 12% | 350 | 8% | –50 |
| **Long-term bonds** | 1,500 | 47% | 1,500 | 43% | 2,500 | 55% | 1,000 |
| **Weighted average interest rate** | **0.05%** | | **0.03%** | | **1.62%** | | |
| **Average term to maturity** | **7.3 years** | | **7.4 years** | | **7.3 years** | | |

## 1.1.9 Contingent liabilities

Contingent liabilities of the general government sector (see 4.6 Note c27) have remained between 4.61 to 6.05 billion euros in the last decade, increasing by 448 million euros in 2022. The proportion of these liabilities of GDP has decreased year by year, accounting for 17 percent of GDP at the end of 2022 (see Figure 28).

The two largest liabilities – state guarantees (2.02 billion euros, 33 percent of contingent liabilities) and callable capital in international financial institutions (1.66 billion euros, 27 percent of contingent liabilities) accounted for 61 percent of contingent liabilities in 2022. Compared to 2021, these contingent liabilities did not change significantly. Guarantee for debt liabilities of the European

Financial Stability Facility[20] accounts for 1.50 billion euros, i.e. 75 percent, and Estonian Business and Innovation Agency guarantees for business and housing loans and export guarantees account for 306.9 million euros, i.e. 15 percent, of state guarantees. Other smaller guarantees have been given to international financial institutions to guarantee loans or various projects (see 2.7 Note a30 B).

At the request of international financial institutions, the state must pay a total of 1.66 billion euros for its callable capital, the largest liability of which, 1.15 billion euros, is to the European Stability Mechanism. The callable capital of other financial institutions is significantly smaller: 188 million euros for the European Investment Bank, 141 million for the World Bank, 69 million euros for the Nordic Investment Bank (see 2.7 Note a30 A). The remaining contingent liabilities are related to delivery contracts and investment liabilities (1.51 million, 25 percent of contingent liabilities), pending court cases (302 million, five percent of contingent liabilities) and liabilities arising from other contracts and securities (566 million in total, nine percent of contingent liabilities (see Figure 29)).

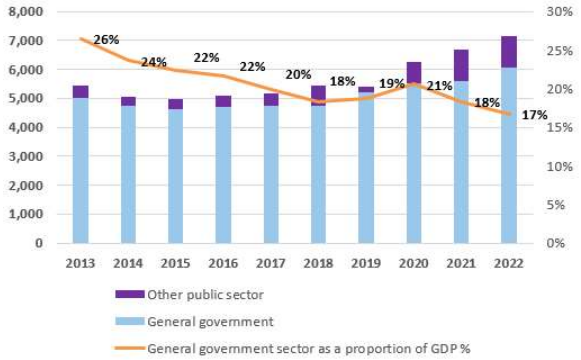



**Figure 28.** Total contingent liabilities of the public sector and the general government sector, in millions of euros

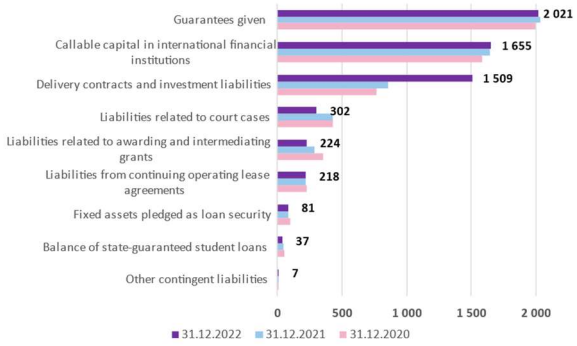



**Figure 29.** Contingent liabilities of the general government sector by type, in millions of euros

## 1.1.10 Principles of managing the state's financial risks and liquidity

### Consolidated cash flow management of the state

Within the general government sector of the state, 207 institutions – including all 160 state agencies, 43 foundations, the Estonian Health Insurance Fund, the Estonian Unemployment Insurance Fund, and AS Pensionikeskus – have been brought under consolidated cash flow management (see 2.7 Notes a2 and a15). The State Treasury Department of the Ministry of Finance is responsible for the management of settlements, payment services and cash flow management through the e-State Treasury system and bank accounts in credit institutions linked to the Treasury Single Account (TSA) system. The large institutions of the general government sector that are outside the consolidated cash flow management of the State Treasury Department are the Guarantee Fund, local governments and their entities, universities, and state companies.

Consolidated cash flow management allows achieving better synergies within the group. The state is therefore able to postpone borrowing and to use the available funds of the general government sector flexibly and efficiently. The Health Insurance Fund, the Unemployment Insurance Fund and foundations do not have to manage financial assets or cash flow. In addition, the State Treasury Department pays them interest on the balance of cash at a rate equal to the yield of the liquidity reserve.

### Principles of managing the state's financial risks

The State Treasury Department of the Ministry of Finance follows a conservative investment strategy in managing the state's financial investments in order to ensure the preservation of the value and liquidity of funds and the earning of revenue within the approved risk limits (see Figure 30).

Financial risk management is based on the principles of asset-liability management, according to which the financial risks of financial assets and liabilities are as neutral as possible, i.e. risks are naturally hedged (see Table 4). The ratio of financial risks and expenditure related to the assumption of the state's debt obligations must be in line with the state's ability to meet its debt liabilities.

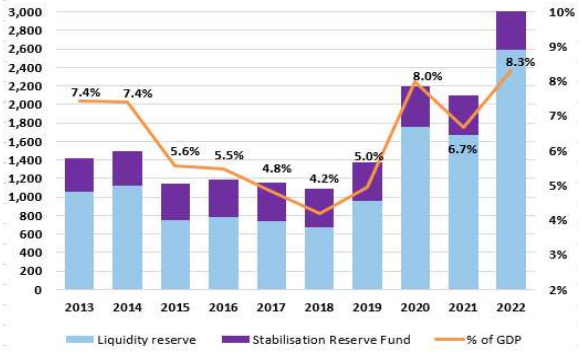



**Figure 30.** Size of state financial reserves in millions of euros and their proportion of GDP. Source: Ministry of Finance, Statistics Estonia

[20] From 2011 onwards, Estonia provides guarantees for each bond issue of the European Financial Stability Facility according to its participation capacity to the extent of up to 1.99 billion euros.

The State Treasury Department manages two investment portfolios: the liquidity reserve for managing daily cash flow and the Stabilisation Reserve Fund for crisis situations. Financial instruments are invested in bonds and deposits of high credit rating and liquidity on international financial markets.

In order to ensure the timely fulfilment of the state's payment obligations, the minimum level of the liquidity reserve and short-term debt liabilities (overdraft, short-term credit limit and other similar contracts) are monitored. In order to ensure liquidity, funds of the liquidity reserve can only be invested in deposits with a maturity of up to three months and liquid bonds.

Investments made in euros are considered free of currency risk. It is not permitted to assume currency risk in managing the Stabilisation Reserve Fund. Currency risk may be assumed up to one percent of the market value of the liquidity reserve.

Interest risk of the Stabilisation Reserve Fund is measured against benchmark compiled quarterly. The benchmark consists of bonds and money market instruments of at least AA-credit rated countries of the euro zone. For the purposes of managing the interest rate risk of loans granted by the liquidity reserve and the State Treasury, their average modified maturity may not exceed 0.45 years. The benchmark for the liquidity reserve is the 1-month Eonia swap rate.

The interest rate risk of debt liabilities is measured using the average refixing period method. As at the end of 2022, the average interest refixing period for debt liabilities was 5.46 years and at the end of 2021 4.75 years.

In managing credit risk, the State Treasury uses the credit ratings assigned to issuers and credit institutions by the international rating agencies Moody's, Standard & Poor's (S&P) and Fitch. The financial resources of the Liquidity and Stabilisation Reserve Fund may be invested in long-term (with a maturity of more than one year) securities and deposits with a credit rating of at least Aa3 (Moody's) or AA- (Standard & Poor's and Fitch), for short-term investments (with a maturity less than one year) the credit rating must be at least Prime-1 (Moody's), A-1 (Standard & Poor's) or F-1 (Fitch). There are additional restrictions on investments in credit institutions through which national settlements are conducted.

The funds of the liquidity reserve and Stabilisation Reserve Fund may not be invested in the European Financial Stability Facility or the European Stability Mechanism bonds. Furthermore, the funds of the Stabilisation Reserve Fund may not be placed in credit institutions where deposits are secured in accordance with the Guarantee Fund Act. The proportion of transactions related to one credit institution or issuer and its group may constitute up to 20 percent of the market value of the respective investment portfolio. At least 65 percent of the market value of the Stabilisation Reserve Fund must be placed in the bonds of general government sector issuers.

Refinancing risk is also taken into account when managing financial risks related to debt liabilities. In order to avoid an excessive payment burden on the state budget, a limit has been established on the balance of outstanding short-term debt liabilities. This may not exceed 25 percent of the total amount of state budget expenditure and investments for the respective year. Where possible, repayments of long-term debt liabilities should be spread over the years so that the debt to be repaid within a year does not exceed five percent of the estimated GDP of that year.

**Table 4.** Main risk indicators of liquidity reserve, Stabilisation Reserve Fund and debt liabilities assumed by the Ministry of Finance

| | Debt liabilities assumed | | Liquidity reserve | | Stabilisation Reserve Fund | |
|---|---|---|---|---|---|---|
| | **31.12.2021** | **31.12.2022** | **31.12.2021** | **31.12.2022** | **31.12.2021** | **31.12.2022** |
| **Market value** | 3,481 million euros | 4,528 million euros | 1,671 million euros | 2,587 million euros | 430 million euros | 424 million euros |
| **Modified duration** | 4.59 years | 4.83 years | 0.22 years | 0.16 years | 0.88 years | 0.65 years |
| **Average term to maturity** | 7.4 years | 7.41 years | – | – | – | – |
| **Average interest refixing period** | 4.75 years | 5.46 years | – | – | – | – |
| **Currency** | 100% euro | 100% euro | 99.92% euro and 0.08% other currency | 99.71% euro and 0.29% other currency | 100% euro | 100% euro |

## 1.2 Overview of activities

As of 2020, the Estonian state budget is fully activity-based, meaning that the strategic objectives of the state are related to the funds available, which makes the state budget more understandable to even those decision-makers and readers who do not have knowledge of accounting.

The aim of this chapter is to give a brief overview of the progress of both the state's long-term targets and the objectives set out in the State Budget Strategy 2022–2025.

For an overview of progress towards long-term goals, see the summary of the action plan of the long-term development strategy "Estonia 2035"[21]. Activities of the ministries are covered in brief overviews of performance areas.

At the end of the chapter, an overview of the activities of constitutional institutions in 2022 and the results of internal and external assessments of internal audit units of ministries is presented.

For a more detailed overview, the topics are accompanied by a link to a more detailed report.

### 1.2.1 Long-term development strategy "Estonia 2035"

On 12 May 2021, the *Riigikogu* adopted the state's long-term development strategy "Estonia 2035", which is being implemented on the basis of the action plan "Estonia 2035" approved by the Government of the Republic and renewed annually.

Strategic objectives of the strategy "Estonia 2035" are:

- Estonia's people are smart, active and care about their health;
- Estonia's society is caring, cooperative and open-minded;
- Estonia's economy is strong, innovative and responsible;
- Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants;
- Estonia is an innovative, reliable and people-centred country.

#### ESTONIA'S PEOPLE ARE SMART, ACTIVE AND CARE ABOUT THEIR HEALTH.

- One of the most important changes of direction in the field of education is the approval of the **draft laws necessary for the transition to teaching in Estonian** by the Government and their approval by the *Riigikogu* on 12 December. The amendments will allow for the transition to the Estonian language of instruction in pre-school institutions and in the first and fourth grades from the school year 2024/2025. The transition will be completed by the start of the 2029/2030 school year. Major changes in the education sector are supported by both **the action plan for the transition to teaching in Estonian and the action plan to ensure the new generation of teachers**. In order to ensure there would be enough teachers and to value their work, the government decided to increase the wages of teachers by 23.9 percent next year. In the schools of Ida-Viru County, teachers who teach in Estonian will be paid 1.5 times of their salary and in pre-primary education 1.3 times of their salary in the next school year.
- The government has decided within the state budget strategy to **increase state budget funding for higher education institutions by 15 percent each year between 2023 and 2026**, that will have a significant impact on achievement of the skills and labour market objectives. Over four years, operating subsidies for higher education will increase by around 130 million euros, paving the way for improving the quality and international competitiveness of higher education.
- **Cultural workers and coaches with higher professional qualifications, who get their salary from the state, are expected to receive one of the largest wage increases of all time.** The minimum wage for youth coaches with higher professional qualifications will rise by 37.3 percent and for cultural workers by 14.3 percent. In addition, the wage fund for cultural workers paid by the state will increase by 7.34 million euros – leaving the heads of institutions free to decide how to distribute the fund within the institutions, on top of the increased minimum wage.
- The levels of metrics characterising the health of Estonian people have become worse. **Healthy life expectancy is on a downward trend:** In 2021, the level of healthy life expectancy of the Estonian population was 56.5 years (57.5 years in 2020 and 55.9 years in 2019), and the indicator has worsened for both men and women. In 2021, men are expected to live a healthy life of 54.9 years (-7 months compared to 2020) and women 58 years (-1.5 years compared to 2020). In the framework of the development strategy "Estonia 2035", the target is that by 2035 men will have 63 years of healthy life and women 64.5 years. The **proportion of overweight people** was 51.6 percent in 2020, which has increased from the level of 2018 (50.7 percent). The target for 2035 is for the proportion of overweight residents to be lower than 50 percent. In order to achieve these goals, it is important to place increasing emphasis on supporting both physical activity and healthy lifestyle choices, as well as ensuring the sustainability of health care financing and improving access to quality health services.

[21] Overview of the implementation of the action plan Estonia 2035: https://valitsus.ee/strateegia-eesti-2035-arengukavad-ja-planeering/strateegia/materjalid. With metric timelines: https://tamm.stat.ee/.

- A number of legislative changes were adopted to ensure better access to health services, including **amendments to the Health Services Organisation Act**, which allowed young family physicians to start with a smaller practice list and extended the rights of nurses. The conditions of the beginner's allowance for doctors working outside Tallinn, Tartu and the surrounding municipalities were also made more flexible and the amount of the beginner's allowance was multiplied. Better access to health services is also supported by amendments to the law, whereby physiotherapists, speech therapists and clinical psychologists have the right to start providing health services as independent health care providers from 1 October 2023.
- In order to maintain a high level of food safety and to mitigate risks from food, **a number of risk or hazard assessments were carried out to mitigate health risks**. On 1 January 2023, the National Centre for Laboratory Research and Risk Assessment started its work, where food supply chain analyses have been concentrated to reduce duplication. Measures on **front-of-pack labelling**, nutritional profiles, origin labelling, shelf-life labelling and alcohol labelling will help consumers to make informed and healthy choices. In addition, a review of the requirements for food information on non-prepackaged food was initiated in order to facilitate the donation of food.

### ESTONIA'S SOCIETY IS CARING, COOPERATIVE AND OPEN-MINDED.

- The government approved a **draft law amending the Old-age Pensions under Favourable Conditions Act and related amendments to other laws, which** will make the pension system fairer by ending the payment of pensions under favourable conditions by 2070. During the long transition, a package of labour market measures supporting career change will be created in accordance with a goodwill agreement with the social partners, and systems for compensation for illnesses caused by work and prevention of incapacity for work will be agreed upon. Updating of the organisation of social protection is also supported by significant changes in the field of unemployment benefits and labour market services. **The Act amending the Unemployment Insurance Act, the Unemployment Services and Benefits Act and the Disability Allowance Act** links the period of payment of unemployment insurance benefits to the economic situation. In addition, the government approved the **draft Labour Market Measures Act,** which will update and organise the legal framework for the provision of labour market services as a whole.
- The government approved **a draft Victim Support Act**, which will improve access to assistance for victims of violence, crime or crisis. The draft will clarify the system for applying for compensation for victims of crime. The *Riigikogu* adopted the Act on 14 December. In addition, a strategic action plan for mental health is being drawn up, covering prevention, promotion, community-level activities and treatment services.
- The **Prevention Board,** which was set up by merging the existing Council for the Protection of Children, the Council for the Prevention of Offences and the Governmental Commission for the Prevention of Drugs, started its work with the aim of making the planning and implementation of prevention activities more effective and strengthening inter-agency cooperation. Prevention aims to support the development of the whole population, in particular children and young people, social skills, living environment, coping and well-being.
- In 2021, there were 2.3 percent of people **with a high care burden** in Estonia. The government approved **a draft amendment to the Social Welfare Act**, which will make nursing home care available for an average pension, improve the quality of general care and make home care more accessible. The *Riigikogu* adopted the Act on 7 December. In addition, the reduction of the care burden is supported by the amendment to the law passed in the spring, which released grandchildren from the care taking obligation of grandparents, and the application round opened in the summer for local governments to develop and provide services supporting the coping of people with care burden.

### ESTONIA'S ECONOMY IS STRONG, INNOVATIVE AND RESPONSIBLE.

- **Research and development expenditure in the private sector** is on the rise, reaching 1.01 percent of GDP in 2021. Contributions to research and development of companies have increased significantly in recent years and private sector expenditure in 2021 was at an all-time high. From 2021, we have directed 1 percent of GDP for research and development also from the state budget. The number of people employed in research and development activities has also increased in recent years, at the expense of private sector employees. In 2021, 220 full-time scientists and engineers were added to the private sector, increasing **the number of scientists and engineers working in the private sector from 1.65 to 1.8 per 1000 inhabitants**.
- The development of the innovative economy is supported by, among other things, **social entrepreneurship and social innovation**. The Ministry of the Interior initiated, with various partners, the establishment of a single competence centre for the definition of social innovation and its subsequent implementation in the National Foundation of Civil Society. The common vision of social entrepreneurship and innovation is implemented by the Social Entrepreneurship Cooperation Agreement, which was joined by 23 organisations from different sectors.
- In 2020, Estonia's **net greenhouse gas emissions amounted to** 12.85 million tonnes of $CO_2$ equivalent. Although, net greenhouse gas emissions have decreased significantly so far, the approximate greenhouse gas accounting for 2021 without land use, land use change and forestry sector shows an increase in emissions of 1.4 million tonnes of $CO_2$ equivalent. Increased production of electricity from oil shale makes the biggest contribution to the increase in emissions.
- The amendments to the Energy Sector Organisation Act set **a target to produce 100 percent of total final electricity consumption from renewable sources by 2030**. In addition, a target was set for renewable energy to account for at least 65 percent of total final domestic energy consumption by 2030. **Legislative changes on the total benefits of**

**offshore and onshore wind energy** were adopted to encourage the establishment of renewable electricity generation capacity. In addition, the government approved actions to facilitate and accelerate the transition to renewable energy (e.g. speeding up the planning process). Relevant draft laws are under preparation.

- The areas pre-selected for the development of offshore wind farms were identified **in the maritime spatial planning**. The development of a joint Estonian-Latvian offshore wind farm and grid infrastructure has been granted the status of a European Union cross-border renewable energy project, which gives the opportunity to apply for European co-financing for its construction. The development of renewable energy will also be supported by 650 GWh of **reverse auctions to bring renewable electricity to the market** in 2023, and at least 1 TWh of reverse auctions are planned in the coming years.
- At the beginning and the end of the year, the state partially compensated electricity, gas and district heating consumers for energy price increases. It is important that **the state comes to the aid of consumers in times of energy crisis** and compensates part of the high energy prices. In addition to automatic measures, the sale of electricity at a regulated price, i.e. the provision of **universal service**, for household consumers, micro and small enterprises and local authorities was also introduced.
- In order to implement the package of services supporting the exit of oil shale energy, a **Just Transition Plan for Ida-Viru County** has been prepared, which is financed from the funds of the Just Transition Fund. A measure to support business investment to create new jobs has been launched, and measures are under preparation to support small and medium-sized enterprises, increase the knowledge intensity of businesses and diversify the educational opportunities offered in the region. The **South-East Estonia Regional Programme** also supported small and medium-sized enterprises and the renovation of housing for specialists.
- Estonia's **resource productivity** is low compared to other European Union countries – in 2020 it was 0.63 euros per kilogram, while the European Union average is 2.1 euros per kilogram. In order to remain competitive, it is necessary to **continue supporting smarter use of resources**, in addition to the resources that have been directed towards resource efficiency over the last six years. To this end, the **Recovery and Resilience Plan** has launched actions to support the deployment of more efficient and greener technologies, the valorisation of bio-resources and the circular economy. **Analysis and proposals for the development of the bio-economy** were prepared.
- In order to reduce the use of single-use plastic products, the government approved **a draft amendment to the Waste Act, the Packaging Act and the Tobacco Act**. The proposal aims to prevent and reduce the impact of certain plastic products on the environment, in particular on the aquatic environment, and on human health, and to promote a shift towards a circular economy using innovative and sustainable business models, products and materials, thus also contributing to the effective functioning of the internal market. A **White Paper on the Circular Economy** was drafted, which sets out a set of principles for the circular economy and should serve as guidance in daily activities.
- The **"Strategic Plan of Common Agricultural Policy 2023–2027"**, approved by the European Commission, will support the Estonian agricultural sector and rural areas with 1.6 billion euros in the coming years, 28 percent of which is earmarked for environmental and climate objectives. The Strategic Plan of Common Agricultural Policy (CAP) will make an important contribution to ensuring food security, developing sustainable businesses and growing strong communities in rural areas of Estonia. One of the elements of the plan to be implemented in 2023 are financial instruments, which will make financing options more accessible to rural businesses. As part of the implementation of the CAP Strategic Plan, the Government initiated a draft European Union Common Agricultural Policy Implementation Act at its session on 8 September, which entered into force on 1 January 2023. The *Riigikogu* adopted the aforementioned Act on 9 November 2022.
- **The Operational Programme 2021–2027 of the European Maritime, Fisheries and Aquaculture Fund (EMFAF)**, approved by the European Commission, will support the Estonian fisheries sector and contribute to achieving good environmental status in the marine environment with a total of 139 million euros until 2029, of which 45 percent will go to tackle climate change and 51 percent to protect the environment. The EMFAF Operational Programme will contribute to the achievement of good status of fish resources, to the improvement of the economic situation of fishing communities and to the competitiveness of the fishing, fish processing and aquaculture sectors. These objectives will be supported by research, innovation and wider knowledge sharing between researchers and businesses. To create the necessary national legal framework for the implementation of the EMFAF Operational Programme, the Government initiated the draft Fisheries Market Organisation Act. The *Riigikogu* adopted the Fisheries Market Organisation Act on 9 November 2022 and it entered into force on 1 January 2023.
- In order to strengthen Estonia's economic security, a **draft Foreign Investment Reliability Assessment Act** has been prepared and submitted to the *Riigikogu*. The Act establishes a mechanism to control investment in certain sectors in order to safeguard essential interests for the functioning of the state, such as the continuity of vital services, the availability of goods, security of supply and the resilience of critical infrastructure.
- In order to promote Estonia as an attractive tourist destination, to ensure a positive experience for visitors of Estonia and to increase the adaptability of the sector, a **Tourism Strategy 2022–2025** was prepared. Bringing the **Michelin recognition system** to Estonia was an important achievement in strengthening the competitiveness of the tourism sector.

### ESTONIA OFFERS A SAFE AND HIGH-QUALITY LIVING ENVIRONMENT THAT TAKES INTO ACCOUNT THE NEEDS OF ALL ITS INHABITANTS.

- The increasing number of passengers means that new trains are needed, so the government decided to

**purchase additional electric trains and to continue the electrification of the railways**. Public transport also plays an important role in finding and testing new operating models, for example in the form of **demand-based public transport pilot projects** in the Saaremaa island and Tartu County. Pilot projects have shown that demand-responsive services help to reduce the use of private cars, but also ensure that public transport is available to all who need it. In 2022, **a funding measure for the competitiveness of transport** was approved for the financing period 2021–2027 of European Union with a budget of 0.6 billion euros to develop transport infrastructure.

- The **energy consumption of residential and non-residential buildings** has remained stable at 16.5 TWh according to recent data. The aim is to bring it down to 14.5 TWh. The need to improve the energy efficiency of housing has been particularly highlighted by rising energy prices. **Renovation grants for apartment buildings** in the amount of 75 million euros to be paid next year will help to reduce the energy consumption of buildings, to reduce heating bills and to significantly improve the indoor climate of buildings. At the beginning of the year, **LIFE IP BuildEST**, a seven-year research and development programme, was launched with the aim of increasing reconstruction capacity. It will develop tools for the full implementation of the long-term reconstruction strategy of buildings in a comprehensive view of a high-quality living environment.
- **In the national register of construction works,** a technologically outdated and insecure system was replaced and procedures were streamlined. The **nationwide built environment 3D twin** was created to enable the use of detailed BIM models of buildings and to view spatial evolution both in the past and in the future, for example, to view buildings mapped by overflights of the Land Registry and buildings under planning and construction side by side. In order to digitise the construction field, **the E-leap in construction measure** was created.
- Alongside the digitisation of the construction sector, there is also **a digital transformation in spatial planning**, which aims to ensure digital access to planning data, wider use and faster procedures. As of October 2022, a publicly accessible national planning database (PLANK) will be available, which in the future will make all planning documents available in digital format. A central **spatial planning training programme** covering environmental, biodiversity and climate-related topics was carried out to promote adherence to the basic principles of quality spatial decisions.
- **Amendments to the Traffic Act have entered into force,** allowing municipalities to install speed cameras to calm traffic. It gives local authorities an additional opportunity to ensure road safety in their territory and thereby make their living environment safer.
- Technically, **an area-based rapid alert system has been completed and tested**, ensuring the readiness to provide timely alerting and appropriate behavioural instructions to people entering and remaining in the danger area in case of emergency. **Amendments to the Rescue Act** were adopted, allowing the Rescue Board to involve volunteers with the necessary knowledge and skills in demining work to ensure the continuity of demining work in the event of resource-intensive incidents and crises.

### ESTONIA IS AN INNOVATIVE, RELIABLE AND PEOPLE-CENTRED COUNTRY.

- During the budget negotiations, the government decided that **defence expenditure would exceed the 1 billion euro limit for the first time in 2023** and be 2.8 percent of GDP on average in 2023.
- To **ensure cybersecurity and to keep the basic systems of the digital state operational** and to build new capacities, additional annual resources were allocated to the basic ICT budget when the state budget strategy was prepared. The drafting of a new Preparedness Act is an important step in improving the crisis management and preparedness of the state. In order to strengthen the protection of the population and internal security, a supplementary budget of 23 million euros was allocated for 2022, and in April it was decided to allocate an additional 30 million euros to 2023.
- The security of the rest of Estonia starts more widely from the protection of **the state border.** The Government approved a draft Act amending the State Borders Act and related acts. Once the draft Act enters into force, the state will be in a better position to combat mass immigration in emergency situations, when foreigners cross the Estonian state border illegally and make unjustified applications for international protection. Construction works on the 23.5 km long section of the south-east border were also completed. The eastern border will continue to be developed in the coming years.
- In order to facilitate the use of public services, in December 2022, the first versions of the first **proactive government services** were made available to people via the state portal eesti.ee: the information service on having a child and getting married. In 2022, work also started on **the development of a number of proactive government services for businesses** to provide businesses with the information and access to public services they need in a single online environment and as a seamless service for their business event.
- **In order to facilitate location-independent recruitment of staff**, there is ongoing awareness-raising in the network of human resources managers in the authorities on topics such as job security in teleworking and flexible recruitment activities. Guidance material on teleworking was also prepared. Training programmes in change management, innovation management and policy making (including impact assessment, engagement, process management, analytical methods) have been delivered to the public sector.
- A steering and working group was set up to promote value-based procurement, with the task of analysing and developing solutions for implementing value-based public procurement. The provision delegating authority of the Public Procurement Act, which allows the Minister for the Environment to impose environmental requirements on the goods or services covered by a public contract, entered into force.

- In cooperation with sectoral ministries, agencies, the Estonian Association of Towns and Municipalities, universities and experts, the **"Action Plan for the Central Development of Local Government Employees 2022–2025"** was developed, which includes activities to promote staff competence and know-how. In 2022, a pilot project of the **enterprise environment development programme** was conducted for the representatives of local governments to improve knowledge of the various opportunities and best practices for the development of enterprise environment and to increase the competitiveness of enterprise environment at the county level.
- Under the leadership of the Ministry of the Interior and the coordination of the National Foundation of Civil Society, the **content of the county-level civil society advisory service was changed** in such a way that through the county development centres, additional advisory services will be provided to local governments, people and communities for the implementation of the community-centred governance model. In order to foster cooperation between local governments and communities, **a development programme for the co-creation of local governments and communities** was held for the first time in 2022, where systemic solutions were sought to better involve communities at the local level and participate in local life issues in different regions of Estonia. As a result of the development programme, the necessary tools for cooperation between local authorities and communities and for a community-based governance model will be created, as well as other necessary tools for the implementation of the model, to be used in other regions.

## 1.2.2 Welfare

### Objective of the performance area

High level of employment as well as long and high-quality working life

Reduction of social inequality and poverty, better gender equality, and greater social inclusion.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's society is caring, cooperative and open-minded.

### Development plan of the area

Welfare Development Plan 2016–2023

### Programmes of the performance area

Labour market programme

Welfare programme

Social security programme

Gender equality programme

Programme for children and families

### Area of government related to the performance area

Area of government of the Ministry of Social Affairs

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- Despite the economic recession, **a rapid recovery of the Estonian labour market from the COVID-19 pandemic could be observed in 2022.** The employment rate for 20–64 year olds rose to a record 81.9 percent over the year and the unemployment rate fell to 5.6 percent. Employment increased faster in the services sector, among women and elderly people. The sharp increase in labour force participation rates is also expected to lead to a further increase in working lives in the coming years.
- Improved labour market indicators explain **the reduction in the share of people living** in absolute poverty, i.e. **below the calculated minimum level of subsistence, to 1.4 percent in 2021** (2.2 percent in 2020), across age groups and gender. However, the relative poverty rate, a measure of income inequality, increased to 22.8 percent in 2021. As the income of working-age people (including families with children) increased more than that of the elderly people, whose main income is the old-age pension, relative poverty increased primarily at the expense of the elderly people, whereas in families with children it decreased.
- The aim of the **reception of Ukrainian war refugees and support for their settlement in Estonia** was to help people to become independent as soon as possible. In 2022, the Social Insurance Board, in cooperation with the private sector, provided temporary accommodation to more than 23,000 people who have used state-provided accommodation for an average of 1.5 months – this is less than half of the allowed four months. In addition to temporary accommodation, the state provided psychosocial crisis support and other services and support. Around 40 percent of refugees aged 20–64 years found a job, and around 60 percent of refugees paid for their permanent residence themselves or with the help of family and friends.
- **In order to ensure a fairer and more financially sustainable pension system**, the draft Act for reform of old-age pensions and superannuated pensions was prepared on favourable conditions, as a result of which the lists of occupations enabling earlier pensions will disappear and a work ability assessment system was created instead. The change will boost employment, pensions and the financial sustainability of the pension system in the long term. The amendment was adopted in the *Riigikogu* in February 2023.
- **Implementing the reform of general care**, which will make institutional care more accessible to people, make care more person-centred, including by providing incentives to reduce the workload and increase the salaries of care workers, and prevent the worsening of care needs through better assessment of support needs and the provision of home support services. The *Riigikogu* approved the care reform in December 2022.

- **The new Victim Assistance Act**, adopted by the *Riigikogu* at the end of 2022, will improve access to assistance for victims of violence, crime or crisis. Victims of domestic and sexual violence will now receive mental health support to help them recover from trauma, regardless of whether they are prosecuted. The system for claiming compensation for victims of crime was made more victim-friendly. The Act entered into force in April 2023.
- **Changes in the unemployment insurance benefit system** that make the period of payment of the benefit dependent on the economic situation. A flexible system offers unemployed people greater security in difficult times and motivation to return to work quickly in better times. The provision of assistance to the unemployed will also be affected by **the new Labour Market Measures Act**, which will streamline and simplify the legal framework for labour market services and allow for a more effective response to labour market changes.
- **Amendments to family benefits** aimed at supporting the economic coping of families with children and increasing confidence in family planning. The amendments increased child benefits, allowances for the family with many children and the single parent allowance.

## Challenges

- **The natural population growth has been negative in recent years due to the composition of the population.** The number of elderly people is increasing and the number of women of childbearing age is decreasing, which is also the reason for the lower fertility rate than in the last decades. Birth rates are also affected by instability in society. The crises of the last three years concerning the economy, health and security are also reflected in the decrease in the number of births and indicators. A particularly steep decline in births occurred in 2022, when they fell to 11,646 births, or 12.3 percent compared to the previous year. The number of births in 2022 is also the lowest in the last hundred years. The number of deaths, on the contrary, is on the upward trend, as there are still large generations in the older age groups. In addition, the health crisis increased mortality in the years from 2020 to 2022.
- **The gender pay gap in Estonia has been on a downward trend over the past 10 years**, but in 2021, the wage gap between women and men was 14.9 percent. This is influenced by gender stereotypes, unequal sharing of the care burden and horizontal and vertical gender segregation. The Organisation for Economic Co-operation and Development (OECD) 2022 report shows that Estonia will miss out on significant economic growth every year due to persistent gender gaps in society.
- **Continuing the reform of long-term care and improving the quality and accessibility of special care.** As part of the reform of the support system for people with special needs, the focus will be on cost-reflective pricing of special care services, transferring the coordination of services under the person-centred special care model to local authorities and reducing waiting lists. In the framework of long-term care reform, it is necessary to establish supportive measures for carers looking after a family member and provide support to local governments in the development of home services.
- **Integration** and coordinated provision **of health services and social services** in cooperation with local governments (including implementation of the principle of a single place of business and improvement of data exchange).
- **Increasing the minimum pension, developing occupational pensions and raising pension awareness** to ensure people have an adequate income in old age.
- **Ensuring crisis preparedness and business continuity of the institutions of the area of administration** by enhancing the crisis preparedness of the institutions of the area of administration, inter alia by ensuring crisis preparedness to meet the new requirements arising from law. There is a need to develop situational awareness, the continuity of public services and institutions, crisis management and capabilities, and cooperation.

Detailed information on the implementation of the performance area can be found at the following link: Development plans and work plans | Ministry of Social Affairs (sm.ee)

**Table 5.** Target levels of metrics in the welfare performance area and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023[22] | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Employment rate among 20–64-year-olds** | | | | | | |
| **- men** | 81.3% | 81.2% | 83.3% | 82.9% | 82.9% | – |
| **- women** | 76.9% | 77.5% | 80.4% | 75.9% | 76.0% | |
| **- total** | 79.1% | 79.3% | 81.9% | 79.4% | 79.5% | |
| Source: Statistics Estonia | | | | | | |
| **Duration of working life in years** | | | | | | |
| **- men** | 39.5 | 39.1 | – | 40.1 | 40.2 | – |
| **- women** | 38.4 | 39.0 | | 38.2 | 38.3 | |

[22] The target level for 2023 is based on the State Budget Strategy 2022-2025, not on the State Budget Strategy 2023-2026, as the performance area metrics changed from 2023 onwards due to the preparation of the Welfare Development Plan 2023-2030.

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023[22] | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **- total**<br>Source: Eurostat | 39.0 | 39.1 | | 39.1 | 39.2 | |
| **Absolute poverty rate**<br>**- men**<br>**- women**<br>**- total**<br>Source: Statistics Estonia | <br>2.7%<br>1.8%<br>2.2% | <br>1.8%<br>1.0%<br>1.4% | – | <br>3.4%<br>2.5%<br>2.9% | <br>3.3%<br>2.4%<br>2.8% | – |
| **Relative poverty rate**<br>**- men**<br>**- women**<br>**- total**<br>Source: Statistics Estonia | <br>18.0%<br>22.9%<br>20.6% | <br>20.8%<br>24.6%<br>22.8% | – | <br>14.8%<br>15.2%<br>15.5% | <br>14.8%<br>15.2%<br>15.5% | – |
| **Natural population growth**<br>Source: Statistics Estonia | –2,602 | –5,315 | –5,692 | Positive | Positive | – |
| **Total fertility rate**<br>Source: Statistics Estonia | 1.58% | 1.61% | – | 1.65% | 1.67% | – |
| **Absolute poverty rate among children aged 0–17**<br>Source: Statistics Estonia | 2.7% | 1.3% | – | 3.2% | 3.1% | – |
| **Difference between average hourly wages of women and men, i.e. gender pay gap**<br>Source: Statistics Estonia | 15.6% | 14.9% | – | 18.9% | 18.5% | 5% |

**Table 6.** Implementation of the budget of the welfare performance area (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -4,240,434 | -4,566,157 | -4,770,321 | -4,629,469 | -5,551,782 | -5,631,680 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.3 Health

### Objective of the performance area

Average life expectancy and the average number of healthy years of life in Estonia are increasing and health inequalities are decreasing.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's people are smart, active and care about their health.

### Development plan of the area

Public Health Development Plan 2020–2030

### Programmes of the performance area

Health supportive environment programme

Healthy choices programme

Human-centred healthcare programme

### Area of government related to the performance area

Area of government of the Ministry of Social Affairs

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- The COVID-19 pandemic was brought under control. The **COVID-19 preparedness plan** for the 2022/2023 virus season was finalised, focusing on the objective of keeping the community open during the virus season and ensuring that children are able

to attend school throughout the school year. People were guaranteed the opportunity to receive the COVID-19 vaccine free of charge. On 1 May 2022, **vaccine insurance** came into force, allowing patients or their relatives to claim compensation for health damage following serious complications. From 2023, the organisation of free vaccinations and the storage of vaccines provided by the state to the population will be centralised in the Health Insurance Fund. The Health Board will continue to act as a centre of excellence for vaccination, including expert advice on vaccination, and will carry out surveillance.

- A number of legislative changes were adopted to ensure better access to health services, including **amendments to the Health Services Organisation Act**, which allowed young family physicians to start with a smaller practice list and extended the rights of nurses. The conditions of the beginner's allowance for doctors working outside Tallinn, Tartu and the surrounding municipalities were also made more flexible and the amount of the beginner's allowance was multiplied. From 1 July, the Health Insurance Fund (Tervisekassa) took over from the Health Board to provide general medical care. The **hospital network was** also **analysed and work started on a development plan for primary health care and an ambulance service**.
- To ensure the availability of a sufficient skilled workforce in the health system, a joint consensus agreement was reached in February **to increase the training capacity of nurses and other health professionals** and improve the quality of practice, which will increase enrolment in basic training for nurses to 700 students per year. It also increased the number of residencies and extended four residency programmes to ensure people receive high-quality specialist care.
- The *Riigikogu* approved amendments to the law that create the preconditions for **improving the availability and quality of psychological help**. From 1 October 2023, clinical psychologists will have the right to start providing health services as independent health care providers, and in this way the Health Insurance Fund will be able to enter into direct contracts (without the mediation of a therapy fund) with psychological care providers separate from general and specialised care. At the end of the year, **a Mental Health Action Plan 2023–2026** was prepared together with stakeholders.
- In cooperation with stakeholders, the policy document **"Estonian pharmaceutical policy until 2030"** was prepared, with the broad aim of ensuring the consistent availability and rational use of medicines to support the extension of healthy life expectancy and the improvement of patients' quality of life.
- A **National Disaster Medicine Plan** was launched, which will provide an overview of the health situation and preparedness to respond to a disaster and provide guidelines for dealing with mass casualties.
- At the beginning of 2022, in cooperation with the Health Insurance Fund, the Health Board and the Agency of Medicines, the development of health care services (including primary and secondary health checks, vaccinations, mental health services, etc.) for Ukrainian war refugees started. In order to integrate healthcare professionals from third countries, a training programme for Ukrainian nurses was set up in cooperation with Tallinn Health Care College. The shipment of medicines and medical supplies received through HERA (Health Emergency Preparedness and Response Authority) to Ukraine was organised in cooperation with the private sector, the Ministry of Foreign Affairs and the Ministry of Defence. Preparations were also started to bring the wounded of the Ukrainian war to Estonia for rehabilitation.
- In 2022, a **draft amendment to the Water Act, prepared for the transposition of the Drinking Water Directive**, was completed, aiming to reduce the risks to health and the environment associated with the supply of drinking water, optimise the costs of drinking water treatment and ensure safe drinking water for the whole population.
- An action plan to prevent and reduce nicotine use among young people was prepared in cooperation with various partners.

## Challenges

- In 2021, **both life expectancy and healthy life expectancy of Estonian people decreased**, which clearly illustrates the state of public health[23]. The decline in life expectancy in 2021 can be attributed mainly to excess mortality due to the COVID-19 virus, but also to an increase in deaths from other causes. The COVID-19 virus led to an increase in deaths among people aged 65 and older. A similar trend was seen in many European countries, but in Estonia the decrease in life expectancy was one of the largest[24]. Circulatory diseases, malignant tumours and coronary heart disease continued to be important causes of death. However, in 2021, significantly more people died from respiratory diseases compared to the previous year.
- **Crisis preparedness**, which includes ensuring the continuity of the health system (including mitigating the risks of disruption to health services in the event of, for example, power and communication outages or disruptions to information systems, and ensuring that vital service providers provide essential assistance in an emergency), developing disaster medicine and protecting the population. It is important to strengthen the capacity of the Ministry of Social Affairs to coordinate mental health and psychosocial support and to organise support for people affected by the crisis.
- **Ensuring the sustainability of the health system**, which needs additional resources and a review of funding policies. In 2025, the Health Insurance Fund is projected to have a budget deficit of 167.3 million euros, and without additional funding, the deficit will start to grow rapidly year by year. Today's funding model for health insurance does not guarantee sufficient access to care.

[23] The level of health indicators for 2022 will be revealed in June 2023.
[24] Health at a Glance: Europe 2022, https://www.oecd-ilibrary.org/social-issues-migration-health/health-at-a-glance-europe-2022_507433b0-en

- **Providing health professionals** to alleviate the shortage of healthcare specialists and to ensure training of the next generation.
- **Integration and coordinated provision of health services and social services** in cooperation with local governments (including implementation of the principle of a single place of business and improvement of data exchange).
- The crises of recent years have **led to an increase in mental health problems among both adults and children**. The 2020–2022 Survey on Mental Health of the Population shows that one in five people in Estonia are at risk of an anxiety disorder and more than 28 percent are at risk of depression, and these risks have increased compared to the pre-pandemic period. The most common diagnoses of mental disorders in people are depression and anxiety disorders.
- High levels of human stress are also reflected in health behaviour. In 2021, **alcohol consumption** and the resulting mortality **increased in Estonia**. In 2021, people aged 15 and over consumed an average of 11.1 litres of absolute alcohol per person, 2.3 percent more than a year earlier. The **widespread use of alternative tobacco and nicotine products among young people is a matter of concern**; e-cigarette use among young girls has increased in recent years. Rising obesity rates across the population are also a problem. **Overweight and obesity increase the risk of cardiovascular disease, diabetes and certain forms of cancer**, but can also cause or aggravate mental health problems. According to the 2022 Survey on Health Behaviour among School-aged Children in Estonia, **one in five young people will be overweight**. To do this, **it is necessary to make healthy choices easily available to people and the living environment more supportive of health**, as well as to raise health awareness. It is important to place more emphasis on **preventive activities to support public health and to adopt a new Public Health Act** to clarify roles and principles and modernise requirements in the field of disease prevention and health protection.

Detailed information on the implementation of the performance area can be found at the following link: Development plans and work plans | Ministry of Social Affairs (sm.ee)

**Table 7.** Target levels of metrics in the health performance area and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022[25] | Target level in 2021 | Target level in 2022 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Life expectancy (men)** Source: Statistics Estonia | 74.4 | 72.8 | – | 75.4 | 75.7 | – |
| **Life expectancy (women)** Source: Statistics Estonia | 82.8 | 81.4 | – | 83.1 | 83.2 | – |
| **Health life expectancy (men)** Source: Statistics Estonia | 55.5 | 54.9 | – | 56.3 | 57.0 | 63.0 |
| **Health life expectancy (women)** Source: Statistics Estonia | 59.5 | 58.0 | – | 59.1 | 59.6 | 64.5 |

**Table 8.** Implementation of the budget of the health performance area (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -2,125,722 | -2,150,602 | -2,222,835 | -2,209,233 | -2,364,294 | -2,375,560 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

[25] The 2022 level of health indicators will be available in June 2023.

## 1.2.4 Educated and active population

### Objective of the performance area

Estonian people have the knowledge, skills and attitudes that allow self-actualisation in society, personal life and work life and support promoting life in Estonia and the global sustainable development

A wide range of opportunities for development, sense of security and strong support create the Estonia that young people want to promote

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's people are smart, active and care about their health.

### Development plans of the area

Education Development Plan 2021–2035

Youth Development Plan 2021–2035

### Programme of the performance area

Education and youth programme

### Area of government related to the performance area

Area of government of the Ministry of Education and Research

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- In 2022, the government decided to switch to Estonian-language education and prepared an action plan for the transition. The action plan aims to ensure that all pupils receive quality education in Estonian from primary education to entry to higher education. Implementation of the action plan started as soon as it was adopted.
- Despite the difficulties posed by the pandemic, schools were kept running thanks to rapid testing, support for the recruitment of auxiliary and substitute teachers, and support for staff mental health. Support was given to help pupils catch up. Schools have pointed out that the pandemic increased holding together the school community in many places, accelerated the acquisition of new skills (especially digital skills) and the wider use of digital technologies in teaching. In the wake of the pandemic, schools have introduced new forms of learning (e.g. outdoor lessons, experts in the classroom, project lessons, creative lessons) and updated curricula. Many schools praised their pupils and teachers, and were pleased to see that despite everything, the pupils' motivation to learn has not waned.
- In order to support students who are refugees from the war in Ukraine, the Vabaduse Kool (School of Liberty) was established at the Tallinn Tõnismäe State Secondary School; in addition, legal school keepers were supported in opening school places across Estonia. In cooperation with the municipalities, the provision of recreational education and youth work activities was ensured, support was provided for the deployment of assistant teachers, Ukrainian teaching materials were made available and the necessary materials for the teaching of the Estonian language were provided, additional study places for Ukrainian students in higher education were financed and the possibilities of the Erasmus+ programme were expanded. In addition, the skills of Ukrainian health care professionals on the Estonian labour market were certified, mental health support for refugees was addressed, Estonian teachers were advised and supported, integration camps were organised to help Ukrainian youth to settle in more smoothly, etc.
- In general education, the national curricula were updated. The updated curricula give teachers more freedom in the way they teach and offer more optional courses in upper secondary schools to tailor teaching to pupils' needs and interests. The innovations will also help to ensure that generic competences are systematically developed. In addition, the number of lessons of Estonian as a second language will increase. Two new state secondary schools were opened in Rakvere and Saue, as well as the Tallinn School of Music and Ballet. There is a clearer focus on the development of quality management in general education, including the implementation of development programmes for schools with the support of the University of Tartu and Tallinn University. Increasingly, the services of support specialists recommended by the out-of-school counselling team are being implemented and the proportion of pupils receiving enhanced and special support in mainstream classes is increasing.
- In vocational education and training, the modernisation of the vocational education and training legislation and the renewal of the national curricula were initiated, and a reform of the vocational system was agreed. The focus is on taking employers into account as a party to the vocational education system, the direction towards openness of the vocational education system and the recognition of different learning pathways. The aim is to regulate issues of a less and more fundamental nature in order to give participants in vocational education more freedom and responsibility, to support legally the preservation of existing strengths in the field of vocational education and to address weaknesses. In order to increase the consistency of education and the labour market, the conditions for granting support for the reform of the vocational system (with the support of the European Social Fund) and the conditions for granting support for the digital and green transition of enterprises (with the support of the Recovery and Resilience Facility) have been approved. The new OSKA (monitoring and forecasting system for the need for labour and skills) general forecast and the latest sectoral surveys (social work, ICT, forestry, agriculture, food) are ready.
- In higher education, the number of graduates with a nominal period of study has improved and the number of doctoral degree defences has increased. A reform of doctoral studies was implemented, including the introduction of a junior researcher's salary. An increase of 15 percent in the operating subsidies for universities each year was agreed and management contracts were signed with universities. The

conditions of state-guaranteed student loans were made more flexible and favourable for students.

- In the area of adult learning, participation in lifelong learning of people with low levels of education has increased. The merger of adult upper secondary schools with vocational schools has progressed according to preliminary information: in six of the merged schools, the number of non-stationary general education students is stable after the merger. Participation in continuing training has been stable; the number of training institutions has increased. Amendments to the Adult Education Act have been prepared to introduce micro-qualifications and to assess the quality of continuing training.
- In the area of teachers, a national agreement was reached to increase salaries and to increase admissions to teacher training at universities (287 additional places for the University of Tartu and 155 for Tallinn University). The main content of the Teachers' Academy programme (microdegrees, master teacher programme) was also agreed; the focus of the national programme for research and development in education (ensuring the next generation of teachers) was defined.
- In the youth field, the proportion of local government authorities that have completed a quality assessment of youth work has increased. The number of young people's own-initiative projects is recovering after the pandemic, youth participation is diversifying and participation in organised voluntary activities is increasing. The percentage of young people studying at hobby schools has also increased.

## Challenges

- The move to teaching in Estonian will exacerbate the problem of teacher supply, as the change in qualification requirements for teachers' language skills will further increase the teacher shortage. In addition, the transition will have a wider impact on education (e.g. performance, satisfaction, special needs, drop-outs, further learning, etc.).
- In terms of the teaching workforce, the lack of succession is a cause for concern – the average age of teachers is rising and there are fewer and fewer qualified teachers in schools. The reception of subject and class teachers has not increased, contrary to expectations, and 62 percent of those who have entered teacher training reach graduation. Nearly a tenth of the teaching staff do not have the required language skills (around 2,200 people), which complicates the transition to Estonian-language education.
- Support for Ukrainian refugees in the Estonian education system is complicated by the fact that at the same time Russian-language schools are switching to Estonian-language education. Refugees are unevenly distributed across counties, and thus the support offered and the need for support vary. Reaching Ukrainian minors into the education system continues to be a problem, with a large number of them not enrolled in education because they hope to return home soon. Teaching war refugees is complicated by language barriers and bilingual classrooms, differences in curricula between Estonia and Ukraine, and the need for remedial teaching of Ukrainian students. Many of the refugees are still studying in Ukrainian distance education (a form of distance learning in Ukrainian schools).
- The drop-out rate in general and vocational education has increased. In general education, the drop-out rate has increased in primary school (boys) and in the first year of upper secondary school. Pupil satisfaction indicators have deteriorated, and there are concerns about the prevalence of bullying in II and III school stages. The percentage of students who have passed at least B1 level in the final exam of Estonian as a second language in basic school remains low. The share of drop-outs and drop-outs in vocational education has also increased again.
- Access to higher education is uneven and the student loan and grant system needs to be modernised. In higher education, the drop-out rate at level I and the gender gap in higher education attainment remain areas of concern. The current system of grants and loans does not provide equal access for students from economically disadvantaged families and rural areas.
- In adult education, participation in lifelong learning is low among men and non-Estonians, and the share of men with professional education is significantly lower than for women (69 percent for men, 80 percent for women). Although the number of adults with low level of education is decreasing, it remains worryingly high. In the case of upper secondary schools for adults, there is a concern that these educational institutions are at times becoming alternative educational paths for young people in addition to the usual full-time form of study. The economic situation has already had a major impact on adult learning in many areas. In 2022, there was not yet a large increase in training prices, but it is very likely that this will be felt in 2023. It is not known what the actual unit prices for training will be and how the price increase will affect the supply of and participation in training.
- The objectives of the compliance of education and the labour market were not achieved primarily because general employment in Estonia has not yet reached the level before the coronavirus pandemic. The employment of graduates has increased but has not yet reached the level of the pre-corona years. In 2021, 75.2 percent of 20-34 year-old graduates from vocational and professional education were employed one year after graduation and 73.9 percent five years after graduation. While women are more employed than men immediately after graduation (78 percent v 72 percent), five years after graduation men are more employed than women (77 percent v 71 percent).
- In the youth field, there are still an alarming number of NEET-youth[26] and the wages of employees are not competitive. The percentage of NEET-youth has decreased but remains high (nearly 21,300 young people in total). The working conditions of the employees in the field of youth are not motivating, among other things, wages are a problem. The average remuneration of a hobby education and hobby supervisor working in a local government was 1,190 euros in 2022, and the youth worker even lower, 919 euros (compared to the average gross monthly wages of 1,685 euros in Estonia). There are few hobby

[26] *Not in Education, Employment or Training*.

groups/hobby students in the field of natural and exact sciences in hobby education and hobby activities. The proportion of local authorities with active youth councils has decreased.

Detailed information on the implementation of the performance area can be found at: https://www.hm.ee/ministeerium-uudised-ja-kontakt/ministeerium/strateegilised-alusdokumendid-ja-programmid.

**Table 9.** Target levels of metrics in the performance area of educated and active population and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Proportion of people aged 18–24 with low level of education not in education or training (total)**<br>Source: Eurostat | 8.5% | 9.8% | 10.8% | 9.7% | 9.6% | – |
| **Proportion of people aged 18–24 with low level of education not in education or training (men)**<br>Source: Eurostat | 10.7% | 12.0% | 14.3% | 12.5% | 12.5% | – |
| **Proportion of people aged 18–24 with low level of education not in education or training (women)**<br>Source: Eurostat | 6.3% | 7.6% | 7.5% | 6.8% | 6.7% | – |
| **Proportion of adults (aged 25–64) with professional and vocational education**<br>Source: Statistics Estonia | 74.1% | 73.5% | 74.7% | 74.0% | 74.5% | 80.0% |
| **Adult participation rate in lifelong learning in formal and non-formal education**<br>Source: Eurostat, Statistics Estonia | 17.1 | 18.4 | 21.1 | > 20 | > 20 | 25 |
| **Adult participation rate in lifelong learning in non-formal education**[27]<br>Source: Statistics Estonia | – | 59.6 | 62.6 | – | Target levels will be set in 2023. | – |
| **Proportion of those employed in smart specialisation growth areas one year after graduation of all employed**<br>Source: Survey Success in the Labour Market | 12.9% | 27.3%[28] | Data will be published in IV quarter | 13.0% | 14.0% | – |
| **Proportion of students with advanced skills**[29]**: functional reading skills**<br>Source: PISA Survey | – | – | Data will be published in 2023 | 15.4% | – | – |
| **Proportion of students with advanced skills: mathematical literacy**<br>Source: PISA Survey | – | – | Data will be published in 2023 | 17.0% | – | – |
| **Proportion of students with advanced skills: natural science literacy**<br>Source: PISA Survey | – | – | Data will be published in 2023 | 13.7% | – | – |
| **Average wages of teachers compared to average wages in Estonia (%), kindergarten teachers**<br>Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia | 85% | 81% | 81% | Maintain a relationship with the average wage | Maintain a relationship with the average wage | – |

[27] Target levels will be set in 2023.
[28] In 2022, the methodology for calculating the indicator was changed due to a change in the list of smart specialisation growth areas. The target levels for the indicator are unchanged in the table and result from the programme in force in 2022.
[29] Achieved level 5–6 according to PISA Survey.

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Average wages of teachers compared to average wages in Estonia, teachers of general education school**<br>Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia | 112% | 106% | 105% | Maintain a relationship with the average wage | 111% | – |
| **Average wages of teachers compared to average wages in Estonia, vocational training teachers**<br>Source: Balance sheet, EHIS (Estonian Education Information System), Statistics Estonia | 110% | 103% | 102% | Maintain a relationship with the average wage | 111% | – |
| **Young people's trust in the state**<br>Source: International Civic and Citizenship Education Study ICCS | – | – | Data will be published in 2023 | 60% | – | – |

**Table 10.** Implementation of the budget of the performance area of educated and active population (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -528,020 | -565,626 | -761,664 | -616,297 | -766,251 | -812,178 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.5 Estonian language and identity

### Objective of the performance area

Ensure the functioning of the Estonian language as an official language in all areas of life, teaching, research, development and protection of the Estonian language and thus preservation of the Estonian language through the ages

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's people are smart, active and care about their health.

Estonia's society is caring, cooperative and open-minded.

### Development plan of the area

Estonian Language Development Plan 2021–2035

### Programmes of the performance area

Language programme

### Area of government related to the performance area

Area of government of the Ministry of Education and Research

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- In 2022, the government decided to transition to Estonian-language education and completed the action plan for the transition to Estonian-language education, which aims to ensure quality Estonian-language education for all students, from primary education to entry into higher education. Implementation of the action plan started as soon as it was adopted. The activities of the language programme will support the transition to teaching in Estonian, inter alia through activities aimed at promoting language skills among educators. The activities of the language programme support the learning of Estonian as a national language for adults in a broader sense, including the further development of e-courses that support independent Estonian language learning, so that learners can continue to use them to develop their language skills, including with the support of a teacher and the addition of a base language (Ukrainian).
- In cooperation with higher education institutions, an analysis was carried out and proposals were developed for the development of the Estonian language of research and higher education, including the language of proficiency. As a result, agreements were signed with higher education institutions to develop sustainability and quality of higher Estonian-language education, and language of research and

terminology in Estonian. 2022 was the second year of operation of the Language Technology Competence Centre of the Estonian Language Institute, after which it can be said that the Centre is very necessary for coordination of the field. In the context of rapid development of artificial intelligence (e.g. ChatGPT) and its direct interface with language, the Centre's experts have been continuously advising professionals and explaining these issues to the public. The Centre contributed to the following fields: monitoring and cooperation in the field of language technologies; collection, processing and re-use of language datasets; coordination of development work; coordination of the national language technology programme; language technologies in language learning; and outreach in the field of language technologies.

- The Ministry of Education and Research submitted to the government an amendment to the Language Act and the Public Transport Act, the aim of which was to bring language law into line with today's needs, to improve the visibility of Estonian in public space and to develop a positive attitude towards Estonian language among Estonians and non-Estonians alike. As there was no consensus in the coalition on this issue, the draft did not reach the government session.

## Challenges

- Considering the transition to Estonian-language learning, it is important to support the knowledge of the national language of educators. There are around 2,500 educators in Estonia who need Estonian language training in order to bring their language skills up to the level required. A significant proportion of the target group will need to move from B2 to C1 level during the transition period.
- There is a shortage of language teachers in the field of adult education of Estonian as a national language, especially at primary level. More broadly, the development of adult education of Estonian as a national language requires more effective information exchange between different institutions and the design and harmonisation of services. In order to meet the challenge, a project was launched in 2022 to create an e-environment for adult Estonian language learning services.
- A major challenge is to introduce Estonian language technology tools in as many public sector services and information systems as possible, which will ultimately ensure the vitality of the Estonian language in a digital society. Secondly, full linguistic support should be achieved. By international standards, Estonian has the basic components needed for language processing, but several key components are missing: essential text analysis tools such as a text summarizer, a text simplifier, an indecent expression (hate speech) detector, a fake news detector, semantic tools, dialogue models and the like.
- Attitude-building, fostering cooperation between (language) teachers and introducing modern methodologies in language learning and assessment are essential to promote multilingualism. The decision to extend the options for foreign language learning (when choosing a B-language) has led to the need to support schools in offering options, including the acquisition of B-language teaching materials and the popularisation of language learning. Continuing to promote the learning and proficiency of other languages alongside English is essential to the fulfilment of the objectives of the development plan and the language programme.

Detailed information on the implementation of the performance area can be found at: https://www.hm.ee/ministeerium-uudised-ja-kontakt/ministeerium/strateegilised-alusdokumendid-ja-programmid.

**Table 11.** Target levels of metrics in the performance area of Estonian language and identity and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Functional reading skills in Estonian among Estonian residents aged 16–65**<br>Source: PIAAC survey | – | To be specified on the basis of the results of the PIAAC survey | The survey will be carried out from 2022–2023 | – | – | – |
| **Proportion of people using Estonian in the population**[30]<br>Source: Estonian labour force survey (Statistics Estonia) | – | 91 | 91.2 | – | – | > 91 |
| **Self-assessed foreign language proficiency of Estonian residents**<br>Source: Statistics Estonia, Estonian labour force survey | – | – | Measured by the Estonian labour force survey | Target level to be specified in 2023 | – | – |

[30] Information on the self-assessed proficiency in Estonian of people with another mother tongue or native language is collected through the Estonian labour force survey conducted by Statistics Estonia. The metric is included in the country's long-term strategy "Estonia 2035".

**Table 12.** Implementation of the budget of the performance area of Estonian language and identity (in thousands of euros)

| | Imple-men-tation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Imple-men-tation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -5,907 | -5,874 | -7,050 | -6,158 | -10,518 | -10,407 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.6 Environment

### Objective of the performance area

Estonian people are ensured a clean and diverse living environment, and the attitude towards nature is responsible

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants

### Development plan of the area

Estonian Environmental Strategy until 2030

### Programme of the performance area

Programme for environmental protection and exploitation

### Area of government related to the performance area

Area of government of the Ministry of Environment

#### OVERVIEW OF THE PERFORMANCE AREA

**Positive developments**

- In 2022, the renewal of the document "Climate Policy Guidelines until 2050" was started, and the *Riigikogu* approved the amendments in February 2023. Estonia's long-term goal is to balance greenhouse gas emissions and sequestration by 2050 at the latest, i.e. to reduce net greenhouse gas emissions to zero by then.
- **Resource productivity** increased in 2021 compared to 2020 (2021 level of 0.7 euros per kg), driven by investments supported by the resource efficiency measure. Whether or not the 2022 target was achieved will be revealed in early 2024.
- Protection of water is also under attention. According to the 2021 assessments of the condition of water bodies, **52 percent of bodies of surface water and 74 percent of bodies of groundwater** are in a good condition. Water management plans to achieve the good condition of Estonian waters by 2027 were approved in 2022. The reduction of pollution and the implementation of measures to improve water status are hampered by a lack of resources: both people and money for studies, research and development, and investment. By the end of 2022, a major four-year project to clean up residual pollution in the Purtse river basin was completed. The project involved cleaning of 12.6 kilometres of old riverbed and construction of 7.5 kilometres of new riverbed, which reduced negative environmental impacts in the area and created a habitat-friendly and safe environment for local people. Reducing water pollution, preserving biodiversity and improving the status of species is also one of the objectives of the Estonia 2035 strategy.
- The key to achieving results in the environment lies in citizens who are aware and who also consciously change their behaviour – our goal is to make sure that everyone's attitudes and behaviour are based on environmental sustainability. Compared to previous years, it can be said that overall **environmental awareness** has increased (the environmental awareness index was 41.6 percent), attitudes and behaviour have improved, but interest in environmental issues has been overshadowed by the aggression in Ukraine.
- The 2030 Environment Development Plan is being prepared, in the framework of which strategic objectives and activities will be agreed in the medium term. At the beginning of 2023, the Government of the Republic approved a new forestry development plan and submitted it to the *Riigikogu* for approval, but the *Riigikogu* did not adopt the development plan.
- A process has been launched to modernise state fees and environmental charges to implement the "polluter pays" principle.

**Challenges**

- The continuing challenge for the environmental performance area is to find a balance between achieving the goals of environmental protection and environmental use, so that economic growth in Estonia stays within the environment's limits. **The environment is a human right,** and so there is an increasing need globally and within the European Union to respond to the long-term environmental and climate challenges – the accelerating green transition, sustainable use of resources, conservation of ecosystems, climate change and adaptation.
- One of the metrics of the performance area is the sum of total greenhouse gas emissions. **According to the data of the Estonian greenhouse gas inventory**[31] **for 2021, the total greenhouse gas emissions totalled 15.6 million tonnes of $CO_2$ equivalent.** In 2021, emissions increased compared to 2020, due to

[31] Estonian greenhouse gas inventory published in 2022 (https://envir.ee/kliima/kliima/rahvusvaheline-aruandlus)

an increase in the volume of oil shale extraction and electricity production from oil shale, and an increase in emissions from land use and forestry. In 2020, total emissions were lower than expected due to the pandemic. Compared to 1990, Estonia's total greenhouse gas emissions have decreased approximately by 68.5 percent. Including the land use, land use change and forestry[32] sectors, the total emissions decrease is nearly 57.3 percent. In 2022, $CO_2$ emissions from manufacturing and energy companies increased by an additional 23% (1.6 million tonnes), mainly due to an increase in oil shale electricity production, which means that Estonia's total greenhouse gas emissions are expected to increase in 2022 as well. Existing policies and measures are clearly inadequate to meet the objectives of the various climate policy instruments and to achieve the country's long-term climate objectives. It is therefore necessary to implement further measures in all sectors. The Ministry of the Environment is assessing the impact and the scale of the additional measures needed to reduce greenhouse gas emissions and increase their sequestration and enable the country to meet its liabilities. A process is also underway to develop a climate law, which aims, among other things, to review the legal framework for meeting Estonia's 2030 climate targets and achieving climate neutrality by 2050, and to set out the key principles needed to enforce these targets.

- The focus of the coming years will continue to be on the waste sector and its reform. In the coming years, it is important to reorganise waste management efficiently and innovatively, as a number of new obligations are being implemented on new types of waste. Material recycling must be ensured and mandatory targets for municipal waste and other types of waste must be achieved.
- Waste generation has turned into an increasing trend and presumably (waste statistics for 2022 are being collected and will be available at the beginning of 2024), the 2022 **waste generation reduction target (2021 level: 4,657 kg per capita per year v planned 3,530 kg per capita per year)** was not achieved. This is partly due to an increase in certain types of waste (e.g. construction and demolition waste, soil and industrial waste), but on the other hand, the waste reduction measures implemented so far have not yet had their full impact. Various measures (including awareness-raising campaigns and incentives for separate collection, advice to local authorities, drafting of guidance material, support measures), updated legislation, while raising awareness and changing habits are also important to achieve the waste reduction target. In addition, a new National Waste Plan will be completed in 2023 as part of a strategic vision and action plan for the circular economy, forming a systemic whole in the transition to a circular economy.
- The priority of the Ministry of the Environment is to make society aware of the environmental and climate challenges and to be a partner to stakeholders and other governmental authorities in designing policies in its field. In the coming years, Estonia's main challenge will be the need to find the right way for us to achieve our green transition goals. We will tackle this by working closely with other sectors, ministries, stakeholders and partners. Together, we need to tackle the substantive issues, develop financial mechanisms and support and deploy new technologies to boost the green transition and digital transformation. No one sector alone can be responsible for meeting the targets agreed in the framework of the "Estonia 2035" strategy. To successfully implement the green transition, the Green Transition Action Plan 2023-2025 was prepared under the leadership of the Government Office.
- There will also be thorough preparations for the launch and implementation of the new period of foreign aid, and efforts will be made to find alternative and new sources of funding for the so-called classic environmental actions such as water, marine and biodiversity protection. The devastating effects of biodiversity loss on nature, human health and the economy are increasingly being felt in society. There is an increased focus on ensuring that biodiversity conservation is a central principle in all policy areas, with an increasing emphasis on the application of the principle of "no significant harm", but of course there is also a daily focus on one of the core functions of government – biodiversity conservation and practical restoration work and support. **One of the performance area metrics is in favourable condition: the proportion of Habitats Directive habitat types is 57 percent (measured every six years), which is at the desired target level.**
- One of the challenges of the last couple of years has been keeping experts and skilled professionals in the field. Many underfunded areas are in need of empowerment, and in connection with the processes of green transition in the state, expectations for services in the area of government of the Ministry of Environment (permit procedures, impact assessment, various approvals, etc.) are increasing.

Detailed information on the implementation of the performance area can be found at: https://envir.ee/ministeerium-kontakt-uudised/ministeeriumi-tut-vustus/tegevuspohine-eelarve

**Table 13.** Target levels of metrics in the performance area of environment and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Proportion of habitat types included in the Habitats Directive in favourable condition**<br><br>Source: Ministry of the Environment | 57% | 57% | 57% | ≥ 57% | ≥ 57% | – |

[32] LULUCF – *Land Use, Land Use Change and Forestry*.

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Environmental awareness index**<br>Source: Ministry of the Environment | 47 | – | 41.6[33] | 52 | – | – |
| **Total emissions of greenhouse gases**<br>Source: Ministry of the Environment | 2.8 million t $CO_2$ eq | 5.6 million t $CO_2$ eq | – | 3.3 million t $CO_2$ eq | 2.7 million t $CO_2$ eq | 8 million t $CO_2$ eq |
| **Proportion of water bodies in good condition**<br>Source: Ministry of the Environment | 53 | 52 | – | 81 | 54 | – |
| **Waste generation (excluding oil shale industry)**<br>Source: Ministry of the Environment | 4,151 kg/person | 4,657 kg/person | – | 3,530 kg/person | 3,460 kg/person | – |
| **Resource productivity: ratio of GDP to domestic raw material use**<br>Source: Eurostat | 0.63 €/kg | 0.7 €/kg | – | 0.67 €/kg | 0.68 €/kg | 0.9 €/kg |

**Table 14.** Implementation of the budget of the performance area of environment (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -154,424 | -165,201 | -350,567 | -121,813 | -191,128 | -157,554 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.7 Research and development and entrepreneurship

### Objective of the performance area

Estonia's research, development, innovation and entrepreneurship work together to increase the well-being of Estonian society and the productivity of the economy, providing competitive and sustainable solutions to the development needs of Estonia and the world.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's economy is strong, innovative and responsible.

### Development plan of the area

Research and Development, Innovation and Entrepreneurship Development Plan 2021–2035

### Programmes of the performance area

Scientific System Programme

Knowledge Transfer Programme

Entrepreneurial Environment Programme

Construction programme

### Areas of government related to the performance area

Area of government of the Ministry of Education and Research

Area of government of the Ministry of Economic Affairs and Communications

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- Estonia has set a strategic goal of increasing the state budget funding for research and development and innovation to one per cent of GDP; in 2022, the field was financed with **323.7 million euros**.
- In 2022, as a result of a large-scale engagement process, roadmaps were approved for four **focus areas of research and development, innovation and entrepreneurship – digital solutions in every field of life, health technologies and services, the valuation of local resources, smart and sustainable energy solutions.**
- **In the area of research grants, there has been a shift to panel evaluation,** where proposals are assessed by sectoral expert panels. Also, the fluctuation between years in the budget of calls for application for funding the research grants has been reduced in order to keep the volume of calls for application at similar level each year .
- **The reform of doctoral studies** started to be implemented, which guarantees doctoral students a junior

[33] Change in methodology.

researcher position, and a scheme for the support of doctoral research in knowledge transfer was prepared, which allows doctoral research to be carried out in cooperation with a company or other non-university institution. It will help to prepare top professionals and research and development staff for the private and public sectors, and to promote cooperation between universities, businesses, the public sector and other institutions.

- **A thorough updating of the Organisation of Research and Development Act** continued, in the course of which solutions were sought for the needs for changing the research and development system, including the organisation of financing instruments in order to support the achievement of the objectives set out in the research and development, innovation and business development plan.
- Estonia's nominal labour productivity has grown rapidly in recent years. In 2021, Estonia's labour productivity was 86.6 percent of the European average, the highest in history, and ranked 15th among European countries and first among the Baltic countries.
- In 2022, the interest and cooperation of research institutions with enterprises as well as the interest of enterprises towards research and development has increased, but it will still take time for a structural shift to take place. **Activities and measures to support knowledge and technology transfer and cooperation will continue**, with various support measures under preparation with the support of EU Structural Funds.
- In order to increase the technological and knowledge intensity of Estonian companies, the implementation of the **programme for applied research** was continued and based on the needs of companies, an institutional model for an applied research centre was developed, that will start its activities in 2023.
- The measure for investment grants of the Just Transition Fund was launched, within which **the magnet manufacturing plant** together with a research and development centre **to be built in Narva** by Neo Performance Materials was supported in 2022.
- The Estonian Recovery Plan launched support measures to help **Estonian enterprises implement digital and green transition**.
- Estonia has decided to join the NATO DIANA[34] accelerator and the **NATO Innovation Fund** to develop deep technologies for civil and defence purposes.
- Loan guarantee instruments for enterprises were developed and launched, and a support measure for the security of supply for entrepreneurs to alleviate the energy crisis, was developed to be launched in 2023.
- A **national market surveillance strategy** was developed to ensure a consistent and comprehensive approach to the safety of products on the market.
- A mechanism for **background checks on foreign investment** was developed to ensure the continuity of strategic sectors for the Estonian state.
- A baseline study on the holistic approach to the quality of the living environment is underway to initiate the preparation of **a living environment development plan**.
- **The new procedural environment of the national register of construction works** has helped to shorten the procedure times for building and use permits (by more than 25 percent) and to harmonise procedural processes across Estonia.
- **In order to support the digitalisation of the construction sector,** the first round of the financing programme "E-leap in construction" has been conducted, which supports 62 projects with a total value of 2.6 million euros.
- A methodology, database and calculator for calculating the **carbon footprint** of buildings was completed.
- The LIFE IP BuildEst research and development programme for building renovation was launched.

## Challenges

- The focus of the activities is on the main challenge in the field of research and development, innovation and entrepreneurship – **research institutions and businesses lack the motivation and ability to cooperate and the results of the research do not find sufficient application in Estonian society.** There needs to be a much greater focus on applied research by enterprises.
- In order **to achieve the objectives set out in the** Research and Development, Innovation and Entrepreneurship **Development Plan 2021–2035, Estonia needs several times more scientists and engineers** than we have today, especially outside the academic sphere. For this reason, special attention must be paid to the growth of researchers and engineers and to the attractiveness of academic careers, in order to provide competence for hiring of research and development personnel and engineers in enterprises as well.
- Ensuring the basic capacities of the research system and the **stability and consistency of the research and development environment (including funding)** is a *conditio sine qua non* for achieving the societal and economic applications of scientific breakthroughs and contributing to solving societal challenges. In this context, it is necessary to ensure the sustainability of the results achieved with the support of the Structural Funds, for which state-funded support schemes for centres of excellence and research infrastructures were prepared in 2022.
- In the European Innovation Scoreboard, Estonia remained a moderate innovator, with high scores in the areas of human resources, cooperation and research systems, but weakest in the area of environmental sustainability, where environmental technologies have seen the biggest decline since 2015.
- **Investment** in research and development by Estonian enterprises **remains low**.
- The **public procurement market** is **insufficiently open** to innovative companies and products/services. As a result, both public services and the competitiveness of enterprises suffer, as public procurement accounts for a significant share of the total market – between 10 and 12 percent of gross domestic

[34] NATO's Defence Innovation Accelerator for the North Atlantic

product (GDP), depending on the year, or around three billion euros a year.

- Estonia's **capacity to support** the **strategic investments** needed for economic growth and competitiveness is **low**. In order to increase business investment in large-scale projects and green investment and to facilitate the conclusion of large-scale export deals, it is important to strengthen the capacity of the Estonian Business and Innovation Agency to provide financial instruments.
- The **volumes of exports, investments and tourism** must be increased by **promoting the foreign economy and supporting exporting Estonian entrepreneurs**.
- In order to grow **business tourism as a high value-added service sector**, Estonia needs a multifunctional and large-capacity conference and exhibition centre. To attract foreign investment and support exports, frequent strategic flight connections to business centres and hubs need to be established.
- The administrative burden on entrepreneurs must be reduced, the principle of one-off data collection must be enforced through data standardisation and re-use. It is also necessary to consolidate public services aimed at enterprises in the eesti.ee digital portal and to create proactive or event-based solutions.
- In order to meet the objectives of **the long-term strategy for the renovation of buildings**, the means must be provided to allow renovation to take place at an evenly spread and steadily increasing pace, allowing the construction market and owners to adapt. Compliance with the principles of the new European Bauhaus and adaptation in Estonia is also a condition for the use of external instruments concerning the development of the living environment, including infrastructure.
- **In the construction field**, **the introduction of circular economy principles** and the adoption of a methodology for calculating the carbon footprint of buildings is needed.
- Based on the need to improve the environment, resource efficiency and quality of the living environment, it is necessary to create a comprehensive view of the development of the living environment at the state level – **a development plan and an executive agency to coordinate spatial development in the country**.

Detailed information on the implementation of the performance area can be found at: https://www.mkm.ee/ministeerium-uudised-ja-kontakt/strateegiline-juhtimine/tegevuspohine-riigieelarve

**Table 15.** Target levels of metrics in the performance area of research and development and entrepreneurship and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Funding for research and development planned in the state budget as a proportion of GDP**<br>Source: explanatory memorandum to the state budget for the respective year | 0.75 | 1% | 1% | ≥ 1% | ≥ 1% | – |
| **Proportion of private sector research and development expenditure of GDP**[35]<br>Source: Statistics Estonia | 0.96% | 0.98% | –[36] | 1% | 1.1% | 2% |
| **Nominal labour productivity of EU-27 average**<br>Source: Eurostat | 81.0% | 86.6% | 82.5%[37] | 86.0% | 88.0% | 110% |
| **Ranking in the European Innovation Scoreboard (place in scoring group)**<br>Source: The European Commission | Strong innovator | Strong innovator | Moderate innovator | Strong innovator | Strong innovator | – |

**Table 16.** Implementation of the budget of the performance area of research and development and entrepreneurship (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -394,393 | -528,857 | -488,723 | -378,872 | -646,303 | -600,711 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

[35] According to the Research and Development, Innovation and Entrepreneurship Methodology, the proportion of business sector research and development expenditure is measured (BERD, Statistical Office, Table TD052).
[36] The data have not yet been published.
[37] Preliminary result.

## 1.2.8 Agriculture and fishery

### Objective of the performance area

Consumers prefer Estonian food, the living environment is maintained, food sector companies are successful, and the vitality of rural and coastal communities is growing

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's economy is strong, innovative and responsible.

### Development plan of the area

Estonian Agriculture and Fisheries Development Plan until 2030

### Programmes in the performance area

Agriculture, food and rural affairs

Fisheries

### Areas of government related to the performance area

Area of government of the Ministry of Rural Affairs

Area of government of the Ministry of Environment

#### OVERVIEW OF THE PERFORMANCE AREA

**Positive developments**

- The coronavirus pandemic and the alarming security situation in Europe, including the spread of animal diseases and international trade restrictions, **have brought increased attention to food security and the vulnerability of international supply chains**. On the proposal of the Ministry of Rural Affairs, food supply security as a vital service has been included in the draft Civil Crisis and National Defence Act.
- In 2022, businesses had to adapt to the direct and indirect impact of Russia's full-scale war against Ukraine that started on 24 February. **Russia's aggression in Ukraine significantly increased the price of energy and other inputs in food production,** including the production of fishing and aquaculture products and the processing of fishery products, which is why support measures from the European Maritime and Fisheries Fund were developed in 2022 to compensate for the increased fuel price for fishing operators and to compensate for the increased electricity price for aquaculture and processing fishery products.
- **A total of about 348 million euros was paid to agriculture, the food industry and rural development under the Common Agricultural Policy in 2022.**
- **The Common Agricultural Policy (CAP) Strategic Plan 2023–2027 was endorsed by the European Commission on 11 November 2022.** 54 interventions have been developed in the Strategy Plan for grants. On 9 November 2022, the Law on the Implementation of the Common Agricultural Policy of the European Union was also adopted, which lays down the bases and procedures for the implementation of CAP measures (direct payments, market management measures, transitional national support, rural development support and others), the bases for the exercise of national and administrative supervision and liability for infringements of the law.
- **On 1 January 2023, the Rural Knowledge Centre, established on the basis of the Estonian Plant Production Institute and the Agricultural Research Centre, started work in the area of government of the Ministry of Rural Affairs**, the task of which is to lead the entire system of knowledge and information of agriculture in the field of advice, knowledge transfer and innovation.
- **In 2022, 43 projects with a total budget of 7.6 million euros were underway from the research and development activities of the Ministry of Rural Affairs.** The disbursements in 2022 amounted to 3.7 million euros.
- **A total of 19 studies were completed**, five of which were carried out in collaboration with international consortia, with a total budget of 1.2 million euros.
- **In 2022, agricultural products and food products were exported from Estonia at current prices in the value of two billion euros** (about nine percent of the total exports of goods) and **imported for 2.3 billion euros.** Compared to 2021, export increased by 37 percent and import by 27 percent. The trade deficit was 249 million euros, which was 60 million euros smaller than the year before.
- **In order to further ensure environmental protection, the introduction and continued use of environmentally friendly management methods in agriculture will be encouraged with the support of the Common Agricultural Policy.** In 2021, the share of farmland in use that was managed in an environmentally friendly way was 88.4 percent, 1.6 percent higher than a year earlier.
- **The food safety barometer, which measures the overall food safety situation in Estonia on an annual basis and compared to the previous year, was 99.57 in 2022.** The food safety barometer for 2022 was most affected by the increase in food-borne infectious diseases, with a significant increase in the rate per 100,000 population, returning to the pre-pandemic period of COVID-19.
- In order to use state resources more efficiently and to meet new challenges, the national laboratory services market was restructured in 2022 as part of the state reform. **On 1 January 2023, the State Laboratory Research and Risk Assessment Centre, established on the basis of the Veterinary and Food Laboratory, started work in the area of government of the Ministry of Rural Affairs**, whose areas of activity include assessment of risks in the field of food safety, notification of risks in the food chain and provision of scientific advice to the Ministry of Rural Affairs and the Agricultural and Food Board. A risk assessment department has been set up within the laboratory to organise its activities.
- In 2022, **an e-database was developed to keep records on the use of antibiotics by animal species**, which was one of the most important activities planned in the "Action Plan for the Reduction of Microbial Antibiotic Resistance in Veterinary Medicine 2021–2026". According to the State Agency of Medicines, the total quantity of antimicrobial active

substances sold in Estonia in veterinary medicine remained at the same level in 2022 as in 2021.

- **In order to increase preparedness for the risk of epidemics and animal diseases, disease eradication programmes and preparedness plans have been developed**, under which trainings are being conducted in order to ensure the readiness of state systems as well as the agricultural sector for emergency and exceptional situations.
- In 2022, **support schemes were set up to meet higher management standards for livestock health and animal welfare**. The support measures will apply from the beginning of 2023.
- As of September 2022, **a support measure for educational institutions will be implemented to support general education schools and kindergartens providing organic food for children**. If the number of schools and kindergartens that notified organic catering was 45 in 2021 (six percent of Estonian kindergarten and school children), then at the beginning of the 2022/23 academic year, organic food was already provided in 100 educational institutions (nine percent of Estonian kindergarten and school children).
- In 2022, the focus was on the coordination of the **Operational Programme "European Maritime, Fisheries and Aquaculture Fund 2021–2027"** with the European Commission, which approved the Estonian Operational Programme in December 2022.
- In total, 74,242 tonnes of fish were caught in 2022, which is 1,799 tonnes, or 2.4 percent more than in the previous year. The value of total catches at first buying-in prices was 75.6 million euros.
- In 2022, Estonia exported 154 million euros worth of fish and fish products of Estonian origin, and compared to 2021, exports of fish and fish products of Estonian origin increased by 24 million euros, or nearly 15 percent. Export volumes recovered as a result of the removal of restrictions imposed due to the spread of COVID-19.
- In 2022, the "**Fish Sounds Good" campaign continued**, with the aim of encouraging people in Estonia to eat more fish products.
- In order to define the long-term development of aquaculture as a basis for the development of support measures under the Operational Programme 2021–2027 of the **European Maritime, Fisheries and Aquaculture Fund**, the Minister of Rural Affairs approved by decree in July 2022 a multi-annual national action plan for aquaculture in Estonia until 2030.

**Challenges**

- A third of Estonia's population continues to live in rural areas, and it is estimated that a third of businesses operate there. In rural areas, 27.8 percent of the total number of participants in the survey are offered a job. **Despite the fact that Estonia's overall population continued to grow last year, the number of people living in rural areas has decreased compared to the previous year.** The **share of young people living in rural areas (aged 21-40) in the total number of young people of the same age group will continue to decline, reaching 26.7 percent in 2022**, which is below the target of 27.8 percent set for 2030 in the Agriculture and Fisheries Development Plan. **Access to services, lack of attractive jobs and problems with housing are the main problems in moving to rural areas.** In 2022, the provision of co-financing loans for housing was expanded to an Estonian-wide basis, which allows to acquire or build or renovate an existing building in a rural area. As of 2022, co-financing loan agreements have been signed with a total of 25 households for a total amount of 1.37 million euros.
- **The adaptation of enterprises in the agricultural sector to the challenges of the green transition, including mitigation of climate change and at the same time mitigation of risks related to food security, is an important complex challenge in the field,** for which a "Green Transition Roadmap in four areas of the agricultural and food sector" has been drawn up to find solutions and various measures have been implemented to ensure the security of food supply in cooperation with private enterprises. The renewed Green Transition Action Plan 2023-2025 also supports the resolution of the challenges related to the green transition.
- The share of fish resources in good condition remained within 39 percent in both 2020 and 2021, and **the condition of resources is poor.** In order to improve the condition of fish resources, conservation measures for fish resources must continue to be modernised, fishing efforts in coastal fishing must be reduced, etc.

Detailed information on the implementation of the performance area can be found at: https://www.agri.ee/et/ministeerium-kontakt/strateegilised-alusdokumendid

**Table 17.** Target levels of metrics in the performance area of agriculture and fishery and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2023 | Target level in 2022 |
|---|---|---|---|---|---|
| **Employment rate of rural residents aged 20–64**<br>Source: Statistics Estonia | 76.1% | 78.3% | 82.1% | 78.1% | ≥ 78.4% |
| **Value added in agriculture, forestry, fishery and food and beverage production per person employed, three-year moving average**<br>Source: Statistics Estonia | 29,798 euros | 32,243 euros | 33,435 euros | 30,500 euros | ≥ 33,800 euros |
| **Trade balance for agricultural products and foodstuffs: export-import ratio** | 0.88 | 0.83 | 0.89 | 0.80 | 0.81 |

| Metric | Perfor-mance in 2020 | Perfor-mance in 2021 | Perfor-mance in 2022 | Target level in 2023 | Target level in 2022 |
|---|---|---|---|---|---|
| Source: Statistics Estonia | | | | | |
| **Proportion of Estonian consumers who prefer buying local foodstuffs**<br>Source: Estonian Institute of Economic Research | 74% | 74% | 61% | 75% | ≥ 75% |
| **Greenhouse gas (GHG) emission per value of agricultural production, tonnes per thousand euros**[38]<br>Source: Statistics Estonia, Estonian Environmental Research Centre | 2.32 | 2.48 | – | ≤ 2.5 | ≤ 2.5 |
| **Food safety barometer**<br>Source: Ministry of Rural Affairs | 99.28 | 99.33 | 99.57 | ≥ 100 | ≥ 100 |

**Table 18.** Implementation of the budget of the performance area of agriculture and fishery (in thousands of euros)

| | Imple-men-tation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Imple-mentation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -414,239 | -454,434 | -482,507 | -440,581 | -477,015 | -488,914 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.9 Transport

### Objective of the performance area

The purpose of Estonian transport policy is to ensure safe, accessible, fast, sustainable and comfortable mobility for residents and businesses in accordance with the objectives established in the legislation of the European Union.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants.

### Development plan of the area

Transport and Mobility Development Plan 2021–2035

### Programme of the performance area

Transport competitiveness and mobility programme

### Area of government related to the performance area

Area of government of the Ministry of Economic Affairs and Communications

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- In 2022, AS Tallinn Airport increased the number of regular flights **to 33 regular flights.** Following the end of the pandemic restrictions, passenger connectivity to European capitals and tourist destinations has improved significantly. The aircraft are larger in volume and have more attractive departure times, making them better suited to business customers arriving in and departing from Estonia.
- In 2022, the Modernisation Fund's energy-efficient public transport programme was approved by the European Investment Bank and the European Commission. Two disbursements took place in 2022, amounting to nine million euros and 23 million euros. The public transport programme confirmed, among other things, the purchase of an electric ferry and ten additional electric trains by Elron.
- In the field of railways, in 2022, AS Eesti Raudtee was allocated an additional 485,964 euros from the state budget for the second phase of the Haapsalu railway, within the framework of which preparatory activities were carried out for the construction of the Turba–Rohuküla railway section. A contract was signed for the acquisition of ten new dual-system electric trains and the first payment for the trains was made for an amount of 13,607,017 euros.
- In the case of roads, various repairs were carried out in 2022 on a total of 1,674 kilometres of roads (includes construction, reconstruction, repairs and construction of dust-free pavements). Four-lane sections of road were constructed within 25 kilometres. Six bridges and 40 kilometres of various road sections were reconstructed. The pavements were built on 40 kilometres of gravel roads. 35 road risk spots were rebuilt.

[38] The greenhouse gas emissions inventory will be made for year n-2, i.e. the greenhouse gas emissions value for agriculture in 2022 will be derived from the 2024 inventory.

- In 2022, the Minister of Economic Affairs and Infrastructure approved the conditions for granting support for the development of transport infrastructure for the period 2021–2027, and the implementation of railway upgrading and electrification projects and the construction of the Pärnu–Uulu 2+2 road section was started.
- In 2022, the volume served by gas buses on regional routes was increased by eight percent, or 3.8 million kilometres.[39]
- From 1 April 2022, the new 30-day joint ticket products for Northern Estonia were introduced, which will allow the use of different modes of transport with one ticket product in Tallinn and Harju County (including train, county lines). This is an important step towards ensuring that people have no limits to their use of public transport, but can do so across modes. This is one step in a longer vision.
- Planning systems for the use of demand responsive social transport were developed, with the aim that they can be deployed for a wider use of demand responsive public transport in different public transport centres.
- From a road safety perspective, the average number of road fatalities in 2020–2022 was 55 (average 55 from 2019–2021 and 59 from 2018–2020). Deaths of pedestrians and passengers decreased more than the target level of the road safety programme in 2022. The positive trend in urban traffic continued. In Tallinn, the number of traffic fatalities decreased from nine to four, but the number of pedestrians who died in traffic is still high (three people died). Apart from single-vehicle accidents involving light motor vehicles, the number of single-vehicle accidents decreased significantly. The number of intoxication checks increased, but the number of drivers who used alcohol or narcotic substances caught while driving was lower, which is why it is reasonable to assume that the overall number of drivers involved in traffic under the influence of alcohol is in a downward trend.
- Construction of the new environmentally friendly ferry[40] to serve the main island routes will continue (estimated cost 39 million euros). The ferry concept is ready. The ship will be completed by 2026.
- In 2022, the Ministry of Economic Affairs and Communications in cooperation with the Ministry of the Environment proposed the Government of the Republic to support and launch a one million euro support measure for the development of electric vehicle charging infrastructures next to apartment buildings. The support measure will be developed in 2023.

## Challenges

- **Reducing $CO_2$ emissions from transport sector.** According to the forecast at the time of preparation of the report, the $CO_2$ reduction target set out in the Transport and Mobility Development Plan 2021–2035 will not be achieved. However, the obligation to reduce $CO_2$ emissions set to Estonia under the EU climate package "Fit for 55" in the case of proportional sector distribution is even higher than the target set in the development plan (typically 1.6 million tonnes of $CO_2$ equivalent by 2030). With the measures implemented today, transport emissions in 2030 will be around 1,990 kt. Failure to comply with the $CO_2$ reduction obligation of the transport sector means a potential obligation for Estonia to start acquiring $CO_2$ units from the trading market, which is an additional burden on the budget in a situation where it is necessary to find funding for various investments. Studies show that it will not be possible to meet the $CO_2$ targets in the transport sector without introducing tax policy changes (consumption taxes that motivate people to choose sustainable public transport or a more environmentally friendly car).
- Meeting the $CO_2$ targets is made difficult by the lack of funding and the contradiction of objectives, while at the same time investment is needed in the construction of roads on the TEN-T core network. Estonia has also made a commitment to build TEN-T roads by 2030, and failure to do so could result in a potential fine.
- In the area of trade, the challenge is **to use more rail transport** (both nationally and internationally) **to move goods**. Perspectives in the north-south and west corridors need to be considered. In addition to servicing of passenger trains, the modernisation of the railway must contribute to the service of freight transport to the maximum extent.
- A major challenge in the coming years will **also** be to **maintain the continuity of transport**, with the need to adopt **green technologies** in transport and find efficiencies in the sector through **the introduction of digital solutions**.
- In the context of the $CO_2$ emission reduction target set in the climate package "Fit for 55" of the European Union, and taking into account the country's long-term targets and liabilities towards the European Union, it may be necessary to review and amend the targets set in the Transport and Mobility Development Plan 2021–2035 in 2023.
- **Meeting the targets set out in the Road Safety Programme 2016–2025[41]**. The Road Safety Programme aims to reduce the number of traffic fatalities and serious injuries to 30 and 187 respectively, as a three-year average by 2035. The actual result (55 and 367) is far behind the 2022 interim target (46 and 322). It is not realistic to achieve these objectives without implementing additional activities that have a significant impact on traffic safety.
- By 2022, the number of Estonian flagged cargo and passenger ships (500 gross tonnage or more) will be 23. As a result of the legislation, there are difficulties in bringing and holding ships under the Estonian flag and competing countries have better conditions for this.

Detailed information on the implementation of the performance area can be found at: https://www.mkm.ee/ministeerium-uudised-ja-kontakt/strateegiline-juhtimine/tegevuspohine-riigieelarve

[39] Almost 80 percent of the buses serving the county are more than ten years old, and 17 percent of these are environmentally friendly gas buses. Source: https://www.transpordiamet.ee/bussiliinid
[40] Relationship with metric: "Reducing $CO_2$ emissions from Estonian domestic shipping by zero emission ferry services between islands".
[41] https://www.transpordiamet.ee/liiklusohutusprogramm

**Table 19.** Target levels of metrics in the transport performance area and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Decrease in the number of traffic fatalities by a half as an average of three years**<br>Source: Transport Administration | 60 | 55 | 55 | 46 | 44 | – |
| **Decrease in the number of serious injuries in traffic by a half as an average of three years**<br>Source: Transport Administration | 374 | 360 | 367 | 322 | 316 | – |
| **Reduction of $CO_2$ emissions from transport by 700 kt compared to 2018**<br>Source: Ministry of the Environment | 2,234.42 kt $CO_2$ eq[42] | 2,357.73 kt $CO_2$ eq[43] | –[44] | 2,051.89 kt $CO_2$ eq | 2,243 kt $CO_2$ eq | 1,700 kt $CO_2$ eq |
| **Increase the number of cargo and passenger ships under the flag of Estonia (with gross tonnage of 500 and more)**<br>Source: Ministry of Economic Affairs and Communications | 25 | 25 | 23 | 10 | 20 | – |
| **Increase the proportion of rail freight transport in tonne-kilometres compared to road transport**<br>Source: Statistics Estonia | 26% | 29% | 22% | 27% | 23% | – |
| **Increase the number of year-round regular flights**<br>Source: AS Tallinna Lennujaam | 15 | 32 | 33 | 23 | 25 | – |

**Table 20.** Implementation of the budget of the transport performance area (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -431,638 | -476,697 | -516,994 | -504,196 | -621,927 | -749,571 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.10 Energy

### Objective of the performance area

Ensure that consumers have access to affordable energy supply, which is compliant with the long-term objectives of the EU energy and climate policy, while contributing to the improvement of Estonia's economic climate and environmental condition as well as to the growth of long-term competitiveness

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's economy is strong, innovative and responsible.

### Development plan of the area

National Energy Sector Development Plan until 2030

### Programme of the performance area

Energy and Mineral Resources Programme

### Area of government related to the performance area

Area of government of the Ministry of Economic Affairs and Communications

[42] from the 2022 inventory for 2020.
[43] from the 2023 inventory for 2021.
[44] Data for 2022 will be published in 2024.

## OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- Estonia is on a steady upward trend in **energy sustainability**, surpassing the target level in the coming years and reaching the 9th place in 2022 together with Latvia in the ranking of 101 countries (ABA). While energy availability has consistently been very good, energy security has improved and the environmental impact of energy has been reduced.
- **Security of supply and energy security. I**n Estonia, the import of pipeline gas from Russia has been prohibited since the beginning of 2023. By the winter of 2022, LNG reception capacity was built in Paldiski. Additional infrastructures in the region: Inkoo (Finland) LNG terminal, Baltic Connector[45], GIPL[46], Lithuanian LNG terminal – LNG will provide security of supply for the region, including Estonia. As of March 2023, the Estonian Stockpiling Agency has reached its gas reserve target of one terawatt-hour. This amount corresponds to 27 percent of Estonia's average annual gas consumption.
- **So far, district heating price regulation has ensured sustainable district heating systems** where the interests of consumers and service providers are balanced. However, this has not worked in crises of recent years. In the heating periods 2021/2022 and 2022/2023, Estonia subsidised **commercial and domestic consumers for a total of 282 million euros** to compensate for high energy prices. From 1 October 2022, state-owned Eesti Energia will be obliged to sell electricity to household customers as a universal service.[47].
- **In the field of renewable energy,** the Act amending the Energy Sector Organisation Act[48] has been adopted, which sets a target of 65 percent of total national energy consumption (including at least 100 percent of electricity consumption) from renewable energy by 2030. Amendments to the legislation on the benefits to the community of wind energy at sea and on land were adopted. The amendments will oblige the founders of wind power plants to pay the local government and local residents a fee from 1 July 2023 in order to encourage the production of renewable energy. The main focus for accelerating the development of renewable energy is on wind energy, and the aim is to accelerate projects already under development to speed up the transition to renewable energy. The planned reverse auctions will continue.
- **In 2022, Estonia reported to the European Commission on the achievement of its energy efficiency targets.** Estonia met the targets set. In the coming years, the focus will be on meeting the energy efficiency targets for the period 2021-2030. The study, funded through the European Technical Support Instrument, will identify the main packages of measures to achieve the objectives set. The study will be completed in the IV quarter of 2023.
- **Exploration and exploitation of subsoil resources.** Policies for the exploration and use of the subsoil will be developed, sector analyses will be prepared and the interest of the state in the possible exploitation of the subsoil resources will be defined. An important part of the activity is the integrated knowledge-based exploration of subsoil resources. In 2022, important steps have been taken in this direction – the Estonian Geological Survey has formalised the preliminary results of the phosphorite and critical raw materials surveys and made a near-term plan for moving forward with the surveys. Preliminary data on sulphide magmatism in the rock formations of the bedrock in Northeast Estonia have been obtained from deep geological drilling. Research on geothermal energy opportunities and the preparation of pilot projects continued.
- **Geological mapping and subsoil competence.** Planned complex geological baseline mapping and focused subsoil investigations were carried out. The best possible conditions for the exploration and storage of geological information were ensured and the public was informed about the opportunities, challenges and risks of the subsoil. Surveys related to the risk arising from the geological environment, surveys of water resources, surveys of groundwater quality, surveys of the status of bodies of groundwater, groundwater monitoring, seismic monitoring and radon monitoring were also carried out and data were interpreted.

### Challenges

- Successful synchronisation of the electricity system with the Central European network and related activities (guarantee of controlled capacity, system services) and the design of the electricity market, which will help the market with the regulatory framework and create the necessary conditions. The Baltic system operators plan to start the market for frequency reserves in 2025. This will lead to the full interaction of the electricity networks of the Baltic States with the European electricity networks, which will ensure better long-term security of electricity supply and security for Estonia.
- The potential of renewable energy in Estonia is more than necessary to meet the 100 percent goal of renewable electricity. Thus, in the coming years, there will be challenges in a number of areas – speeding up network developments, market-based development of marine wind turbines, launching the market for storage technologies, speeding up authorisation procedures, supplementing and creating regulations.
- In the development of renewable energy, it is increasingly important to take into account social inclusion ("not in my backyard" solutions), sustainable financing and taxonomy rules for project financing, and the balance of the natural environment.
- The public sector has an increasingly important role to play in achieving the renewable energy targets set, as it must also lead by example in its own consumption choices. By setting the conditions for public procurement, it is possible to create the necessary preconditions for increasing the share of renewable

[45] Estonia-Finland gas transmission link.
[46] Lithuanian-Polish gas transmission link.
[47] A time-limited optional measure by the state to help electricity consumers hedge risks and mitigate electricity price increases.
[48] https://www.riigikogu.ee/tegevus/eelnoud/eelnou/2ad3cffe-ed19-4c4c-b456-1a77f9bf0ac3/Elektrituruseaduse%20ja%20teiste%20seaduste%20muutmise%20seadus

energy in both energy and transport. The challenge is to change the traditional evaluation criteria and to take the necessary strategic decisions, which require a clear long-term vision of the development of the sector.

- The ministry responsible for implementing the Energy Efficiency Directive is the Ministry of Economic Affairs and Communications. The energy efficiency targets have so far been met without the contribution of other ministries (public sector), but the target of the Directive adopted on 10 March 2023 cannot be met in this way. The challenge is to contribute to the energy efficiency target across sectors, including other ministries.
- Mineral resources in the world as a whole, and thus in Estonia, in the context of the green transition, the security of supply of the necessary resources has come to the fore. Coordination and maintenance of this topic, including, for example, the focus of critical raw materials and mineral resources and secondary raw materials projects, is so far a little-reported topic in Estonia, for the progress of which it is important to achieve an important breakthrough in the exploration and promotion of strategic or future mineral resources and other resources in the subsoil. A major challenge is to explore the different options for renewable energy – launching pilot projects for geothermal energy (both deep geothermal and groundwater energy).
- Since the energy efficiency of buildings and the maintenance of roads requires an increase in the use of construction mineral resources, the focus will be on the sustainable and at the same time economic use of construction mineral resources necessary for the construction of infrastructure objects. The guidelines for the assessment of the security of supply of construction mineral resources, which were approved in 2023, were updated. In order to achieve compromises between the utilisation of construction mineral resources and the interests of local governments, the preparation and implementation of thematic plans for county construction mineral resources will continue in cooperation with the Ministry of the Environment and Ministry of Finance.
- Social dialogue on the use of mineral resources continues – constructive discussions are still planned with entrepreneurs, local communities, agencies and developers to find solutions in a situation where thematic plans for construction mineral resources are still being prepared.

Detailed information on the implementation of the performance area can be found at: https://www.mkm.ee/ministeerium-uudised-ja-kontakt/strateegiline-juhtimine/tegevuspohine-riigieelarve

**Table 21.** Target levels of metrics in the energy performance area and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 |
|---|---|---|---|---|---|
| **Availability of affordable fuel and energy compliant with environmental requirements to the consumer**[49]<br><br>Source: World Energy Council | BAB | BAB | ABA | ABB | ABB |

**Table 22.** Implementation of the budget of the energy performance area (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -74,948 | -55,049 | -315,540 | -180,415 | -258,326 | -93,064 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.11 Digital society

### Objective of the performance area

The best experience is guaranteed in the digital country, the ultrafast internet is available to all people who want it and our cyberspace is safe and reliable.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia is an innovative, reliable and people-centred country.

[49] World Energy Council Energy Trilemma Index 2021 Country rankings https://trilemma.worldenergy.org/. Each letter in the index expresses the rating given to the country in the corresponding category. The first letter describes the state of energy security in the country, the second the availability and affordability of energy, and the third the environmental impact of energy. The letter "A" describes a result from a position among the first 25% of countries, i.e. the best result in all categories would be expressed as AAA. The worst result (from the position of the last quarter of the countries) is expressed by the letter D.

## Development plan of the area

Digital Society Development Plan 2030

## Programme of the performance area

Digital society

## Area of government related to the performance area

Area of government of the Ministry of Economic Affairs and Communications

### OVERVIEW OF THE PERFORMANCE AREA

## Positive developments

- The major achievements of the development of e-services are the introduction of the first consent service and the implementation of the first proactive government services. At the end of 2021, the Estonian Information and Communication Technology Centre (Estonian IT Centre, RIT) was established and started major consolidation activities (in 2022, the first users were transferred to the central service).
- In the area of cybersecurity, the focus during the year was on building capacity to ensure that national cybersecurity governance, organisation and coordination is up-to-date and adequate. Despite the general change in the security situation in 2022 and the increase in cyber-attacks, Estonia's e-services functioned without major disruptions and even managed to improve business continuity. Estonia achieved its highest ever third place in the International Telecommunication Union's cyber security index[50].
- In 2022, 5G frequency competitions were held, which resulted in three mobile operators operating in Estonia gaining access to 700 MHz and 3.5 GHz frequency bands and starting the roll-out of 5G networks. In addition, a support measure for very high capacity access networks was launched, whereby communications undertakings build one-gigabit broadband infrastructure in market failure areas.
- Russia's war against Ukraine has proved the criticality of the resilience and reliability of ICT infrastructure and information systems in the context of broader national defence. Estonia was able to implement cyber defence measures (for which additional resources were found) on a threat and risk basis, which ensured the security of society in the new security situation.

## Challenges

- The challenge is to implement major initiatives and sectoral transformations throughout the public sector. The aim of the transformations is to implement a larger change in the areas in general, which makes the citizen's communication with the state better. The aim is also to expand the deployment of the consent service and to support the introduction thereof in state agencies.
- We will continue to develop both the data tracker and the consent service on the basis of users' needs and create the necessary legal basis. The preparation of the National Data Action Plan 2023–2027 and the assembly of the Data Competence Centre is underway. The most important challenges are the lack of a data-related operational model in public sector organizations, which lacks the objectives, processes, responsibilities and skills agreed in organizations. Data management and analytics are increasingly being addressed, but this is not yet part of service-based and client-centred management. Therefore, the full potential, for example to make data-based decisions or provide more client-centred services, is still unused today.
- Consolidation of the country's basic information technology (IT) services will be carried out on the basis of an action plan leading to the transfer of the first users to the central service in 2022.
- An important challenge is the implementation of the first proactive government services (among the first, marriage and having a child).
- The cross-cutting challenges in the performance area are ensuring sustainability (securing the existing base), future-proofing, i.e. developing people-centred and user-driven digital services, and ensuring cyber-security (current risk management and cyber-security measures do not provide sufficient protection against new cyber-security risks).

Detailed information on the implementation of the performance area can be found at: https://www.mkm.ee/ministeerium-uudised-ja-kontakt/strateegiline-juhtimine/tegevuspohine-riigieelarve

**Table 23.** Target levels of metrics in the performance area of digital society and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Satisfaction with public digital services**[51]<br>Source: Ministry of Economic Affairs and Communications | 78% | 69% | 80% | 80% | 82% | 90% |
| **Estonian residents feel safe online and trust the e-state: proportion of those who refrained from communicating electronically** | – | – | 4.7% | – | – | – |

[50] Global Cybersecurity Index.
[51] The methodology of the metric has changed over the years, so the results for 2020 and 2021 are not comparable.

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **with the public sector or a service provider for the purpose of avoiding a security risk**[52]<br>Source: Statistics Estonia | | | | | | |
| **Percentage of households and businesses in Estonia with access to at least 100 Mbps internet, which can be increased up to 1 Gbit/s**<br>Source: Consumer Protection and Technical Regulatory Authority | 70.9% | 73.4% | 74.6% | 74% | 76% | – |

**Table 24.** Implementation of the budget of the performance area of digital society (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -44,349 | -87,467 | -77,631 | -64,126 | -124,077 | -108,628 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.12 Effective state

### Objective of the performance area

Unified and effective governance that takes the needs of the population into account.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia is an innovative, reliable and people-centred country.

**Development plan of the area**

No development plan has been prepared for the performance area.

**Programmes of the performance area**

Programme to support the activities of the Government of the Republic and the Prime Minister

Public finance programme

Administrative policy programme

Regional policy programme

Financial policy programme

Archiving programme

**Areas of government related to the performance area**

Government Office

Area of government of the Ministry of Finance

Area of government of the Ministry of Education and Research

#### OVERVIEW OF THE PERFORMANCE AREA

**Positive developments**

- In the area of public finances, rating agencies' assessments of Estonia remain high. Strong fiscal and economic policies, low energy import needs and membership of NATO underpin Estonia's creditworthiness and ability to withstand the effects of the Russian war.
- Tax receipts were 10.8 percent higher than in the previous year and the budget forecast was fulfilled by 106.2 percent. The rapid increase in the wage fund, which reached 14.2 percent, supported the payment of labour taxes, and higher-than-expected inflation led to better payment of value added tax. 2022 ended with an 438 million euro budget deficit in the general government sector, which accounts for 1.2 percent of annual GDP. The budgetary deficit was 369 million euros smaller compared to the end of 2021.
- The focus of the Tax and Customs Board was to adapt to new trends, including the rapid growth of crypto transactions, which means a large volume of tax advice and also the sharpened attention of cross-border trade due to sanctions on Russia. In 2022, about 7.4 million euros were contributed to IT investments, focusing on the analysis of land tax increase developments, the creation of a new procedural environment and large-scale upgrades of e-customs information systems.
- Major projects of state reform in the merger of institutions (the merger of the Environmental Investment Centre and the Private Forest Centre is being

[52] A cybersecurity security and trust metric was planned to be developed in 2022. Therefore, the metric has been updated and only the baseline (for 2022) is presented, but it was not yet possible to present the target levels for 2021. However, this is not a completely new measure, as it was last measured in 2019 (result 3.1 percent).

prepared) and in the merger of support services (the concentration of IT workplace services in the State IT Centre, the concentration of document management in the State Support Services Centre) are in the final line, and an analysis of what has been done has been completed together with the planning of the next stages.

- Statistics Estonia completed the population and housing census, which was conducted mainly on the basis of a register for the first time. The data was analysed over the course of 2022 and published from June to December 2022.
- Amendments to the Planning Act were prepared, which allow to shorten the planning of local government wind farms and buildings important to the state by two to three years.
- The Estonian banking sector remains strong and is ready to support Estonian entrepreneurs and households. The volume of the capital market (exchange, bonds, crowdfunding, venture capital and other funds and Pillar III pension funds other than creditors, Pillar II pension funds and insurance) in GDP has increased to 27 percent.
- In the area of taxation, a number of tax changes came into force in 2022. Legislation has been drafted to require platform operators (Bolt, Airbnb, Wolt, etc.) to provide the Tax and Customs Board with information on the sellers and service providers they use and their revenues. The tax-free income increased to 654 euros. On 1 October 2023, the obligation to register workers on construction sites will enter into force.
- The main national reference document for regional development – the Regional Development Action Plan – was completed in early 2022. The Operational Programme 2021–2027 of the Cohesion Policy, approved in October 2022, will allow the Ministry of Finance to implement 252 million euros in grants directly for the implementation of national regional policy in the period 2022–2029.
- The monitoring report "Five years since the administrative reform" was completed, which concludes that the management of local governments has become more professional and that officials can specialise in some narrower areas much better than before.
- Successful completion of the assessment by MONEYVAL, the Expert Committee on Money Laundering and Terrorist Financing at the Council of Europe, where the object of the assessment was the effectiveness of the country's anti-money laundering and terrorist financing systems.
- In order to create a central view of national green policy, an action plan has been drawn up, focusing on the most important actions to be taken in the coming years to achieve the objectives concerning green transition.
- Under the coordination of the Government Office, most of the negotiations on the "Fit for 55" drafts in the European Union have been concluded in cooperation with the ministries and the results have been achieved in accordance with Estonia's positions, which provide a framework for the climate and energy policy of the European Union and the Member States until 2030. Operational programmes for EU funds have been approved (at least 30 percent for the climate change), including the Just Transition Fund plan. REPowerEU funding has been approved, an implementation plan has been presented and a renewable energy acceleration plan is part of it.
- The online availability of archives increased significantly. Within the framework of the Digital Heritage Action Plan 2018–2023, six collaborative projects of mass digitalisation led by the National Archives with the Ministry of Culture, the Ministry of Economic Affairs and Communications and the Ministry of Education and Research provided an additional 7.8 million digital images.
- The rapid growth of digital audiovisual heritage has led to an increase in orders from both domestic and foreign countries. Digitised text corps have launched and are launching joint creative projects, joined by volunteers to form a strong community to support the goals of the National Archives and enrich society with new information.
- The biggest achievement of the National Archives of Estonia in 2022 was the transcription of a manuscript text using artificial intelligence. AI[53] recognition of text, objects, faces, speech and perhaps more, and machine translation is changing the world of archives. This is the next turning point since the birth of online user environments in the first and second decades of the 21st century.

**Challenges**

- The most important challenges of governance continue to stem from demographic developments, such as the shrinking working-age population, ageing and urbanisation, the resulting impacts on the labour market and the implications for regional balances.
- In the area of public procurement, the highest possible level of e-procurement has been achieved, but the challenge is to make more use of quality criteria by developing the concept of value-based procurement.
- As a result of a number of initiatives taken by the European Commission (European Green Deal, Digital Europe, etc.), the need for national statistics has changed. At EU level, initiatives have been taken to change the legal framework for European statistics and to redefine the role and tasks of statistical authorities in the data economy.
- Green policy is a key principle underpinning strategic planning in the European Union. Therefore, it is important that the actions of the Government of the Republic in the implementation of the green transition are unambiguous, that the sectoral objectives support the goals of the green policy, and that there is a coherent action plan and communication.

Detailed information on the implementation of the performance area can be found at:

https://www.fin.ee/ministeerium-uudised-ja-kontakt/organisatsioon/ministeeriumi-tutvustus

https://www.hm.ee/ministeerium-uudised-ja-kontakt/ministeerium/strateegilised-alusdokumendid-ja-programmid

[53] Artificial intelligence.

**Table 25.** Target levels of metrics in the performance area of effective state and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Proportion of general government expenditure of GDP (not increasing)**<br>Source: Eurostat | Increased 2019 vs 2020 (39.4% vs 44.9%) | Did not increase 2020 vs. 2021 (44.9% vs. 41.5%) | (41.5% vs. 39.4%) | 39.0% | 42.9% | 39.0% |
| **Proportion of general government employees in the working-age population aged 20–64**<br>Source: Ministry of Finance | Did not increase 2019 vs. 2020 (14.9% vs. 15.2%) | Increased 2020 vs. 2021 (15.2% vs. 15.5%) | Data will be available later | 14.9% | 15.2% | 15.2% |
| **GDP per capita generated outside Harju County of the European Union average**<br>Source: Statistics Estonia | 53.4% | Data will be available later | Data will be available later | 54% | 54% | 67% |

**Table 26.** Implementation of the budget of the performance area of effective state (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -320,306 | -289,869 | -387,952 | -303,864 | -409,900 | -444,330 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.13 State governed by the rule of law

### Objective of the performance area

Legally certain, well-functioning country with a low crime rate and a high-quality justice system

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia is an innovative, reliable and people-centred country.

### Development plans of the area

Basic Principles for Legislative Policy until 2030

General Principles of Criminal Policy until 2030

Development Plan of Courts of First and Second Instance 2020–2023

### Programme of the performance area

Reliable and effective legal space

### Area of government related to the performance area

Area of government of the Ministry of Justice

#### OVERVIEW OF THE PERFORMANCE AREA

**Positive developments**

- The Ministry of Justice focused on creating a clear and integrated legal space where people's fundamental rights are guaranteed and protected, the state functions transparently and efficiently, and the crime rate is low.
- The digitisation of the judicial chain continued, ensuring that the necessary information is available digitally. For example, work continued on the development of a digital and accessible co-legislative environment, which in the future will bring together in a single place the information related to the legislative process affecting the whole life of Estonia, covering the entire legislative creation cycle up to publication in the *Riigi Teataja*.
- The legal policy direction of the state must strive to make the Estonian legal environment modern, attractive, and competitive. Rules that take account of innovation and ensure flexibility reduce bureaucracy, save time and money, and promote economic activities. The legal order must be such that people and businesses can generally manage their private affairs and exercise their rights and obligations without state intervention. Starting up and doing business must be straightforward and reasonably simple, including smart use of technology and the digital world to communicate between the state and businesses.
- Amendments to the commercial register have entered into force, aiming to improve the discipline of filing annual reports and to create new possibilities for companies in the online version of the commercial register. Inspections on the conditions for cross-border movement of companies became stricter.

Taken together, these legislative changes will open up the way for companies to operate in the EU single internal market and boost growth and competition.

- Continued modernisation and streamlining of the judiciary is essential. High-quality justice must be available across the country, but to ensure this, the administration of justice must become more flexible and less burdensome for litigants. Specialisation of the judiciary, further centralisation of support services, and further development of digital solutions are important to improve the efficiency of the judiciary. The three draft laws on the judiciary introduced in 2022 were adopted in early 2023. The amendments provided for the creation of departments in the county courts to better organise the work and specialisation of judges and their support staff, as well as the introduction of paperless court proceedings in civil and administrative cases. As part of the centralisation of court support services, a common court translation service with modern digital tools, an archives service, and a helpline were launched. A pilot project on cross-delivery of procedural documents was successfully launched.
- The development of various information systems (forensic, e-file, commercial register, land register, *Riigi Teataja*, enforcement register, etc.) continued. Introducing the use of IT tools will contribute to improving the efficiency of criminal proceedings, safeguarding intellectual property rights, digitising the work processes of the prison service and the courts, as well as modernising the judicial network and the various judicial registers.
- Work continued to make the criminal justice system efficient, digital, fast, independent, and victim-friendly. Sewage testing for drugs was started, and the display of enemy symbols and supporting and joining the aggressor's forces were criminalised. The age of sexual consent for minors was raised from 14 to 16.
- Attention was focused on reducing the recidivism rate and preventing crimes committed because of addictions and other mental health disorders. A joint multi-ministerial prevention council was set up to help prevent risky behaviour more effectively. A central strategy for the prison service was completed, which aims to reintegrate offenders and reduce the recidivism rate by keeping prisons safe, people-centred, and with a motivating working environment.
- It is important to keep children and young people out of the criminal justice system and reduce the number of offences they commit. Age-appropriate treatment of young people must be ensured. In 2022, a separate accommodation service for young people up to the age of 26 was launched to provide accommodation or an alternative to imprisonment for those released from prison. In addition, a pilot employment programme was launched in prisons.

**Challenges**

- In the coming periods, work will continue on the digitisation of the judicial chain, with the improvement and deployment of new working environments that will ensure digital access to the necessary information and exchange of data. In designing citizen-centred services, it is necessary to make access to digital legal services and procedures more user-friendly and to create more simple and accessible ways to help.
- Alongside digitisation and citizen-centred services, creating a competitive business environment is a priority for the Ministry of Justice.
- By publishing and making available, free of charge, legally secure court records and registers, we boost the economy, increase transparency in the public sector, provide useful information, and help identify corruption risks.
- Continuing effective criminal justice activities and improving the quality of legal education to ensure the succession of regulated legal professions, the quality of legal education, and the sustainable development of law.

Detailed information on the implementation of the performance area can be found at: https://www.just.ee/strateegilised-alusdokumendid.

**Table 27.** Target levels of metrics in the performance area of state governed by the rule of law and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Rank in the Freedom in the World ranking**<br>Source: https://freedomhouse.org/country/estonia /freedom-world/2021 | Status "free" | Status "free" | Status "free" | Status "free" | Status "free" | – |
| **Position of Estonia's competitiveness**<br>Source: World Economic Forum | – | 26 | 22 | 28 | 27 | Change in economic target C |
| **Number of people who feel safe in their neighbourhood after dark**<br>Source: Ministry of Justice | 74% | 75% | 71% | > 79% | > 79% | Change in population sustainability, health, and social protection (people) target C |

**Table 28.** Implementation of the budget of the performance area of state governed by the rule of law (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -182,457 | -183,286 | -205,828 | -187,146 | -222,132 | -219,310 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.14 Internal security

### Objective of the performance area

Estonian people feel that they live in a free and safe society where everyone's value, involvement and contribution to the security of the community build one of the safest countries in Europe. The living environment is being improved, threat to life, health, property and the constitutional order is being reduced, and prompt and expert assistance is being ensured

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants

### Development plan of the area

Internal Security Development Plan 2020–2030

### Programme of the performance area

Internal security programme

### Area of government related to the performance area

Area of government of the Ministry of the Interior

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- **In 2022, a total of 90% of people considered Estonia a safe country.** This reflects a high level of confidence in Estonia's security and internal security institutions, given the changed security situation.
- **The effects of the war in Ukraine were dealt with thanks to cooperation between the various parties, the help of the population, and an innovative approach.** The Ministry of the Interior, together with the agencies of the area of government, coordinated the reception of refugees in the first months after the outbreak of the war, including the establishment of reception and registration points, information materials, and an information system on the possibilities of staying in Estonia and assisting war refugees. For the first time, the European Union's Temporary Protection Directive was implemented, and Estonia's procedural process was and remains the fastest in Europe. The legal environment to support the stay, residence, and livelihood of Ukrainian citizens and their family members in Estonia was improved. A Ukrainian call centre has been opened at the Emergency Response Centre's national information line 1247 to provide information to refugees in their mother tongue, thanks to Ukrainians working there. The Rescue Board co-ordinated the activities of volunteers assisting Ukrainian refugees and of local authorities through regional crisis committees.
- **There have been a number of significant developments in the past year in curbing Russia's activities and ensuring Estonia's security:** Minimising cross-border movement from Russia, stopping the growth of Russian and Belarusian e-residents, various sanctions, amendments to the Weapons Act, and much more. The draft ban on the use of symbols of occupation regimes and the removal of occupation monuments are most certainly important.
- **Population protection and crisis preparedness were improved.** In 2022, more than 109 million euros were allocated to reinforce the protection of the population and internal security, with additional funds to be used between 2022 and 2026. In 2022, for example, the "Be Prepared" information material for residents was updated and sent to every home, crisis training was carried out for housing association managers, a large-scale evacuation plan was prepared, public shelters were mapped, the creation of a siren-based emergency notification system was started, evacuation stocks and the Rescue Board's supplies were purchased. An area-based rapid alert system (EE-ALARM) is in place to ensure the readiness to provide timely hazard warnings and appropriate behavioural instructions to people entering and remaining in the danger area in the event of an emergency. A round of support was provided to increase the crisis preparedness of local authorities, and various outreach activities, counselling, seminars on the art of crises management, exercises, and information days were carried out, as well as advanced courses on civil protection. In addition, amendments to the Rescue Act were adopted, which, among other things, will allow the Rescue Board to involve volunteers with the necessary knowledge and skills in demining work, in order to ensure the continuity of demining work for possible resource-intensive events and crises. The law on the harmonisation of special services also entered into force, creating a regulation on assistant police officers in crisis roles and harmonising social guarantees for internal security officers and volunteers.
- **On the land side of the eastern border, construction of border infrastructure continued:** all sections of the eastern border are under construction or in preparation, the first 23.5 km section of the border infrastructure was fully completed and development work was started to reinforce the surveillance of the Narva River.
- **People recognise the importance of their own role in keeping Estonia safe –** according to the 2022

survey, 90 percent believe they should play an active role in keeping themselves and their neighbourhood safe. Last year, targeted prevention activities were continued in order to reduce damage to life, health, and property. Fewer people died in water accidents, traffic accidents, and attacks than a year earlier.

- **In order to ensure sufficient and motivated staff with good training, the minimum wage for rescuers was increased by nearly 12 percent, and for frontline police officers and Emergency Response Centre's emergency dispatchers by nearly five percent.**

## Challenges

- **Sufficient number of employees and adequate training will continue to be needed to ensure the response capacity of internal security and internal security agencies and to deal with and prevent various threats, accidents, and crises.** The Ministry of the Interior has carried out structural reforms that have reduced the number of civil servants by 22 percent in 13 years. At the same time, the overall number of civil servants in central government has decreased by four percent. It should also be borne in mind that around 675 employees leave the service each year, and that many of the employees in this sector are approaching retirement age. The number of guarantors of security can no longer decrease without compromising the security of society. **Ensuring a motivating and competitive wage is therefore an important but complex challenge.** The wage fund of the Ministry of the Interior will increase by more than 20% in 2023, or by more than 50 million euros. However, these positive developments do not yet guarantee that the minimum wage for police officers and rescuers will be equal to 1.2 times the Estonian average. **In addition to wages, there is a need for an adequate number of study places, high-quality, modern teaching, and good learning conditions.** To this end, the Väike-Maarja training field and the Tallinn training complex of the Estonian Academy of Security Sciences need to be developed in the coming years.
- **Crisis preparedness, including civil protection, crisis reserves, and inventories.** Recent years have shown the need to improve crisis management – at national, municipal, community, and individual levels. Each has a role to play in a crisis, and each institution must be prepared to manage crises in its own area. Crisis preparedness and civil protection are inseparable parts of national defence, therefore, the related capability development and ongoing costs must be covered by permanent funding.
- **A number of high-impact developments are needed in the coming years to improve crisis preparedness:** developing a rapid alert system; large-scale evacuation and shelter-in-place; advising, training, and supporting local authorities; creating the conditions for every citizen to cope better in a crisis, to know their role, and to be able to make their home more crisis-resilient; building the capacity of emergency services in times of crisis; developing and ensuring the preparedness of volunteers in crisis roles, including the involvement of volunteers in civil protection; international cooperation; enhancing the resilience of the Ministry of the Interior to critical services in crisis; developing situational awareness.
- **Strengthening internal security, including the protection of state secrets, sanctions monitoring, and counter-intelligence.**
- **Completing the construction of the eastern border in full.** A better protected border helps to increase security, prevent illegal migration, human trafficking, cross-border crime and smuggling. This is a significant and important step for European security because this also makes the whole Schengen space even safer than before. The deadline for the construction of the land border has been brought forward by up to a year and a half to 2025 instead of 2026, but in order to achieve this objective, the increase in construction prices must be taken into account. Continued efforts are needed to make the presence of the European Border and Coast Guard Agency, Frontex, in Estonia permanent and increased. The aim is to have more Frontex border guards at the Estonian borders, and it is also necessary to work towards the establishment of Frontex regional units in Estonia and to make the Estonian Academy of Security Sciences a partner in the training of Frontex officers.
- **Strengthening migration monitoring.** For example, in order to improve the efficiency of state monitoring and to prevent and deter irregularities in staying, residing, and working in Estonia, the migration monitoring database MIGIS should be further developed and effectively implemented.
- **Ensuring ICT sustainability – building and maintaining capacity.** Several important information systems of the state are old and need to be updated for continuing provision of high quality services. It is necessary to direct more money into strengthening information security because the changed security situation has also increased the need to protect our e-state.

Detailed information on the implementation of the performance area can be found at: Internal Security Development Plan 2020–2030 | Ministry of the Interior.

**Table 29.** Target levels of metrics in the performance area of internal security and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Proportion of people who consider Estonia to be a safe country**<br><br>Source: Ministry of the Interior, public poll on internal security | 92% | – | 90% | ≥ 94% | ≥ 94% | ≥ 94% |

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Proportion of residents involved in ensuring internal security**<br>Source: Ministry of the Interior, public poll on internal security | 17% | – | 27% | ≥ 20% | ≥ 20% | – |
| **Number of deaths from injury**[54]<br>Source: Statistics Estonia | 768 | 796 | –[55] | < 660 | < 650 | – |
| **Proportion of residents who consider the main concern of the state to be:**<br>**- crime**<br>**- immigration**<br>**- terrorism**<br>Source: Standard Eurobarometer | <br>1%<br>15%<br>0% | <br>1%<br>8%<br>0% | <br>1%<br>10%<br>1% | <br>≤ 3%<br>≤ 12%<br>≤ 1% | <br>≤ 3%<br>≤ 12%<br>≤ 1% | – |
| **Reliability of internal security authorities:**<br>**- Police and Border Guard Board**<br>**- Rescue Board**<br>**- Emergency Response Centre**<br>Source: Reliability study of market research institutions | <br>91%<br>95%<br>93% | <br>86%<br>95%<br>94% | <br>84%<br>93%<br>93% | <br>≥ 89%<br>≥ 97%<br>≥ 94% | <br>≥ 89%<br>≥ 97%<br>≥ 94% | – |

**Table 30.** Implementation of the budget of the performance area of internal security (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -397,923 | -434,329 | -517,365 | -474,019 | -527,107 | -497,382 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.15 Foreign policy

### Objective of the performance area

Preservation of the Estonian nationality, language and culture through the ages, the security of the independence and autonomy of the Republic of Estonia in international relations; growth of welfare in Estonia and protection of the Estonian community abroad; Estonia's growing contribution to global sustainable development

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants.

### Development plan of the area

Foreign Policy Development Plan 2030

### Programme of the performance area

Foreign policy programme

Development cooperation and humanitarian aid programme

### Area of government related to the performance area

Area of government of the Ministry of Foreign Affairs

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- In 2022, Estonia has acted more forcefully and effectively in security and foreign policy than its size and resources would suggest, which has yielded visible results, at least in the short term, and increased Estonia's credibility as an ally and partner, also globally.

[54] The "Internal Security Development Plan 2020–2030" and its "Internal Security" programme will have a direct impact on the number of drownings and deaths from fire, vehicle accidents, homicides and murders, and drug overdoses, but will also have an indirect impact on other causes of death, such as suicides, falls, and frostbite. Therefore, the overall objective is to report injury mortality for all types of injury deaths. The indicator is mentioned as one of the prerequisites for achieving the dimensions of the "Population Health Development Plan 2020–2030". The Ministry of Social Affairs has also been the overall coordinator for injury prevention since 2015. Measures to reduce the number of road fatalities are set out in the Road Safety Programme.
[55] Data will be available in June 2023.

- Russia's aggression in Ukraine increased the demand for consular assistance in the country during the early stages of the war. Information and assistance worked, and there was excellent cooperation with Latvia, that helped evacuate Estonian citizens. Targeted work in engaging the global Estonian community has led to growing opportunities for collaboration, such as electronically accessible virtual forums for Estonians around the world. In 2023, the creation and development of a unified Estonian information space will continue, which proved to be a bigger challenge than we expected – increasingly, the problem seems to be not a lack of information, but its fragmentation. Keeping the Estonian language and mindset alive in communities abroad is focused on engaging young people and promoting Estonia's opportunities more widely.

## Challenges

- **Russia's aggression in Ukraine.** The large-scale aggression of the Russian Federation against Ukraine, which began on 24 February 2022, shook the post-Cold War European security architecture and severely tested the rules-based world order under the UN Charter. What is at stake is not only Ukraine's self-reliance or the security of Europe, but also the impact of democratic governance, the way of life, and the rule-based international order that people have guided from post-World War II. Russia's aggression largely determined the activities of the Ministry of Foreign Affairs in 2022. The war required Estonian diplomacy to act swiftly and flexibly, to come up with new ideas and think outside the box, to coordinate closely with allies, and to firmly persuade the hesitant. Estonia's current priorities – helping Ukraine win the war, tackling aggression, and creating a new security architecture in Europe based on the principles of the former order – will remain the same in 2023.
- **Mitigating risks from Russia.** With its aggression against Ukraine, Russia has publicly challenged the world order based on international law, violating the principles at its core – the right of a state to territorial integrity and the peaceful resolution of conflicts. Russia has been influential in international organisations, in particular because of its international standing, its permanent seat on the UN Security Council, but also because of the long tradition of Russian diplomacy and its skilful conduct. Therefore, isolating Russia on the international stage is an important lever to raise the price of aggression and reduce Russia's international power. Together with like-minded countries, solutions must be found to prevent Russia's counter-actions and the spread and influence of a narrative justifying aggression based on lies in the UN and the OSCE. Moreover, after the start of the aggression, the focus must be on implementing NATO's reinforced defensive posture concept in the Baltics, including convincing allies that change is necessary. The landmark decisions taken at the Madrid Summit concerning the strengthening of NATO's defence and deterrence posture and the increased contribution of the allies, both politically and militarily, are very important in this respect. The accession of Sweden and Finland to NATO will benefit Estonia and the other Baltic states, the Baltic Sea region and NATO, both politically and militarily, by increasing security and defence capabilities. In 2023, the implementation of the elements of the reinforced defences, the launch of the new structure of the forces, and the acquisition of the necessary weapon systems and equipment will continue.
- **Global ideological struggle in the context of Russian aggression.** The post-Cold War world is changing. Its main features are: the weakening of globalisation processes; the slowdown and regionalisation of the global economy and trade; the diminishing empowerment of democracies and the gradual ascendancy of autocratic governance and economic models; the digital revolution and its implications for societal behaviour, but also for security. The confrontation between democracies and autocracies is deepening around the world. Mutual rivalry can turn into a clash for global influence, with one side's ever-increasing dependence on the other as the linchpin. It is not just political dependency, but also energy dependency, technology dependency, labour dependency, economic dependency, commodity dependency, and product dependency, which ultimately combine to create political dependency. Influence is also being increased in areas hitherto less exploited by human activities, such as the Arctic and Antarctic, including through the increasing use of hybrid methods of pressure.
- **Strengthening the coherence and consolidating the space for democratic countries.** The European Union and NATO, a special relationship with the United States, active cooperation with major European powers, and regional cooperation in the Baltic Sea region were at the heart of foreign policy in 2022. These frameworks also outlined all the main responses to deter Russian aggression and support Ukraine. The unity of the Member States and the speed of the decision-making process took on greater significance than before, and this was strengthened and consolidated as the conflict deepened; there was growing solidarity among the Member States and solidarity with Ukraine, and progress was made in the enlargement processes of both organisations. The larger allies took a clearer stance on the military defence of the Baltic states, deploying additional troops to the region. Over the course of the year, the outlook for energy security and supply improved significantly, and the green transition and the innovation that underpins it accelerated.
- **Supporting exports and investment in an uncertain economic environment.** As long as Russia's war of aggression in Ukraine and tense disagreements in US-China relations continue, the economic outlook and forecasts remain highly uncertain. In economic diplomacy, this means increased competition between countries to attract investment. The success of Estonia in a narrower sense, and of the Nordic countries more broadly, in attracting new investment and in reorienting industrial and energy policy will determine the global competitiveness of Estonia and our immediate region in the long term. Business models and supply chains continue to change rapidly in the aftermath of the pandemic, which means that companies are less willing to take risks and seek new opportunities in foreign markets, and are increasingly focused on dayly survival. As a result, businesses increasingly need to be better informed about geopolitical risks, in particular the implementation of protectionist measures, the

enforcement of the sanctions regime, and the risks arising from retaliatory sanctions.

- **A growing and geographically expanding diaspora of Estonians.** The Estonian community living outside Estonia is large and diverse. It has developed in waves, with different causes and different drivers. Historical events, the search for a better life, and the joy of discovery and adventure have led Estonians to many parts of the world where viable communities have survived. It is the duty of the Estonian state to support and, where necessary, represent and assist these people and its citizens.

Detailed information on the implementation of the performance area can be found at: https://www.vm.ee/ministeerium-riiklik-protokoll-press/eesti-valispoliitika-arengukava-2030.

**Table 31.** Target levels of metrics in the performance area of foreign policy and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Regional security**<br>Source: Ministry of Foreign Affairs | Stable | Unstable | Unstable | Stable | Stable | – |
| **EU coherence/EU cohesion index (value)**[56]<br>Source: European Council on Foreign Relations | 6.7[57] | –[58] | –[59] | ≥ 6.8 | ≥ 6.8 | – |
| **Estonia's position in the global competitiveness ranking of the World Economic Forum**<br>Source: World Economic Forum | Not published[60] | –[61] | –[62] | 27 | 25 | – |
| **Estonia's presence and influence in the world (general position)**[63]<br>Source: Elcano Global Presence Report | 88[64] | 82[65] | 82[66] | ≤ 89 | ≤ 89 | ≤ 89 |
| **Estonia's presence and influence in the world (position among countries with up to 5 million inhabitants)**<br>Source: Elcano Global Presence Report | 12[67] | 9[68] | –[69] | ≤ 12 | ≤ 12 | – |
| **Proportion of development cooperation in GNP**<br>Source: OECD | 0.16% | 0.17% | 0,16 [70] | 0.21 | 0.23 | – |

**Table 32.** Implementation of the budget of the performance area of foreign policy (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -76,082 | -94,168 | -107,371 | -93,931 | -120,223 | -104,763 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

[56] EU Cohesion Monitor EU Cohesion Monitor | ECFR
[57] Baseline data from 2019.
[58] The report for the period has not yet been published by the European Council on Foreign Relations (ECFR).
[59] The report for the period has not yet been published by the European Council on Foreign Relations (ECFR).
[60] In the COVID-19 situation, the World Economic Forum did not rank countries according to competitiveness.
[61] The report for the period has not yet been published by the World Economic Forum.
[62] The report for the period has not yet been published by the World Economic Forum.
[63] Elcano also recalculates the results of previous periods when publishing each new report. The Foreign Policy Development Plan 2030 sets out the objectives to maintain Estonia's position at the level of 2018. For the sake of comparability, indicators and target levels based on the latest Elcano report are referenced, which may differ from the results referenced in previous documents.
[64] Data 2019.
[65] Data 2020.
[66] Data 2021.
[67] Data 2019.
[68] Data 2020.
[69] Data 2021.
[70] Preliminary assessment.

## 1.2.16 Security and national defence

### Objective of the performance area

Plausible deterrence against a military aggressor. Ability to resist an attack with the actions of the entire society. Rapid and effective implementation of collective defence and international crisis management if necessary.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia offers a safe and high-quality living environment that takes into account the needs of all its inhabitants.

### Development plans of the area

National Defence Development Plan 2017–2026

National Defence Development Plan 2022–2031

### Programmes of the performance area

Independent military defence capabilities

Participation in collective defence

Intelligence and early warning

Defence policy development and support activities

### Area of government related to the performance area

Area of government of the Ministry of Defence

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- **In terms of NATO's defence spending target for 2022, Estonia was one of the seven Member States that met the two percent of GDP target for defence spending.** In 2023, Estonia's defence spending is projected to be 2.85 percent of GDP and is expected to exceed three percent in 2024 for the first time.
- **US security assistance to Estonia increased to 140.5 million dollars in 2022.** The bulk of this amount will go towards the implementation of the planned Defence Forces' M142 HIMARS programme by 2025.
- **The Madrid Summit in June agreed on a framework to strengthen NATO's deterrence and defence posture and took specific decisions to strengthen NATO's Eastern flank.** For Estonia, this means the development of a division-sized unit and its command structure in cooperation with allies, which started in autumn 2022. The Estonian division will lead all major operations in Estonia in the NATO chain of command, and its composition will include units of the Estonian Defence Forces, Allied units permanently stationed in Estonia and Allied reinforcement units.
- A British battalion and French and Danish companies will remain in Estonia for the foreseeable future. Estonia will also continue its Baltic air security mission, which the allies are in a position to reinforce rapidly. The US is also stepping up its rotating military presence in the Baltic states.
- In order to develop rapid air, land, and sea access to Estonia for allied forces, the European Commission has decided to support the EstMilMob project with 31 million euros in 2022. The project aims to improve transport connections to the Tapa campus over the next five years. The total cost of the project is 62 million euros, half of which is financed by the European Union . A total of 10.7 million euros will support a project to improve the reception of allied forces at Tallinn Airport and significantly increase the airport's fuel storage capacity. The cost of the project is 21.4 million euros, half of which is financed by the European Union.
- In January, the Government of the Republic allocated 339.5 million euros to improve defence capabilities, which will be used mainly to increase ammunition stocks. Major deliveries are planned for 2023 and 2024. The necessary infrastructure for ammunition storage will also be established.
- In March, the Government of the Republic allocated a further 476.8 million euros to the Ministry of Defence for 2022–2025. The reinforcement package was developed taking into account first-hand experience and lessons learned from the war in Ukraine, and military advice from the Commander of the Defence Forces to upgrade the most critical capabilities. The funds allocated were used to improve short-range air defence, anti-tank and indirect fire capabilities and situational awareness, to increase allied reception infrastructure and ground defences up to 20,000 fighters, and to procure loitering munition.
- During the negotiations on the 2023–2026 state budget strategy, it was decided to establish a functioning medium-range air defence capability for Estonia by 2025, and more than 405 million euros were allocated for this purpose. In addition, 30 million euros have been allocated for the development of infrastructure to welcome allies.
- **In 2022, Estonia has provided Ukraine with more than 255 million euros worth of military assistance**, including Javelin anti-tank missiles, 122 mm and 155 mm howitzers, anti-tank mortars, anti-tank grenade launchers, mortars, vehicles, communications equipment, medical supplies, personal protective equipment (helmets and others), and dry rations. Through the European Peace Facility, Estonia will recover at least 156 million euros.
- The additional units of the Defence League, formed in 2022 to reinforce land protection, were manned by the end of the year.
- In order to promote broad-based national defence, seminars on national defence for local government leaders were launched in cooperation with the Defence League, the Rescue Board, and the Police and Border Guard Board to promote the defence of the state and the population at local level.
- In order to test the combat readiness of the Defence Forces and their response to a threat scenario in an international framework, the **exercise "Siil 2022"** was conducted in May 2022 **, with the participation of nearly 15,000 members of the Estonian Defence Forces, allied and partner countries**. In the framework of the exercise "Defender Europe", a naval demonstration exercise was conducted in

Saaremaa with the participation of the United States Marines and the Saaremaa detachment of the Defence League. In September, the government decided to hold the **largest** ever **additional training exercise "Okas 2022"** for 2,861 reservists and members of the Defence League in wartime units, to train their readiness to react quickly at any time. At the end of November and the beginning of December, Tallinn hosted NATO's Cyber Coalition, one of the largest cyber exercises of its kind in the world. The aim of the exercise was to strengthen the capacity of NATO allies and partners to protect their networks and cooperate in cyberspace.

- Due to the rise to power of the undemocratic Malian junta, Estonia decided to end its participation in all international military operations in Mali in 2022 (BARKHANE, MINUSMA, EUTM Mali).
- In the context of the NATO Innovation Agenda DIANA[71], decided at the NATO Summit in June 2021, the NATO Secretary General approved in 2022 Estonia's request to establish a **DIANA European Headquarters in** Estonia together with the United Kingdom, to establish a NATO Start-up Accelerator in Estonia and to connect several local testing facilities for new technologies to DIANA. DIANA will set up accelerators for start-ups across the Alliance, a network of test centres, and a database of trusted capital.
- **In 2022, Estonian companies and research and development institutions mobilised 14 million euros from the European Defence Fund for research and development.** The Ministry of Defence co-finances these projects with 0.5 million euros.
- Residents' willingness to participate in defence increased by nine percent compared to 2021.
- **Organisationally, reforms continued in the area of governance to achieve further efficiency and savings.** As of 1 September 2022, the management of assets necessary for national defence was transferred to the National Defence Investment Centre and the consolidation of the personnel services of the Ministry of Defence into the Defence Resources Agency was prepared, which will create better opportunities for meeting the challenges of national defence human resources in the future.

## Challenges

- **Establishment of a division-size unit, as agreed at the Madrid Summit, development of its command and control structure, and provision of the necessary conditions for an additional allied presence** (barracks, technical and pre-positioned equipment infrastructure, expanded training areas).
- Greater involvement of employers and the private sector in contributing to national defence to increase their willingness to support the participation of reservists in training sessions. Attention also needs to be paid to raising young people's sense of defence and their attitudes towards national defence before they join the army.
- A total of 4,000 conscripts by 2025 and an increase in the number of active servicemen as planned.
- **The growth target for the active servicemen in 2022 was not met.** A higher-than-expected number of active servicemen over 50 years of age left the service (retirement) and a higher-than-expected number of active servicemen in fixed-term service did not wish to enter into a new fixed-term relationship.

Detailed information on the implementation of the performance area can be found at: https://kaitseministeerium.ee/et/eesmargid-tegevused/kaitsevoime-areng

**Table 33.**Target levels of metrics in the performance area of security and national defence and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 |
|---|---|---|---|---|---|
| **Units are manned, equipped, trained in accordance with the decisions of the National Defence Development Plan**<br>Source: Ministry of Defence | Yes | Yes | Yes | Yes | Yes |
| **Allied troops are permanently stationed in Estonia**<br>Source: Ministry of Defence | Yes | Yes | Yes | Yes | Yes |
| **Level of military defence spending of GDP according to the NATO method**<br>Source: Ministry of Defence | 2.35% | 2.06% | 2.15% | > 2.0% | > 2.0% |
| **Willingness of readiness to participate in defence activities**<br>Source: Public poll survey | 57.6% | 57% | 66% | > 55% | > 55% |
| **Number of active servicemen at the end of the year (at least)**<br>Source: Ministry of Defence | 3,655 | 3,459 | 3,335 | 3,586 | 3,623 |

[71] *NATO's Defence Innovation Accelerator for the North Atlantic.*

**Table 34.** Implementation of the budget of the performance area of security and national defence (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -515,615 | -519,852 | -666,815 | -616,630 | -826,612 | -1,044,458 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.17 Culture and sports

### Objective of the performance area

To shape a society that values creativity by preserving and promoting the Estonian national identity, researching, preserving and carrying cultural memory, and creating favourable conditions for the development of a viable, open and diverse cultural space and participation in culture

Physical activity and sports have an important and growing role in promoting the vitality of Estonians, creating a rich living environment, and shaping the good reputation of the Estonian state.

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's people are smart, active and care about their health.

### Development plans of the area

Cultural Development Plan 2021–2030

General Principles of Estonian Sports Policy until 2030

### Programmes of the performance area

Cultural programme

Sports programme

### Areas of government related to the performance area

Area of government of the Ministry of Culture

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- To increase regional accessibility to participation in culture and both the new generation of professionals and informed audience, the Culture Backpacks support measure has been implemented since 2022 aimed at enabling children and young people to visit theatrical performances, movie screenings, museums or other cultural institutions or events as part of their curriculum.
- In 2022, a number of important decisions were taken to allocate additional resources to culture for 2023. The minimum wage for higher-educated cultural workers in the area of government of the Ministry of Culture will rise from 1,400 euros to 1,600 euros, or 14.3%. In addition, 7.34 million euros in additional wage increases were given to heads of agencies. To ensure the sustainability of institutions and activities in the field of culture and sports, the basic state funding increased by 12.8 million euros.
- In 2022, the preparation of the amendment of the Creative Persons and Artistic Associations Act continued, with a broad involvement of the sector.
- The Public Holidays and Days of National Importance Act was amended, adding a new flag day to the calendar of national holidays – 30 January, Estonian Literature Day – in recognition of the diversity of Estonian literature and the work of writers.
- The Performing Arts Institutions Act was amended in order to streamline and detail the funding system for theatres, with the amendments entering into force on 1 November 2022. The basis for the 2023 call for applications was the amended Regulation on the Funding of Performing Arts Institutions, with thoroughly clarified criteria and evaluation principles. The changes will provide an even better opportunity to support sectoral diversity in the theatre landscape and access to the performing arts in all regions across Estonia.
- The "Film Estonia" cash rebate fund has been successful, aiming to encourage international film production and co-production projects coming to Estonia by refunding up to 30 percent of eligible production costs incurred in Estonia. According to an analysis carried out in 2022, a total of 189 jobs were created in 2021 thanks to the cash rebate fund and 2.7 million euros in tax revenue was generated. For every euro invested with the support of the cash rebate fund (excluding direct tax revenue), a total of five euros of value is created in the economy.
- One million euros has been allocated in 2022 to further support the Russian-language information space.
- During 2022, a study was carried out and proposals were developed to reduce the environmental footprint of cultural and sporting activities.
- Proposals to bring in additional private funding for culture and sports were developed in 2022. In addition, the launch of two pilot projects is under preparation: promoting museum donation culture and estsblishing a cultural fund for Ida-Viru County.
- In 2022, a position of Cultural Representative was created in Stockholm, and the Cultural Representative started work at the beginning of 2023.
- In 2022, a cultural cooperation programme was signed between the three Baltic countries, setting out joint priority actions for 2023–2026, as well as a cultural and educational cooperation programme for 2022–2026 with Italy and a cultural cooperation programme for 2022–2025 with Georgia.

- The Ministry of Culture, through the Ukraine Emergency Relief Fund, has made it possible to carry out cultural and sports events of importance to the Ukrainian creative sector, in cooperation with an Estonian partner, and has provided material assistance to the country (including electricity generators that have reached cultural institutions in the Zhytomyr oblast).
- A support measure for innovation in public libraries was developed, to be launched from 2023, as the first phase of the planned reform of public libraries with the aim of developing public libraries as public service providers.
- Work has started on a measure to support the energy efficiency of listed buildings, funded by the sale of $CO_2$ quotas. Over three years (2024–2026), the measure will provide a total of 24 million euros in support for buildings with a public function.
- Preparations were made for the implementation of the creative industries support measure for the new EU funding period, including the involvement of stakeholders.
- In order to ensure the sustainability of Estonian cultural life and to generate new innovative ideas, 0.5 million euros were allocated to support creative research in the cultural and creative fields in 2022 (11 projects were supported), and the measure will continue in 2023. The Ministry of Culture has received 6.4 million euros in funding to pilot a research and development programme for Estonian culture for the period 2023–2026.
- As a step in the implementation of the reform of physical activity, the Estonian Olympic Committee established the Physical Activity Competence Centre in 2022, which aims to create added value for sports organisations and promote cross-sectoral cooperation through the central management and development of physical activity.
- 2022 was a successful year for Estonian professional sports. A total of 327 medals were won in the title competitions in the adult, junior, and youth classes, 30 of which were in the Olympic disciplines.
- Among international competitions, Estonia hosted for the first time the WTA[72] 250 tennis tournament, three figure skating championships, the traditional Tallinn Ironman, Rally Estonia, Tallinn Marathon, and several other competitions, which were supported by the state with a total of more than 6.7 million euros. The Estonian men's basketball team once again played in the basketball finals, this time in Milan, and the Estonian men's volleyball team secured their place in the 2023 finals.
- In 2022, multi-purpose football halls were completed in Rapla and Tartu, and construction started in Pärnu. At the same time, halls are under construction or have not been started in other counties. Construction has slowed down due to the rapid rise in prices, and in order to mitigate the price increase, the 2023 state budget will provide additional support for the construction of the football halls in Kuressaare, Paide, Pärnu, and Rakvere, in addition to the previously allocated amounts. Additional funding for the other halls will depend on decisions taken in the next national budget strategies.

## Challenges

- Improving the working conditions of creative and cultural workers, including those in hobby education.
- Greater appreciation of the work of professionals, instructors and leaders in the area of culture, including at local government level.
- Improving the accessibility of culture across different target groups and fields, and regionally.
- Increasing access for people with special needs to participation in cultural activities and consumption of cultural services.
- Ensuring the long-term physical and digital preservation of cultural heritage, including the creation of heritage repositories.
- Supporting Ukraine's creative sector, promoting cooperation with Estonia, and supporting the country internationally.
- There is a need to continue to focus on valuing the work of coaches, promoting physical activity and sport for all, and to streamline sport support mechanisms.

Detailed information on the implementation of the performance area can be found at: https://www.kul.ee/asutus-uudised-ja-kontakt/kultuuriministeerium/strateegilised-alusdokumendid-ja-programmid.

**Table 35.** Target levels of metrics in the performance area of culture and sports and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 | Target level for "Estonia 2035" |
|---|---|---|---|---|---|---|
| **Participation of residents in cultural life**<br>Source: Statistics Estonia | 73.8% | – | – | – | – | 80% |
| **Proportion of people engaged in physical activity on a regular basis (twice a week for 30 minutes) of the 16–64 age group**<br>Source: Institute for Health Development | 45.2% | – | 45.2% | 47% | – | – |

[72] *Women's Tennis Association.*

**Table 36.** Implementation of the budget of the performance area of culture and sports (in thousands of euros)

| | Imple-mentation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Imple-mentation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -305,915 | -286,656 | -395,222 | -314,227 | -351,922 | -319,337 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.18 Cohesive society

### Objective of the performance area

Estonia is a cohesive and inclusive society

### Strategic target of the "Estonia 2035" strategy most relevant to the performance area

Estonia's society is caring, cooperative and open-minded.

### Development plan of the area

Cohesive Estonia Development Plan 2030

### Programmes of the performance area

Integration, including adaptation programme

Estonian Community Programme

Smart population census

Financing of political parties

Action plan for Global Estonia

### Areas of government related to the performance area

Area of government of the Ministry of Culture

Area of government of the Ministry of the Interior

Area of government of the Ministry of Foreign Affairs

#### OVERVIEW OF THE PERFORMANCE AREA

### Positive developments

- **In the wake of the Russian-initiated war in Ukraine and the subsequent events, integration into the Estonian cultural and information space became a much stronger focus in 2022, alongside socio-economic and socio-political integration.** Due to the need to support the independent coping of Ukrainian war refugees, the Ministry of Culture launched in 2022 a one-day training module and A1-level Estonian language training in an adaptation programme for Ukrainian war refugees with temporary protection status. The training was offered in both Russian and Ukrainian, in contact and online formats. The training was launched at the end of June and by the end of 2022, nearly 13,000 people had completed it. A total of 1,116 beneficiaries of temporary protection completed an A1 language course and 3,024 beneficiaries of temporary protection started language training. Prior to the offer of adaptation training, outreach activities were organised for war refugees in cooperation with various organisations.
- In addition to beneficiaries of temporary protection, the **adaptation programme continued to provide training for other target groups**: newcomers to Estonia on the basis of the so-called "circular migration" and beneficiaries of international protection. The target group of beneficiaries of international protection (refugee or subsidiary protection status) increased in 2022. The four-day adaptation programme for the latter was attended by 366 people. Around 1,500 people who arrived in the EU as regular migrants completed their language studies in 2022.
- **Estonians abroad are part of Estonian society.** A scholarship programme for young people of the same nationality to carry out a professional traineeship in Estonia was successfully launched. 17 young people from all over the world completed a professional traineeship in Estonia, gaining experience to enter the Estonian labour market, participate in Estonian society, and grow their network of professional contacts in Estonia.
- **Communication and exchange of information are important in maintaining and promoting ties with Estonians abroad.** To this end, a central web portal for the sector, Global Estonian, was developed, and "Media Space 2022" was organised for diaspora publications and key communicators to support information exchange with communities.
- **Returnees who often come with children and families contribute to the development and continuation of the Estonian population.** Return migration to Estonia continues to outnumber out-migration and therefore (re)integration support services and capacity building (more counsellors) were developed.
- **Estonian NGOs and citizens have an important role to play in adapting to the effects of the war in Ukraine, including helping refugees.** In order to better organise these activities and to promote cooperation between public authorities and non-governmental organisations, the Ministry of the Interior relaunched **the civil society crisis network**. Year on year, Estonian residents have **become more involved in charity**, with donations increasing significantly in 2022, especially to help refugees and Ukraine. This was helped somewhat by an amendment to the Income Tax Act, which allows legal entities to donate tax-free to Ukraine.
- **The capacity of communities and local authorities to work together has improved.** A number of activities were undertaken to empower communities. For example, a renewed county advisory service was launched and ten local authority and community teams participated in the community development programme. A model for co-creating with

communities has also been developed, which each municipality can implement in its own area.

- **The population register is increasingly important to the state and the people.** The number of queries made to the population register increased by more than nine million in 2022. In total, 177 million queries were made. A higher number of queries are accompanied by other supporting activities, such as those needed to make data access decisions and to release data. Satisfaction with the e-services of the population register was 75 percent. Taking into account people's feedback, e-services were improved to make them more usable. An important innovation **in 2022 was the addition of the possibility to file a marriage declaration electronically** – people already use this option in more than half of cases. The aim is to move forward with the development of convenient, automated, and electronic services. To this end, the *Riigikogu* adopted the necessary amendments to the law.
- The importance of the population register came into sharp focus with the arrival of the Ukrainian war refugees. Solutions were quickly found **to mass-issue personal identification codes to refugees, to register their place of residence, and to enter details of family events in the population register** – data which is the basis for the provision of various services and thus an essential prerequisite for dealing with the challenges faced by refugees.
- **An agreement was signed with Finland on the exchange of population register data.** Many benefits and vital services are linked to a person's place of residence. Exchanging data will help to ensure access to services for people living in another country and improve the quality of the population register data.

## Challenges

- **Ethnic groups living in Estonia differ in their assessments of the importance and reliability of different sources of information.** It is necessary to continue to strengthen the common information space: support Russian and English language channels, empower local media channels. Launch a media literacy programme for adults and produce digital learning materials to support media literacy.
- **The plan is to continue offering the adaptation programme.** The creation of an additional module in the adaptation programme for beneficiaries of temporary protection is being considered, which would help people arriving in Estonia to better enter the labour market, either as workers or employers.
- Needs-driven **integration services, including adaptation services, must be organised in a client-centred and effective way**. Attention needs to be paid to raising awareness among target groups so that people can easily understand the services.
- Despite the progress made in recent years in exchanging information with communities, **there is a need to build and strengthen a common information space** in order to better connect and communicate more systematically with Estonians abroad. **More attention and activities need to be focused on engaging children and young people with Estonian roots abroad.**
- In the context of the war in Ukraine, **it is necessary to maintain Estonia's good international image** – Estonians abroad contribute to the promotion of Estonia's image.
- **The introduction of a community-centred approach needs to be addressed more than before.** It is also necessary to continue with the provision of the county civil society counselling service, which will result in more support for local communities.
- The changes brought about by the coronavirus and the impact of the war in Ukraine have highlighted the innovative nature of civil society and its capacity to address societal challenges quickly. The state needs to encourage this. **Voluntary networks need to be developed and a fund to support innovative initiatives ensured.**
- **Support for social entrepreneurship and profit-generating non-governmental organisations needs to continue.** For example, restrictions that prevent social enterprises from benefiting from business support measures for socially innovative activities compared to ordinary enterprises must be removed.
- Opportunities for **involving private funds in donating** must be created.
- In the context of the effects of the war in Ukraine, it is planned to promote **the social inclusion of refugees** who have arrived by offering them voluntary activities.
- **Upgrading of the population register software**, which does not support the creation of modern IT solutions.
- It is necessary to contribute to making **services related to population register data convenient**, easily structured and logically connected.
- Preparing a new law on names and civil status to **make procedures simpler and paperless**.
- Entering into contracts for the exchange of population register data with foreign countries and organising data exchange.

Detailed information on the implementation of the performance area can be found at: https://siseministeerium.ee/sidest#aruanded

**Table 37**. Target levels of metrics in the performance area of Cohesive society and the actual performance

| Metric | Performance in 2020 | Performance in 2021 | Performance in 2022 | Target level in 2022 | Target level in 2023 |
|---|---|---|---|---|---|
| **Proportion of people carrying strong or moderate national identity, Estonians**<br><br>Source: Estonian Integration Monitoring | 78% | – | – | – | ≥ 79% |

| | | | | | |
|---|---|---|---|---|---|
| **Proportion of people carrying strong or moderate national identity, other nationalities**<br>Source: Estonian Integration Monitoring | 85% | – | – | – | ≥ 86% |
| **Sense of unity with Estonia among Estonians living abroad**<br>Source: Survey related to Estonian expat communities and return | – | 84% | – | ≥ 84% | ≥ 85% |
| **Satisfaction with the engagement of residents in the local government**<br>Source: Satisfaction survey commissioned by the Ministry of Finance | 38% | – | – | > 38% | > 38% |
| **Recommended satisfaction index with the e-services of the population register**<br>Source: Recommy, population register | 70 | 74 | 75 | > 72 | > 72 |

**Table 38.** Implementation of the budget of the performance area of Cohesive society (in thousands of euros)

| | Implementation of the budget for 2021 | Initial budget for 2022 | Final budget for 2022 | Implementation of the budget for 2022 | Initial budget for 2023 | STATE BUDGET STRATEGY 2024 |
|---|---|---|---|---|---|---|
| Expenditure | -24,948 | -21,621 | -37,109 | -26,732 | -32,472 | -31,250 |

Source: Report on the implementation of the state budget 2022, State Budget Act 2023, State Budget Strategy 2023–2026

## 1.2.19 Chancellery of the *Riigikogu*

The objective of the Chancellery of the *Riigikogu* is to create conditions necessary for the *Riigikogu* to fulfil its constitutional functions. The tasks of the Chancellery include advising the *Riigikogu*, its management board, committees, parliamentary groups and members of the *Riigikogu*, ensuring administration and organisational, economic and technical conditions for their work.

The *Riigikogu* has 101 members. The work of the *Riigikogu* takes place in plenary meetings, committees, parliamentary groups and foreign delegations of the Riigikogu.

In addition, the Chancellery of the *Riigikogu* serves the State Electoral Office, the Foresight Centre, the National Electoral Committee, and the Political Parties Financing Surveillance Committee.

The task of the State Electoral Office is to prepare and conduct referendums and elections of the *Riigikogu*, President of the Republic, municipal councils, Chairman and Deputy Chairman of the *Riigikogu*.

The Foresight Centre works on identifying and analysing long-term developments in Estonian society and preparing development scenarios based on them.

The task of the National Electoral Committee is to ensure compliance with the principles provided for in the Riigikogu Election Act and performing other tasks arising from the law.

The task of the Political Parties Financing Surveillance Committee is to verify the compliance of the activities of the political parties, election coalitions and independent candidates with the requirements provided for in the Political Parties Act.

### Adoption of laws and parliamentary scrutiny

- The 14th *Riigikogu* adopted 146 legislations on the 7th and 8th sessions of 2022.
- During the reporting period, 123 sessions were held, including five additional sessions.
- There were 11 extraordinary sessions.
- 22 collective appeals were accepted.
- 11 important national issues were discussed.
- Members of the Government and other officials appeared before the *Riigikogu* 22 times.
- Political statements were made to the *Riigikogu* on 12 occasions.
- There were two censure votes and two votes of no confidence, and six drafts were linked to a vote of confidence.
- 58 inquires and 66 written questions were submitted to the Government of the Republic and its members.

### Parliamentary activities at committees of the *Riigikogu*

There are 11 standing committees and three select committees of the Riigikogu. In addition, there was one problem committee in the *Riigikogu* in 2022: the problem committee on the development of Estonian language learning.

The committees held 837 meetings during the accounting period:
- 710 meetings of the standing committees;
- 106 meetings of the select committees;
- 21 meetings of the problem committee.

### Cooperation on parliamentarianism at international level

2022 turned out to be the year of Ukraine in external relations. Russia's full-scale aggression against Ukraine, which began on 24 February, had a major impact on the subsequent visits and meetings.

In 2022, the President of the *Riigikogu* made an official visit to the Kingdom of Spain, visited Ukraine three times, and Finland and Azerbaijan. In February, a working meeting (on support and assistance to Ukraine) was held in Riga between representatives of the Baltic countries and the Swedish President of the Parliament. At the end of March, the presidents of the European Union's parliaments met in Ljubljana. In May, NB8 presidents of the parilaments visited Moldova to show the Nordic and Baltic countries' support for Moldova's democratic governance. The traditional meeting of the NB8 presidents of the parliament took place in August in Kaunas. At the end of October, the first Parliamentary Summit of the Crimea Platform took place in Zagreb, with the Presidents of the Parliaments of the participating countries. In the second half of 2022, Helir-Valdor Seeder, the First Vice-Chairman of the *Riigikogu*, paid a visit to Ukraine. Martin Helme, the Second Vice-Chairman of the *Riigikogu*, participated in various events organised by their party group.

The parliamentary associations of the *Riigikogu* were active. The workshops, seminars, and meetings organised in 2022 focused on topics such as Russian aggression in Ukraine, the development of national space laws, the role of parliaments in responding to climate change, the green transition, economic recovery, dealing with the aftermath of the COVID-19 crisis, ensuring security in Europe.

### Notification of the public

In 2022, access to ceremonies, the flag-raising on 24 February in the Governor's Garden, and tours were restored – 714 groups visited the *Riigikogu* per year, with 23,862 visitors.

September 2022 marked the 100th anniversary of the opening of the *Riigikogu* building. To mark the occasion, a jubilee postage stamp "100 years of the *Riigikogu* building" was created by artist Jaan Saar.

5 October marked 30 years since the first *Riigikogu* was elected after Estonia regained its independence. On this occasion, the members of the VII *Riigikogu* met again at Toompea Castle.

### State Electoral Office

The main focus of the State Electoral Office was on the preparation of the 2023 *Riigikogu* elections. The necessary equipment for the elections was ordered, the city and rural municipality secretaries were advised on the formation of voting stations. An electronic voter list, VIS, was introduced at elections for the first time.

For the elections, the e-voting system was upgraded, a redesigned voter application was created, a system review of the e-voting system was carried out, and its risk assessment was updated. The e-voting system was interfaced with the electronic electoral list. An election line was opened in cooperation with the Emergency Response Centre to advise voters. The Information System Authority provided user support on technical issues in the voter application.

An overview "Comprehensive audit and assessment of the security of election information systems and related processes for the Ministry of Economic Affairs and Communications", prepared by KPMG Baltics OÜ, was completed. No critical weaknesses or security flaws were found in the election information systems or work processes.

### Foresight Centre

The Foresight Centre worked on four research areas: the future of higher education, the future of data freedom, the long-term effects of the Russian-Ukrainian war on Estonia, and green transition scenarios in Estonia. Research into the green transition scenarios started in the autumn and the final report will be available in spring 2023.

Three summary reports were published ("The future of higher education. Development trends until 2035"; "Long-term effects of the Russian-Ukrainian war on Estonia. Population, integration, external trade"; "The future of the data society. Scenarios to 2035") and 12 short reports.

### Political Parties Financing Surveillance Committee

In addition to the usual scrutiny of the reports of political parties, it was also involved in the handling of infringements of the Political Parties Act and in a number of court cases related to the Commission's injunctions. The court proceedings for an injunction to return the largest prohibited donation to date have ended: On 1 March, the district court's decision to return the prohibited donation of 843,000 euros entered into force.

An overview of the activities of the Chancellery of the *Riigikogu* in 2022 can be found at: https://www.riigikogu.ee/riigikogu/riigikogu-kantselei/eelarve-ja-majandusaasta-aruanne/.

## 1.2.20 Supreme Court

The Supreme Court is the highest court of the Republic of Estonia, whose jurisdiction and functions are set out in the Constitution, the Courts Act, and acts on judicial procedure. According to the Constitution, the Supreme Court is the court of cassation and the court of constitutional review. The role of the Supreme Court is to contribute to the proper administration of justice in the judiciary, in particular by organising the work of self-governing councils of judges, and to the development of judicial practice. The Supreme Court organises the training of judges, acts in the external relations of the judiciary, and the President of the Supreme Court chairs the Council for Administration of the Courts.

### Staff

As of 31 December 2022, the Supreme Court had 95 service positions, including 19 for the justices of the Supreme Court, 53 for the office, and 23 for the workplace. Total annual labour turnover was 11.6 percent (20.0 percent in 2021), voluntary turnover 7.4 percent (10.5 percent in 2021). During the year, 11 employees left the

Supreme Court (21 in 2021) and 10 employees joined it (nine in 2021).

## Budget

The preliminary budget of the Supreme Court for 2022 (excluding value added tax and non-monetary expenses) was 5,383,242 euros, to which 7,258 euros were added from the Government of the Republic's earmarked reserve and 8,200 euros from the supplementary budget. From 2021 onwards, 365,648 euros (multi-annual projects) were brought forward. The amendment to the 2022 State Budget Act transferred 500,000 euros from the budget of the Ministry of Justice to the budget of the Supreme Court. Of the final budget of the Supreme Court (6,264,348 euros), 30.6 percent (1,913,800 euros) were unrestricted, and 69.4 percent (4,350,548 euros) restricted.

## Administration of justice

In 2022, a total of 2,491 procedural applications were filed – 935 in civil cases, 934 in criminal cases, 622 in administrative cases (compared to 2021, procedural applications -7.3 percent, state legal aid applications +15.1 percent). Together with the previous ones, 2,999 applications were pending. Of those submitted, 2,453 applications were examined (performance 98.5 percent, performance improved by 6.2 percent). The number of applications decided to be taken into consideration was 1,946, of which 241 were taken into consideration (12.4 percent, similar to the previous year). A total of 12 cases were examined under the constitutional review, of which four were granted, four were returned, and four were rejected. The average net duration of proceedings was 64 days for preliminary proceedings and 122 days for main proceedings.

## Organisation of the work of the municipal councils of judges

*Court en banc*

Court *en banc* is comprised of all the state's judges. The Supreme Court prepared and conducted the XXI *en banc* session of the Judiciary, where, in addition to briefings by the Chief Justice of the Supreme Court and the Minister of Justice on the development of the legal and judicial system and organisational issues, the central topic of discussion was the judiciary in a changing world.

*Judicial examination committee*

A total of 22 applications for admission to the examination were received in 2022, and six people taking the examination successfully passed the examination. Five competitions were held to fill 24 positions, for which 96 candidates applied. As at the end of 2022, there were 37 judges with less than three years' length of service.

*Training council*

The training council analysed the implementation of the 2021 training programme, approved the training report, monitored the implementation of the 2022 training programme for judges, set priorities for the preparation of the 2023 training programme, and approved it.

*Judiciary Disciplinary Chamber* In 2022, three judges were subject to disciplinary proceedings.

*Judiciary Ethics Council*

In 2022, the judiciary ethics council was addressed on eight occasions.

## Training activities

In 2022, a total of 60 training courses were prepared and delivered on 68 days. During the year, 206 judges attended at least one training course (90 percent of working judges, more than 2,500 sessions). Participation rates for starting judges and prosecutors were 96 percent and 94 percent, respectively. A total of 20 training courses were made available for independent study.

The Supreme Court participates in the European Judicial Training Network. In 2022, the judges of the first and second instance participated in foreign training courses through the Supreme Court a total of 86 times, five judges went on an extended study visit to the United States of America as part of the Open World programme. In cooperation with the Academy of European Union Law and the Office of the Public Prosecutor, a seminar "Application of European Union anti-discrimination law" was organised for judges, advocates-general, and prosecutors in Tallinn.

The Supreme Court continued to carry out legal training for court officers pursuant to a contract entered into with the Ministry of Justice. In 2022, there were five training courses for judicial officers over five training days. In 2022, 15 judges participated in bar association training courses and five judges attended training courses of the Prosecutor's Office. Prosecutors attended 44 training courses for judges and lawyers 143 training courses.

## International communication

The Supreme Court is a member of ten international organisations, including on the governing boards of two. In addition to regular communication in member organisations (foreign missions, questionnaires and other data exchange), the Supreme Court organised a trilateral meeting and a joint seminar in Tartu in 2022 in the framework of the Baltic Supreme Courts Cooperation Project, and hosted delegations from the Supreme Administrative Court of Finland and the Supreme Court of Ukraine. As part of the visit of the Supreme Court of Ukraine, a seminar of Estonian and Ukrainian judges "Judicial Conduct in the Context of War" was held.

## Council for Administration of the Courts

The Council for Administration of the Courts met four times in 2022. The budget of the courts, legal education, the workload of the courts, legislation governing the operation of the courts and the administration of justice, the judiciary in times of crisis, and other current issues were discussed.

## Important data sources on the activities of the Supreme Court

Detailed year-by-year reporting on the processing of cases Statistics | Supreme Court, training Training is part of the judiciary | Supreme Court, the work of self-governing councils of judges Local self-governing councils of judges | Supreme Court, Judicial Yearbook Year 2022 – Judicial Yearbook (riigikohus.ee), other Selected appearances and articles | Supreme Court.

## 1.2.21 National Audit Office

The principal activity of the National Audit Office is auditing. In 2022, the Audit Department of the National Audit Office completed 13 audits and overviews plus a number of memorandums. The department focused in particular on health issues. As a result of the analysis, a report was prepared for the *Riigikogu* entitled "Overview of the use and preservation of state assets from 2021–2022. Health care trends in Estonia".

In 2022, the Analysis Department of the National Audit Office completed three reviews, on the basis of which two reports and one memorandum were prepared. The focus of the Analysis Department was on planning the use of European Union grants in 2022 and the problems related to the ability to make use of the funds received at the right time and in the right manner to accelerate the development of Estonian economy and society.

### Major works in 2022

*Overview of the use and preservation of state assets in 2021–2022. Healthcare trends in Estonia*

The annual report of the National Audit Office to the Parliament last year addressed health problems. In order to prepare the report, the National Audit Office assessed what has become of the problems reported in health care audits carried out over the past ten years and how previous recommendations made by the National Audit Office have been implemented. The annual report concludes that the availability and/or quality of health care services may not be at the consistently expected level in the future.

*Accuracy of annual accounts 2021 and regularity of transactions of the state*

The National Audit Office issued a qualified opinion on the annual accounts of the state for 2021. There were no significant observations on the legality of the transactions.

*Establishment of the reserve force for national defence*

As a result of the audit, the National Audit Office found that the current number of conscripts and the system of manning the units of the Defence Forces have generally ensured sufficient manning of the planned units and regular renewal of personnel. At the same time, many reservists have not been invited to training sessions after their military service. The combat readiness of the Defence Forces, including the manning and training of units, is regularly monitored, but the evaluation exercises to confirm the results of the monitoring cannot be carried out for some units within the planned timeframe.

*Security of supply of construction minerals*

The National Audit Office found that if Estonia fulfilled its liabilities to the European Union to complete major infrastructure projects by 2030 – the four-lane TEN-T roads and the Rail Baltic railway line – the local construction minerals mined from the current quarries would not be sufficient to complete the construction on the basis of current studies and analyses. In order to implement major infrastructure projects, new quarries for the extraction of construction minerals will need to be opened up in the near future.

*Risks and lessons learned in using European Union funding*

The National Audit Office pointed to the risk that the state has difficulties in using European Union grants. For example, 588 million euros less than planned was spent in 2021, meaning that only 61 percent of what was planned was used. The shortfall from plans is more long-term: an average of 318 million euros per year of foreign funding planned in the state budget for the years 2017–2021. The money may not be lost through rapid rebuilds, but it will come with fewer schools, health centres, roads, and other necessities in a context of rapidly rising prices.

*Estonian Unemployment Insurance Fund training overview*

The National Audit Office found that although the Unemployment Insurance Fund (Töötukassa) is offering more and more training and spending more money on it, the Unemployment Insurance Fund still has no overview of whether the training is useful in finding a new job. Unless the Unemployment Insurance Fund analyses where people go to work after completing the training, and whether there is a link between the job found and the skills learned, there is no guarantee that the money is going to the right place and that the training offered is relevant to labour market needs.

* * *

Representatives of the National Audit Office participated in the sittings of the State Budget Control Select Committee of the *Riigikogu*, as well as in sittings of standing committees. Auditor General Janar Holm gave a speech introducing the annual report at the plenary meeting of the Parliament, replied to the interpellation by the members of the *Riigikogu*, and published several articles. The Auditor General also sent a letter of formal notice on the problems and risks related to the preparation of the construction of Tallinn Hospital.

The task of the Development and Administration Service is to support the principal activity of the National Audit Office, i.e. carrying out audits. In the area of audit quality and methodology and administration, in addition to providing ongoing advice and support to audit teams, the focus was on upgrading the audit module of the document management system and harmonising audit documentation practices. The development projects in the area of data analytics included in particular the development of an automated data exchange solution for the national aggregated annual accounts.

In the field of international communication, the action plan of the EUROSAI IT Working Group (ITWG) was implemented. Two major events were organised based on the plan: ITWG virtual spring meeting and ITWG annual meeting in a hybrid form in Romania.

At the end of 2022, there were 81 people in employment or service relationship with the National Audit Office, 78 of whom were actively employed. Overall labour turnover during the year was 9.1 percent. The gender breakdown of the National Audit Office is constant: As at the end of 2022, there were 32 percent of men and 68 percent of women among employees.

## 1.2.22 Office of the President of the Republic

The Office of the President of the Republic supports the President of the Republic in performing duties arising from the law. The Office organises national and international communication of the President of the Republic, manages information exchange with the media, the public and other partners, prepares legislation, and performs other tasks.

### Proclaiming laws and other decisions

In 2022, the President of the Republic proclaimed 124 laws and refused to proclaim two laws. In both cases, the *Riigikogu* decided to reopen the procedure. The Head of State made five decisions concerning changes in the composition of the Government of the Republic, including the nomination of the candidate for Prime Minister. The President of the Republic submitted to the *Riigikogu* a draft decision on the appointment of the Auditor General and made a decision to announce regular elections to the *Riigikogu*. The statutes of two foundations established by the President of the Republic were amended by three decisions of the Head of State.

### Appointment to office and granting of military ranks

The President made 36 decisions on appointment and removal of ambassadors extraordinary and plenipotentiary of the Republic of Estonia and two decisions on appointment and five decisions on removal of judges. The President issued 20 decrees to grant military ranks to servicemen.

### Awarding of decorations

The President of the Republic donated 148 national decorations for the anniversary of the Republic. In addition, national decorations were awarded on the occasion of the departure of foreign diplomats from Estonia (one decoration) and posthumously (one decoration). In 2022, the President donated a total of 150 state decorations by three decisions. The President of the Republic made one decision to withdraw decorations.

### Pardon

The clemency committee reviewed materials on 99 convicted offenders, three of whom were granted a pardon. Five resolutions on granting a pardon were prepared.

### National activities

In 2022, the President of the Republic visited many regions of Estonia and met with representatives of local governments, entrepreneurs, and other promoters and leaders of local life in different regions of Estonia. In addition to a number of shorter visits, the President made regional visits to Lääne-Viru County, Ida-Viru County, Pärnu County and Järva County, and toured Setomaa. During the year, the head of state gave many different speeches, greetings, addresses and gave school lessons.

### International communication

In 2022, the President's external relations were guided by three main objectives:

1) full support for Ukraine following the Russian military aggression in Ukraine which started on 24 February 2022;

2) securing and strengthening Estonia's security through foreign policy activities;

3) deepening ties with European and transatlantic partners. In addition to key foreign and security policy issues, foreign visits and meetings played an important role in promoting Estonian entrepreneurship, highlighting digital, education, science, climate and environmental issues. In line with the above-mentioned objectives, the President of the Republic made 26 foreign visits in 2022 and participated in numerous international meetings, conferences, and presentations. The Head of State's activities as patron of the Lennart Meri Conference also continued.

### External visits

Visits to Ukraine in February and April were notable. In all the other external visits and meetings, full support for Ukraine and raising the price of aggression for Russia have been central topics of discussion. In bilateral relations, visits to the United States of America (Texas), Sweden, Norway, Poland, Moldova, Romania, the United Arab Emirates (EXPO), Finland, Denmark, Iceland, Canada, Belgium, Italy (Venice Biennale) are also important.

In addition, the Head of State attended the UN General Assembly in New York, the Paris Peace Forum, the Davos Economic Forum, and the Halifax Security Forum. The President also participated in the meeting of Heads of State of Eastern and Central Europe (B9) in Warsaw in February and Bucharest in June, the Three Seas Summit in Riga in June, the Arraiolos Group Presidents' meeting in Malta in October, and the 3B Presidents' meeting in Riga in December. In connection with the 30th anniversary of the restoration of the independence of the Baltic states (2021), the presidents of Estonia, Latvia, and Lithuania paid a visit to Iceland, which was delayed due to the coronavirus pandemic.

### Visits to Estonia and international meetings

In 2022, the President hosted five foreign Heads of State. Official visits were made by President Cyprus Nicos Anastasiades in April, President of Greece Katerina Sakellaropoulou in May, President of Malta George Vella in September, and President of Finland Sauli Niinistö on a working visit in October. President of Poland Andrzej Duda paid a working visit to Tallinn in May as part of the Lennart Meri Conference. Meetings were also held with a number of heads of government (Belgium, United Kingdom, Greece), foreign ministers (Poland, France) and presidents of parliament (European Parliament, Azerbaijan), as well as parliamentary delegations (Ukraine) who visited Estonia. The Head of State also met with the Secretary General of NATO, the President of the European Commission, and the Secretary General of the OSCE, who visited Estonia.

### Other meetings

Regular meetings with the Foreign Affairs Committee of the *Riigikogu* and foreign policy makers continued during the reporting year. In accordance with established practice, meetings were held twice a year with the ambassadors of the EU Member States and a reception was organised for the diplomatic corps in December. In July, the Head of State hosted Estonian honorary consuls and global friends of Estonia.

**Powers of attorney**

In 2022, 26 foreign ambassadors handed over their letters of credence to the President of the Republic. Meetings were also held with some of the ambassadors who are ending their missions in Estonia. The Head of State signed the credentials of Estonian ambassadors (including co-accreditations) on 34 occasions, and in the case of basic accreditations, pre-departure interviews were held with the ambassadors.

## 1.2.23 Office of the Chancellor of Justice

The Office of the Chancellor of Justice is responsible for supporting the activities of the Chancellor of Justice in the performance of duties arising from the Constitution and the laws.

The task of the Chancellor of Justice is to oversee the compliance of legislative acts with the Constitution and the laws, verify respect for the fundamental rights and freedoms of people by authorities and officials performing public functions, perform the function of the ombudsman for children, and to serve as a preventive authority of the Republic of Estonia as a state party to the UN convention against mistreatment of people. The Chancellor of Justice oversees respect for fundamental rights and freedoms in the organisation of the covert collection, processing, use and supervision of personal data and related information by the authorities of executive power.

The Chancellor of Justice performs the tasks of the Estonian National Human Rights Institution (NHRI). The Chancellor of Justice stands for ensuring that all disabled people can exercise their fundamental rights and freedoms on an equal footing with others.

The objective of this overview of activities is to provide information to the entity preparing the consolidated annual report of the state on the activities of the Office of the Chancellor of Justice in 2022.

Once a year, the Chancellor of Justice submits to the *Riigikogu* an annual review of the performance of duties assigned to them by law. The overview is published on the website of the Chancellor of Justice at https://www.oiguskantsler.ee/ylevaade2022/

The Chancellor of Justice submitted a written overview of the activities of 2021/2022 until 2022 September 1 to the *Riigikogu* during the autumn session of 2022 and also made a respective oral presentation.

Operating volumes for the whole accounting year are as follows:

- Overseeing the constitutionality and legality of legislative acts – 81
- Overseeing respect for fundamental rights and obligations – 211
- Participation in court proceedings on constitutional supervision – 9
- Refusal to review application – 1407
- Proceedings to initiate disciplinary proceedings against a judge – 33
- Opinions on draft legislation and other documents – 29
- Participation in the work of a collegial body – 1
- Reviewing an appeal of a member of the *Riigikogu* – 4
- Conciliation procedure to settle a private discrimination dispute – 1
- Procedure for withdrawal of immunity – 1
- Other activities arising from the law – 60

  TOTAL 1,837

2,472 applications were submitted to the Chancellor of Justice in 2022.

## 1.2.24 Results of internal and external assessments of the internal audit units of ministries

The Estonian public sector internal audit follows the Internal Auditing Standards developed by the Institute of Internal Auditors (IIA), which require that the quality of the internal audit function is assessed at least once every five years by an external independent specialist, in addition to a periodic internal assessment.

In Estonia, the standards of internal audit are established by the Auditors Activities Act. The rules on quality assessment are also laid down in § 11 of the General Rules for Internal Audit of Authorities of Executive Power: *In the course of external assessment, compliance of the management and activities of an internal audit unit with the requirements of legislation is assessed. External assessment is carried out at least once every five years.* The periodic internal assessment of the internal audit capability should be carried out on an as-needed basis, in accordance with both the standards and the Regulation, but certainly not earlier than 12 months before the planned external assessment.

According to the activity reports of the ministries' internal audit units, no quality assessments were carried out in 2022. On the basis of external quality assessments carried out in previous years, the internal audit units of two ministries have the right to use the phrase "in general compliance with[73]" in their reports, and the internal audit units of two other ministries have the right to use the

[73] General terms and conditions for internal auditing in executive agencies § 12. As a result of the periodic internal assessment and the external assessment, the following categories of overall assessment are given to the internal audit unit:

phrase "in partial compliance with the Definition of Internal Auditing, the Code of Ethics, and the Standards for the Professional Practice of Internal Auditors".

In seven ministries, the internal audit unit covering the whole administration has only one to three employees, which means that conducting quality assessments according to standards is seen by management as an inefficient use of resources. In addition to the above, the lack of available budget for commissioning external quality assessments can also be an obstacle.

Not compliant – applies if the internal audit function does not comply with at least one of the group standards or principles of the code of ethics. In this case, the assessment has identified the need for significant improvements in the management and operations of the internal audit function to achieve either the "partial compliance" or "overall compliance" category.
Partial compliance – applies where only partial compliance has been achieved for most of the group standards and code of ethics principles. In this case, the assessment has identified an opportunity to improve the management and operations of the internal audit function in order to achieve the "overall compliance" category.
Overall compliance – applies where the internal audit function complies with the majority of the group standards and the principles of the code of ethics, and at least a "partial compliance" category is achieved for the other group standards and the principles of the code of ethics.

# 2 Consolidated and unconsolidated annual accounts of the state

## 2.1 Balance sheet

In millions of euros

| | Consolidated | | | Unconsolidated | | | Note |
|---|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 | |
| **Assets** | | | | | | | |
| **Current assets** | | | | | | | |
| Cash | 2,496.4 | 2,503.2 | 2,300.7 | 1,415.1 | 1,658.9 | 1,573.9 | a2 |
| Financial investments | 1,609.1 | 461.6 | 645.5 | 1,598.1 | 448.3 | 644.0 | a3 |
| Tax, state fee and fine receivables | 1,387.5 | 1,248.8 | 1,125.4 | 1,454.2 | 1,322.1 | 1,169.7 | a4 |
| Other claims and prepayments | 1,676.8 | 1,294.7 | 1,097.8 | 1,034.0 | 1,228.5 | 775.9 | a5 |
| Derivatives | 199.8 | 160.2 | 31.8 | 0.0 | 0.0 | 0.0 | a18 |
| Inventories | 714.4 | 367.4 | 319.9 | 40.0 | 33.3 | 47.0 | a7 |
| Intangible current assets | 444.1 | 208.6 | 85.3 | 0.0 | 0.0 | 0.0 | a12 |
| Biological assets | 62.2 | 41.1 | 31.3 | 3.1 | 1.8 | 1.3 | a14 |
| **Total current assets** | **8,590.3** | **6,285.6** | **5,637.7** | **5,544.5** | **4,692.9** | **4,211.8** | |
| **Non-current assets** | | | | | | | |
| Ownership interest in foundations | 0.0 | 0.0 | 0.0 | 430.8 | 441.7 | 442.9 | a8 |
| Ownership interest in subsidiaries and affiliated associates | 89.4 | 67.5 | 60.4 | 4,490.0 | 4,169.9 | 3,881.8 | a9 |
| Financial investments | 480.0 | 319.8 | 316.6 | 453.0 | 301.8 | 298.6 | a3 |
| Other claims and prepayments | 941.4 | 925.1 | 867.1 | 1,193.2 | 1,089.2 | 1,533.3 | a5 |
| Derivatives | 496.5 | 187.6 | 23.7 | 0.0 | 0.0 | 0.0 | a18 |
| Investment property | 83.2 | 85.3 | 84.3 | 37.0 | 37.1 | 37.4 | a10 |
| Property, plant and equipment | 10,803.2 | 10,318.1 | 9,885.4 | 3,471.5 | 3,334.0 | 3,082.9 | a11 |
| Intangible assets | 333.2 | 305.9 | 279.8 | 180.3 | 150.4 | 125.6 | a12 |
| Biological assets | 2,170.3 | 930.7 | 758.9 | 27.7 | 16.5 | 12.0 | a14 |
| **Total non-current assets** | **15,397.2** | **13,140.0** | **12,276.2** | **10,283.5** | **9,540.6** | **9,414.5** | |
| | | | | | | | |
| **Total assets** | **23,987.5** | **19,425.6** | **17,913.9** | **15,828.0** | **14,233.5** | **13,626.3** | |

| | Consolidated | | | Unconsolidated | | | Note |
|---|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 | |
| **Liabilities and net assets** | | | | | | | |
| **Current liabilities** | | | | | | | |
| Prepayments of taxes, state fees and fines received | 700.2 | 622.8 | 523.2 | 716.6 | 638.6 | 534.7 | a4 |
| Trade payables | 532.0 | 387.1 | 303.8 | 218.6 | 172.9 | 153.5 | |
| Payables to employees | 188.5 | 165.9 | 152.1 | 71.7 | 63.1 | 60.6 | |
| Tax, state fee and fine liabilities | 435.5 | 407.7 | 353.3 | 418.5 | 392.2 | 346.6 | a4 |
| Other liabilities and received prepayments | 2,639.3 | 2,019.3 | 1,669.4 | 3,087.7 | 2,865.2 | 2,518.7 | a15 |
| Provisions | 855.6 | 347.1 | 264.8 | 387.7 | 117.1 | 129.3 | a16 |
| Loan liabilities | 1,327.8 | 718.6 | 879.9 | 417.8 | 472.9 | 497.7 | a17 |
| Derivatives | 169.1 | 116.1 | 10.4 | 0.0 | 0.0 | 0.0 | a18 |
| **Total current liabilities** | **6,848.0** | **4,784.6** | **4,156.9** | **5,318.6** | **4,722.0** | **4,241.1** | |
| **Non-current liabilities** | | | | | | | |
| Provisions | 4,111.1 | 3,787.8 | 3,289.3 | 4,025.7 | 3,701.4 | 3,215.6 | a16 |
| Loan liabilities | 5,621.5 | 5,179.0 | 4,817.3 | 4,542.5 | 3,443.6 | 3,136.1 | a17 |
| Other liabilities and received prepayments | 460.8 | 304.0 | 233.7 | 132.5 | 145.1 | 141.4 | a15 |
| Derivatives | 32.1 | 37.8 | 4.4 | 0.0 | 0.0 | 0.0 | a18 |
| **Total non-current liabilities** | **10,225.5** | **9,308.6** | **8,344.7** | **8,700.7** | **7,290.1** | **6,493.1** | |
| | | | | | | | |
| **Total liabilities** | **17,073.5** | **14,093.2** | **12,501.6** | **14,019.3** | **12,012.1** | **10,734.2** | |
| | | | | | | | |
| **Net assets** | | | | | | | |
| **Minority shareholding** | **301.9** | **283.5** | **134.5** | **0.0** | **0.0** | **0.0** | |
| **Net assets of the state** | | | | | | | |
| Stabilisation Reserve Fund and ownership reform reserve | 474.3 | 471.9 | 469.8 | 474.3 | 471.9 | 469.8 | a20 |
| Hedging reserve | 698.4 | 211.5 | 34.1 | 0.0 | 0.0 | 0.0 | a18 |
| Other reserves | 12.5 | 8.2 | 5.9 | 0.0 | 0.0 | 0.0 | |
| Accumulated surplus or deficit | 5,426.9 | 4,357.3 | 4,768.0 | 1,334.4 | 1,749.5 | 2,422.3 | |
| **Total net assets of the state** | **6,612.1** | **5,048.9** | **5,277.8** | **1,808.7** | **2,221.4** | **2,892.1** | |
| **Total net assets** | **6,914.0** | **5,332.4** | **5,412.3** | **1,808.7** | **2,221.4** | **2,892.1** | |
| | | | | | | | |
| **Total liabilities and net assets** | **23,987.5** | **19,425.6** | **17,913.9** | **15,828.0** | **14,233.5** | **13,626.3** | |

## 2.2 Statement of financial performance

In millions of euros

| | Consolidated | | Unconsolidated | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Income from operations** | | | | | |
| Taxes and social security contributions | 11,641.2 | 10,497.1 | 11,773.0 | 10,600.1 | a4 |
| Goods and services sold | 4,347.1 | 3,173.9 | 514.5 | 401.9 | a21 |
| Grants received | 1,176.0 | 1,034.2 | 1,085.9 | 984.0 | a19 |
| Other income | 661.5 | 302.6 | 281.0 | 190.5 | a22 |
| **Total income from operations** | **17,825.8** | **15,007.8** | **13,654.4** | **12,176.5** | |
| **Operating expenses** | | | | | |
| Grants awarded | -6,662.8 | -6,686.6 | -7,134.9 | -7,049.4 | a19 |
| Pass-through taxes, state fees, fines | -4,072.8 | -3,532.9 | -4,072.8 | -3,532.9 | a4 |
| Change in doubtful tax, state fee and fine receivables | -34.2 | -39.4 | -34.2 | -39.4 | a4 |
| Labour costs | -2,093.9 | -1,903.9 | -1,173.9 | -1,068.8 | a23 |
| Management expenses | -2,847.7 | -2,076.4 | -962.0 | -811.3 | a24 |
| Depreciation and change in value of non-current assets | -739.0 | -704.7 | -312.2 | -291.2 | a25 |
| Other expenditure | -939.1 | -341.7 | -144.5 | -133.1 | a26 |
| **Total operating expenses** | **-17,389.5** | **-15,285.6** | **-13,834.5** | **-12,926.1** | |
| | | | | | |
| **Operating result** | **436.3** | **-277.8** | **-180.1** | **-749.6** | |
| | | | | | |
| **Operating result from change in fair value of biological assets** | **1,260.7** | **181.6** | **12.5** | **4.9** | a14 |
| **Financial income and expenditure** | | | | | a27 |
| Profit/loss from financial investments | 30.5 | 1.0 | 331.8 | 365.7 | |
| Interest expense | -198.6 | -166.2 | -162.1 | -126.5 | |
| Income from deposits and securities | -8.5 | -1.0 | 1.1 | -4.4 | |
| Other financial income | 5.8 | 5.7 | 3.6 | 3.6 | |
| Other financial expenses | -0.4 | -0.5 | 0.0 | 0.0 | |
| **Total financial income and expenditure** | **-171.2** | **-161.0** | **174.4** | **238.4** | |
| | | | | | |
| **Surplus or deficit for the reporting period** | **1,525.8** | **-257.2** | **6.8** | **-506.3** | |
| | | | | | |
| **Incl. the state's share in surplus/deficit** | **1,491.2** | **-274.3** | **6.8** | **-506.3** | |
| **Incl. the share of minority shareholding surplus or deficit** | **34.6** | **17.1** | **0.0** | **0.0** | |

## 2.3 Cash flow statement

In millions of euros

| | Consolidated | | Unconsolidated | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Cash flow from principal activities** | | | | | |
| **Operating result** | **436.3** | **-277.8** | **-180.1** | **-749.6** | |
| Depreciation and change in value of non-current assets | 739.0 | 704.7 | 312.2 | 291.2 | a25 |
| Profit/loss from non-current assets sold | -59.2 | -38.4 | -52.3 | -31.3 | a22 |
| Revenue from government grants received for acquisition of non-current assets | -600.0 | -488.2 | -544.5 | -454.9 | a19 |
| Expenditure on government grants awarded for acquisition of non-current assets | 395.5 | 448.6 | 562.5 | 557.3 | a19 |
| Other non-financial income and expenditure | 182.7 | 11.7 | -5.5 | -0.2 | |
| **Total adjusted operating result** | **1,094.3** | **360.6** | **92.3** | **-387.5** | |
| Net change in current assets | -1,112.9 | -591.2 | -310.5 | -234.2 | |
| Net change in liabilities | 1,174.1 | 828.0 | 472.5 | 684.4 | |
| **Total cash flows from principal activities** | **1,155.5** | **597.4** | **254.3** | **62.7** | |
| **Cash flows from investment activities** | | | | | |
| Investments in non-current assets | -1,318.0 | -1,063.7 | -479.5 | -542.6 | a13,a17 |
| Capital gains from non-current assets sold | 66.9 | 50.7 | 54.4 | 33.9 | a5,a10, a11,a14 |
| Government grants received for the acquisition of non-current assets | 453.5 | 452.7 | 390.4 | 415.8 | a19 |
| Government grants invested for acquisition of non-current assets | -351.6 | -404.6 | -514.5 | -459.1 | a19 |
| Paid for acquisition of liquid financial investments | -1,516.2 | -679.7 | -1,514.9 | -679.2 | |
| Received from sale of liquid financial investments | 352.4 | 862.4 | 350.4 | 860.9 | |
| Paid upon acquisition of other financial investments | -163.4 | -8.5 | -179.1 | -31.6 | a3,a5 |
| Paid for acquisition of holdings (minus the cash acquired) | -14.1 | -31.9 | -148.0 | -33.0 | a5,a8,a9 |
| Received and granted from transfer, sale and liquidation of holdings and other financial investments (net of cash disposed of) | 26.4 | 189.8 | 479.1 | 52.3 | a3,a8,a9 |
| Dividends received | 2.6 | 3.4 | 190.6 | 104.2 | a9,a5 |
| Dividends paid | -17.5 | -6.6 | 0.0 | 0.0 | a9A |
| Loans issued | -34.2 | -86.6 | -20.1 | -0.2 | a6 |
| Repayments of loans received | 53.9 | 46.7 | 16.5 | 15.1 | a6 |
| Financial income received | 6.7 | -3.6 | 1.0 | -7.2 | |
| **Total cash flows from investment activities** | **-2,452.6** | **-679.5** | **-1,373.7** | **-270.7** | |
| **Cash flows from financing activities** | | | | | |
| Received from assumption of loan liabilities | 2,051.3 | 957.0 | 1,666.1 | 781.0 | a17 |
| Loans repaid | -973.0 | -791.2 | -625.5 | -499.7 | a17 |
| Interest paid and other financial expenses | -34.4 | -34.3 | -3.0 | -0.8 | |
| Change in deposits by customers | 246.4 | 153.1 | -162.0 | 12.5 | a15 |
| **Total cash flows from financing activities** | **1,290.3** | **284.6** | **875.6** | **293.0** | |
| | | | | | |
| **Net cash flows** | **-6.8** | **202.5** | **-243.8** | **85.0** | |
| Cash and cash equivalents at the beginning of the year | 2,503.2 | 2,300.7 | 1,658.9 | 1,573.9 | a2 |
| Cash and cash equivalents at the end of the year | 2,496.4 | 2,503.2 | 1,415.1 | 1,658.9 | a2 |
| **Change in cash and cash equivalents** | **-6.8** | **202.5** | **-243.8** | **85.0** | |

# 2.4 Statement of changes in net assets

In millions of euros

**A. Consolidated report**

| | Net assets of the state | | | | | | Minority shareholding | Total | Note |
|---|---|---|---|---|---|---|---|---|---|
| | Stabilisation Reserve Fund | Ownership Reform Reserve Fund | Hedging reserve | Other reserves | Accumulated surplus or deficit | Total | | | |
| **Balance as of 31.12.2020** | **431.9** | **37.9** | **34.1** | **5.9** | **4,768.0** | **5,277.8** | **134.5** | **5,412.3** | |
| Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of affiliated undertakings | | | | 2.3 | | **2.3** | | **2.3** | |
| Revaluation of risk hedging instruments | | | 177.4 | | | **177.4** | | **177.4** | a18 |
| Actuarial gains and losses in provisions for pensions | | | | | 167.6 | **167.6** | | **167.6** | a16 |
| Revaluation of property, plant and equipment | | | | | 4.7 | **4.7** | | **4.7** | a11 |
| Surplus or deficit of the reporting period | | | | | -274.3 | **-274.3** | 17.1 | **-257.2** | |
| **Total surplus or deficit of the reporting period** | | | **177.4** | **2.3** | **-437.2** | **-257.5** | **17.1** | **-240.4** | |
| Acquisitions and sales of minority holding | | | | | 27.7 | **27.7** | 138.5 | **166.2** | a9A |
| Holdings consolidated for the first time | | | | | 0.9 | **0.9** | | **0.9** | |
| Dividends paid | | | | | | **0.0** | -6.6 | **-6.6** | |
| Reallocation | -1.8 | 3.9 | | | -2.1 | **0.0** | | **0.0** | a20 |
| **Balance as of 31.12.2021** | **430.1** | **41.8** | **211.5** | **8.2** | **4,357.3** | **5,048.9** | **283.5** | **5,332.4** | |
| Exchange rate differences attributable to foreign subsidiaries and impact of other comprehensive income of affiliated undertakings | | | | 4.3 | | **4.3** | | **4.3** | |
| Revaluation of risk hedging instruments | | | 486.9 | | | **486.9** | 3.4 | **490.3** | a18 |
| Actuarial gains and losses in provisions for pensions | | | | | -394.7 | **-394.7** | | **-394.7** | a16 |
| Transfer of inventories to the Health Insurance Fund | | | | | -28.0 | **-28.0** | | **-28.0** | a7 |
| Revaluation of property, plant and equipment | | | | | 3.5 | **3.5** | | **3.5** | a11 |
| Surplus or deficit of the reporting period | | | | | 1,491.2 | **1,491.2** | 34.6 | **1,525.8** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **486.9** | **4.3** | **1,072.0** | **1,563.2** | **38.0** | **1,601.2** | |
| Acquisitions and sales of minority holding | | | | | | **0.0** | -2.1 | **-2.1** | a9A |
| Dividends paid | | | | | | **0.0** | -17.5 | **-17.5** | |
| Reallocation | -6.2 | 8.6 | | | -2.4 | **0.0** | | **0.0** | a20 |
| **Balance as of 31.12.2022** | **423.9** | **50.4** | **698.4** | **12.5** | **5,426.9** | **6,612.1** | **301.9** | **6,914.0** | |

**B. Unconsolidated report**

| | Stabilisation Reserve Fund | Ownership Re-form Reserve Fund | Accumulated surplus or defi-cit | Total | Note |
|---|---|---|---|---|---|
| **Balance as of 31.12.2019** | **431.9** | **37.9** | **2,422.3** | **2,892.1** | |
| Actuarial gains and losses in provisions for pensions | | | -167.6 | **-167.6** | a16 |
| Revaluation of property, plant and equipment | | | 3.2 | **3.2** | a11 |
| Surplus or deficit of the reporting period | | | -506.3 | **-506.3** | |
| **Total surplus or deficit of the reporting period** | | | **-670.7** | **-670.7** | |
| Reallocation | -1.8 | 3.9 | -2.1 | **0.0** | a20 |
| **Balance as of 31.12.2021** | **430.1** | **41.8** | **1,749.5** | **2,221.4** | |
| Actuarial gains and losses in provisions for pensions | | | -394.7 | **-394.7** | a16 |
| Transfer of inventories to the Health Insurance Fund | | | -28.0 | **-28.0** | a7 |
| Revaluation of property, plant and equipment | | | 3.2 | **3.2** | a11 |
| Surplus or deficit of the reporting period | | | 6.8 | **6.8** | |
| **Total surplus or deficit of the reporting period** | | | **-412.7** | **-412.7** | |
| Reallocation | -6.2 | 8.6 | -2.4 | **0.0** | a20 |
| **Balance as of 31.12.2022** | **423.9** | **50.4** | **1,334.4** | **1,808.7** | |

## 2.5 Report on the implementation of the state budget

In thousands of euros

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **(A) BUDGET OF REVENUES AND EXPENDITURES** | | | | | |
| **TOTAL STATE BUDGET REVENUE** | **13,132,233** | **13,373,088** | **13,996,560** | **12,426,734** | **623,472** |
| Taxes and social security contributions | 11,107,296 | 11,248,151 | 11,948,516 | 10,787,825 | 700,364 |
| Incl. domestic VAT | 211,570 | 253,502 | 262,748 | 207,191 | 9,246 |
| Grants received | 1,363,342 | 1,463,342 | 1,048,209 | 941,384 | -383,700 |
| State fees | 87,264 | 87,264 | 91,722 | 89,115 | 4,580 |
| Income from economic activities | 300,337 | 300,337 | 422,799 | 312,807 | 132,247 |
| Income from non-current assets and inventories sold | 24,975 | 24,975 | 52,463 | 31,486 | 27,484 |
| Fines and other fines to the extent of assets | 18,402 | 18,402 | 22,910 | 17,654 | 4,505 |
| Environmental charges | 78,610 | 78,610 | 152,374 | 91,009 | 73,794 |
| Other income from operations | 43,641 | 43,641 | 47,944 | 43,676 | 4,453 |
| Interest and dividend income | 108,365 | 108,365 | 209,622 | 111,777 | 86,919 |
| **TOTAL STATE BUDGET EXPENDITURE** | **-13,633,056** | **-15,176,562** | **-13,913,756** | **-12,777,278** | **1,227,551** |
| Incl. funds with limits | -3,659,466 | -4,638,065 | -3,954,838 | -3,835,758 | 683,227 |
| Incl. depreciation and revaluation of non-current assets | -265,190 | -265,190 | -312,243 | -291,228 | -47,053 |
| Incl. domestic VAT expense | -100,776 | -141,333 | -165,692 | -117,282 | -24,359 |
| **REVENUE LESS EXPENDITURE IN STATE BUDGET** | **-500,824** | **-1,803,474** | **82,804** | **-350,544** | **-1,851,023** |
| | | | | | |
| **(B) BUDGET FOR INVESTMENTS** | **-724,321** | **-814,141** | **-630,081** | **-584,734** | **187,900** |
| Incl. funds with limits | -429,429 | -490,261 | -388,758 | -388,991 | 101,502 |
| Incl. domestic VAT expense | -110,778 | -112,154 | -97,039 | -89,891 | 15,115 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **TOTAL STATE BUDGET EXPENDITURE AND INVESTMENTS** | **-14,357,377** | **-15,990,703** | **-14,543,837** | **-13,362,012** | **1,415,451** |
| **REVENUE LESS EXPENDITURE AND INVESTMENTS IN STATE BUDGET** | **-1,225,144** | **-2,617,615** | **-547,277** | **-935,278** | **2,038,923** |
| | | | | | |
| **REVENUE ADJUSTMENT IN STATE BUDGET POSITION** | | | **-83,450** | **-109,671** | |
| Adjustment of revenue from the sale of emission allowances | | | -85,636 | -106,268 | |
| Superdividends and non-monetary dividends | | | -532 | -6,433 | |
| Carrying amount of non-current assets sold | | | 2,718 | 3,030 | |
| **TOTAL REVENUE IN STATE BUDGET POSITION** | | | **13,913,109** | **12,317,063** | |
| **EXPENDITURE ADJUSTMENT IN STATE BUDGET POSITION** | | | **281,433** | **169,334** | |
| Depreciation | | | 312,243 | 291,228 | |
| Adjustment by payments of provisions | | | 23,212 | 79,455 | |
| Adjustment by formation of provisions | | | -18,772 | -205,418 | |
| Adjustment by changes in inventories | | | -36,152 | 13,761 | |
| Adjustment by exchange rate changes | | | 903 | 308 | |
| Holdings and financial investments recorded as expenditure in position calculation | | | 0 | -10,000 | |
| **TOTAL EXPENDITURE IN STATE BUDGET POSITION** | | | **-13,632,322** | **-12,607,944** | |
| **TOTAL STATE BUDGET POSITION** | | | **-349,294** | **-875,615** | |
| | | | | | |
| **REVENUE ADJUSTMENT ACCORDING TO STATEMENT OF FINANCIAL PERFORMANCE** | | | **-6,782** | **-119,571** | |
| Taxes and social security contributions | | | 60,596 | -11,153 | |
| Doubtful taxes, state fees, fines | | | 34,168 | 39,366 | |
| Revenue from domestic taxes | | | -264,961 | -209,332 | |
| Non-monetary grants received and grants for financing transactions | | | 37,666 | 42,639 | |
| Result from change in fair value of biological assets | | | 12,488 | 4,938 | |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Result from sale and revaluation of holdings | | | 141,163 | 255,099 | |
| Result from sale and revaluation of financial investments | | | -16,519 | -4,401 | |
| Financial income from exchange rate change | | | 194 | 141 | |
| Interest income from discounting receivables | | | 1,988 | 2,274 | |
| **TOTAL REVENUE IN STATEMENT OF FINANCIAL PERFORMANCE** | | | **14,003,342** | **12,546,305** | |
| | | | | | |
| **EXPENDITURE ADJUSTMENT ACCORDING TO STATEMENT OF FINANCIAL PERFORMANCE** | | | **-82,833** | **-275,339** | |
| Transfer of taxes and social security contributions | | | -21,512 | -35,724 | |
| Doubtful taxes, state fees, fines | | | -34,168 | -39,366 | |
| Domestic tax expenses | | | 264,961 | 209,332 | |
| Value added tax expenses recorded in investments and financial transactions | | | -97,056 | -89,908 | |
| Adjustment by payments of provisions | | | 113,437 | 158,677 | |
| Adjustment by formation of provisions | | | -164,089 | -340,726 | |
| Interest expense from discounting provisions | | | -138,035 | -124,434 | |
| Non-monetary management expenses | | | -2,695 | -2,800 | |
| Non-monetary grants awarded | | | -3,676 | -10,389 | |
| **TOTAL EXPENDITURE IN STATEMENT OF FINANCIAL PERFORMANCE** | | | **-13,996,589** | **-13,052,617** | |
| | | | | | |
| **TOTAL SURPLUS/DEFICIT** | | | **6,753** | **-506,312** | |
| | | | | | |
| **(C) BUDGET FOR FINANCING TRANSACTIONS** | **647,348** | **335,348** | **-127,802** | **477,922** | **-311,010** |
| Incl. funds with limits | -169,415 | -382,415 | -198,097 | -28,872 | -184,319 |
| Incl. domestic VAT expense | -15 | -15 | -17 | -17 | -2 |
| | | | | | |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **(D) CASH FLOWS** | | | | | |
| **TOTAL CASH FLOWS FROM REVENUE** | | | **14,119,572** | **12,585,402** | |
| Total state budget revenue | | | 13,996,560 | 12,426,734 | |
| Adjustment for receipt of revenue cash flow | | | 123,012 | 158,668 | |
| **TOTAL CASH FLOWS FROM EXPENDITURE** | | | **-13,658,974** | **-12,345,632** | |
| Total state budget expenditure | | | -13,913,756 | -12,777,278 | |
| Adjustment for repayment of expenditure cash flow | | | 254,782 | 431,646 | |
| **CASH FLOWS FROM INVESTMENTS** | | | **-576,614** | **-632,678** | |
| Total state budget investments | | | -630,081 | -584,734 | |
| Adjustment for investment cash flow | | | 53,467 | -47,944 | |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | | **-127,802** | **477,922** | |
| **TOTAL CASH FLOWS** | | | **-243,818** | **85,014** | |
| | | | | | |
| **THE *RIIGIKOGU*** | | | | | |
| **INCOME** | **0** | **0** | **58** | **138** | **58** |
| **Income from economic activities** | 0 | 0 | 18 | 1 | 18 |
| Grants received | 0 | 0 | 36 | 137 | 36 |
| Other income | 0 | 0 | 5 | 0 | 5 |
| **EXPENDITURE** | **-22,535** | **-24,956** | **-23,707** | **-22,999** | **1,249** |
| Incl. funds with limits | -12,725 | -14,989 | -13,053 | -13,125 | 1,936 |
| Incl. VAT | -522 | -582 | -621 | -783 | -38 |
| **INVESTMENTS** | **-631** | **-1,327** | **-526** | **-562** | **-801** |
| Incl. funds with limits | -524 | -1,219 | -442 | -471 | 777 |
| Incl. VAT | -107 | -107 | -83 | -91 | 24 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **ADJUSTMENTS** | | | **-39** | **-134** | |
| National grants received | | | 43 | 0 | |
| Non-monetary grants awarded | | | -8 | 0 | |
| Salary paid to members of the *Riigikogu* (provision for compensation at the end of employment) | | | 0 | -65 | |
| Interest expense on provision for compensation at the end of employment | | | -74 | -69 | |
| | | | | | |
| **OFFICE OF THE PRESIDENT OF THE REPUBLIC** | | | | | |
| **INCOME** | **28** | **28** | **149** | **143** | **121** |
| Income from economic activities | 28 | 28 | 36 | 16 | 8 |
| Grants received | 0 | 0 | 113 | 126 | 113 |
| **EXPENDITURE** | **-4,813** | **-5,657** | **-5,412** | **-4,895** | **245** |
| Incl. funds with limits | -3,952 | -4,723 | -4,473 | -3,938 | 250 |
| Incl. VAT | -247 | -276 | -306 | -243 | -29 |
| **INVESTMENTS** | **-277** | **-1,060** | **-683** | **-86** | **378** |
| Incl. funds with limits | -200 | -733 | -492 | -80 | 241 |
| Incl. VAT | -78 | -127 | -113 | -6 | 14 |
| **ADJUSTMENTS** | | | **43** | **-836** | |
| National grants received | | | 20 | 0 | |
| Interest expense on provisions | | | -271 | -211 | |
| Adjustment by payment of special pension provisions | | | 295 | -624 | |
| Capitalised remuneration (reduction of expenses) | | | 13 | 0 | |
| Capitalised remuneration (increase in investment) | | | -13 | 0 | |
| | | | | | |
| **NATIONAL AUDIT OFFICE** | | | | | |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **INCOME** | **0** | **0** | **49** | **26** | **49** |
| Grants received | 0 | 0 | 49 | 26 | 49 |
| **EXPENDITURE** | **-5,214** | **-6,189** | **-5,400** | **-5,039** | **789** |
| Incl. funds with limits | -4,825 | -5,800 | -5,015 | -4,620 | 785 |
| Incl. VAT | -214 | -214 | -221 | -229 | -8 |
| **INVESTMENTS** | **-120** | **-203** | **-177** | **-128** | **26** |
| Incl. funds with limits | -100 | -134 | -114 | -107 | 20 |
| Incl. VAT | -20 | -28 | -23 | -21 | 6 |
| | | | | | |
| **OFFICE OF THE CHANCELLOR OF JUSTICE** | | | | | |
| **EXPENDITURE** | **-3,071** | **-3,210** | **-3,068** | **-3,006** | **143** |
| Incl. funds with limits | -2,798 | -2,924 | -2,842 | -2,802 | 83 |
| Incl. VAT | -105 | -105 | -100 | -98 | 5 |
| **ADJUSTMENTS** | | | **11** | **-2** | |
| Interest expense on provisions | | | 11 | -2 | |
| | | | | | |
| **SUPREME COURT** | | | | | |
| **INCOME** | **220** | **220** | **428** | **267** | **208** |
| State fees | 0 | 0 | 311 | 0 | 311 |
| Income from economic activities | 0 | 0 | 1 | 1 | 1 |
| Grants received | 0 | 0 | 10 | 3 | 10 |
| Fines and other fines to the extent of assets | 0 | 0 | 5 | 4 | 5 |
| Other income from operations | 220 | 220 | 101 | 259 | -119 |
| **EXPENDITURE** | **-5,689** | **-6,604** | **-5,959** | **-5,236** | **646** |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -3,469 | -4,342 | -3,713 | -3,177 | 629 |
| Incl. VAT | -88 | -93 | -105 | -89 | -13 |
| **INVESTMENTS** | **0** | **-18** | **0** | **0** | **18** |
| Incl. funds with limits | 0 | -18 | 0 | 0 | 18 |
| **ADJUSTMENTS** | | | **-602** | **-685** | |
| Interest expense on pension provisions | | | -552 | -511 | |
| Public sector special pensions and pension increases | | | -50 | -174 | |
| | | | | | |
| **GOVERNMENT OF THE REPUBLIC** | | | | | |
| **EXPENDITURE** | **-2,606,387** | **-2,678,392** | **-2,573,417** | **-2,385,261** | **104,976** |
| Incl. funds with limits | -692,207 | -720,985 | -569,718 | -570,060 | 151,267 |
| EU national contribution | -357,415 | -357,415 | -362,957 | -366,805 | -5,542 |
| Membership fees of international organisations (with limits) | 0 | 0 | 0 | -4,709 | 0 |
| Reserve fund of the Government of the Republic | -122,778 | -151,259 | 0 | 0 | 151,259 |
| Support fund for local governments | -479,676 | -508,547 | -502,359 | -475,527 | 6,188 |
| Incl. funds with limits | -462,127 | -462,424 | -462,416 | -458,127 | 8 |
| Incl. compensation for expenses incurred due to performing state functions | -18,676 | -47,547 | -41,367 | -18,464 | 6,180 |
| Incl. funds with limits | -1,127 | -1,424 | -1,424 | -1,064 | 0 |
| Budget equalisation fund of local governments (with limits) | -107,302 | -107,302 | -107,302 | -107,225 | 0 |
| Transferable taxes to local governments | -1,539,216 | -1,553,869 | -1,600,799 | -1,430,995 | -46,930 |
| | | | | | |
| **GOVERNMENT OFFICE** | | | | | |
| **INCOME** | **916** | **916** | **1,082** | **1,349** | **165** |
| Income from economic activities | 0 | 0 | 2 | 3 | 2 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Grants received | 916 | 916 | 1,080 | 1,347 | 164 |
| **EXPENDITURE** | **-15,717** | **-20,433** | **-17,525** | **-17,450** | **2,908** |
| Incl. funds with limits | -12,849 | -17,164 | -14,674 | -13,831 | 2,490 |
| **Performance area: EFFECTIVE STATE** | **-14,704** | **-19,305** | **-16,700** | **-16,506** | **2,605** |
| Incl. funds with limits | -12,849 | -17,164 | -14,674 | -13,831 | 2,490 |
| **Programme to support the activities of the Government of the Republic and the Prime Minister** | **-14,704** | **-19,305** | **-16,700** | **-16,506** | **2,605** |
| Incl. funds with limits | -12,849 | -17,164 | -14,674 | -13,831 | 2,490 |
| **Value added tax** | **-1,013** | **-1,128** | **-825** | **-944** | **303** |
| **INVESTMENTS** | **-8,021** | **-2,083** | **-432** | **-3,231** | **1,652** |
| Incl. funds with limits | -6,643 | -644 | -324 | -2,572 | 320 |
| Incl. VAT | -1,337 | -1,397 | -72 | -538 | 1,325 |
| **ADJUSTMENTS** | | | **78** | **192** | |
| National grants received | | | 108 | 216 | |
| Foreign aid intermediated to state agencies | | | 183 | 142 | |
| Pass-through grants and co-financing provided to state agencies | | | -212 | -166 | |
| | | | | | |
| **Area of government of the MINISTRY OF EDUCATION AND RESEARCH** | | | | | |
| **INCOME** | **199,846** | **199,846** | **179,623** | **156,849** | **-20,223** |
| State fees | 61 | 61 | 73 | 66 | 12 |
| Income from economic activities | 10,251 | 10,251 | 13,715 | 11,443 | 3,464 |
| Grants received | 189,490 | 189,490 | 165,624 | 145,225 | -23,865 |
| Income from non-current assets and inventories sold | 0 | 0 | 16 | 28 | 16 |
| Other income | 29 | 29 | 182 | 65 | 153 |
| Interest and dividend income | 15 | 15 | 11 | 21 | -4 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **EXPENDITURE** | **-810,757** | **-1,014,282** | **-838,558** | **-741,311** | **175,724** |
| Incl. funds with limits | -610,226 | -731,888 | -657,101 | -580,711 | 74,788 |
| **Performance area: ESTONIAN LANGUAGE AND IDENTITY** | **-5,874** | **-7,050** | **-6,158** | **-5,907** | **891** |
| Incl. funds with limits | -5,448 | -6,632 | -5,735 | -5,513 | 898 |
| **Language programme** | **-5,874** | **-7,050** | **-6,158** | **-5,907** | **891** |
| Incl. funds with limits | -5,448 | -6,632 | -5,735 | -5,513 | 898 |
| Strengthening the reputation and status of the Estonian language | -712 | -719 | -708 | | 10 |
| Incl. funds with limits | -712 | -719 | -708 | | 10 |
| Developing language infrastructure and language technologies | -3,787 | -4,450 | -3,801 | | 649 |
| Incl. funds with limits | -3,420 | -4,093 | -3,410 | | 683 |
| Supporting Estonian language learning and assessment and multilingualism | -1,376 | -1,881 | -1,649 | | 232 |
| Incl. funds with limits | -1,316 | -1,821 | -1,617 | | 204 |
| **Performance area: EDUCATED AND ACTIVE POPULATION** | **-565,626** | **-761,664** | **-616,297** | **-528,020** | **145,366** |
| Incl. funds with limits | -436,820 | -547,042 | -499,381 | -438,643 | 47,661 |
| **Education and youth programme** | **-565,626** | **-761,664** | **-616,297** | **-528,020** | **145,366** |
| Incl. funds with limits | -436,820 | -547,042 | -499,381 | -438,643 | 47,661 |
| Organising and developing the education network | -42,778 | -51,057 | -45,291 | | 5,766 |
| Incl. funds with limits | -18,830 | -22,286 | -20,251 | | 2,035 |
| Ensuring access to general education | -111,134 | -177,847 | -151,362 | | 26,485 |
| Incl. funds with limits | -107,579 | -172,154 | -146,436 | | 25,718 |
| Ensuring access to vocational training | -97,847 | -112,117 | -103,191 | | 8,926 |
| Incl. funds with limits | -78,913 | -86,501 | -83,056 | | 3,445 |
| Ensuring access to higher education | -200,334 | -221,393 | -210,155 | | 11,238 |
| Incl. funds with limits | -192,496 | -208,867 | -203,029 | | 5,838 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Developing adult learning and creating learning opportunities | -6,213 | -10,177 | -6,169 | | 4,008 |
| Incl. funds with limits | -151 | -151 | -151 | | 0 |
| Promoting the international competitiveness of education | -34,624 | -99,311 | -30,848 | | 68,463 |
| Incl. funds with limits | -1,865 | -2,282 | -1,914 | | 368 |
| Curriculum and school organisation development activities | -26,412 | -26,152 | -23,934 | | 2,217 |
| Incl. funds with limits | -17,186 | -19,163 | -16,282 | | 2,882 |
| Ensuring equal opportunities in education | -10,368 | -23,490 | -17,790 | | 5,699 |
| Incl. funds with limits | -5,729 | -19,302 | -14,211 | | 5,091 |
| Supporting the development of teachers and educational leaders | -6,639 | -5,573 | -4,663 | | 910 |
| Incl. funds with limits | -587 | -782 | -661 | | 121 |
| Developing the skills system and skills forecasting system OSKA | -2,089 | -2,362 | -2,311 | | 51 |
| Incl. funds with limits | -1,349 | -1,349 | -1,349 | | 0 |
| Linking learning to labour market needs | -15,485 | -16,691 | -11,514 | | 5,177 |
| Incl. funds with limits | -6,065 | -7,938 | -6,539 | | 1,399 |
| Supporting youth entrepreneurship and own initiative (HOOG) | -3,472 | -6,403 | -2,078 | | 4,326 |
| Incl. funds with limits | -61 | -61 | -38 | | 23 |
| Supporting young people's civic participation and protecting their rights (OSA) | -853 | -1,084 | -853 | | 230 |
| Incl. funds with limits | -853 | -853 | -853 | | 0 |
| Developing the accessibility and quality of youth work (ISE) | -5,078 | -5,596 | -4,809 | | 787 |
| Incl. funds with limits | -4,955 | -4,914 | -4,174 | | 740 |
| Ensuring equal opportunities for young people in society (KINDLUS) | -2,300 | -2,413 | -1,329 | | 1,084 |
| Incl. funds with limits | -200 | -440 | -440 | | 0 |
| **Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRENEURSHIP** | **-218,717** | **-220,633** | **-192,863** | **-187,425** | **27,770** |
| Incl. funds with limits | -160,019 | -169,745 | -143,757 | -128,887 | 25,988 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **Scientific System Programme** | **-176,289** | **-184,289** | **-172,833** | | **11,456** |
| Incl. funds with limits | -142,679 | -149,315 | -139,017 | | 10,298 |
| Supporting the development of research institutions and the research community | -161,095 | -169,288 | -159,862 | | 9,426 |
| Incl. funds with limits | -131,601 | -137,273 | -129,037 | | 8,237 |
| Ensuring the quality and accessibility of research infrastructure | -15,194 | -15,001 | -12,971 | | 2,030 |
| Incl. funds with limits | -11,078 | -12,041 | -9,980 | | 2,061 |
| **Knowledge Transfer Programme** | **-42,428** | **-36,344** | **-20,030** | | **16,314** |
| Incl. funds with limits | -17,340 | -20,430 | -4,740 | | 15,690 |
| Supporting knowledge transfer between sectors | -42,428 | -36,344 | -20,030 | | 16,314 |
| Incl. funds with limits | -17,340 | -20,430 | -4,740 | | 15,690 |
| **Performance area: EFFECTIVE STATE** | **-8,736** | **-11,194** | **-9,865** | **-9,260** | **1,329** |
| Incl. funds with limits | -7,940 | -8,469 | -8,228 | -7,669 | 241 |
| **Archiving programme** | **-8,736** | **-11,194** | **-9,865** | **-9,260** | **1,329** |
| Incl. funds with limits | -7,940 | -8,469 | -8,228 | -7,669 | 241 |
| Collecting, preserving, and providing access to archival materials | -8,736 | -11,194 | -9,865 | | 1,329 |
| Incl. funds with limits | -7,940 | -8,469 | -8,228 | | 241 |
| **Value added tax** | **-11,804** | **-13,742** | **-13,375** | **-10,698** | **367** |
| **INVESTMENTS** | **-77,500** | **-89,683** | **-79,530** | **-74,987** | **10,153** |
| Incl. funds with limits | -14,653 | -25,166 | -20,347 | -19,947 | 4,819 |
| Organising the network of upper secondary schools | -48,689 | -48,757 | -41,949 | | 6,808 |
| Incl. funds with limits | 0 | -192 | -192 | | 0 |
| Total other investments | -15,430 | -30,577 | -24,514 | | 6,063 |
| Incl. funds with limits | -14,653 | -24,973 | -20,154 | | 4,819 |
| Value added tax | -13,381 | -10,349 | -13,067 | -12,330 | -2,718 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **FINANCING TRANSACTIONS** | **261** | **261** | **70** | **150** | **-191** |
| Incl. funds with limits | -14 | -14 | -12 | -12 | 2 |
| Incl. VAT | 0 | 0 | -2 | -2 | -2 |
| Loan liabilities | -14 | -14 | -12 | -12 | 2 |
| Incl. funds with limits | -14 | -14 | -12 | -12 | 2 |
| Loan receivables | 275 | 275 | 84 | 164 | -191 |
| **ADJUSTMENTS** | | | **13,091** | **11,724** | |
| Income from gambling tax | | | 0 | 2,874 | |
| Non-monetary support received | | | 426 | 3,547 | |
| Difference between internal grants received and awarded | | | 38 | -6 | |
| Foreign aid co-financing received from other areas of government | | | 480 | 370 | |
| Result from the revaluation of biological assets | | | 12,488 | 4,938 | |
| Result from revaluation of holdings | | | 0 | 68 | |
| Non-monetary grants awarded | | | -317 | -43 | |
| Expenditure capitalised as investments (increase in investments) | | | 0 | -13 | |
| Expenditure capitalised as investments (reduction in expenditure) | | | 0 | 13 | |
| Foreign aid awarded to other areas of government (recovery of income) | | | 162 | 199 | |
| Foreign aid and co-financing intermediated to other areas of government (recovery of expenditure) | | | -186 | -224 | |
| Doubtful receivables (reversed income) | | | -4 | 16 | |
| Doubtful receivables (reversed expenses) | | | 4 | -16 | |
| | | | | | |
| **Area of government of the MINISTRY OF JUSTICE** | | | | | |
| **INCOME** | **47,444** | **47,444** | **58,594** | **48,914** | **11,149** |
| State fees | 29,235 | 29,235 | 32,483 | 28,195 | 3,248 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Income from economic activities | 5,665 | 5,665 | 6,774 | 7,949 | 1,109 |
| Grants received | 2,653 | 2,653 | 7,456 | 3,157 | 4,804 |
| Income from non-current assets and inventories sold | 0 | 0 | 3 | 2 | 3 |
| Fines and financial penalties | 861 | 861 | 1,825 | 1,407 | 964 |
| Other income | 9,030 | 9,030 | 10,051 | 8,205 | 1,021 |
| **EXPENDITURE** | **-192,562** | **-215,665** | **-196,584** | **-191,773** | **19,081** |
| Incl. funds with limits | -142,467 | -155,497 | -140,895 | -138,167 | 14,602 |
| **Performance area: RULE OF LAW** | **-183,286** | **-205,828** | **-187,146** | **-182,457** | **18,682** |
| Incl. funds with limits | -142,467 | -155,497 | -140,895 | -138,167 | 14,602 |
| **Programme for a reliable and effective legal space** | **-183,286** | **-205,828** | **-187,146** | **-182,457** | **18,682** |
| Incl. funds with limits | -142,467 | -155,497 | -140,895 | -138,167 | 14,602 |
| Implementing the area of data protection | -862 | -1,285 | -1,001 | | 285 |
| Incl. funds with limits | -851 | -1,010 | -915 | | 95 |
| Shaping legal policy and ensuring the quality of legislation | -8,278 | -9,160 | -6,288 | | 2,872 |
| Incl. funds with limits | -8,114 | -7,770 | -5,554 | | 2,216 |
| Implementing the field of intellectual property | -4,384 | -5,957 | -4,956 | | 1,001 |
| Incl. funds with limits | -1,851 | -1,820 | -1,686 | | 133 |
| Developing criminal policy and crime prevention | -4,811 | -3,356 | -3,897 | | -541 |
| Incl. funds with limits | -2,673 | -2,483 | -1,427 | | 1,056 |
| Implementing criminal policy | -27,082 | -29,710 | -27,738 | | 1,972 |
| Incl. funds with limits | -18,674 | -19,413 | -18,022 | | 1,391 |
| Organising the enforcement of penalties | -69,507 | -75,801 | -72,900 | | 2,901 |
| Incl. funds with limits | -67,309 | -72,212 | -70,860 | | 1,352 |
| Judicial procedure and keeping of court records | -54,804 | -61,970 | -57,807 | | 4,164 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -31,470 | -37,725 | -32,442 | | 5,283 |
| Ensuring access to legal services and legal information | -12,629 | -15,732 | -10,728 | | 5,004 |
| Incl. funds with limits | -10,849 | -12,387 | -9,514 | | 2,873 |
| Central IT services for other areas of government | -929 | -2,856 | -1,831 | | 1,025 |
| Incl. funds with limits | -675 | -677 | -474 | | 203 |
| **Value added tax** | **-9,277** | **-9,837** | **-9,438** | **-9,316** | **400** |
| **INVESTMENTS** | **-330** | **-9,923** | **-6,007** | **-1,936** | **3,916** |
| Incl. funds with limits | -191 | -3,032 | -1,077 | -786 | 1,955 |
| Incl. VAT | -35 | -1,239 | -974 | -294 | 264 |
| **FINANCING TRANSACTIONS** | **0** | **0** | **0** | **-3** | **0** |
| Incl. funds with limits | 0 | 0 | 0 | -2 | 0 |
| **ADJUSTMENTS** | | | **-8,858** | **-9,030** | |
| Foreign aid co-financing received from other state agencies | | | 881 | 230 | |
| Foreign aid intermediated to other areas of government (recovery of income) | | | 70 | 29 | |
| Foreign aid and co-financing intermediated to other areas of government | | | -82 | -34 | |
| Public sector special pensions and pension increases | | | -3,761 | -3,554 | |
| Interest expense on pension provisions | | | -5,967 | -5,701 | |
| Doubtful receivables are recorded as reduction in income, reversed income | | | 4 | 3 | |
| Doubtful receivables are recorded as reduction in income, reversed expenses | | | -4 | -3 | |
| Expenditure adjustment from capitalised investments | | | 2,618 | 2,203 | |
| Increase in investments from capitalised expenses | | | -2,618 | -2,203 | |
| | | | | | |
| **Area of government of the MINISTRY OF DEFENCE** | | | | | |
| **INCOME** | **21,416** | **21,416** | **7,544** | **5,038** | **-13,871** |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Income from economic activities | 175 | 175 | 3,884 | 2,119 | 3,709 |
| Grants received | 18,647 | 18,647 | 2,799 | 1,775 | -15,849 |
| Income from non-current assets and inventories sold | 87 | 87 | 543 | 860 | 456 |
| Fines and financial penalties | 205 | 205 | 210 | 140 | 5 |
| Other income | 2,301 | 2,301 | 49 | 99 | -2,252 |
| Interest and dividend income | 0 | 0 | 59 | 46 | 59 |
| **EXPENDITURE** | **-545,680** | **-693,998** | **-663,662** | **-551,619** | **30,336** |
| Incl. funds with limits | -438,680 | -572,294 | -527,096 | -427,116 | 45,198 |
| **Performance area: SECURITY AND NATIONAL DEFENCE** | **-519,852** | **-666,815** | **-616,630** | **-515,615** | **50,185** |
| Incl. funds with limits | -438,680 | -572,294 | -527,096 | -427,116 | 45,198 |
| **Independent military defence capability programme** | **-364,674** | **-473,565** | **-450,688** | **-363,403** | **22,877** |
| Incl. funds with limits | -292,417 | -398,711 | -366,747 | -280,578 | 31,964 |
| Military: land forces | -139,545 | -166,548 | -158,406 | | 8,142 |
| Incl. funds with limits | -121,340 | -149,134 | -128,675 | | 20,459 |
| Military: navy | -16,227 | -18,919 | -23,232 | | -4,313 |
| Incl. funds with limits | -14,562 | -17,276 | -17,249 | | 27 |
| Military: air forces | -33,171 | -23,353 | -25,788 | | -2,435 |
| Incl. funds with limits | -30,252 | -20,432 | -20,020 | | 412 |
| Military: other units | -131,234 | -207,658 | -191,419 | | 16,239 |
| Incl. funds with limits | -90,196 | -166,432 | -157,497 | | 8,935 |
| Defence skills | -44,497 | -57,088 | -51,844 | | 5,244 |
| Incl. funds with limits | -36,067 | -45,437 | -43,306 | | 2,131 |
| **Programme for participation in collective defence** | **-41,780** | **-59,152** | **-52,157** | **-46,179** | **6,995** |
| Incl. funds with limits | -35,394 | -51,463 | -50,261 | -42,510 | 1,202 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| International cooperation on defence | -27,805 | -41,258 | -39,885 | | 1,373 |
| Incl. funds with limits | -27,036 | -39,180 | -38,427 | | 754 |
| Presence of allies in Estonia | -13,975 | -17,894 | -12,273 | | 5,621 |
| Incl. funds with limits | -8,358 | -12,283 | -11,835 | | 448 |
| **Military intelligence and early warning programme** | **-51,482** | **-57,804** | **-51,334** | **-49,579** | **6,470** |
| Incl. funds with limits | -51,482 | -57,804 | -51,334 | -49,579 | 6,470 |
| **Programme for developing defence policy and support activities** | **-61,916** | **-76,295** | **-62,452** | **-56,454** | **13,843** |
| Incl. funds with limits | -59,387 | -64,316 | -58,754 | -54,449 | 5,561 |
| Developing sense of defence | -17,794 | -19,640 | -17,315 | | 2,325 |
| Incl. funds with limits | -17,446 | -19,101 | -16,787 | | 2,314 |
| Deterrence | -6,728 | -6,963 | -6,597 | | 366 |
| Incl. funds with limits | -6,704 | -6,899 | -6,415 | | 485 |
| National defence human assets | -25,499 | -26,886 | -25,595 | | 1,291 |
| Incl. funds with limits | -23,846 | -25,156 | -23,790 | | 1,366 |
| Defence investment management | -11,895 | -22,806 | -12,945 | | 9,861 |
| Incl. funds with limits | -11,391 | -13,160 | -11,763 | | 1,397 |
| **Value added tax** | **-25,828** | **-27,183** | **-47,032** | **-36,004** | **-19,849** |
| **INVESTMENTS** | **-281,057** | **-237,283** | **-186,744** | **-145,729** | **50,539** |
| Incl. funds with limits | -217,604 | -180,621 | -151,574 | -123,280 | 29,048 |
| Purchase and renovation of buildings and facilities | -54,528 | -44,292 | -43,451 | | 841 |
| Incl. funds with limits | -41,181 | -44,292 | -43,451 | | 841 |
| Defence-related special equipment | -126,439 | -108,166 | -93,758 | | 14,409 |
| Incl. funds with limits | -126,092 | -108,166 | -93,758 | | 14,409 |
| Defence investments programme | -38,333 | -500 | -452 | | 48 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -38,333 | -500 | -452 | | 48 |
| Other investments | -23,569 | -44,617 | -22,056 | | 22,562 |
| Incl. funds with limits | -11,998 | -27,662 | -13,913 | | 13,750 |
| **Value added tax** | **-38,187** | **-39,707** | **-27,028** | **-21,136** | **12,679** |
| **ADJUSTMENTS** | | | **-64,567** | **-64,761** | |
| Public sector special pensions and pension increases | | | -38,715 | -40,910 | |
| Interest expense on pension provisions | | | -29,033 | -26,402 | |
| Foreign aid co-financing received from other areas of government | | | 69 | 0 | |
| Non-monetary foreign aid received | | | 7,338 | 11,606 | |
| Non-monetary domestic grants received | | | 23 | 96 | |
| Non-monetary grants awarded | | | -1,554 | -6,352 | |
| Expenditure incurred with non-monetary support | | | -2,695 | -2,800 | |
| | | | | | |
| **Area of government of the MINISTRY OF THE ENVIRONMENT** | | | | | |
| **INCOME** | **412,946** | **412,946** | **657,064** | **482,810** | **244,118** |
| State fees | 511 | 511 | 471 | 531 | -40 |
| Income from economic activities | 211,607 | 211,607 | 341,476 | 255,245 | 129,869 |
| Grants received | 65,971 | 65,971 | 40,657 | 72,159 | -25,314 |
| Income from non-current assets and inventories sold | 24,000 | 24,000 | 46,637 | 28,645 | 22,637 |
| Fines and financial penalties | 200 | 200 | 338 | 319 | 138 |
| Environmental charges | 77,770 | 77,770 | 151,380 | 89,927 | 73,610 |
| Other income | 20 | 20 | 253 | 86 | 233 |
| Interest and dividend income | 32,867 | 32,867 | 75,854 | 35,899 | 42,987 |
| **EXPENDITURE** | **-175,701** | **-385,517** | **-134,677** | **-164,862** | **250,840** |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -79,756 | -94,807 | -75,260 | -79,068 | 19,547 |
| **Performance area: AGRICULTURE AND FISHERY** | **-5,750** | **-29,817** | **-7,562** | **-6,242** | **22,255** |
| Incl. funds with limits | -4,533 | -5,422 | -4,550 | -4,484 | 872 |
| **Fisheries programme** | **-5,750** | **-29,817** | **-7,562** | **-6,242** | **22,255** |
| Incl. funds with limits | -4,533 | -5,422 | -4,550 | -4,484 | 872 |
| Management and conservation of fish resources and fishing | -5,750 | -29,817 | -7,562 | -6,242 | 22,255 |
| Incl. funds with limits | -4,533 | -5,422 | -4,550 | -4,484 | 872 |
| **Performance area: ENVIRONMENT** | **-165,201** | **-350,567** | **-121,813** | **-154,424** | **228,753** |
| Incl. funds with limits | -75,223 | -89,386 | -70,711 | -74,584 | 18,675 |
| **Programme for environmental protection and exploitation** | **-165,201** | **-350,567** | **-121,813** | **-154,424** | **228,753** |
| Incl. funds with limits | -75,223 | -89,386 | -70,711 | -74,584 | 18,675 |
| Climate change mitigation and adaptation | -25,420 | -60,612 | -8,562 | | 52,049 |
| Incl. funds with limits | -2,412 | -2,392 | -2,236 | | 156 |
| Improving air quality | -7,070 | -78,696 | -3,691 | | 75,004 |
| Incl. funds with limits | -6,798 | -4,195 | -3,505 | | 690 |
| Ensuring radiation safety | -1,399 | -2,122 | -1,648 | | 474 |
| Incl. funds with limits | -1,129 | -1,681 | -1,321 | | 359 |
| Promoting resource efficiency and eco-innovation | -19,706 | -22,987 | -11,472 | | 11,515 |
| Incl. funds with limits | -2,325 | -2,191 | -958 | | 1,232 |
| Ensuring environmental impact assessment and mitigation | -1,225 | -1,105 | -955 | | 150 |
| Incl. funds with limits | -1,117 | -933 | -814 | | 119 |
| Industrial emissions and chemicals policy making | -1,275 | -10,650 | -1,763 | | 8,887 |
| Incl. funds with limits | -1,190 | -2,100 | -1,679 | | 421 |
| Organising waste management | -4,009 | -5,763 | -6,054 | | -291 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -2,851 | -4,444 | -3,738 | | 705 |
| Management of the exploitation and conservation of the subsoil resources | -1,351 | -1,655 | -1,264 | | 391 |
| Incl. funds with limits | -1,235 | -1,510 | -1,181 | | 329 |
| Targeting the protection of the marine environment | -2,682 | -39,010 | -2,386 | | 36,624 |
| Incl. funds with limits | -2,405 | -3,425 | -2,312 | | 1,112 |
| Ensuring the sustainable use and protection of water | -48,067 | -58,512 | -27,480 | | 31,033 |
| Incl. funds with limits | -12,070 | -14,052 | -7,876 | | 6,176 |
| Ensuring biodiversity protection | -17,002 | -22,509 | -15,907 | | 6,603 |
| Incl. funds with limits | -10,113 | -12,519 | -10,674 | | 1,844 |
| Guiding forestry development | -11,142 | -11,726 | -10,301 | | 1,425 |
| Incl. funds with limits | -10,768 | -11,310 | -10,044 | | 1,266 |
| Guiding hunting development | -1,510 | -1,403 | -1,383 | | 20 |
| Incl. funds with limits | -1,406 | -1,282 | -1,160 | | 122 |
| Organising land operations | -6,023 | -12,661 | -8,883 | | 3,778 |
| Incl. funds with limits | -3,960 | -9,052 | -5,982 | | 3,070 |
| Spatial data capture, analysis, and making it available | -7,615 | -8,742 | -9,322 | | -580 |
| Incl. funds with limits | -7,274 | -8,513 | -8,436 | | 76 |
| Provision of weather data, forecasts, and warnings | -4,015 | -5,442 | -4,721 | | 721 |
| Incl. funds with limits | -2,792 | -3,584 | -3,389 | | 196 |
| Guiding the development of environmental awareness and education | -5,691 | -6,973 | -6,021 | | 952 |
| Incl. funds with limits | -5,379 | -6,206 | -5,404 | | 801 |
| **Value added tax** | **-4,749** | **-5,133** | **-5,302** | **-4,197** | **-169** |
| **INVESTMENTS** | **-3,109** | **-8,736** | **-5,059** | **-6,016** | **3,677** |
| Incl. funds with limits | -2,075 | -5,651 | -2,897 | -1,916 | 2,754 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Incl. VAT | -852 | -1,078 | -843 | -993 | 236 |
| **FINANCING TRANSACTIONS** | **4,200** | **4,200** | **4,913** | **5,551** | **713** |
| Loan receivables | 4,200 | 4,200 | 4,913 | 5,551 | 713 |
| **ADJUSTMENTS** | | | **147,034** | **205,642** | |
| Environmental and pollution charges recorded as performance of the budget of the Government of the Republic | | | -15,947 | -16,754 | |
| Foreign aid co-financing received from other areas of government | | | 952 | 881 | |
| Foreign aid intermediated to other areas of government, recovery of income | | | 0 | 52 | |
| Foreign aid intermediated to other areas of government, recovery of expenditure | | | 0 | -52 | |
| Doubtful environmental charges and income from economic activities, recovery of income | | | -915 | 89 | |
| Doubtful environmental charges and income from economic activities, expense reversal | | | 915 | -89 | |
| Non-monetary grants awarded | | | -363 | -483 | |
| Revaluation of holdings | | | 162,392 | 221,997 | |
| | | | | | |
| **Area of government of the MINISTRY OF CULTURE** | | | | | |
| **INCOME** | **5,781** | **5,781** | **11,557** | **10,408** | **5,777** |
| State fees | 7 | 7 | 8 | 24 | 1 |
| Income from economic activities | 1,450 | 1,450 | 2,943 | 1,867 | 1,493 |
| Grants received | 4,322 | 4,322 | 8,598 | 8,504 | 4,277 |
| Other income | 2 | 2 | 7 | 13 | 6 |
| Interest and dividend income | 0 | 0 | 0 | 1 | 0 |
| **EXPENDITURE** | **-295,459** | **-416,330** | **-328,786** | **-316,649** | **87,544** |
| Incl. funds with limits | -252,476 | -317,420 | -271,081 | -267,953 | 46,340 |
| **Performance area: COHESIVE SOCIETY** | **-7,072** | **-18,482** | **-11,194** | **-8,001** | **7,288** |
| Incl. funds with limits | -5,390 | -15,253 | -8,113 | -5,512 | 7,140 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **Cohesive Estonia: integration, including adaptation programme** | **-7,072** | **-18,482** | **-11,194** | **-8,001** | **7,288** |
| Incl. funds with limits | -5,390 | -15,253 | -8,113 | -5,512 | 7,140 |
| Developing integration, including adaptation policies | -1,689 | -2,354 | -1,872 | | 482 |
| Incl. funds with limits | -1,565 | -2,240 | -1,767 | | 473 |
| Implementing integration, including adaptation policies | -5,382 | -16,127 | -9,322 | | 6,806 |
| Incl. funds with limits | -3,824 | -13,013 | -6,346 | | 6,668 |
| **Performance area: CULTURE AND SPORTS** | **-286,656** | **-395,222** | **-314,227** | **-305,915** | **80,995** |
| Incl. funds with limits | -247,087 | -302,167 | -262,968 | -262,442 | 39,199 |
| **Cultural programme** | **-238,086** | **-341,476** | **-265,159** | **-249,669** | **76,317** |
| Incl. funds with limits | -201,840 | -252,516 | -218,298 | -213,613 | 34,218 |
| Supporting and rewarding creative persons | -2,754 | -4,338 | -4,291 | | 47 |
| Incl. funds with limits | -375 | -1,958 | -1,648 | | 310 |
| Developing and implementing literary policy | -7,248 | -7,342 | -7,554 | | -213 |
| Incl. funds with limits | -4,743 | -4,748 | -4,722 | | 26 |
| Developing and implementing performing arts policy | -38,355 | -46,290 | -43,343 | | 2,947 |
| Incl. funds with limits | -35,722 | -43,600 | -40,398 | | 3,202 |
| Developing and implementing audiovisual policy | -11,759 | -17,806 | -16,046 | | 1,760 |
| Incl. funds with limits | -8,633 | -14,615 | -12,535 | | 2,079 |
| Developing and implementing music policy | -16,449 | -16,697 | -16,427 | | 270 |
| Incl. funds with limits | -13,323 | -13,499 | -12,910 | | 589 |
| Developing and implementing arts policy | -8,172 | -6,539 | -6,382 | | 157 |
| Incl. funds with limits | -5,208 | -3,480 | -3,024 | | 457 |
| Developing and implementing architecture and design policy | -2,200 | -2,243 | -2,426 | | -182 |
| Incl. funds with limits | -392 | -397 | -388 | | 9 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Developing and implementing media policy | -57,271 | -44,618 | -42,770 | | 1,848 |
| Incl. funds with limits | -57,271 | -44,618 | -42,770 | | 1,848 |
| Developing and implementing museum policy | -41,361 | -96,327 | -43,492 | | 52,835 |
| Incl. funds with limits | -39,279 | -41,873 | -36,767 | | 5,106 |
| Developing and implementing heritage conservation policy | -7,425 | -15,737 | -9,591 | | 6,146 |
| Incl. funds with limits | -6,274 | -14,896 | -9,034 | | 5,862 |
| Developing and implementing library policy | -14,251 | -41,307 | -35,017 | | 6,290 |
| Incl. funds with limits | -14,251 | -41,265 | -35,017 | | 6,248 |
| Developing and implementing folk culture policy | -10,978 | -11,723 | -10,322 | | 1,401 |
| Incl. funds with limits | -7,901 | -8,123 | -6,507 | | 1,616 |
| Digitisation in the cultural sector | -284 | -455 | -123 | | 331 |
| Incl. funds with limits | -235 | -455 | -82 | | 372 |
| Promoting the internationalisation of culture | -4,247 | -4,611 | -4,227 | | 385 |
| Incl. funds with limits | -4,247 | -4,503 | -4,119 | | 383 |
| Developing and implementing creative sector policy | -1,637 | -1,063 | -1,098 | | -35 |
| Incl. funds with limits | -16 | -16 | -16 | | 0 |
| Cross-cutting support and development for culture | -13,694 | -24,380 | -22,049 | | 2,332 |
| Incl. funds with limits | -3,971 | -14,472 | -8,361 | | 6,111 |
| **Sports programme** | **-48,571** | **-53,746** | **-49,069** | **-56,246** | **4,678** |
| Incl. funds with limits | -45,246 | -49,651 | -44,670 | -48,829 | 4,982 |
| Supporting and developing competitive sport | -38,155 | -47,508 | -43,680 | | 3,828 |
| Incl. funds with limits | -34,839 | -43,451 | -39,297 | | 4,154 |
| Supporting and developing fair sport and sports security | -198 | -210 | -203 | | 7 |
| Incl. funds with limits | -198 | -198 | -203 | | -5 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Promoting organised physical activity | -10,218 | -6,029 | -5,186 | | 842 |
| Incl. funds with limits | -10,209 | -6,002 | -5,170 | | 832 |
| **Value added tax** | **-1,731** | **-2,627** | **-3,365** | **-2,733** | **-738** |
| **INVESTMENTS** | **-93** | **-557** | **-477** | **-878** | **80** |
| Incl. funds with limits | -93 | -237 | -169 | -92 | 69 |
| Incl. VAT | 0 | -22 | -44 | -128 | -22 |
| **ADJUSTMENTS** | | | **37,626** | **34,150** | |
| Tax revenue received | | | 39,078 | 38,183 | |
| Pass-through tax revenue, the difference between accrued and cash-based expenses | | | 401 | -2,932 | |
| Non-monetary government grants received | | | 74 | 11 | |
| Foreign aid intermediated to state agencies | | | 0 | 203 | |
| Foreign aid co-financing received from other areas of government | | | 154 | 139 | |
| Foreign aid and co-financing awarded to other areas of government | | | 0 | -239 | |
| Doubtful accounts, reversed income | | | 0 | 1 | |
| Doubtful accounts, reversed expenses | | | 0 | -1 | |
| Revaluation of holdings | | | -2,081 | -1,214 | |
| | | | | | |
| **Area of government of the MINISTRY OF ECONOMIC AFFAIRS AND COMMUNICATIONS** | | | | | |
| **INCOME** | **612,430** | **712,430** | **433,755** | **329,414** | **-278,675** |
| State fees | 33,391 | 33,391 | 37,382 | 36,661 | 3,992 |
| Income from economic activities | 53,632 | 53,632 | 38,703 | 19,459 | -14,929 |
| Grants received | 465,069 | 565,069 | 307,813 | 202,260 | -257,256 |
| Income from non-current assets and inventories sold | 120 | 120 | 816 | 1,886 | 696 |
| Fines and other fines to the extent of assets | 209 | 209 | 412 | 650 | 203 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Other income | 20,465 | 20,465 | 21,683 | 21,437 | 1,218 |
| Interest and dividend income | 39,544 | 39,544 | 26,944 | 47,060 | -12,600 |
| **EXPENDITURE** | **-941,214** | **-1,211,238** | **-975,955** | **-777,739** | **235,283** |
| Incl. funds with limits | -381,703 | -652,187 | -520,515 | -441,338 | 131,672 |
| **Performance area: TRANSPORT** | **-476,697** | **-516,994** | **-504,196** | **-431,638** | **12,798** |
| Incl. funds with limits | -231,546 | -307,824 | -293,231 | -251,907 | 14,593 |
| **Transport competitiveness and mobility programme** | **-476,697** | **-516,994** | **-504,196** | **-431,638** | **12,798** |
| Incl. funds with limits | -231,546 | -307,824 | -293,231 | -251,907 | 14,593 |
| Development and maintenance of rail transport infrastructure | -122,675 | -116,474 | -105,645 | | 10,829 |
| Incl. funds with limits | -14,849 | -37,708 | -36,495 | | 1,214 |
| Development and maintenance of water transport infrastructure | -26,286 | -27,787 | -26,531 | | 1,256 |
| Incl. funds with limits | -19,596 | -22,490 | -21,558 | | 933 |
| Development and maintenance of air transport infrastructure | -13,411 | -13,434 | -7,906 | | 5,527 |
| Incl. funds with limits | -9,375 | -12,774 | -12,652 | | 122 |
| Development and maintenance of road transport infrastructure | -170,350 | -188,283 | -199,811 | | -11,528 |
| Incl. funds with limits | -52,164 | -66,506 | -61,373 | | 5,134 |
| Urban environment promoting eco-mobility | -6,686 | -960 | -918 | | 42 |
| Incl. funds with limits | -155 | -183 | -146 | | 37 |
| Safe and sustainable transport system | -25,388 | -31,121 | -29,225 | | 1,897 |
| Incl. funds with limits | -23,741 | -29,435 | -27,041 | | 2,393 |
| Developing and promoting mobility services | -111,902 | -138,935 | -134,160 | | 4,775 |
| Incl. funds with limits | -111,666 | -138,728 | -133,967 | | 4,761 |
| **Performance area: ENERGY** | **-55,049** | **-315,540** | **-180,415** | **-74,948** | **135,124** |
| Incl. funds with limits | -10,804 | -156,930 | -132,312 | -41,147 | 24,618 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **Energy and Mineral Resources Programme** | **-55,049** | **-315,540** | **-180,415** | **-74,948** | **135,124** |
| Incl. funds with limits | -10,804 | -156,930 | -132,312 | -41,147 | 24,618 |
| Ensuring the supply of electricity and gas | -408 | -189,966 | -127,177 | | 62,790 |
| Incl. funds with limits | -383 | -118,011 | -100,937 | | 17,074 |
| Transport fuel management and fuel stock management | -6,266 | -11,893 | -7,904 | | 3,989 |
| Incl. funds with limits | -6,247 | -11,866 | -7,880 | | 3,986 |
| Efficient production and transmission of heat | -235 | -14,360 | -11,493 | | 2,867 |
| Incl. funds with limits | -223 | -14,338 | -11,479 | | 2,858 |
| Increasing the energy efficiency | -15,190 | -17,258 | -17,205 | | 53 |
| Incl. funds with limits | -452 | -8,536 | -8,490 | | 45 |
| Increasing the share of renewable energy in final consumption | -29,910 | -76,306 | -13,001 | | 63,305 |
| Incl. funds with limits | -706 | -926 | -881 | | 46 |
| Exploration and exploitation of the subsoil resources | -1,216 | -2,232 | -1,181 | | 1,051 |
| Incl. funds with limits | -1,163 | -1,295 | -854 | | 441 |
| Geological mapping and the subsoil competence | -1,824 | -3,524 | -2,455 | | 1,069 |
| Incl. funds with limits | -1,629 | -1,958 | -1,790 | | 168 |
| **Performance area: INFORMATION SOCIETY** | **-87,467** | **-77,631** | **-64,126** | **-44,349** | **13,505** |
| Incl. funds with limits | -26,988 | -55,869 | -40,119 | -32,016 | 15,750 |
| **Digital society programme** | **-87,467** | **-77,631** | **-64,126** | **-44,349** | **13,505** |
| Incl. funds with limits | -26,988 | -55,869 | -40,119 | -32,016 | 15,750 |
| Development leaps for the digital economy | -2,129 | -3,426 | -2,997 | | 429 |
| Incl. funds with limits | -610 | -1,252 | -1,126 | | 126 |
| Strengthening the digital state | -61,260 | -42,509 | -39,394 | | 3,115 |
| Incl. funds with limits | -10,283 | -27,478 | -21,004 | | 6,475 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Organising national cyber security | -731 | -2,543 | -1,111 | | 1,432 |
| Incl. funds with limits | -253 | -2,059 | -988 | | 1,070 |
| Developing analytical skills | -145 | -1,011 | -826 | | 185 |
| Incl. funds with limits | -138 | -786 | -638 | | 149 |
| Ensuring cyber security | -5,485 | -12,585 | -10,210 | | 2,375 |
| Incl. funds with limits | -2,377 | -8,464 | -6,540 | | 1,924 |
| Ensuring the rule of law | -13,195 | -15,720 | -9,771 | | 5,949 |
| Incl. funds with limits | -13,110 | -15,604 | -9,606 | | 5,998 |
| Developing access networks | -4,403 | 292 | 302 | | 10 |
| Incl. funds with limits | -106 | -110 | -106 | | 4 |
| Developing 5G infrastructure and services | -120 | -130 | -119 | | 11 |
| Incl. funds with limits | -112 | -117 | -112 | | 4 |
| **Performance area: RESEARCH AND DEVELOPMENT AND ENTREPRENEURSHIP** | **-310,140** | **-268,090** | **-186,009** | **-206,968** | **82,081** |
| Incl. funds with limits | -112,364 | -131,564 | -54,853 | -116,268 | 76,711 |
| **Knowledge Transfer Programme** | **-111,569** | **-102,457** | **-63,265** | | **39,192** |
| Incl. funds with limits | -45,152 | -58,630 | -19,357 | | 39,273 |
| Fostering innovation, digital, and green transition of enterprises | -111,404 | -102,282 | -63,113 | | 39,170 |
| Incl. funds with limits | -45,010 | -58,482 | -19,218 | | 39,265 |
| Developing research and development intensive start-ups | -165 | -175 | -152 | | 23 |
| Incl. funds with limits | -142 | -147 | -139 | | 9 |
| **Construction programme** | **-61,304** | **-82,657** | **-57,258** | **-47,739** | **25,400** |
| Incl. funds with limits | -11,866 | -31,669 | -11,364 | -19,550 | 20,305 |
| E-construction | -2,166 | -2,668 | -1,855 | | 813 |
| Incl. funds with limits | -809 | -834 | -760 | | 74 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Developing the quality of the built environment and the construction sector | -1,295 | -2,158 | -1,308 | | 850 |
| Incl. funds with limits | -1,208 | -1,694 | -1,124 | | 570 |
| Housing policy | -57,843 | -77,830 | -54,094 | | 23,736 |
| Incl. funds with limits | -9,848 | -29,142 | -9,481 | | 19,661 |
| **Entrepreneurial Environment Programme** | **-137,268** | **-82,976** | **-65,486** | **-159,228** | **17,489** |
| Incl. funds with limits | -55,347 | -41,264 | -24,132 | -96,718 | 17,132 |
| Promoting the development of entrepreneurship | -27,088 | -21,493 | -19,342 | | 2,152 |
| Incl. funds with limits | -12,731 | -14,015 | -12,176 | | 1,839 |
| Promoting business competitiveness and exports | -88,214 | -48,329 | -38,991 | | 9,338 |
| Incl. funds with limits | -34,293 | -15,849 | -6,538 | | 9,311 |
| Developing research and development intensive start-ups | -21,966 | 0 | 0 | | 0 |
| Incl. funds with limits | -8,323 | 0 | 0 | | 0 |
| Fostering technology and development intensive investment | 0 | -13,153 | -7,154 | | 5,999 |
| Incl. funds with limits | 0 | -11,401 | -5,419 | | 5,983 |
| **Value added tax** | **-11,861** | **-32,983** | **-41,209** | **-19,836** | **-8,225** |
| **INVESTMENTS** | **-296,981** | **-305,388** | **-252,232** | **-259,473** | **53,156** |
| Incl. funds with limits | -149,684 | -176,075 | -155,917 | -184,849 | 20,158 |
| IT investments | -28,228 | -31,371 | -16,514 | | 14,857 |
| Incl. funds with limits | -9,717 | -10,460 | -4,677 | | 5,783 |
| 2022 Supplementary budget IT investments | 0 | -13,263 | -8,734 | | 4,529 |
| Incl. funds with limits | 0 | -13,263 | -8,734 | | 4,529 |
| Summary project of the renovation of national roads | -127,838 | -136,678 | -129,469 | | 7,208 |
| Incl. funds with limits | -126,976 | -132,546 | -127,010 | | 5,536 |
| Rail Baltic development | -41,320 | -11,484 | -9,385 | | 2,099 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Construction of the Kose-Mäo section into 2+2 lanes | -15,385 | -15,168 | -15,168 | | 0 |
| Incl. funds with limits | -7,833 | -3,824 | -3,824 | | 0 |
| Total other investments | -35,197 | -53,948 | -33,068 | | 20,881 |
| Incl. funds with limits | -5,158 | -15,982 | -11,672 | | 4,310 |
| Value added tax | -49,014 | -43,477 | -39,895 | -42,482 | 3,582 |
| **TOTAL FINANCING TRANSACTIONS** | **-80,300** | **-392,300** | **154,540** | **-1,788** | **546,840** |
| Incl. funds with limits | -55,300 | -268,300 | -198,000 | -33,000 | 70,300 |
| Short-term financial investments | -54,500 | 0 | 5,403 | | 5,403 |
| Incl. funds with limits | -54,500 | 0 | 0 | | 0 |
| Holdings in public sector and affiliated entities and international holdings | 0 | -227,500 | -148,000 | | 79,500 |
| Incl. funds with limits | 0 | -227,500 | -148,000 | | 79,500 |
| Government grants awarded for the financing activities | -25,800 | -164,800 | 297,136 | | 461,936 |
| Incl. funds with limits | -800 | -40,800 | -50,000 | | -9,200 |
| **ADJUSTMENTS** | | | **-22,456** | 31,857 | |
| Non-monetary government grants received | | | 36 | 6,023 | |
| Revaluation of holdings | | | -19,148 | 28,696 | |
| Foreign aid intermediated to state agencies | | | 16,096 | 16,318 | |
| Foreign aid co-financing received from other state agencies | | | 176 | 275 | |
| Foreign aid intermediated to other areas of government | | | -18,855 | -18,858 | |
| Doubtful receivables, reversed income | | | 3 | 1 | |
| Doubtful receivables, reversed expenses | | | -3 | -1 | |
| Non-monetary government grants awarded | | | -733 | -571 | |
| Interest expense on other provisions | | | -27 | -26 | |
| | | | | | |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **Area of government of the MINISTRY OF RURAL AFFAIRS** | | | | | |
| **INCOME** | **352,948** | **352,948** | **344,224** | **318,993** | **-8,724** |
| State fees | 1,320 | 1,320 | 1,520 | 1,509 | 200 |
| Income from economic activities | 7,218 | 7,218 | 10,277 | 10,009 | 3,058 |
| Grants received | 342,800 | 342,800 | 326,621 | 314,899 | -16,179 |
| Income from non-current assets and inventories sold | 500 | 500 | 0 | -3 | -500 |
| Fines and financial penalties | 2 | 2 | 15 | 16 | 13 |
| Environmental charges | 840 | 840 | 1,024 | 1,072 | 184 |
| Other income | 22 | 22 | 953 | 1,234 | 931 |
| Interest and dividend income | 245 | 245 | 3,813 | -9,742 | 3,568 |
| **EXPENDITURE** | **-451,610** | **-456,163** | **-436,157** | **-410,752** | **20,007** |
| Incl. funds with limits | -56,454 | -77,958 | -66,825 | -69,110 | 11,133 |
| **Performance area: AGRICULTURE AND FISHERY** | **-448,684** | **-452,690** | **-433,019** | **-407,997** | **19,670** |
| Incl. funds with limits | -56,454 | -77,958 | -66,825 | -69,110 | 11,133 |
| **Programme: Agriculture, food and rural affairs** | **-420,392** | **-434,789** | **-415,542** | **-391,843** | **19,248** |
| Incl. funds with limits | -54,201 | -75,350 | -64,435 | -65,678 | 10,915 |
| Plant protection | -1,128 | -1,598 | -1,613 | | -14 |
| Incl. funds with limits | -990 | -1,411 | -1,334 | | 77 |
| Fertilisers | -318 | -300 | -307 | | -7 |
| Incl. funds with limits | -255 | -280 | -262 | | 18 |
| Additional environmental management | -100,080 | -72,592 | -96,975 | | -24,383 |
| Incl. funds with limits | -1,354 | -3,038 | -2,072 | | 965 |
| Plant health | -2,212 | -2,852 | -2,674 | | 178 |
| Incl. funds with limits | -1,693 | -2,367 | -1,850 | | 517 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Animal health | -8,412 | -9,686 | -8,042 | | 1,644 |
| Incl. funds with limits | -4,300 | -5,267 | -5,306 | | -39 |
| Feed safety | -1,442 | -1,661 | -1,063 | | 597 |
| Incl. funds with limits | -1,020 | -1,044 | -851 | | 193 |
| Animal welfare | -8,313 | -1,767 | -5,990 | | -4,222 |
| Incl. funds with limits | -790 | -988 | -829 | | 159 |
| Food safety | -9,054 | -12,974 | -11,357 | | 1,617 |
| Incl. funds with limits | -6,433 | -8,544 | -8,354 | | 190 |
| Land use | -7,544 | -4,143 | -7,357 | | -3,215 |
| Incl. funds with limits | -760 | -1,081 | -606 | | 475 |
| Land improvement | -11,395 | -15,746 | -10,781 | | 4,965 |
| Incl. funds with limits | -3,118 | -3,245 | -2,919 | | 326 |
| Plant breeding and plant propagating material | -8,845 | -12,288 | -10,503 | | 1,785 |
| Incl. funds with limits | -6,362 | -6,781 | -5,897 | | 883 |
| Breeding of farm animals | -6,276 | -5,590 | -6,777 | | -1,187 |
| Incl. funds with limits | -5,046 | -5,380 | -5,577 | | -197 |
| Competitiveness of farmers and food industries | -53,877 | -92,795 | -62,095 | | 30,700 |
| Incl. funds with limits | -8,688 | -20,462 | -17,924 | | 2,538 |
| Change of generations | -8,589 | -13,677 | -5,783 | | 7,895 |
| Incl. funds with limits | -357 | -413 | -368 | | 45 |
| Risk management and balance of agricultural markets | -1,706 | -1,644 | -1,342 | | 303 |
| Incl. funds with limits | -969 | -1,188 | -1,026 | | 162 |
| Joint action and cooperation | -3,075 | -1,214 | -1,101 | | 113 |
| Incl. funds with limits | -833 | -810 | -731 | | 80 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Export capacity and the image of Estonian food | -131,377 | -134,007 | -130,890 | | 3,117 |
| Incl. funds with limits | -4,755 | -5,177 | -2,400 | | 2,777 |
| Organic farming | -28,442 | -5,478 | -23,730 | | -18,252 |
| Incl. funds with limits | -2,325 | -3,472 | -2,103 | | 1,369 |
| Rural life and the local community | -26,775 | -44,455 | -27,038 | | 17,418 |
| Incl. funds with limits | -4,098 | -4,321 | -3,965 | | 355 |
| Financial instruments | -1,531 | -322 | -125 | | 197 |
| Incl. funds with limits | -55 | -80 | -59 | | 21 |
| **Programme: Fisheries** | **-28,291** | **-17,900** | **-17,478** | **-16,153** | **423** |
| Incl. funds with limits | -2,254 | -2,608 | -2,389 | -3,432 | 219 |
| Commercial fishing | -13,352 | -10,326 | -9,699 | | 627 |
| Incl. funds with limits | -1,437 | -1,637 | -1,577 | | 60 |
| Treatment of live aquatic resources | -6,207 | -5,399 | -5,876 | | -477 |
| Incl. funds with limits | -417 | -483 | -353 | | 130 |
| Aquaculture | -5,723 | -1,460 | -1,546 | | -86 |
| Incl. funds with limits | -227 | -275 | -244 | | 31 |
| Implementation of EMFF environmental measures | -3,010 | -714 | -357 | | 358 |
| Incl. funds with limits | -172 | -213 | -215 | | -2 |
| **Value added tax** | **-2,927** | **-3,474** | **-3,137** | **-2,755** | **336** |
| **INVESTMENTS** | **-3,144** | **-11,638** | **-6,183** | **-4,588** | **5,456** |
| Incl. funds with limits | -2,312 | -4,216 | -1,443 | -1,544 | 2,773 |
| Incl. VAT | -504 | -1,044 | -866 | -647 | 178 |
| **FINANCING TRANSACTIONS** | **0** | **0** | **7,864** | **-8,374** | **7,864** |
| Incl. funds with limits | 0 | 0 | 0 | 4,234 | 0 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **ADJUSTMENTS** | | | **-316** | **1,054** | |
| Foreign aid co-financing received from other state agencies | | | 143 | 1,414 | |
| Received for intermediation to other state agencies | | | 2,339 | 2,034 | |
| Doubtful sales receivables, recovery of income | | | -61 | -1 | |
| Doubtful sales receivables, recovery of expenditure | | | 61 | 1 | |
| Foreign aid and co-financing awarded to other state agencies | | | -2,797 | -2,394 | |
| Non-monetary government grants awarded | | | 0 | -1 | |
| | | | | | |
| **Area of government of the MINISTRY OF FINANCE** | | | | | |
| **INCOME** | **11,218,847** | **11,359,702** | **12,106,927** | **10,887,694** | **747,225** |
| Taxes and social security contributions | 11,107,296 | 11,248,151 | 11,948,516 | 10,787,825 | 700,364 |
| Grants received | 62,986 | 62,986 | 53,336 | 50,370 | -9,650 |
| State fees | 1,300 | 1,300 | 1,186 | 1,459 | -114 |
| Income from economic activities | 823 | 823 | 1,759 | 1,308 | 936 |
| Income from non-current assets and inventories sold | 13 | 13 | 93 | 41 | 80 |
| Fines and other fines to the extent of assets | 380 | 380 | 343 | 467 | -37 |
| Other income | 10,355 | 10,355 | 13,196 | 10,729 | 2,841 |
| Interest and dividend income | 35,694 | 35,694 | 88,499 | 35,495 | 52,806 |
| **EXPENDITURE** | **-273,202** | **-364,236** | **-282,980** | **-299,839** | **81,256** |
| Incl. funds with limits | -126,596 | -185,520 | -145,155 | -202,331 | 40,365 |
| **Performance area: EFFECTIVE STATE** | **-266,429** | **-357,453** | **-277,299** | **-294,540** | **80,154** |
| Incl. funds with limits | -126,596 | -185,520 | -145,155 | -202,331 | 40,365 |
| **Public finance programme** | **-69,981** | **-73,169** | **-92,487** | **-68,755** | **-19,318** |
| Incl. funds with limits | -54,716 | -57,651 | -55,886 | -53,969 | 1,764 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Budgetary policymaking | -11,862 | -11,970 | -11,426 | | 544 |
| Incl. funds with limits | -3,768 | -4,280 | -3,396 | | 884 |
| Organisation and supervision of public finances | -5,253 | -5,453 | -26,214 | | -20,760 |
| Incl. funds with limits | -1,152 | -1,501 | -1,044 | | 457 |
| Tax and customs policy making | -1,422 | -1,621 | -1,472 | | 149 |
| Incl. funds with limits | -1,410 | -1,579 | -1,456 | | 124 |
| Tax and customs administration | -51,444 | -54,124 | -53,375 | | 749 |
| Incl. funds with limits | -48,386 | -50,290 | -49,990 | | 300 |
| **Administrative policy programme** | **-62,679** | **-77,128** | **-65,590** | **-61,728** | **11,538** |
| Incl. funds with limits | -40,947 | -50,908 | -41,462 | -40,037 | 9,446 |
| Designing administrative organisation and human resources policies | -1,144 | -1,831 | -1,006 | | 825 |
| Incl. funds with limits | -716 | -980 | -526 | | 454 |
| Coordination of public property policy and its implementation | -1,180 | -2,472 | -1,479 | | 993 |
| Incl. funds with limits | -672 | -1,947 | -1,072 | | 875 |
| Implementation of public procurement policy and state aid rules | -1,277 | -1,502 | -1,189 | | 312 |
| Incl. funds with limits | -1,266 | -1,464 | -1,175 | | 289 |
| Provision of support services and implementation of grants in RTK (the State Shared Service Centre) | -18,517 | -21,330 | -18,402 | | 2,928 |
| Incl. funds with limits | -9,183 | -11,602 | -9,438 | | 2,164 |
| Developing and organising ICT at RMIT (IT Centre of the Ministry of Finance) | -23,718 | -27,231 | -24,215 | | 3,016 |
| Incl. funds with limits | -14,148 | -17,248 | -13,333 | | 3,915 |
| Organisation of central support services for the common building of ministries | -6,728 | -7,854 | -6,809 | | 1,045 |
| Incl. funds with limits | -6,668 | -7,794 | -6,763 | | 1,031 |
| Statistical policy making and statistics | -10,116 | -14,909 | -12,489 | | 2,420 |
| Incl. funds with limits | -8,295 | -9,873 | -9,155 | | 718 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| **Regional policy programme** | **-127,666** | **-199,487** | **-113,751** | **-160,409** | **85,736** |
| Incl. funds with limits | -25,245 | -69,348 | -42,396 | -104,823 | 26,952 |
| Regional policy, development of regions and cross-border cooperation | -120,101 | -160,859 | -87,236 | | 73,623 |
| Incl. funds with limits | -17,872 | -33,818 | -18,896 | | 14,922 |
| Coordination of local authorities and regional administration | -2,376 | -2,883 | -1,935 | | 948 |
| Incl. funds with limits | -2,355 | -2,811 | -1,907 | | 903 |
| Organising the financing and financial management of local authorities | -569 | -30,572 | -22,626 | | 7,947 |
| Incl. funds with limits | -414 | -27,690 | -19,758 | | 7,932 |
| Designing and organising spatial planning policy | -4,620 | -5,173 | -1,954 | | 3,218 |
| Incl. funds with limits | -4,603 | -5,029 | -1,835 | | 3,194 |
| **Financial policy programme** | -6,103 | **-7,669** | **-5,471** | **-3,648** | **2,197** |
| Incl. funds with limits | -5,689 | -7,614 | -5,411 | -3,502 | 2,203 |
| Financial policy making | -5,823 | -7,364 | -5,209 | | 2,155 |
| Incl. funds with limits | -5,412 | -7,318 | -5,151 | | 2,167 |
| Accounting policy making | -279 | -305 | -263 | | 42 |
| Incl. funds with limits | -277 | -296 | -259 | | 36 |
| **Value added tax** | **-6,773** | **-6,783** | **-5,680** | **-5,299** | **1,103** |
| **INVESTMENTS** | **-7,814** | **-26,016** | **-17,590** | **-15,363** | **8,426** |
| Incl. funds with limits | -5,659 | -17,526 | -9,688 | -3,792 | 7,838 |
| Incl. VAT | -1,126 | -2,415 | -2,996 | -2,579 | -581 |
| **FINANCING TRANSACTIONS** | **723,209** | **723,209** | **-143,039** | **469,875** | **-866,247** |
| Incl. funds with limits | -114,079 | -114,079 | -75 | -72 | 114,005 |
| Loan liabilities | 847,552 | 847,552 | 1,040,540 | 281,345 | 192,988 |
| Incl. funds with limits | -79 | -79 | -75 | -72 | 5 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Holdings in public sector and affiliated entities and international holdings | -120,328 | -120,328 | -5,044 | -2,242 | 115,284 |
| Incl. funds with limits | -114,000 | -114,000 | 0 | 0 | 114,000 |
| Loan receivables | -4,000 | -4,000 | -1,178,520 | 190,786 | -1,174,520 |
| Value added tax | -15 | -15 | -15 | -14 | 0 |
| **ADJUSTMENTS** | | | **-4,570,702** | **-4,198,389** | |
| Difference between accrued and cash tax revenue | | | 57,218 | -11,872 | |
| Services sold in kind | | | 168 | 893 | |
| Non-monetary dividend income | | | 0 | 6,433 | |
| Non-monetary government grants received | | | 237 | 87 | |
| Government non-monetary grants awarded and management expense | | | -310 | -3,641 | |
| Pass-through taxes that are not recognised in the budget of the Government of the Republic and the difference between accrued and cash-based pass-through taxes | | | -4,628,293 | -4,188,662 | |
| Taxes recognised as doubtful, recovery of revenue | | | 28,851 | 32,816 | |
| Fines recognised as doubtful, recovery of revenue | | | 75 | 92 | |
| Late interests recognised as doubtful, recovery of revenue | | | 5,228 | 5,608 | |
| Taxes, fines and late interests recognised as doubtful, recovery of expenditure | | | -34,154 | -38,517 | |
| Foreign aid intermediated to other areas of government, recovery of income | | | 4,920 | 4,017 | |
| Foreign aid co-financing received from other areas of government | | | 914 | 1,386 | |
| Foreign aid intermediated to other areas of government | | | -4,920 | -4,017 | |
| Foreign aid co-financing to other areas of government | | | -636 | -3,013 | |
| Labour costs capitalised into investments (increasing an investment) | | | -23 | -58 | |
| Labour costs capitalised into investments (reduction of expense) | | | 23 | 58 | |
| | | | | | |
| **Area of government of the MINISTRY OF THE INTERIOR** | | | | | |
| **INCOME** | **63,899** | **63,899** | **59,447** | **50,205** | **-4,452** |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| State fees | 18,079 | 18,079 | 16,173 | 17,712 | -1,906 |
| Income from economic activities | 3,328 | 3,328 | 4,754 | 4,328 | 1,426 |
| Grants received | 25,305 | 25,305 | 17,924 | 12,826 | -7,381 |
| Income from non-current assets and inventories sold | 12 | 12 | 23 | 7 | 11 |
| Fines and other fines to the extent of assets | 16,475 | 16,475 | 19,719 | 14,632 | 3,244 |
| Other income | 700 | 700 | 853 | 700 | 153 |
| **EXPENDITURE** | **-465,372** | **-554,758** | **-510,467** | **-432,150** | **44,292** |
| Incl. funds with limits | -393,287 | -482,296 | -441,634 | -373,328 | 40,662 |
| **Performance area: INTERNAL SECURITY** | **-434,329** | **-517,365** | **-474,019** | **-397,923** | **43,346** |
| Incl. funds with limits | -379,847 | -465,903 | -427,017 | -357,585 | 38,886 |
| **Programme: Internal security** | **-434,329** | **-517,365** | **-474,019** | **-397,923** | **43,346** |
| Incl. funds with limits | -379,847 | -465,903 | -427,017 | -357,585 | 38,886 |
| Designing safe public spaces | -6,504 | -11,462 | -10,367 | | 1,095 |
| Incl. funds with limits | -6,153 | -11,007 | -10,070 | | 937 |
| Preventing accidents, crime, and damage to property | -16,676 | -17,252 | -17,095 | | 158 |
| Incl. funds with limits | -15,159 | -15,263 | -15,153 | | 110 |
| Issuing licences for activities and weapons | -2,889 | -2,829 | -2,815 | | 13 |
| Incl. funds with limits | -2,748 | -2,677 | -2,634 | | 43 |
| Involving internal security volunteers | -1,978 | -3,966 | -3,678 | | 288 |
| Incl. funds with limits | -1,947 | -3,897 | -3,591 | | 306 |
| Receiving emergency and information messages and dispatching assistance | -9,755 | -11,111 | -10,431 | | 680 |
| Incl. funds with limits | -9,036 | -9,968 | -9,581 | | 387 |
| Improving the efficiency of criminal proceedings | -61,912 | -50,358 | -46,049 | | 4,309 |
| Incl. funds with limits | -59,938 | -47,966 | -44,330 | | 3,636 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Ensuring public order | -50,439 | -59,571 | -56,666 | | 2,905 |
| Incl. funds with limits | -47,711 | -56,359 | -53,553 | | 2,807 |
| Demining | -3,224 | -4,563 | -4,886 | | -323 |
| Incl. funds with limits | -3,145 | -4,421 | -4,407 | | 13 |
| Rescue on land and inland waterways | -64,396 | -76,193 | -64,634 | | 11,559 |
| Incl. funds with limits | -62,451 | -73,641 | -60,104 | | 13,536 |
| Provision of assistance in Estonian maritime areas and border waters | -18,381 | -22,329 | -19,492 | | 2,838 |
| Incl. funds with limits | -12,519 | -15,301 | -13,516 | | 1,785 |
| Ensuring constitutional order | -63,844 | -85,756 | -85,748 | | 8 |
| Incl. funds with limits | -63,784 | -85,613 | -85,570 | | 43 |
| Fight against serious and organised crime | -19,683 | -35,618 | -31,926 | | 3,692 |
| Incl. funds with limits | -14,038 | -34,149 | -30,217 | | 3,932 |
| Civil protection, crisis preparedness and response | -3,122 | -4,963 | -7,796 | | -2,834 |
| Incl. funds with limits | -2,999 | -4,665 | -7,433 | | -2,768 |
| Border management | -49,081 | -56,902 | -49,458 | | 7,445 |
| Incl. funds with limits | -33,587 | -44,554 | -39,892 | | 4,662 |
| Security and personal protection | -8,662 | -11,024 | -9,674 | | 1,350 |
| Incl. funds with limits | -8,408 | -10,675 | -9,414 | | 1,261 |
| Design and implementation of migration and citizenship policies | -14,531 | -10,264 | -7,171 | | 3,093 |
| Incl. funds with limits | -7,195 | -7,628 | -5,675 | | 1,954 |
| Serious identification of persons and issuing of documents | -18,182 | -21,615 | -19,593 | | 2,021 |
| Incl. funds with limits | -11,277 | -14,450 | -12,150 | | 2,300 |
| Migration monitoring | -4,792 | -9,741 | -6,828 | | 2,913 |
| Incl. funds with limits | -4,502 | -8,357 | -5,925 | | 2,432 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Level training and in-service training at the Estonian Academy of Security Sciences | -13,829 | -16,284 | -16,102 | | 182 |
| Incl. funds with limits | -11,288 | -11,815 | -10,930 | | 884 |
| Research, development, and innovation of the Estonian Academy of Security Sciences | -1,044 | -2,883 | -1,804 | | 1,078 |
| Incl. funds with limits | -1,035 | -2,063 | -1,457 | | 606 |
| Provision of ICT services outside the area of government of the Ministry of the Interior | -1,404 | -2,682 | -1,807 | | 875 |
| Incl. funds with limits | -928 | -1,435 | -1,413 | | 21 |
| **Performance area: COHESIVE SOCIETY** | **-14,549** | **-18,627** | **-15,538** | **-16,947** | **3,089** |
| Incl. funds with limits | -13,440 | -16,394 | -14,617 | -15,743 | 1,777 |
| **Programme: Estonian Community Programme** | **-3,814** | **-5,793** | **-4,824** | | **969** |
| Incl. funds with limits | -3,782 | -5,717 | -4,748 | | 969 |
| Supporting the development of civil society | -2,371 | -3,279 | -2,754 | | 525 |
| Incl. funds with limits | -2,342 | -3,205 | -2,684 | | 521 |
| Ensuring religious freedom | -1,443 | -2,514 | -2,070 | | 444 |
| Incl. funds with limits | -1,440 | -2,512 | -2,064 | | 449 |
| **Programme: Smart population census** | -5,495 | -7,593 | -5,473 | | **2,120** |
| Incl. funds with limits | -4,417 | -5,436 | -4,629 | | 807 |
| Ensuring the quality of population registration data | -2,282 | -4,064 | -3,020 | | 1,044 |
| Incl. funds with limits | -1,934 | -3,010 | -2,604 | | 405 |
| Ensuring the availability of population registration data | -3,213 | -3,529 | -2,453 | | 1,076 |
| Incl. funds with limits | -2,483 | -2,426 | -2,024 | | 402 |
| **Programme for funding political parties** | **-5,241** | **-5,241** | **-5,241** | | **0** |
| Incl. funds with limits | -5,241 | -5,241 | -5,241 | | 0 |
| Financing of political parties | -5,241 | -5,241 | -5,241 | | 0 |
| Incl. funds with limits | -5,241 | -5,241 | -5,241 | | 0 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| **Value added tax** | **-16,494** | **-18,766** | **-20,909** | **-17,280** | **-2,143** |
| **INVESTMENTS** | **-34,669** | **-73,365** | **-44,847** | **-37,658** | **28,519** |
| Incl. funds with limits | -22,906 | -47,593 | -29,250 | -26,225 | 18,343 |
| Means of transport | 0 | -8,873 | -828 | 0 | 8,045 |
| Incl. funds with limits | 0 | -8,615 | -849 | 0 | 7,766 |
| 2022Supplementary budget other investments | 0 | -2,435 | -2,064 | 0 | 372 |
| Incl. funds with limits | 0 | -2,435 | -2,064 | 0 | 372 |
| Other investments | -29,402 | -53,020 | -34,301 | -37,658 | 18,720 |
| Incl. funds with limits | -22,906 | -36,543 | -26,338 | -26,225 | 10,206 |
| Incl. VAT | -5,267 | -9,038 | -7,655 | -6,147 | 1,383 |
| **ADJUSTMENTS** | | | **-84,644** | **-70,968** | |
| Non-monetary aid received | | | 5,532 | 3,812 | |
| Foreign aid co-financing received from other state agencies | | | 444 | 1,322 | |
| Foreign aid intermediated to other state agencies | | | 10,741 | 24 | |
| Foreign aid and co-financing awarded to other state agencies | | | -11,012 | -203 | |
| Forwarding of traffic fines recorded as performance of the budget of the Government of the Republic | | | -24 | 0 | |
| Doubtful fines, reversed income | | | 906 | 783 | |
| Doubtful fines, reversed expenses | | | -906 | -783 | |
| Doubtful income from economic activities, reversed income | | | 0 | -5 | |
| Doubtful income from economic activities, reversed expenses | | | 0 | 5 | |
| Non-monetary government grants awarded and expenditure incurred with non-monetary support | | | -271 | -191 | |
| Labour costs capitalised into investments (increasing an investment) | | | -1,185 | -1,169 | |
| Labour costs capitalised into investments (reduction of expense) | | | 1,185 | 1,169 | |
| Adjustment by payment of special pensions and pension increases | | | 311 | 363 | |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Public sector special pensions and pension increases | | | -57,120 | -45,689 | |
| Interest expense on pension provisions | | | -33,179 | -30,341 | |
| Interest expense on other provisions | | | -66 | -65 | |
| | | | | | |
| **Area of government of the MINISTRY OF SOCIAL AFFAIRS** | | | | | |
| **INCOME** | **186,387** | **186,387** | **155,513** | **160,562** | **-30,875** |
| State fees | 360 | 360 | 336 | 394 | -24 |
| Income from economic activities | 6,063 | 6,063 | 8,224 | 6,734 | 2,161 |
| Grants received | 179,396 | 179,396 | 146,157 | 152,657 | -33,239 |
| Income from non-current assets and inventories sold | 0 | 0 | 0 | 21 | 0 |
| Fines and other fines to the extent of asset | 70 | 70 | 39 | 59 | -31 |
| Other income | 498 | 498 | 756 | 698 | 258 |
| **EXPENDITURE** | **-6,723,444** | **-7,010,913** | **-6,851,698** | **-6,372,251** | **159,215** |
| Incl. funds with limits | -360,080 | -499,564 | -410,191 | -574,371 | 89,373 |
| **Performance area: WELFARE** | **-4,566,157** | **-4,770,321** | **-4,629,469** | **-4,240,434** | **140,853** |
| Incl. funds with limits | -95,294 | -165,475 | -138,708 | -226,257 | 26,767 |
| **Labour market programme** | **-803,535** | **-818,538** | **-812,788** | **-823,641** | **5,750** |
| Incl. funds with limits | -9,203 | -13,787 | -11,864 | -64,914 | 1,923 |
| Labour market development | -2,390 | -3,464 | -2,441 | | 1,023 |
| Incl. funds with limits | -2,172 | -3,101 | -2,286 | | 815 |
| Active and passive labour market services | -785,881 | -797,570 | -795,361 | | 2,209 |
| Incl. funds with limits | -223 | -2,126 | -2,076 | | 50 |
| Quality of working life | -11,579 | -13,076 | -11,007 | | 2,070 |
| Incl. funds with limits | -3,828 | -5,210 | -4,279 | | 931 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Coping and working life of people with special needs | -3,684 | -4,427 | -3,980 | | 447 |
| Incl. funds with limits | -2,980 | -3,350 | -3,223 | | 127 |
| **Social security programme** | **-2,848,355** | **-2,898,886** | **-2,846,124** | **-2,554,086** | 52,763 |
| Incl. funds with limits | -5,883 | -25,773 | -24,547 | -85,104 | 1,226 |
| Developing the social security sector | -603 | -811 | -618 | | 193 |
| Incl. funds with limits | -589 | -801 | -584 | | 217 |
| Pensions, allowances, and benefits | -2,845,805 | -2,892,272 | -2,841,553 | | 50,719 |
| Incl. funds with limits | -5,294 | -20,526 | -20,326 | | 200 |
| Other material assistance to people | -1,946 | -5,803 | -3,953 | | 1,851 |
| Incl. funds with limits | 0 | -4,446 | -3,638 | | 809 |
| **Welfare programme** | **-97,948** | **-194,940** | **-152,603** | **-88,683** | **42,336** |
| Incl. funds with limits | -59,883 | -86,320 | -65,049 | -54,313 | 21,272 |
| Welfare development | -6,666 | -11,373 | -6,906 | | 4,466 |
| Incl. funds with limits | -6,620 | -7,849 | -3,377 | | 4,472 |
| Social welfare services | -84,716 | -174,733 | -138,682 | | 36,051 |
| Incl. funds with limits | -48,767 | -72,042 | -56,468 | | 15,573 |
| Developing victim support | -430 | -587 | -491 | | 96 |
| Incl. funds with limits | -273 | -329 | -228 | | 101 |
| Services for victims and perpetrators of violence | -5,741 | -7,850 | -6,200 | | 1,651 |
| Incl. funds with limits | -3,833 | -5,712 | -4,666 | | 1,046 |
| Developing equal treatment and equal opportunities | -393 | -396 | -324 | | 73 |
| Incl. funds with limits | -388 | -389 | -310 | | 79 |
| **Gender equality programme** | **-1,396** | **-1,707** | **-1,345** | **-1,609** | **362** |
| Incl. funds with limits | -1,043 | -1,188 | -824 | -890 | 364 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Developing the field of gender equality | -779 | -681 | -588 | | 94 |
| Incl. funds with limits | -443 | -501 | -299 | | 202 |
| Commissioner for Gender Equality and Equal Treatment | -616 | -1,026 | -757 | | 269 |
| Incl. funds with limits | -600 | -687 | -525 | | 162 |
| **Programme for children and families** | **-814,924** | **-856,250** | **-816,609** | **-772,415** | **39,641** |
| Incl. funds with limits | -19,282 | -38,406 | -36,423 | -21,036 | 1,983 |
| Developing the area of children and families | -1,230 | -1,997 | -1,345 | | 652 |
| Incl. funds with limits | -1,061 | -1,491 | -1,134 | | 356 |
| Functioning child protection system | -2,974 | -3,558 | -2,982 | | 576 |
| Incl. funds with limits | -2,417 | -3,157 | -2,599 | | 559 |
| Developing parenting skills | -1,598 | -1,781 | -1,599 | | 183 |
| Incl. funds with limits | -1,418 | -1,581 | -1,434 | | 147 |
| Supporting children with disabilities | -17,156 | -20,732 | -18,744 | | 1,988 |
| Incl. funds with limits | -7,035 | -9,909 | -9,602 | | 307 |
| Substitute care and family-based substitute care | -1,723 | -4,041 | -2,459 | | 1,582 |
| Incl. funds with limits | -534 | -836 | -574 | | 263 |
| Supporting young people at risk | -3,086 | -3,660 | -3,479 | | 182 |
| Incl. funds with limits | -2,566 | -2,918 | -2,789 | | 129 |
| Benefits and allowances for children and families | -787,158 | -820,480 | -786,001 | | 34,479 |
| Incl. funds with limits | -4,251 | -18,513 | -18,291 | | 223 |
| **Performance area: HEALTH** | **-2,150,602** | **-2,222,835** | **-2,209,233** | **-2,125,722** | **13,602** |
| Incl. funds with limits | -264,786 | -334,089 | -271,483 | -348,113 | 62,606 |
| **Healthy environment programme** | **-7,343** | **-11,647** | **-8,385** | **-7,079** | **3,261** |
| Incl. funds with limits | -5,310 | -7,024 | -5,917 | -4,622 | 1,107 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Creating an environment that supports and improves health | -749 | -1,196 | -896 | | 300 |
| Incl. funds with limits | -727 | -1,142 | -847 | | 295 |
| Health risks related to water, air, noise, and radiation | -1,595 | -2,315 | -1,931 | | 383 |
| Incl. funds with limits | -1,357 | -1,801 | -1,581 | | 220 |
| Chemical safety and risk reduction | -1,132 | -1,657 | -1,335 | | 322 |
| Incl. funds with limits | -1,105 | -1,587 | -1,266 | | 321 |
| Product and service safety and risk reduction | -3,867 | -6,479 | -4,223 | | 2,256 |
| Incl. funds with limits | -2,121 | -2,494 | -2,223 | | 271 |
| **Healthy choices programme** | **-23,032** | **-29,546** | **-25,501** | **-21,061** | **4,045** |
| Incl. funds with limits | -19,997 | -22,437 | -20,626 | -15,601 | 1,811 |
| Mental health promotion | -1,260 | -2,310 | -1,765 | | 545 |
| Incl. funds with limits | -1,260 | -2,221 | -1,738 | | 483 |
| Promoting a balanced diet and physical activity | -1,011 | -1,264 | -1,221 | | 43 |
| Incl. funds with limits | -413 | -545 | -543 | | 2 |
| Preventing and reducing drug use | -7,922 | -8,210 | -7,462 | | 747 |
| Incl. funds with limits | -7,842 | -7,661 | -7,024 | | 637 |
| Preventing the spread of infectious diseases (HIV, TB, and hepatitis) | -6,064 | -6,421 | -6,389 | | 32 |
| Incl. funds with limits | -5,988 | -6,359 | -6,333 | | 27 |
| Organising health risk prevention and health promotion activities | -6,774 | -11,341 | -8,664 | | 2,677 |
| Incl. funds with limits | -4,493 | -5,651 | -4,989 | | 662 |
| **Human-centred healthcare programme** | **-2,120,227** | **-2,181,642** | **-2,175,347** | **-2,097,581** | **6,295** |
| Incl. funds with limits | -239,479 | -304,628 | -244,939 | -327,890 | 59,688 |
| Developing people-centred healthcare | -3,938 | -7,266 | -5,490 | | 1,776 |
| Incl. funds with limits | -2,979 | -6,196 | -4,236 | | 1,960 |

| | Initial budget | Final budget | Implementation of the budget | Implementation of the budget for 2021 | Implementation of the budget minus the final budget |
|---|---|---|---|---|---|
| Staff capacity, management, and accountability | -5,124 | -7,173 | -3,515 | | 3,658 |
| Incl. funds with limits | -3,974 | -7,023 | -3,204 | | 3,819 |
| Redesigning service models | -2,064,234 | -2,081,837 | -2,104,387 | | -22,549 |
| Incl. funds with limits | -189,628 | -236,472 | -200,723 | | 35,749 |
| Quality of the health system and patient safety | -2,984 | -4,314 | -2,093 | | 2,221 |
| Incl. funds with limits | -1,953 | -2,774 | -1,649 | | 1,125 |
| Developing the pharmaceuticals and medical devices sector | -547 | -845 | -678 | | 167 |
| Incl. funds with limits | -532 | -834 | -644 | | 190 |
| Access to medicines, blood products, and medical devices | -6,016 | -11,318 | -8,217 | | 3,100 |
| Incl. funds with limits | -3,347 | -4,147 | -3,908 | | 239 |
| Preventing the spread of infectious diseases (vaccination, AMR) | -37,385 | -68,889 | -50,966 | | 17,923 |
| Incl. funds with limits | -37,065 | -47,181 | -30,575 | | 16,606 |
| **Value added tax** | **-6,685** | **-17,757** | **-12,996** | **-6,095** | **4,761** |
| **INVESTMENTS** | **-5,806** | **-26,254** | **-18,373** | **-13,138** | **7,880** |
| Incl. funds with limits | -3,231 | -12,344 | -8,551 | -6,345 | 3,793 |
| Incl. VAT | -650 | -1,883 | -3,003 | -2,179 | -1,120 |
| **ADJUSTMENTS** | | | **4,547,249** | **3,962,628** | |
| Taxes and social security contributions | | | 4,572,002 | 4,128,225 | |
| Pass-through tax revenue, the difference between accrued and cash expenses | | | -4,699 | -13,412 | |
| Interest expense of provisions | | | -68,873 | -61,103 | |
| Foreign aid co-financing received from other state agencies | | | 721 | 459 | |
| Foreign aid and co-financing intermediated to other areas of government | | | -704 | -584 | |
| Foreign aid intermediated to other areas of government (recovery of income) | | | 533 | 440 | |
| Non-monetary grants awarded | | | -119 | 0 | |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Doubtful accounts, reversed income | | | 1 | 4 | |
| Doubtful accounts, reversed expenses | | | -1 | -4 | |
| Cost of suspending 4% payments of funded pension | | | -21,591 | -205,487 | |
| 4% payments of funded pension in the expenditure of the budget, elimination | | | 24,358 | 79,738 | |
| Formation of pension provisions | | | -42,852 | -44,084 | |
| Disbursements of pension provisions, elimination from expenses | | | 88,474 | 78,436 | |
| | | | | | |
| **Area of government of the MINISTRY OF FOREIGN AFFAIRS** | | | | | |
| **INCOME** | **9,125** | **9,125** | **7,722** | **3,189** | **-1,403** |
| State fees | 3,000 | 3,000 | 1,900 | 2,686 | -1,100 |
| Income from economic activities | 96 | 96 | 19 | 98 | -77 |
| Grants received | 5,786 | 5,786 | 1,368 | 373 | -4,418 |
| Income from non-current assets and inventories sold | 243 | 243 | 4,326 | 0 | 4,083 |
| Other income | 0 | 0 | 5 | 1 | 5 |
| Interest and dividend income | 0 | 0 | 104 | 30 | 104 |
| **EXPENDITURE** | **-94,628** | **-108,020** | **-95,001** | **-76,763** | **13,019** |
| Incl. funds with limits | -84,913 | -97,704 | -85,597 | -70,711 | 12,107 |
| **Performance area: FOREIGN POLICY** | **-94,168** | **-107,371** | **-93,931** | **-76,082** | **13,440** |
| Incl. funds with limits | -84,913 | -97,704 | -85,597 | -70,711 | 12,107 |
| **Programme: Foreign policy** | **-76,113** | **-81,482** | **-75,322** | **-62,512** | **6,160** |
| Incl. funds with limits | -66,995 | -72,055 | -67,405 | -57,284 | 4,650 |
| Protecting Estonia's security and interests | -33,146 | -35,694 | -35,738 | | -44 |
| Incl. funds with limits | -31,235 | -33,709 | -32,499 | | 1,209 |
| More coherence between external policy and external relations | -6,016 | -7,659 | -6,956 | | 704 |

| | Initial budget | Final budget | Implementa-tion of the budget | Implemen-tation of the budget for 2021 | Implementa-tion of the budget mi-nus the final budget |
|---|---|---|---|---|---|
| Incl. funds with limits | -5,757 | -7,375 | -5,899 | | 1,475 |
| Promoting exports and direct investment | -24,352 | -25,023 | -19,764 | | 5,260 |
| Incl. funds with limits | -18,578 | -19,132 | -17,594 | | 1,538 |
| Developing a competitive tourism environment | -5,033 | -5,195 | -4,712 | | 482 |
| Incl. funds with limits | -4,473 | -4,546 | -4,241 | | 305 |
| Supporting and engaging Estonian communities abroad | -7,565 | -7,910 | -8,153 | | -243 |
| Incl. funds with limits | -6,952 | -7,294 | -7,172 | | 122 |
| **Programme: Development cooperation and humanitarian aid** | **-18,055** | **-25,889** | **-18,609** | **-13,570** | **7,281** |
| Incl. funds with limits | -17,918 | -25,648 | -18,192 | -13,427 | 7,457 |
| Development cooperation policy formulation, implementation, and monitoring | -11,929 | -16,774 | -14,218 | | 2,556 |
| Incl. funds with limits | -11,800 | -16,541 | -13,826 | | 2,715 |
| Humanitarian aid policy formulation, implementation, and monitoring | -6,127 | -9,115 | -4,390 | | 4,725 |
| Incl. funds with limits | -6,118 | -9,107 | -4,366 | | 4,742 |
| **Value added tax** | **-460** | **-649** | **-1,070** | **-681** | **-422** |
| **INVESTMENTS** | -4,768 | **-20,606** | **-7,382** | **-17,517** | **13,224** |
| Incl. funds with limits | -3,554 | -15,053 | -6,475 | -16,983 | 8,578 |
| Incl. VAT | -221 | -243 | -378 | -320 | -135 |
| **FINANCING TRANSACTIONS** | **-22** | **-22** | **-10** | **-19** | **12** |
| Incl. funds with limits | -22 | -22 | -10 | -19 | 12 |

Explanations to the implementation of the state budget are given in Note a31. Initial and final budget – see Note a31A, a31B.

## 2.6 Accounting methods and valuation principles

These annual accounts have been prepared in accordance with the Estonian financial reporting standard and the State Budget Act. The basic requirements of the Estonian financial reporting standard have been set forth in the Accounting Act and supplemented with the guidelines issued by the Estonian Accounting Standards Board, including the public sector financial accounting and reporting guidelines. The Estonian financial reporting standard is based on internationally acknowledged financial reporting standards, including the International Public Sector Accounting Standards.

In the unconsolidated annual accounts of the state, state accounting entities have been consolidated line-by-line and include, pursuant to the Accounting Act, all ministries, the Government Office of Estonia and the constitutional institutions – the *Riigikogu*, the President of the Republic, the National Audit Office, the Chancellor of Justice, and the Supreme Court. According to the State Budget Act, state accounting entities are also administrative subjects of the state budget concerning whom a report on the implementation of the state budget has been prepared. The list of the state accounting entities included in the unconsolidated annual accounts of the state has been disclosed in note a1 A to the annual accounts.

In the unconsolidated annual accounts of the state, the financial data of the foundations and subsidiaries which are under the controlling influence of the state, and the profit-making state agency State Forest Management Centre have been consolidated line-by-line in addition to the unconsolidated financial data of the state. The list of the foundations and subsidiaries included in the consolidated report and their major economic indicators have been disclosed in Note a1 B to the annual accounts.

The annual accounts have been prepared in accordance with the cost principle, except for held-for-trading securities, financial assets and liabilities held for resale, derivative transactions and biological assets grown for profit, which are reported in their fair value.

**Functional and presentation currency**

The functional currency is the currency of the primary economic environment. The presentation currency is the euro. The reports have been rounded to the nearest hundred thousand, except for the report on the implementation of the state budget, which has been rounded to the nearest thousand.

**Classification of assets and liabilities into current and non-current**

In the balance sheet, assets and liabilities have been classified into current and non-current based on whether a liability is expected to be held for up to one year or longer, calculated from the balance sheet date.

**Cash and cash equivalents**

The cash section in the balance sheet includes cash at hand, bank account balances (except overdraft) and short-term deposits or deposits terminated before maturity with a remaining term of up to one year. The interests accrued and not received on deposits by the balance sheet date are recognised as accrued income.

**Financial investments**

Short-term financial investments include securities held for short-term trading (shares, bonds, fund units, etc.) and securities with a fixed maturity within 12 months after the balance sheet date. Long-term financial investments reflect securities unlikely to be sold within the nearest 12 months (except holdings where the reporting entity exercises controlling influence, given by voting right starting from 20% ownership interest) and securities with a fixed maturity of more than 12 months after the balance sheet date.

Financial investments (except debt instruments held to maturity) are recorded in their fair value if it can be estimated reliably. The stock market price of the balance sheet day is used as fair value. If fair value cannot be estimated reliably, financial investments are recorded according to the adjusted cost method (e.g. the original cost less potential write-downs, if the value covered by the investment has dropped below the book value).

Financial investments into bonds and other debt instruments held to maturity are recognised at adjusted cost by using the effective interest rate.

Purchases and sales of financial investments are recognised on the transaction date.

**Tax, state fee, fine and other receivables**

Tax, state fee, fine and other receivables are recognised in the balance sheet according to the adjusted cost method. Receivables are recognised in the balance sheet as the right of claim arises and are estimated based on collectible amounts. Certain receivables are originally recognised off-balance-sheet upon determining, until their receipt is considered likely (tax decisions, court judgements). If possible, the receivables from each customer are evaluated separately for each specific customer, taking into account any available information about the customer's solvency. The recoverability of a large number of receivables of the same category is evaluated on a group basis, taking into account the statistics of previous periods on the receipt of similar receivables. Doubtful receivables are written down to their doubtless collectible value. The receivables received in the reporting period and charged to costs are recognised as a reduction in the expenditure on doubtful receivables in the reporting period. Irrecoverable receivables were withdrawn from the balance sheet. A receivable is treated as irrecoverable if the management board is of the opinion that it is impossible to recover the receivable.

Long-term receivables are recognised at present value of the consideration receivable, taking into account the interest income on the receivable in the following periods, using the effective interest rate method.

Tax receivables and tax penalties are evaluated individually if total receivables per customer exceed 60 thousand euros. In estimating the remaining tax and interest receivables as doubtful, the following approximate method is used: receivables from legal persons have been written down by 100% if their payment deadline is overdue by more than 180 days; receivables from physical persons have been written down by 100% if their payment deadline is overdue by more than 360 days.

**Derivatives**

Derivatives are recognised at fair value and the fair value change is generally recognised in the statement of financial performance. If the goals of hedging and the strategy for hedging transactions have been determined, the link between a derivative considered a hedging instrument and the hedged object has been documented at the time of entry into the transaction, and the derivative is deemed very efficient in terms of hedging throughout the validity of the hedging instrument, the effective portion of the fair value change can be recognised in net assets as a change in hedging reserve.

**Inventories**

Finished goods and work-in-progress are recognised at manufacturing costs, which include direct and indirect manufacturing expenses. Other inventories are recognised at cost, which comprises the purchase price and other directly attributable costs related to acquisition. In charging inventories to costs, either the FIFO or the average weighted cost principle is used.

Inventories are written down to the estimated net realisable value if it is lower than their cost. If the net realisable value of inventories previously written down increases, the future write-down is cancelled.

**Ownership interest in foundations and non-profit associations**

The balance sheet of the reporting entity shows ownership interest in foundations and non-profit associations where the reporting entity has dominant influence. Influence is considered controlling if the reporting entity has the right to appoint or remove most of the members of the entity's supervisory board. Ownership interest is recognised in the unconsolidated report at deemed cost (see explanation). In the consolidated reports, the foundations and non-profit associations under controlling influence have been consolidated line-by-line.

**Ownership interest in subsidiaries and associates**

A subsidiary is considered to be under controlling influence if the reporting entity owns more than 50% of the voting shares of the subsidiary, is able to control the subsidiary's operating and financial policy or has the right to appoint or remove most of the members of the supervisory board.

An associate is a company where 20 to 50% of the voting shares are held. Holdings in the shares of subsidiaries and associates are recognised in the unconsolidated reports at deemed cost (see relevant explanation).

In consolidated reports, the subsidiaries under controlling influence have been consolidated line-by-line and associates are recorded based on the equity method.

**Deemed cost**

In case of ownership interest acquired before 31 December 2003, deemed cost is defined as its value according to the equity method because there is no reliable information on the cost in previous periods, and in case of ownership interest acquired after 31 December 2003, as cost. Deemed cost is written down if the share owned by the entity holding the ownership interest in the investee drops below the value of the ownership interest as given in the owner's balance sheet. The write-downs made are reversed in the future reporting periods, but not higher than the deemed cost.

**Consolidation**

The activity of entities under controlling or significant influence is recognised in the consolidated report from the beginning to the end of the controlling or significant influence. The acquisition of entities under controlling or significant influence is recognised using the purchase method where the assets and liabilities of the ownership interest acquired are evaluated at fair value, except the acquisitions made under joint control, which are recorded at book value.

In the consolidated report, the financial indicators of entities under controlling influence are added up line-by-line, whereas mutual assets, liabilities, net assets, revenue, expenses and unrealised gains and losses of the entities included in the consolidation have been eliminated.

In the consolidated report, entities under significant influence are recorded using the equity method.

**Investment property**

Investment property includes real estate objects (land, buildings, facilities) held for renting or for increasing market value, which the reporting entity or any other public sector entity does not use in its principal activity. Investment property is recorded using the cost method (at cost, less accumulated depreciation and potential write-downs).

**Property, plant and equipment**

Assets with an expected useful life longer than one year and cost starting from 5,000 euros are accounted for as property, plant and equipment. The cost of property, plant and equipment includes expenditure needed for utilisation, except the taxes, state fees, training and travel expenses related to the acquisition, which are recorded as expenditure of the reporting period upon accrual. The subsidiaries who prepare their financial statements according to the international financial reporting standards capitalise the loan expenses into the cost of tangible assets. All other entities do not capitalise their loan expenses but record these under interest charges as accrued. Reconstruction costs of the property,

plant and equipment, which comply with the definition of property, plant and equipment, are added to the cost of property, plant and equipment.

Property, plant and equipment are recorded at cost, less accumulated depreciation and potential write-downs due to impairment. The linear method is used for calculating depreciation. The depreciation rate is established separately for each non-current asset depending on its useful life. Land, items of artistic value and museum exhibits that do not decrease in value over time are not depreciated. Average depreciation rates are given in Note a11 to the annual accounts.

**Intangible assets**

Assets of no physical substance with an expected useful life longer than one year and cost starting from 5,000 euros are accounted for as intangible assets. Intangible assets are recorded at cost, less accumulated depreciation and potential write-downs due to impairment. The linear method is used for calculating depreciation of intangible assets. The depreciation rate is established separately for each non-current asset depending on its useful life. Average depreciation rates are given in Note a12 to the annual accounts.

Expenditure on research and development is recognised as expenditure when incurred.

The emission allowance acquired is recorded at cost as intangible current or non-current asset depending on their estimated realisation period. Emission allowances allocated free of charge by the state and unsold are recorded at zero cost basis.

**Biological assets**

Biological assets grown for sale are accounted for in their fair value, less expenditure on the sale. If it is not possible to reliably determine the fair value, it is recorded at cost, less depreciation and write-downs. If there is no reliable information available on the cost, the biological assets are recognised at a zero cost basis.

Biological assets used for activities not aimed at sale are recorded at cost, less depreciation and potential write-downs due to impairment.

The fair value of realisable state forest is recognised as the difference between the projected ten-year average forest management income and expenses divided by the difference between the state forest manager's market interest rate and the projected five-year average inflation rate of the forest sector.

**Revaluation**

Property, plant and equipment and investment property acquired before 2004 have been revalued on a one-off basis. The need for revaluation stemmed from accounting deficits in previous periods as well as from pre-1996 hyperinflation. Revaluations were made to a greater extent in 2005.

Due to the ongoing land reform, the recording of the revaluation will continue for the land measured in the reporting year and entered in the land cadastre which has previously not been registered. Orphan assets transferred to the public sector due to the absence of a successor are also recorded as revaluation.

Market price is primarily used for revaluating assets. In case of objects with no market value (particular public sector objects which have no active market), the depreciated replacement cost method is used. Valuations are conducted by experts in the field. In simplified terms, land can be revalued by using the land taxation price.

Museum objects have not been revalued due to their large number and the difficulty of finding a reliable market price. Most museum objects are not recognised as non-current assets because they were acquired in previous periods (before 2004) or received as donations and inheritances for which fair value has not been assessed.

**Leased assets**

Finance lease is a lease contract that transfers all of the material risks and benefits incidental to ownership of an asset to the lessee. Other lease contracts are recognised as operating lease. In the unconsolidated report, lease contracts between entities under collective controlling influence are always recognised as operating leases (lease receivables and payables, income and expenses are eliminated in the consolidated report).

(a) The reporting entity is the lessee

Finance lease is recognised in the balance sheet at the fair value of the leased assets and liabilities or the present value of the minimum lease payments if the latter is lower. Assets leased under finance lease are depreciated similarly to non-current assets acquired, unless there is reasonable assurance that the lessee will obtain ownership of the assets by the end of the lease term – in such a case, the asset is depreciated either during the lease period or the useful life, whichever is shorter. Finance lease payments are divided into principal repayments that reduce the outstanding liability and interest charges.

Operating lease payments are recognised as an expense on a straight-line basis over the lease term.

(b) The reporting entity is the lessor

Assets leased out under a finance lease are recognised in the balance sheet as a receivable in the amount of the net investment made in finance lease. Lease payments received from the lessee are divided into principal repayments of the finance lease receivable and interest income.

Assets leased out under operating lease are recognised in the balance sheet as usual, similarly to other non-current assets. Operating lease payments are recognised as an income on a straight-line basis over the lease term.

**Financial liabilities**

Financial liabilities (trade payables and payables to employees, tax liabilities, loan liabilities, other liabilities) are initially recognised at fair value and subsequently recorded at amortised cost using the effective interest rate method.

**Transactions via the EFSF**

The European Financial Stability Facility (EFSF) is not an independent legal entity, but a joint venture between Member States of the European Union. Therefore, the part of the bonds issued by EFSF corresponding to a Member State's quota is recorded as a debt obligation of the Member State (see Note a17). The part of the loans granted through the EFSF to countries in difficulty, corresponding to the Member State's quota, is recorded as a loan receivable of the Member State (see Note a6). According to the Eurostat guidelines, long-term interest receivables and liabilities for which the Member States had allowed deferred payments are also recognised on the same basis. Interest income and charges are not recognised in the statement of financial performance.

The remaining maximum possible amount guaranteed for the issuance of loan instruments is recognised as an off-balance sheet liability (see Note a30 B).

**Concession agreements for services**

Non-profit public entities recognise the assets and related liabilities completed under long-term cooperation agreements in the balance sheet when the public sector entity controls or regulates which public services the contractor provides to whom and for which price and has control over the infrastructure at the end of the agreement period. The corresponding liabilities are recorded in the loan liabilities group (together with finance lease liabilities).

**Provisions and contingent liabilities**

Provisions are recognised in the balance sheet as liabilities arising before the balance sheet date, which have a legal or contractual basis or result from the reporting entity's past practice, which requires the disposal of assets and the amount of which can be measured reliably but whose final cost or payment date is uncertain. Provisions have been assessed based on the management board's assessment, experience and, if necessary, expert judgement. Long-term provisions are discounted at a discount rate of 4%.

If it is expected that the expenditure necessary for the implementation of the provision is reimbursed (for example, by the provider of support), the corresponding benefits will also be recorded as a receivable if the reimbursement is considered to be practically certain.

Commitments, guarantees and other obligations that under certain circumstances may result in future liabilities as well as liabilities whose amount cannot be reliably estimated are disclosed in the notes to the annual report under contingent (off-balance sheet) liabilities.

**Pension provisions**

Pension provisions are calculated for the former and current employees of the state and their family members who have a statutory right for special pensions or a pension increase which exceeds the ordinary state pension. The projected unit credit method is used to calculate pension provisions, according to which each year of service on which the pension is based creates an additional unit for receiving a pension. In estimating the pension payment period, the life expectancy forecasts by Statistics Estonia are used. Estimates of changes in the average salary and average pension prepared by the Ministry of Finance are used to estimate the size of the pension. In addition, the year of retirement and official rank at retirement are evaluated and employee turnover is taken into account in the calculation of pension provisions.

As actuarial gains and losses may fluctuate significantly year by year, they are recognised directly as the change in net assets. When allocating pension provisions, the amount considered to be related to service in the current year is recognised under labour costs (see Note a16, a23).

**Grants received and awarded**

Grants received are funds not directly received in exchange for goods or services. Grants awarded are considered to be funds given for which no goods or services are directly received.

Grants are broken down into social grants, government grants, and operating grants.

Social benefits are benefits for natural persons, except for business purposes. Social benefits are recognised as an expense in the period for which the benefits are intended to be paid.

Government grants are earmarked for specific purposes and subject to certain conditions, which involve project-based targeting and reporting. Government grants are not recognised as revenue or expenditure until there is reasonable assurance that the recipient of the grant meets the conditions attached to the grant and that the grant will be awarded. Government grants are recognised on a gross basis.

Recognition of government grants for operating expenses is based on the matching principle. Revenue from government grants is recognised in proportion to the related expenditure. Government grants for assets are recognised as income in the period in which the assets are acquired.

Operating grants are grants received and awarded, which are awarded to the beneficiary in pursuance of its statutory tasks and objectives as defined in its development documents, and are not subject to specific conditions of use. Operating grants are recognised when paid or received.

**Reserves**

Reserves are groups of net assets formed for specific purposes on the basis of legislation. The formation and use of reserves are recognised as a change between accumulated surplus/profit and reserves (except for the hedging reserve

(see "Derivatives"), foreign exchange differences arising on the conversion of foreign subsidiaries and other comprehensive profits of associates).

**Recognition of transactions in foreign currency**

Transactions in foreign currency are recorded by applying the European Central Bank exchange rates officially quoted at the date of the transaction. Monetary financial assets and liabilities denominated in foreign currencies and non-monetary financial assets and liabilities recognised at fair value have been converted into euros according to the official exchange rates of the European Central Bank at the balance sheet date. Foreign exchange gains and losses are recognised in the statement of financial performance as income and expenses for the period, except for foreign exchange differences arising on the conversion of foreign subsidiaries, see "Reserves".

**Accounting for revenue**

Revenue from taxes, state fees and fines collected is recognised on an accrual basis in accordance with the submitted tax returns and other documents reflecting the generation of revenue. Pass-through taxes are recognised simultaneously as an expense and a liability to the tax recipient during the income recognition period by reducing the respective expense and liability by the portion of the tax receivables assessed as doubtful. Based on the doubtfulness of receipt, certain receivables are initially recognised off-balance sheet and recognised as income on receipt. Receivables determined on the basis of tax rulings are recognised as income upon expiry of the term for appealing the tax ruling. State fees may be recognised on a cash basis if the rate is up to 100 euros per transaction, the period between the receipt of the fees and the performance of the transaction is short or it is difficult to determine the accrual basis of recognition. If receivables are registered off-balance sheet at the time of their occurrence, the aggregate amounts calculated on the basis of the balance of off-balance sheet receivables are recognised as balance sheet receivables and income at the end of the year, using appropriate methods to determine estimated receivables.

Revenue from the sale of products is recognised when all material risks and benefits of ownership have transferred to the buyer and the revenue and transaction costs can be measured reliably. Revenue from the sale of services is recognised when the service is provided based on the stage of completion method. Interest income is calculated on an accrual basis based on the effective interest rate. Dividend income is calculated when the dividends are declared.

**Accounting for expenditure**

Expenditure is recognised on an accrual basis. Non-refundable taxes and state fees paid on the acquisition of non-current assets or inventories (for example, VAT if the buyer is a limited taxable person who cannot account for VAT as input VAT) are recognised as expenditure at the time of acquisition and are not included in the cost of the assets.

The report of the state does not eliminate the tax expense calculated on salaries by state agencies and the corresponding tax revenue calculated by the Tax and Customs Board on consolidation because employees are treated as recipients of the taxes calculated on the salaries and as taxable persons. Excise duty on fuel is not eliminated either, because it is not indicated separately on the invoices submitted by fuel sellers. Other taxes, state fees and other charges within the group have been eliminated.

**Post-balance sheet date events**

The annual report reflects all the essential circumstances that influenced the evaluation of assets and liabilities were obvious during the time period between the balance sheet date and finalisation of the annual report but are associated with the transactions made during the accounting period or earlier periods.

Post-balance sheet date events which have not been taken into consideration when evaluating assets and liabilities but which may have a significant impact on the results of the next financial year are disclosed in the Notes to the annual report.

**Report on the implementation of the state budget**

The state budget and the report on its implementation include state accounting entities included in the unconsolidated annual accounts of the state (see Note a1 A).

The report on the implementation of the state budget has been prepared on an accrual basis since 2017 and is comparable to the state's unconsolidated statement of financial performance and the state's unconsolidated statement of movements in non-current assets, including acquisition of property, plant and equipment and intangible assets. Financing transactions are comparable to entries recognised in the state's unconsolidated cash flow statement.

The numbers are expressed to the nearest thousand euros.

The structure of the report corresponds to that presented in the state budget. Revenues and expenditure in the state budget are recognised based on the accounting principles used in budgeting. Revenues and expenditure that were not budgeted or were budgeted differently from the accounting principles are recorded as adjustments of the state budget revenues and expenditure. The summary part of the report on the implementation of the state budget also presents the adjustment of state budget revenues and expenditures in order to find the budgetary position. The guidelines for the calculation of the budgetary position are established by the European Standard of Accounts.

In preparing the accrual-based budget, the accounting principles similar to those of accounting are generally applied. Differences compared to the accounting principles used in accounting have been described and the implementation of the state budget has been compared with other unconsolidated state reports and their notes in Note a31 explaining the report on the implementation of the state budget.

The report presents the initial and final budget. The initial budget reflects the State Budget Act 2022 adopted by the *Riigikogu* before the budget year. The final budget includes the adjustments decided or revealed during the accounting year, i.e. changes on the basis of the Supplementary Budget Act and State Budget Amendment Act, changes in the

breakdown of the Government of the Republic and allocations from reserves, limits arising from carrying over the balances from the previous accounting year to the current year, actual income, actual economic income, etc. (see Note a31).

# 2.7 Notes (a1–a31)

**Note a1**

**Consolidated entities**

**A. Unconsolidated report**

In millions of euros

The unconsolidated report includes public accounting entities together with the institutions of their area of government (state budget institutions).

| Area of government | Assets 31.12.2022 | Liabilities 31.12.2022 | Indicators of the statement of financial performance 2022 | | | Assets 31.12.2021 | Liabilities 31.12.2021 | Indicators of the statement of financial performance 2021 | | | Assets 31.12.2020 | Liabilities 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Operating expenses | Financial income and expenditure | | | Income from operations | Operating expenses | Financial income and expenditure | | |
| The *Riigikogu* | 22.6 | 3.2 | 0.1 | -23.8 | -0.1 | 20.8 | 3.1 | 0.1 | -23.2 | -0.1 | 21.3 | 2.8 |
| President of the Republic | 4.5 | 8.5 | 0.2 | -5.2 | -0.3 | 4.0 | 7.4 | 0.1 | -5.5 | -0.2 | 4.0 | 5.8 |
| National Audit Office | 0.4 | 0.6 | 0.0 | -5.4 | 0.0 | 0.3 | 0.5 | 0.0 | -5.1 | 0.0 | 0.2 | 0.4 |
| Chancellor of Justice | 0.0 | 0.1 | 0.0 | -3.1 | 0.0 | 0.0 | 0.3 | 0.0 | -3.0 | 0.0 | 0.0 | 0.2 |
| Supreme Court | 7.2 | 14.4 | 0.4 | -6.0 | -0.6 | 7.4 | 14.4 | 0.3 | -5.4 | -0.5 | 7.6 | 13.4 |
| Government Office | 13.0 | 2.9 | 1.4 | -17.8 | 0.0 | 12.8 | 3.0 | 1.7 | -18.2 | 0.0 | 10.3 | 3.7 |
| Ministry of Education and Research | 544.3 | 165.9 | 192.9 | -851.8 | 0.0 | 497.6 | 186.4 | 168.5 | -753.6 | 0.1 | 385.3 | 97.5 |
| Ministry of Justice | 45.6 | 200.7 | 59.5 | -198.8 | -6.0 | 37.1 | 186.4 | 49.2 | -193.4 | -5.7 | 36.6 | 169.7 |
| Ministry of Defence | 1,073.8 | 857.5 | 14.9 | -733.7 | -29.0 | 894.3 | 820.3 | 16.7 | -622.8 | -26.4 | 790.7 | 739.9 |
| Ministry of the Environment | 2,116.9 | 113.1 | 581.2 | -150.8 | 238.2 | 1,902.3 | 83.8 | 447.9 | -183.2 | 257.9 | 1,673.1 | 41.2 |
| Ministry of Culture | 212.3 | 63.6 | 50.9 | -328.4 | -2.1 | 212.1 | 59.0 | 48.9 | -319.9 | -1.2 | 204.2 | 50.4 |
| Ministry of Economic Affairs and Communications | 3,877.8 | 557.0 | 422.4 | -1,034.7 | 7.8 | 3,815.6 | 287.3 | 304.8 | -839.5 | 75.7 | 3,705.3 | 206.1 |
| Ministry of Rural Affairs | 595.3 | 338.9 | 341.5 | -438.1 | 3.5 | 573.6 | 318.1 | 330.9 | -412.0 | -10.2 | 555.3 | 288.1 |
| Ministry of Finance | 7,424.1 | 8,997.5 | 12,115.6 | -7,487.6 | 64.8 | 6,208.4 | 7,680.6 | 10,884.7 | -6,906.6 | 40.4 | 6,075.7 | 7,216.2 |
| Ministry of the Interior | 271.5 | 1,209.1 | 76.2 | -585.1 | -33.2 | 263.6 | 902.6 | 55.6 | -483.0 | -30.4 | 250.4 | 831.7 |
| Ministry of Social Affairs | 534.7 | 2,546.4 | 4,728.5 | -6,811.6 | -68.9 | 500.7 | 2,303.3 | 4,289.5 | -6,479.6 | -61.1 | 469.5 | 1,898.6 |
| Ministry of Foreign Affairs | 148.7 | 7.5 | 7.6 | -95.4 | 0.1 | 147.9 | 7.0 | 3.2 | -77.1 | 0.0 | 125.1 | 6.2 |
| Eliminations | -1,064.7 | -1,067.6 | -4,926.4 | 4,942.8 | 0.2 | -865.0 | -851.4 | -4,420.7 | 4,405.0 | 0.1 | -688.3 | -837.7 |

| Area of government | Assets 31.12.2022 | Liabilities 31.12.2022 | Indicators of the statement of financial performance 2022 | | | Assets 31.12.2021 | Liabilities 31.12.2021 | Indicators of the statement of financial performance 2021 | | | Assets 31.12.2020 | Liabilities 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Operating expenses | Financial income and expenditure | | | Income from operations | Operating expenses | Financial income and expenditure | | |
| **Total** | **15,828.0** | **14,019.3** | **13,666.9** | **-13,834.5** | **174.4** | **14,233.** | **12,012.1** | **12,181.4** | **-12,926.1** | **238.4** | **13,626.** | **10,734.2** |

In the table above, the change in the fair value of biological assets is also included in operating income. The report is comparable to the report on the implementation of the state budget (see Note a31 M).

### B. Consolidated report

In the consolidated report, the respective data of foundations and companies under the controlling influence of the state have been added line-by-line to the unconsolidated data, whereas mutual balances have been eliminated. Companies with a 20% to 50% share of ownership are accounted for in the consolidated report using the equity method.

#### B1. State ownership interest in foundations

In millions of euros

**Foundations consolidated with a 100% share of ownership interest**

| | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the statement of financial performance 2022 | | | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the statement of financial performance 2021 | | | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | |
| **Total foundations** | **1,854.8** | **968.0** | **1,056.1** | 329.6 | **-1,046.6** | **-124.4** | **11.5** | **2,206.7** | **947.0** | **1,045.5** | **374.6** | **-1,022.1** | **-190.6** | **28.2** | **2,253.6** | **916.8** |
| **Foundations included in general government sector** | **1,836.8** | **959.1** | **1,049.0** | **327.3** | **-1,039.0** | **-122.6** | **11.7** | **2,188.9** | **938.1** | **1,039.7** | **373.3** | **-1,016.1** | **-189.5** | **28.4** | **2,233.8** | **907.2** |
| SA Eesti Koostöö Kogu | 0.1 | 0.1 | 0.3 | 0.3 | -0.4 | -0.1 | -0.1 | 0.3 | 0.1 | 0.2 | 0.2 | -0.2 | 0.0 | 0.1 | 0.1 | 0.1 |
| SA Vabariigi Presidendi Kultuurirahastu | 0.0 | 0.0 | 0.1 | 0.0 | -0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Eesti Teadusagentuur | 31.3 | 27.3 | 75.2 | 74.9 | -69.8 | -63.5 | 5.4 | 27.2 | 21.9 | 77.9 | 77.0 | -70.1 | -60.3 | 7.8 | 18.8 | 14.1 |
| SA Kutsekoda | 1.1 | 0.7 | 2.7 | 2.4 | -2.7 | -0.8 | 0.0 | 1.0 | 0.7 | 2.2 | 1.9 | -2.4 | -0.9 | -0.3 | 1.1 | 1.0 |
| Archimedes SA (liquidated in 2021) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | -0.1 | 0.0 | -0.1 | 53.2 | 0.1 |

| | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the statement of financial performance 2022 | | | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the statement of financial performance 2021 | | | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | |
| Spordikoolituse ja Teabe SA | 0.5 | 0.1 | 8.2 | 8.1 | -8.2 | -7.4 | 0.0 | 0.3 | 0.1 | 9.9 | 9.8 | -9.9 | -9.2 | 0.0 | 0.2 | 0.1 |
| SA Teaduskeskus Ahhaa | 9.3 | 8.2 | 3.8 | 1.1 | -3.7 | 0.0 | 0.0 | 8.9 | 8.2 | 3.1 | 1.0 | -3.5 | -0.1 | -0.3 | 9.5 | 8.5 |
| SA Euroopa Kool | 1.6 | 0.4 | 5.6 | 3.3 | -5.7 | 0.0 | -0.1 | 1.4 | 0.5 | 5.2 | 3.1 | -5.0 | 0.0 | 0.3 | 1.0 | 0.2 |
| SA Rahvusvaheline Kaitseuuringute Keskus | 5.5 | 1.4 | 2.5 | 1.8 | -2.4 | 0.0 | 0.0 | 1.7 | 1.4 | 2.5 | 1.9 | -2.1 | 0.0 | 0.4 | 1.9 | 1.0 |
| SA CR14 | 7.6 | 5.4 | 4.0 | 3.6 | -4.2 | 0.0 | -0.3 | 6.0 | 5.6 | 7.7 | 6.9 | -3.2 | 0.0 | 4.5 | 1.2 | 1.2 |
| Sakala Teatrimaja SA | 0.4 | 0.3 | 0.4 | 0.3 | -0.4 | 0.0 | 0.0 | 0.5 | 0.4 | 0.3 | 0.2 | -0.3 | 0.0 | -0.1 | 0.5 | 0.4 |
| SA Eesti Filmi Instituut (group) | 6.7 | 0.8 | 12.7 | 12.2 | -12.6 | -10.5 | 0.1 | 4.2 | 0.8 | 17.9 | 17.2 | -17.7 | -15.8 | 0.2 | 2.7 | 0.6 |
| SA Virumaa Muuseumid | 4.9 | 4.5 | 2.4 | 1.1 | -2.8 | 0.0 | -0.4 | 5.3 | 4.9 | 2.5 | 1.4 | -2.6 | 0.0 | -0.1 | 5.3 | 5.0 |
| Tartu Jaani Kirik SA | 0.1 | 0.1 | 0.1 | 0.0 | -0.1 | 0.0 | 0.0 | 0.1 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.0 | 0.1 | 0.1 |
| Eesti Laulu- ja Tantsupeo SA | 1.4 | 1.3 | 1.6 | 1.6 | -1.8 | -1.0 | -0.2 | 1.6 | 1.5 | 1.8 | 1.7 | -1.8 | -0.6 | 0.0 | 1.6 | 1.5 |
| Unesco Eesti Rahvuslik Komisjon SA | 0.0 | 0.0 | 0.1 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.1 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Eesti Draamateater | 8.1 | 6.2 | 4.9 | 2.6 | -5.1 | 0.0 | -0.3 | 7.7 | 6.5 | 4.5 | 3.2 | -4.4 | 0.0 | 0.1 | 7.3 | 6.4 |
| SA Rakvere Teatrimaja | 6.6 | 6.2 | 3.3 | 2.0 | -3.7 | 0.0 | -0.4 | 6.9 | 6.5 | 3.3 | 2.5 | -3.1 | 0.0 | 0.2 | 6.7 | 6.3 |
| SA Vene Teater | 7.4 | 5.6 | 3.6 | 2.5 | -3.8 | 0.0 | -0.2 | 7.8 | 5.8 | 3.0 | 2.5 | -3.0 | 0.0 | 0.0 | 8.3 | 5.8 |
| SA Ugala Teater | 11.7 | 11.3 | 3.4 | 1.7 | -3.9 | 0.0 | -0.5 | 12.1 | 11.8 | 3.0 | 2.1 | -3.6 | 0.0 | -0.6 | 12.6 | 12.4 |
| SA Tehvandi Spordikeskus | 30.9 | 29.9 | 7.1 | 4.7 | -6.8 | 0.0 | 0.3 | 30.8 | 29.6 | 8.1 | 6.2 | -6.1 | 0.0 | 2.0 | 29.2 | 27.6 |
| SA Jõulumäe Tervisespordikeskus | 5.0 | 4.2 | 2.3 | 1.8 | -1.2 | 0.0 | 1.1 | 3.5 | 3.1 | 1.4 | 1.1 | -1.1 | 0.0 | 0.3 | 2.9 | 2.8 |
| SA Kultuurileht | 0.7 | 0.4 | 3.8 | 3.1 | -3.9 | 0.0 | 0.0 | 0.8 | 0.4 | 3.7 | 3.1 | -3.7 | 0.0 | 0.0 | 1.0 | 0.4 |
| SA Endla Teater | 5.9 | 4.8 | 3.5 | 2.0 | -3.8 | 0.0 | -0.3 | 6.1 | 5.1 | 2.9 | 2.0 | -3.5 | 0.0 | -0.6 | 6.6 | 5.7 |
| SA Teater Vanemuine | 15.8 | 13.7 | 10.9 | 8.4 | -12.5 | 0.0 | -1.6 | 17.2 | 15.3 | 10.6 | 9.2 | -11.7 | 0.0 | -1.1 | 18.2 | 16.4 |
| SA Eesti Noorsooteater | 0.3 | -0.1 | 3.9 | 3.1 | -4.2 | 0.0 | -0.2 | 0.4 | 0.1 | 3.7 | 3.4 | -3.8 | 0.0 | 0.0 | 0.3 | 0.1 |
| SA Narva Muuseum | 17.2 | 15.5 | 3.4 | 2.7 | -2.2 | 0.0 | 1.1 | 15.8 | 14.4 | 1.8 | 1.3 | -2.4 | 0.0 | -0.6 | 16.1 | 14.9 |
| SA Haapsalu ja Läänemaa Muuseumid | 6.3 | 6.0 | 1.8 | 1.1 | -1.7 | 0.0 | 0.0 | 6.2 | 5.9 | 1.3 | 1.0 | -1.6 | 0.0 | -0.3 | 6.4 | 6.2 |
| SA Eesti Tervishoiu Muuseum | 1.0 | 0.8 | 1.2 | 0.9 | -1.2 | 0.0 | 0.0 | 1.0 | 1.0 | 1.2 | 1.1 | -1.3 | 0.0 | -0.1 | 1.1 | 1.0 |
| SA Eesti Vabaõhumuuseum | 11.0 | 10.2 | 3.8 | 2.5 | -4.0 | 0.0 | -0.2 | 10.8 | 10.4 | 4.0 | 3.1 | -3.6 | 0.0 | 0.3 | 10.5 | 10.0 |
| SA Eesti Kontsert | 17.9 | 16.3 | 8.7 | 6.0 | -14.0 | 0.0 | -5.2 | 22.7 | 21.5 | 8.7 | 6.7 | -7.8 | 0.0 | 0.9 | 22.0 | 20.7 |
| SA Eesti Riiklik Sümfooniaorkester | 1.4 | 1.0 | 4.1 | 3.5 | -4.2 | 0.0 | -0.1 | 1.5 | 1.1 | 3.7 | 3.5 | -3.7 | 0.0 | 0.1 | 1.3 | 1.0 |

| | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the statement of financial performance 2022 | | | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the statement of financial performance 2021 | | | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | |
| SA Hiiumaa Muuseumid | 0.3 | 0.2 | 0.4 | 0.3 | -0.4 | 0.0 | 0.0 | 0.3 | 0.2 | 0.3 | 0.3 | -0.4 | 0.0 | 0.0 | 0.3 | 0.3 |
| SA Eesti Filharmoonia Kammerkoor | 0.4 | 0.3 | 1.4 | 1.1 | -1.4 | 0.0 | 0.0 | 0.4 | 0.3 | 1.4 | 1.1 | -1.4 | 0.0 | 0.0 | 0.4 | 0.2 |
| SA Pärnu Muuseum | 1.0 | 0.9 | 1.1 | 1.0 | -1.2 | 0.0 | 0.0 | 1.1 | 1.0 | 1.1 | 1.0 | -1.1 | 0.0 | 0.0 | 1.1 | 0.9 |
| SA Eesti Kunstimuuseum | 23.1 | 21.9 | 12.2 | 10.6 | -12.4 | 0.0 | -0.1 | 22.9 | 22.1 | 11.7 | 10.4 | -11.4 | 0.0 | 0.3 | 22.3 | 21.8 |
| SA Eesti Meremuuseum | 15.6 | 14.7 | 7.6 | 5.2 | -7.9 | 0.0 | -0.3 | 15.5 | 15.0 | 7.4 | 5.5 | -7.8 | 0.0 | -0.4 | 16.2 | 15.5 |
| SA Saaremaa Muuseum | 14.0 | 13.6 | 1.6 | 1.0 | -1.5 | 0.0 | 0.1 | 13.6 | 13.6 | 1.7 | 1.2 | -1.4 | 0.0 | 0.3 | 13.3 | 13.2 |
| SA Eesti Ajaloomuuseum | 15.2 | 14.8 | 2.9 | 2.6 | -4.1 | 0.0 | -1.2 | 16.3 | 16.0 | 2.5 | 2.2 | -3.8 | 0.0 | -1.2 | 17.6 | 17.2 |
| SA Eesti Spordi- ja Olümpiamuuseum (consolidated since 2021) | 0.7 | 0.6 | 1.0 | 0.9 | -1.1 | 0.0 | -0.1 | 0.8 | 0.7 | 1.0 | 0.9 | -1.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Ettevõtluse ja Innovatsiooni SA (group) (formerly SA KredEx, merged with SA KredEx Ettevõtluse Arendamise SA from 2022) | 545.1 | 143.4 | 72.6 | 66.9 | -71.9 | -12.3 | 0.8 | 952.5 | 132.3 | 26.3 | 19.9 | -25.1 | -17.5 | 4.5 | 968.8 | 127.8 |
| Riigi Infokommunikatsiooni SA | 13.4 | 10.3 | 8.9 | 3.8 | -7.9 | 0.0 | 1.0 | 10.7 | 9.4 | 6.3 | 2.8 | -6.2 | 0.0 | 0.1 | 10.5 | 9.3 |
| Ettevõtluse Arendamise SA (merged with SA KredEx from the beginning of 2022) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 18.0 | 10.3 | 93.5 | 93.1 | -93.5 | -57.5 | -0.1 | 23.6 | 10.4 |
| SA Eesti Maaelumuuseumid | 8.9 | 8.7 | 2.1 | 1.8 | -2.6 | 0.0 | -0.5 | 8.9 | 8.7 | 3.4 | 3.2 | -2.3 | 0.0 | 1.2 | 8.0 | 6.4 |
| Maaelu Edendamise SA | 307.4 | 147.6 | 6.1 | 1.4 | -4.5 | 0.0 | 3.7 | 312.5 | 143.9 | 6.8 | 1.2 | -8.5 | -3.8 | 0.3 | 309.6 | 143.6 |
| Keskkonnainvesteeringute Keskus SA | 76.4 | 19.6 | 4.3 | 4.3 | -17.1 | -12.7 | -12.3 | 74.8 | 31.9 | 16.0 | 16.0 | -20.4 | -16.7 | -4.1 | 89.0 | 36.0 |
| Integratsiooni SA | 7.3 | 1.3 | 6.9 | 6.9 | -7.1 | -1.3 | -0.1 | 3.2 | 1.4 | 6.3 | 6.2 | -6.0 | -1.1 | 0.3 | 3.6 | 1.1 |
| SA Erametsakeskus | 1.3 | 1.2 | 5.3 | 5.0 | -5.3 | -3.5 | 0.0 | 1.4 | 1.2 | 4.5 | 4.2 | -4.3 | -2.8 | 0.2 | 1.2 | 1.0 |
| SA Kodanikuühiskonna Sihtkapital | 1.4 | 0.1 | 2.2 | 2.1 | -2.2 | -1.6 | 0.0 | 1.6 | 0.1 | 1.8 | 1.7 | -1.8 | -1.4 | 0.0 | 1.0 | 0.1 |
| Jõgeva Haigla SA | 2.8 | 1.9 | 7.3 | 0.1 | -6.9 | 0.0 | 0.4 | 2.4 | 1.5 | 6.1 | 0.0 | -6.1 | 0.0 | 0.0 | 2.2 | 1.4 |
| Eesti Puuetega Inimeste Fond SA | 0.1 | 0.1 | 1.2 | 1.2 | -1.2 | -1.2 | 0.0 | 0.1 | 0.1 | 1.2 | 1.2 | -1.2 | -1.2 | 0.0 | 0.1 | 0.1 |
| Tartu Ülikooli Kliinikum SA (group) | 265.2 | 180.6 | 346.3 | 15.2 | -338.5 | -0.1 | 7.3 | 249.7 | 164.1 | 318.7 | 9.3 | -313.4 | -0.2 | 4.4 | 237.8 | 159.7 |
| Põhja-Eesti Regionaalhaigla SA (group) | 261.2 | 150.1 | 305.4 | 21.3 | -295.4 | -0.1 | 9.4 | 226.9 | 140.6 | 277.3 | 13.7 | -271.0 | 0.0 | 5.9 | 221.7 | 134.7 |
| Viljandi Haigla SA | 34.0 | 30.8 | 42.3 | 7.2 | -37.6 | 0.0 | 4.7 | 30.3 | 26.1 | 36.7 | 2.8 | -34.0 | 0.0 | 2.7 | 24.9 | 23.4 |

| | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the statement of financial performance 2022 | | | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the statement of financial performance 2021 | | | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | | Income from operations | Incl. grants awarded | Operating expenses | Incl. grants awarded | Surplus/deficit of the state | | |
| Haapsalu Neuroloogiline Rehabili- | 6.7 | 6.0 | 6.2 | 0.1 | -5.7 | 0.0 | 0.5 | 6.1 | 5.5 | 5.1 | 0.1 | -4.7 | 0.0 | 0.4 | 6.0 | 5.1 |
| SA Eesti Tervishoiu Pildipank | 6.7 | 5.3 | 1.7 | 0.0 | -1.2 | 0.0 | 0.5 | 4.9 | 4.8 | 1.6 | 0.0 | -1.1 | 0.0 | 0.5 | 4.4 | 4.3 |
| SA Koeru Hooldekeskus | 2.7 | 2.3 | 3.5 | 0.4 | -3.5 | 0.0 | 0.1 | 2.6 | 2.3 | 3.2 | 0.3 | -3.1 | 0.0 | 0.1 | 2.5 | 2.1 |
| SA Eesti Rahvusvahelise Arengukoostöö Keskus (founded in 2021) | 8.2 | 0.2 | 9.1 | 7.5 | -9.2 | -6.4 | -0.1 | 1.6 | 0.3 | 1.5 | 0.5 | -1.5 | -0.4 | 0.0 | 0.0 | 0.0 |
| | | | | | | | | | | | | | | | | |
| **Non-government foundations** | **18.0** | **8.9** | **7.1** | **2.3** | **-7.6** | **-1.8** | **-0.2** | **17.8** | **8.9** | **5.8** | **1.3** | **-6.0** | **-1.1** | **-0.2** | **19.8** | **9.6** |
| Eesti Akrediteerimiskeskus (liquidated in 2021) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.6 | 0.5 |
| SA Tallinna Teaduspark Tehnopol (group) | 18.0 | 8.9 | 7.1 | 2.3 | -7.6 | -1.8 | -0.2 | 17.8 | 8.9 | 5.8 | 1.3 | -6.0 | -1.1 | -0.2 | 19.2 | 9.1 |

**B2. State ownership interest in subsidiaries and associates**

In millions of euros

| Undertaking | Share of ownership interest (%) | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the income statement 2022 | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the income statement 2021 | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Operating income | Operating expenses | State profit/loss | | | Operating income | Operating expenses | State profit/loss | | |
| **Total state subsidiaries** | | **13,353.7** | **8,248.0** | **5,682.9** | **-3,868.4** | **1,733.1** | **10,401.8** | **6,055.1** | **3,031.5** | **-2,480.2** | **462.6** | **9,313.1** | **5,484.9** |
| **Total subsidiaries in the general government** | | **1,438.1** | **1,052.8** | **356.5** | **-268.2** | **73.4** | **1,215.5** | **845.4** | **288.4** | **-225.4** | **47.8** | **1,198.6** | **826.3** |
| A.L.A.R.A. AS | 100 | 1.6 | 1.5 | 1.4 | -1.3 | 0.1 | 1.4 | 1.4 | 0.7 | -0.6 | 0.1 | 1.3 | 1.3 |
| AS Eesti Liinirongid | 100 | 220.4 | 136.5 | 55.8 | -56.7 | -4.8 | 214.6 | 141.3 | 47.7 | -48.8 | -5.3 | 213.6 | 146.6 |

| Undertaking | Share of ownership interest (%) | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the income statement 2022 | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the income statement 2021 | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Operating income | Operating expenses | State profit/loss | | | Operating income | Operating expenses | State profit/loss | | |
| AS Eesti Varude Keskus | 100 | 323.1 | 314.4 | 32.5 | -22.2 | 10.5 | 164.7 | 159.0 | 10.7 | -9.7 | 0.9 | 156.0 | 155.4 |
| OÜ Rail Baltic Estonia | 100 | 74.7 | 61.7 | 39.6 | -11.1 | 28.5 | 39.9 | 30.5 | 23.8 | -12.1 | 11.6 | 28.4 | 18.6 |
| TS Laevad OÜ (subsidiary of Tallinna Sadam AS) | 67.03 | 107.4 | 28.3 | 34.8 | -25.8 | 5.5 | 108.3 | 22.7 | 30.8 | -24.3 | 4.0 | 113.4 | 18.7 |
| Riigi Kinnisvara AS | 100 | 658.1 | 462.0 | 159.1 | -119.3 | 32.1 | 636.9 | 444.1 | 145.0 | -101.9 | 34.8 | 637.2 | 441.1 |
| AS Hoolekandeteenused (group) | 100 | 52.8 | 48.4 | 33.3 | -31.8 | 1.5 | 49.7 | 46.4 | 29.7 | -28.0 | 1.7 | 48.7 | 44.6 |
| **Total non-government subsidiaries** | | **11,916.4** | **7,195.3** | **5,326.4** | **-3,599.4** | **1,659.7** | **9,186.3** | **5,209.7** | **2,743.1** | **-2,254.8** | **414.8** | **8,114.5** | **4,658.6** |
| State Forest Management Centre | 100 | 3,008.7 | 2,983.8 | 1,568.3 | -157.4 | 1,396.6 | 1,695.3 | 1,671.5 | 406.7 | -140.7 | 260.5 | 1,466.4 | 1,448.8 |
| Eesti Energia AS (group) | 100 | 5,506.2 | **2,953.1** | 2,676.9 | -2,433.7 | 189.8 | 4,384.2 | 2,318.7 | 1,475.2 | -1,329.7 | 104.4 | 3,686.2 | 2,007.2 |
| Elering AS | 100 | 1,460.9 | 399.5 | 398.1 | -378.3 | 17.4 | 1,182.9 | 382.1 | 208.1 | -199.1 | 5.1 | 1,075.7 | 387.0 |
| Tallinna Sadam AS (group, together with TS Laevad OÜ) | 67.03 | 621.2 | 255.4 | 123.1 | -92.3 | 17.2 | 629.5 | 254.8 | 111.9 | -82.2 | 17.2 | 628.1 | 251.7 |
| Eesti Raudtee AS | 100 | 417.4 | 176.1 | 59.0 | -58.7 | 0.0 | 374.4 | 176.1 | 55.7 | -55.4 | 0.0 | 356.9 | 176.1 |
| AS Operail (group) | 100 | 153.2 | 52.5 | 60.7 | -74.8 | -15.7 | 176.3 | 68.2 | 73.0 | -75.5 | -5.0 | 171.0 | 75.5 |
| Tallinna Lennujaam AS (group) | 100 | 258.3 | 125.0 | 63.5 | -54.5 | 8.7 | 258.3 | 116.3 | 45.1 | -42.7 | 2.3 | 230.5 | 94.0 |
| Lennuliiklusteeninduse AS | 100 | 31.7 | 13.6 | 16.1 | -20.8 | -4.9 | 38.2 | 18.5 | 17.8 | -21.0 | -3.5 | 35.9 | 11.9 |
| Saarte Liinid AS | 100 | 63.1 | 25.5 | 10.4 | -9.2 | 1.2 | 64.1 | 24.4 | 10.0 | -8.6 | 1.4 | 65.2 | 23.0 |
| Eesti Post AS (group) | 100 | 123.8 | 67.7 | 129.1 | -129.3 | 25.4 | 141.1 | 45.0 | 149.1 | -133.1 | 13.1 | 134.5 | 34.3 |
| Eesti Loots AS | 100 | 15.6 | 11.5 | 8.4 | -8.4 | -0.2 | 16.4 | 11.9 | 8.5 | -7.8 | 0.7 | 16.2 | 11.3 |
| Teede Tehnokeskus AS | 100 | 2.3 | 1.8 | 2.6 | -2.7 | -0.2 | 2.9 | 2.2 | 3.2 | -3.0 | 0.2 | 3.0 | 2.3 |
| Metrosert AS | 100 | 4.6 | 4.1 | 4.3 | -3.5 | 0.8 | 3.8 | 3.3 | 3.1 | -3.1 | 0.0 | 3.7 | 3.3 |
| AS Eesti Teed (sold in 2021) | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 24.7 | 20.1 |
| KredEx Krediidikindlustus AS | 100 | 37.7 | 19.4 | 2.0 | -1.8 | -1.4 | 39.7 | 21.2 | 2.0 | -1.8 | 0.4 | 39.9 | 20.8 |
| Nordic Aviation Group AS (group) | 100 | 82.9 | 31.3 | 91.3 | -89.8 | 1.5 | 58.8 | 29.8 | 60.6 | -59.4 | 1.2 | 59.1 | 28.6 |
| Transpordi Varahaldus OÜ | 100 | 85.6 | 45.3 | 8.5 | 2.8 | 9.7 | 78.4 | 35.6 | 9.1 | -4.6 | 2.7 | 79.6 | 32.9 |
| Eesti Keskkonnauuringute Keskus OÜ | 100 | 6.9 | 5.9 | 9.1 | -10.1 | -1.0 | 8.0 | 6.9 | 9.6 | -9.5 | 0.0 | 7.9 | 6.9 |
| Eesti Loto AS | 100 | 25.3 | 15.8 | 86.6 | -69.8 | 14.3 | 23.7 | 15.3 | 86.3 | -69.8 | 13.9 | 20.1 | 15.1 |
| AS Vireen | 100 | 7.3 | 5.7 | 2.8 | -2.7 | 0.1 | 7.8 | 5.9 | 3.1 | -2.7 | 0.3 | 7.5 | 5.8 |

| Undertaking | Share of ownership interest (%) | Assets 31.12.2022 | State equity capital 31.12.2022 | Indicators of the income statement 2022 | | | Assets 31.12.2021 | State equity capital 31.12.2021 | Indicators of the income statement 2021 | | | Assets 31.12.2020 | State equity capital 31.12.2020 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Operating income | Operating expenses | State profit/loss | | | Operating income | Operating expenses | State profit/loss | | |
| Eesti Põllumajandusloomade Jõudluskontrolli AS | 93.3 | 1.5 | 1.3 | 1.7 | -1.6 | 0.1 | 1.4 | 1.3 | 1.5 | -1.4 | 0.1 | 1.3 | 1.2 |
| Eesti Vanglatööstus AS | 100 | 1.4 | 0.9 | 3.9 | -3.6 | 0.3 | 1.1 | 0.7 | 3.5 | -3.7 | -0.2 | 1.1 | 0.8 |
| | | | | | | | | | | | | | |
| **Total state associates** | | **18.9** | **7.9** | **13.9** | **-12.7** | **0.5** | **19.3** | **8.2** | **11.8** | **-11.5** | **0.0** | **20.5** | **9.0** |
| Ökosil AS | 35 | 1.7 | 0.5 | 0.8 | -0.8 | 0.0 | 1.7 | 0.5 | 0.8 | -0.8 | 0.0 | 1.7 | 0.5 |
| AS Levira (group) | 51 | 17.2 | 7.4 | 13.1 | -11.9 | 0.5 | 17.6 | 7.7 | 11.0 | -10.7 | 0.0 | 18.8 | 8.4 |
| **Total associates of state subsidiaries** | | **2,533.3** | **81.5** | **145.3** | **-136.8** | **3.1** | **2,079.0** | **59.3** | **89.5** | **-114.4** | **2.1** | **1,763.5** | **51.3** |
| RB Rail AS (Latvia) | 33.3 | 38.9 | 2.5 | 22.7 | -22.7 | 0.1 | 28.3 | 2.4 | 16.1 | -16.3 | -0.1 | 34.1 | 2.5 |
| Enefit Jordan B.V. (Jordan, Estonia) | 65 | 0.3 | 0.0 | 0.0 | -8.6 | 0.0 | 0.3 | 0.0 | 0.0 | -6.6 | 0.0 | 0.3 | 0.0 |
| Attarat Mining Co BV, Attarat Power Holding Co BV (group), Attarat Operation & Maintenance Co BV (Netherlands) | 10 | 2,472.1 | 72.6 | 82.0 | -71.5 | 0.2 | 2,027.3 | 50.8 | 31.3 | -53.0 | 0.4 | 1,699.8 | 42,8 |
| Orica Eesti OÜ (Estonia, Netherlands) | 35 | 15.1 | 3.7 | 32.9 | -28.0 | 1.7 | 13.7 | 3.5 | 19.4 | -15.1 | 1.5 | 12.5 | 3.5 |
| Insignificant holdings of Eesti Energia AS | | | 0.5 | | | 0.7 | | 0.6 | | | 0.1 | 2.7 | 0.5 |
| AS Green Marine | 51 | 6.9 | 2.1 | 7.7 | -6.0 | 0.8 | 5.1 | 1.6 | 5.3 | -4.4 | 0.4 | 4.6 | 1.1 |
| Post11 OÜ (in liquidation) | 30 | | 0.0 | | | -0.4 | 3.7 | 0.4 | 17.3 | -18.9 | -0.2 | 9.0 | 0.9 |
| Baltic RCC OÜ (insignificant shareholding of | | | 0.1 | | | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Biolaborid OÜ | 27.2 | | 0.0 | | | 0.0 | 0.6 | 0.0 | 0.1 | -0.1 | 0.0 | 0.5 | 0.0 |

**Note a2**

**Cash and cash equivalents**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| Cash | 1.2 | 2.1 | 2.3 | 0.1 | 0.1 | 0.1 |
| Cash in transit | 2.7 | 2.0 | 3.1 | 0.1 | 0.2 | 0.1 |
| Bank accounts in banks | 1,811.0 | 2,310.6 | 2,010.9 | 874.1 | 1,563.5 | 1,341.3 |
| Term deposits in banks | 681.5 | 188.5 | 284.4 | 540.8 | 95.1 | 232.4 |
| **Total cash** | **2,496.4** | **2,503.2** | **2,300.7** | **1,415.1** | **1,658.9** | **1,573.9** |
| Interest income of reporting period (see Note a27) | 2.5 | -4.3 | -1.6 | 1.0 | -4.8 | -2.2 |

Balances of the current accounts of the non-state institutions included in the cash pooling system of the Ministry of Finance (State Treasury) are recorded among public money (cash and cash equivalents) and deposits received (see Note a15):

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| Unemployment Insurance Fund | 609.0 | 552.6 | 599.9 | 609.0 | 552.6 | 599.9 |
| Health Insurance Fund | 508.3 | 355.9 | 202.2 | 508.3 | 355.9 | 202.2 |
| Organisations not included in the public sector report | 25.7 | 9.6 | 2.1 | 25.7 | 9.6 | 2.1 |
| Public foundations and companies (consolidated in the report using the line-by-line method) | 0.0 | 0.0 | 0.0 | 3.5 | 0.6 | 0.6 |
| **Total** | **1,143.0** | **918.1** | **804.2** | **1,146.5** | **918.7** | **804.8** |

The State Treasury keeps money of other persons on the basis of a deposit agreement and pays them interest on the balance. Minimum liquidity buffer requirements have been established for the liquidity reserve (see Note a20 C).

**Note a3**

**Financial investments**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| **Short-term financial investments** | | | | | | |
| Bonds in trading portfolio | 1,609.1 | 461.6 | 644.6 | 1,598.1 | 448.3 | 630.1 |
| Unlisted shares | 0.0 | 0.0 | 0.9 | 0.0 | 0.0 | 13.9 |
| **Total short-term financial investments** | **1,609.1** | **461.6** | **645.5** | **1,598.1** | **448.3** | **644.0** |
| Incl. recorded at fair value | 1,609.1 | 461.6 | 644.6 | 1,598.1 | 448.3 | 630.1 |
| Incl. recorded at adjusted cost | 0.0 | 0.0 | 0.9 | 0.0 | 0.0 | 13.9 |
| **Long-term financial investments** | | | | | | |
| Ownership interest in international organisations | 215.3 | 210.1 | 207.5 | 215.3 | 210.1 | 207.5 |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Venture capital fund holding | 260.4 | 109.4 | 109.1 | 237.7 | 91.7 | 91.1 |
| Unlisted shares | 0.7 | 0.2 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other long-term financial investments | 3.6 | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Total long-term financial investments** | **480.0** | **319.8** | **316.6** | **453.0** | **301.8** | **298.6** |
| Incl. recorded at fair value | 260.5 | 109.4 | 109.1 | 237.8 | 91.7 | 91.1 |
| Incl. recorded at adjusted cost | 219.6 | 210.4 | 207.5 | 215.3 | 210.1 | 207.5 |
| | | | | | | |
| Interest income from bonds (see Note a27) | -12.0 | -3.1 | -2.1 | -10.6 | -3.2 | -2.3 |
| **Distribution of bonds according to issuer** | | | | | | |
| Euro area governments | 408.5 | 270.6 | 266.7 | 406.2 | 268.0 | 264.4 |
| Credit institutions | 1,192.8 | 182.9 | 368.7 | 1,191.9 | 180.3 | 365.7 |
| Undertakings | 7.8 | 8.1 | 9.2 | 0.0 | 0.0 | 0.0 |
| **Total bonds** | **1,609.1** | **461.6** | **644.6** | **1,598.1** | **448.3** | **630.1** |

Unquoted shares and other long-term financial investments include acquisitions of financial investments of SA Tehnopol (group) and SA Kaitseuuringute Keskus, including 4.0 million euros invested in 2022.
The state (unconsolidated) sold its ownership interest in the subsidiary AS Eesti Teed in 2021, receiving 19.4 million euros from the sale; loss from the sale in the consolidated report is -0.7 million euros, profit from the sale in the unconsolidated report is 5.5 million euros.
The state (consolidated) sold its shares of Nord Pool AS in 2021, receiving 0.9 million euros from the sale, profit from the sale 0 euros.

**Ownership interest in international organisations**

| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
|---|---|---|---|
| European Bank for Reconstruction and Development (EBRD) | 5.3 | 5.3 | 5.3 |
| European Investment Bank (EIB) | 27.9 | 27.9 | 27.9 |
| Nordic Investment Bank (NIB) | 12.9 | 12.9 | 12.9 |
| Council of Europe Development Bank (CEB) | 0.8 | 0.8 | 0.8 |
| International Development Association (IDA) | 1.0 | 1.0 | 0.9 |
| European Financial Stability Facility (EFSF) | 0.1 | 0.1 | 0.1 |
| European Stability Mechanism (ESM) | 148.8 | 148.8 | 148.8 |
| International Bank for Reconstruction and Development (IBRD) | 7.6 | 6.0 | 3.8 |
| Three Seas Initiative Investment Fund | 10.9 | 7.3 | 7.0 |
| **Total ownership interest in international organisations** | **215.3** | **210.1** | **207.5** |

The balance sheet includes cash contributions to the equity capital of international organisations.

The contingent liabilities of the state from ownership interest in international organisations are presented in Note a30 A.

Estonia joined the Three Seas Initiative Investment Fund in 2020. The investment sectors of the fund include infrastructure for transport, energy and digital services. In 2022, the state invested additionally 3.6 million euros (2.9 million euros in 2021) in the fund, of which 2.6 million euros were returned to the state.
An additional 1.4 million euros were paid to the IBRD group (1.9 million euros in 2021).
Revaluations of ownership interest totalled 0.2 million euros (0.4 million euros in 2021).

**Venture capital fund holdings**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| SmartCap Venture Capital Fund | 92.2 | 70.0 | 69.1 | 92.2 | 70.0 | 69.1 |
| SmartCap Green Fund | 99.7 | 0.0 | 0.0 | 99.7 | 0.0 | 0.0 |
| EstFund | 45.8 | 21.7 | 22.0 | 45.8 | 21.7 | 22.0 |
| Baltic Innovation Fund | 22.7 | 17.7 | 18.0 | 0.0 | 0.0 | 0.0 |
| **Total venture capital fund holdings** | **260.4** | **109.4** | **109.1** | **237.7** | **91.7** | **91.1** |
| Result of venture capital funds for the reporting period (see Note a27) | -2.4 | 4.7 | -14.3 | -3.0 | 0.6 | -15.4 |

SmartCap Venture Capital Fund (formerly called Early Fund II) invests in venture capital funds that develop innovative Estonian enterprises with international growth potential, help to modernise Estonian economy and develop the local capital market. Additionally, 25.0 million euros (0 euros in 2021) were allocated to the fund in 2022. The fund earned a loss of 2.8 million euros in 2022 (profit of 0.9 million euros in 2021).
In 2022, the state set up the SmartCap Green Fund (Green Fund), transferring 100.0 million euros to it. The main objective of the fund is to improve access to capital for the development of innovative green technologies through innovative or research-intensive green technology companies. The fund earned a loss of 0.3 million euros in 2022. The Green Fund is part of the European Recovery and Resilience Fund (ERRF) implementation plan, but as the allocation and payment requests for this fund have not been approved by the European Commission, the revenue from EU contributions to the Green Fund has not been included in the 2022 report.
EstFund, a sub-fund of the European Investment Fund, invests in early-stage entrepreneurs to provide venture capital. Additionally, 24.0 million euros (0 euros in 2021) were allocated to the fund in 2022. In 2022, the fund earned a loss of 0.1 million euros (0.3 million euro loss in 2021).
In the consolidated report, an investment by the Ettevõtluse ja Innovatsiooni SA in the Baltic Innovation Fund is added. In 2022, additionally 5.4 million euros were transferred to the fund (3.7 million euros in 2021). A profit of 0.6 million euros (4.1 million euros in 2021) was calculated on the fund's resources. 1.0 million euros were recovered from the fund (8.1 million euros in 2021).

**Note a4**

**Taxes, state fees, fines**

In millions of euros

**A. Tax, state fee and fine receivables**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Value added tax** | **505.5** | **462.6** | **408.2** | **521.2** | **482.1** | **417.1** |
| Incl. in gross amount | 637.0 | 597.0 | 535.6 | 652.7 | 616.5 | 544.5 |
| Incl. doubtful receivables | -131.5 | -134.4 | -127.4 | -131.5 | -134.4 | -127.4 |
| **Social tax** | **364.4** | **332.5** | **314.0** | **384.3** | **351.2** | **331.4** |
| Incl. in gross amount | 415.9 | 380.5 | 357.0 | 435.8 | 399.2 | 374.4 |
| Incl. doubtful receivables | -51.5 | -48.0 | -43.0 | -51.5 | -48.0 | -43.0 |
| **Personal income tax** | **242.7** | **219.7** | **193.6** | **253.7** | **230.0** | **203.1** |
| Incl. in gross amount | 264.7 | 241.6 | 214.0 | 275.7 | 251.9 | 223.5 |
| Incl. doubtful receivables | -22.0 | -21.9 | -20.4 | -22.0 | -21.9 | -20.4 |
| **Other taxes** | **232.9** | **194.2** | **175.3** | **237.5** | **206.8** | **180.0** |
| Incl. in gross amount | 265.6 | 230.6 | 211.0 | 270.2 | 243.2 | 215.7 |
| Incl. doubtful receivables | -32.7 | -36.4 | -35.7 | -32.7 | -36.4 | -35.7 |
| **Natural resource use and pollution charges** | **16.6** | **15.7** | **10.8** | **31.9** | **28.0** | **14.5** |
| Incl. in gross amount | 17.2 | 17.2 | 12.4 | 32.5 | 29.5 | 16.1 |
| Incl. doubtful receivables | -0.6 | -1.5 | -1.6 | -0.6 | -1.5 | -1.6 |
| **Fines** | **6.4** | **5.8** | **6.2** | **6.5** | **5.8** | **6.2** |
| Incl. in gross amount | 14.9 | 15.0 | 16.1 | 15.0 | 15.0 | 16.1 |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Incl. doubtful receivables | -8.5 | -9.2 | -9.9 | -8.5 | -9.2 | -9.9 |
| **Consideration adjudicated based on court rulings** | **14.4** | **13.9** | **13.9** | **14.4** | **13.9** | **13.9** |
| Incl. in gross amount | 15.5 | 14.8 | 14.7 | 15.5 | 14.8 | 14.7 |
| Incl. doubtful receivables | -1.1 | -0.9 | -0.8 | -1.1 | -0.9 | -0.8 |
| **Tax penalties** | **4.6** | **4.3** | **3.4** | **4.6** | **4.3** | **3.5** |
| Incl. in gross amount | 46.6 | 50.0 | 46.7 | 46.6 | 50.0 | 46.8 |
| Incl. doubtful receivables | -42.0 | -45.7 | -43.3 | -42.0 | -45.7 | -43.3 |
| **Total tax, state fee and fine receivables** | **1,387.5** | **1,248.7** | **1,125.4** | **1,454.1** | **1,322.1** | **1,169.7** |
| Incl. in gross amount | 1,677.4 | 1,546.7 | 1,407.5 | 1,744.0 | 1,620.1 | -1,451.8 |
| Incl. doubtful receivables | -289.9 | -298.0 | -282.1 | -289.9 | -298.0 | -282.1 |

In 2022, tax receivables in the amount of 31.7 million euros (18.7 million euros in 2021) and tax penalties, fines and penalty payments in the amount of 8.9 million euros (3.2 million euros in 2021) were assessed as irrecoverable and written off the balance sheet by the Tax and Customs Board.

**B. Prepayments of taxes, fines and state fees received**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Value added tax | 181.5 | 165.9 | 131.4 | 188.4 | 171.0 | 136.0 |
| Personal income tax | 206.8 | 204.4 | 192.9 | 206.8 | 204.4 | 192.9 |
| Other taxes, state fees, fines | 8.8 | 7.0 | 3.5 | 8.9 | 7.0 | 3.6 |
| Prepayment account balances | 303.1 | 245.5 | 195.4 | 312.5 | 256.2 | 202.2 |
| **Total prepayments of taxes, state fees and fines received** | **700.2** | **622.8** | **523.2** | **716.6** | **638.6** | **534.7** |

**C. Tax, state fee and fine liabilities**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Value added tax | 13.1 | 11.3 | 4.8 | 0.0 | 0.0 | 0.0 |
| Social tax | 163.6 | 153.4 | 145.8 | 163.0 | 152.9 | 145.3 |
| Personal income tax | 153.1 | 141.0 | 130.7 | 152.7 | 140.4 | 130.3 |
| Unemployment insurance premiums | 25.4 | 23.0 | 21.2 | 25.4 | 23.0 | 21.2 |
| Funded pension contributions | 57.6 | 54.2 | 34.9 | 57.6 | 54.2 | 34.9 |
| Other taxes | 19.1 | 21.0 | 12.3 | 16.2 | 17.9 | 11.3 |
| Natural resource use charges | 3.6 | 3.8 | 3.6 | 3.6 | 3.8 | 3.6 |
| **Total tax, state fee and fine liabilities** | **435.5** | **407.7** | **353.3** | **418.5** | **392.2** | **346.6** |

The majority of liabilities are pass-through taxes and other charges.

Within the public sector, social tax is passed on to the Health Insurance Fund, personal income tax and land tax to local governments, unemployment insurance payments to the Unemployment Insurance Fund, excise duties and gambling tax to the Cultural Endowment, natural resource use charges to local governments.

Outside the public sector, funded pension payments are passed on to private pension insurance funds, payments related to customs procedures are passed on to the European Commission. If employees pay 2% of salaries to the mandatory

funded pension funds via the state, the state will add 4% as a pass-through of the social tax. From July 2020 to August 2021, the state suspended its social tax payments to mandatory funded pension funds and paid them later. The corresponding expense for the suspended period is recognised as grants awarded and the liability is recognised as a provision (see Note a16 D). The cost was recorded as a subsidy granted, as the liability incurred in this period was financed separately from the expenditure line in the budget and not from social contributions (see Note a19 B2).

**D. Revenue and expenditure**

| | Revenue | | | | Expenditure from pass-through income | | | | Expenditure from doubtful receivables | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Consolidated | | Unconsolidated | | Consolidated | | Unconsolidated | | Consolidated | | Unconsolidated | |
| | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 |
| **Taxes and social security contributions** | **11,641.2** | **10,497.1** | **11,773.0** | **10,600.1** | **-4,055.3** | **-3,514.7** | **-4,055.3** | **-3,514.7** | **-28.9** | **-32.8** | **-28.9** | **-32.8** |
| **Taxes on goods and services** | **4,023.4** | **3,603.1** | **4,109.4** | 3,675.8 | **-45.4** | **-38.6** | **-45.4** | **-38.6** | **-12.8** | **-16.2** | **-12.8** | **-16.2** |
| Value added tax | 3,001.4 | 2,606.9 | 3,061.6 | 2,653.7 | 0.0 | 0.0 | 0.0 | 0.0 | -12.3 | -16.1 | -12.3 | -16.1 |
| Fuel excise duty | 497.1 | 503.2 | 500.3 | 506.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Alcohol excise duty | 241.4 | 222.9 | 241.4 | 222.9 | -17.0 | -16.3 | -17.0 | -16.3 | 0.0 | 0.0 | 0.0 | 0.0 |
| Tobacco excise duty | 245.4 | 243.9 | 245.4 | 243.9 | 0.0 | 0.0 | 0.0 | 0.0 | -0.5 | -0.1 | -0.5 | -0.1 |
| Electricity excise duty | 0.9 | 1.0 | 7.9 | 8.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Excise duty on packaging | 0.3 | 0.4 | 0.3 | 0.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Advertising tax in Tallinn | 6.3 | 5.7 | 6.3 | 5.7 | -6.3 | -5.7 | -6.3 | -5.7 | 0.0 | 0.0 | 0.0 | 0.0 |
| Gambling tax | 30.6 | 19.1 | 46.2 | 34.7 | -22.1 | -16.6 | -22.1 | -16.6 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Social tax and social security contributions** | **4,582.5** | **4,136.0** | **4,582.5** | **4,136.0** | **-2,348.1** | **-2,003.7** | **-2,348.1** | **-2,003.7** | **-10.5** | **-10.8** | **-10.5** | **-10.8** |
| Social tax | 4,156.2 | 3,725.7 | 4,156.2 | 3,725.7 | -1,922.2 | -1,594.3 | -1,922.2 | -1,594.3 | -10.0 | -9.9 | -10.0 | -9.9 |
| Incl. for pension insurance | 2,518.7 | 2,231.5 | 2,518.7 | 2,231.5 | -288.6 | -105.4 | -288.6 | -105.4 | -6.1 | -6.0 | -6.1 | -6.0 |
| Incl. for health insurance | 1,637.5 | 1,494.2 | 1,637.5 | 1,494.2 | -1,633.6 | -1,488.9 | -1,633.6 | -1,488.9 | -3.9 | -3.9 | -3.9 | -3.9 |
| Unemployment insurance premiums | 264.0 | 232.3 | 264.0 | 232.3 | -263.5 | -231.7 | -263.5 | -231.7 | -0.5 | -0.6 | -0.5 | -0.6 |
| Funded pension contributions | 162.3 | 178.0 | 162.3 | 178.0 | -162.4 | -177.7 | -162.4 | -177.7 | 0.0 | -0.3 | 0.0 | -0.3 |
| **Income tax** | **2,898.2** | **2,641.5** | **2,935.2** | **2,662.8** | **-1,537.9** | **-1,365.2** | **-1,537.9** | **-1,365.2** | **-5.5** | **-5.7** | **-5.5** | **-5.7** |
| Personal income tax | 2,308.5 | 2,169.4 | 2,308.5 | 2,169.4 | -1,537.9 | -1,365.2 | -1,537.9 | -1,365.2 | -3.4 | -3.7 | -3.4 | -3.7 |
| Corporate income tax | 589.7 | 472.1 | 626.7 | 493.4 | 0.0 | 0.0 | 0.0 | 0.0 | -2.1 | -2.0 | -2.1 | -2.0 |
| **Property taxes** | **53.1** | **53.1** | **61.9** | **62.0** | **-58.9** | **-58.9** | **-58.9** | **-58.9** | **-0.1** | **-0.1** | **-0.1** | **-0.1** |
| Land tax | 48.0 | 48.0 | 56.8 | 56.9 | -58.9 | -58.9 | -58.9 | -58.9 | -0.1 | -0.1 | -0.1 | -0.1 |
| Heavy goods vehicle tax | 5.1 | 5.1 | 5.1 | 5.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Taxes on foreign trade** | **84.0** | **63.4** | **84.0** | **63.5** | **-65.0** | **-48.3** | **-65.0** | **-48.3** | **0.0** | **0.0** | **0.0** | **0.0** |
| Customs duty | 84.0 | 63.4 | 84.0 | 63.5 | -65.0 | -48.3 | -65.0 | -48.3 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Tax penalties (see Note a22)** | **16.3** | **13.2** | **16.3** | **13.2** | **0.0** | **0.0** | **0.0** | **0.0** | **-4.9** | **-5.4** | **-4.9** | **-5.4** |
| **State fees (see Note a21)** | **91.3** | **88.8** | **91.7** | **89.1** | **-1.6** | **-1.5** | **-1.6** | **-1.5** | **0.0** | **0.0** | **0.0** | **0.0** |
| On register entries | 49.3 | 48.2 | 49.5 | 48.3 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |

| | Revenue | | | | Expenditure from pass-through income | | | | Expenditure from doubtful receivables | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Consolidated | | Unconsolidated | | Consolidated | | Unconsolidated | | Consolidated | | Unconsolidated | |
| | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 |
| Based on the Identity Documents Act and the Citizenship Act | 14.0 | 15.1 | 14.0 | 15.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| On court case procedures | 10.6 | 7.6 | 10.6 | 7.6 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other state fees | 17.4 | 17.9 | 17.6 | 18.1 | -1.6 | -1.5 | -1.6 | -1.5 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Fines and other fines to the extent of asset (see Note a22)** | **32.9** | **19.1** | **23.9** | **18.6** | **0.0** | **0.0** | **0.0** | **0.0** | **-1.0** | **-0.9** | **-1.0** | **-0.9** |
| **Pollution charges (see Note a22)** | **23.9** | **22.7** | **41.2** | **36.4** | **-0.5** | **-0.4** | **-0.5** | **-0.4** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Income from providing natural resources for use (see Note a22)** | **54.2** | **34.1** | **110.2** | **54.6** | **-15.4** | **-16.3** | **-15.4** | **-16.3** | **0.9** | **-0.1** | **0.9** | **-0.1** |
| **Road usage charges (see Note a22)** | **21.5** | **21.3** | **21.5** | **21.3** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Monitoring charges (see Note a22)** | **1.1** | **0.0** | **2.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Universal postal service charges (see Note a22)** | **0.1** | **0.1** | **0.8** | **0.9** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Receivables adjudicated based on a court ruling (see Note a22)** | **9.5** | **9.3** | **9.5** | **9.3** | **0.0** | **0.0** | **0.0** | **0.0** | **-0.3** | **-0.2** | **-0.3** | **-0.2** |
| **Total taxes, state fees, fines** | **11,891.9** | **10,705.7** | **12,090.0** | **10,843.5** | **-4,072.8** | **-3,532.9** | **-4,072.8** | **-3,532.9** | **-34.2** | **-39.4** | **-34.2** | **-39.4** |

**Revenues from taxes, state fees and fines eliminated on consolidation**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Value added tax | 322.9 | 254.0 | 262.7 | 207.2 |
| Pollution charges | 17.3 | 13.7 | 0.0 | 0.0 |
| Revenue from providing natural resources for use | 56.0 | 20.5 | 0.0 | 0.0 |
| Corporate income tax | 37.0 | 21.3 | 0.0 | 0.0 |
| Land tax | 10.9 | 11.0 | 2.1 | 2.1 |
| Other revenues from taxes, state fees and fines | 27.9 | 27.3 | 0.2 | 0.1 |
| **Total eliminated revenues from taxes, state fees and fines** | **472.0** | **347.8** | **265.0** | **209.4** |

Tax expense calculated on employee's salaries and fringe benefits (see Note a23) and the corresponding revenues from social tax and social security contributions have not been eliminated on consolidation because for this expenditure, employees have been treated as counterparties. Moreover, fuel excise duty paid on the purchase of fuel has not been eliminated as it is received by the Tax and Customs Board through private sector fuel vendors, who do not reflect it in their sales invoices.

**Note a5**

**Other claims and prepayments**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Short-term receivables and prepayments** | **1,676.8** | **1,294.7** | **1,097.8** | **1,034.0** | **1,228.5** | **775.9** |
| Trade receivables | 504.6 | 403.7 | 239.5 | 22.4 | 10.9 | 9.5 |
| Incl. in gross amount | 516.0 | 408.4 | 247.2 | 22.7 | 11.1 | 9.9 |
| Incl. doubtful receivables | -11.4 | -4.7 | -7.7 | -0.3 | -0.2 | -0.4 |
| Interest receivables | 9.4 | 2.4 | 1.5 | 7.3 | 1.1 | 0.4 |
| Other accrued income | 33.0 | 49.8 | 46.8 | 0.5 | 0.1 | 1.2 |
| Loan receivables (see Note a6) | 73.2 | 35.1 | 37.8 | 8.4 | 8.6 | 10.5 |
| Outstanding government grants (see Note a19 A) | 716.8 | 530.0 | 477.4 | 716.3 | 523.2 | 475.1 |
| Other receivables | 40.8 | 21.9 | 19.8 | 10.2 | 9.1 | 7.0 |
| Security deposits | 46.2 | 33.2 | 57.6 | 0.9 | 0.8 | 0.5 |
| Prepayments and deferred taxes, state fees and fines | 11.3 | 5.1 | 2.3 | 0.3 | 0.2 | 0.5 |
| Government grant prepayments (see Note a19 B) | 142.6 | 156.1 | 161.9 | 197.9 | 184.8 | 230.4 |
| Recoveries from funds for specific purposes | 0.0 | 0.0 | 0.0 | 0.0 | 450.7 | 0.0 |
| Prepaid expenses | 98.9 | 57.4 | 53.2 | 69.8 | 39.0 | 40.8 |
| **Long-term receivables and prepayments** | **941.4** | **925.1** | **867.1** | **1,193.2** | **1,089.2** | **1,533.3** |
| Loan receivables (see Note a6) | 815.9 | 865.3 | 813.0 | 530.6 | 519.3 | 529.8 |
| Interest receivables (see Note a6) | 30.3 | 39.5 | 34.5 | 30.3 | 39.5 | 34.5 |
| Funds for specific purposes | 0.0 | 0.0 | 0.0 | 472.2 | 462.6 | 914.4 |
| Trade receivables | 0.4 | 0.2 | 0.2 | 0.4 | 0.2 | 0.1 |
| Outstanding government grants (see Note a19 A) | 6.0 | 6.0 | 5.5 | 6.0 | 6.0 | 5.5 |
| Other receivables | 9.6 | 10.1 | 10.5 | 0.8 | 0.9 | 0.7 |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Prepaid expenses | 79.2 | 4.0 | 3.4 | 152.9 | 60.7 | 48.3 |
| **Total receivables and prepayments** | **2,618.2** | **2,219.8** | **1,964.9** | **2,227.2** | **2,317.7** | **2,309.2** |

In the consolidated cash flow statement, income from non-current assets sold has been adjusted by an increase in receivables in the amount of 0.6 million euros (an increase of 0.2 million euros in 2021).
In the unconsolidated cash flow statement, income from non-current assets sold has been adjusted by an increase in receivables in the amount of 0.6 million euros (an increase of 0.3 million euros in 2021).

Of the long-term future expenditure prepayments, defence prepayments amount to 76.5 million euros (1.6 million euros as of 31 December 2021) and of the short-term future expenditure prepayments, they amount to 54.7 million euros (24.6 million euros as at 31 December 2021).

Dedicated funds are managed by the state through foundations and subsidiaries under its controlling influence mainly for granting and securing loans for the business sector. Until 2019, grants received from the European Union were directed to these funds. In 2020, the state started making additional contributions from state budget funds to help companies related to the spread of the coronavirus, incl. to grant loans and loan securities. In 2022, additional contributions of 25.0 million euros were made from the state budget and 0.1 million euros from EU grants (17.4 million euros from EU grants in 2021 and 9.4 million euros from the state budget). 1.2 million euros of EU funds (0.6 million euros in 2021) and 27.2 million euros of state budget funds (29.6 million euros in 2021) were returned. At the end of 2021, the state demanded back an additional 450.7 million euros of the funds related to the spread of the coronavirus from the state budget funds, which was received in 2022.

**Dedicated funds**

| | Unconsolidated | | |
|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Loan, security and export transaction funds managed by Ettevõtluse ja Innovatsiooni SA | 313.9 | 300.0 | 750.1 |
| Reinsurer's deposit managed by AS Kredex Krediidikindlustus | 14.8 | 14.8 | 14.9 |
| Rural development trust funds managed by Maaelu Edendamise SA | 143.5 | 147.8 | 149.4 |
| **Total dedicated funds** | **472.2** | **462.6** | **914.4** |

**Revenue and expenditure from dedicated funds (see Note a27)**

| | Unconsolidated | |
|---|---|---|
| | 2022 | 2021 |
| Loan, security and export transaction funds managed by Ettevõtluse ja Innovatsiooni SA | 9.3 | 12.4 |
| Reinsurer's deposit managed by AS KredEx Krediidikindlustus | 0.0 | 0.1 |
| Rural development trust funds managed by Maaelu Edendamise SA | 3.6 | -10.0 |
| **Total revenue and expenditure from dedicated funds** | **12.9** | **2.5** |

Doubtful loan receivables amounted to -0.5 million euros (7.3 million euros in 2021) and provisions for the formation of guarantee liabilities and loan securities amounted to 0.8 million euros (-14.9 million euros in 2021) of the net result of these funds.

In the unconsolidated cash flow statement, investments in the dedicated funds are recognised in cash flows from investment activities under the entry "Paid upon acquisition of other financial investments".

**Note a6**

**Loans issued**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | Short-term part | Long-term part | Total | Short-term part | Long-term part | Total |
| **Balance as of 31.12.2020** | **37.8** | **813.0** | **850.8** | **10.5** | **529.8** | **540.3** |
| Incl. in gross amount | 45.0 | 954.8 | **999.8** | 11.1 | 587.0 | **598.1** |
| Incl. reduced by discounting | 0.0 | -19.2 | **-19.2** | 0.0 | -19.2 | **-19.2** |
| Incl. doubtful receivables | -7.2 | -122.6 | **-129.8** | -0.6 | -38.0 | **-38.6** |
| **Loan movements in 2021** | **-2.7** | **52.3** | **49.6** | **-1.9** | **-10.5** | **-12.4** |
| Loans issued | 0.1 | 86.5 | **86.6** | 0.1 | 0.1 | **0.2** |
| Received | -37.9 | -8.8 | **-46.7** | -12.1 | -3.0 | **-15.1** |
| Doubtful receivables | -1.1 | 8.5 | **7.4** | 0.1 | 0.1 | **0.2** |
| Increase from interest calculations | 0.0 | 2.3 | **2.3** | 0.0 | 2.3 | **2.3** |
| Reclassification | 36.2 | -36.2 | **0.0** | 10.0 | -10.0 | **0.0** |
| **Balance as of 31.12.2021** | **35.1** | **865.3** | **900.4** | **8.6** | **519.3** | **527.9** |
| Incl. in gross amount | 43.4 | 995.9 | **1,039.3** | 9.1 | 574.0 | **583.1** |
| Incl. reduced by discounting | 0.0 | -16.9 | **-16.9** | 0.0 | -16.9 | **-16.9** |
| Incl. doubtful receivables | -8.3 | -113.7 | **-122.0** | -0.5 | -37.8 | **-38.3** |
| **Loan movements in 2022** | **38.1** | **-49.4** | **-11.3** | **-0.2** | **11.3** | **11.1** |
| Loans issued | 0.1 | 34.1 | **34.2** | 0.0 | 20.1 | **20.1** |
| Received | -44.4 | -9.5 | **-53.9** | -8.7 | -7.8 | **-16.5** |
| Doubtful receivables | -1.9 | 8.3 | **6.4** | 0.1 | 5.4 | **5.5** |
| Increase from interest calculations | 0.0 | 2.0 | **2.0** | 0.0 | 2.0 | **2.0** |
| Reclassification | 84.3 | -84.3 | **0.0** | 8.4 | -8.4 | **0.0** |
| **Balance as of 31.12.2022** | **73.2** | **815.9** | **889.1** | **8.4** | **530.6** | **539.0** |
| Incl. in gross amount | 81.3 | 905.4 | 986.7 | 8.8 | 546.2 | **555.0** |
| Incl. reduced by discounting | 0.0 | -14.9 | **-14.9** | 0.0 | -14.9 | **-14.9** |
| Incl. doubtful receivables | -8.1 | -74.6 | **-82.7** | -0.4 | -0.7 | **-1.1** |

Major (unconsolidated) receivables of the state:

1) Loans issued by the Estonian state through the EFSF in the total amount of 451.9 million euros (the same at the end of 2021) (programmes for supporting Greece, Ireland and Portugal). The corresponding amount is also recorded under government debt (see Note a17). In addition, the Greek programme includes long-term interest receivables (see Note a5) and interest payables (see Note a15) resulting from loans in the amount of 30.3 million euros (39.5 million euros at the end of 2021);
2) instalment receivables for land that was privatised on the basis of the Land Reform Act which have been secured by mortgages on the same lands in a total amount of 29.4 million euros (32.2 million euros at the end of 2021);
3) outstanding student loan receivables purchased from banks in the amount of 0.1 million euros (0.2 million euros at the end of 2021). The balances of student loans in banks are recorded as a contingent liability of the state (see Note a30) as they may become receivables from the state in the event of non-payment;
4) 54.0 million euros (38.7 million euros at the end of 2021) to the Environmental Investment Centre for co-financing needed for the implementation of water management projects of local authorities;
5) 3.6 million million euros to the Estonian Business and Innovation Agency for on-lending to businesses (4.9 million euros at the end of 2021).
In 2021, the state's loan receivables also included a loan to AS Estonian Air (bankrupt) in the amount of 37.3 million euros, which was assessed as unlikely to be recovered. In 2022, the loan receivable was removed from the balance sheet due to the end of the bankruptcy proceedings. The bankruptcy estate returned 5.4 million euros to the state in 2022 (see also Note a20 B).

Major (consolidated) loan receivables of the state in addition to the (unconsolidated) loan receivables of the state listed in items 1 to 3:

6) loan receivables of the Estonian Business and Innovation Agency in the amount of 204.0 million euros (209.4 million euros at the end of 2021);
7) loan receivables of the Rural Development Foundation 143.0 million euros (144.2 million euros at the end of 2021);
8) loan receivables of the Environmental Investment Centre in the amount of 57.0 million euros (59.4 million euros at the end of 2021).

**Note a7**

**Inventories**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| Mobilisation stockpile | 1.6 | 1.3 | 1.3 | 1.6 | 1.3 | 1.3 |
| State operation stockpile for emergencies | 137.8 | 1.0 | 1.4 | 0.6 | 0.6 | 0.5 |
| Stocks of liquid fuel | 167.8 | 148.0 | 87.3 | 0.0 | 0.0 | 0.0 |
| Other stocks of raw material and other material | 211.2 | 126.8 | 130.4 | 36.0 | 28.5 | 42.0 |
| Work-in-progress | 45.2 | 44.6 | 55.0 | 0.0 | 0.0 | 0.0 |
| Finished goods | 49.1 | 33.1 | 30.7 | 1.8 | 1.4 | 1.7 |
| Goods purchased for sale | 14.0 | 4.3 | 1.7 | 0.0 | 0.0 | 0.0 |
| Reclassified non-current assets for sale | 86.4 | 6.6 | 10.3 | 0.0 | 0.0 | 0.0 |
| Prepayments for inventories | 1.3 | 1.7 | 1.8 | 0.0 | 1.5 | 1.5 |
| **Total inventories** | **714.4** | **367.4** | **319.9** | **40.0** | **33.3** | **47.0** |

Liquid fuel stocks are the state's strategic stocks held by AS Eesti Varude Keskus on the basis of the Liquid Fuel Stocks Act. In 2022, AS Eesti Varude Keskus was given the task by the state to set up a natural gas reserve according to the Emergency Act. At the end of the year, 650 Gwh of natural gas stocks had been acquired for 133.6 million euros.

AS Operail (group) reclassified assets to assets held for sale in connection with the sale of its subsidiary Operail Finland OY and the sale of wagons leased by Operail Leasing AS at the beginning of 2023. At the end of the year, the AS Operail group's assets held for sale amounted to 74.9 million euros. In addition to property, plant and equipment, AS Operail included 0.9 million euros in inventories, 1.1 million euros in receivables, and 0.5 million euros in cash in the item assets held for sale. The assets were sold at the beginning of 2023 together with the related liabilities (see Note a15).

In 2022, the state transferred vaccines to the Health Insurance Fund in the amount of 28.0 million euros (recorded directly as a movement in net assets).

The cost of the write-downs and reversals is recognised under other expenditure (see Note a26).

**Note a8**

**Ownership interest in foundations**

In millions of euros

**A. Consolidated report**

A list of foundations consolidated line-by-line and key economic indicators are presented in Note a1 B1.

In 2021, the state founded the Estonian Centre for International Development. It was merged with the Estonian Centre for Eastern Partnership, which previously operated in the private sector. By merging the latter, funds were received in the amount of 1.4 million euros and receivables and liabilities in the net amount of -1.2 million euros, which in total increased the state's net assets by 0.2 million euros.

In 2021, the Estonian Sports and Olympic Museum Foundation was consolidated for the first time under state holdings, whose assets and liabilities added a further 0.7 million euros to the state's net assets.

The liquidation of the Estonian Centre for Standardisation and Accreditation resulted in a loss in 2021 and cash decreased by -0.4 million euros (see Note a27).

**B. Unconsolidated report**

| | Included in the general government sector | Not included in the general government sector | Total |
|---|---|---|---|
| **Balance as of 31.12.2020** | **434.5** | **8.4** | **442.9** |
| Monetary payments | 0.0 | -0.1 | **-0.1** |
| Non-monetary payments | -0.1 | 0.0 | **-0.1** |
| Write-downs and reversals of write-downs (see Note a27) | -1.0 | 0.0 | **-1.0** |
| **Balance as of 31.12.2021** | **433.4** | **8.3** | **441.7** |
| Write-downs and reversals of write-downs (see Note a27) | -10.9 | 0.0 | **-10.9** |
| **Balance as of 31.12.2022** | **422.5** | **8.3** | **430.8** |

Movements in 2021:

Non-monetary payment was obtained from the liquidated Archimedes Foundation.
Monetary payments were obtained from the liquidated Estonian Centre for Standardisation and Accreditation.

**Note a9**

**Ownership interest in subsidiaries and associates**

In millions of euros

**A. Consolidated report**

A list of subsidiaries and associates recognised using the equity method, consolidated line-by-line, and key economic indicators are presented in Note a1 B2.

In the reporting year, AS Eesti Post sold AS Maksekeskus, a subsidiary of AS Eesti Post, at a sales price of 30.1 million euros, with a gain on sale of 27.0 million euros. At the time of the sale, AS Maksekeskus had current assets of 5.6 million euros, including cash of 5.4 million euros, intangible non-current assets of 1.4 million euros, and liabilities of 1.8 million euros. Minority interests removed from the balance sheet amounted to 2,1 million euros.

At the beginning of 2021, the state sold its ownership interest in AS Eesti Teed. 19.4 million euros were received from the sale, generating a loss from the sale of 0.7 million euros (see Note a3, a27).
In October 2021, the first public offering of Enefit Green AS shares took place in the Eesti Energia AS Group, from which 175.0 million euros were received. The minority shareholding was valued at 138.5 million euros. State participation in Enefit Green AS decreased from 100% to 77.17%. The difference between minority shareholding and the consideration received was recognised in the state's net assets in the amount of 36.5 million euros, reducing it by emission costs in the amount of 8.8 million euros, with the total impact on the increase of the state's net assets being 27.7 million euros.
As of August 2021, Imatra Elekter AS is a 100% subsidiary of Eesti Energia AS Group. 29.8 million euros were paid for the company's shares, and the negative goodwill in the amount of 1.9 million euros was recognised in revenues.

Assets, liabilities, and net assets received upon the acquisition and removed upon sale in 2021

| | Imatra Elekter AS acquired | | AS Eesti Teed sold | |
|---|---|---|---|---|
| | Assets | Liabilities | Assets | Liabilities |
| Cash | 5.7 | | 7.0 | |
| Receivables | 0.5 | | 2.6 | |
| Inventories | 0.0 | | 1.8 | |
| Investment property | 0.0 | | 0.1 | |
| Property, plant and equipment | 26.8 | | 13.2 | |
| Intangible assets | 1.0 | | 0.0 | |
| Debts | | 2.3 | | 2.3 |
| Provisions | | 0.0 | | 1.2 |
| Loan liabilities | | 0.0 | | 1.1 |
| Net assets | | 31.7 | | 20.1 |
| Total | 34.0 | 34.0 | 24.7 | 24.7 |

In 2022, Tallinna Sadam AS paid dividends to minority holding in the amount of 8.4 million euros (6.6 million euros in 2021). In 2022, the Eesti Energia group paid dividends to minority holding in the amount of 9.1 million euros (0 euros in 2021).

**Associates**

| | 2022 | 2021 |
|---|---|---|
| **Balance at the beginning of the year** | **67.5** | **60.4** |
| Dividends received | -2.6 | -3.4 |
| Sold at selling price | -0.7 | 0.0 |
| Profit on sales | 0.6 | 0.0 |
| Profit/loss based on the equity method (see Note a27) | 2.9 | 2.1 |
| Monetary contributions | 14.1 | 9.2 |
| Effect of foreign exchange rate differences on the total profit of the associates directly reflected in the net asset reserves | 7.6 | -0.8 |
| **Balance at the end of the year** | **89.4** | **67.5** |

Monetary contributions in 2022 and 2021 were made by Eesti Energia AS to the Enefit Jordan B.V. Group.
In 2022, Eesti Energia AS sold a separately insignificant associate, with proceeds from the sale of 0.7 million euros and a gain on sale of 0.6 million euros.

**B. Unconsolidated report**

| | Government subsidiaries | Non-government subsidiaries | Associates | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **453.7** | **3,421.5** | **6.6** | **3,881.8** |
| Monetary contributions | 3.0 | 30.0 | 0.0 | **33.0** |
| Non-monetary contributions and payments | 3.7 | 0.8 | 0.0 | **4.5** |
| Write-downs and reversals of write-downs (see Note a27) | 38.1 | 212.5 | 0.0 | **250.6** |
| **Balance as of 31.12.2021** | **498.5** | **3,664.8** | **6.6** | **4,169.9** |
| Monetary contributions | 148.0 | 0.0 | 0.0 | **148.0** |
| Non-monetary contributions and payments | 19.7 | 0.3 | 0.0 | **20.0** |
| Write-downs and reversals of write-downs (see Note a27) | 0.0 | 152.1 | 0.0 | **152.1** |
| **Balance as of 31.12.2022** | **666.2** | **3,817.2** | **6.6** | **4,490.0** |

**Further clarifications on government holdings**

In 2022, the state made monetary contributions to AS Eesti Varude Keskus in the amount of 145.0 million euros and to OÜ Rail Baltic Estonia in the amount of 3.0 million euros.
Contributions in the form of property plant and equipment were made to Riigi Kinnisvara AS in the amount of 19.6 million euros and to AS Hoolekandeteenused in the amount of 0.5 million euros. Riigi Kinnisvara AS made payments of property, plant and equipment to the state in the amount of 0.4 million euros.

In 2021, a monetary contribution of 3.0 million euros was made to OÜ Rail Baltic Estonia.
Assets in the amount of 2.7 million euros were transferred to AS Eesti Varude Keskus. Contributions in the form of property, plant and equipment were made to Riigi Kinnisvara AS in the amount of 1.0 million euros and to AS Hoolekandeteenused in the amount of 0.1 million euros. Riigi Kinnisvara AS made payments of property, plant and equipment to the state in the amount of 0.1 million euros.
The earlier write-down of the holding of AS Eesti Varude Keskus was cancelled in the amount of 38.1 million euros (in connection with the increase in the value of liquid fuel stock).

**Further clarifications on non-government holdings**

In 2022, contributions and payments were made to the State Forest Management Centre in the form of plots of land, with the holding increasing by 0.2 million euros.

Major write-downs of holdings and reversals of write-downs: The State Forest Management Centre in connection with the change in the fair value of forest 171.3 million euros, AS Operail -15.8 million euros, Lennuliiklusteeninduse AS -4.9 million euros, AS Nordic Aviation Group 1.5 million euros.
In 2021, additional monetary contributions were made to the following companies: 20.0 million euros to Tallinna Lennujaam AS, 10.0 million euros to Lennuliiklusteeninduse AS.
Contributions and payments were made to the State Forest Management Centre in the form of plots of land, with the holding increasing by 0.8 million euros.
Major write-downs of holdings and reversals of write-downs: State Forest Management Centre in connection with the change in the fair value of forest 222.0 million euros, Lennuliiklusteeninduse AS -3.5 million euros, AS Operail -7.2 million euros, AS Nordic Aviation Group 1.2 million euros.
At the beginning of 2021, the sales transaction of AS Eesti Teed was finalised. 19.4 million euros were received from the sale of the holding, with the profit of 5.5 million euros (see Note a3).

**Dividend income from subsidiaries and associates**

| **Payer of dividends** | **2022** | **2021** |
|---|---|---|
| AS Tallinna Sadam | 17.1 | 13.6 |
| State Forest Management Centre | 73.7 | 33.4 |
| Eesti Energia AS | 46.6 | 0.0 |
| AS Elering | 0.0 | 10.0 |
| AS Eesti Loto | 13.9 | 13.6 |
| AS Operail | 0.0 | 2.2 |
| AS Eesti Post | 2.8 | 2.4 |
| Other subsidiaries | 0.9 | 0.6 |
| Riigi Kinnisvara AS (general government sector) | 34.8 | 34.0 |
| AS Levira (associate) | 0.8 | 0.8 |
| **Total income from dividends (see Note a27)** | **190.6** | **110.6** |

**Note a10**

**Investment property**

In millions of euros

| | **Consolidated** | | **Unconsolidated** | |
|---|---|---|---|---|
| | **2022** | **2021** | **2022** | **2021** |
| **Balance at the beginning of the period** | **85.3** | **84.3** | **37.1** | **37.4** |
| Cost | 113.1 | 109.4 | 40.7 | 40.9 |
| Accumulated depreciation | -27.8 | -25.1 | -3.6 | -3.5 |
| **Movements in the reporting period** | **-2.1** | **1.0** | **-0.1** | **-0.3** |
| Depreciation and write-downs (see Note a25) | -2.4 | -2.6 | -0.1 | -0.1 |
| Sales at selling price | -4.4 | -1.0 | -0.1 | -0.1 |
| Profit/loss from sales (see Note a22) | 4.3 | 0.7 | 0.1 | 0.1 |
| Acquisitions and improvements (see Note a13) | 0.2 | 6.1 | 0.0 | 0.0 |
| Decrease related to loss of controlling influence | 0.0 | -0.1 | 0.0 | 0.0 |
| Reclassification with property, plant and equipment and inventories | 0.2 | -2.1 | 0.0 | -0.2 |
| **Balance at the end of the period** | **83.2** | **85.3** | **37.0** | **37.1** |
| Cost | 112.6 | 113.1 | 40.0 | 40.7 |
| Accumulated depreciation | -29.4 | -27.8 | -3.0 | -3.6 |
| Incl. carrying amount of leased non-current assets | 66.3 | 63.8 | 29.1 | 29.3 |
| Incl. carrying amount of non-current assets pledged to cover loans | 8.8 | 9.5 | 0.0 | 0.0 |
| | | | | |
| Income from constituting a right of superficies, user fees, lease and rent | 19.0 | 18.6 | 6.3 | 6.3 |
| Administrative expenses of investment property | -1.2 | -0.9 | -0.2 | -0.1 |

Deferred lease income from continuing lease agreements is presented in Note a30 D.

**Note a11**

**Property, plant and equipment**

In millions of euros

**A. Consolidated report**

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **831.5** | **5,074.2** | **281.0** | **3,035.4** | **109.8** | **553.5** | **9,885.4** |
| Cost | 831.5 | 8,241.5 | 722.6 | 5,571.1 | 187.5 | 553.5 | 16,107.7 |
| Accumulated depreciation | | -3,167.3 | -441.6 | -2,535.7 | -77.7 | | -6,222.3 |
| **Total movements in 2021** | **24.4** | **229.5** | **48.5** | **17.1** | **7.8** | **105.4** | **432.7** |
| Acquisitions and improvements (see Note a13) | 7.6 | 24.5 | 7.0 | 79.3 | 4.1 | 925.2 | 1,047.7 |
| Depreciation and write-downs (see Note a25) | 0.0 | -326.0 | -51.3 | -253.5 | -12.2 | -0.8 | -643.8 |
| Sales at selling price | -35.5 | -7.9 | 0.0 | -6.3 | -0.1 | 0.0 | -49.8 |
| Profit from sales (see Note a22) | 33.1 | 3.3 | 0.0 | 1.1 | 0.1 | 0.0 | 37.6 |
| Non-monetary government grants received | 2.1 | -0.7 | 8.8 | 4.2 | 0.0 | 0.0 | 14.4 |
| Non-monetary government grants awarded | -0.5 | -2.0 | 0.0 | -0.4 | -0.2 | -0.1 | -3.2 |
| Changes due to creation and loss of controlling influence | -0.6 | 10.6 | 0.0 | 2.4 | 0.5 | 1.3 | 14.2 |
| Reclassification | 13.6 | 527.7 | 84.0 | 190.2 | 15.6 | -820.2 | 10.9 |
| Revaluation (see Statement of changes in net assets) | 4.6 | 0.0 | 0.0 | 0.1 | 0.0 | 0.0 | 4.7 |
| **Balance as of 31.12.2021** | **855.9** | **5,303.7** | **329.5** | **3,052.5** | **117.6** | **658.9** | **10,318.1** |
| Cost | 855.9 | 8,722.1 | 805.6 | 5,753.4 | 210.3 | 658.9 | 17,006.2 |
| Accumulated depreciation | 0.0 | -3,418.4 | -476.1 | -2,700.9 | -92.7 | 0.0 | -6,688.1 |
| **Average depreciation rate** | | **4%** | **7%** | **4%** | **6%** | | |
| Carrying amount of non-current assets leased under finance lease | 0.0 | 2.0 | 0.0 | 163.5 | 0.2 | 0.0 | 165.7 |
| Carrying amount of leased non-current assets | 167.5 | 20.2 | 0.0 | 55.7 | 0.3 | 0.0 | 243.7 |
| Carrying amount of non-current assets pledged to cover loans | 0.5 | 73.6 | 0.0 | 33.7 | 0.0 | 0.0 | 107.8 |
| **Total movements in 2022** | **17.9** | **145.8** | **48.4** | **-136.9** | **-0.4** | **410.3** | **485.1** |
| Acquisitions and improvements (see Note a13) | 17.4 | 8.7 | 5.0 | 100.1 | 5.4 | 1,096.0 | 1,232.6 |
| Depreciation and write-downs (see Note a25) | -0.1 | -339.0 | -50.2 | -265.6 | -12.5 | -2.9 | -670.3 |
| Sales at selling price | -49.5 | -6.3 | 0.0 | -7.1 | 0.0 | 0.0 | -62.9 |
| Profit from sales (see Note a22) | 47.0 | 5.1 | 0.0 | 2.7 | 0.0 | 0.0 | 54.8 |
| Non-monetary government grants received | 0.1 | 0.4 | 4.7 | 5.7 | 0.2 | 0.0 | 11.1 |
| Non-monetary government grants awarded | -0.4 | -0.5 | -1.5 | -0.5 | -0.1 | -0.5 | -3.5 |
| Reclassification | 0.2 | 477.4 | 90.4 | 27.8 | 6.6 | -682.6 | -80.2 |
| Revaluation (see Statement of changes in net assets) | 3.2 | 0.0 | 0.0 | 0.0 | 0.0 | 0.3 | 3.5 |

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2022** | **873.8** | **5,449.5** | **377.9** | **2,915.6** | **117.2** | **1,069.2** | **10,803.2** |
| Cost | 873.8 | 9,052.4 | 887.9 | 5,768.6 | 216.6 | 1,069.2 | 17,868.5 |
| Accumulated depreciation | 0.0 | -3,602.9 | -510.0 | -2,853.0 | -99.4 | 0.0 | -7,065.3 |
| **Average depreciation rate** | | **4%** | **6%** | **5%** | **6%** | | |
| Carrying amount of non-current assets leased under finance lease | 0.0 | 4.0 | 0.0 | 112.3 | 0.1 | | 116.4 |
| Carrying amount of leased non-current assets | 171,2 | 36.2 | 0.0 | 4.9 | 0.2 | | 212.5 |
| Carrying amount of non-current assets pledged to cover loans | 0.5 | 62.4 | 0.0 | 54.3 | 0.0 | | 117.2 |

Of the reclassification of -80.2 million euros, -83.1 million euros are accounted for by reclassifications to inventories held for sale, 7.6 million euros by transfers from intangible non-current assets, -2.5 million euros by transfers to investment property, and -2.2 million euros by write-offs related to the expiry of finance lease obligations.

**B. Unconsolidated report**

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **179.2** | **2,224,9** | **281.0** | **208.9** | **25.0** | **163.9** | **3,082.9** |
| Cost | 179.2 | 3,586.3 | 722.6 | 565.2 | 59.7 | 163.9 | 5,276.9 |
| Accumulated depreciation | | -1,361.4 | -441.6 | -356.3 | -34.7 | | -2,194.0 |
| **Total movements in 2021** | **15.9** | **64.5** | **48.5** | **1.5** | **0.9** | **119.8** | **251.1** |
| Acquisitions and improvements (see Note a13) | 6.5 | 3.9 | 7.0 | 25.4 | 2.2 | 446.6 | 491.6 |
| Depreciation and write-downs (see Note a25) | 0.0 | -167.6 | -51.3 | -35.3 | -3.9 | -0.2 | -258.3 |
| Sales at selling price | -31.0 | -3.0 | 0.0 | -0.1 | 0.0 | 0.0 | -34.1 |
| Profit from sales (see Note a22) | 29.4 | 1.7 | 0.0 | 0.0 | 0.0 | 0.0 | 31.1 |
| Non-monetary government grants received | 2.1 | 7.5 | 8.8 | 3.9 | 0.0 | 0.0 | 22.3 |
| Non-monetary government grants awarded | -0.5 | -7.5 | 0.0 | -0.9 | -0.2 | -0.1 | -9.2 |
| Non-monetary contributions and payments from net assets transferred and received | 5.8 | -1.1 | 0.0 | 0.0 | 0.0 | 0.0 | 4.7 |
| Reclassification | 0.5 | 230.6 | 84.0 | 8.4 | 2.8 | -326.5 | -0.2 |
| Revaluation (see Statement of changes in net assets) | 3.1 | 0.0 | 0.0 | 0.1 | 0.0 | 0.0 | 3.2 |
| **Balance as of 31.12.2021** | **195.1** | **2,289.4** | **329.5** | **210.4** | **25.9** | **283.7** | **3,334.0** |
| Cost | 195.1 | 3,750.1 | 805.6 | 588.9 | 65.1 | 283.7 | 5,688.5 |
| Accumulated depreciation | 0.0 | -1,460.7 | -476.1 | -378.5 | -39.2 | 0.0 | -2,354.5 |
| **Average depreciation rate** | | **5%** | **7%** | **6%** | **6%** | | |
| Carrying amount of non-current assets leased under finance lease | | 0.2 | 0.0 | 0.0 | 0.2 | 0.0 | 0.4 |
| Carrying amount of leased non-current assets | 0.5 | 0.2 | 0.0 | 0.0 | 0.0 | 0.0 | 0.7 |
| **Total movements in 2022** | **8.1** | **97.2** | **48.4** | **11.4** | **3.1** | **-30.7** | **137.5** |

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| Acquisitions and improvements (see Note a13) | 9.1 | 4.1 | 5.0 | 39.9 | 2.3 | 362.1 | 422.5 |
| Depreciation and write-downs (see Note a25) | 0.0 | -177.1 | -50.2 | -38.6 | -4.0 | -2.1 | -272.0 |
| Sales at selling price | -49.7 | -4.5 | 0.0 | -0.6 | 0.0 | 0.0 | -54.8 |
| Profit from sales (see Note a22) | 47.5 | 4.1 | 0.0 | 0.5 | 0.0 | 0.0 | 52.1 |
| Non-monetary government grants received | 0.0 | 0.4 | 4.7 | 5.6 | 0.2 | 0.0 | 10.9 |
| Non-monetary government grants awarded | -0.4 | -0.5 | -1.5 | -0.5 | -0.1 | -0.5 | -3.5 |
| Non-monetary contributions and payments from net assets transferred and received | -1.4 | -18.2 | 0.0 | -0.4 | 0.0 | 0.0 | -20.0 |
| Reclassification | 0.0 | 288.9 | 90.4 | 5.3 | 4.7 | -390.2 | -0.9 |
| Revaluation (see Statement of changes in net assets) | 3.0 | 0.0 | 0.0 | 0.2 | 0.0 | 0.0 | 3.2 |
| **Balance as of 31.12.2022** | **203.2** | **2,386.6** | **377.9** | **221.8** | **29.0** | **253.0** | **3,471.5** |
| Cost | 203.2 | 3,903.4 | 887.9 | 621.1 | 69.1 | 253.0 | 5,937.7 |
| Accumulated depreciation | 0.0 | -1,516.8 | -510.0 | -399.3 | -40.1 | | -2,466.2 |
| **Average depreciation rate** | | **5%** | **6%** | **6%** | **6%** | | |
| Carrying amount of non-current assets leased under finance lease | 0.0 | 0.0 | 0.0 | 0.0 | 0.1 | | 0.1 |
| Carrying amount of leased non-current assets | 0.5 | 0.2 | 0.0 | 0.0 | 0.0 | | 0.7 |

As non-monetary government grants, the state received assets from outside the public sector for 10.4 million euros (12.7 million euros in 2021). As non-monetary government grants, the state awarded assets outside the public sector for 1.7 million euros (0.6 million euros in 2021).

Deferred lease income from continuing lease agreements is presented in Note a30 D.

**Note a12**

**Intangible assets**

In millions of euros

**A. Intangible assets**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **305.9** | **279.8** | **150.4** | **125.6** |
| Cost | 695.5 | 625.4 | 406.2 | 359.6 |
| Accumulated depreciation | -389.6 | -345.6 | -255.8 | -234.0 |
| **Total movements** | **27.3** | **26.1** | **29.9** | **24.8** |
| Acquisitions and improvements (see Note a13) | 101.5 | 88.7 | 69.3 | 58.3 |
| Depreciation and write-downs (see Note a25) | -66.3 | -58.3 | -40.1 | -32.8 |
| Sold at selling price | -0.1 | 0.0 | 0.0 | 0.0 |
| Reclassification | -7.5 | -6.0 | 0.7 | 0.5 |
| Exchange rate differences from currency revaluation | 1.1 | 1.7 | 0.0 | 0.0 |
| Changes due to creation and loss of controlling influence | -1.4 | 1.2 | 0.0 | 0.0 |
| Non-monetary government grants awarded | 0.0 | -1.2 | 0.0 | -1.2 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the end of the period** | **333.2** | **305.9** | **180.3** | **150.4** |
| Cost | 770.3 | 695.5 | 468.5 | 406.2 |
| Accumulated depreciation | -437.1 | -389.6 | -288.2 | -255.8 |
| **Average depreciation rate** | **9.0%** | **8.8%** | **9.2%** | **8.6%** |

Computer software is registered as (unconsolidated) intangible assets in the state's financial statements.

In addition to computer software, the consolidated report includes, as important assets, the contractual rights of Eesti Energia AS in the amount of 23.2 million euros (30.5 million euros at the end of 2021) and expenses for exploration of oil shale reserves for 2.5 million euros (2.3 million euros at the end of 2021).

State subsidiaries recognised goodwill generated upon the acquisition of subsidiaries in the total amount of 26.6 million euros (28.0 million euros at the end of 2021). As subsidiaries prepare their financial statements in accordance with International Financial Reporting Standards (IFRS), goodwill is not amortised.

**B. Intangible current assets**

| | Consolidated | |
|---|---|---|
| | 2022 | 2021 |
| **Balance at the beginning of the period** | **208.6** | **85.3** |
| Acquisitions | 443.6 | 206.9 |
| Calculated to cover greenhouse gas emissions (see Note a16 C) | -193.2 | -74.9 |
| Sold and divested | -14.5 | -8.6 |
| Exchange rate differences from currency revaluation | -0.4 | -0.1 |
| **Balance at the end of the period** | **444.1** | **208.6** |

Emission allowance credits and certificates of origin purchased by the Eesti Energia AS group are recognised as intangible current assets.

**Note a13**

**Investments by fields of activity**

In millions of euros

**A. Consolidated report**

| | Investment property | Land | Buildings and facilities | Information and communication equipment | Plant and equipment | Other property, plant and equipment | Unfinished construction and prepayments | Intangible assets | Total |
|---|---|---|---|---|---|---|---|---|---|
| **In 2021 (see Notes a10, a11, a12)** | **6.1** | **7.6** | **24.5** | **13.3** | **66.0** | **11.1** | **925.2** | **88.7** | **1,142.5** |
| Transport | 0.0 | 3.8 | 11.4 | 0.3 | 22.7 | 0.5 | 257.5 | 10.8 | 307.0 |
| Fuel and energy | 0.0 | 0.3 | 8.0 | 1.0 | 3.6 | 0.3 | 311.9 | 10.5 | 335.6 |
| Agriculture and forestry | 0.0 | 0.7 | 0.0 | 0.0 | 1.2 | 0.2 | 19.7 | 3.6 | 25.4 |
| Other | 0.2 | 0.1 | 0.5 | 3.1 | 9.4 | 0.3 | 4.5 | 10.3 | 28.4 |
| National defence | 0.0 | 2.6 | 0.2 | 1.2 | 1.4 | 7.2 | 161.3 | 2.7 | 176.6 |
| Health care | 5.9 | 0.0 | 0.4 | 0.4 | 16.8 | 0.4 | 39.6 | 7.7 | 71.2 |
| Education | 0.0 | 0.0 | 3.0 | 0.5 | 1.5 | 0.7 | 54.2 | 3.1 | 63.0 |
| Public order and security | 0.0 | 0.0 | 0.1 | 3.7 | 7.6 | 0.6 | 11.7 | 11.6 | 35.3 |
| Leisure time, culture, religion | 0.0 | 0.0 | 0.2 | 0.1 | 0.2 | 0.6 | 8.4 | 1.2 | 10.7 |
| General government services | 0.0 | 0.1 | 0.7 | 2.3 | 0.1 | 0.3 | 50.4 | 17.9 | 71.8 |

| | Investment property | Land | Buildings and facilities | Information and communication equipment | Plant and equipment | Other property, plant and equipment | Unfinished construction and prepayments | Intangible assets | Total |
|---|---|---|---|---|---|---|---|---|---|
| Environmental protection | 0.0 | 0.0 | 0.0 | 0.0 | 1.5 | 0.0 | 1.1 | 0.5 | 3.1 |
| Social protection | 0.0 | 0.0 | 0.0 | 0.7 | 0.0 | 0.0 | 4.9 | 8.8 | 14.4 |
| **2022 (see Note a10, a11, a12)** | **0.2** | **17.4** | **8.7** | **31.2** | **68.9** | **10.4** | **1,096.0** | **101.5** | **1,334.3** |
| Transport | 0.1 | 8.0 | 0.9 | 0.7 | 22.1 | 1.2 | 248.8 | 6.4 | 288.2 |
| Fuel and energy | 0.0 | 6.7 | 0.7 | 2.1 | 4.4 | 0.2 | 497.2 | 14.2 | 525.5 |
| Agriculture and forestry | 0.0 | 1.5 | 0.0 | 0.2 | 0.6 | 0.4 | 22.6 | 5.0 | 30.3 |
| Other | 0.0 | 0.0 | 2.5 | 5.4 | 13.4 | 0.5 | 12.4 | 15.1 | 49.3 |
| National defence | 0.0 | 1.0 | 0.6 | 1.0 | 1.4 | 5.1 | 110.5 | 1.4 | 121.0 |
| Health care | 0.1 | 0.0 | 0.6 | 0.6 | 17.2 | 0.4 | 63.2 | 4.7 | 86.8 |
| Education | 0.0 | 0.2 | 2.0 | 0.9 | 0.9 | 0.5 | 59.3 | 2.6 | 66.4 |
| Public order and security | 0.0 | 0.0 | 0.5 | 5.5 | 6.9 | 1.4 | 12.9 | 17.1 | 44.3 |
| Leisure time, culture, religion | 0.0 | 0.0 | 0.2 | 0.1 | 0.3 | 0.5 | 10.6 | 1.1 | 12.8 |
| General government services | 0.0 | 0.0 | 0.0 | 12.4 | 0.4 | 0.2 | 49.5 | 22.3 | 84.8 |
| Environmental protection | 0.0 | 0.0 | 0.6 | 0.1 | 1.2 | 0.0 | 1.5 | 0.2 | 3.6 |
| Social protection | 0.0 | 0.0 | 0.1 | 2.2 | 0.1 | 0.0 | 7.5 | 11.4 | 21.3 |

In the cash flow statement, the acquisition of non-current assets has been adjusted by a decrease in the outstanding debt to suppliers for non-current assets by 4.6 million euros (48.5 million euros in 2021).

**B. Unconsolidated report**

| | Land | Buildings and facilities | Information and communication equipment | Plant and equipment | Other property, plant and equipment | Unfinished construction and prepayments | Intangible assets | Total |
|---|---|---|---|---|---|---|---|---|
| **In 2021 (see Notes a10, a11, a12)** | **6.5** | **3.9** | **10.5** | **14.9** | **9.2** | **446.6** | **58.3** | **549.9** |
| Transport | 3.9 | 0.4 | 0.1 | 2.2 | 0.2 | 199.0 | 2.9 | 208.7 |
| Agriculture and forestry | 0.0 | 0.0 | 0.0 | 0.6 | 0.0 | 0.2 | 2.7 | 3.5 |
| Other | 0.0 | 0.2 | 2.0 | 0.6 | 0.0 | 0.5 | 7.4 | 10.7 |
| National defence | 2.6 | 0.2 | 1.2 | 1.4 | 7.2 | 161.4 | 2.7 | 176.7 |
| Education | 0.0 | 3.0 | 0.5 | 1.4 | 0.7 | 54.4 | 3.1 | 63.1 |
| Public order and security | 0.0 | 0.1 | 3.7 | 7.6 | 0.6 | 11.9 | 11.7 | 35.6 |
| General government services | 0.0 | 0.0 | 2.2 | 0.1 | 0.2 | 17.8 | 17.2 | 37.5 |
| Leisure time, culture, religion | 0.0 | 0.0 | 0.1 | 0.0 | 0.3 | 0.5 | 0.3 | 1.2 |
| Environmental protection | 0.0 | 0.0 | 0.0 | 0.5 | 0.0 | 0.9 | 0.5 | 1.9 |
| Social protection | 0.0 | 0.0 | 0.7 | 0.0 | 0.0 | 0.0 | 8.8 | 9.5 |
| Health care | 0.0 | 0.0 | 0.0 | 0.5 | 0.0 | 0.0 | 1.0 | 1.5 |
| **In 2022 (see Notes a10, a11, a12)** | **9.1** | **4.1** | **26.7** | **13.2** | **7.3** | **362.1** | **69.3** | **491.8** |
| Transport | 7.9 | 0.4 | 0.3 | 0.8 | 0.2 | 167.9 | 1.0 | 178.5 |
| Agriculture and forestry | 0.0 | 0.0 | 0.1 | 0.2 | 0.0 | 0.0 | 4.1 | 4.4 |
| Other | 0.0 | 0.2 | 4.5 | 0.6 | 0.0 | 1.2 | 9.9 | 16.4 |
| National defence | 1.0 | 0.6 | 0.7 | 1.4 | 5.0 | 110.9 | 1.4 | 121.0 |
| Education | 0.2 | 2.0 | 0.9 | 0.8 | 0.4 | 59.4 | 2.6 | 66.3 |
| Public order and security | 0.0 | 0.5 | 5.5 | 6.9 | 1.4 | 13.0 | 17.1 | 44.4 |
| General government services | 0.0 | 0.0 | 12.4 | 0.4 | 0.2 | 6.9 | 21.5 | 41.4 |

| | Land | Buildings and facilities | Information and communication equipment | Plant and equipment | Other property, plant and equipment | Unfinished construction and prepayments | Intangible assets | Total |
|---|---|---|---|---|---|---|---|---|
| Leisure time, culture, religion | 0.0 | 0.1 | 0.0 | 0.0 | 0.1 | 0.5 | 0.0 | 0.7 |
| Environmental protection | 0.0 | 0.3 | 0.0 | 1.0 | 0.0 | 1.4 | 0.2 | 2.9 |
| Social protection | 0.0 | 0.0 | 2.2 | 0.1 | 0.0 | 0.2 | 11.4 | 13.9 |
| Health care | 0.0 | 0.0 | 0.1 | 1.0 | 0.0 | 0.7 | 0.1 | 1.9 |

In the cash flow statement, the acquisition of non-current assets has been adjusted by an increase in the outstanding debt to suppliers for non-current assets by 12.3 million euros (7.3 million euros in 2021).

**Note a14**

**Biological assets**

In millions of euros

**A. Classification of biological assets by types**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| State forest to be sold | 2,223.5 | 962.6 | 781.2 | 30.6 | 18.1 | 13.2 |
| Animals | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 | 0.1 |
| Plants and plantations | 8.8 | 9.0 | 8.8 | 0.0 | 0.0 | 0.0 |
| **Total biological assets** | **2,232.5** | **971.8** | **790.2** | **30.8** | **18.3** | **13.3** |
| Incl. current assets | 62.2 | 41.1 | 31.3 | 3.1 | 1.8 | 1.3 |
| Incl. non-current assets | 2,170.3 | 930.7 | 758.9 | 27.7 | 16.5 | 12.0 |

**B. Movements in biological assets**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **971.8** | **790.2** | **18.3** | **13.3** |
| **Total movements** | **1,260.7** | **181.6** | **12.5** | **5.0** |
| Sold at selling price | -0.1 | -0.1 | -0.1 | 0.0 |
| Profit from the sale of biological assets | 0.1 | 0.1 | 0.1 | 0.1 |
| Result from change in fair value | 1,260.7 | 181.6 | 12.5 | 4.9 |
| **Balance at the end of the period** | **2,232.5** | **971.8** | **30.8** | **18.3** |

**C. Volumes of state forest and indicators used to determine the fair value of state forest to be sold**

| | Unit of measure | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|---|
| | | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Volume indicators** | | | | | | | |
| Area under managed forests | thousand ha | 726.7 | 730.3 | 734.2 | 7.4 | 7.4 | 7.4 |
| Estimated volume of managed forests | thousand solid $m^3$ | 112,049.6 | 113,389.8 | 114,494.1 | 1,561.9 | 1,561.9 | 1,561.9 |
| Area under non-managed forests | thousand ha | 336.1 | 326.4 | 315.2 | 1.0 | 1.0 | 1.0 |

| | Unit of measure | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|---|
| | | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Estimated volume of non-managed forests | thousand solid m³ | 71,413.9 | 68,633.6 | 65,432.0 | 238.7 | 238.7 | 238.7 |
| **Forecasts used to estimate forest value** | | | | | | | |
| Average estimated annual timber sales volume | thousand m³ | 3,709.0 | 3,534.0 | 3,838.0 | 29.0 | 29.0 | 32.0 |
| Average estimated timber sales price | EUR/m³ | 51.8 | 54.8 | 48.0 | 75.0 | 65.0 | 52.0 |
| Average estimated forest management revenue per year | million euros | 192.1 | 193.7 | 184.4 | 2.2 | 1.9 | 1.7 |
| Average estimated annual expenditure on forest management | million euros | -140.9 | -162.8 | -162.7 | -1.5 | -1.3 | -1.3 |
| Discount rate | % | 4.60 | 5.21 | 4.77 | 4.60 | 5.21 | 4.77 |
| Inflation rate in the forestry sector | % | 2.30 | 2.00 | 2.00 | 2.30 | 2.00 | 2.00 |

The primary manager of the state forest is the State Forest Management Centre (RMK). The unconsolidated report recognises the forest managed by Luua Forestry School.

RMK plans cutting in such a way that mature forest is cut as evenly as possible. Actual sales volume decreased by 2.3 percent in 2022 compared to the previous year (down 4.7 percent in 2021).

In 2022, RMK received a total of 6.1 thousand hectares of additional forest land from the state (7.3 thousand hectares in 2021). The increase in the area of non-managed forest land and the decrease in the area of managed forest land was due to placing new forest areas under strict protection.

**Comparison of inputs used in assessing the value of RMK's forest with actual indicators**

| | Unit of measure | Actual 2022 | Estimate average of 2023–2032 | Actual 2021 | Estimate average of 2022–2031 |
|---|---|---|---|---|---|
| Annual sales volume | thousand m³ | 3,748.4 | 3,680.0 | 3,835.1 | 3,505.0 |
| Forest management income per unit | EUR/m³ | 80.2 | 51.6 | 57.3 | 54.7 |
| Forest management expenditure per unit | EUR/m³ | 45.9 | 37.9 | 38.6 | 46.1 |
| Inflation rate in the forestry sector | % | 50.0 | 2.3 | 21.2 | 2.0 |

The growth in the estimated revenue of forest management is based on the increase in the price of wood varieties. Demand for timber continues to grow and its availability is decreasing.

**Timber sales volume and average price at RMK**

| | 2022 | | 2021 | |
|---|---|---|---|---|
| | EUR/m³ | Volume (thousand m³) | EUR/ m³ | Volume (thousand m³) |
| Sale of cutting right | 21.0 | 13.9 | 13.7 | 14.1 |
| Sale of timber | 82.8 | 3,442.0 | 59.2 | 3,540.9 |
| Sale of slash | 23.7 | 1.0 | 13.5 | 3.3 |
| Sale of wood chips | 48.8 | 291.6 | 31.9 | 276.8 |

**Forest land area by principal tree species at RMK**

In hectares

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Non-managed forest | Managed forest | Total area | Non-managed forest | Managed forest | Total area |
| Pine | 161,101 | 268,895 | **429,996** | 155,699 | 271,971 | **427,670** |
| Spruce | 50,675 | 169,512 | **220,187** | 49,483 | 168,541 | **218,024** |
| Birch | 88,847 | 222,145 | **310,992** | 87,473 | 224,139 | **311,612** |
| Aspen | 16,312 | 27,834 | **44,146** | 15,187 | 27,425 | **42,612** |
| Black alder | 10,491 | 13,833 | **24,324** | 10,057 | 13,605 | **23,662** |
| Grey alder | 4,198 | 15,250 | **19,448** | 4,196 | 15,161 | **19,357** |
| Others | 3,476 | 1,852 | **5,328** | 3,376 | 2,016 | **5,392** |
| **Total** | **335,100** | **719,321** | **1,054,421** | **325,471** | **722,858** | **1,048,329** |

**Forest stock by principal tree species at RMK**

In thousands of $m^3$

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Non-managed forest | Managed forest | Total | Non-managed forest | Managed forest | Total |
| Pine | 34,783.1 | 49,953.5 | **84,736.6** | 33,398.8 | 50,364.5 | **83,763.2** |
| Spruce | 11,143.5 | 22,496.7 | **33,640.2** | 10,738.5 | 22,904.8 | **33,643.3** |
| Birch | 16,897.7 | 30,228.3 | **47,126.0** | 16,435.6 | 30,473.8 | **46,909.5** |
| Aspen | 4,598.9 | 3,497.5 | **8,096.4** | 4,216.1 | 3,697.4 | **7,913.5** |
| Black alder | 2,404.3 | 2,161.8 | **4,566.1** | 2,285.4 | 2,167.8 | **4,453.1** |
| Grey alder | 693.0 | 1,912.7 | **2,605.7** | 688.8 | 1,956.1 | **2,644.9** |
| Others | 654.6 | 237.1 | **891.7** | 631.8 | 263.5 | **895.3** |
| **Total** | **71,175.2** | **110,487.6** | **181,662.8** | **68,394.9** | **111,827.9** | **180,222.8** |

**D. Mineral reserves**

| Mineral resource | Unit of measure | 31.12.2022 | | | 31.12.2021 | | |
|---|---|---|---|---|---|---|---|
| | | Active consumption supplies | Rate of fee for exploitation per unit (in euros) | Stock price (in millions of euros) | Active consumption supplies | Rate of fee for exploitation per unit (in euros) | Stock price (in millions of euros) |
| Oil shale | million t | 909.4 | 3.8 | 3,437.4 | 923.4 | 3.2 | 2,936.5 |
| Limestone for cement | million $m^3$ | 56.4 | 2.9 | 162.5 | 56.6 | 2.8 | 155.6 |
| Technological limestone | million $m^3$ | 23.7 | 2.9 | 68.2 | 23.8 | 2.8 | 65.3 |
| Construction limestone | million $m^3$ | 108.3 | 2.7 | 293.5 | 111.0 | 2.6 | 286.4 |
| Filler limestone | million $m^3$ | 10.9 | 1.1 | 11.8 | 10.0 | 1.0 | 10.4 |
| High-quality construction limestone | million $m^3$ | 23.3 | 2.7 | 74.6 | 24.9 | 2.6 | 64.3 |
| Low- quality construction limestone | million $m^3$ | 22.6 | 1.7 | 39.0 | 19.0 | 1.6 | 31.1 |
| Technological dolomite | million $m^3$ | 12.2 | 3.3 | 40.7 | 12.3 | 3.3 | 41.0 |
| Finishing dolomite | million $m^3$ | 2.5 | 3.1 | 7.7 | 2.5 | 3.0 | 7.4 |
| Construction dolomite | million $m^3$ | 59.1 | 2.7 | 160.1 | 61.0 | 2.6 | 157.3 |
| High- quality construction dolomite | million $m^3$ | 3.4 | 2.7 | 9.2 | 3.0 | 2.6 | 7.7 |
| Low- quality construction dolomite | million $m^3$ | 12.0 | 1.7 | 20.1 | 11.2 | 1.6 | 17.6 |
| Filler dolomite | million $m^3$ | 12.3 | 1.1 | 13.5 | 11.0 | 1.0 | 11.4 |

| Mineral resource | Unit of measure | 31.12.2022 | | | 31.12.2021 | | |
|---|---|---|---|---|---|---|---|
| | | Active consumption supplies | Rate of fee for exploitation per unit (in euros) | Stock price (in millions of euros) | Active consumption supplies | Rate of fee for exploitation per unit (in euros) | Stock price (in millions of euros) |
| Crystalline building block | million m³ | 1,245.1 | 2.2 | 2,751.6 | 1,245.1 | 2.1 | 2,614.6 |
| Cement clay | million m³ | 14.9 | 0.9 | 13.6 | 14.9 | 0.9 | 13.0 |
| Ceramic clay | million m³ | 9.9 | 0.9 | 8.4 | 10.0 | 0.8 | 8.1 |
| Ceramite clay | million m³ | 8.0 | 1.0 | 7.8 | 8.1 | 0.9 | 7.4 |
| Building gravel | million m³ | 64.8 | 2.7 | 175.7 | 67.0 | 2.6 | 174.2 |
| Filler gravel | million m³ | 3.9 | 0.6 | 2.3 | 3.6 | 0.6 | 2.1 |
| Technological sand | million m³ | 6.0 | 2.5 | 14.8 | 6.0 | 2.3 | 14.0 |
| Building sand | million m³ | 281.1 | 1.8 | 494.7 | 276.1 | 1.7 | 463.9 |
| Filler sand | million m³ | 151.4 | 0.5 | 75.7 | 126.7 | 0.5 | 59.5 |
| Sea mud (for treatment purposes) | thousand t | 1,407.8 | 0.0 | 0.0 | 1,407.9 | 0.0 | 0.0 |
| Lake mud (for fertilisation) | thousand t | 170.9 | 0.0 | 0.0 | 170.9 | 0.0 | 0.0 |
| Lake mud (for treatment purposes) | thousand t | 1,127.9 | 0.0 | 0.0 | 1,128.6 | 0.0 | 0.0 |
| Lake lime | thousand m³ | 731.0 | 0.0 | 0.0 | 731.0 | 0.0 | 0.0 |
| Poorly decomposed peat | million t | 49.9 | 1.8 | 90.3 | 48.8 | 1.7 | 82.9 |
| Well decomposed peat | million t | 163.2 | 2.2 | 359.0 | 157.1 | 1.3 | 199.5 |
| **Total** | | | | **8,332.1** | | | **7,431.5** |

Mineral reserves are not recognised in the balance sheet. Exploitation fee is accounted for as revenue in the state report in the year of extraction of the respective resources. In 2022, the state received income from the (consolidated) fees for mining rights of minerals in the amount of 44.6 million euros (24.7 million euros in 2021). The state (unconsolidated) earned 93.6 million euros of income (38.5 million euros in 2021).

**Note a15**

**Other liabilities and received prepayments**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Other short-term liabilities and received prepayments** | **2,639.3** | **2,019.3** | **1,669.4** | **3,087.7** | **2,865.2** | **2,518.7** |
| Interest payable | 25.7 | 6.3 | 6.8 | 18.2 | 0.7 | 0.8 |
| Other accruals | 24.4 | 43.9 | 50.3 | 0.3 | 2.3 | 0.1 |
| Grant commitments (see Note a19 B) | 266.3 | 241.7 | 204.7 | 353.9 | 299.0 | 226.8 |
| Guarantee fees | 41.0 | 40.3 | 29.1 | 32.8 | 32.0 | 22.0 |
| Customer deposits | 1,235.1 | 988.7 | 835.6 | 1,741.3 | 1,903.3 | 1,890.8 |
| Grant repayment liabilities | 12.8 | 10.5 | 8.6 | 12.8 | 10.5 | 8.6 |
| Liabilities on sale of assets | 54.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other liabilities | 24.3 | 19.4 | 123.2 | 17.7 | 14.7 | 18.8 |
| Prepayments received for grants (see Note a19 A) | 917.2 | 602.0 | 399.8 | 906.8 | 595.6 | 349.3 |
| Other deferred income | 38.5 | 66.5 | 11.3 | 3.9 | 7.1 | 1.5 |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Long-term liabilities and prepayments received** | **460.8** | **304.0** | **233.7** | **132.5** | **145.1** | **141.4** |
| Trade payables | 6.4 | 5.2 | 0.9 | 1.4 | 0.0 | 0.0 |
| Grant commitments (see Note a19 B) | 0.0 | 0.0 | 0.0 | 54.6 | 58.6 | 62.3 |
| Interest payable (see Note a17 B) | 30.3 | 39.5 | 34.5 | 30.3 | 39.5 | 34.5 |
| Other liabilities | 29.0 | 29.8 | 39.2 | 0.6 | 0.6 | 0.5 |
| Prepayments received for grants (see Note a19 A) | 44.8 | 44.3 | 40.6 | 44.8 | 44.3 | 40.6 |
| Other deferred income | 350.3 | 185.2 | 118.5 | 0.8 | 2.1 | 3.5 |
| **Total other liabilities and received prepayments** | **3,100.1** | **2,323.3** | **1,903.1** | **3,220.2** | **3,010.3** | **2,660.1** |

Customer deposits include deposits from other public sector entities that are part of the cash pooling system of the State Treasury in the bank (see Note a2). In addition, the money of the customers is deposited in accounts opened with the e-State Treasury system.

Liabilities related to the sale of assets include liabilities of AS Operail that were sold together with assets classified as held for sale at the beginning of 2023 (see Note a7). Of this amount, 51.8 million euros were reclassified from finance lease liabilities and 2.2 million euros from trade payables.

Among other long-term deferred income, the consolidated report recognises the congestion income of AS Elering in the amount of 341.3 million euros (176.6 million euros at the end of 2021). Under Article 16 of EU Regulation No 714/2009, congestion income may be used for building new cross-border transmission capacity. Congestion income is amortised over the useful life of the asset purchased (1.3 million euros in 2022; 1.1 million euros in 2021).

**Note a16**

**Provisions**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | Short-term | Long-term | Total | Short-term | Long-term | Total |
| **Balance as of 31.12.2020** | **264.8** | **3,289.3** | **3,554.1** | **129.3** | **3,215.6** | **3,344.9** |
| Pension provisions | 83.8 | 3,108.1 | **3,191.9** | 83.4 | 3,106.7 | **3,190.1** |
| Environmental protection provisions | 79.0 | 18.0 | **97.0** | 0.0 | 0.4 | **0.4** |
| Provisions for guarantee liabilities and loan securities | 11.8 | 32.6 | **44.4** | 0.9 | 0.0 | **0.9** |
| Provisions for legal costs | 2.8 | 4.0 | **6.8** | 1.5 | 0.0 | **1.5** |
| State liability of the II pillar funded pension | 42.9 | 104.6 | **147.5** | 42.9 | 104.6 | **147.5** |
| Other provisions | 44.5 | 22.0 | **66.5** | 0.6 | 3.9 | **4.5** |
| **Movements in 2021** | **82.3** | **498.5** | **580.8** | **-12.2** | **485.8** | **473.6** |
| Formation | 222.4 | 522.2 | **744.6** | -0.1 | 508.3 | **508.2** |
| Expenditure | -287.8 | 0.0 | **-287.8** | -159.0 | 0.0 | **-159.0** |
| Decrease related to loss of controlling influence | -0.5 | -0.7 | **-1.2** | 0.0 | 0.0 | **0.0** |
| Interest expense | 0.0 | 125.2 | **125.2** | 0.0 | 124.4 | **124.4** |
| Reclassification | 148.2 | -148.2 | **0.0** | 146.9 | -146.9 | **0.0** |
| **Balance as of 31.12.2021** | **347.1** | **3,787.8** | **4,134.9** | **117.1** | **3,701.4** | **3,818.5** |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | Short-term | Long-term | Total | Short-term | Long-term | Total |
| Pension provisions | 91.9 | 3,447.6 | **3,539.5** | 91,5 | 3,446.7 | **3,538.2** |
| Environmental protection provisions | 195.4 | 17.5 | **212.9** | 0.0 | 0.3 | **0.3** |
| Provisions for guarantee liabilities and loan securities | 12.6 | 46.0 | **58.6** | 0.7 | 0.0 | **0.7** |
| Provisions for legal costs | 2.5 | 4.0 | **6.5** | 0.8 | 0.0 | **0.8** |
| State liability of the II pillar mandatory funded pension | 22.9 | 250.3 | **273.2** | 22.9 | 250.3 | **273.2** |
| Other provisions | 21.8 | 22.4 | **44.2** | 1.2 | 4.1 | **5.3** |
| **Movements in 2022** | **508.5** | **323.3** | **831.8** | **270.6** | **324.3** | **594.9** |
| Formation | 531.0 | 536.4 | **1,067.4** | 35.0 | 537.1 | **572.1** |
| Expenditure | -374.5 | 0.0 | **-374.5** | -115.2 | 0.0 | **-115.2** |
| Interest expense | 0.0 | 138.9 | **138.9** | 0.0 | 138.0 | **138.0** |
| Reclassification | 352.0 | -352.0 | **0.0** | 350.8 | -350.8 | **0.0** |
| **Balance as of 31.12.2022** | **855.6** | **4,111.1** | **4,966.7** | **387.7** | **4,025.7** | **4,413.4** |
| Pension provisions | 110.3 | 4,014.3 | **4,124.6** | 110.1 | 4,013.8 | **4,123.9** |
| Environmental protection provisions | 431.3 | 13.9 | **445.2** | 0.0 | 0.3 | **0.3** |
| Provisions for guarantee liabilities and loan securities | 12.2 | 44.1 | **56.3** | 0.7 | 0.0 | **0.7** |
| Provisions for legal costs | 3.4 | 4.0 | **7.4** | 2.5 | 0.0 | **2.5** |
| State liability of the II pillar mandatory funded pension | 270.5 | 0.0 | **270.5** | 270.5 | 0.0 | **270.5** |
| Provision for Pillar II payments received from insurance funds | 0.7 | 9.2 | **9.9** | 0.7 | 9.2 | **9.9** |
| Other provisions | 27.2 | 25.6 | **52.8** | 3.2 | 2.4 | **5.6** |

**A. Public sector pension provisions**

| | At the beginning of the year | Disbursements | Interest expense | Formation | At the end of the year |
|---|---|---|---|---|---|
| **Total in 2021** | **3,190.1** | **-79.0** | **124.3** | **302.8** | **3,538.2** |
| Pensions for police and border guard officials and rescue officers | 1,359.4 | -30.9 | 53.0 | 135.0 | 1,516.5 |
| Pensions for servicemen | 971.1 | -15.7 | 38.2 | 95.3 | 1,088.9 |
| Pensions for judges, prosecutors and the Chancellor of Justice | 252.2 | -5.1 | 9.7 | 16.6 | 273.4 |
| Parliamentary pensions | 100.5 | -7.2 | 4.0 | 7.8 | 105.1 |
| Special pensions for other officials | 13.6 | -0.7 | 0.4 | 2.2 | 15.5 |
| Pension increases for pensioners under the Civil Service Act | 265.7 | -19.4 | 9.9 | 44.5 | 300.7 |
| Pension increases for employees under the Civil Service Act | 227.6 | 0.0 | 9.1 | 1.4 | 238.1 |
| **Total in 2022** | **3,538.2** | **-89.1** | **137.9** | **536.9** | **4,123.9** |
| Pensions for police and border guard officials and rescue officers | 1,516.5 | -35.5 | 59.3 | 429.9 | 1,970.2 |
| Pensions for servicemen | 1,088.9 | -18.3 | 42.8 | 39.3 | 1,152.7 |
| Pensions for judges, prosecutors and the Chancellor of Justice | 273.4 | -5.7 | 10.6 | 15.4 | 293.7 |
| Parliamentary pensions | 105.1 | -7.4 | 3.9 | -0.1 | 101.5 |
| Special pensions for other officials | 15.5 | -0.9 | 0.6 | 1.3 | 16.5 |
| Pension increases for pensioners under the Civil Service Act | 300.7 | -21.3 | 11.2 | 42.9 | 333.5 |
| Pension increases for employees under the Civil Service Act | 238.1 | 0.0 | 9.5 | 8.2 | 255.8 |

As of the end of 2022, public sector pension provisions were calculated for a total of 30,167 people (30,319 people at the end of 2021). 14,456 of them had retired (13,700 pensioners at the end of 2021).

As actuarial gains and losses on pension provisions may fluctuate significantly year by year, they are accounted for directly as a change in net assets. In 2022, a total loss of 394.7 million euros was recorded (loss of 167.6 million euros in 2021). Actuarial loss is affected by the change in long-term forecast of the average salary and the pension index. Amounts accrued for the current period are recognised under labour costs (see Note a23).

The provision for special pensions for police and border guards increased significantly as a result of the amendment to the Police and Border Guard Act. Previously, special pensions were calculated on the basis of the remuneration for the service rank and the scaled salary of the position. In 2022, the basis for calculation was changed to the basic wages of the position.

In the consolidated report, pension provisions in the Eesti Energia Group are added.

### B. Environmental protection provisions

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **212.9** | **97.0** | **0.3** | **0.4** |
| Formation | 426.0 | 191.4 | 0.0 | -0.1 |
| Interest expense | 0.5 | 0.5 | 0.0 | 0.0 |
| Expenditure | -194.2 | -76.0 | 0.0 | 0.0 |
| **Balance at the end of the period** | **445.2** | **212.9** | **0.3** | **0.3** |

Environmental protection provisions have been formed mainly in the Eesti Energia group, including for closing the ash fields of mining areas and power plants and for purchasing emission allowances. Of the expenditure, 193.2 million euros are emission allowances expensed to cover greenhouse gas emissions (74.9 million euros in 2021, see Note a12).

### C. Provisions for guarantee liabilities and loan securities

The state (unconsolidated) recognises provisions to cover insurance losses for AS KredEx Krediidikindlustus.

Provisions for guarantee liabilities and loan securities in Ettevõtluse ja Innovatsiooni SA, Maaelu Edendamise SA and AS KredEx Krediidikindlustus are reflected in the consolidated report. In 2022, the corresponding provisions were reduced by 0.7 million euros (increased 15.3 million euros in 2021) and disbursements were made for 1.6 million euros (0.5 million euros in 2021).

### D. State liability of the II pillar funded pension

The state has undertaken to add an additional 4% to the 2% mandatory funded pension payments withheld from salaries, i.e. to increase the pension contributions by the double amount. The state suspended these payments from July 2020 until August 2021 and paid its contribution to those leaving the mandatory funded pension funds of the II pillar when they became eligible to leave, and to the rest in January 2023. During 2022, 24.6 million euros were paid out to those leaving the mandatory funded pension funds of the II pillar. At the end of 2022, the provision was increased by the average rate of return on pension funds as of 31 December 2022, amounting to 21.9 million euros (recorded as an expense for social benefits).

For the period January – August 2021, a provision of 205.5 million euros was set up due to the suspension of payments, of which 79.7 million euros were paid.

### E. Provision for Pillar II payments received from insurance funds

Under the Funded Pensions Act, insurers can opt out of making Pillar II pension contributions by transferring the amount of the guaranteed values agreed in the insurance contracts to the state. At the beginning of 2022, two insurance companies transferred 998 contracts to the state. The state received 10.5 million euros and made payments in the amount of 0.6 million euros.

### F. Other provisions

AS Eesti Loto forms short-term provisions for the payment of the prize fund. In 2022, 43.8 million euros were paid out from provisions (40.9 million euros in 2021), new provisions were formed in the amount of 44.0 million euros (43.9 million euros in 2021), and the balance at the end of the year was 5.5 million euros (5.3 million euros by the end of 2021).

Other provisions also include various provisions, including for the payment of rewards, compensation for health damage, dismantling of assets, covering unfavourable contracts, reorganising operations.

**Note a17**

**Loan liabilities**

In millions of euros

**A. Consolidated report**

**A1. Division of loan liabilities according to the remaining term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,824.4** | **2,735.2** | **137.6** | **5,697.2** |
| Up to 1 year | 437.8 | 431.7 | 10.4 | **879.9** |
| 1 to 5 years | 749.2 | 761.6 | 81.1 | **1,591.9** |
| More than 5 years | 1,637.4 | 1,541.9 | 46.1 | **3,225.4** |
| **Balance as of 31.12.2021** | **2,786.6** | **2,960.0** | **151.0** | **5,897.6** |
| Up to 1 year | 408.1 | 288.7 | 21.8 | **718.6** |
| 1 to 5 years | 783.4 | 896.4 | 71.7 | **-1,751.5** |
| More than 5 years | 1,595.1 | 1,774.9 | 57.5 | **3,427.5** |
| **Balance as of 31.12.2022** | **3,736.2** | **3,097.0** | **116.1** | **6,949.3** |
| Up to 1 year | 1,075.2 | 239.4 | 13.2 | **1,327.8** |
| 1 to 5 years | 133.9 | 1,052.3 | 58.4 | **1,244.6** |
| More than 5 years | 2,527.1 | 1,805.3 | 44.5 | **4,376.9** |

**A2. Movements in loan liabilities and interest expense**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,824.4** | **2,735.2** | **137.6** | **5,697.2** |
| Received | 401.8 | 555.2 | 27.1 | **984.1** |
| Reclassification | 0.0 | -2.5 | 0.0 | **-2.5** |
| Revaluations | 0.0 | -0.1 | 0.2 | **0.1** |
| Repayment | -450.2 | -328.2 | -12.8 | **-791.2** |
| Depreciation of loan cost | 10.6 | 0.3 | 0.0 | **10.9** |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.1 | -1.1 | **-1.0** |
| **Balance as of 31.12.2021** | **2,786.6** | **2,960.0** | **151.0** | **5,897.6** |
| Received | 1,496.1 | 555.2 | 13.6 | **2,064.9** |
| Reclassification | 0.0 | -27.5 | -26.5 | **-54.0** |
| Revaluations | 0.2 | -0.1 | 0.1 | **0.2** |
| Repayment | -559.8 | -390.7 | -22.5 | **-973.0** |
| Depreciation of loan cost | 13.1 | 0.1 | 0.4 | **13.6** |
| **Balance as of 31.12.2022** | **3,736.2** | **3,097.0** | **116.1** | **6,949.3** |
| | | | | |
| **Interest cost in 2021** | **-27.8** | **-9.4** | **-6.0** | **-43.2** |
| Average interest rate (%) | 1.0% | 0.3% | 4.2% | 0.7% |
| **Interest cost in 2022** | **-38.7** | **-17.8** | **-6.2** | **-62.7** |
| Average interest rate (%) | 1.2% | 0.6% | 4.6% | 1.0% |

Subsidiaries that prepare their financial statements in accordance with the International Financial Reporting Standards capitalised interest expense on loans into the cost of non-current assets in the amount of 7.3 million euros (3.2 million euros in 2021) (see Note a27).

Assets acquired under finance lease are recognised in Note a11. Guarantees issued as loan securities and pledged assets are recognised in Note a30. The carrying amount of non-current assets pledged to cover loans is recognised in Notes a10 and a11.

In 2022, AS Operail's loan liabilities totalling 51.8 million euros, which were sold together with assets classified as held for sale at the beginning of 2023 (see Notes a7, a15) and early terminated finance leases of 2.2 million euros (see Note a11A), will be reclassified.

**B. Unconsolidated report**

**B1. Division of loan liabilities according to the remaining term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **1,906.9** | **1,726.3** | **0.6** | **3,633.8** |
| Up to 1 year | 425.2 | 72.4 | 0.1 | **497.7** |
| 1 to 5 years | 0.0 | 308.7 | 0.3 | **309.0** |
| More than 5 years | 1,481.7 | 1,345.2 | 0.2 | **2,827.1** |
| **Balance as of 31.12.2021** | **1,884.0** | **2,032.0** | **0.5** | **3,916.5** |
| Up to 1 year | 400.4 | 72.4 | 0.1 | **472.9** |
| 1 to 5 years | 0.0 | 364.5 | 0.2 | **364.7** |
| More than 5 years | 1,483.6 | 1,595.1 | 0.2 | **3,078.9** |
| **Balance as of 31.12.2022** | **2,831.5** | **2,128.7** | **0.1** | **4,960.3** |
| Up to 1 year | 349.7 | 68.0 | 0.1 | **417.8** |
| 1 to 5 years | 0.0 | 498.2 | 0.0 | **498.2** |
| More than 5 years | 2,481.8 | 1,562.5 | 0.0 | **4,044.3** |

**B2. Movements in loan liabilities and interest expense**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **1,906.9** | **1,726.3** | **0.6** | **3,633.8** |
| Received | 401.8 | 379.2 | 0.0 | **781.0** |
| Depreciation of loan cost | 1.3 | 0.1 | 0.0 | **1.4** |
| Repayment | -425.9 | -73.7 | -0.1 | **-499.7** |
| **Balance as of 31.12.2021** | **1,884.1** | **2,031.9** | **0.5** | **3,916.5** |
| Received | 1,496.1 | 170.0 | 0.0 | **1,666.1** |
| Depreciation of loan cost | 3.4 | 0.1 | 0.0 | **3.5** |
| Reclassification | 0.0 | 0.0 | -0.3 | **-0.3** |
| Repayment | -552.1 | -73.3 | -0.1 | **-625.5** |
| **Balance as of 31.12.2022** | **2,831.5** | **2,128.7** | **0.1** | **4,960.3** |
| | | | | |
| **Interest expense in 2021 (see Note a27)** | **-2.2** | **0.8** | **0.0** | **-1.4** |
| Average interest rate | 0.1% | 0.0% | 0.0% | 0.0% |
| **Interest expense in 2022 (see Note a27)** | **-12.1** | **-7.2** | **0.0** | -19.3 |
| Average interest rate | 0.5% | 0.3% | 0.0% | 0.4% |

Among loans, the amount of debt liabilities corresponding to the share of the Estonian state arising from the EFSF framework agreement is 451.9 million euros (the same at the end of 2021), which were lent on the basis of the European Union support programme. Long-term interest payables in the amount of 30.3 million euros (39.5 million euros at the end of 2021) are added to loan liabilities (see Note a15). These liabilities are also recognised as receivables from countries who have borrowed from the EFSF (see Note a6).

Four issues are recorded as government bonds at the end of 2022:

| Settlement date | Balance | Weighted average yield | Maturity date |
|---|---|---|---|
| 31.03.2022 | 250.0 | -0.225% | 30.03.2023 |
| 16.06.2022 | 100.0 | 0.900% | 15.06.2023 |
| 10.06.2020 | 1,500.0 | 0.235% | 10.06.2030 |
| 12.10.2022 | 1,000.0 | 4.023% | 12.10.2032 |
| **Total** | **2,850.0** | | |

As of 31 December 2021, two issues were outstanding:

| Settlement date | Balance | Weighted average yield | Maturity date |
|---|---|---|---|
| 06.04.2021 | 400.0 | -0.441% | 31.03.2022 |
| 10.06.2020 | 1.500,0 | 0.235% | 10.06.2030 |
| **Total** | **1,900.0** | | |

Borrowings are in addition to the liability under the EFSF Framework Agreement at the end of 2022:

| Contract date | Lender | Loan balance | Interest rate | Maturity |
|---|---|---|---|---|
| 17.12.2014 | EIB | 77.1 | 3 months' Euribor + 0.204% | 16.07.2025 |
| 17.12.2014 | EIB | 20.0 | 3 months' Euribor + 0.273% | 20.07.2030 |
| 02.12.2016 | EIB | 87.9 | 3 months' Euribor + 0.204% | 16.07.2025 |
| 02.12.2016 | EIB | 195.0 | 3 months' Euribor + 0.273% | 20.07.2030 |
| 29.04.2021 | EIB | 120.0 | 3 months' Euribor + 0.066% | 30.01.2032 |
| 26.03.2020 | NIB | 747.7 | 6 months' Euribor + 0.32% | 30.03.2035 |
| 09.06.2020 | CEB | 200.0 | 3 months' Euribor + 0.23% | 05.05.2036 |
| 11.05.2021 | European Commission's Unemployment Risk Mitigation Facility | 140.0 | 0% | 04.07.2029 |
| 11.05.2021 | European Commission's Unemployment Risk Mitigation Facility | 90.0 | 0.75% | 04.01.2047 |
| | **Total** | **1,677.7** | | |

Borrowings as of 31 December 2021, in addition to the EFSF Framework Agreement commitment:

| Contract date | Lender | Loan balance | Interest rate | Maturity |
|---|---|---|---|---|
| 25.09.2009 | EIB | 17.4 | 6 months' Euribor + 0.344% | 10.12.2022 |
| 17.12.2014 | EIB | 102.9 | 3 months' Euribor + 0.204% | 16.07.2025 |
| 17.12.2014 | EIB | 20.0 | 3 months' Euribor + 0.273% | 20.07.2030 |
| 02.12.2016 | EIB | 117.1 | 3 months' Euribor + 0.204% | 16.07.2025 |
| 02.12.2016 | EIB | 195.0 | 3 months' Euribor + 0.273% | 20.07.2030 |
| 26.03.2020 | NIB | 748.7 | 6 months' Euribor + 0.32% | 30.03.2035 |
| 09.06.2020 | CEB | 150.0 | 3 months' Euribor + 0.23% | 05.05.2036 |
| 11.05.2021 | European Commission's Unemployment Risk Mitigation Facility | 140.0 | 0% | 04.07.2029 |
| 11.05.2021 | European Commission's Unemployment Risk Mitigation Facility | 90.0 | 0.75% | 04.01.2047 |
| | **Total** | **1,581.1** | | |

**Note a18**

**Derivatives**

In millions of euros

| | Consolidated | | | | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | | 31.12.2021 | | 31.12.2020 | |
| | Assets | Liabilities | Assets | Liabilities | Assets | Liabilities |
| Forward and futures contracts for the purchase and sale of electricity – cash flow hedging instruments | 399.8 | 0.1 | 193.7 | 2.5 | 7.3 | 0.3 |
| Forward and futures contracts for the purchase and sale of electricity – trading derivatives through the statement of financial performance | 206.4 | 0.8 | 87.3 | 4.3 | 11.8 | 2.0 |

| | Consolidated | | | | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | | 31.12.2021 | | 31.12.2020 | |
| | Assets | Liabili-ties | Assets | Liabilities | Assets | Liabilities |
| Swap and futures contracts for the purchase and sale of gas – cash flow hedging instruments | 6.0 | 0.0 | 12.5 | 0.0 | 2.4 | 0.0 |
| Swap and futures contracts for the purchase and sale of gas – trading derivatives through the state-ment of financial performance | 58.6 | 60.3 | 52.3 | 51.9 | 8.4 | 8.2 |
| Swap and forward contracts for the sale of liquid fuel – cash flow hedging instruments | 3.5 | 89.8 | 1.8 | 76.2 | 25.4 | 1.5 |
| Swap and forward contracts for the sale of liquid fuel – trading derivatives through the statement of financial performance | 0.4 | 0.4 | 0.0 | 18.8 | 0.1 | 2.2 |
| Universal electricity service | 0.0 | 37.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other derivatives | 7.0 | 12.7 | 0.2 | 0.2 | 0.0 | 0.5 |
| Interest rate swap contracts – cash flow hedging instruments | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.1 |
| Interest rate swap contracts – through the state-ment of financial performance | 14.6 | 0.0 | 0.0 | 0.0 | 0.1 | 0.0 |
| **Total derivatives** | **696.3** | **201.2** | **347.8** | **153.9** | **55.5** | **14.8** |
| Incl. short-term part | 199.8 | 169.1 | 160.2 | 116.1 | 31.8 | 10.4 |
| Incl. long-term part | 496.5 | 32.1 | 187.6 | 37.8 | 23.7 | 4.4 |

**Hedging reserve**

| | 2022 | 2021 |
|---|---|---|
| **Hedging reserve at the beginning of the period** | **211.5** | **34.1** |
| Change in market value of derivatives | 670.3 | 231.6 |
| Recognised in operating income | 155.0 | -3.1 |
| Recognised in operating expenses | -335.1 | -51.1 |
| Recorded as an increase in interest expense | 0.1 | 0.0 |
| Minority interest in hedging instruments | -3.4 | 0.0 |
| **Hedging reserve at the end of the period** | **698.4** | **211.5** |

**Note a19**

**Grants received and awarded**

In millions of euros

**A. Grants received**

**A1. Consolidated report**

| | Balance as of 31.12.2020 | | Calculated revenue in 2021 | Balance as of 31.12.2021 | | Calculated revenue in 2022 | Balance as of 31.12.2021 | |
|---|---|---|---|---|---|---|---|---|
| | Receivables (Note a5) | Prepayments received (Note a15) | | Receivables (Note a5) | Prepayments received (Note a15) | | Receivables (Note a5) | Prepayments received (Note a15) |
| From European Union funds | 476.6 | 374.9 | 960.3 | 522.4 | 570.6 | 1,091.6 | 709.4 | 879.1 |
| Other foreign aid | 5.2 | 18.2 | 38.0 | 13.0 | 23.4 | 37.7 | 12.4 | 32.7 |
| Domestic grants | 1.1 | 47.3 | 35.9 | 0.6 | 52.3 | 46.7 | 1.0 | 50.2 |
| **Total grants received** | **482.9** | **440.4** | **1,034.2** | **536.0** | **646.3** | **1,176.0** | **722.8** | **962.0** |

Foreign grants received from European Union funds was recovered in the amount of 9.9 million euros (13.1 million euros in 2021), of which intermediated foreign aid was 8.0 million euros (11.9 million euros in 2021) (reflected as a decrease in revenue).

**A1.1. Income from grants received by area of activity**

| | 2022 | | | | 2021 | | | |
|---|---|---|---|---|---|---|---|---|
| | For operating expenses | Intermediated for operating expenses | For acquisition of non-current assets | For intermediated acquisition of non-current assets | For operating expenses | Intermediated for operating expenses | For acquisition of non-current assets | For intermediated acquisition of non-current assets |
| Agriculture | 15.2 | 260.6 | 1.2 | 50.2 | 14.8 | 250.8 | 15.3 | 33.9 |
| Transport | 3.0 | 0.0 | 98.8 | 14.9 | 5.2 | 2.1 | 66.5 | 12.2 |
| Housing | 0.0 | 0.0 | 0.2 | 54.7 | 0.0 | 0.0 | 0.0 | 51.0 |
| Other | 39.4 | 29.0 | 113.8 | 51.0 | 10.2 | 27.8 | 55.6 | 39.0 |
| Environmental protection | 10.5 | 1.7 | 2.0 | 22.3 | 5.5 | 0.7 | 0.7 | 60.0 |
| Education | 30.0 | 52.1 | 49.9 | 29.9 | 27.9 | 49.2 | 48.5 | 21.3 |
| Health care | 27.2 | 0.9 | 34.8 | 12.2 | 44.3 | 9.3 | 17.4 | 15.0 |
| Social protection | 29.7 | 22.1 | 5.7 | 4.4 | 26.0 | 19.0 | 4.9 | 3.4 |
| General government services | 25.9 | 5.0 | 27.6 | 9.8 | 22.4 | 5.2 | 18.6 | 6.3 |
| National defence | 4.9 | 0.3 | 4.9 | 0.0 | 3.3 | 0.0 | 10.2 | 0.0 |
| Leisure time, culture, religion | 9.8 | 2.1 | 0.6 | 0.2 | 15.2 | 2.2 | 0.3 | 0.1 |
| Public order and security | 6.3 | 0.3 | 10.9 | 0.0 | 4.8 | 0.1 | 8.0 | 0.0 |
| **Total income from grants received** | **201.9** | **374.1** | **350.4** | **249.6** | **179.6** | **366.4** | **246.0** | **242.2** |

Intermediated grants in the amount of 623.7 million euros (a total of 608.6 million euros in 2021) reflect grants received from European Union funds and other foreign aid and income from emission allowance trading which the state did not use for its operating expenses or for the acquisition of non-current assets but passed on to beneficiaries outside the state (also recorded as grants awarded, see section B).
Grants received for the acquisition of non-current assets and intermediation of the acquisition of non-current assets are recognised as cash flows from investment activities. The cash flow statement also takes into account the increase in government grants received for the acquisition of non-current assets by 193.8 million euros (increase of 16.2 million euros in 2021) and the increase in prepayments received by 58.4 million euros (decrease of 4.9 million euros in 2021). Government grants received for the acquisition of non-current assets are also reduced by non-monetary government grants (see Note a11).

**A2. Unconsolidated report**

| | Balance as of 31.12.2020 | | Calculated revenue in 2021 | Balance as of 31.12.2021 | | Calculated revenue in 2022 | Balance as of 31.12.2022 | |
|---|---|---|---|---|---|---|---|---|
| | Receivables (Note a5) | Prepayments received (Note a15) | | Receivables (Note a5) | Prepayments received (Note a15) | | Receivables (Note a5) | Prepayments received (Note a15) |
| From European Union funds | 475.5 | 327.0 | 926.1 | 522.3 | 566.6 | 1,030.9 | 709.1 | 871.9 |
| Other foreign aid | 3.2 | 15.0 | 37.0 | 6.6 | 20.7 | 35.9 | 12.2 | 28.9 |
| Domestic grants | 1.9 | 47.9 | 20.9 | 0.3 | 52.6 | 19.1 | 1.0 | 50.8 |
| **Total grants received** | **480.6** | **389.9** | **984.0** | **529.2** | **639.9** | **1,085.9** | **722.3** | **951.6** |

**A2.1. Income from grants received by area of activity**

| | 2022 | | | | 2021 | | | |
|---|---|---|---|---|---|---|---|---|
| | For operating expenses | Intermediated for operating expenses | For acquisition of non-current assets | For intermediated acquisition of non-current assets | For operating expenses | Intermediated for operating expenses | For acquisition of non-current assets | For intermediated acquisition of non-current assets |
| Agriculture | 13.9 | 261.9 | 1.1 | 50.2 | 13.5 | 252.0 | 14.7 | 34.5 |
| Transport | 1.5 | 0.9 | 47.8 | 71.7 | 1.2 | 4.4 | 36.5 | 43.3 |
| Housing | 0.0 | 0.0 | 0.0 | 54.9 | 0.0 | 0.0 | 0.0 | 51.0 |
| Other | 9.6 | 34.4 | 23.3 | 76.5 | 5.8 | 30.7 | 8.4 | 52.6 |
| Environmental protection | 8.5 | 4.6 | 0.3 | 24.0 | 4.8 | 2.5 | 0.1 | 60.6 |
| Education | 24.8 | 56.8 | 50.1 | 29.9 | 17.6 | 57.8 | 48.6 | 21.2 |
| Health care | 20.9 | 1.4 | 1.8 | 45.0 | 39.2 | 9.4 | 0.3 | 31.6 |
| General government services | 21.4 | 8.1 | 27.0 | 10.5 | 17.7 | 9.1 | 17.9 | 7.0 |
| Social protection | 29.6 | 22.2 | 0.8 | 9.3 | 26.1 | 19.0 | 0.3 | 8.0 |
| National defence | 4.2 | 0.5 | 4.9 | 0.0 | 3.2 | 0.0 | 10.2 | 0.0 |
| Leisure time, culture, religion | 6.1 | 3.4 | 0.1 | 0.2 | 6.4 | 3.6 | 0.1 | 0.0 |
| Public order and security | 6.4 | 0.3 | 10.9 | 0.0 | 5.0 | 0.1 | 8.0 | 0.0 |
| **Total income from grants received** | **146.9** | **394.5** | **172.3** | **372.2** | **140.5** | **388.6** | **145.1** | **309.8** |

Intermediated grants in the amount of 766.7 million euros (a total of 698.4 million euros in 2021) reflect grants received from European Union funds and other foreign aid and income from emission allowance trading which the state did not use for its operating expenses or for the acquisition of non-current assets but passed on to beneficiaries outside the state (also recorded as grants awarded, see section B).
Grants received for the acquisition of non-current assets and intermediation of the acquisition of non-current assets are recognised as cash flows from investment activities. The cash flow statement also takes into account the increase in government grants received for the acquisition of non-current assets by 200.2 million euros (increase of 12.7 million euros in 2021) and the increase in prepayments received by 57.0 million euros (decrease of 4.1 million euros in 2021). Government grants received for the acquisition of non-current assets are also reduced by non-monetary government grants (see Note a11).

**B. Grants awarded**

**B1. Consolidated report**

| | Balance as of 31.12.2020 | | Calculated expenditure 2021 | Balance as of 31.12.2021 | | Calculated expenditure 2022 | Balance as of 31.12.2022 | |
|---|---|---|---|---|---|---|---|---|
| | Prepayments (Note a5) | Liabilities (Note a15) | | Prepayments (Note a5) | Liabilities (Note a15) | | Prepayments (Note a5) | Liabilities (Note a15) |
| From European Union funds | 27.8 | 140.5 | -586.6 | 30.4 | 141.0 | -593.3 | 15.4 | 144.6 |
| Other foreign aid | 4.3 | 0.9 | -22.0 | 2.9 | 2.9 | -30.4 | 17.6 | 3.1 |
| Domestic grants | 129.8 | 63.3 | -6,078.0 | 122.8 | 97.8 | -6,039.1 | 109.6 | 118.6 |
| **Total grants awarded** | **161.9** | **204.7** | **-6,686.6** | **156.1** | **241.7** | **-6,662.8** | **142.6** | **266.3** |

**B1.1. Grants awarded by activities**

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Social benefits | For operating expenses | For acquisition of non-current assets | Social benefits | For operating expenses | For acquisition of non-current assets |
| Social protection | -3,125.4 | -828.3 | -7.3 | -3,118.9 | -744.0 | -7.8 |
| Education | -25.6 | -878.1 | -33.5 | -25.4 | -793.4 | -30.5 |
| Agriculture | -0.2 | -300.9 | -59.2 | -0.2 | -353.0 | -40.5 |
| Transport | 0.0 | -113.9 | -30.6 | 0.0 | -101.6 | -34.2 |
| Housing | 0.0 | -0.3 | -64.7 | 0.0 | -0.1 | -52.3 |
| Other | 0.0 | -122.4 | -51.8 | 0.0 | -114.3 | -69.4 |
| General government services | 0.0 | -438.2 | -55.5 | -0.1 | -484.0 | -100.1 |
| Environmental protection | 0.0 | -14.0 | -31.6 | 0.0 | -10.8 | -70.8 |
| Leisure time, culture, religion | -2.5 | -148.8 | -41.0 | -3.8 | -165.3 | -23.7 |
| National defence | -12.1 | -51.8 | -6.3 | -11.5 | -52.2 | -3.8 |
| Health care | -0.3 | -194.8 | -12.7 | -0.2 | -249.7 | -15.2 |
| Public order and security | 0.0 | -9.7 | -1.3 | 0.0 | -9.5 | -0.3 |
| **Total expenditure of grants awarded** | **-3,166.1** | **-3,101.2** | **-395.5** | **-3,160.1** | **-3,077.9** | **-448.6** |

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note a11). In addition, an increase of 6.4 million euros in government grants for the acquisition of non-current assets (increase of 3.7 million euros in 2021) and a decrease of 34.0 million euros in prepayments (decrease of 35.9 million euros in 2021) have been taken into account.

**B2. Unconsolidated report**

| | Balance as of 31.12.2020 | | Calculated expenditure 2021 | Balance as of 31.12.2021 | | Calculated expenditure 2022 | Balance as of 31.12.2022 | |
|---|---|---|---|---|---|---|---|---|
| | Prepayments (Note a5) | Liabilities (Note a15) | | Prepayments (Note a5) | Liabilities (Note a15) | | Prepayments (Note a5) | Liabilities (Note a15) |
| From European Union funds | 11.2 | 159.0 | -677.9 | 36.4 | 162.9 | -735.6 | 29.0 | 192.2 |
| Other foreign aid | 4.7 | 1.8 | -20.4 | 1.7 | 3.1 | -30.9 | 15.3 | 3.5 |
| Domestic grants | 214.5 | 128.3 | -6,351.1 | 146.7 | 191.6 | -6,368.4 | 153.6 | 212.8 |
| **Total grants awarded** | **230.4** | **289.1** | **-7,049.4** | **184.8** | **357.6** | **-7,134.9** | **197.9** | **408.5** |

**B2.1. Expenditure of grants awarded by activities**

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Social benefits | For operating expenses | For acquisition of non-current assets | Social benefits | For operating expenses | For acquisition of non-current assets |
| Social protection | -3,125.2 | -828.9 | -13.0 | -3,118.9 | -744.5 | -13.0 |
| Education | -25.5 | -898.5 | -33.5 | -25.3 | -817.9 | -30.4 |
| Agriculture | 0.0 | -299.0 | -59.3 | 0.0 | -351.8 | -41.1 |
| Transport | 0.0 | -195.0 | -107.1 | 0.0 | -173.5 | -94.0 |
| Housing | 0.0 | -0.5 | -65.6 | 0.0 | -2.5 | -64.5 |
| Other | 0.0 | -231.3 | -91.6 | 0.0 | -165.7 | -74.9 |
| General government services | -0.1 | -445.9 | -62.4 | -0.1 | -490.6 | -106.1 |
| Leisure time, culture, religion | -2.1 | -222.2 | -45.9 | -3.7 | -238.5 | -29.7 |
| Environmental protection | 0.0 | -23.9 | -27.6 | 0.0 | -31.0 | -62.7 |

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Social benefits | For operating expenses | For acquisition of non-current assets | Social benefits | For operating expenses | For acquisition of non-current assets |
| Health care | -0.3 | -195.5 | -48.9 | -0.1 | -250.0 | -33.3 |
| National defence | -12.1 | -56.4 | -6.4 | -11.5 | -56.7 | -7.3 |
| Public order and security | 0.0 | -10.0 | -1.2 | 0.0 | -9.8 | -0.3 |
| **Total expenditure of grants awarded** | **-3,165.3** | **-3,407.1** | **-562.5** | **-3,159.6** | **-3,332.5** | **-557.3** |

Grants awarded for the acquisition of non-current assets are recognised under cash flows from investment activities. In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note a11). In addition, an increase of 42.6 million euros in government grants for the acquisition of non-current assets (decrease of 1.6 million euros in 2021) and a decrease of 1.9 million euros in prepayments (decrease of 89.4 million euros in 2021) have been taken into account.

**B2.2. Social benefits by benefit type**

| | 2022 | 2021 |
|---|---|---|
| Pensions | -2,186.2 | -2,054.4 |
| Support for pensioners living alone | -19.3 | -10.9 |
| Family allowances | -697.5 | -613.0 |
| Social tax and funded pension payments paid by the state in special cases | -94.4 | -123.9 |
| 4% temporarily allocated to II pillar mandatory funded pension funds and the rate of return calculated on them | -21.6 | -205.5 |
| For disabled persons | -62.6 | -67.4 |
| Education allowance | -19.3 | -17.8 |
| Pension provisions for public sector employees (see Notes a16 A, a23) | -45.5 | -44.1 |
| Other support | -18.9 | -22.6 |
| **Total social benefits** | **-3,165.3** | **-3,159.6** |

The state has undertaken to add an additional 4% to the withheld 2% to II pillar mandatory funded pension funds to, i.e. double the amount, from the salaries of employees who have joined the mandatory funded pension scheme and paid to mandatory funded pension funds through the Tax and Customs Board. According to the Social Tax Act, 4% payments are made from social tax and are planned in the state budget and recognised in the state financial statements as the expenditure of pass-through taxes. During the period from July 2020 to August 2021, the state suspended 4% payments to the funds and paid them retroactively at the time of final payments to those leaving the mandatory funded pension scheme, and to the rest in January 2023. In 2021, a separate allocation of 205.5 million euros was made from the state budget for the payment of the suspended part and no social tax resources were used for this purpose. At the end of 2022, the suspended 4 percent of the funded pension funds was supplemented by a return of 21.6 million euros, which was also paid out to the funded pension funds in January 2023 (see also Note a16 D).

**B.2.3. Grants provided for operating costs and acquisition of non-current assets by recipient**

| | 2022 | | 2021 | |
|---|---|---|---|---|
| | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets |
| To local governments | -717.4 | -132.2 | -636.5 | -176.2 |
| To the Health Insurance Fund | -407.5 | -0.4 | -434.2 | 0.0 |
| To the Unemployment Insurance Fund | -525.4 | 0.0 | -568.8 | 0.0 |
| To public universities | -282.2 | -10.4 | -257.7 | -18.5 |
| To other legal persons in public law | -108.4 | -30.4 | -102.3 | -5.5 |
| To other entities included in the general government | -370.9 | -155.6 | -417.1 | -100.9 |
| To other public sector entities not included in the general government | -115.3 | -62.8 | -68.8 | -84.2 |
| To private sector foundations and non-profit organisations | -132.2 | -57.7 | -136.7 | -42.2 |

| | | | | |
|---|---|---|---|---|
| To private sector residents | -407.8 | -111.2 | -341.8 | -129.6 |
| To non-residents | -340.0 | -1.8 | -368.6 | -0.2 |
| **Total** | **-3,407.1** | **-562.5** | **-3,332.5** | **-557.3** |

Of the support awarded to non-residents, payments to the European Union budget totalled 295.4 million euros (321.9 million euros in 2021).

**Note a20**

**Reserves**

In millions of euros

**A. Stabilisation Reserve Fund**

The Stabilisation Reserve Fund is a set of assets formed from state budget funds and other receipts determined on the basis of legislation, which is regulated on the basis of Sections 71–74 of the State Budget Act.

The objective of the Stabilisation Reserve Fund is the reduction of economic risks; the prevention or mitigation of socio-economic crises; the resolution or prevention of an emergency situation, a state of emergency, a state of war or other extraordinary situation or a crisis with material effect, or performance of the obligations provided for in a collective self-defence agreement; the resolution and prevention of a financial crisis that may cause difficulties due to liquidity or solvency for the financial institutions or significant disruptions in the payment and settlement systems.

There were no withdrawals from the Stabilisation Reserve Fund in the year under review or in the comparable period.

| | 2022 | 2021 |
|---|---|---|
| **Balance at the beginning of the period** | **430.1** | **431.9** |
| Financial income from reserve investment | -7.1 | -2.7 |
| Revenue from the profit of the Bank of Estonia (see Note a27) | 0.9 | 0.9 |
| **Balance at the end of the period** | **423.9** | **430.1** |

Clause 71 (2) 2) of the State Budget Act and subsections 38 (7–10) of the Accounting Act regulate the calculation of unconsolidated cash flow surplus of the state and its distribution. The *Riigikogu* may decide to transfer it to the Stabilisation Reserve Fund if the unconsolidated operating result of the state for the financial year is positive and the adjusted unconsolidated cash flow is in surplus.

**Accounting of unconsolidated cash flow surplus/deficit of the state**

| | 2022 | 2021 |
|---|---|---|
| Total cash flows from principal activities | 254.3 | 62.7 |
| Total cash flows from investment activities | -1,373.7 | -270.7 |
| Less cash flows from the investing liquid financial assets and funds of the Stabilisation Reserve Fund | 1,164.5 | -181.7 |
| Repayments of long-term debt obligations, interest paid and other financial expenses | -628.5 | -500.5 |
| **Total** | **-583.4** | **-890.2** |

**B. Ownership reform reserve fund**

The ownership reform reserve fund is formed based on the Use of Privatisation Proceeds Act.

| | 2022 | 2021 |
|---|---|---|
| **Balance at the beginning of the period** | **41.8** | **37.9** |
| Income from privatisation of land | 5.8 | 6.6 |
| Receipts from the Estonian Air bankruptcy estate (see also Note a6) | 5.4 | 0.0 |
| Compensation for expenses related to the organisation of privatisation | -2.6 | -2.7 |
| **Balance at the end of the period** | **50.4** | **41.8** |

**C. Liquidity reserve of the State Treasury**

| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
|---|---|---|---|
| Liquidity reserve (liquid assets) | 2,536.6 | 1,628.8 | 1,725.4 |

| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
|---|---|---|---|
| Demand deposits of customers in the State Treasury (liabilities) | 1,718.1 | 1,895.1 | 1,888.7 |
| **Difference between liquidity reserve and demand deposits** | **818.5** | **-266.3** | **-163.3** |

The State Treasury considers the liquidity reserve to be money on bank accounts, bonds in the trading portfolio and interest receivables calculated on them. The State Treasury keeps the funds of the Stabilisation Reserve Fund separate from the liquidity reserve. The size of the liquidity reserve has been reduced by the size of the ownership reform reserve fund.

**Note a21**

**Goods and services sold**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **State fees (see Note a4)** | **91.3** | **88.8** | **91.7** | **89.1** |
| **Income from economic activities** | **4,255.8** | **3,085.1** | **422.8** | **312.8** |
| Income from sale of electricity | 1,742.7 | 1,020.7 | 0.0 | 0.1 |
| Income from health care | 640.1 | 593.5 | 7.5 | 6.1 |
| Income from transport services | 284.2 | 243.4 | 2.2 | 2.2 |
| Income from agriculture and forestry | 311.4 | 231.0 | 8.5 | 8.3 |
| Income from mining, processing industry and construction | 222.7 | 280.2 | 0.0 | 0.0 |
| Income from communication services | 107.5 | 119.9 | 1.4 | 0.7 |
| Income from heat energy sold | 64.4 | 54.3 | 0.1 | 0.2 |
| Lease and rent | 40.5 | 34.0 | 0.8 | 0.7 |
| Payments for the right of superficies and right of use | 38.0 | 14.2 | 29.5 | 6.0 |
| Sale of emission allowance credits | 334.4 | 248.7 | 334.3 | 248.7 |
| Sale of statistical transfers of renewable energy | 0.0 | 7.6 | 0.0 | 7.6 |
| Fairway dues | 8.2 | 6.8 | 8.2 | 6.8 |
| Income from educational activities | 23.1 | 20.1 | 11.9 | 9.7 |
| Income from cultural, sports and recreational activities | 31.9 | 21.0 | 3.0 | 2.0 |
| Guarantee fees, insurance premiums, contract fees | 11.3 | 12.1 | 0.0 | 0.0 |
| Interest income earned in principal activity on loans issued | 8.8 | 7.2 | 0.0 | 0.0 |
| Other goods and services sold | 386.6 | 170.4 | 15.4 | 13.7 |
| **Total goods and services sold** | **4,347.1** | **3,173.9** | **514.5** | **401.9** |

**Note a22**

**Other income**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Profit/loss from investment property sold (see Note a10) | 4.3 | 0.7 | 0.1 | 0.1 |
| Profit/loss from property, plant and equipment sold (see Note a11) | 54.8 | 37.6 | 52.1 | 31.1 |
| Profit/loss from biological assets sold (see Note a14) | 0.1 | 0.1 | 0.1 | 0.1 |
| Interest income on debt (incl. tax penalties, see Note a4) | 19.2 | 15.9 | 17.3 | 14.5 |
| Fines (see Note a4) | 32.9 | 19.1 | 23.9 | 18.6 |
| Pollution charges (see Note a4) | 23.9 | 22.7 | 41.2 | 36.4 |
| Income from providing natural resources for use (see Note a4) | 54.2 | 34.1 | 110.2 | 54.6 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Universal postal service charges (see Note a4) | 0.1 | 0.1 | 0.8 | 0.9 |
| Compensation awarded by court rulings (see Note a4) | 9.5 | 9.3 | 9.5 | 9.3 |
| Road usage charge (see Note a4) | 21.5 | 21.3 | 21.5 | 21.3 |
| Profit/loss from sale of inventories | 7.3 | 7.1 | 0.2 | 0.2 |
| Profit from revaluation of derivatives | 426.1 | 93.8 | 0.0 | 0.0 |
| Other income | 7.6 | 40.8 | 4.1 | 3.4 |
| **Total other income** | **661.5** | **302.6** | **281.0** | **190.5** |

**Note a23**

**Labour costs**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Wage expenditure** | | | | |
| Persons elected and appointed to a position | -22.4 | -21.2 | -22.4 | -21.2 |
| Officials | -435.5 | -401.5 | -435.5 | -401.5 |
| Members of supervisory boards and management boards | -16.3 | -15.0 | 0.0 | 0.0 |
| Employees | -1,003.6 | -907.1 | -321.6 | -290.4 |
| **Total wages of full-time employees** | **-1,477.8** | **-1,344.8** | **-779.5** | **-713.1** |
| **Wages of temporary and external employees** | -30.4 | -26.4 | -20.4 | -16.3 |
| **Special pensions and pension increases** | -99.6 | -91.2 | -99.6 | -91.2 |
| **Total wage expenditure** | **-1,607.8** | **-1,462.4** | **-899.5** | **-820.6** |
| | | | | |
| **Average number of employees (in full-time equivalents)** | | | | |
| Persons elected and appointed to a position | 356 | 362 | 356 | 362 |
| Officials | 16,044 | 16,581 | 16,044 | 16,581 |
| Members of supervisory boards and management boards | 227 | 229 | 0 | 0 |
| Employees | 40,481 | 39,499 | 13,513 | 13,416 |
| **Total average number of employees** | **57,108** | **56,671** | **29,913** | **30,359** |
| | | | | |
| **Other labour costs** | | | | |
| Fringe benefits | -14.1 | -8.6 | -6.9 | -4.3 |
| Taxes and social security contributions | -504.4 | -456.8 | -271.7 | -247.3 |
| Capitalised production | 32.4 | 23.9 | 4.2 | 3.4 |
| **Total other labour costs** | **-486.1** | **-441.5** | **-274.4** | **-248.2** |
| **Total labour costs** | **-2,093.9** | **-1,903.9** | **-1,173.9** | **-1,068.8** |

Provisions for special pensions and pension increases (see Note a16 A) are recognised as an expense in the labour expense group, except pension increase adjustments paid to retired persons under the Civil Service Act, which are recorded in the social benefits group (see Note a19 B) because it is not possible to distinguish between pension increases earned in the state and in other legal persons in public law.

Actuarial gains and losses arising from the calculation of special pensions and pension increases are recognised directly as changes in net assets and not through the operating result.

Labour costs by areas of activities are presented in Note a28.

**Note a24**

**Management expenses**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Production costs | -1,338.9 | -811.3 | 0.3 | -0.5 |
| Medicines and medical services | -191.8 | -226.0 | -39.5 | -78.3 |
| Cost of managing property, buildings and premises | -185.6 | -150.9 | -181.5 | -161.1 |
| Cost of managing vehicles | -165.0 | -125.3 | -42.4 | -36.7 |
| Costs of managing facilities | -128.5 | -114.1 | -52.5 | -46.0 |
| Defence-related equipment and materials | -165.8 | -95.6 | -165.9 | -95.6 |
| Information and communication technology expenses | -102.6 | -91.1 | -66.5 | -60.4 |
| Administration costs | -90.7 | -78.2 | -50.3 | -45.5 |
| Social services | -142.5 | -102.3 | -175.6 | -133.5 |
| Cost of managing fixtures and fittings | -40.1 | -37.0 | -25.1 | -21.3 |
| Communication, culture and leisure time expenses | -59.9 | -43.0 | -15.9 | -11.2 |
| Travel expenses (except training trips) | -48.3 | -38.1 | -43.1 | -36.0 |
| Change in provisions for security and guarantee losses | -0.1 | -15.8 | 0.0 | 0.0 |
| Research and development | -22.3 | -28.3 | -15.3 | -15.5 |
| Costs of organising teaching materials and trainings | -25.5 | -20.4 | -22.7 | -17.2 |
| Cost of managing work machinery and equipment | -28.8 | -19.5 | -5.2 | -4.4 |
| Other special equipment and materials | -25.7 | -12.7 | -8.5 | -6.7 |
| Foodstuffs and catering services | -21.2 | -19.3 | -12.6 | -12.2 |
| Transport services | -15.2 | -10.4 | -7.3 | -3.4 |
| Employee training expenses (incl. training trips) | -19.7 | -13.3 | -10.3 | -7.7 |
| Special clothing and uniforms | -8.0 | -8.6 | -4.3 | -5.0 |
| Miscellaneous other economic costs | -21.5 | -15.2 | -17.8 | -13.1 |
| **Total management expenses** | **-2,847.7** | **-2,076.4** | **-962.0** | **-811.3** |

Management expenses by areas of activities are presented in Note a28.

**Note a25**

**Depreciation and change in value of non-current assets**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| On investment property (see Note a10) | -2.4 | -2.6 | -0.1 | -0.1 |
| On property, plant and equipment (see Note a11) | -670.3 | -643.8 | -272.0 | -258.3 |
| On intangible assets (see Note a12) | -66.3 | -58.3 | -40.1 | -32.8 |
| **Total depreciation and change in value of non-current assets** | **-739.0** | **-704.7** | **-312.2** | **-291.2** |

Depreciation and change in the value of non-current assets by functions are presented in Note a28.

**Note a26**

**Other expenditure**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Expenditure related to state secret | -143.5 | -108.3 | -143.5 | -108.3 |
| Expenditure on doubtful loan receivables (see Note a6) | 6.4 | 7.4 | 5.5 | 0.2 |
| Expenditure on other doubtful receivables | -9.7 | -0.9 | -1.3 | -1.4 |
| Write-down of inventories | -3.4 | 41.1 | -1.9 | -19.4 |
| Expenditure on emission allowances | -428.7 | -192.0 | 0.0 | 0.0 |
| Loss from revaluation of derivatives | -349.8 | -72.5 | 0.0 | 0.0 |
| Other expenditure | -10.4 | -16.5 | -3.3 | -4.2 |
| **Total other expenditure** | **-939.1** | **-341.7** | **-144.5** | **-133.1** |

**Note a27**

**Financial income and expenditure**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Profit/loss from financial investments** | **30.5** | **1.0** | **331.8** | **365.7** |
| Operating result from foundations (see Note a8) | 0.0 | 0.0 | -10.9 | -1.0 |
| Dividends from subsidiaries (see Note a9) | 0.0 | 0.0 | 189.8 | 109.8 |
| Dividends from associates (see Note a9) | 0.0 | 0.0 | 0.8 | 0.8 |
| Write-downs of holdings of subsidiaries and reversals of write-downs (see Note a9) | 0.0 | 0.0 | 152.1 | 250.6 |
| Operating result from the sale of holdings (see Note a3, a9) | 27.6 | -0.7 | 0.0 | 5.5 |
| Other profit and loss from subsidiaries (see Note a8, a9) | 0.0 | -0.4 | 0.0 | 0.0 |
| Operating result from associates (see Note a9) | 2.9 | 2.1 | 0.0 | 0.0 |
| **Interest expense** | **-198.6** | **-166.2** | **-162.1** | **-126.5** |
| On loan liabilities (see Note a17) | -55.4 | -40.0 | -19.3 | -1.4 |
| On derivatives | 0.0 | -0.1 | 0.0 | 0.0 |
| On discounted liabilities (incl. provisions, see Note a16) | -138.9 | -125.3 | -138.0 | -124.4 |
| On other liabilities | -4.3 | -0.8 | -4.8 | -0.7 |
| **Income from deposits and securities** | **-8.5** | **-1.0** | **1.1** | **-4.4** |
| Interest income from deposits (see Note a2) | 2.5 | -4.3 | 1.0 | -4.8 |
| Profit/loss from bonds (see Note a3) | -12.0 | -3.1 | -10.6 | -3.2 |
| Profit/loss from venture capital funds (see Note a3) | -2.4 | 4.7 | -3.0 | 0.6 |
| Profit/loss from dedicated funds (see Note a5) | 0.0 | 0.0 | 12.9 | 2.5 |
| Other financial income and expenses | 3.4 | 1.7 | 0.8 | 0.5 |
| **Other financial income** | **5.8** | **5.7** | **3.6** | **3.6** |
| Interest income from loans | 4.8 | 5.0 | 2.6 | 2.7 |
| Revenue from the profit of the Bank of Estonia (see Note a20 A) | 0.9 | 0.9 | 0.9 | 0.9 |
| Other financial income | 0.1 | -0.2 | 0.1 | 0.0 |
| **Other financial expenses** | **-0.4** | **-0.5** | **0.0** | **0.0** |
| **Total financial income and expenditure** | **-171.2** | **-161.0** | **174.4** | **238.4** |

**Note a28**

**Expenditure by areas of activity**

In millions of euros

**A. Consolidated report**

| | 2022 | | | | | 2021 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **Labour costs** | **Management expenses** | **Depreciation and change in value** | **Other expenditure** | **Total** | **Labour costs** | **Management expenses** | **Depreciation and change in value** | **Other expenditure** | **Total** |
| General government services | 184.0 | 127.2 | 60.7 | 25.3 | **397.2** | 167.0 | 104.3 | 53.1 | 3.4 | **327.8** |
| National defence | 139.2 | 254.9 | 75.6 | 51.4 | **521.1** | 129.9 | 173.0 | 76.2 | 49.8 | **428.9** |
| Public order and security | 344.0 | 81.8 | 24.0 | 91.7 | **541.5** | 313.6 | 73.9 | 23.5 | 61.2 | **472.2** |
| Economy | 543.0 | 1,788.8 | 484.2 | 826.1 | **3,642.1** | 480.0 | 1,169.5 | 471.1 | 250.6 | **2,371.2** |
| Environmental protection | 43.2 | 26.4 | 6.5 | 0.1 | **76.2** | 39.8 | 20.5 | 6.4 | 0.1 | **66.8** |
| Housing and utilities | 0.6 | 0.7 | 0.2 | 0.1 | **1.6** | 0.0 | 0.0 | 0.0 | 0.0 | **0.0** |
| Health care | 411.7 | 262.4 | 35.1 | 3.9 | **713.1** | 388.3 | 304.7 | 30.5 | 20.3 | **743.8** |
| Leisure time, culture, religion | 76.6 | 94.8 | 19.2 | 0.1 | 190.7 | 71.0 | 87.5 | 15.1 | 0.1 | **173.7** |
| Education | 188.1 | 68.7 | 24.2 | 0.1 | **281.1** | 169.6 | 64.0 | 21.6 | -1.6 | **253.6** |
| Social protection | 163.5 | 142.0 | 9.3 | 139.3 | **454.1** | 144.7 | 79.0 | 7.2 | 124.5 | **355.4** |
| **Total expenditure** | **2,093.9** | **2,847.7** | **739.0** | **1,138.1** | **6,818.7** | **1,903.9** | **2,076.4** | **704.7** | **508.4** | **5,193.4** |

Other expenditure includes other operating expenses, interest expense and other financial expenses.

**B. Unconsolidated report**

| | 2022 | | | | | 2021 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **Labour costs** | **Management expenses** | **Depreciation and change in value** | **Other expenditure** | **Total** | **Labour costs** | **Management expenses** | **Depreciation and change in value** | **Other expenditure** | **Total** |
| General government services | 173.1 | 90.4 | 29.4 | 24.2 | **317.1** | 157.5 | 77.4 | 22.0 | 2.3 | **259.2** |
| National defence | 135.6 | 264.8 | 75.1 | 51.4 | **526.9** | 126.8 | 179.8 | 75.8 | 49.8 | **432.2** |
| Public order and security | 344.0 | 153.1 | 24.1 | 91.6 | **612.8** | 313.6 | 139.7 | 23.5 | 61.2 | **538.0** |
| Economy | 121.8 | 98.2 | 145.9 | -2.0 | **363.9** | 110.0 | 89.3 | 136.3 | 3.9 | **339.5** |
| Environmental protection | 34.3 | 24.2 | 4.4 | 0.0 | **62.9** | 31.5 | 18.4 | 4.5 | 0.1 | **54.5** |
| Health care | 26.0 | 69.2 | 0.9 | 1.9 | **98.0** | 26.6 | 124.1 | 0.8 | 19.4 | **170.9** |
| Leisure time, culture, religion | 17.4 | 19.3 | 3.0 | 0.0 | **39.7** | 15.8 | 15.4 | 3.6 | 0.0 | **34.8** |
| Education | 178.3 | 83.3 | 23.6 | 0.1 | **285.3** | 160.8 | 72.5 | 20.9 | -1.6 | **252.6** |
| Social protection | 143.4 | 159.5 | 5.8 | 139.3 | **448.0** | 126.2 | 94.7 | 3.8 | 124.5 | **349.2** |
| **Total expenditure** | **1,173.9** | **962.0** | **312.2** | **306.5** | **2,754.6** | **1,068.8** | **811.3** | **291.2** | **259.6** | **2,430.9** |

Other expenditure includes other operating expenses and interest expense. The change in public service pension provisions affecting labour costs and interest expense is reflected under social protection expenditure (see Note a23).

**Note a29**

**Transactions with public sector entities and related entities**

In millions of euros

**A. Receivables and liabilities to other public sector entities and related entities**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Assets** | **881.2** | **1,183.2** | **617.3** | **6,318.9** | **6,724.1** | **5,902.4** |
| **Current assets** | **739.1** | **1,060.0** | **498.8** | **798.0** | **1,553.1** | **570.9** |
| Cash and bank accounts | 454.7 | 758.4 | 198.5 | 454.7 | 758.4 | 198.5 |
| Tax, state fee and fine receivables | 105.8 | 98.8 | 93.1 | 172.5 | 172.2 | 137.4 |
| Other claims and prepayments | 178.6 | 202.8 | 207.2 | 170.8 | 622.5 | 235.0 |
| **Non-current assets** | **142.1** | **123.2** | **118.5** | **5,520.9** | **5,171.0** | **5,331.5** |
| Ownership interest in foundations | 0.0 | 0.0 | 0.0 | 430.8 | 441.7 | 442.9 |
| Ownership interest in subsidiaries and affiliated associates | 87.0 | 65.0 | 60.4 | 4,490.0 | 4,169.9 | 3,881.8 |
| Other claims and prepayments | 55.1 | 58.2 | 58.1 | 600.1 | 559.4 | 1,006.8 |
| **Liabilities** | **1,644.9** | **1,413.3** | **1,261.9** | **2,342.1** | **2,495.4** | **2,440.5** |
| **Current liabilities** | **1,599.8** | **1,368.7** | **1,221.0** | **2,242.2** | **2,392.0** | **2,337.1** |
| Prepayments of taxes, state fees and fines received | 17.9 | 19.6 | 15.7 | 34.3 | 35.4 | 27.2 |
| Trade payables | 11.9 | 10.2 | 7.4 | 27.3 | 27.3 | 19.2 |
| Deferred taxes | 352.3 | 328.2 | 306.9 | 352.3 | 328.2 | 306.9 |
| Other liabilities and received pre-payments | 1,217.7 | 1,010.7 | 891.0 | 1,827.6 | 2,000.4 | 1,982.9 |
| Provisions | 0.0 | 0.0 | 0.0 | 0.7 | 0.7 | 0.9 |
| **Non-current liabilities** | **45.1** | **44.6** | **40.9** | **99.9** | **103.4** | **103.4** |
| Other liabilities and received pre-payments | 45.1 | 44.6 | 40.9 | 99.9 | 103.4 | 103.4 |

**B. Income and expenditure from other public sector entities and related entities**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Income from operations** | **1,012.7** | **932.4** | **486.1** | **408.8** |
| Taxes and social security contributions | 233.4 | 221.3 | 365.2 | 324.3 |
| Goods and services sold | 743.9 | 664.9 | 10.6 | 10.0 |
| Grants received | 23.4 | 32.7 | 24.1 | 28.2 |
| Other income | 12.0 | 13.5 | 86.2 | 46.3 |
| **Operating expenses** | **-6,021.7** | **-5,657.3** | **-6,710.5** | **-6,278.0** |
| Grants awarded | -2,406.7 | -2,403.9 | -2,925.6 | -2,876.2 |
| Pass-through taxes, state fees, fines | -3,555.3 | -3,200.0 | -3,555.3 | -3,200.0 |
| Labour costs | -0.2 | -0.1 | -0.3 | -0.1 |
| Management expenses | -59.8 | -54.3 | -230.1 | -203.1 |
| Other operating expenses | 0.3 | 1.0 | 0.8 | 1.4 |
| **Operating result** | **-5,009.0** | **-4,724.9** | **-6,224.4** | **-5,869.2** |
| **Financial income and expenditure** | **2.9** | **0.9** | **343.1** | **366.8** |
| Profit/loss from financial investments | 3.5 | 2.2 | 331.8 | 365.7 |
| Other financial income and expenses | -0.6 | -1.3 | 11.3 | 1.1 |
| **Surplus or deficit for the reporting period** | **-5,006.1** | **-4,724.0** | **-5,881.3** | **-5,502.4** |

The consolidated report includes the transactions of the reported entities with local governments and other legal persons in public law and the entities under their controlling influence, as well as with related entities of all public sector entities (companies and foundations under significant influence).

The unconsolidated report includes the transactions of the reported entities with subsidiaries under controlling influence and foundations, local governments and other legal persons in public law and the entities under their controlling influence as well as with related entities of all public sector entities (companies and foundations under significant influence).

**Note a30**

**Contingent liabilities and assets**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2022** | **31.12.2021** |
| **Contingent liabilities** | **6,677.9** | **6,252.6** | **7,481.5** | **7,227.9** |
| Unpaid ownership interest in international financial institutions (see Note a30 A) | 1,655.1 | 1,647.0 | 1,655.1 | 1,647.0 |
| Balance of student loans issued by banks (see Note a6) | 36.5 | 42.0 | 36.5 | 42.0 |
| Non-current assets pledged as loan security (see Notes a8, a9) | 126.0 | 117.3 | 0.0 | 0.0 |
| Current assets pledged as loan security | 7.9 | 32.5 | 0.0 | 0.0 |
| Contingent liabilities in connection with legal proceedings | 305.9 | 425.0 | 304.0 | 425.8 |
| Guarantees given (see Note a30 B) | 2,070.5 | 2,109.9 | 1,674.6 | 1,695.8 |
| Grant commitments (see Note a30 C) | 569.6 | 548.0 | 1,883.7 | 1,770.2 |
| Continuing operating lease liabilities (see Note a30 D) | 89.3 | 69.1 | 982.7 | 1,090.1 |
| Delivery contracts and investment liabilities (see Note a30 | 1,817.1 | 1,261.8 | 944.9 | 450.6 |
| Right of redemption of assets (see Note A30f) | 0.0 | 0.0 | 0.0 | 106.4 |
| **Contingent claims** | **405.3** | **431.1** | **15.1** | **8.7** |
| Continuing operating lease receivables (see Note a30 D) | 405.3 | 431.1 | 15.1 | 8.7 |

**A. Ownership interest in international financial institutions**

| | EBRD | EIB | NIB | CEB | IBRD | MIGA | ESM | 3SIIF* | Total |
|---|---|---|---|---|---|---|---|---|---|
| **As of 31.12.2021** | | | | | | | | | |
| Bonds | 0.0 | 0.0 | 0.0 | 0.0 | 0.2 | 0.1 | 0.0 | 0.0 | **0.3** |
| Callable shares | 23.8 | 187.8 | 68.9 | 11.3 | 128.6 | 0.9 | 1,153.2 | 12.7 | **1,587.2** |
| Paid-in capital | 0.0 | 0.0 | 0.0 | 0.0 | 3.6 | 0.0 | 55.9 | 0.0 | **59.5** |
| Received from bonus issue | 1.0 | 5.4 | 3.9 | 0.6 | 2.3 | 0.0 | 0.0 | 0.0 | **13.2** |
| **Total** | **24.8** | **193.2** | **72.8** | **11.9** | **134.7** | **1.0** | **1,209.1** | **12.7** | **1,660.2** |
| **As of 31.12.2022** | | | | | | | | | |
| Bonds | 0.0 | 0.0 | 0.0 | 0.0 | 0.2 | 0.1 | 0.0 | 0.0 | **0.3** |
| Callable shares | 23.8 | 187.8 | 68.9 | 11.3 | **141.5** | 0.9 | 1,153.2 | 0.0 | **1,587.4** |
| Paid-in capital | 0.0 | 0.0 | 0.0 | 0.0 | 2.5 | 0.0 | 55.8 | 9.1 | **67.4** |
| Received from bonus issue | 1.0 | 5.4 | 3.9 | 0.6 | 3.2 | 0.0 | 0.0 | 0.0 | **14.1** |
| **Total** | **24.8** | **193.2** | **72.8** | **11.9** | **147.4** | **1.0** | **1,209.0** | **9.1** | **1,669.2** |

*3SIIF: Three Seas Initiative Investment Fund (see Note a3).

The amount paid for holdings is reflected in the balance sheet (see Note a3). The state is required to redeem the bonds and callable capital at the request of an international financial organisation. No interest is calculated on them.

**B. Guarantees given**

| Loan issuer | Loan recipient | Consolidated | | Unconsolidated | |
|---|---|---|---|---|---|
| | | 31.12.2022 | 31.12.2021 | 31.12.2022 | 31.12.2021 |
| EFSF | Euro zone member states in funding difficulties | 1,543.0 | 1,543.0 | 1,543.0 | 1,543.0 |
| The European Commission | Member states to mitigate the risk of unemployment in an emergency situation | 48.7 | 48.7 | 48.7 | 48.7 |
| The European Commission | European Single Resolution Board | 22.0 | 22.0 | 22.0 | 22.0 |
| The European Commission | Ukraine loan guarantee | 7.4 | 0.0 | 7.4 | 0.0 |
| EIB | Project-based investment loans and securities | 1.1 | 0.9 | 1.1 | 0.9 |
| EIB | SA Põhja-Eesti Regionaalhaigla | 52.2 | 52.2 | 52.2 | 52.2 |
| CEB | SA KredEx | 0.0 | 28.8 | 0.0 | 28.8 |
| Banks, leasing companies, foreign companies | Ettevõtluse ja Innovatsiooni SA guarantees for business and housing loans, export guarantees | 306.9 | 310.3 | 0.0 | 0.0 |
| Estonian banks and leasing companies | Rural Development guarantees for rural loans from Maaelu Edendamise SA | 89.0 | 103.8 | 0.0 | 0.0 |
| Other | | 0.2 | 0.2 | 0.2 | 0.2 |
| **Total** | | **2,070.5** | **2,109.9** | **1,674.6** | **1,695.8** |

**C. Grant liabilities**

Agreements with recipients for the intermediation of foreign aid and for domestic grants

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2022 | 31.12.2021 |
| From European Union funds | 477.1 | 432.9 | 1,767.5 | 1,627.2 |
| Other foreign aid | 11.0 | 26.1 | 12.0 | 27.8 |
| Domestic grants | 81.5 | 89.0 | 104.2 | 115.2 |
| **Total** | **569.6** | **548.0** | **1,883.7** | **1,770.2** |

**D. Continuing operating lease liabilities and receivables**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2022 | 31.12.2021 |
| **Lease liabilities** | | | | |
| Up to 1 year | 35.1 | 28.6 | 127.9 | 117.9 |
| 1 to 5 years | 50.7 | 38.9 | 268.9 | 262.5 |
| More than 5 years | 3.5 | 1.6 | 585.9 | 709.7 |
| **Total** | **89.3** | **69.1** | **982.7** | **1,090.1** |
| **Lease claims** | | | | |
| Up to 1 year | 18.8 | 31.8 | 0.9 | 0.5 |
| 1 to 5 years | 50.3 | 58.8 | 3.8 | 1.8 |
| More than 5 years | 336.2 | 340.5 | 10.4 | 6.4 |
| **Total** | **405.3** | **431.1** | **15.1** | **8.7** |

Information on the carrying amount of leased assets is provided in Notes a10 and a11.

### E. Delivery contracts and investment liabilities

Large-scale delivery contracts signed and investment liabilities agreed

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2022 | 31.12.2021 |
| Investment liabilities of Riigi Kinnisvara AS | 140.6 | 77.8 | 0.0 | 0.0 |
| Transport and transport infrastructure liabilities | 418.9 | 376.5 | 224.9 | 212.4 |
| For acquisition of defence-related non-current assets | 699.9 | 222.7 | 699.9 | 222.7 |
| Electricity production and provision liabilities | 531.1 | 566.7 | 0.0 | 0.0 |
| Other delivery contracts | 26.6 | 18.1 | 20.1 | 15.5 |
| **Total delivery contracts and investment liabilities** | **1,817.1** | **1,261.8** | **944.9** | **450.6** |

### F. Right of redemption of assets

The state had the right to buy out one to four ferries owned by a state subsidiary. The deadline for the decision was September 2022. The state did not exercise the right it had acquired. The maximum estimated redemption cost would have been 106.4 million euros.

## Note a31

## Explanations to the implementation of the state budget

The report on the implementation of the state budget includes all state accounting entities included in the annual unconsolidated financial statements of the state together with state agencies under their control (see Note a1 A). The report is prepared on an accrual basis and is comparable to the state's unconsolidated statement of financial performance. The structure and accounting policies of the report correspond to the structure and accounting policies of the 2022 State Budget Act.

The structure of the 2022 state budget was changed compared to the 2021 state budget. In 2021, expenditure and investment in the ministries' areas of government were at the level of the programmes presented in the state budget. In the 2022 state budget, instead of a budget for the total cost of the programmes, a budget for the cost of the activities of each programme was presented. Investments were no longer broken down by programme. Investment projects costing 10.0 million euros or more were presented as separate budget lines, with other investments on a single line. Value added tax expenditure was recorded in the government sections of the budget in the same way as in the consolidated section, i.e. allocated to expenditure, investments and financing operations and added to the total expenditure, investments and financing operations, respectively. In the budget implementation report, revenue from the collection of local taxes has been removed from the volume of budget revenue, and the corresponding revenue transfers to local government units have been removed from the volume of budget expenditure, as they are not included in the state budget.

The 2021 actual benchmark figures have been adjusted to take account of changes in the 2022 budget structure. The 2021 costs are presented at the programme level and not by programme activity, as the distribution of programme activities was changed in 2022 compared to 2021. In 2022, some programmes were added. In this case, there is no 2021 baseline at programme level. Retrospectively, the actual state budget revenue and expenditure for 2021 have been reduced by 5.7 million euros each, due to the removal of local tax revenue and the cost of transferring it.

The report starts with the consolidated part. The data are then broken down by constitutional institutions, the Government of the Republic, the Government Office, and the areas of government of the ministries. In all parts of the report, the budgets and budget implementations of all areas of government are broken down by their economic content into income, expenses, investments (acquisitions of tangible and intangible assets), and financing transactions (transactions with financial assets and liabilities subject to budgeting). Expenditure, investments and financial operations subject to limits, for which there are budgetary restrictions, are shown separately. Total expenditure, investments and financial operations include the following resources which are not considered as restricted resources:

1) estimated resources with the limits set on the basis of a separate legislation or contract, the amounts planned in the state budget may be exceeded (such as pensions);
2) expenditure, investments and financial operations financed from revenue, for which the budgetary limit arises when revenue is received, irrespective of the amounts planned in the state budget;
3) non-monetary depreciation and amortisation of non-current assets;
4) the value added tax cost of expenditure, investments and financing transactions subject to a threshold.

The consolidated part of the report recognises the actual budgetary position separately. In order to account for this, the state budget revenues and expenditures have been adjusted in accordance with the rules of the European Standard of Accounts for calculating the budget position.

After the calculation of the budgetary position, the consolidated part contains items that need to be used for adjusting state budget revenues and expenditures in order to reach the revenues and expenditures recognised in the statement

of financial performance, which were not taken into account in the state budget or were accounted for in the state budget in a different way from the accounting policies.

In the parts of the report (by area of government), the revenues and expenditures included in the statement of financial performance have been included separately from the state budget revenues and expenses are recognised in the section "Adjustments".

The report is presented in thousands of euros. Revenues and cash-generating financing transactions are recorded with a plus sign and expenditures, investments, and financing transactions with cash outflows with a minus sign.

Domestic transactions have been eliminated from the summary, except for the revenue and expenditure from domestic tax which have been eliminated as adjustment in order to calculate the income and expenses recognised in the statement of financial performance. In data by areas of government, intra-area transactions are generally not eliminated because an internal transaction incurs an expenditure for one government agency, which used the state budget limit, and revenue for another agency, which in turn serves as a basis for revenue-dependent expenditure limit. Intermediation of grants and aid within the area of government has been eliminated from revenue and expenditure. Foreign aid mediated to state agencies of other areas of government and their co-financing has also been eliminated from expenditure and co-financing of foreign aid received from state agencies of other areas of government has been eliminated from revenues. Eliminations related to other areas of government have also been included as adjustments because they are not eliminated in the statement of financial performance of the area of government.

The report presents the initial and final budget. The initial budget reflects the State Budget Act 2022 adopted by the *Riigikogu* on 8 December 2021. According to this, the volume of the state budget revenues was 13,132.2 million euros, the volume of expenditures was 13,633.1 million euros, the volume of investments was 724.3 million euros, and the volume of financing transactions was 647.3 million euros.

The final budget includes changes made to the budget during the year, incl. the transfer of the surplus budget from 2021 to the budget for 2022. The final budget carried over from 2021 was 1,199.9 million euros.

### A. Budget carried over from 2021 to 2022

In thousands of euros

| Area of government | Balances carried over by a directive of the Minister of Finance | Balances of economic activities, sale of emission allowances and domestic grants | Balances of foreign aid and co-financing | Total | Incl. changes after the approval of the annual report 2021 |
|---|---|---|---|---|---|
| Government of the Republic | 185,981 | 0 | 0 | 185,981 | 0 |
| The *Riigikogu* | 2,207 | 48 | 0 | 2,256 | 0 |
| President of the Republic | 739 | 0 | 0 | 739 | 0 |
| National Audit Office | 1,008 | 0 | 0 | 1,008 | 0 |
| Chancellor of Justice | 126 | 14 | 0 | 140 | 0 |
| Supreme Court | 366 | 38 | 0 | 404 | 0 |
| Government Office | 2,808 | 0 | 2 | 2,810 | -2,259 |
| Ministry of Education and Research | 41,886 | 12,301 | 63,020 | 117,208 | -1,881 |
| Ministry of Justice | 6,401 | 5,372 | 1 521 | 13,293 | 0 |
| Ministry of Defence | 71,341 | 221 | 2,385 | 73,947 | 0 |
| Ministry of the Environment | 13,543 | 195,527 | 4,872 | 213,942 | 0 |
| Ministry of Culture | 35,419 | 48,411 | 595 | 84,425 | -4,383 |
| Ministry of Economic Affairs and Communications | 132,936 | 72,204 | 3,209 | 208,348 | -18,880 |
| Ministry of Rural Affairs | 8,780 | 3,194 | 887 | 12,861 | 0 |
| Ministry of Finance | 51,782 | 72,172 | 2,670 | 126,624 | 0 |
| Ministry of the Interior | 35,146 | 4,140 | 17,299 | 56,584 | 0 |
| Ministry of Social Affairs | 66,012 | 13,501 | 3,001 | 82,514 | 0 |
| Ministry of Foreign Affairs | 16,593 | 55 | 118 | 16,766 | 0 |
| **Total** | **673,074** | **427,198** | **99,579** | **1,199,851** | **-27,404** |

In the 2021 report, a total of 1,227.3 million euros were proposed for the budget to be carried over to 2022. In 2022, the over-allocated budget of the Ministry of Economic Affairs and Communications was reduced by 18.9 million euros. The budget for the partial compensation of electricity and gas consumers allocated to the Ministry in 2021 from the reserve of the Government of the Republic by Orders No 377 and 461 also included a part allocated to cover value added tax costs, but the 2021 budget implementation report did not increase the value added tax budget by this amount and the corresponding amount was erroneously considered as an unused budget.

The overspent budgets of the Government Office, the Ministry of Education and Research, and the Ministry of Economic Affairs were reduced in line with the decision of the Government of the Republic of 29 September 2022 not to finance some previously planned investment objects.

On 19 May 2022, the *Riigikogu* adopted the Supplementary Budget Act, which was drafted due to the need to strengthen Estonia's security. It increased state budget revenue by 240.9 million euros, expenditure by 569.0 million euros, investment by 21.0 million euros, and financial operations by -288.0 million euros.

On 23 November 2022, the *Riigikogu* adopted the Amendment Act to the State Budget Act 2022, which increased the expenditure budget by 51.3 million euros and decreased the budget for investments in the same amount, redistributing it also between areas of government.

In addition, the funds provided by the directives of the Government of the Republic on the basis of quarterly breakdowns and from the reserve fund of the Government of the Republic and the special-purpose reserve allocated to the Minister of Finance to be used at the latter's discretion and from the ownership reform reserve fund have been redistributed between areas of government in the final budget. The expenditure dependent on the revenue forecast by the State Budget Act will be reimbursed in the final budget and replaced by budget generated by income. The actual budget is generated at the receipt of revenue (grants received), in opening bridge financing for projects financed by foreign aid, or the generation of revenue (revenue from economic activities, revenue from the sale of emission allowances). The formation of the final budget is summarised in the table below.

### B. Formation of the final budget

In thousands of euros

| | Revenue | Expenditure, investments and VAT expense | Financing transactions |
|---|---|---|---|
| **Initial budget** | **13,132,233** | **-14,357,377** | **647,348** |
| Supplementary Budget Act | 240,855 | -589,979 | -288,000 |
| Carried over from previous year (see Note a31 A) | | -1,199,851 | |
| Budgeted grants | | 1,363,342 | 100,000 |
| Grants actually received and bridge financing opened | | -1,171,759 | -124,000 |
| Budgeted co-financing of foreign aid | | 105,907 | |
| Co-financing of foreign aid actually used | | -75,607 | |
| Budgeted revenue from economic activities | | 39,048 | |
| Actual revenue from economic activities | | -56,017 | |
| Budgeted revenue from the sale of emission allowances | | 133,632 | |
| Actual revenue from sale of emission allowances | | -167,393 | |
| Tax revenue actually received for support projects | | -2,217 | |
| Other revenue planned in the budget to cover expenditure | | 1,473 | |
| Actual other revenue based on which expenditure limit was opened | | -6,350 | |
| Budgeted use of ownership reform reserve fund | | 2,000 | |
| Actual allocation from ownership reform reserve fund | | -9,555 | |
| **Final budget** | **13,373,088** | **-15,990,703** | **335,348** |

In the final budget, expenditure, investments and VAT expense increased by 1,633.3 million euros compared to the initial budget.

### C. Comparison of the entries in the statement of financial performance and summary of the report on the implementation of the state budget

In thousands of euros

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| **Entry** | **Implementation of the budget** | **Statement of financial perfor-** | **Difference** | **Implementation of the budget** | **Statement of financial performance** | **Difference** |
| **Revenue** | | | | | | |
| **Taxes and social security contributions** | 11,948,516 | 11,773,024 | -175,492 | 10,787,825 | 10,600,133 | -187,692 |
| **Goods and services sold** | 514,521 | 514,521 | 0 | 401,923 | 401,923 | 0 |

| Entry | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | Implementation of the budget | Statement of financial perfor- | Difference | Implementation of the budget | Statement of financial performance | Difference |
| State fees | 91,722 | | | 89,115 | | |
| Income from economic activities | 422,799 | | | 312,807 | | |
| **Grants received** | 1,048,209 | 1,085,876 | 37,666 | 941,384 | 984,023 | 42,639 |
| **Other income** | 275,692 | 280,986 | 5,294 | 183,825 | 190,398 | 6573 |
| Income from non-current assets and inventories sold | 52,463 | | | 31,486 | | |
| Fines and other fines to the extent of asset | 22,910 | | | 17,654 | | |
| Environmental charges | 152,374 | | | 91,009 | | |
| Other income from operations | 47,944 | | | 43,676 | | |
| **Interest and dividend income** | 209,622 | | -209,622 | 111,777 | | -111,777 |
| **Revenue not included in state budget revenue** | 6,782 | | -6,782 | 119,571 | | -119,571 |
| **Entries in the statement of financial performance entries not recorded as separate entries in the state budget** | | | | | | |
| Operating result from change in fair value of biological assets | | 12,488 | 12,488 | | 4,938 | 4,938 |
| Profit/loss from financial invest- | | 331,756 | 331,756 | | 365,743 | 365,743 |
| Income from deposits and securities | | 1,074 | 1,074 | | -4,449 | -4,449 |
| Other financial income | | 3,617 | 3,617 | | 3,596 | 3,596 |
| **Total revenue** | **14,003,342** | **14,003,342** | 0 | **12,546,305** | **12,546,305** | 0 |
| **Expenditure** | | | | | | |
| **State budget expenditure** | -13,913,756 | | | -12,777,278 | | |
| **Expenditure not included in the state budget expenditure** | -82,833 | | | -275,339 | | |
| **Expenditure in the statement of financial performance** | | | | | | |
| Grants awarded | | -7,134,902 | | | -7,049,443 | |
| Doubtful taxes, state fees, fines | | -34,168 | | | -39,366 | |
| Pass-through taxes, state fees, fines | | -4,072,830 | | | -3,532,927 | |
| Labour costs | | -1,173,931 | | | -1,068,771 | |
| Management expenses | | -961,999 | | | -811,299 | |
| Depreciation and change in value of non-current assets | | -312,243 | | | -291,228 | |
| Other expenditure | | -144,466 | | | -133,113 | |
| Interest expense | | -162,051 | | | -126,471 | |
| **Total expenditure** | **-** | **-** | **0** | **-13,052,617** | **-13,052,617** | **0** |
| **Total operating result** | **6,753** | **6,753** | **0** | **-506,312** | **-506,312** | **0** |

In the budget, tax revenues and pass-through taxes are planned according to the rules for calculating the budgetary position: the position is considered to be tax revenues and transfers from pass-through taxes, which are adjusted for three tax types with a one-month shift in the receipt and transfer of tax revenue, i.e. the receipts and transfers of the first month of the year are excluded and receipts and transfers of the first month of the next year are added. The difference between expenditure on the transfer of cash-basis tax revenue and taxes compared to the expenditure on the transfer of accrual-basis tax revenue and taxes as recognised in the statement of financial performance is recognised as an adjustment of the revenue from taxes and social security contributions and the expenditure on the transfer of taxes and social security contributions, respectively, according to the statement of financial performance.

Domestic tax revenue and expenditure eliminated in the statement of financial performance are not eliminated during the preparation of the budget (see also Revenue and expenditure adjustment according to the statement of financial

performance). Actual tax receipts, the effect of their one-month shift and domestic taxes and a comparison with the statement of financial performance are set out in part D of this Note.

From 2022 onwards, local taxes will not be included in state budget revenue, nor will transfers to local governments be included in state budget expenditure. While local taxes are collected by the Tax and Customs Board and are recorded as tax revenue and deferred tax expenditure in the statement of financial performance, in the state budget outturn account they are presented as an adjustment to the corresponding revenue and expenditure on the basis of the statement of financial performance.

No plans are made in the budget for doubtful taxes, state fees and fines (net revenue is planned, on a cash-basis in case of taxes). As they are recognised as an expense and not as reduction of revenue in the statement of financial performance, they are recognised as an adjustment of the revenue and expenditure in the report on the implementation of the budget.

No non-monetary transactions other than depreciation of non-current assets and write-off of residual value have been planned as state budget revenues and expenditures. Therefore, various revaluations and their reversals, non-monetary grants received and awarded, and foreign exchange gains and losses are also reflected under adjustments made on the basis of the statement of financial performance.

Of financial income, interest and dividend income are planned in the state budget. In the state budget, no non-monetary financial revenue or gains/losses from the sale and revaluation of financial investments and participations are planned.

Expenditure from the formation and revaluation of provisions and adjustments of expenditure have in some cases been charged to the budget as expenditure on the same principle as accounting. However, interest expense arising from the formation of pension provisions and the discounting of provisions has not been budgeted. Instead, the estimated disbursements of pension provisions have been budgeted as expenditure. According to the accounting principles used in budgeting, the implementation of the budget is also presented. If the provisioning was not budgeted, it is recorded in the adjustments section while withdrawing the disbursements of the provisions included in the budget expenditure.

### D. Classification of taxes into state budget revenues, state budget expenditure and adjustments

In thousands of euros

| Tax revenue type | Final budget | Revenue in the statement of financial performance | Tax receipt | Difference between revenue and receipts in the statement of financial performance |
|---|---|---|---|---|
| Income tax | 2,644,054 | 2,929,654 | 2,875,577 | 54,077 |
| Social tax | 3,969,414 | 4,146,163 | 4,114,000 | 32,162 |
| Unemployment insurance premiums | 247,000 | 263,457 | 261,037 | 2,421 |
| Funded pension contributions | 172,512 | 162,382 | 162,393 | -11 |
| Value added tax | 2,996,942 | 3,049,290 | 3,290,364 | -241,074 |
| Excise duties | 1,065,406 | 994,871 | 994,847 | 24 |
| Heavy goods vehicle tax | 4,800 | 5,064 | 5,099 | -35 |
| Customs duty | 56,100 | 84,011 | 84,750 | -738 |
| Land tax | 58,423 | 56,784 | 58,979 | -2,195 |
| Gambling tax | 33,500 | 46,145 | 47,065 | -919 |
| **Total taxes** | **11,248,151** | **11,737,821** | **11,894,111** | **-156,290** |
| **Adjustment by one-month shift in receipts** | | | **54,405** | |
| VAT received in January | | | -317,196 | |
| Excise duty received in January | | | -94,274 | |
| Social tax received in January | | | -357,063 | |
| VAT received in January of next year | | | 335,642 | |
| Excise duty received in January of next year | | | 95,127 | |
| Social tax received in January of next year | | | 392,169 | |
| **Total with adjustments** | **11,248,151** | **11,737,821** | **11,948,516** | **-210,694** |
| **Reversal of domestically eliminated tax revenue and expenditure in the statement of financial performance** | | **264,961** | | |
| VAT expense on operating expenses | | 165,692 | | |
| VAT expense on acquisition of non-current assets | | 97,039 | | |
| VAT expense on financing transactions | | 17 | | |

| Tax revenue type | Final budget | Revenue in the statement of financial performance | Tax receipt | Difference between revenue and receipts in the statement of financial performance |
|---|---|---|---|---|
| Land tax | | 2,124 | | |
| Heavy goods vehicle tax | | 4 | | |
| Excise duties | | 1 | | |
| Customs duty | | 84 | | |
| **Total** | **11,248,151** | **12,002,782** | **11,948,516** | **54,267** |
| **The budget and implementation of tax revenue included in the budget position** | | | | |
| Income tax | 2,644,054 | 2,929,654 | 2,875,577 | 54,077 |
| Social tax | 3,969,414 | 4,146,163 | 4,149,107 | -2,944 |
| Unemployment insurance premiums | 247,000 | 263,457 | 261,037 | 2,421 |
| Funded pension contributions | 172,512 | 162,382 | 162,393 | -11 |
| Value added tax | 2,996,942 | 3,312,038 | 3,308,810 | 3 228 |
| Excise duties | 1,065,406 | 994,872 | 995,700 | -828 |
| Heavy goods vehicle tax | 4,800 | 5,067 | 5,099 | -32 |
| Customs duty | 56,100 | 84,095 | 84,750 | -654 |
| Land tax | 58,423 | 58,908 | 58,979 | -71 |
| Gambling tax | 33,500 | 46,145 | 47,065 | -919 |
| **Total budget and implementation of tax revenue included in the budget position** | **11,248,151** | **12,002,782** | **11,948,516** | **54,267** |

According to the calculation above, 11,948,516 thousand euros were considered tax revenue in state budget revenue and 54,267 thousand euros were considered tax revenue recognised outside the state budget revenue (total 12,002,782 thousand euros). In addition, in the state budget execution report, the revenue from local taxes (Tallinn advertising tax) of 6,329 thousand euros is included as an adjustment of revenue on the basis of the statement of financial performance under the heading "Taxes and social security contributions".

| Type of pass-through tax revenue | Final budget | Expenditure in the statement of financial performance | Transfers for pass-through | Difference between expenditure and transfers of the statement of financial performance |
|---|---|---|---|---|
| Income tax – to local governments | -1,465,879 | -1,537,921 | -1,525,688 | -12,233 |
| Social tax – to the registrar of funded pension | -296,600 | -288,562 | -285,069 | -3,493 |
| Unemployment insurance premium – to the Estonian Unemployment Insurance Fund | -248,623 | -263,457 | -261,093 | -2,364 |
| Funded pension contribution – to the registrar of funded pension | -148,300 | -162,382 | -162,492 | 110 |
| Land tax – to local governments | -58,423 | -58,929 | -59,140 | 212 |
| Social tax – to the Health Insurance Fund | -1,556,769 | -1,633,574 | -1,623,472 | -10,102 |
| Excise duties – to the Cultural Endowment of Estonia | -16,604 | -17,023 | -17,039 | 17 |
| Gambling tax – to the Cultural Endowment of Estonia | -16,013 | -22,057 | -22,401 | 343 |
| Customs duty – to the European Union | -42,075 | -65,043 | -66,187 | 1,144 |
| **Total pass-through taxes** | **-3,849,287** | **-4,048,948** | **-4,022,581** | **-26,367** |
| **Adjustment by one-month shift in receipts** | | | **-11,190** | |
| Health insurance part of social tax received in January | | | 142,320 | |
| Health insurance part of social tax received in January of next year | | | -153,470 | |
| Excise duties received in January | | | 1,297 | |
| Excise duties received in January of next year | | | -1,336 | |

| Type of pass-through tax revenue | Final budget | Expenditure in the statement of financial performance | Transfers for pass-through | Difference between expenditure and transfers of the statement of financial performance |
|---|---|---|---|---|
| **Total adjusted pass-through taxes** | **-3,849,287** | **-4,048,948** | **-4,033,771** | **-15,177** |
| **The budget and implementation of pass-through tax revenue included in the budget position** | | | | |
| Income tax – to local governments | -1,465,879 | -1,537,921 | -1,525,688 | -12,233 |
| Social tax – to the registrar of funded pension | -296,600 | -288,562 | -285,069 | -3,493 |
| Unemployment insurance premium – to the Estonian Unemployment Insurance Fund | -248,623 | -263,457 | -261,093 | -2,364 |
| Funded pension contribution – to the registrar of funded pension | -148,300 | -162,382 | -162,492 | 110 |
| Land tax – to local governments | -58,423 | -58,929 | -59,140 | 212 |
| Social tax – to the Health Insurance Fund | -1,556,769 | -1,633,574 | -1,634,622 | 1,048 |
| Excise duties – to the Cultural Endowment of Estonia | -16,604 | -17,023 | -17,078 | 56 |
| Gambling tax – to the Cultural Endowment of Estonia | -16,013 | -22,057 | -22,401 | 343 |
| Customs duty – to the European Union | -42,075 | -65,043 | -66,187 | 1,144 |
| **Total budget and implementation of pass-through tax revenue included in the budget position** | **-3,849,287** | **-4,048,948** | **-4,033,771** | **-15,177** |

According to the calculation above, 4,033,771 thousand euros were recognised as expenditure of pass-through taxes and 15,177 thousand euros as adjustments outside expenditure of state budget (4,048,948 thousand euros in total) in the report on the implementation of state budget. In addition, the state budget outturn account includes as an adjustment to expenditure on the basis of the statement of financial performance under the heading "Transfer of taxes and social security contributions" a transfer of local tax revenue (Tallinn advertising tax) of 6,334 thousand euros.

### E. Comparison between the acquisition of non-current assets and report on implementation of state budget

In thousands of euros

| Investments in acquisition of non-current assets | 2022 | | 2021 | |
|---|---|---|---|---|
| | Implementation of the budget | Acquisitions in the statement of movement in non-current assets | Implementation of the budget | Acquisitions in the statement of movement in non-current assets |
| Investments in the report on the implementation of the state budget | -630,081 | | -584,734 | |
| Acquisition of property, plant and equipment (see Note a13) | | -422,581 | | -491,625 |
| Acquisition of intangible assets (see Note a13) | | -69,287 | | -58,359 |
| Change in prepayments | | -41,173 | | 55,141 |
| Domestic VAT expense on acquisition of non-current assets | | -97,039 | | -89,891 |
| **Total** | **-630,081** | **-630,081** | **-584,734** | **-584,734** |

The investments recognised in the state budget implementation report are comparable with the data on the unconsolidated acquisition of the state's non-current assets. Prepayments for non-current assets are not considered as investments in the implementation of the state budget. Acquisitions of non-current assets are taken into account in the implementation of the budget upon the acquisition of non-current assets, including construction works in progress in accordance with the instruments of the works performed.

In the sections of the report of areas of government, total labour costs capitalised into the acquisition of non-current assets in the total amount of 4,135 thousand euros (3,443 thousand euros in 2021) have been recognised as labour cost in the state budget expenditure, and labour costs have been reduced and investments increased in adjustments. In the consolidated part of the state budget, labour costs capitalised into the acquisition cost of non-current assets are

recognised as investments, not as labour costs, similarly to other financial statements, although they are planned as labour costs in the budget.

### F. Financing transactions recognised as budget implementation

In thousands of euros

| Type of financing transaction | 2022 | 2021 |
|---|---|---|
| Purchase of bonds | -1,514,944 | -679,229 |
| Sale of bonds | 350,411 | 860,895 |
| Contributions to venture capital funds | -149,000 | 0 |
| Contributions to ownership interest in state companies | -148,000 | -33,000 |
| Received from ownership interest sold | 0 | 19,481 |
| Contributions to ownership interest in international organisations | -5,044 | -4,835 |
| Proceeds from ownership interest in international organisations | 0 | 2,593 |
| Contributions to dedicated funds of state-owned foundations | -25,083 | -26,868 |
| Recoveries from dedicated funds | 479,083 | 30,244 |
| Loans issued | -20,119 | -205 |
| Repayments of loans issued | 16,533 | 15,040 |
| Received from government bonds issued | 1,496,089 | 401,769 |
| Redemption of government bonds | -552,105 | -425,920 |
| Loans received | 170,000 | 379,241 |
| Repayments of loans received | -73,369 | -73,672 |
| Repayments of finance lease liabilities | -97 | -105 |
| Change in deposits | -162,015 | 12,510 |
| Provision for Pillar II payouts received from pension funds (less payouts, see Note a16 E) | 9,876 | 0 |
| Domestic VAT expense on financing transactions | -17 | -17 |
| **Total** | **-127,802** | **477,922** |

Financing transactions received and paid are generally comparable to the corresponding entries in the government's unconsolidated cash flow statement for cash flows from investment activities and financing activities.

In the sections of the report on general government, all transactions in the table above are recorded as financing transactions, except change in deposits and the provision for Pillar II withdrawals from insurance funds. The change in deposits mainly occurs in the area of government of the Ministry of Finance as the State Treasury holds deposits of various central and general government entities (incl. funds of the Health Insurance Fund and the Unemployment Insurance Fund).

### G. Revenue and expenditure adjustment in the state budget position

State budget revenue and expenditure is generally planned on the same principles as the budget position accounting rules, but there are exceptions.

Revenue from the sale of emission allowances is taken into account in the budgetary position with a one-year time shift. In the state budget, the revenue of the budgetary year was planned. Therefore, the total revenue from the sale of emission allowances has been decreased by 85,636 thousand euros (decreased by 106,268 thousand euros in 2021) in the state budget position.

Dividend income may be taken into account in the position to the maximum extent of the dividend payer's operating profit for the previous period, from which income tax expense paid to the state on dividends is deducted. The effect of one-off revenue and expenditure still included in operating profit must be removed. Dividend income in excess of this is considered super dividends. The 2022 position was adjusted by super dividends of 532 thousand euros. In 2021, the position was adjusted by non-monetary dividend income received upon the transfer of assets in the amount of 6,433 thousand euros.

In the case of provisions, the position takes into account only disbursements as expenditure and not the costs of the formation thereof. Therefore, the costs of forming the provisions that were calculated in the state budget have been withdrawn in the calculation of the position on the same principle as accounting and the disbursements of the same provisions have been recorded as expenditure. As an exception, for the purpose of calculating the budgetary position, the provision of additional state contribution of 4 percent into the II pillar of mandatory funded pension funds and the calculation of the return on suspended contributions to pension beneficiaries are considered as expenditure (see Note a16, Part D).

The budgetary position is affected by the acquisition of tangible and intangible non-current assets, not by their subsequent registering as expenditure. Therefore, the depreciation of non-current assets and the carrying amount of non-current assets sold have been deducted in the calculation of the budget position.

The budgetary position is further influenced by the acquisition of inventories at the time of the acquisition, not at their subsequent registering as expenditure. In the state budget, inventories are treated as expenditure on a similar basis to accounting (not upon acquisition).

Acquisitions of holdings and financial investments for which no dividends are planned in the future are considered expenditure in the budget position (total amount of 10,000 thousand euros in 2021).

### H. Budget carried over from 2022 to 2023

In thousands of euros

| Area of government | Balances carried over by a directive of the Minister of Finance | Balances of economic activities, sale of emission allowances and domestic grants | Balances of foreign aid and co-financing | Total |
|---|---|---|---|---|
| Government of the Republic | 179,315 | 0 | 0 | 179,315 |
| The *Riigikogu* | 2,323 | 0 | 0 | 2,323 |
| President of the Republic | 491 | 0 | 0 | 491 |
| National Audit Office | 805 | 0 | 0 | 805 |
| Chancellor of Justice | 73 | 9 | 1 | 83 |
| Supreme Court | 647 | 20 | 0 | 667 |
| Government Office | 2,160 | 0 | 0 | 2,160 |
| Ministry of Education and Research | 78,382 | 13,296 | 61,961 | 153,639 |
| Ministry of Justice | 12,132 | 2,608 | 1,338 | 16,078 |
| Ministry of Defence | 76,894 | 1,655 | 19,400 | 97,949 |
| Ministry of the Environment | 22,234 | 220,363 | 6,862 | 249,458 |
| Ministry of Culture | 41,954 | 48,020 | 190 | 90,165 |
| Ministry of Economic Affairs and Communications | 199,382 | 126,742 | 40,987 | 367,112 |
| Ministry of Rural Affairs | 13,666 | 3,740 | 1,031 | 18,437 |
| Ministry of Finance | 158,852 | 59,522 | 3,556 | 221,930 |
| Ministry of the Interior | 57,439 | 5,328 | 11,475 | 74,241 |
| Ministry of Social Affairs | 92,165 | 8,197 | 1,162 | 101,524 |
| Ministry of Foreign Affairs | 20,685 | 4,627 | 89 | 25,401 |
| **Total** | **959,601** | **494,128** | **148,050** | **1,601,778** |

By a directive of the minister of the area of government or a head of a constitutional institution and in the case of the Government Office, a directive of State Secretary, the remaining budget funds with limits are carried over for covering expenses, investments, financing transactions according to the transfer rules established on the basis of the State Budget Act. Budget balances with limits may be carried over to the extent of 100% only once (to the following year) if they are needed for the same purpose (planned in the previous year).

The balance accrued for revenue-dependent expenditure and investments is transferred by 100%. This includes the balances of prepayments received for foreign aid and related co-financing, for which the issuer of the aid has determined the intended use of the amounts granted. The table above makes a distinction of the balances of revenue from economic activities, funds allocated from the sale of emission allowances to support projects, and domestic subsidies. Every state agency has the right to use the revenue received from economic activities to carry out its activities at its own discretion. Domestic grants are mainly received from other government entities (for example, the Cultural Endowment, etc.). Its use is also earmarked and subject to reporting verification. Of the revenue from the sale of emission allowances, 50% is invested in environmental protection projects in accordance with the Atmospheric Air Protection Act (section 161).

### I. Movements in the reserve fund of the Government of the Republic

The reserve fund allocated to the Government of the Republic from the state budget is recorded in the initial budget under the expenditure of the Government of the Republic. The reserve allocated to agencies is recorded as an increase in the final budget of the agencies and a decrease in the final budget of the Government of the Republic. The budget of the Government of the Republic partly consists of earmarked funds, the allocation of which to agencies for activities approved by the Government of the Republic has been decided by a directive of the Minister of Finance.

In thousands of euros

| | The reserve of the Government of the Republic, except ear-marked funds | Funds for specific purposes | Total reserve of the Government of the Republic |
|---|---|---|---|
| Initial budget | 6,542 | 114,236 | 120,778 |
| Carried over from 2021 | 180,200 | 5,717 | 185,917 |
| Supplementary Budget Act | 68,396 | 35,448 | 103,844 |
| Amendment Act to the State Budget Act | 26,711 | -981 | 25,730 |
| Reallocation by decision of the Government of the Republic | -32,119 | 32,119 | 0 |
| Allocated for agencies (see part J, K) | -155,637 | -129,375 | -285,012 |
| **Balance at the end of the year** | 94,094 | **57,165** | **151,259** |
| Returned from agencies to the reserve (see part J, K) | 21,457 | 6,999 | 28,456 |
| **Balance after return** | **115,551** | **64,164** | **179,715** |

## J. Use of the Government of the Republic's reserve in 2022

In thousands of euros

| Budget section | Order number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Office of the President | 333 | Additional visits in connection with the war in Ukraine | 0 | 120 | 120 | 0 | 0 | 0 |
| Government Office | 1 | Funding the work of the research council, research of the COVID-19 disease and media campaign | 184 | 0 | 77 | 108 | 0 | 108 |
| Government Office | 316 | Supporting the organisation of the World Cleanup Day | 9 | 0 | 9 | 0 | 0 | 0 |
| Government Office | 334 | Coordinating the work of the Scientific Council and Green Policy | 0 | 343 | 321 | 22 | 13 | 9 |
| Government Office | 64 | IT development support to RIA | 0 | 132 | 132 | 0 | 0 | 0 |
| Government Office | 359 | Costs of movement of monuments | 0 | 60 | 46 | 14 | 0 | 14 |
| Ministry of Education and Research | 128 | Reimbursement of the cost of designing a new elementary school building and additional costs of running the Kohtla-Järve School as a result of the reorganisation of the Narva Kesklinna Gymnasium. | 0 | 585 | 564 | 21 | 21 | 0 |
| Ministry of Justice | 265 | Covering the deficit of wages and salaries of health care professionals arising from a collective agreement | 37 | 0 | 37 | 0 | 0 | 0 |
| Ministry of Justice | 306 | Procedure expenses of the Permanent Court of Arbitration between ELA USA, Inc. and the Republic of Estonia | 406 | 0 | 245 | 161 | 0 | 161 |
| Ministry of Justice | 462 | Labour costs of courts and the Prosecutor's Office | 167 | 0 | 167 | 0 | 0 | 0 |
| Ministry of Justice | 469 | Hepatitis C medication to ensure the treatment of imprisoned persons | 350 | 0 | 350 | 0 | 0 | 0 |
| Ministry of Justice | 139 | Hepatitis C medication for imprisoned persons | 0 | 350 | 350 | 0 | 0 | 0 |
| Ministry of Justice | 193 | Legal aid costs and payment of the financial claim resulting from the court ruling | 0 | 208 | 0 | 208 | 0 | 208 |
| Ministry of Defence | 69 | Strengthening emergency preparedness | 0 | 3,955 | 2,597 | 1,358 | 1,358 | 0 |
| Ministry of Defence | 360 | Removal of red monuments from public spaces | 0 | 916 | 136 | 780 | 780 | 0 |
| Ministry of Culture | 17 | Support for cultural enterprises (recoveries) | 0 | 0 | -44 | 44 | 0 | 44 |
| Ministry of Culture | 443 | Organising the 2023 Women's European Volleyball Championship pool tournament | 650 | 0 | 650 | 0 | 0 | 0 |
| Ministry of Culture | 470 | Extension and completion of the parallel transmission of SD and HD TV channels to the national broadcaster | 0 | 300 | 300 | 0 | 0 | 0 |

| Budget section | Order number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Culture | 54 | Strengthening content production for Estonian Public Broadcasting's circular and Russian-language channels | 0 | 1,478 | 1,478 | 0 | 0 | 0 |
| Ministry of Culture | 92 | Strengthening support for private Russian-language media outlets in Estonia | 0 | 1,300 | 1 279 | 21 | 17 | 4 |
| Ministry of Culture | 205 | Costs for movie "Estonia" | 0 | 3,400 | 3,399 | 1 | 1 | 0 |
| Ministry of Culture | 348 | Conservation of a medieval shipwreck in Lootsi Street and construction of a conservation hall in the Seaplane Harbour | 0 | 511 | 36 | 475 | 475 | 0 |
| Ministry of Culture | 23 | Energy costs of government agencies | 0 | 1,000 | 982 | 18 | 0 | 18 |
| Ministry of Economic Affairs and Communications | 19 | Adopting a secure encrypted mobile communication solution | 24 | 0 | 24 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 287 | Emergency costs of preventing cyber incidents | 377 | 0 | 377 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 329 | Extraordinary costs of increasing the security of the national network | 1,828 | 0 | 1,828 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 377 | Compensation for the cost of network service from October 2021 to March 2022 to electricity consumers and the accompanying VAT to the extent of 50% | 39,980 | 0 | 39,980 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 461 | Compensation for the cost of consumed network service from December 2021 to March 2022 to gas consumers and the accompanying VAT | 15,527 | 0 | 15,512 | 15 | 0 | 15 |
| Ministry of Economic Affairs and Communications | 52 | January–March 2022 compensation to electricity and gas consumers for electricity and network services and natural gas costs | 0 | 74,536 | 45,136 | 29,400 | 80 | 16,904 |
| Ministry of Economic Affairs and Communications | 93 | Subsidies for household consumers of district heating and for non-household consumers of gas including value added tax, February to March | 0 | 16,952 | 11,346 | 5,606 | 60 | 2,729 |
| Ministry of Economic Affairs and Communications | 169 | Costs of legal assistance related to the COVID-19 crisis | 0 | 20 | 20 | 0 | 0 | 0 |

| Budget section | Order number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Economic Affairs and Communications | 194 | Fulfilling the tasks resulting from the EU sanctions against Russia and Belarus, legal costs | 0 | 96 | 15 | 81 | 81 | 0 |
| Ministry of Economic Affairs and Communications | 361 | Winter navigation costs | 0 | 921 | 921 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 336 | Ensuring the balance of AS Eesti Raudtee's revenue and expenditure for 2021 | 0 | 14,592 | 14,592 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 63 | Compensation for the free transport of preschool children and disabled persons by commercial transport operators | 0 | 4,200 | 1,874 | 2,326 | 2,326 | 0 |
| Ministry of Economic Affairs and Communications | 68 | Ensuring the balance of AS Eesti Raudtee's revenue and expenditure for 2022 | 0 | 8,716 | 8,716 | 0 | 0 | 0 |
| Ministry of Rural Affairs | 98 | Unavoidable one-off costs linked to the setting up of the combined laboratory | 0 | 150 | 56 | 94 | 0 | 94 |
| Ministry of Finance | 458 | Financing of the support measure for entrepreneurs in Ida-Viru county (recov- | 0 | 0 | -137 | 137 | 0 | 137 |
| Ministry of Finance | 372 | IT investments related to the amendments to the Income Tax Act | 658 | 0 | 658 | 0 | 0 | 0 |
| Ministry of Finance | 333 | Entry into the compromise agreement with FC Levadia | 800 | 0 | 0 | 800 | 0 | 800 |
| Ministry of Finance | 3 | Acquisition of a mobile X-ray machine | 0 | 600 | 0 | 600 | 600 | 0 |
| Ministry of Finance | 116 | Covering the costs of emergency aid for local authorities for Ukrainian refugees | 0 | 3,300 | 467 | 2,833 | 2,833 | 0 |
| Ministry of Finance | 22 | Increasing the tax-free income of a natural person in the e-Tax Board | 0 | 72 | 15 | 57 | 57 | 0 |
| Ministry of the Interior | 143 | Replacement of the main rescue vehicle involved in an accident and restoration of the tank container | 367 | 0 | 366 | 1 | 0 | 1 |
| Ministry of the Interior | 284 | Costs related to tasks aimed at preventing mass immigration, incl. to prevent epidemic spread of COVID-19 | 171 | 0 | 171 | 0 | 0 | 0 |
| Ministry of the Interior | 453 | Protection of President Kersti Kaljulaid after the end of her term of office | 37 | 0 | 37 | 0 | 0 | 0 |
| Ministry of the Interior | 467 | Covering damage caused by the coronavirus to contract partners of the Police and Border Guard Board tasked with organising the entry of vehicles to a road border crossing point and administration of the database | 179 | 0 | 179 | 0 | 0 | 0 |

| Budget section | Order number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of the Interior | 468 | Costs of eliminating environmental pollution in the building of the Estonian Internal Security Service | 500 | 0 | 500 | 0 | 0 | 0 |
| Ministry of Social Affairs | 29 | Ensuring the supplies, cold chain and vaccination with COVID-19 vaccine, virus testing | 952 | 0 | 952 | 0 | 0 | 0 |
| Ministry of Social Affairs | 285 | Involvement of the Police and Border Guard Board to prevent the epidemic spread of COVID-19 | 143 | 0 | 143 | 0 | 0 | 0 |
| Ministry of Social Affairs | 297 | Costs of outreach activities on vaccination against the COVID-19 disease | 362 | 0 | 261 | 101 | 0 | 101 |
| Ministry of Social Affairs | 347 | Costs of e-services necessary for the prevention of COVID-19 | 212 | 0 | 103 | 110 | 0 | 110 |
| Ministry of Social Affairs | 20 | Development of the Social Protection Information System to implement the change in the income tax exemption for pensions from 2023 onwards | 0 | 600 | 600 | 0 | 0 | 0 |
| Ministry of Social Affairs | 63 | Primary costs related to the reception in Estonia of persons who fled from Ukraine | 0 | 1,300 | 1,274 | 26 | 26 | 0 |
| Ministry of Social Affairs | 102 | COVID-19 Crisis-related testing, ICT and legal services, investments | 0 | 12,466 | 8,716 | 3,750 | 3,750 | 0 |
| Ministry of Foreign Affairs | 68 | Increasing Estonia's national security capacity | 0 | 2,217 | 548 | 1,669 | 1,669 | 0 |
| Ministry of Foreign Affairs | 148 | Costs of experts from the International Criminal Court | 0 | 240 | 167 | 73 | 76 | 0 |
| **Total** | | | **63,922** | **155,637** | **183,880** | **35,678** | **14,221** | **21,457** |

### K. Use of the special purpose reserve in 2022

In thousands of euros

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Chancellery of the *Riigikogu* | 81 | Election software investments and strengthening information security | 0 | 102 | 0 | 102 | 102 | 0 |
| Office of the President | 35 | ICT development and management | 0 | 127 | 76 | 51 | 51 | 0 |
| Office of the President | 139 | Remote working arrangements | 0 | 23 | 23 | 0 | 0 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Supreme Court | 63 | Strengthening information security | 0 | 0 | 7 | 7 | 0 | 0 |
| Government Office | 95 | Compensating for IT shortages | 0 | 52 | 27 | 25 | 25 | 0 |
| Government Office | 1 | Organising a national energy saving campaign | 0 | 108 | 108 | 0 | 0 | 0 |
| Ministry of Education and Research | 108 | Implementation costs of the Recovery and Resilience Facility | 5 | 0 | 5 | 0 | 0 | 0 |
| Ministry of Education and Research | 110 | COVID-19 monitoring, sewage monitoring and KoroGeno-Est-2 and KoroGeno-Est-3 projects of the University of Tartu | 2,500 | 0 | 2,385 | 115 | 0 | 115 |
| Ministry of Education and Research | 29 | Purchase of SARS-CoV-2 antigen self-testing equipment for schools | 0 | 6,650 | 6,364 | 286 | 0 | 286 |
| Ministry of Education and Research | 36 | Supporting and implementing education in Estonian | 0 | 5,000 | 4,390 | 610 | 610 | 0 |
| Ministry of Education and Research | 62 | Expensing the prepayments of the liquidated SA HITSA (Information Technology Foundation for Education) | 0 | 654 | 654 | 0 | 0 | 0 |
| Ministry of Education and Research | 210 | Ineligible costs for EU grants | 0 | 3 | 3 | 0 | 0 | 0 |
| Ministry of Justice | 105 | Fixed IT costs | 254 | 0 | 254 | 0 | 0 | 0 |
| Ministry of Justice | 58 | Expenses of the Estonian special representative sent to the USA to enhance the fight against money laundering | 0 | 250 | 184 | 66 | 66 | 0 |
| Ministry of Justice | 70,217 | Ensuring information security and maintaining critical information systems (IT gap filling) | 0 | 856 | 295 | 561 | 561 | 0 |
| Ministry of Justice | 71 | Additional funding for the FCA due to the amendment of the Competition Act | 0 | 700 | 655 | 45 | 45 | 0 |
| Ministry of Justice | 102 | Activities related to the amendment of the Public Information Act | 0 | 5,900 | 1,844 | 4,056 | 0 | 4,056 |
| Ministry of Defence | 23 | Ensuring cybersecurity (IT gap filling) | 0 | 500 | 210 | 290 | 290 | 0 |
| Ministry of Defence | 24 | Establishment of a research strand on electronic warfare | 0 | 1,100 | 112 | 988 | 988 | 0 |
| Ministry of Defence | 224 | Value added tax on imports received as external aid | 0 | 78 | 78 | 0 | 0 | 0 |
| Ministry of the Environment | 77 | Compensating for IT shortages | 0 | 2,623 | 631 | 1,992 | 1,992 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of the Environment | 112 | Disclosure of aeronautical data according to EU Directive 2019/1024 | 0 | 848 | 368 | 479 | 479 | 0 |
| Ministry of the Environment | 132 | Disclosure of spatial data | 0 | 337 | 337 | 0 | 0 | 0 |
| Ministry of the Environment | 171 | Non-eligible expenditure under EU structural instruments | 0 | 444 | 444 | 0 | 0 | 0 |
| Ministry of Culture | 66 | Compliance with the requirements of the Cybersecurity Act by Estonian Public Broadcasting | 1,213 | 0 | 1,213 | 0 | 0 | 0 |
| Ministry of Culture | 114 | Supporting international cultural and sporting events | 125 | 0 | 125 | 0 | 0 | 0 |
| Ministry of Culture | 154 | Supporting international cultural and sporting events | 252 | 0 | 252 | 0 | 0 | 0 |
| Ministry of Culture | 3 | Finder's fee for a finding of cultural value | 0 | 67 | 67 | 0 | 0 | 0 |
| Ministry of Culture | 30 | Organising the 2023 Women's European Volleyball Championship pool tournament | 0 | 950 | 102 | 848 | 848 | 0 |
| Ministry of Culture | 46 | Supporting international cultural and sporting events | 0 | 825 | 704 | 121 | 0 | 121 |
| Ministry of Culture | 61 | Costs for movie "Estonia" | 0 | 471 | 471 | 0 | 0 | 0 |
| Ministry of Culture | 66 | Replacement of the MuIS and Legacy information systems (IT gap compensation) | 0 | 333 | 294 | 39 | 39 | 0 |
| Ministry of Culture | 83 | Costs for movie "Estonia" | 0 | 649 | 649 | 0 | 0 | 0 |
| Ministry of Culture | 107 | Costs for movie "Estonia" | 0 | 261 | 261 | 0 | 0 | 0 |
| Ministry of Culture | 151 | Costs for movie "Estonia" | 0 | 204 | 204 | 0 | 0 | 0 |
| Ministry of Culture | 140 | National Library of Estonia 2022 IT administrative expenditure | 0 | 105 | 105 | 0 | 0 | 0 |
| Ministry of Culture | 165 | Supporting international cultural and sporting events | 0 | 760 | 750 | 10 | 0 | 10 |
| Ministry of Culture | 172 | Finder's fee | 0 | 17 | 17 | 0 | 0 | 0 |
| Ministry of Culture | 202 | Supporting international cultural and sporting events | 0 | 130 | 130 | 0 | 0 | 0 |
| Ministry of Culture | 229 | Compliance with the requirements of the Public Broadcasting Cyber Security Act | 0 | 1,000 | 1,000 | 0 | 0 | 0 |
| Ministry of Culture | 220 | Construction of Tallinn City Theatre | 0 | 6,314 | 3,271 | 3,043 | 3,043 | 0 |
| Ministry of Culture | 218 | Costs for movie "Estonia" | 0 | 145 | 145 | 0 | 0 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Culture | 5 | National Library of Estonia IT administrative expenditure | 0 | 115 | 115 | 0 | 0 | 0 |
| Ministry of Culture | 18 | Costs for movie “Estonia” | 0 | 269 | 269 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 16 | Ensuring cybersecurity and strategic security needs of a digital state | 1,397 | 0 | 1,095 | 302 | 0 | 302 |
| Ministry of Economic Affairs and Communications | 83 | Underwater surveys and electronic simulation model of the passenger ferry Estonia | 1,159 | 0 | 557 | 602 | 0 | 602 |
| Ministry of Economic Affairs and Communications | 118 | Implementation costs of the Recovery and Resilience Facility | 80 | 0 | 79 | 1 | 0 | 1 |
| Ministry of Economic Affairs and Communications | 189 | Administrative expenses of the projects of Structural Funds | 18 | 0 | 18 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 41 | Compensating for IT shortages | 0 | 617 | 30 | 587 | 587 | 0 |
| Ministry of Economic Affairs and Communications | 64 | Compensating for IT shortages | 0 | 1,601 | 885 | 716 | 716 | 0 |
| Ministry of Economic Affairs and Communications | 135 | Compensating for IT shortages | 0 | 9,234 | 7,932 | 1,303 | 1,303 | 0 |
| Ministry of Economic Affairs and Communications | 101 | Underwater investigations related to the preliminary assessment of the passenger ferry Estonia | 0 | 1,400 | 86 | 1,314 | 1,314 | 0 |
| Ministry of Economic Affairs and Communications | 141 | Construction of the Võhma-Kahala light traffic route in North Sakala parish | 0 | 200 | 200 | 0 | 0 | 0 |
| Ministry of Economic Affairs and Communications | 162 | Organising the Digital State’s central services and developing national cybersecurity. | 0 | 1,850 | 1,205 | 645 | 645 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Economic Affairs and Communications | 173 | Keri lighthouse phase I reconstruction works | 0 | 1,318 | 311 | 1,007 | 1,007 | 0 |
| Ministry of Economic Affairs and Communications | 233 | Replacement of ICT equipment in public buildings | 0 | 44 | 4 | 40 | 40 | 0 |
| Ministry of Economic Affairs and Communications | 234.33 | Administrative expenses of the completed projects of Structural Funds | 0 | 409 | 101 | 309 | 309 | 0 |
| Ministry of Rural Affairs | 108 | Implementation costs of the Recovery and Resilience Facility | 5 | 0 | 5 | 0 | 0 | 0 |
| Ministry of Rural Affairs | 184 | Ineligible expenditure under the European Agricultural Guarantee Fund (EAGF) | 0 | 636 | 636 | 0 | 0 | 0 |
| Ministry of Rural Affairs | 219 | Research and development to ensure food safety and reduce the environmental burden of food production | 0 | 4,020 | 1,085 | 2 935 | 2 935 | 0 |
| Ministry of Rural Affairs | 184 | Ineligible expenditure under the European Agricultural Guarantee Fund (EAGF) | 0 | 636 | 636 | 0 | 0 | 0 |
| Ministry of Rural Affairs | 219 | Research and development to ensure food safety and reduce the environmental burden of food production | 0 | 4,020 | 1,085 | 2 935 | 0 | 0 |
| Ministry of Rural Affairs | 78 | Compensation for IT shortages | 0 | 237 | 51 | 186 | 186 | 0 |
| Ministry of Rural Affairs | 204 | Reclaims of the European Commission | 0 | 92 | 92 | 0 | 0 | 0 |
| Ministry of Finance | 86 | Entrepreneurship grant to Muhu and Saaremaa municipality (recoveries) | 0 | 0 | -41 | 41 | 0 | 41 |
| Ministry of Finance | 69.48 | Creating ICT data service capability | 727 | 0 | 727 | 0 | 0 | 0 |
| Ministry of Finance | 108 | Implementation costs of the Recovery and Resilience Facility | 493 | 0 | 441 | 52 | 0 | 52 |
| Ministry of Finance | 183 | Costs of implementing grants | 105 | 0 | 27 | 78 | 0 | 78 |
| Ministry of Finance | 12 | Preventing money laundering | 0 | 288 | 288 | 0 | 0 | 0 |
| Ministry of Finance | 42 | Compensating for IT shortages | 0 | 2,964 | 1,233 | 1,731 | 1,731 | 0 |
| Ministry of Finance | 67 | COVID-19 vaccination results rewards for local governments | 0 | 312 | 312 | 0 | 0 | 0 |
| Ministry of Finance | 104 | Support for increasing COVID-19 vaccination coverage for local governments, vaccination rewards | 0 | 50 | 50 | 0 | 0 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Finance | 195 | Reimbursement of the costs of emergency aid and coverage of costs for accommodation of Ukrainian war refugees to the local governments | 0 | 5,000 | 142 | 4,858 | 3,675 | 1,183 |
| Ministry of Finance | 210 | Ineligible costs for EU grants | 0 | 0 | 0 | 0 | 0 | 0 |
| Ministry of Finance | 232 | Restoration of the War of Independence Memorial in Viljandi, Estonia | 0 | 401 | 289 | 112 | 112 | 0 |
| Ministry of Finance | 7 | Reimbursement of costs of population actions for Ukrainian refugees to local governments | 0 | 200 | 0 | 200 | 200 | 0 |
| Ministry of the Interior | 54 | Construction of the Eastern border | 0 | 0 | 0 | 0 | 0 | 0 |
| Ministry of the Interior | 16 | Developments related to the implementation of the e-residency programme | 107 | 0 | 107 | 0 | 0 | 0 |
| Ministry of the Interior | 52 | Costs of the construction of the state border | 218 | 0 | 218 | 0 | 0 | 0 |
| Ministry of the Interior | 53 | Design and emergency repairs of the Narva Alexander Church | 77 | 0 | 29 | 48 | 0 | 48 |
| Ministry of the Interior | 47 | Covering the costs related to the export of AFIS fingerprint and biometric data upon the implementation of the automatic biometric identification system for the Estonian Forensic Science Institute | 54 | 0 | 54 | 0 | 0 | 0 |
| Ministry of the Interior | 65 | Costs incurred for the implementation of language learning pursuant to an administrative contract to be entered into with the Integration Foundation | 303 | 0 | 303 | 0 | 0 | 0 |
| Ministry of the Interior | 63 | Implementation of the automatic biometric identification system in 2021 | 233 | 0 | 233 | 0 | 0 | 0 |
| Ministry of the Interior | 97 | Real estate developments for Rõuge volunteer rescuers | 250 | 0 | 250 | 0 | 0 | 0 |
| Ministry of the Interior | 118 | Implementation costs of the Recovery and Resilience Facility | 19 | 0 | 19 | 0 | 0 | 0 |
| Ministry of the Interior | 129 | Implementation of the automatic biometric identification system | 726 | 0 | 723 | 3 | 0 | 3 |
| Ministry of the Interior | 136 | Construction of the Estonian-Russian state border | 262 | 0 | 262 | 0 | 0 | 0 |
| Ministry of the Interior | 148 | Costs of the construction of the state border | 1,987 | 0 | 1,987 | 0 | 0 | 0 |
| Ministry of the Interior | 73 | Provision of professional assistance to Lithuania by the police unit ESTPOL5 | 60 | 0 | 60 | 0 | 0 | 0 |
| Ministry of the Interior | 25 | Implementation of the Regulation on the removal of terrorist content online | 0 | 1,327 | 1,327 | 0 | 0 | 0 |
| Ministry of the Interior | 27 | Information security and critical information systems maintenance activities | 0 | 3,937 | 3,289 | 648 | 648 | 0 |
| Ministry of the Interior | 53 | Establishment of the Remote Sensing Research and Development Centre and development of the Internal Security and Safety Research Centre of the Estonian Academy of Defence | 0 | 1,081 | 303 | 778 | 778 | 0 |
| Ministry of the Interior | 54 | Construction of the Estonian state border | 0 | 9,395 | 8,852 | 543 | 543 | 0 |

| Budget section | Directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | For agencies for the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of the Interior | 96 | Strengthening information security | 0 | 438 | 69 | 369 | 369 | 0 |
| Ministry of the Interior | 159 | Implementation of the automatic biometric identification system | 0 | 421 | 421 | 0 | 0 | 0 |
| Ministry of the Interior | 160 | uID detailed analysis | 0 | 150 | 0 | 150 | 150 | 0 |
| Ministry of the Interior | 208 | Construction of the Estonian state border | 0 | 2,000 | 0 | 2,000 | 2,000 | 0 |
| Ministry of the Interior | 4 | Conservation and emergency repairs of the Narva Alexander Church | 0 | 328 | 0 | 328 | 328 | 0 |
| Ministry of the Interior | 15 | Implementation of the automatic biometric identification system | 0 | 728 | 319 | 409 | 409 | 0 |
| Ministry of Social Affairs | 108 | Implementation costs of the Recovery and Resilience Facility | 8 | 0 | 8 | 0 | 0 | 0 |
| Ministry of Social Affairs | 128 | ICT developments and administrative expenditure | 2,632 | 0 | 2,632 | 0 | 0 | 0 |
| Ministry of Social Affairs | 155 | To general medical care providers to increase COVID-19 vaccination coverage and development activities of the Estonian Society of Family Doctors | 300 | 0 | 300 | 0 | 0 | 0 |
| Ministry of Social Affairs | 174 | Organising testing for coronavirus SARS-CoV-2 | 653 | 0 | 653 | 0 | 0 | 0 |
| Ministry of Social Affairs | 43 | Setting up and running the system of vaccine coverage, including the payment of reimbursements | 0 | 1,437 | 410 | 1,027 | 924 | 0 |
| Ministry of Social Affairs | 161 | Preparing for health emergencies and national defence | 0 | 897 | 595 | 302 | 302 | 0 |
| Ministry of Social Affairs | 158 | Ensuring the sustainability of ICT services | 0 | 5,475 | 3,609 | 1,866 | 1,886 | 0 |
| Ministry of Social Affairs | 181 | Creating remote working and nationwide recruitment jobs | 0 | 90 | 38 | 52 | 52 | 0 |
| Ministry of Social Affairs | 188 | Price increase relief for families with children, pensioners and recipients of incapacity benefit | 0 | 30,000 | 29,779 | 221 | 222 | 0 |
| Ministry of Foreign Affairs | 108 | Implementation costs of the Recovery and Resilience Facility | 1 | 0 | 1 | 0 | 0 | 0 |
| Ministry of Foreign Affairs | 28 | Applied research in Russia, Asia, and the Arctic | 0 | 923 | 333 | 589 | 589 | 0 |
| Ministry of Foreign Affairs | 105 | Additional ICT needs | 0 | 895 | 142 | 753 | 455 | 0 |
| **Total** | | | **16,225** | **129,375** | **105,067** | **40,533** | **33,534** | **6,999** |

## L. Use of the ownership reform reserve fund in 2022

In thousands of euros

Funds are allocated from the ownership reform reserve fund of the Government of the Republic in accordance with the regulation established on the basis of the Use of Privatisation Proceeds Act.

| Budget section | Order/directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | Carried over to the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of the Environment | 65 | For land reform expenses | 306 | 0 | 126 | 180 | 180 | 0 |
| Ministry of the Environment | 135 | For returning unlawfully expropriated land | 35 | 0 | 1 | 34 | 34 | 0 |
| Ministry of the Environment | 165,265 | For expenses related to land reform | 225 | 0 | 107 | 119 | 119 | 0 |
| Ministry of the Environment | 16 | For constituting a right of superficies | 269 | 0 | 9 | 260 | 260 | 0 |
| Ministry of the Environment | 67 | Municipalisation of state assets and land reform expenses | 24 | 0 | 24 | 0 | 0 | 0 |
| Ministry of the Environment | 187 | Preparations for assessing land | 354 | -95 | 130 | 129 | 129 | 0 |
| Ministry of the Environment | 138 | Preparation and carrying out regular assessing of land | 293 | 0 | 289 | 4 | 4 | 0 |
| Ministry of the Environment | 455 | Implementation of land reform and creating an environment and conditions necessary for the development of entrepreneurship | 2,732 | 0 | 540 | 2,192 | 2,192 | 0 |
| Ministry of Economic Affairs and Communications | 55 | Applied research of recycling of debris from the demolition of apartment buildings in disuse | 36 | 0 | 22 | 14 | 14 | 0 |
| Ministry of Culture | 226 | Maintenance, repair, conservation and restoration of architectural monuments returned in the course of the ownership reform | 8 | 0 | 0 | 8 | 0 | 8 |
| Ministry of Culture | 186 | Maintenance, repair, conservation and restoration of architectural monuments returned in the course of the ownership reform | 710 | 0 | 545 | 165 | 165 | 0 |

| Budget section | Order/directive number | Purpose | Carried over from 2021 | Allocated in 2022 | Used in 2022 | Balance | Carried over to the following year | Returned to the reserve |
|---|---|---|---|---|---|---|---|---|
| Ministry of Culture | 454 | Maintenance, repair, conservation and restoration of architectural monuments returned in the course of the ownership reform | 0 | 1,000 | 200 | 800 | 800 | 0 |
| Ministry of Culture | 349 | Maintenance, repair, conservation and restoration of architectural monuments returned in the course of the ownership reform | 0 | 3,000 | 0 | 3,000 | 3,000 | 0 |
| Ministry of Finance | 10 | To local government entities | 9 | 0 | 3 | 6 | 6 | 0 |
| Ministry of Finance | 34,456 | For performing the duties of the ownership and land reform | 107 | 0 | 98 | 9 | 9 | 0 |
| Ministry of Finance | 108,55,456,96 | For maintenance expenses of apartments relinquished to the state | 130 | 660 | 63 | 727 | 727 | 0 |
| Ministry of Finance | 138,456,55 | Return and compensation of unlawfully expropriated property | 635 | 0 | 239 | 396 | 396 | 0 |
| Ministry of Finance | 292 | Survey of social and legal impact of ownership reform reserve fund | 52 | 0 | 7 | 45 | 0 | 45 |
| Ministry of Finance | 34 | Return and compensation of unlawfully expropriated property | 10 | 0 | 5 | 5 | 5 | 0 |
| Ministry of Finance | 279 | Compensation for unlawfully expropriated property and for unused privatisation securities | 330 | 0 | 13 | 317 | 317 | 0 |
| Ministry of Finance | 138 | Preliminary analysis of information technology developments | 4 | 0 | 0 | 4 | 0 | 4 |
| Ministry of Finance | 45 | IT development and maintenance of information systems related to the regular land evaluation | 0 | 1,895 | 130 | 1,765 | 1,765 | 0 |
| Ministry of Finance | 96 | Launch of a national support measure for local governments for housing restructuring | 0 | 3,000 | 0 | 3,000 | 3,000 | 0 |
| Ministry of Finance | 362 | Carrying out a regular land evaluation and taking the results into use | 0 | 95 | 0 | 95 | 95 | 0 |
| **Total** | | | **6,269** | **9,555** | **2,550** | **13,274** | **13,218** | **57** |

**M. Comparison of the statement of financial performance of state accounting entities recorded in Note a1 with the state budget implementation report**

**2022**

| | Indicators of the statement of financial performance | | | | Indicators of the report on the implementation of the state budget | | | |
|---|---|---|---|---|---|---|---|---|
| | **Income from operations** | **Operating expenses** | **Financial income and expenditure** | **Operating result** | **Revenue** | **Expenditure** | **Adjustments** | **Operating result** |
| The *Riigikogu* | 101 | -23,798 | -74 | -23,771 | 58 | -23,790 | -39 | -23,771 |
| President of the Republic | 169 | -5,218 | -271 | -5,320 | 149 | -5,526 | 57 | -5,320 |
| National Audit Office | 49 | -5,422 | 0 | -5,374 | 49 | -5,422 | 0 | -5,374 |
| Chancellor of Justice | 0 | -3,068 | 11 | -3,057 | 0 | -3,068 | 11 | -3,057 |
| Supreme Court | 428 | -6,009 | -552 | -6,132 | 428 | -5,959 | -602 | -6,132 |
| Government Office | 1,372 | -17,806 | -3 | -16,437 | 1,082 | -17,597 | 78 | -16,437 |
| Ministry of Education and Research | 192,901 | -851,825 | 11 | -658,913 | 179,623 | -851,627 | 13,091 | -658,913 |
| Ministry of Justice | 59,513 | -198,751 | -5,967 | -145,205 | 58,594 | -197,559 | -6,240 | -145,205 |
| Ministry of Defence | 14,916 | -733,654 | -28,974 | -747,712 | 7,544 | -690,689 | -64,567 | -747,712 |
| Ministry of the Environment | 581,178 | -150,846 | 238,246 | 668,578 | 657,064 | -135,520 | 147,034 | 668,578 |
| Ministry of Culture | 50,850 | -328,416 | -2,081 | -279,647 | 11,557 | -328,830 | 37,626 | -279,647 |
| Ministry of Economic Affairs and Communications | 422,402 | -1,034,721 | 7,768 | -604,551 | 433,755 | -1,015,849 | -22,456 | -604,551 |
| Ministry of Rural Affairs | 341,487 | -438,075 | 3,474 | -93,115 | 344,224 | -437,023 | -316 | -93,115 |
| Ministry of Finance | 12,115,588 | -7,487,600 | 64,824 | 4,692,812 | 12,106,927 | -2,843,437 | -4,570,679 | 4,692,812 |
| Ministry of the Interior | 76,181 | -585,069 | -33,245 | -542,133 | 59,447 | -518,121 | -83,459 | -542,133 |
| Ministry of Social Affairs | 4,728,532 | -6,811,598 | -68,873 | -2,151,940 | 155,513 | -6,854,701 | 4,547,249 | -2,151,940 |
| Ministry of Foreign Affairs | 7,618 | -95,379 | 104 | -87,657 | 7,722 | -95,379 | 0 | -87,657 |
| Eliminations | -4,926,389 | 4,942,716 | 0 | 16,327 | -27,176 | 116,341 | -72,838 | 16,327 |
| **Total** | **13,666,895** | **-13,834,537** | **174,396** | **6,753** | **13,996,560** | **-13,913,756** | -76,050 | **6,753** |

**2021**

In thousands of euros

| | Indicators of the statement of financial performance | | | | Indicators of the report on the implementation of the state budget | | | |
|---|---|---|---|---|---|---|---|---|
| | **Income from operations** | **Operating expenses** | **Financial income and expenditure** | **Operating result** | **Revenue** | **Expenditure** | **Adjustments** | **Operating result** |
| The *Riigikogu* | 138 | -23,155 | -69 | -23,086 | 138 | -23,090 | -134 | -23,086 |
| President of the Republic | 143 | -5,525 | -211 | -5,594 | 143 | -4,901 | -836 | -5,594 |
| National Audit Office | 26 | -5,060 | 0 | -5,033 | 26 | -5,060 | 0 | -5,033 |
| Chancellor of Justice | 0 | -3,006 | -2 | -3,009 | 0 | -3,006 | -2 | -3,009 |

| | Indicators of the statement of financial performance | | | | Indicators of the report on the implementation of the state budget | | | |
|---|---|---|---|---|---|---|---|---|
| | **Income from operations** | **Operating expenses** | **Financial income and expenditure** | **Operating result** | **Revenue** | **Expenditure** | **Adjustments** | **Operating result** |
| Supreme Court | 267 | -5,410 | -511 | -5,654 | 267 | -5,236 | -685 | -5,654 |
| Government Office | 1,708 | -18,152 | -3 | -16,447 | 1,349 | -17,989 | 192 | -16,447 |
| Ministry of Education and Research | 168,466 | -753,612 | 88 | -585,058 | 156,849 | -753,643 | 11,736 | -585,058 |
| Ministry of Justice | 49,162 | -193,443 | -5,701 | -149,982 | 48,914 | -192,068 | -6,828 | -149,982 |
| Ministry of Defence | 16,695 | -622,817 | -26,356 | -632,479 | 5,038 | -572,755 | -64,761 | -632,479 |
| Ministry of the Environment | 447,902 | -183,201 | 257,896 | 522,597 | 482,810 | -165,855 | 205,642 | 522,597 |
| Ministry of Culture | 48,939 | -319,944 | -1,214 | -272,218 | 10,408 | -316,777 | 34,150 | -272,218 |
| Ministry of Economic Affairs and Communications | 304,806 | -839,487 | 75,730 | -458,951 | 329,414 | -820,222 | 31,857 | -458,951 |
| Ministry of Rural Affairs | 330,855 | -411,983 | -10,223 | -91,351 | 318,993 | -411,399 | 1,054 | -91,351 |
| Ministry of Finance | 10,884,698 | -6,906,646 | 40,372 | 4,018,425 | 10,887,694 | -2,670,880 | -4,198,389 | 4,018,425 |
| Ministry of the Interior | 55,558 | -483,044 | -30,406 | -457,891 | 50,205 | -438,297 | -69,799 | -457,891 |
| Ministry of Social Affairs | 4,289,466 | -6,479,604 | -61,103 | -2,251,240 | 160,562 | -6,374,429 | 3,962,628 | -2,251,240 |
| Ministry of Foreign Affairs | 3,159 | -77,083 | 30 | -73,894 | 3,189 | -77,083 | 0 | -73,894 |
| Eliminations | -4,420,574 | 4,405,025 | 102 | -15,447 | -29,264 | 75,411 | -61,594 | -15,447 |
| **Total** | **12,181,415** | **-12,926,146** | **238,419** | **-506,312** | **12,426,734** | **-12,777,278** | **-155,768** | **-506,312** |

The state budget and its implementation generally follow the same accounting principles as the accounts, but there are differences. Differences in the state budget revenue and expenditure compared to the statement of financial performance are reflected in the sections of the state budget implementation report on the areas of government of the constitutional institutions, the Government of the Republic, the Government Office, and the ministries as adjustments similar to those presented in the consolidated part of the report. The differences in accounting policies are described in Part C "Comparison of the entries in the statement of financial performance and summary of the report on the implementation of the state budget" of this Note.

# 3 Information on local governments

## 3.1 Balance sheet

In millions of euros

| | Consolidated | | | Unconsolidated | | | Note |
|---|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** | |
| **Assets** | | | | | | | |
| **Current assets** | | | | | | | |
| Cash | 432.6 | 459.3 | 574.5 | 241.1 | 280.2 | 394.8 | |
| Financial investments | 7.3 | 0.0 | 0.0 | 7.0 | 0.0 | 0.0 | |
| Tax and fine receivables | 157.7 | 145.7 | 135.5 | 157.7 | 145.7 | 135.5 | b2 |
| Other claims and prepayments | 172.5 | 155.2 | 142.4 | 109.2 | 83.4 | 78.5 | b3 |
| Inventories | 17.9 | 17.1 | 15.9 | 0.5 | 0.5 | 0.4 | |
| **Total current assets** | **788.0** | **777.3** | **868.3** | **515.5** | **509.8** | **609.2** | |
| **Non-current assets** | | | | | | | |
| Ownership interest in foundations and non-profit associations | 0.0 | 0.0 | 0.0 | 38.0 | 38.1 | 38.3 | b4 |
| Ownership interest in subsidiaries and affiliated associates | 99.6 | 104.6 | 47.3 | 434.8 | 419.0 | 341.6 | b5 |
| Financial investments | 3.1 | 7.6 | 7.3 | 0.0 | 4.6 | 4.2 | |
| Other claims and prepayments | 22,5 | 24.2 | 26.1 | 71.8 | 78.1 | 51.0 | b3 |
| Investment property | 155.9 | 153.1 | 155.8 | 104.2 | 107.0 | 111.4 | b6 |
| Property, plant and equipment | 5,654.0 | 5,440.4 | 5,088.6 | 3,773.4 | 3,608.7 | 3,373.5 | b7 |
| Intangible assets | 9.1 | 8.0 | 8.5 | 2.9 | 2.3 | 2.9 | |
| Biological assets | 1.8 | 1.8 | 1.8 | 1.8 | 1.8 | 1.8 | |
| **Total non-current assets** | **5,946.0** | **5,739.7** | **5,335.4** | **4,426.9** | **4,259.6** | **3,924.7** | |
| | | | | | | | |
| **Total assets** | **6,734.0** | **6,517.0** | **6,203.7** | **4,942.4** | **4,769.4** | **4,533.9** | |

| | Consolidated | | | Unconsolidated | | | Note |
|---|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** | |
| **Liabilities and net assets** | | | | | | | |
| **Current liabilities** | | | | | | | |
| Trade payables | 172.6 | 156.0 | 112.5 | 119.8 | 89.4 | 67.6 | |
| Payables to employees | 156.9 | 140.9 | 132.9 | 111.7 | 99.3 | 93.7 | |
| Deferred taxes | 72.4 | 66.3 | 62.0 | 51.0 | 45.7 | 43.8 | |
| Other liabilities and received prepayments | 54.4 | 86.9 | 120.6 | 47.0 | 77.8 | 111.7 | b9 |
| Provisions | 1.5 | 1.5 | 2.2 | 0.6 | 0.3 | 0.3 | |
| Loan liabilities | 147.4 | 140.6 | 135.1 | 120.8 | 105.5 | 111.6 | b10 |
| Derivatives | 0.0 | 0.0 | 1.0 | 0.0 | 0.0 | 1.0 | |
| **Total current liabilities** | **605.2** | **592.2** | **566.3** | **450.9** | **418.0** | **429.7** | |
| **Non-current liabilities** | | | | | | | |
| Loan liabilities | 972.8 | 888.9 | 857.3 | 849.5 | 781.0 | 738.3 | b10 |
| Other liabilities and received prepayments | 3.2 | 3.3 | 3.6 | 11.4 | 12.9 | 12.2 | b9 |
| Provisions | 13.4 | 15.0 | 14.0 | 0.1 | 0.5 | 0.0 | |
| **Total non-current liabilities** | **989.4** | **907.2** | **874.9** | **861.0** | **794.4** | **750.5** | |
| | | | | | | | |
| **Total liabilities** | **1,594.6** | **1,499.4** | **1,441.2** | **1,311.9** | **1,212.4** | **1,180.2** | |
| **Net assets** | | | | | | | |
| **Minority shareholding** | **3.1** | **2.7** | **2.4** | **0.0** | **0.0** | **0.0** | |
| **Local governments Net assets** | | | | | | | |
| Reserves | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | |
| Accumulated surplus or deficit | 5,135.9 | 5,014.5 | 4,759.7 | 3,630.1 | 3,556.6 | 3,353.3 | |
| **Total net assets of local governments** | **5,136.3** | **5,014.9** | **4,760.1** | **3,630.5** | **3,557.0** | **3,353.7** | |
| **Total net assets** | **5,139.4** | **5,017.6** | **4,762.5** | **3,630.5** | **3,557.0** | **3,353.7** | |
| | | | | | | | |
| **Total liabilities and net assets** | **6,734.0** | **6,517.0** | **6,203.7** | **4,942.4** | **4,769.4** | **4,533.9** | |

## 3.2 Statement of financial performance

In millions of euros

| | Consolidated | | Unconsolidated | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Income from operations** | | | | | |
| Tax revenue | 1,615.6 | 1,440.9 | 1,615.6 | 1,440.9 | b2 |
| Grants received | 995.4 | 977.2 | 876.3 | 851.1 | b11 |
| Goods and services sold | 883.3 | 799.7 | 196.8 | 159.5 | b12 |
| Other income | 37.2 | 49.6 | 33.5 | 46.5 | b13 |
| **Total income from operations** | **3,531.5** | **3,267.4** | **2,722.2** | **2,498.0** | |
| **Operating expenses** | | | | | |
| Labour costs | -1,661.2 | -1,517.1 | -1,201.6 | -1,093.4 | b14 |
| Management expenses | -940.4 | -799.0 | -671.9 | -580.6 | b15 |
| Grants awarded | -272.6 | -206.5 | -412.8 | -277.7 | b11 |
| Depreciation and change in value of non-current assets | -323.9 | -295.2 | -212.0 | -192.9 | b16 |
| Other expenditure | -205.1 | -195.7 | -162.7 | -159.8 | b17 |
| **Total operating expenses** | **-3,403.2** | **-3,013.5** | **-2,661.0** | **-2,304.4** | |
| | | | | | |
| **Operating result** | **128.3** | **253.9** | **61.2** | **193.6** | |
| **Financial income and expenditure** | | | | | |
| Profit/loss from financial investments | 2.9 | 6.0 | 14.8 | 12.8 | b4, b5 |
| Interest expense | -14.5 | -10.9 | -13.1 | -8.6 | b10 |
| Income from deposits and securities | 3.0 | 0.7 | 2.7 | 0.4 | |
| Other financial income | 0.0 | 0.1 | 1.0 | 0.6 | |
| **Total financial income and expenditure** | **-8.6** | **-4.1** | **5.4** | **5.2** | |
| | | | | | |
| **Corporate income tax** | **-0.6** | **-0.6** | **0.0** | **0.0** | |
| | | | | | |
| **Surplus or deficit for the reporting period** | **119.1** | **249.2** | **66.6** | **198.8** | |
| | | | | | |
| **Incl. local governments part of surplus/deficit** | **118.6** | **248.9** | **66.6** | **198.8** | |
| **Incl. the share of minority shareholding surplus/deficit** | **0.5** | **0.3** | | | |

## 3.3 Cash flow statement

In millions of euros

| | Consolidated | | Unconsolidated | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Cash flow from principal activities** | | | | | |
| **Operating result** | **128.3** | **253.9** | **61.2** | **193.6** | |
| Depreciation and change in value of non-current assets | **323.9** | 295.2 | 212.0 | 192.9 | b16 |
| VAT expense on acquisitions of non-current assets | 73.4 | 81.8 | 64.9 | 74.9 | b17 |
| Profit/loss from non-current assets sold | -12.5 | -25.7 | -11.5 | -24.3 | b13 |
| Government grants received for the acquisition of non-current assets | -171.5 | -248.1 | -135.5 | -193.3 | b11 |
| Government grants awarded for the acquisition of non-current assets | 11.9 | 14.8 | 72.1 | 32.7 | b11 |
| **Total adjusted operating result** | **353.5** | **371.9** | **263.2** | **276.5** | |
| Net change in current assets | -34.6 | -28.7 | -31.6 | -13.1 | |
| Net change in liabilities | 52.8 | 36.3 | 42.2 | 23.3 | |
| **Total cash flows from principal activities** | **371.7** | **379.5** | **273.8** | **290.9** | |
| **Cash flows from investment activities** | | | | | |
| Investments in non-current assets | -602.0 | -646.4 | -415.7 | -469.9 | b8 |
| Capital gains from non-current assets sold | 18.3 | 30.9 | 17.2 | 28.4 | b6, b7 |
| Government grants received for the acquisition of non-current assets | 114.5 | 160.1 | 90.1 | 131.7 | |
| Government grants awarded for acquisition of non-current assets | -8.3 | -11.4 | -74.6 | -30.8 | |
| Paid upon the acquisition of holdings | 0.0 | -58.5 | -13.1 | -72.6 | b4, b5 |
| Received from the sale and liquidation of holdings | 2.5 | 0.0 | 3.5 | 0.9 | |
| Dividends received | 7.2 | 7.2 | 10.7 | 11.1 | |
| Paid upon the acquisition of financial investments | -0.7 | -0.2 | 0.0 | 0.0 | |
| Received from the sale of financial investments | 0.4 | 0.2 | 0.4 | 0.0 | |
| Loans issued | -0.6 | -0.9 | -4.3 | -37.2 | |
| Repayments of loans received | 2.2 | 2.5 | 8.4 | 5.8 | |
| Interest received and other financial revenue | 0.5 | 0.4 | 1.2 | 0.6 | |
| **Total cash flows from investment activities** | **-466.0** | **-516.1** | **-376.2** | **-432.0** | |
| **Cash flows from financing activities** | | | | | |
| Loans received | 217.5 | 178.4 | 188.9 | 155.8 | b10 |
| Loans repaid | -136.6 | -144.9 | -114.9 | -119.7 | b10 |
| Income tax paid on dividends | -0.6 | -0.6 | 0.0 | 0.0 | |
| Interest paid and other financial expenses | -12.7 | -11.5 | -10.7 | -9.6 | b10 |
| **Total cash flows from financing activities** | **67.6** | **21.4** | **63.3** | 26.5 | |
| **Net cash flows** | | | | | |
| Cash and cash equivalents at the beginning of the year | 459.3 | 574.5 | 280.2 | 394.8 | |
| Cash and cash equivalents at the end of the year | 432.6 | 459.3 | 241.1 | 280.2 | |
| **Change in cash and cash equivalents** | **-26.7** | **-115.2** | **-39.1** | **-114.6** | |

# 3.4 Statement of changes in net assets

In millions of euros

**A. Consolidated report**

| | Net assets of local governments | | | | | | |
|---|---|---|---|---|---|---|---|
| | Cash reserve | Hedging reserve | Accumulated surplus or deficit | Total | Minority shareholding | Total | Note |
| **Balance as of 31.12.2020** | **0.4** | **0.0** | **4,759.7** | **4,760.1** | **2.4** | **4,762.5** | |
| Adjustment of the cost of holdings | | | 0.0 | **0.0** | | **0.0** | b4 |
| Revaluation of investment property | | | 0.5 | **0.5** | | **0.5** | b6 |
| Revaluation of property, plant and equipment | | | 5.4 | **5.4** | | **5.4** | b7 |
| Surplus or deficit for the reporting period | | | 248.9 | **248.9** | 0.3 | **249.2** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **254.8** | **254.8** | **0.3** | **255.1** | |
| **Balance as of 31.12.2021** | **0.4** | **0.0** | **5,014.5** | **5,014.9** | **2.7** | **5,017.6** | |
| Adjustment of the cost of holdings | | | | **0.0** | -0.1 | **-0.1** | |
| Revaluation of investment property | | | 0.4 | **0.4** | | **0.4** | b6 |
| Revaluation of property, plant and equipment | | | 6.6 | **6.6** | | **6.6** | b7 |
| Surplus or deficit for the reporting period | | | 118.6 | **118.6** | 0.5 | **119.1** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **125.6** | **125.6** | **0.4** | **126.0** | |
| Reclassification of SA Tartu Teaduspark to central government | | | -4.2 | **-4.2** | | **-4.2** | |
| **Balance as of 31.12.2022** | **0.4** | **0.0** | **5,135.9** | **5,136.3** | **3.1** | **5,139.4** | |

**B. Unconsolidated report**

| | Cash reserve | Accumulated surplus or deficit | Total | Note |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **0.4** | **3,353.3** | **3,353.7** | |
| Revaluation of investment property | | 0.5 | **0.5** | b6 |
| Revaluation of property, plant and equipment | | 5.3 | **5.3** | b7 |
| Adjustment of the cost of holdings | | -1.3 | **-1.3** | |
| Surplus or deficit of the reporting period | | 198.8 | **198.8** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **203.3** | **203.3** | |
| Reallocation | 0.0 | 0.0 | **0.0** | |
| **Balance as of 31.12.2021** | **0.4** | **3,556.6** | **3,557.0** | |
| Revaluation of investment property | | 0.4 | **0.4** | b6 |
| Revaluation of property, plant and equipment | | 6.5 | **6.5** | b7 |
| Surplus or deficit of the reporting period | | 66.6 | **66.6** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **73.5** | **73.5** | |
| **Balance as of 31.12.2022** | **0.4** | **3,630.1** | **3,630.5** | |

## 3.5 Accounting methods and valuation principles

This additional information provides an overview of the financial position and results of local governments.

The list of local governments, the entities under their controlling influence and key financial indicators are provided in Note b1 to the report.

As of October 2017, there are 79 local authorities in Estonia, and all of these are included in this report.

The consolidated report also includes foundations, non-profit associations and subsidiaries under the controlling influence of the local governments (344 entities, 373 entities in the comparable period).

The report is based on the data provided by the reporting entities in accordance with the public sector financial accounting and reporting guidelines. Reporting entities use accounting principles similar to those of the state (see 2.6. Accounting methods and valuation principles).

In the unconsolidated report, the data of local governments are presented on a consolidated line-by-line basis, with receivables, liabilities, revenue and expenditure between them eliminated. Investments in foundations, non-profit associations and companies under controlling and significant influence are recognised at deemed cost.

In the consolidated report, the data of local governments are added to the data of the entities under their controlling influence on a line-by-line basis, and the assets, liabilities, net assets, revenue and expenditure between the entities covered by the report have been eliminated.

The report is presented in millions of euros.

# 3.6 Notes (b1–b22)

**Note b1**

**Entities consolidated in the report**

In millions of euros

**A. Local government units**

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Total** | **6,734.0** | **5,039.4** | **3,531.5** | **-3,402.2** | **119.1** | **6,517.0** | **5,017.6** | **3,267.4** | **-3,013.5** | **248.9** | **4,942.4** | **3,630.5** | **2,722.2** | **-2,661.0** | **66.6** | **4,769.** | **3,557.0** | **2,498.0** | **-2,304.4** | **198.8** |
| Eliminations | 58.2 | -74.3 | 79.4 | -79.0 | 3.6 | 62.1 | 30.4 | 66.6 | -68.0 | -0.1 | 19.1 | 10.9 | -42.3 | 42.6 | 0.5 | 8.9 | 9.6 | -37.3 | 40.3 | 3.4 |
| **Harju County** | **3,141.1** | **2,412.6** | **1,696.2** | **-1,594.0** | **99.0** | **2,987.3** | **2,307.3** | **1,549.3** | **-1,404.9** | **143.0** | **-2,421.5** | **1,815.8** | **1,341.9** | **-1,304.3** | **45.8** | **2,311.4** | **1,764.2** | **1,201.3** | **-1,088.8** | **118.0** |
| Anija Rural Municipality Government | 35.1 | 27.8 | 14.8 | -15.2 | -0.5 | 33.6 | 28.1 | 13.2 | -13.2 | 0.0 | 19.2 | 12.5 | 13.3 | -13.1 | 0.2 | 17.1 | 12.2 | 11.8 | -11.3 | 0.5 |
| Harku Rural Municipality Government | 127.2 | 101.5 | 44.1 | -38.9 | 5.0 | 124.0 | 96.4 | 39.0 | -35.3 | 3.8 | 88.5 | 64.8 | 39.9 | -33.4 | 6.3 | 84.0 | 58.4 | 35.0 | -30.3 | 4.8 |
| Jõelähtme Rural Municipality Government | 37.1 | 25.9 | 18.9 | -18.5 | 0.3 | 36.6 | 25.6 | 17.5 | -16.7 | 0.7 | 25.6 | 16.9 | 17.0 | -16.7 | 0.2 | 25.2 | 16.7 | 14.2 | -15.5 | -1.4 |
| Keila Town Government | 46.7 | 31.4 | 24.5 | -24.4 | 0.0 | 46.2 | 31.3 | 22.0 | -21.3 | 0.6 | 35.7 | 25.8 | 22.7 | -22.1 | 0.2 | 35.3 | 25.6 | 20.4 | -19.5 | 0.5 |
| Kiili Rural Municipality Government | 30.3 | 24.7 | 15.0 | -14.1 | 0.8 | 29.9 | 23.9 | 13.5 | -12.0 | 1.4 | 9.6 | 4.8 | 13.9 | -12.8 | 1.1 | 8.8 | 3.7 | 12.5 | -11.3 | 1.2 |
| Kose Rural Municipality Government | 42.2 | 32.8 | 18.4 | -18.6 | -0.3 | 42.3 | 33.1 | 17.0 | -16.7 | 0.2 | 30.6 | 22.6 | 16.8 | -17.0 | -0.4 | 31.0 | 23.0 | 15.2 | -15.2 | -0.1 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| Kuusalu Rural Municipality Government | 24.5 | 14.0 | 14.2 | -14.6 | -0.6 | 24.8 | 14.6 | 13.8 | -13.4 | 0.3 | 17.0 | 7.7 | 13.2 | -13.5 | -0.4 | 17.0 | 8.2 | 12.7 | -12.4 | 0.3 |
| Loksa Town Government | 10.1 | 6.2 | 5.3 | -5.6 | -0.3 | 9.8 | 6.5 | 4.5 | -4.7 | -0.3 | 7.8 | 4.2 | 5.0 | -5.2 | -0.2 | 7.3 | 4.4 | 4.2 | -4.3 | -0.2 |
| Lääne-Harju Rural Municipality Government | 71.5 | 55.6 | 32.7 | -29.2 | 3.3 | 71.4 | 52.3 | 32.7 | -25.2 | 7.1 | 38.7 | 24.2 | 30.0 | -26.5 | 3.3 | 36.7 | 20.9 | 23.2 | -23.2 | -0.2 |
| Maardu Town Government | 63.4 | 54.0 | 28.3 | -28.4 | -0.2 | 64.0 | 54.2 | 25.1 | -25.1 | -0.1 | 36.9 | 31.2 | 26.6 | -26.5 | 0.1 | 37.0 | 31.1 | 23.4 | -23.4 | 0.1 |
| Raasiku Rural Municipality Government | 31.8 | 24.4 | 11.9 | -11.1 | 0.8 | 30.1 | 23.6 | 11.2 | -9.7 | 1.4 | 26.7 | 20.0 | 11.5 | -10.5 | 0.9 | 24.9 | 19.0 | 10.8 | -9.3 | 1.5 |
| Rae Rural Municipality Government | 139.8 | 108.6 | 62.2 | -62.6 | -0.7 | 138.5 | 109.0 | 61.9 | -52.9 | 8.8 | 111.4 | 83.9 | 55.4 | -56.8 | -1.1 | 110.9 | 84.6 | 56.2 | -48.3 | 7.8 |
| Saku Rural Municipality Government | 91.2 | 68.8 | 31.5 | -31.3 | 0.0 | 87.8 | 68.7 | 34.3 | -25.2 | 8.9 | 50.4 | 32.2 | 26.9 | -27.0 | -0.2 | 46.2 | 32.5 | 26.3 | -22.1 | 4.1 |
| Saue Rural Municipality Government | 118.0 | 76.6 | 56.5 | -55.0 | 1.1 | 106.3 | 75.3 | 50.3 | -46.6 | 3.6 | 80.8 | 41.6 | 52.3 | -54.4 | -2.5 | 73.3 | 44.0 | 46.8 | -45.3 | 1.1 |
| Tallinn City Government | 2,134.8 | 1,661.7 | 1,261.5 | -1,171.6 | 89.1 | 2,011.5 | 1567.5 | 1,142.1 | -1,040.4 | 102.1 | 1,736.1 | 1,352.6 | 946.0 | -919.0 | 36.8 | 1,658.0 | 1,310.8 | 842.1 | -755.8 | 93.0 |
| Viimsi Rural Municipality Government | 137.4 | 98.6 | 56.4 | -54.9 | 1.2 | 130.5 | 97.2 | 51.2 | -46.5 | 4.5 | 106.5 | 70.8 | 51.4 | -49.8 | 1.5 | 98.7 | 69.1 | 46.5 | -41.6 | 5.0 |
| **Hiiu County** | **65.6** | **48.2** | **25.7** | **-24.2** | **1.3** | **61.3** | **46.9** | **24.7** | **-20.4** | **4.2** | **49.1** | **33.1** | **22.4** | **-21.6** | **0.6** | **46.4** | **32.5** | **22.8** | **-18.0** | **4.7** |
| Hiiumaa Rural Municipality Government | 65.6 | 48.2 | 25.7 | -24.2 | 1.3 | 61.3 | 46.9 | 24.7 | -20.4 | 4.2 | 49.1 | 33.1 | 22.4 | -21.6 | 0.6 | 46.4 | 32.5 | 22.8 | -18.0 | 4.7 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Ida-Viru County** | **643.1** | **509.8** | **358.6** | **-342.0** | **13.3** | **628.5** | **496.0** | **328.1** | **-309.7** | **15.9** | **407.1** | **300.2** | **243.4** | **-221.6** | **20.5** | **387.3** | **279.7** | **219.2** | **-204.3** | **14.1** |
| Alutaguse Rural Municipality Government | 46.6 | 43.9 | 16.6 | -16.7 | 0.0 | 46.8 | 43.9 | 16.3 | -15.0 | 1.4 | 38.1 | 36.2 | 13.4 | -13.2 | 0.2 | 38.0 | 36.0 | 13.2 | -12.5 | 0.7 |
| Jõhvi Rural Municipality Government | 69.0 | 56.5 | 23.0 | -22.1 | 0.1 | 66.5 | 56.4 | 21.9 | -19.5 | 1.8 | 46.1 | 33.7 | 22.4 | -21.4 | 0.9 | 42.8 | 32.8 | 21.2 | -18.7 | 2.4 |
| Kohtla-Järve Town Government | 147.5 | 91,5 | 120.5 | -119.0 | 0.4 | 143.5 | 91.0 | 117.7 | -110.3 | 6.5 | 55.8 | 17.5 | 54.5 | -53.5 | 0.6 | 53.6 | 16.9 | 53.3 | -50.8 | 2.3 |
| Lüganuse Rural Municipality Government | 45.1 | 39.1 | 15.5 | -16.2 | -1.6 | 46.9 | 40.3 | 14.2 | -14.9 | -1.3 | 20.6 | 14.9 | 13.2 | -13.9 | -0.8 | 22.0 | 15.7 | 12.9 | -13.8 | -1.0 |
| Narva City Government | 232.4 | 195.3 | 132.2 | -120.5 | 11.2 | 226.6 | 184.1 | 112.4 | -107.4 | 4.5 | 169.8 | 138.8 | 96.3 | -79.9 | 15.9 | 159.3 | 123.0 | 79.9 | -72.7 | 6.8 |
| Narva-Jõesuu Town Government | 25.0 | 22.3 | 13.5 | -12.7 | 0.8 | 25.4 | 21.5 | 12.2 | -10.7 | 1.5 | 16.2 | 13.9 | 11.3 | -9.7 | 1.5 | 15.9 | 12.3 | 10.2 | -8.4 | 1.8 |
| Sillamäe Town Government | 58.1 | 42.8 | 26.9 | -24.9 | 1.9 | 53.3 | 40.9 | 23.1 | -22.8 | 0.3 | 46.2 | 31.5 | 23.6 | -20.9 | 2.6 | 40.7 | 28.9 | 19.9 | -19.2 | 0.7 |
| Toila Rural Municipality Government | 19.4 | 18.4 | 10.4 | -9.9 | 0.5 | 19.5 | 17.9 | 10.3 | -9.1 | 1.2 | 14.3 | 13.7 | 8.7 | -9.1 | -0.4 | 15.0 | 14.1 | 8.6 | -8.2 | 0.4 |
| **Järva County** | **184.4** | **145.6** | **64.2** | **-64.6** | **0.8** | **185.1** | **144.8** | **59.1** | **-59.6** | **-1.0** | **124.4** | **89.5** | **57.6** | **-58.3** | **2.5** | **123.4** | **87.3** | **53.2** | **-54.0** | **-0.7** |
| Järva Rural Municipality Government | 43.3 | 32.2 | 21.0 | -21.3 | -0.2 | 42.7 | 32.4 | 19.4 | -19.4 | -0.2 | 32.2 | 21.9 | 19.4 | -19.3 | 0.1 | 31.3 | 21.9 | 17.5 | -17.6 | -0.1 |
| Paide Town Government | 85.2 | 71.1 | 22.6 | -21.9 | 1.3 | 84.1 | 69.8 | 20.5 | -20.2 | 0.2 | 42.1 | 30.9 | 18.0 | -18.0 | 1.6 | 40.8 | 29.4 | 16.8 | -16.8 | 0.1 |
| Türi Rural Municipality Government | 55.9 | 42.3 | 20.6 | -21.4 | -0.3 | 58.3 | 42.6 | 19.2 | -20.0 | -1.0 | 50.1 | 36.7 | 20.2 | -21.0 | 0.8 | 51.3 | 36.0 | 18.9 | -19.6 | -0.7 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Jõgeva County** | **144.0** | **104.5** | **63.0** | **-60.4** | **2.2** | **135.0** | **102.2** | **56.8** | **-53.9** | **3.0** | **92.0** | **58.2** | **52.8** | **-53.5** | **-2.5** | **89.1** | **60.6** | **49.0** | **-48.9** | **0.2** |
| Jõgeva Rural Municipality Government | 58.7 | 40.0 | 27.8 | -28.6 | -1.0 | 56.3 | 41.0 | 24.6 | -24.7 | -0.2 | 45.2 | 27.7 | 25.6 | -26.3 | -0.8 | 42.5 | 28.5 | 22.6 | -23.0 | -0.3 |
| Mustvee Rural Municipality Government | 23.1 | 17.8 | 10.3 | -10.6 | -0.3 | 23.4 | 18.0 | 9.8 | -10.2 | -0.1 | 14.9 | 9.9 | 9.3 | -9.4 | -0.2 | 15.1 | 10.0 | 8.9 | -9.2 | -0.3 |
| Põltsamaa Rural Municipality Government | 62.2 | 46.7 | 24.9 | -21.2 | 3.5 | 55.3 | 43.2 | 22.4 | -19.0 | 3.3 | 31.9 | 20.6 | 17.9 | -17.8 | -1.5 | 31.5 | 22.1 | 17.5 | -16.7 | 0.8 |
| **Lääne County** | **118.8** | **86.7** | **46.9** | **-48.5** | **-2.0** | **116.3** | **89.1** | **46.4** | **-42.0** | **4.0** | **80.7** | **53.8** | **41.9** | **-42.4** | **-0.9** | **76.7** | **54.7** | **40.0** | **-37.5** | **2.3** |
| Haapsalu City Government | 78.8 | 58.4 | 29.5 | -30.5 | -0.9 | 77.3 | 59.6 | 30.3 | -26.2 | 4.0 | 50.3 | 33.0 | 25.3 | -25.2 | -0.1 | 47.5 | 33.1 | 24.5 | -22.3 | 2.1 |
| Lääne-Nigula Rural Municipality Government | 37.0 | 25.6 | 16.2 | -16.9 | -1.1 | 35.9 | 26.8 | 14.7 | -14.7 | -0.2 | 27.4 | 18.1 | 15.4 | -16.1 | -0.8 | 26.1 | 18.9 | 14.1 | -14.1 | 0.0 |
| Vormsi Rural Municipality Government | 3.0 | 2.7 | 1.2 | -1.1 | 0.0 | 3.1 | 2.7 | 1.4 | -1.1 | 0.2 | 3.0 | 2.7 | 1.2 | -1.1 | 0.0 | 3.1 | 2.7 | 1.4 | -1.1 | 0.2 |
| **Lääne-Viru County** | **289.5** | **230.0** | **121.8** | **-123.4** | **-2.3** | **288.0** | **232.0** | **118.2** | **-112.5** | **4.9** | **219.4** | **166.4** | **111.7** | **-111.8** | **-0.6** | **216.5** | **166.9** | **107.6** | **-102.2** | **5.0** |
| Haljala Rural Municipality Government | 33.0 | 25.4 | 10.3 | -9.7 | 0.5 | 28.1 | 24.9 | 9.1 | -8.5 | 0.5 | 26.6 | 19.3 | 9.6 | -8.8 | 0.8 | 21.4 | 18.4 | 8.5 | -7.7 | 0.8 |
| Kadrina Rural Municipality Government | 22.2 | 18.3 | 9.7 | -10.1 | -0.5 | 23.3 | 18.8 | 9.6 | -9.5 | 0.0 | 16.3 | 12.9 | 8.7 | -9.0 | -0.3 | 17.2 | 13.2 | 8.4 | -8.2 | 0.1 |
| Rakvere Town Government | 90.4 | 73.2 | 32.6 | -31.6 | 0.8 | 93.4 | 72.5 | 33.0 | -28.3 | 4.2 | 56.8 | 43.7 | 27.8 | -26.8 | 0.9 | 59.6 | 43.0 | 27.9 | -24.3 | 3.5 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| Rakvere Rural Municipality Government | 16.1 | 13.6 | 11.0 | -11.1 | -0.1 | 15.0 | 13.7 | 10.9 | -10.2 | 0.6 | 16.1 | 13.6 | 11.0 | -11.1 | -0.1 | 15.0 | 13.7 | 10.9 | -10.2 | 0.6 |
| Tapa Rural Municipality Government | 52.1 | 39.3 | 21.8 | -22.4 | -0.8 | 53.0 | 40.0 | 20.3 | -21.2 | -1.1 | 37.4 | 25.1 | 19.7 | -19.7 | -0.1 | 37.6 | 25.1 | 18.2 | -18.7 | -0.6 |
| Vinni Rural Municipality Government | 23.0 | 17.0 | 13.8 | -13.9 | -0.1 | 22.9 | 16.9 | 14.2 | -12.6 | 1.9 | 19.4 | 13.9 | 13.2 | -13.0 | 0.1 | 19.5 | 13.8 | 13.6 | -12.0 | 1.6 |
| Viru-Nigula Rural Municipality Government | 21.9 | 18.2 | 10.2 | -10.9 | -0.8 | 22,5 | 18.9 | 9.7 | -10.2 | -0.6 | 19.2 | 15.6 | 10.1 | -10.7 | -0.7 | 19.8 | 16.2 | 9.5 | -10.0 | -0.5 |
| Väike-Maarja Rural Municipality Government | 30.8 | 25.0 | 12.4 | -13.7 | -1.3 | 29.8 | 26.3 | 11.4 | -12.0 | -0.6 | 27.6 | 22.3 | 11.6 | -12.7 | -1.2 | 26.4 | 23.5 | 10.6 | -11.1 | -0.5 |
| **Pärnu County** | **486.3** | **402.1** | **258.9** | **-254.7** | **2.9** | **484.7** | **399.0** | **237.7** | **-219.1** | **17.6** | **354.3** | **302.0** | **170.2** | **-165.8** | **4.1** | **351.8** | **297.8** | **158.2** | **-140.1** | **17.8** |
| Häädemeeste Rural Municipality Government | 19.9 | 12.9 | 10.4 | -9.7 | 0.7 | 18.4 | 12.2 | 9.3 | -8.6 | 0.6 | 17.4 | 11.4 | 9.7 | -9.4 | 0.3 | 16.9 | 11.1 | 8.8 | -8.4 | 0.4 |
| Kihnu Rural Municipality Government | 4.5 | 4.0 | 1.7 | -1.8 | -0.1 | 4.8 | 4.1 | 1.6 | -1.6 | 0.0 | 4.5 | 4.0 | 1.7 | -1.8 | -0.1 | 4.8 | 4.1 | 1.6 | -1.6 | 0.0 |
| Lääneranna Rural Municipality Government | 34.4 | 26.7 | 10.3 | -9.9 | -0.3 | 34.3 | 26.9 | 9.7 | -9.1 | 0.1 | 22.0 | 15.0 | 9.3 | -9.3 | 0.0 | 22.2 | 15.0 | 9.1 | -8.7 | 0.4 |
| Põhja-Pärnumaa Rural Municipality Government | 30.6 | 24.0 | 15.7 | -16.5 | -0.8 | 31.5 | 24.7 | 15.3 | -14.4 | 0.9 | 24.4 | 18.1 | 15.3 | -15.5 | -0.3 | 24.5 | 18.3 | 14.6 | -13.5 | 1.0 |
| Pärnu City Government | 332.8 | 281.8 | 188.1 | -182.7 | 4.9 | 333.1 | 276.9 | 169.4 | -156.5 | 12.6 | 238.0 | 216.4 | 103.9 | -98.6 | 5.3 | 237.7 | 211.1 | 94.2 | -81.7 | 12.4 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| Saarde Rural Municipality Government | 20.7 | 17.0 | 9.2 | -9.9 | -0.7 | 21.1 | 17.7 | 9.6 | -8.7 | 0.8 | 15.8 | 12.3 | 7.9 | -8.4 | -0.6 | 15.8 | 12.9 | 8.0 | -7.4 | 0.6 |
| Tori Rural Municipality Government | 43.4 | 35.7 | 23.5 | -24.2 | -0.8 | 41.5 | 36.5 | 22.8 | -20.2 | 2.6 | 32.2 | 24.8 | 22.4 | -22.8 | -0.5 | 29.9 | 25.3 | 21.9 | -18.8 | 3.0 |
| **Põlva County** | **119.8** | **94.3** | **53.2** | **-52.8** | **0.3** | **116.5** | **94.3** | **49.2** | **-47.6** | **2.2** | **85.4** | **65.0** | **47.1** | **-45.6** | **1.2** | **80.0** | **63.6** | **42.0** | **-41.8** | **0.2** |
| Kanepi Rural Municipality Government | 12.8 | 10.3 | 9.4 | -9.2 | 0.3 | 12.4 | 10.3 | 8.3 | -7.8 | 0.9 | 11.8 | 9.3 | 9.4 | -9.2 | 0.1 | 11.2 | 9.1 | 8.3 | -7.8 | 0.5 |
| Põlva Rural Municipality Government | 79.1 | 61.6 | 30.7 | -29.7 | 0.9 | 76.0 | 60.6 | 28.2 | -27.4 | 0.8 | 52.8 | 39.8 | 27.1 | -25.4 | 1.5 | 48.5 | 38.2 | 23.5 | -24.0 | -0.5 |
| Räpina Rural Municipality Government | 27.9 | 22.4 | 13.1 | -13.9 | -0.9 | 28.1 | 23.4 | 12.7 | -12.4 | 0.5 | 20.8 | 15.9 | 10.6 | -11.0 | -0.4 | 20.3 | 16.3 | 10.2 | -10.0 | 0.2 |
| **Rapla County** | **174.0** | **136.9** | **72.8** | **-72.6** | **-1.0** | **172.3** | **137.9** | **75.7** | **-64.6** | **10.4** | **111.7** | **78.1** | **65.6** | **-67.6** | **-1.2** | **108.6** | **79.3** | **61.7** | **-59.8** | **1.7** |
| Kehtna Rural Municipality Government | 23.5 | 18.6 | 11.4 | -11.3 | -0.1 | 23.3 | 18.7 | 10.7 | -10.4 | 0.3 | 18.9 | 14.3 | 10.7 | -10.3 | 1.5 | 17.2 | 12.8 | 10.1 | -9.4 | 0.7 |
| Kohila Rural Municipality Government | 58.1 | 43.8 | 19.0 | -18.0 | 1.0 | 55.3 | 42.8 | 25.2 | -15.1 | 10.0 | 26.5 | 14.4 | 15.5 | -16.4 | -1.0 | 24.1 | 15.4 | 14.3 | -14.0 | 0.3 |
| Märjamaa Rural Municipality Government | 38.7 | 29.3 | 15.6 | -16.2 | -1.3 | 39.5 | 30.6 | 13.6 | -14.7 | -1.5 | 23.9 | 14.8 | 13.9 | -15.2 | -1.4 | 24.9 | 16.3 | 12.1 | -13.1 | -1.1 |
| Rapla Rural Municipality Government | 53.7 | 45.2 | 26.8 | -27.1 | -0.6 | 54.2 | 45.8 | 26.2 | -24.4 | 1.6 | 42.4 | 34.6 | 25.5 | -25.7 | -0.3 | 42.4 | 34.8 | 25.2 | -23.3 | 1.8 |
| **Saare County** | **191.1** | **150.6** | **103.9** | **-99.1** | **4.3** | **186.9** | **146.2** | **92.8** | **-86.5** | **5.7** | **134.3** | **103.3** | **70.1** | **-67.5** | **2.2** | **132.3** | **101.2** | **63.3** | **-58.6** | **5.5** |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| Muhu Rural Municipality Government | 7.1 | 6.3 | 4.0 | -3.6 | 0.3 | 6.9 | 6.0 | 3.9 | -3.3 | 0.5 | 7.1 | 6.3 | 4.0 | -3.6 | 0.3 | 6.9 | 6.0 | 3.9 | -3.3 | 0.5 |
| Ruhnu Rural Municipality Government | 2.0 | 2.0 | 0.9 | -0.6 | 0.3 | 1.9 | 1.6 | 0.7 | -0.5 | 0.2 | 1.9 | 1.8 | 0.9 | -0.6 | 0.3 | 1.8 | 1.6 | 0.7 | -0.5 | 0.2 |
| Saaremaa Rural Municipality Government | 182.0 | 142.3 | 99.0 | -94.9 | 3.7 | 178.1 | 138.6 | 88.2 | -82.7 | 5.0 | 125.3 | 95.2 | 65.2 | -63.3 | 1.6 | 123.6 | 93.6 | 58.7 | -54.8 | 4.8 |
| **Tartu County** | **629.6** | **424.7** | **360.3** | **-360.2** | **-1.4** | **610.2** | **426.4** | **336.0** | **-316.9** | **20.8** | **508.4** | **316.5** | **334.3** | **-333.6** | **-0.3** | **489.2** | **316.9** | **310.5** | **-299.5** | **11.7** |
| Elva Rural Municipality Government | 54.8 | 39.0 | 30.5 | -31.0 | -0.6 | 55.8 | 39.8 | 31.0 | -29.4 | 2.3 | 29.1 | 14.5 | 27.7 | -27.6 | 0.1 | 29.3 | 14.4 | 28.0 | -27.2 | 0.7 |
| Kambja Rural Municipal Government | 31.9 | 26.7 | 27.4 | -25.0 | 2.3 | 27.3 | 24.3 | 24.5 | -20.4 | 4.1 | 30.2 | 25.1 | 26.5 | -24.2 | 2.3 | 25.7 | 22.8 | 23.8 | -19.8 | 4.0 |
| Kastre Rural Municipality Government | 22.6 | 16.7 | 12.6 | -12.5 | 0.0 | 20.5 | 16.5 | 11.5 | -10.7 | 0.9 | 18.4 | 12.6 | 11.7 | -11.6 | 0.0 | 16.5 | 12.5 | 10.7 | -9.9 | 0.7 |
| Luunja Rural Municipality Government | 21.0 | 12.3 | 11.5 | -10.4 | 1.0 | 18.7 | 11.4 | 11.0 | -8.9 | 2.1 | 17.4 | 8.8 | 11.2 | -10.5 | 0.7 | 15.4 | 8.1 | 10.6 | -10.6 | -0.1 |
| Nõo Rural Municipality Government | 20.8 | 16.4 | 8.7 | -8.5 | 0.2 | 20.5 | 16.2 | 8.8 | -7.5 | 1.5 | 16.6 | 12.1 | 8.3 | -8.0 | 0.2 | 16.2 | 11.9 | 8.3 | -7.1 | 1.2 |
| Peipsiääre Rural Municipality Government | 19.8 | 13.8 | 11.3 | -11.4 | -0.2 | 19.4 | 14.1 | 10.5 | -10.5 | 0.1 | 16.4 | 10.6 | 10.0 | -10.2 | -0.2 | 16.1 | 10.9 | 9.4 | -9.4 | -0.1 |
| Tartu City Government | 410.8 | 271.3 | 230.8 | -235.2 | -5.2 | 401.2 | 276.5 | 214.3 | -206.4 | 8.4 | 348.1 | 219.8 | 212.8 | -216.5 | -4.4 | 339.5 | 224.2 | 196.6 | -191.4 | 6.4 |
| Tartu Rural Municipality Government | 47.9 | 28.5 | 23.3 | -26.2 | 1.1 | 46.8 | 27.6 | 24.4 | -23.1 | 1.4 | 32.2 | 13.0 | 26.1 | -25.0 | 1.0 | 30.5 | 12.1 | 23.1 | -24.1 | -1.1 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Viljandi County** | **180.1** | **129.8** | **93.0** | **-94.9** | **-2.5** | **180.5** | **131.3** | **93.7** | **-86.4** | **7.0** | **137.4** | **99.2** | **86.6** | **-87.3** | **-1.1** | **146.9** | **100.3** | **87.4** | **-79.4** | **7.8** |
| Mulgi Rural Municipality Government | 25.6 | 17.3 | 15.2 | -15.5 | -0.5 | 25.7 | 17.7 | 14.7 | -14.0 | 0.6 | 20.8 | 13.1 | 13.5 | -13.8 | -0.3 | 20.8 | 13.4 | 13.1 | -12.6 | 0.5 |
| Põhja-Sakala Rural Municipality Government | 43.9 | 32.5 | 18.4 | -18.9 | -0.7 | 45.1 | 33.2 | 18.0 | -17.4 | 0.5 | 21.6 | 21.4 | 16.4 | -16.3 | 0.0 | 32.0 | 21.4 | 16.0 | -15.3 | 0.7 |
| Viljandi Town Government | 62.5 | 43.9 | 33.3 | -35.0 | -1.9 | 64.5 | 45.7 | 36.1 | -31.8 | 4.2 | 54.0 | 35.5 | 31.1 | -32.5 | -1.6 | 55.5 | 37.0 | 34.0 | -29.5 | 4.4 |
| Viljandi Rural Municipality Government | 48.1 | 36.1 | 26.1 | -25.5 | 0.6 | 45.2 | 34.7 | 24.9 | -23.2 | 1.7 | 41.0 | 29.2 | 25.6 | -24.7 | 0.8 | 38.6 | 28.5 | 24.3 | -22.0 | 2.2 |
| **Valga County** | **123.4** | **95.6** | **57.4** | **-56.3** | **0.4** | **120.4** | **94.4** | **54.1** | **-52.3** | **2.0** | **76.5** | **54.5** | **50.2** | **-49.6** | **0.4** | **76.6** | **53.6** | **48.9** | **-47.6** | **1.2** |
| Otepää Rural Municipality Government | 24.4 | 17.4 | 15.0 | -15.1 | -0.6 | 22.7 | 17.6 | 15.1 | -13.5 | 1.6 | 16.4 | 13.1 | 12.2 | -13.1 | -0.9 | 17.6 | 13.9 | 13.3 | -11.5 | 1.8 |
| Tõrva Rural Municipality Government | 26.8 | 20.8 | 12.2 | -12.5 | -0.4 | 27.1 | 20.8 | 12.0 | -12.2 | -0.2 | 13.0 | 7.7 | 10.7 | -11.1 | -0.4 | 13.4 | 7.7 | 10.9 | -12.4 | -1.5 |
| Valga Rural Municipality Government | 72.2 | 57.4 | 30.2 | -28.7 | 1.4 | 70.6 | 56.0 | 27.0 | -26.6 | 0.6 | 47.1 | 33.7 | 27.3 | -25.4 | 1.7 | 45.6 | 32.0 | 24.7 | -23.7 | 0.9 |
| **Võru County** | **185.0** | **142.3** | **76.2** | **-75.5** | **0.2** | **181.9** | **139.4** | **79.0** | **-69.1** | **9.3** | **121.1** | **84.0** | **68.7** | **-73.1** | **-4.6** | **124.3** | **88.8** | **70.2** | **-64.2** | **5.9** |
| Antsla Rural Municipality Government | 16.8 | 13.6 | 7.6 | -7.3 | 0.4 | 16.3 | 13.1 | 7.9 | -6.7 | 1.6 | 14.7 | 11.5 | 7.6 | -7.3 | 0.3 | 14.4 | 11.2 | 7.9 | -6.7 | 1.1 |
| Rõuge Rural Municipality Government | 24.4 | 16.7 | 10.6 | -11.6 | -0.8 | 24.4 | 17.6 | 11.3 | -10.7 | 0.7 | 23.7 | 16.0 | 9.9 | -11.1 | -1.2 | 24.0 | 17.3 | 11.1 | -10.4 | 0.6 |

| | Consolidated report | | | | | | | | | | Unconsolidated report | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| Setomaa Rural Municipality Government | 12.3 | 8.0 | 8.8 | -9.2 | -0.5 | 14.1 | 8.4 | 9.1 | -9.3 | -0.3 | 12.2 | 7.8 | 8.6 | -8.9 | -0.3 | 13.8 | 8.2 | 8.9 | -9.1 | -0.2 |
| Võru Town Government | 91.4 | 68.3 | 29.0 | -26.5 | 0.5 | 87.9 | 65.3 | 30.0 | -23.4 | 4.9 | 37.7 | 20.2 | 23.4 | -26.4 | -3.2 | 39.3 | 23.4 | 22,5 | -20.0 | 2.3 |
| Võru Rural Municipality Government | 40.1 | 35.7 | 20.2 | -20.9 | 0.6 | 39.2 | 35.0 | 20.7 | -19.0 | 2.4 | 32.8 | 28.5 | 19.2 | -19.4 | -0.2 | 32.8 | 28.7 | 19.8 | -18.0 | 2.1 |

### B. Ownership interest in foundations and non-profit associations

In the consolidated annual report, the following foundations and non-profit associations have been consolidated line-by-line with a holding rate of 100%:

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Total foundations and non-profit associations** | **416.1** | **326.1** | **429.0** | **-416.6** | **11.6** | **387.2** | **318.1** | **375.8** | **-366.6** | **10.0** |
| **Foundations and non-profit associations included in general government sector** | **398.9** | **312.9** | **410.7** | **-398.4** | **11.6** | **364.9** | **300.8** | **358.1** | **-349.3** | **9.8** |
| SA Ida-Viru Keskhaigla | 69.4 | 51.9 | 65.5 | -64.7 | 0.8 | 66.7 | 51.1 | 64.0 | -59.0 | 5.0 |
| SA Pärnu Haigla | 43.4 | 29.0 | 64.3 | -64.5 | -0.2 | 42.9 | 29.2 | 59.6 | -59.5 | 0.1 |
| SA Tallinna Lastehaigla | 24.8 | 20.5 | 40.1 | -38.7 | 1.4 | 23.5 | 19.1 | 36.5 | -36.5 | 0.0 |
| SA Tallinna Kultuurikatel | 17.7 | 17.2 | 1.6 | -1.9 | -0.4 | 18.1 | 17.6 | 1.1 | -1.6 | -0.5 |
| Narva Haigla SA | 16.9 | 13.4 | 30.1 | -31.8 | -1.7 | 18.4 | 15.1 | 27.1 | -27.3 | -0.2 |
| Kuressaare Haigla SA | 14.5 | 11.7 | 20.6 | -19.1 | 1.4 | 13.1 | 10.2 | 17.9 | -17.1 | 0.8 |
| Kiili Varahalduse SA | 13.7 | 12.3 | 2.6 | -2.7 | -0.1 | 13.8 | 12.4 | 2.7 | -2.4 | 0.4 |
| Raadi SA | 11.9 | 7.6 | 1.2 | -1.1 | 0.1 | 12.2 | 7.5 | 3.2 | -1.0 | 2.1 |
| Veskimöldre Haridusmaja SA | 10.3 | 9.6 | 3.7 | -0.6 | 3.2 | 7.0 | 6.4 | 1.1 | -0.8 | 0.3 |
| SA Elva Kultuur | 9.8 | 5.7 | 1.0 | -1.4 | -0.5 | 11.0 | 6.2 | 1.5 | -1.2 | 0.2 |
| SA Ida-Viru Investeeringute Agentuur | 9.2 | 8.7 | 1.0 | -0.9 | 0.1 | 8.7 | 8.6 | 0.7 | -1.0 | -0.3 |
| MTÜ Põhja-Eesti Ühistranspordikeskus | 7.9 | 4.3 | 33.4 | -33.0 | 0.4 | 7.0 | 3.9 | 23.3 | -27.4 | 0.1 |
| SA Hiiumaa Sadamad | 7.5 | 6.4 | 1.9 | -0.7 | 1.2 | 5.3 | 5.2 | 0.3 | -0.5 | -0.2 |
| MTÜ Rakvere Haigla | 6.3 | 6.3 | 0.0 | 0.0 | 0.0 | 6.3 | 6.3 | 0.0 | 0.0 | 0.0 |
| SA Paide Spordikeskus | 5.9 | 3.6 | 0.7 | -0.6 | 0.1 | 6.0 | 3.6 | 0.4 | -0.5 | -0.2 |
| SA Märjamaa Valla Spordikeskus | 5.1 | 4.9 | 1.2 | -0.5 | 0.7 | 4.4 | 4.2 | 0.3 | -0.5 | -0.1 |
| MTÜ Pärnumaa Ühistranspordikeskus | 4.8 | 2.8 | 14.2 | -14.4 | -0.2 | 5.1 | 3.0 | 12.5 | -12.6 | -0.2 |
| Lääne-Saare Kultuurivara SA | 4.4 | 4.4 | 0.1 | -0.3 | -0.1 | 4.6 | 4.5 | 0.1 | -0.2 | -0.1 |
| SA Põltsamaa Tervis | 4.4 | 2.1 | 2.1 | -1.8 | 0.3 | 3.1 | 1.9 | 1.6 | -1.3 | 0.3 |
| SA Eesti Kaevandusmuuseum | 4.3 | 4.2 | 1.0 | -0.6 | 0.4 | 4.5 | 3.8 | 1.3 | -0.5 | 0.8 |
| SA Tallinna Haigla Arendus | 3.7 | 3.2 | 4.4 | -1.2 | 3.2 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Võru Spordikeskus | 3.6 | 2.5 | 0.8 | -0.7 | 0.1 | 3.7 | 2.4 | 0.7 | -0.6 | 0.1 |
| SA Paide Haldus | 3.4 | 3.3 | 1.2 | -1.4 | -0.2 | 3.6 | 3.5 | 1.2 | -1.4 | -0.2 |
| SA Perekodu | 3.4 | 3.0 | 1.9 | -2.1 | -0.2 | 3.5 | 3.2 | 1.7 | -1.8 | -0.1 |
| Luunja Varahalduse SA | 3.1 | 2.8 | 1.0 | -0.7 | 0.3 | 2.9 | 2.5 | 2.3 | -0.6 | 1.7 |
| MTÜ Võrumaa Omavalitsuste Liit | 3.0 | 2.9 | 0.1 | -0.1 | 0.0 | 2.9 | 2.9 | 0.0 | 0.0 | 0.0 |
| Tallinna Ettevõtlusinkubaatorid SA | 3.0 | 2.8 | 1.3 | -1.2 | 0.1 | 2.8 | 2.6 | 1.1 | -1.1 | 0.1 |
| MTÜ Mulgi Elamuskeskus | 2.9 | 2.3 | 1.1 | -0.1 | 1.0 | 1.5 | 1.3 | 0.9 | 0.0 | 0.8 |
| SA Narva-Jõesuu Hooldekodu | 2.8 | 2.5 | 1.9 | -2.3 | -0.4 | 3.1 | 2.9 | 1.7 | -1.7 | 0.0 |
| SA Anija Mõisa Haldus | 2.6 | 2.6 | 0.3 | -0.4 | -1.0 | 2.7 | 2.7 | 0.3 | -0.4 | -0.1 |
| SA Tallinna Tehnika- ja Teaduskeskus | 2.6 | 2.6 | 0.4 | -0.4 | 0.0 | 2.7 | 2.6 | 0.4 | -0.4 | 0.0 |
| SA Ajakeskus Wittenstein | 2.4 | 2.2 | 1.0 | -0.8 | 0.2 | 2.0 | 1.9 | 1.5 | -0.5 | 0.9 |
| SA Anija Valla Spordimaailm | 2.1 | 2.1 | 0.5 | -0.6 | -0.1 | 2.2 | 2.2 | 0.4 | -0.6 | -0.2 |
| MTÜ Lõuna-Eesti Erihooldusteenuste Keskus | 2.1 | 0.9 | 1.8 | -1.8 | 0.0 | 2.1 | 0.9 | 1.7 | -1.7 | 0.0 |
| SA Alutaguse Hoolekeskus | 2.1 | 1.9 | 1.4 | -1.4 | 0.0 | 2.1 | 2.0 | 1.3 | -1.3 | 0.0 |
| Muhu Hooldekeskuse SA | 1.9 | 1.8 | 0.6 | -0.6 | 0.0 | 1.9 | 1.8 | 0.6 | -0.6 | 0.0 |
| SA Rapla Spordirajatised | 1.8 | 1.8 | 0.4 | -0.4 | 0.0 | 1.9 | 1.8 | 0.4 | -0.4 | 0.0 |
| SA Saadjärve | 1.8 | 1.7 | 0.4 | -0.6 | -0.1 | 1.9 | 1.9 | 0.5 | -0.5 | 0.0 |
| SA Lõhavere Ravi- ja Hooldekeskus | 1.7 | 1.7 | 1.1 | -1.2 | -0.1 | 1.8 | 1.7 | 1.1 | -1.0 | 0.0 |
| SA Haapsalu Hoolekandekeskus | 1.7 | 1.5 | 1.1 | -1.2 | -0.1 | 1.7 | 1.6 | 1.0 | -1.0 | -0.1 |

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| MTÜ Kuressaare Campus | 1.6 | 1.6 | 0.1 | -0.2 | -0.1 | 1.7 | 1.7 | 0.1 | -0.2 | -0.1 |
| SA Mäetaguse Arengufond | 1.5 | 1.5 | 0.0 | 0.0 | 0.1 | 1.4 | 1.4 | 0.0 | -0.1 | 0.1 |
| SA Elva Laste- ja Perekeskus | 1.4 | 1.2 | 1.5 | -1.6 | -0.1 | 1.5 | 1.3 | 1.4 | -1.5 | -0.1 |
| Vastseliina Piiskopilinnuse SA | 1.4 | 1.4 | 0.3 | -0.4 | -0.1 | 1.5 | 1.5 | 0.3 | -0.3 | 0.0 |
| SA Lääneranna Hoolekanne | 1.4 | 0.7 | 0.9 | -0.6 | 0.3 | 0.4 | 0.4 | 0.5 | -0.4 | 0.1 |
| SA Kalevipoja Koda | 1.3 | 1.3 | 0.1 | -0.3 | -0.1 | 1.4 | 1.4 | 0.1 | -0.2 | -0.1 |
| Harjumaa Omavalitsuste Liit | 1.3 | 1.2 | 1.2 | -1.1 | 0.0 | 1.3 | 1.2 | 1.2 | -1.1 | 0.1 |
| SA Otepää Tervisekeskus | 1.3 | 1.1 | 1.4 | -1.4 | 0.0 | 1.3 | 1.1 | 1.3 | -1.3 | 0.0 |
| SA Sillamäe Haigla | 1.3 | 1.1 | 1.2 | -1.2 | -0.1 | 1.3 | 1.2 | 1.2 | -1.2 | 0.0 |
| MTÜ Eesti Linnade ja Valdade Liit | 1.3 | 1.1 | 1.7 | -1.5 | 0.2 | 1.1 | 1.0 | 1.4 | -1.4 | 0.0 |
| SA Luunja Jõesadam | 1.3 | 1.1 | 0.2 | -0.2 | 0.0 | 1.1 | 1.1 | 0.7 | -0.2 | 0.5 |
| SA Võru Kannel | 1.3 | 1.3 | 1.7 | -0.8 | 0.9 | 0.4 | 0.3 | 0.7 | -0.6 | 0.1 |
| SA Mustvee Tervis | 1.2 | 1.0 | 0.8 | -0.8 | 0.0 | 1.3 | 1.0 | 0.6 | -0.7 | -0.1 |
| SA Põltsamaa Sport | 1.2 | 1.2 | 0.5 | -0.6 | -0.1 | 1.3 | 1.3 | 0.5 | -0.6 | -0.1 |
| SA Taheva Sanatoorium | 1.2 | 1.0 | 1.2 | -1.1 | 0.0 | 1.2 | 1.0 | 1.3 | -1.3 | 0.0 |
| SA Valgehobusemäe Suusa- ja Puhkekeskus | 1.1 | 1.0 | 0.5 | -0.4 | 0.1 | 1.1 | 1.0 | 0.6 | -0.5 | 0.1 |
| SA Narva Linna Arendus | 1.1 | 1.1 | 0.9 | -0.7 | 0.2 | 1.0 | 0.9 | 0.5 | -0.6 | -0.1 |
| SA Tartu Vaimse Tervise Hooldekeskus | 1.0 | 0.8 | 2.1 | -2.2 | -0.1 | 1.1 | 0.8 | 2.0 | -2.0 | 0.0 |
| SA Hooldekodu Härmalõng | 1.0 | 0.9 | 0.9 | -1.0 | -0.1 | 1.0 | 1.0 | 0.8 | -0.9 | 0.0 |
| SA Kuressaare Teater | 1.0 | 0.9 | 0.6 | -0.6 | 0.0 | 1.0 | 1.0 | 0.6 | -0.5 | 0.0 |
| SA Peipsiveere Hooldusravikeskus | 1.0 | 0.9 | 1.2 | -1.1 | 0.1 | 0.9 | 0.8 | 1.0 | -1.0 | 0.0 |
| MTÜ Maakondlikud Arenduskeskused | 1.0 | 0.7 | 3.0 | -2.8 | 0.2 | 0.7 | 0.5 | 2.9 | -2.6 | 0.3 |
| SA Tartu 2024 | 1.0 | 1.0 | 3.1 | -2.7 | 0.3 | 0.7 | 0.6 | 1.7 | -1.1 | 0.6 |
| MTÜ Tartumaa Jäätmearendus | 0.9 | 0.9 | 0.0 | -0.1 | -0.1 | 1.0 | 1.0 | 0.0 | -0.1 | -0.1 |
| Jõhvi Hooldekeskus SA | 0.9 | 0.8 | 0.7 | -0.8 | 0.0 | 0.9 | 0.8 | 0.8 | -0.8 | -0.1 |
| SA Ida-Viru Ettevõtluskeskus | 0.9 | 0.1 | 1.8 | -1.9 | 0.0 | 0.8 | 0.1 | 1.3 | -1.3 | 0.0 |
| SA Holstre-Polli Spordikeskus | 0.9 | 0.9 | 0.1 | 0.0 | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| MTÜ Pärnumaa Omavalitsuste Liit | 0.9 | 0.3 | 1.1 | -1.1 | 0.1 | 0.3 | 0.2 | 0.8 | -3.4 | -2.6 |
| Pannjärve Tervisespordikeskuse SA | 0.8 | 0.7 | 0.4 | -0.4 | 0.0 | 0.7 | 0.6 | 0.3 | -0.3 | 0.0 |
| MTÜ Järvamaa Ühistranspordi Keskus | 0.8 | 0.5 | 2.4 | -2.4 | 0.0 | 0.6 | 0.5 | 1.8 | -1.8 | 0.0 |
| SA Tartu Kultuurkapital | 0.7 | 0.5 | 0.3 | -0.3 | 0.0 | 0.7 | 0.5 | 0.2 | -0.2 | 0.0 |
| SA Hiiumaa Arenduskeskus | 0.6 | 0.4 | 0.8 | -0.8 | 0.0 | 0.6 | 0.4 | 0.6 | -0.4 | 0.2 |
| SA Kuremaa Turismi- ja Arenduskeskus | 0.6 | 0.6 | 0.2 | -0.2 | 0.0 | 0.6 | 0.6 | 0.4 | -0.2 | 0.3 |
| MTÜ Kagu Ühistranspordikeskus | 0.6 | 0.0 | 5.9 | -5.9 | 0.0 | 0.3 | 0.0 | 5.3 | -5.3 | 0.0 |
| MTÜ Ida-Viru Ühistranspordikeskus | 0.6 | -1.5 | 6.8 | -6.8 | 0.0 | 0.2 | -1.5 | 3.7 | -3.7 | 0.0 |
| SA Harju Ettevõtlus- ja Arenduskeskus | 0.6 | 0.4 | 0.9 | -0.9 | 0.1 | 0.5 | 0.4 | 0.8 | -0.7 | 0.1 |
| SA Illuka Arengufond | 0.5 | 0.0 | 0.0 | 0.0 | 0.0 | 0.8 | 0.0 | 0.0 | 0.0 | 0.0 |
| Tartumaa Ühistranspordikeskus MTÜ | 0.5 | 0.1 | 6.3 | -6.3 | 0.0 | 0.7 | 0.1 | 5.1 | -5.1 | 0.0 |
| SA Aarike Hooldekeskus | 0.5 | 0.4 | 0.7 | -0.7 | 0.0 | 0.5 | 0.4 | 0.6 | -0.7 | 0.0 |
| SA Sõmerpalu Hooldekodu | 0.5 | 0.5 | 0.4 | -0.4 | 0.0 | 0.5 | 0.5 | 0.4 | -0.4 | 0.0 |
| SA Valgamaa Arenguagentuur | 0.5 | 0.4 | 0.9 | -0.9 | 0.0 | 0.5 | 0.4 | 0.7 | -0.6 | 0.0 |
| SA A.H.Tammsaare Muuseum Vargamäel | 0.5 | 0.4 | 0.2 | -0.2 | 0.0 | 0.4 | 0.4 | 0.2 | -0.2 | 0.0 |
| SA Kilingi-Nõmme Tervise- ja Hoolduskeskus | 0.5 | 0.4 | 1.0 | -0.9 | 0.1 | 0.4 | 0.3 | 0.9 | -0.9 | 0.0 |
| Narva Linnaelamu SA | 0.4 | 0.2 | 1.8 | -1.9 | -0.1 | 0.5 | 0.4 | 1.4 | -1.5 | 0.0 |
| Tõstamaa Mõis SA | 0.4 | 0.4 | 0.0 | 0.0 | 0.0 | 0.5 | 0.4 | 0.1 | -0.1 | 0.0 |
| MTÜ Valguskaabel | 0.4 | 0.4 | 0.0 | -0.1 | 0.0 | 0.4 | 0.4 | 0.0 | 0.0 | 0.0 |

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| SA Iisaku Kihelkonna Muuseum | 0.4 | 0.4 | 0.2 | -0.1 | 0.0 | 0.4 | 0.4 | 0.2 | -0.1 | 0.0 |
| SA Kiviõli Tervisekeskus | 0.4 | 0.3 | 1.1 | -1.1 | 0.0 | 0.4 | 0.3 | 1.0 | -1.1 | 0.0 |
| SA Rannarahva Muuseum | 0.4 | 0.4 | 0.5 | -0.5 | 0.0 | 0.4 | 0.4 | 0.5 | -0.6 | 0.0 |
| SA Tartu Perekodu Käopesa | 0.4 | 0.1 | 1.0 | -1.2 | -0.2 | 0.4 | 0.3 | 0.8 | -0.9 | 0.0 |
| SA Uderna Hooldekodu | 0.4 | 0.4 | 0.6 | -0.5 | 0.0 | 0.4 | 0.4 | 0.5 | -0.5 | 0.0 |
| SA Põhja-Läänemaa Turismi- ja Spordiobjektide Halduskeskus | 0.4 | 0.3 | 0.2 | -0.1 | 0.0 | 0.3 | 0.2 | 0.1 | -0.1 | 0.0 |
| MTÜ Ida-Virumaa Omavalitsuste Liit | 0.4 | 0.2 | 0.7 | -0.7 | 0.0 | 0.3 | 0.3 | 0.5 | -0.5 | 0.0 |
| SA Pärnumaa Arenduskeskus | 0.3 | 0.2 | 0.8 | -0.8 | 0.0 | 0.4 | 0.1 | 1.3 | -1.3 | 0.0 |
| MTÜ Setomaa Liit | 0.3 | 0.2 | 0.3 | -0.3 | 0.0 | 0.3 | 0.2 | 0.4 | -0.4 | 0.0 |
| MTÜ Virumaa Laste ja Perede Tugikeskus | 0.3 | 0.2 | 0.7 | -0.6 | 0.0 | 0.3 | 0.2 | 0.6 | -0.5 | 0.1 |
| SA Abja Haigla | 0.3 | 0.1 | 1.1 | -1.1 | 0.0 | 0.3 | 0.1 | 1.0 | -0.9 | 0.0 |
| SA Nõo Hooldekodu | 0.3 | 0.2 | 0.5 | -0.5 | 0.0 | 0.3 | 0.2 | 0.5 | -0.5 | 0.0 |
| SA Tartu Loomemajanduskeskus | 0.3 | 0.1 | 0.8 | -0.8 | 0.0 | 0.3 | 0.1 | 0.6 | -0.6 | 0.0 |
| Vaivara Kalmistud SA | 0.3 | 0.3 | 0.5 | -0.5 | 0.0 | 0.3 | 0.3 | 0.5 | -0.5 | 0.0 |
| MTÜ Jõgevamaa Ühistranspordikeskus | 0.3 | 0.0 | 2.2 | -2.2 | 0.0 | 0.2 | 0.0 | 1.8 | -1.8 | 0.0 |
| MTÜ Viljandimaa Ühistranspordikeskus | 0.3 | 0.0 | 3.7 | -3.7 | 0.0 | 0.2 | 0.0 | 3.2 | -3.1 | 0.0 |
| SA Mooste Mõis | 0.3 | 0.3 | 0.3 | -0.2 | 0.1 | 0.2 | 0.1 | 0.2 | -0.2 | 0.0 |
| SA Tartu Keskkonnahariduse Keskus | 0.3 | 0.2 | 0.9 | -0.9 | 0.0 | 0.2 | 0.1 | 0.8 | -0.8 | 0.0 |
| MTÜ Valgamaa Ühistranspordikeskus | 0.3 | 0.0 | 2.5 | -2.5 | 0.0 | 0.2 | 0.0 | 2.0 | -2.0 | 0.0 |
| SA Haanjamaa Sport | 0.3 | 0.2 | 0.4 | -0.2 | 0.2 | 0.1 | 0.0 | 0.2 | -0.2 | 0.0 |
| SA Tartu Ärinõuandla | 0.2 | 0.2 | 0.6 | -0.6 | -0.1 | 0.3 | 0.4 | 0.5 | -0.5 | 0.0 |
| Võrumaa Arenduskeskus SA | 0.2 | 0.0 | 1.4 | -1.5 | 0.0 | 0.3 | 0.0 | 1.1 | -1.1 | 0.0 |
| Huvitegevuse ja Noorsootöö SA | 0.2 | 0.1 | 0.8 | -0.8 | 0.0 | 0.2 | 0.2 | 0.8 | -0.7 | 0.0 |
| MTÜ Antsla Tervisekeskus | 0.2 | 0.2 | 0.5 | -0.5 | 0.0 | 0.2 | 0.2 | 0.5 | -0.5 | 0.0 |
| MTÜ Järvamaa Omavalitsuste Liit | 0.2 | 0.2 | 0.2 | -0.2 | -0.1 | 0.2 | 0.2 | 0.3 | -0.3 | 0.1 |
| MTÜ Lääne-Viru Omavalitsuste Liit | 0.2 | 0.2 | 0.8 | -0.8 | 0.1 | 0.2 | 0.1 | 0.6 | -0.5 | 0.0 |
| SA Hiiu Maakonna Hooldekeskus | 0.2 | 0.1 | 0.9 | -0.9 | -0.1 | 0.2 | 0.2 | 0.7 | -0.7 | 0.0 |
| SA Läänemaa | 0.2 | 0.1 | 0.5 | -0.6 | 0.0 | 0.2 | 0.2 | 0.5 | -0.5 | 0.0 |
| SA Tartumaa Turism | 0.2 | 0.1 | 0.5 | -0.5 | 0.0 | 0.2 | 0.1 | 0.6 | -0.6 | 0.0 |
| Türi Arengu SA | 0.2 | 0.2 | 0.3 | -0.4 | 0.0 | 0.2 | 0.2 | 0.3 | -0.3 | 0.0 |
| Hooldekodu Saaremaa Valss SA | 0.2 | 0.1 | 1.3 | -1.2 | 0.1 | 0.1 | 0.1 | 1.1 | -1.1 | 0.0 |
| SA Elva Teenused | 0.2 | -0.1 | 1.8 | -1.8 | 0.0 | 0.1 | -0.1 | 1.6 | -1.6 | 0.0 |
| SA Tõstamaa Hooldekodu | 0.2 | 0.1 | 0.6 | -0.5 | 0.1 | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 |
| SA Kultuuri- ja hariduskeskus Viimsi Artium | 0.2 | 0.0 | 1.4 | -1.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Valga Isamaalise Kasvatuse Püsiekspositsioon | 0.2 | 0.1 | 0.4 | -0.3 | 0.1 | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 |
| MTÜ Tartumaa Omavalitsuste Liit | 0.1 | 0.1 | 0.6 | -0.7 | 0.0 | 0.2 | 0.2 | 0.6 | -0.8 | -0.2 |
| MTÜ Viljandimaa Omavalitsuste Liit | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 | 0.2 | 0.0 | 0.4 | -0.4 | 0.0 |
| SA Veriora Noortekas | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.2 | 0.2 | 0.1 | -0.1 | 0.0 |
| Pakri Saarte Arenduse SA | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| MTÜ Mulgi Kultuuri Instituut | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.2 | -0.2 | 0.0 |
| MTÜ Põlvamaa Omavalitsuste Liit | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 | 0.1 | 0.1 | 0.5 | -0.4 | 0.0 |
| MTÜ Raplamaa Omavalitsuste Liit | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 | 0.1 | 0.1 | 0.4 | -0.4 | 0.0 |
| Põlvamaa Arenduskeskus SA | 0.1 | 0.1 | 0.7 | -0.7 | 0.0 | 0.1 | 0.1 | 0.6 | -0.5 | 0.0 |
| SA Eesti Piimandusmuuseum | 0.1 | 0.1 | 0.2 | -0.3 | 0.0 | 0.1 | 0.1 | 0.2 | -0.2 | 0.0 |

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| SA Juuru ja Hageri Kihelkonna Muuseum | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| SA Jõgevamaa Arendus- ja Ettevõtluskeskus | 0.1 | 0.0 | 0.6 | -0.6 | 0.0 | 0.1 | 0.0 | 0.4 | -0.5 | 0.0 |
| SA Lääne-Viru Arenduskeskus | 0.1 | 0.0 | 0.5 | -0.5 | 0.0 | 0.1 | 0.0 | 0.4 | -0.3 | 0.0 |
| SA Põlva Sport | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| SA RAEK | 0.1 | 0.0 | 0.5 | -0.5 | 0.0 | 0.1 | 0.0 | 0.3 | -0.3 | 0.0 |
| SA Rõngu Hooldekodu | 0.1 | 0.1 | 0.8 | -0.8 | 0.0 | 0.1 | 0.1 | 0.7 | -0.7 | 0.0 |
| SA Rõuge Jäähall | 0.1 | 0.1 | 0.0 | 0.0 | 0.0 | 0.1 | 0.1 | 0.0 | 0.0 | 0.0 |
| SA Saare Arenduskeskus | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 | 0.1 | 0.0 | 0.4 | -0.4 | 0.0 |
| SA Vara Sport | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| Tilsi Perekodu SA | 0.1 | 0.0 | 0.6 | -0.6 | 0.0 | 0.1 | 0.0 | 0.6 | -0.6 | 0.0 |
| Vaivara Sinimägede SA | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| Ääsmäe Kultuuri- ja Spordi SA | 0.1 | 0.1 | 0.1 | 0.0 | 0.0 | 0.1 | 0.1 | 0.1 | 0.0 | 0.0 |
| MTÜ Eesti Jäätmehoolduskeskus | 0.1 | 0.0 | 0.2 | -0.2 | 0.0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 |
| SA Alutagusemaa | 0.1 | 0.0 | 0.2 | -0.1 | 0.0 | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 |
| SA Järvamaa | 0.1 | 0.0 | 0.7 | -0.7 | 0.0 | 0.0 | 0.0 | 0.3 | -0.4 | 0.0 |
| SA Kadrina Spordikeskus | 0.1 | 0.0 | 0.3 | -0.3 | 0.0 | 0.0 | 0.0 | 0.3 | -0.3 | 0.0 |
| SA Rõuge Valla Turism | 0.1 | 0.1 | 0.3 | -0.2 | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other entities with total assets of less than 0.1 million euros (42 entities) | 0.0 | -0.1 | 4.0 | -4.3 | -0.1 | 1.5 | 1.2 | 2.7 | -4.4 | -0.1 |
| **Non-government foundations** | **17.2** | **13.2** | **18.3** | **-18.2** | **0.0** | **22.3** | **17.3** | **17.7** | **-17.3** | **0.2** |
| SA Tallinna Hambapolikliinik | 5.7 | 4.0 | 11.1 | -10.8 | 0.3 | 4.8 | 3.7 | 9.1 | -8.7 | 0.4 |
| SA Tallinna Lauluväljak | 3.9 | 3.4 | 1.5 | -1.4 | 0.1 | 3.6 | 3.3 | 1.5 | -1.2 | 0.2 |
| SA Tartu Eluasemefond | 2.5 | 2.1 | 0.2 | -0.1 | 0.0 | 2.5 | 2.0 | 0.2 | -0.1 | 0.0 |
| MTÜ Lääne-Viru Jäätmekeskus | 1.6 | 0.6 | 2.2 | -2.5 | -0.3 | 2.1 | 0.9 | 2.1 | -2.3 | -0.2 |
| SA Kõue Varahaldus | 1.5 | 1.4 | 0.4 | -0.4 | -0.1 | 1.5 | 1.5 | 0.3 | -0.4 | -0.1 |
| Kuressaare Hambapolikliinik SA | 1.1 | 1.0 | 1.5 | -1.6 | 0.0 | 1.2 | 1.0 | 1.5 | -1.5 | 0.0 |
| MTÜ Võru Jäätmekeskus | 0.5 | 0.4 | 0.8 | -0.8 | 0 | 0.5 | 0.4 | 0.8 | -0.8 | 0 |
| MTÜ Raplamaa Jäätmekäitluskeskus | 0.2 | 0.2 | 0.3 | -0.3 | 0.0 | 0.2 | 0.2 | 0.3 | -0.4 | 0.0 |
| SA Alatskivi Loss | 0.1 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 |
| SA Piusa | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| SA Tartu Teaduspark | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 5.8 | 4.2 | 1.6 | -1.6 | -0.1 |
| SA Keila Leht | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 |

Government entities grouped together under the same entry: Eesti Regionaalse ja Kohaliku Arengu SA, Haiba Lastekodu SA, MTÜ Eesti Tervislike Omavalitsuste Võrgustik, MTÜ Läänemaa Omavalitsuste Liit, MTÜ Roheline Paik, MTÜ Saarte Geopark, MTÜ Südamaa Vabavald, MTÜ Valgamaa Omavalitsuste Liit, MTÜ Võru Noortekeskus, MTÜ Võrumaa Tehnoloogiainkubaator, MTÜ Väikesaarte Liit, MTÜ Holstre-Polli Vabaajakeskus, SA Jõhvi Lennuväli, SA Kallaste Arendus, SA Kesk-Eesti Õppe- ja Kompetentsikeskus, SA Kukruse Polaarmõis, SA Loksa Kultuur, SA Maardu Teenused, SA Narva Linnaleht, SA Narva Sadam, SA Narva-Jõesuu Sadam, SA Padise Klooster, SA Raplamaa Omavalitsuste Arengufond, SA Rõuge Energiakeskus, SA Rõuge Sport, SA Räpina Inkubatsioonikeskus, SA Räpina Kultuurkapital, SA Räpina Sadamad ja Puhkealad, SA Sõmerpalu Teenuskeskus, SA Tallinna Televisioon, SA Turvaline Saaremaa, SA Tõrva Haigla, SA Viljandimaa Arenduskeskus, SA Voore Aktiviseerimiskeskus, SA Võru Pensionäride Päevakeskus, SA Võsu Kuurort, SA Õpilasmalev, SA Ülenurme Areng, Tallinna Vee-ettevõtjate Järelevalve SA, Tallinna Vene Lütseum SA, Vääna Mõisakooli SA.

### C. Subsidiaries

The following companies are consolidated line-by-line in the consolidated report:

| 31.12.2022 | | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Share of ownership interest (%) | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss |
| **Total subsidiaries** | | **1,910.5** | **1,559.4** | **681.8** | **-626.5** | **53.0** | **1,861.4** | **1,498.5** | **601.8** | **-549.7** | **50.7** |
| **Government subsidiaries** | | **562.1** | **394.4** | **476.0** | **-418.5** | **57.8** | **475.1** | **300.0** | **382.6** | **-368.0** | **14.4** |
| Tallinna Linnatranspordi AS | 100 | 259.7 | 177.9 | 170.6 | -123.3 | 46.7 | 231.9 | 131.1 | 93.0 | -96.0 | -3.3 |
| Lääne-Tallinna Keskhaigla AS | 100 | 72.7 | 60.1 | 95.7 | -90.0 | 5.8 | 66.0 | 54.3 | 92.1 | -83.5 | 8.6 |
| Ida-Tallinna Keskhaigla AS | 100 | 67.7 | 30.3 | 143.1 | -141.4 | 1.6 | 58.3 | 28.7 | 138.2 | -133.3 | 4.8 |
| AS Matsalu Veevärk | 100 | 28.5 | 23.3 | 0.9 | -2.3 | -1.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Viimsi Haldus OÜ | 100 | 35.0 | 17.2 | 4.8 | -4.3 | 0.2 | 30.6 | 12.4 | 4.4 | -4.5 | -0.3 |
| AS Rakvere Haigla | 100 | 14.7 | 11.8 | 19.2 | -18.3 | 0.9 | 14.1 | 10.9 | 17.9 | -17 | 0.9 |
| Alutaguse Haldus OÜ | 100 | 10.1 | 9.5 | 1.9 | -2.1 | -0.3 | 10.6 | 9.8 | 2.3 | -1.7 | 0.6 |
| Laagri Haridus- ja Spordikeskus OÜ | 100 | 9.8 | 7.6 | 5.8 | -5.5 | 0.2 | 10.0 | 7.4 | 5.9 | -4.7 | 1.3 |
| Põltsamaa Vallavara OÜ | 100 | 15.1 | 10.9 | 4.1 | -1.1 | 4.5 | 9.3 | 6.4 | 3.0 | -0.7 | 2.3 |
| AS Põhja-Sakala Haldus | 100 | 7.5 | 7.1 | 1.2 | -1.6 | -0.4 | 7.9 | 7.5 | 1.2 | -1.3 | -0.1 |
| Järvamaa Haigla AS | 100 | 8.6 | 5.4 | 11.0 | -10.6 | 0.4 | 6.6 | 4.9 | 9.4 | -9.6 | -0.2 |
| AS Narva-Jõesuu Kommunaal | 100 | 6.0 | 5.8 | 1.5 | -1.8 | -0.3 | 6.4 | 6.1 | 1.2 | -1.5 | -0.3 |
| Haapsalu Linnahooldus OÜ | 100 | 4.1 | 3.5 | 1.2 | -1.2 | -0.1 | 4.2 | 3.6 | 1.2 | -1.1 | 0.1 |
| OÜ Saue Spordirajatised | 100 | 3.9 | 3.8 | 0.4 | -0.5 | -0.1 | 4.0 | 3.9 | 0.3 | -0.4 | -0.2 |
| OÜ Setomaa Haldus | 100 | 2.3 | 2.3 | 0.6 | -0.7 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Räpina Haigla AS | 100 | 2.3 | 2.2 | 1.7 | -1.8 | -0.1 | 2.3 | 2.3 | 1.6 | -1.6 | 0.0 |
| Taristuhaldus OÜ | 100 | 2.1 | 2.1 | 0.3 | -0.4 | -0.1 | 2.2 | 2.2 | 0.3 | -0.4 | -0.1 |
| Tartu Valla Kommunaal OÜ | 100 | 2.1 | 1.7 | 2.8 | -2.6 | 0.1 | 2.1 | 1.5 | 2.3 | -2.2 | 0.1 |
| OÜ Oru Kultuurisaal | 100 | 1.5 | 1.5 | 0.1 | -0.1 | 0.0 | 1.4 | 1.4 | 0.1 | 0.0 | 0.1 |
| Karjaküla Sotsiaalkeskus OÜ | 100 | 0.9 | 0.8 | 0.6 | -0.6 | 0.0 | 1.0 | 0.8 | 0.6 | -0.6 | 0.1 |
| Rannapere Pansionaat AS | 100 | 1.0 | 0.8 | 1.3 | -1.2 | 0.1 | 0.9 | 0.7 | 1.1 | -1.1 | 0.0 |
| Mustvee Haldus OÜ | 100 | 0.9 | 0.8 | 0.5 | -0.5 | 0.0 | 0.9 | 0.8 | 0.5 | -0.4 | 0.0 |
| Valtu Spordimaja OÜ | 100 | 0.8 | 0.7 | 0.4 | -0.4 | 0.0 | 0.7 | 0.7 | 0.3 | -0.3 | 0.0 |
| Kuremaa Enveko OÜ | 100 | 0.8 | 0.5 | 1.3 | -1.4 | 0.0 | 0.7 | 0.5 | 1.1 | -1.1 | 0.0 |
| Jõgeva Sotsiaalkeskus Elukaar OÜ | 100 | 0.5 | 0.4 | 0.8 | -0.8 | 0.0 | 0.5 | 0.4 | 0.7 | -0.7 | 0.0 |
| Märjamaa Haigla AS | 100 | 0.5 | 0.4 | 1.2 | -1.2 | 0.0 | 0.5 | 0.4 | 1.1 | -1.1 | 0.0 |
| OÜ Vigala Hooldekodu | 100 | 0.5 | 0.4 | 0.4 | -0.4 | 0.0 | 0.5 | 0.5 | 0.4 | -0.3 | 0.0 |
| OÜ Lääne-Nigula Hooldekodud | 100 | 0.9 | 0.2 | 0.2 | 0.0 | 0.2 | 0.4 | 0.1 | 0.0 | 0.0 | 0.0 |
| Tallinna Linnahalli AS | 100 | 0.5 | 0.4 | 1.0 | -0.7 | 0.3 | 0.3 | 0.1 | 0.5 | -0.6 | 0.0 |
| Elva Varahalduse OÜ | 100 | 0.3 | 0.1 | 0.8 | -0.8 | 0.0 | 0.3 | 0.1 | 0.8 | -0.8 | 0.0 |
| Tõrva Tervisekeskus OÜ | 100 | 0.7 | 0.7 | 0.2 | -0.2 | 0.0 | 0.2 | 0.2 | 0.2 | -0.3 | 0.0 |
| OÜ Otepää Kommunaal | 100 | 0.1 | 0.0 | 0.2 | -0.4 | -0.2 | 0.2 | 0.2 | 0.1 | -0.2 | 0.0 |
| Kadrina Hooldekodu OÜ | 0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.4 | -0.5 | 0.0 |
| OÜ Tartu Linna Polikli- | 0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.4 | -0.5 | 0.0 |
| AS Käru Hooldusravi | 0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |

| | 31.12.2022 | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Share of ownership interest (%) | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss |
| Luunja Sport OÜ | 100 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Digisaar OÜ | 100 | 0.0 | 0.0 | 0.0 | -0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Total non-government subsidiaries** | | **1,348.4** | **1,165.0** | **205.8** | **-208.0** | **-4.8** | **1,386.3** | **1,198.5** | **219.2** | **-181.7** | **36.3** |
| AS Tartu Veevärk | 100 | 104.3 | 64.0 | 13.3 | -12.6 | 0.7 | 103.3 | 63.3 | 13.2 | -10.6 | 2.5 |
| Järve Biopuhastus OÜ | 100 | 82.6 | 70.7 | 7.5 | -9.7 | -2.4 | 83.0 | 73.0 | 6.9 | -8.7 | -1.9 |
| Strantum OÜ | 100 | 63.7 | 57.9 | 6.6 | -7.8 | -1.3 | 64.5 | 58.5 | 6.1 | -7.1 | -1.0 |
| Pärnu Vesi AS | 100 | 57.8 | 53.4 | 6.2 | -6.9 | -0.7 | 59.1 | 54.2 | 5.8 | -5.9 | -0.1 |
| Narva Vesi AS | 100 | 55.8 | 53.4 | 4.4 | -7.5 | -3.1 | 58.5 | 55.9 | 4.3 | -6.3 | -2.0 |
| AS Emajõe Veevärk | 100 | 55.6 | 52.8 | 5.3 | -5.1 | 0.2 | 54.5 | 52.3 | 7.2 | -4.5 | 2.7 |
| Saku Maja AS | 100 | 48.1 | 43.7 | 5.9 | -5.6 | 0.2 | 48.6 | 43.0 | 8.8 | -3.9 | 4.9 |
| Võru Vesi AS | 100 | 46.5 | 41.9 | 5.1 | -3.6 | 1.5 | 44.7 | 39.3 | 7.2 | -3.1 | 4.0 |
| Paide Vesi AS | 100 | 38.0 | 35.2 | 3.5 | -2.8 | 0.6 | 36.8 | 34.0 | 2.2 | -2.5 | -0.3 |
| Viimsi Vesi AS | 100 | 37.2 | 35.4 | 3.3 | -4.0 | -0.7 | 37.8 | 36.1 | 3.5 | -3.6 | -0.1 |
| AS Lahevesi | 100 | 36.6 | 35.1 | 3.1 | -3.1 | 0.0 | 38.2 | 35.0 | 9.8 | -2.3 | 7.5 |
| Kohila Maja OÜ | 100 | 36.2 | 34.0 | 3.6 | -1.6 | 1.9 | 35.4 | 31.6 | 10.9 | -1.2 | 9.7 |
| Rakvere Vesi AS | 100 | 33.2 | 29.5 | 2.4 | -2.7 | -0.3 | 33.5 | 29.9 | 3.0 | -2.2 | 0.8 |
| Kuressaare Veevärk AS | 100 | 32.5 | 31.0 | 3.1 | -4.1 | -1.0 | 31.8 | 30.3 | 3.0 | -3.5 | -0.5 |
| Elveso AS | 100 | 30.9 | 26.2 | 8.7 | -7.7 | 0.9 | 29.4 | 25.8 | 6.8 | -5.8 | 1.0 |
| Kovek AS | 100 | 26.8 | 25.0 | 3.0 | -2.7 | 0.3 | 25.5 | 24.8 | 3.4 | -2.5 | 1.0 |
| Tallinna Soojus AS | 100 | 25.5 | 25.0 | 3.1 | -0.4 | 2.2 | 26.1 | 25.6 | 3.1 | -0.4 | 2.2 |
| Tallinna Jäätmete Taaskasutuskeskus AS | 100 | 25.0 | 9.8 | 13.9 | -14.6 | -1.2 | 24.4 | 11.0 | 15.1 | -13.7 | 0.9 |
| Põlva Vesi AS | 100 | 23.7 | 20.1 | 1.6 | -2.2 | -0.7 | 24.9 | 20.6 | 3.2 | -2.0 | 1.2 |
| Valga Vesi AS | 100 | 23.0 | 21.7 | 2.0 | -2.5 | -0.5 | 23.0 | 22.2 | 1.6 | -2.2 | -0.6 |
| AS Maardu Vesi | 100 | 22.9 | 19.7 | 1.2 | -1.2 | 0.0 | 23.3 | 19.7 | 1.2 | -1.0 | 0.1 |
| Kuressaare Soojus AS | 100 | 20.2 | 16.6 | 7.1 | -5.1 | 2.0 | 19.0 | 14.6 | 5.6 | -4.5 | 1.1 |
| Keila Vesi AS | 100 | 17.6 | 12.1 | 3.5 | -3.6 | -0.2 | 17.7 | 12.3 | 3.3 | -3.2 | 0.1 |
| Haapsalu Veevärk AS | 100 | 17.4 | 17.0 | 1.8 | -2.6 | -0.8 | 18.1 | 17.8 | 2.0 | -2.3 | -0.3 |
| Põltsamaa Vesi OÜ | 100 | 17.4 | 16.1 | 2.2 | -1.7 | 0.5 | 16.6 | 15.6 | 1.4 | -1.5 | -0.1 |
| Tapa Vesi AS | 100 | 16.7 | 16.2 | 1.1 | -1.6 | -0.5 | 17.4 | 16.8 | 1.2 | -1.7 | -0.5 |
| Estonia Spa Hotels AS | 100 | 15.1 | 6.4 | 9.3 | -8.1 | 1.1 | 14.2 | 5.5 | 6.0 | -5.7 | 0.2 |
| OÜ Tõrva Veejõud | 100 | 14.3 | 13.6 | 1.1 | -1.1 | 0.0 | 14.3 | 13.7 | 2.1 | -0.8 | 1.3 |
| Sindi Vesi OÜ | 100 | 13.9 | 13.4 | 1.3 | -1.6 | -0.3 | 13.8 | 13.2 | 1.2 | -1.6 | -0.4 |
| Viljandi Veevärk AS | 100 | 13.8 | 13.4 | 2.6 | -3.0 | -0.3 | 13.4 | 12.4 | 2.5 | -2.6 | -0.1 |
| Sillamäe Veevärk AS | 100 | 13.3 | 11.1 | 1.4 | -2.1 | -0.7 | 14.0 | 11.8 | 1.4 | -1.9 | -0.4 |
| Loo Vesi OÜ | 100 | 13.1 | 10.6 | 2.0 | -1.8 | 0.1 | 12.2 | 9.6 | 3.4 | -1.3 | 2.1 |
| OÜ Velko AV | 100 | 12.9 | 12.2 | 1.7 | -2.1 | -0.4 | 13.2 | 12.6 | 1.8 | -2.0 | -0.2 |
| Mako AS | 100 | 12.7 | 12.5 | 0.5 | -1.0 | -0.5 | 13.5 | 13.0 | 0.8 | -0.9 | -0.1 |
| Jõgeva Veevärk OÜ | 100 | 12.4 | 11.3 | 1.0 | -1.2 | -0.2 | 12.5 | 11.4 | 1.0 | -1.0 | -0.1 |
| OÜ Kose Vesi | 100 | 12.4 | 11.0 | 1.9 | -1.7 | 0.1 | 11.8 | 10.6 | 1.9 | -1.5 | 0.4 |
| Kiili KVH OÜ | 100 | 10.6 | 9.7 | 0.8 | -1.0 | -0.2 | 10.8 | 9.9 | 0.8 | -0.9 | -0.1 |
| Ramsi VK OÜ | 100 | 9.8 | 9.2 | 0.5 | -0.8 | -0.3 | 9.8 | 9.5 | 1.2 | -1.6 | -0.5 |
| Kärdla Veevärk AS | 100 | 9.5 | 9.4 | 0.6 | -1.0 | -0.4 | 9.9 | 9.8 | 0.5 | -0.9 | -0.3 |
| OÜ Paikre | 100 | 9.0 | 6.8 | 4.7 | -4.6 | 0.1 | 9.3 | 6.9 | 4.2 | -4.1 | 0.2 |
| Kuusalu Soojus OÜ | 100 | 8.5 | 7.3 | 1.2 | -1.3 | -0.2 | 8.8 | 7.4 | 1.2 | -1.2 | 0.0 |
| AS Järva Haldus | 100 | 8.4 | 7.6 | 1.1 | -1.5 | -0.4 | 8.7 | 7.9 | 1.2 | -1.2 | 0.0 |
| AS Tallinna | 100 | 8.2 | 8.1 | 1.6 | -1.3 | 0.2 | 8.0 | 7.8 | 1.5 | -1.1 | 0.4 |
| Saarde Kommunaal OÜ | 100 | 8.1 | 8.0 | 0.8 | -1.1 | -0.3 | 8.5 | 8.2 | 1.2 | -0.9 | 0.2 |
| Haljala Soojus AS | 100 | 7.9 | 7.6 | 0.8 | -1.1 | -0.3 | 8.1 | 7.9 | 0.7 | -0.9 | -0.2 |

| | 31.12.2022 | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Share of ownership interest (%) | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss |
| Raven OÜ | 100 | 7.7 | 7.0 | 0.4 | -0.6 | -0.1 | 7.4 | 6.8 | 0.4 | -0.5 | -0.1 |
| Kehtna Vesi OÜ | 100 | 7.0 | 6.7 | 0.4 | -0.8 | -0.4 | 7.3 | 7.0 | 0.5 | -0.8 | -0.3 |
| Kadrina Soojus AS | 100 | 6.5 | 5.9 | 0.9 | -1.0 | -0.2 | 6.7 | 6.1 | 0.8 | -1.0 | -0.2 |
| OÜ Tartu Veekeskus | 100 | 5.6 | 3.1 | 1.8 | -2.0 | -0.2 | 2.2 | 2.0 | 1.4 | -1.4 | 0.0 |
| OÜ Kroodi Vesi | 100 | 5.5 | 5.4 | 0.2 | -0.4 | -0.2 | 5.6 | 5.6 | 0.3 | -0.4 | -0.1 |
| Türi Linnavara OÜ | 100 | 5.4 | 5.1 | 0.2 | -0.3 | 0.0 | 5.5 | 5.1 | 0.2 | -0.3 | -0.1 |
| OÜ Pandivere Vesi | 100 | 5.2 | 4.7 | 0.5 | -0.6 | -0.1 | 5.4 | 4.9 | 0.4 | -0.5 | -0.1 |
| Rakvere Soojus AS | 51 | 5.2 | 4.6 | 2.9 | -2.6 | 0.3 | 5.2 | 4.3 | 2.5 | -2.2 | 0.3 |
| Haapsalu Linna Spordibaasid OÜ | 100 | 5.0 | 3.7 | 1.9 | -2.0 | -0.2 | 5.3 | 3.8 | 3.4 | -1.4 | 2.0 |
| Rapla Vesi AS | 100 | 4.7 | 4.1 | 1.1 | -1.0 | 0.1 | 4.7 | 4.0 | 0.9 | -0.8 | 0.1 |
| Otepää Veevärk AS | 100 | 4.5 | 3.5 | 1.2 | -1.1 | 0.0 | 4.3 | 3.5 | 0.8 | -1.0 | -0.2 |
| Aseri Kommunaal OÜ | 100 | 4.4 | 4.3 | 0.2 | -0.3 | -0.1 | 4.5 | 4.4 | 0.2 | -0.3 | -0.1 |
| Põlva Soojus AS | 100 | 4.0 | 3.1 | 1.9 | -2.0 | -0.1 | 4.0 | 3.2 | 1.6 | -1.5 | 0.1 |
| Vekanor AS | 100 | 3.6 | 3.1 | 1.2 | -0.7 | 0.4 | 2.8 | 2.7 | 0.5 | -0.5 | 0.0 |
| Võhma ELKO AS | 100 | 3.4 | 3.4 | 0.6 | -0.8 | -0.2 | 3.6 | 3.6 | 0.6 | -0.7 | 0.0 |
| OÜ Otepää Üürimajad | 51 | 3.4 | 0.9 | 0.9 | 0.0 | 0.9 | 0.4 | 0.0 | 0.0 | 0.0 | 0.0 |
| Loksa Haljastus OÜ | 100 | 3.1 | 2.8 | 0.3 | -0.4 | -0.1 | 3.3 | 2.9 | 0.3 | -0.4 | -0.1 |
| OÜ Võru Tervisekeskus | 100 | 3.0 | 2.9 | 3.0 | -0.1 | 2.9 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Keila Tervisekeskus OÜ | 100 | 2.9 | 2.7 | 1.1 | -1.5 | -0.4 | 3.1 | 2.9 | 1.0 | -1.3 | -0.3 |
| Abja Elamu OÜ | 100 | 2.8 | 2.4 | 0.5 | -0.5 | -0.1 | 2.8 | 2.5 | 0.6 | -0.5 | 0.1 |
| AS Maardu Elamu | 100 | 2.8 | 2.6 | 1.7 | -1.7 | 0.0 | 2.8 | 2.6 | 1.5 | -1.5 | -0.1 |
| AS Tartu Turg | 100 | 2.7 | 1.0 | 0.9 | -1.0 | -0.1 | 3.0 | 1.1 | 0.8 | -0.7 | 0.1 |
| OÜ OSK Grupp | 100 | 2.7 | 2.3 | 1.6 | -1.8 | -0.2 | 2.9 | 2.5 | 1.5 | -1.7 | -0.1 |
| Iivakivi AS | 100 | 2.6 | 2.5 | 0.5 | -0.6 | -0.1 | 2.7 | 2.6 | 0.5 | -0.6 | 0.0 |
| Rõuge Kommunaalteenus OÜ | 100 | 2.6 | 2.5 | 0.3 | -0.4 | -0.1 | 2.7 | 2.6 | 0.4 | -0.4 | 0.0 |
| Revekor AS | 100 | 2.5 | 1.8 | 1.5 | -1.8 | -0.3 | 2.8 | 2.1 | 1.3 | -1.3 | 0.0 |
| Kiviõli Soojus AS | 100 | 2.4 | 2.1 | 1.6 | -1.5 | 0.0 | 2.3 | 2.1 | 1.7 | -1.4 | 0.2 |
| Elva Soojus OÜ | 100 | 2.1 | 1.4 | 0.9 | -1.0 | -0.1 | 2.0 | 1.5 | 1.3 | -0.7 | 0.6 |
| Häädemeeste VK AS | 100 | 1.9 | 1.1 | 0.6 | -0.2 | 0.5 | 0.7 | 0.7 | 0.2 | -0.2 | 0.0 |
| Vesoka OÜ | 100 | 1.8 | 1.6 | 0.2 | -0.3 | 0.0 | 2.0 | 1.6 | 0.5 | -0.2 | 0.3 |
| Maali Üürimaja OÜ | 51 | 1.8 | 0.3 | 0.1 | -0.1 | -0.1 | 1.9 | 0.4 | 0.1 | -0.1 | -0.1 |
| Haapsalu Linnamajanduse AS | 100 | 1.7 | 0.8 | 0.4 | -0.4 | 0.0 | 1.7 | 0.8 | 0.6 | -0.4 | 0.1 |
| Vinni Spordikompleks AS | 100 | 1.7 | 1.2 | 0.8 | -1.0 | -0.2 | 1.7 | 1.5 | 0.7 | -0.7 | 0.1 |
| Kitsas 16 Kodu OÜ | 51 | 1.7 | 0.2 | 0.5 | -0.4 | -0.1 | 1.0 | 0.3 | 0.5 | -0.2 | 0.3 |
| Vaks OÜ | 100 | 1.5 | 1.3 | 0.3 | -0.3 | 0.0 | 1.6 | 1.4 | 0.2 | -0.3 | 0.0 |
| Koksvere Maja OÜ | 51 | 1.2 | 0.3 | 0.0 | 0.0 | 0.0 | 1.3 | 0.4 | 0.0 | 0.0 | 0.0 |
| OÜ Saaremaa Prügila | 100 | 1.2 | 1.2 | 0.1 | -0.2 | 0.0 | 1.3 | 1.2 | 0.1 | -0.1 | 0.0 |
| Tamsalu Kalor AS | 100 | 1.2 | 1.0 | 0.7 | -0.8 | -0.1 | 1.3 | 1.1 | 0.7 | -0.8 | 0.0 |
| Lääne-Nigula Varahal- | 100 | 1.2 | 1.0 | 0.7 | -0.8 | -0.2 | 1.2 | 1.1 | 0.5 | -0.6 | -0.1 |
| OÜ Maardu Linnavarahooldus | 100 | 1.2 | 0.6 | 2.0 | -2.0 | 0.0 | 1.1 | 0.7 | 1.8 | -1.8 | 0.0 |
| Kadrina Kommunaal OÜ | 100 | 0.8 | 0.7 | 0.7 | -0.7 | 0.0 | 8.0 | 0.7 | 0.5 | -0.5 | 0.0 |
| Lihula Soojus OÜ | 100 | 0.8 | 0.7 | 0.2 | -0.2 | 0.0 | 0.9 | 0.7 | 0.2 | -0.2 | 0.0 |
| Tallinna Perearstikeskus OÜ | 100 | 0.8 | 0.6 | 2.1 | -2.1 | 0.0 | 0.7 | 0.5 | 2.1 | -2.0 | 0.1 |
| OÜ MEHNTACK | 100 | 0.7 | 0.6 | 0.9 | -1.0 | -0.1 | 0.8 | 0.7 | 0.7 | -0.7 | 0.0 |

| | 31.12.2022 | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Share of ownership interest (%) | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss | Assets | Equity capital | Income from operations | Operating expenses | Profit/loss |
| Hiiumaa Jäätmejaam OÜ | 100 | 0.7 | 0.6 | 0.3 | -0.4 | 0.0 | 0.7 | 0.7 | 0.3 | -0.4 | 0.0 |
| SuFe OÜ | 100 | 0.6 | 0.6 | 0.2 | -0.2 | 0.0 | 0.7 | 0.6 | 0.1 | -0.2 | 0.0 |
| Transservis-N AS | 100 | 0.6 | 0.5 | 0.4 | -0.3 | 0.1 | 0.5 | 0.5 | 0.3 | -0.3 | 0.0 |
| Ülenurme Teed OÜ | 100 | 0.6 | 0.3 | 1.0 | -1.0 | -0.0 | 0.5 | 0.3 | 0.9 | -0.8 | 0.0 |
| Meke Sillamäe AS | 100 | 0.4 | 0.2 | 1.0 | -1.0 | 0.0 | 0.4 | 0.2 | 0.9 | -0.9 | 0.0 |
| Järvakandi Soojus OÜ | 100 | 0.4 | 0.3 | 0.2 | -0.2 | 0.0 | 0.3 | 0.3 | 0.2 | -0.2 | 0.0 |
| Olme OÜ | 100 | 0.3 | 0.2 | 0.7 | -0.7 | 0.0 | 0.3 | 0.2 | 0.6 | -0.6 | 0.1 |
| OÜ Narva Jäätmekäitluskeskus | 100 | 0.3 | 0.2 | 0.7 | -0.7 | 0.0 | 0.2 | 0.2 | 0.7 | -0.6 | 0.1 |
| Kenadron OÜ | 100 | 0.2 | 0.2 | 0.1 | -0.1 | 0.0 | 0.2 | 0.2 | 0.1 | -0.1 | 0.0 |
| Väike-Maarja Tervisekeskus OÜ | 100 | 0.2 | 0.1 | 0.4 | -0.4 | 0.0 | 0.2 | 0.2 | 0.4 | -0.3 | 0.0 |
| Kuressaare Bussijaam OÜ | 100 | 0.1 | 0.1 | 0.2 | -0.2 | 0.0 | 0.2 | 0.1 | 0.1 | -0.1 | 0.0 |
| Noarootsi Soojus OÜ | 100 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 |
| Mulgi Perearstikeskus OÜ | 100 | 0.1 | 0.0 | 0.2 | -0.2 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Roela Soojus OÜ | 100 | 0.1 | 0.1 | 0.2 | -0.2 | 0.0 | 0.1 | 0.1 | 0.2 | -0.1 | 0.0 |
| Tamsalu Perearstid OÜ | 100 | 0.1 | 0.0 | 0.5 | -0.5 | 0.0 | 0.1 | 0.0 | 0.4 | -0.4 | 0.0 |
| AS Matsalu Veevärk (In 2022, to the general government sector) | 0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 31.0 | 30.1 | 1.1 | -2.0 | -1.0 |
| Väätsa Prügila AS | 20.6 | 0.0 | 0.0 | 1.4 | -1.5 | -0.1 | 5.0 | 2.9 | 2.8 | -2.7 | 0.1 |
| OÜ Setomaa Haldus (to the general government sector in 2022) | 0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 2.4 | 2.4 | 0.5 | -0.6 | -0.1 |
| Kümblus OÜ | 100 | 0.0 | 0.0 | 0.1 | -0.6 | -0.5 | 0.9 | 0.9 | 0.1 | -0.2 | 0.0 |
| Jõgeva Valla Perearstikeskus OÜ | 100 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| OÜ Sõnumitooja | 100 | 0.0 | 0.0 | 0.1 | -0.2 | 0.0 | 0.1 | 0.0 | 0.2 | -0.2 | 0.0 |
| OÜ Pürolüüsitehas | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Setomaa Perearst OÜ | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Urvaste Valla Veevärk | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Vastseliina Hambaravi | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Jõgeva Valla Perearstikeskus OÜ | 100 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |

**D. Local government ownership interest in associates**

| | Share of ownership interest (%) | Local government equity capital | | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Total** | | **99.6** | **104.6** | **47.3** |
| Tallinna Vesi AS | 55.1 | 89.5 | 95.5 | 39.0 |
| Keila Alushariduse OÜ | 34.0 | 0.2 | 0.2 | 0.2 |
| AS Lõuna-Eesti Haigla (group) | 49.0 | 4.0 | 3.7 | 3.3 |
| AS Valga Haigla (group) | 49.0 | 3.3 | 3.2 | 2.9 |
| AS Põlva Haigla | 49.0 | 1.9 | 1.9 | 1.9 |
| Väätsa Prügila AS | 20.6 | 0.6 | 0.0 | 0.0 |

| | Share of ownership interest (%) | Local government equity capital | | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Other entities with equity capital less than 0.1 million euros | | 0.1 | 0.1 | 0.0 |

Grouped under the same entry: OÜ Küste, Anton Invest OÜ, OÜ Saatse Pansionaat, Ühismajandamise OÜ, Kihnu Põllumajanduse OÜ, Kihnu Majanduse OÜ, Team Paldiski OÜ, Pärnu Päikesepark 1 OÜ, Pärnu Päikesepark 2 OÜ, Pärnu Päikesepark 3 OÜ, Pärnu Päikesepark 4 OÜ. Majority holding in hospitals is owned by the state.

**Note b2**

**Taxes, state fees, fines**

In millions of euros

**A. Tax receivables**

| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
|---|---|---|---|
| **Taxes** | **154.0** | **141.8** | **131.8** |
| Personal income tax | 152.7 | 140.4 | 130.3 |
| Land tax | 0.4 | 0.6 | 0.8 |
| Local taxes | 0.9 | 0.8 | 0.7 |
| Incl. in gross amount | 1.5 | 1.4 | 1.3 |
| Incl. doubtful receivables | -0.6 | -0.6 | -0.6 |
| **Natural resource use charges** | **3.6** | **3.8** | **3.6** |
| **Fines** | **0.1** | **0.1** | **0.1** |
| Incl. in gross amount | 0.4 | 0.4 | 0.4 |
| Incl. doubtful receivables | -0.3 | -0.3 | -0.3 |
| **Total tax and fine receivables** | **157.7** | **145.7** | **135.5** |

**B. Revenue from taxes, state fees and fines**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Tax revenue** | **1,615.6** | **1,440.9** | **1,615.6** | **1,440.9** |
| Personal income tax | 1,537.9 | 1,365.1 | 1,537.9 | 1,365.1 |
| Land tax | 58.9 | 58.9 | 58.9 | 58.9 |
| **Local taxes** | **18.8** | **16.9** | **18.8** | **16.9** |
| Parking charges | 9.0 | 7.9 | 9.0 | 7.9 |
| Advertising tax | 7.5 | 6.8 | 7.5 | 6.8 |
| Road and street closure fees | 2.3 | 2.2 | 2.3 | 2.2 |
| **State fees** (see Note b12) | **2.2** | **2.3** | **2.3** | **2.3** |
| **Income from providing natural resources for use** (see Note b13) | **15.4** | **16.3** | **15.4** | **16.3** |
| Fees for mining rights | 10.8 | 12.9 | 10.8 | 12.9 |
| Fees for the special use of water | 4.6 | 3.4 | 4.6 | 3.4 |
| **Pollution charges** (see Note b13) | **0.5** | **0.4** | **0.5** | **0.4** |
| **Fines and other fines to the extent of asset** (see Note b13) | **2.2** | **2.3** | **2.0** | **2.0** |
| **Total revenue from taxes, state fees and fines** | **1,635.9** | **1,462,2** | **1,635.8** | **1,461.9** |

The Tax and Customs Board is the collector and transferor of personal income tax, land tax, income from providing natural resources for use, and pollution charges. Local taxes, fees and fines imposed on the basis of the law are generally collected by local governments themselves. Tax receivables collected through an intermediary are recorded on the basis of the notifications submitted by the intermediary.

**Note b3**

**Other claims and prepayments**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Short-term receivables and prepayments** | **172.5** | **155.2** | **142.4** | **109.2** | **83.4** | **78.5** |
| Trade receivables | 74.4 | 70.1 | 56.3 | 19.2 | 16.6 | 13.9 |
| Incl. in gross amount | 79.5 | 74.8 | 61.2 | 22.8 | 19.2 | 16.4 |
| Incl. doubtful receivables | -5.1 | -4.7 | -4.9 | -3.6 | -2.6 | -2.5 |
| Loan receivables | 1.9 | 1.9 | 1.8 | 8.4 | 8.2 | 4.8 |
| Outstanding government grants | 64.7 | 50.7 | 54.9 | 53.9 | 39.6 | 39.9 |
| Other receivables | 10.8 | 8.7 | 8.9 | 3.1 | 1.8 | 2.6 |
| Prepaid and deferred taxes | 11.4 | 12.4 | 9.5 | 6.8 | 5.9 | 4.8 |
| Prepaid expenses | 9.3 | 11.4 | 11.0 | 17.8 | 11.3 | 12.5 |
| **Long-term receivables and prepayments** | **22,5** | **24.2** | **26.1** | **71.8** | **78.1** | **51.0** |
| Loan receivables | 20.0 | 21.6 | 23.3 | 67.4 | 73.2 | 45.2 |
| Other claims and prepayments | 2.5 | 2.6 | 2.8 | 4.4 | 4.9 | 5.8 |
| **Total receivables and prepayments** | **195.0** | **179.4** | **168.5** | **181.0** | **161.5** | **129.5** |

**Note b4**

**Ownership interest in foundations and non-profit associations**

In millions of euros

**A. Consolidated report**

A list of foundations and non-profit associations consolidated line-by-line is presented in Note b1 B.

**B. Unconsolidated report**

| | Included in the general government sector | Not included in the general government sector | Total |
|---|---|---|---|
| **Balance as of 31.12.2020** | **34.6** | **3.7** | **38.3** |
| Monetary contributions and payments | -0.4 | 0.0 | -0.4 |
| Non-monetary contributions and payments | -1.7 | 0.0 | -1.7 |
| Write-downs and reversals of write-downs | 1.9 | 0.0 | 1.9 |
| **Balance as of 31.12.2021** | **34.4** | **3.7** | **38.1** |
| Non-monetary contributions and payments | -0.1 | 0.0 | -0.1 |
| **Balance as of 31.12.2022** | **34.3** | **3.7** | **38.0** |

**Note b5**

**Ownership interest in subsidiaries and associates**

In millions of euros

**A. Consolidated report**

The list of subsidiaries consolidated line-by-line is provided in Note b1 C. A list of associates recognised using the equity method is provided in Note b1 D.

**Associates**

| | 2022 | 2021 |
|---|---|---|
| **Balance at the beginning of the period** | **104.6** | **47.3** |
| Financial acquisitions | 0.0 | 58.5 |
| Dividends received | -7.2 | -7.2 |
| Profit by equity method | 1.6 | 6.0 |
| Reclassification | 0.6 | 0.0 |
| **Balance at the end of the period** | **99.6** | **104.6** |

In the comparable period, Tallinn City Government increased its holding in AS Tallinna Vesi from 34.7% to 51%, paying 58.5 million euros for it.

**B. Unconsolidated report**

| | Government subsidiaries | Non-government subsidiaries | Associates | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **65.3** | **256.2** | **20.1** | **341.6** |
| Monetary contributions and payments | 3.8 | 9.8 | 58.5 | 72.1 |
| Non-monetary contributions and payments | 0.0 | 6.8 | 0.0 | 6.8 |
| Reclassification | 8.5 | -8.5 | 0.0 | 0.0 |
| Adjustment of the cost of holdings | 0.0 | -1.3 | 0.0 | -1.3 |
| Write-downs and reversals of write-downs | -0.3 | 0.1 | 0.0 | -0.2 |
| **Balance as of 31.12.2021** | **77.3** | **263.1** | **78.6** | **419.0** |
| Monetary contributions and payments | 4.9 | 8.2 | 0.0 | 13.1 |
| Non-monetary contributions and payments | -0.8 | 2.9 | 0.0 | 2.1 |
| Sold at selling price | 0.0 | -3.5 | 0.0 | -3.5 |
| Profit/loss from sales | 1.1 | 3.4 | 0.0 | 4.5 |
| Reclassification | 3.9 | -4.0 | 0.1 | 0.0 |
| Write-downs and reversals of write-downs | 0.0 | -0.4 | 0.0 | -0.4 |
| **Balance as of 31.12.2022** | **86.4** | **269.7** | **78.7** | **434.8** |

**Dividends on holdings**

| | 2022 | 2021 |
|---|---|---|
| From subsidiaries | 3.5 | 3.9 |
| From associates | 7.2 | 7.2 |
| **Total dividend income** | **10.7** | **11.1** |

**Note b6**

**Investment property**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **153.1** | **155.8** | **107.0** | **111.4** |
| Cost | 225.3 | 225.1 | 167.4 | 170.5 |
| Accumulated depreciation | -72.2 | -69.3 | -60.4 | -59.1 |
| **Total movements** | **2.8** | **-2.7** | **-2.8** | **-4.4** |
| Acquisitions and improvements (see Note b8) | 0.9 | 5.2 | 0.7 | 4.9 |
| Non-monetary government grants received and awarded | 0.1 | 0.1 | 0.1 | 0.1 |
| Depreciation and write-downs | -6.4 | -6.1 | -4.7 | -4.7 |
| Sales at selling price | -7.8 | -9.9 | -7.1 | -9.0 |
| Sales revenue | 5.9 | 7.8 | 5.4 | 7.3 |
| Non-monetary contributions and payments | 0.0 | 0.0 | 0.5 | 0.0 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Reclassification | 9.7 | -0.3 | 1.9 | -3.5 |
| Revaluation | 0.4 | 0.5 | 0.4 | 0.5 |
| **Balance at the end of the period** | **155.9** | **153.1** | **104.2** | **107.0** |
| Cost | 230.8 | 225.3 | 166.9 | 167.4 |
| Accumulated depreciation | -74.9 | -72.2 | -62.7 | -60.4 |
| Incl. leased under operating lease, carrying amount | 63.6 | 67.3 | 57.6 | 59.1 |
| Incl. pledged, carrying amount | 7.6 | 8.4 | 0.3 | 0.1 |
| **Revenue and expenditure** | | | | |
| Income from constituting a right of superficies, user fees, lease and rent | 12.6 | 10.9 | 10.6 | 8.2 |
| Administrative expenses of investment property | -5.0 | -4.1 | -4.1 | -3.3 |

**Note b7**

**Property, plant and equipment**

In millions of euros

**A. Consolidated report**

| | Land | Buildings and facilities | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **504.2** | **4,015.6** | **285.5** | **52.5** | **230.8** | **5,088.6** |
| Cost | 504.2 | 6,588.2 | 618.0 | 99.8 | 230.8 | **8,041.0** |
| Accumulated depreciation | | -2,572.6 | -332.5 | -47.3 | | -2,952.4 |
| **Total movements in 2020** | **16.6** | **251.4** | **36.0** | **1.3** | **46.5** | **351.8** |
| Acquisitions and improvements (see Note b8) | 2.2 | 63.9 | 57.5 | 6.3 | 494.5 | 624.4 |
| Non-monetary government grants received | 6.4 | 7.5 | 0.3 | 0.0 | 0.0 | 14.2 |
| Depreciation and write-downs | -0.1 | -234.3 | -42.9 | -7.2 | -1.9 | -286.4 |
| Sales at selling price | -17.7 | -2.6 | -0.8 | 0.0 | -0.1 | -21.2 |
| Sales revenue | 16.9 | 0.4 | 0.6 | 0.0 | 0.0 | 17.9 |
| Non-monetary government grants awarded | -0.2 | -3.0 | 0.0 | 0.0 | 0.0 | -3.2 |
| Revaluation | 3.3 | 2.1 | 0.0 | 0.0 | 0.0 | 5.4 |
| Reclassification | 5.8 | 417.4 | 21.3 | 2.2 | -446.0 | 0.7 |
| **Balance as of 31.12.2021** | **520.8** | **4,267.0** | **321.5** | **53.8** | **277.3** | **5,440.4** |
| Cost | 520.8 | 7,034.1 | 673.1 | 106.6 | 277.3 | 8,611.9 |
| Accumulated depreciation | | -2,767.1 | -351.6 | -52.8 | | -3,171.5 |
| **Average depreciation rate (%)** | | **3.4%** | **6.6%** | **7.0%** | | |
| Incl. leased under the finance lease terms, carrying amount | 0.0 | 34.7 | 25.9 | 0.0 | 0.0 | 60.6 |
| Incl. leased under operating lease, carrying amount | 1.5 | 124.3 | 1.2 | 0.3 | 0.0 | 127.3 |
| Incl. pledged, carrying amount | 3.6 | 182.1 | 1.3 | 0.0 | 0.0 | 187.0 |
| **Total movements in 2022** | **7.5** | **185.9** | **30.5** | **1.5** | -11.8 | **213.6** |
| Acquisitions and improvements (see Note b8) | 2.7 | 84.1 | 39.4 | 6.8 | 403.9 | 536.9 |
| Non-monetary government grants received | 4.1 | 3.2 | 0.3 | 0.1 | 0.3 | 8.0 |
| Depreciation and write-downs | -2.5 | -254.0 | -48.7 | -8.7 | -1.2 | -315.1 |
| Sales at selling price | -4.7 | -3.8 | -0.7 | 0.0 | 0.0 | -9.2 |
| Sales revenue | 4.3 | 1.8 | 0.5 | 0.0 | 0.0 | 6.6 |
| Changes due to acquisition and loss of controlling influence | 0.0 | -2.8 | -0.5 | 0.0 | 0.1 | -3.2 |
| Non-monetary government grants awarded | -0.1 | -1.2 | 0.0 | -0.1 | 0.0 | -1.4 |

| | Land | Buildings and facilities | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|
| Revaluation | 4.2 | 2.4 | 0.0 | 0.0 | 0.0 | 6.6 |
| Reclassification | -0.5 | 356.2 | 40.2 | 3.4 | -414.9 | -15.6 |
| **Balance as of 31.12.2022** | **528.3** | **4,452.9** | **352.0** | **55.3** | **265.5** | **5,654.0** |
| Cost | 528.3 | 7,426.7 | 726.3 | 114.0 | 265.5 | 9,060.8 |
| Accumulated depreciation | | -2,973.8 | -374.3 | -58.7 | | -3,406.8 |
| **Average depreciation rate (%)** | | **3.5%** | **7.0%** | **7.9%** | | |
| Incl. leased under the finance lease terms, carrying amount | | 41.5 | 21.2 | 0.8 | 0.0 | 63.5 |
| Incl. leased under operating lease, carrying amount | 3.1 | 128.9 | 1.2 | 0.2 | 0.0 | 133.4 |
| Incl. pledged, carrying amount | 3.5 | 189.5 | 1.8 | 0.0 | 0.0 | 194.8 |

**B. Unconsolidated report**

| | Land | Buildings and facilities | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **476.4** | **2,685.6** | **31.7** | **44.1** | **135.7** | **3,373.5** |
| Cost | 476.4 | 4,712.5 | 91.3 | 78.4 | 135.7 | 5,494.3 |
| Accumulated depreciation | | -2,026.9 | -59.6 | -34.3 | | -2,120.8 |
| **Total movements in 2020** | **15.3** | **192.4** | **9.0** | **2.4** | **16.1** | **235.2** |
| Acquisitions and improvements (see Note b8) | 2.2 | 57.8 | 5.3 | 5.8 | 337.1 | 408.2 |
| Non-monetary government grants received | 6.4 | 8.4 | 0.0 | 0.0 | 0.0 | 14.8 |
| Depreciation and write-downs | -0.1 | -172.8 | -7.0 | -5.4 | -1.9 | -187.2 |
| Sales at selling price | -17.2 | -1.9 | -0.3 | 0.0 | -0.2 | -19.6 |
| Sales revenue | 16.4 | 0.3 | 0.2 | 0.0 | 0.1 | 17.0 |
| Non-monetary government grants awarded | -0.2 | -1.3 | 0.0 | 0.0 | -0.1 | -1.6 |
| Non-monetary contributions and payments | 0.0 | -5.1 | 0.0 | 0.1 | 0.0 | -5.0 |
| Revaluation | 3.3 | 2.0 | 0.0 | 0.0 | 0.0 | 5.3 |
| Reclassification | 4.5 | 305.0 | 10.8 | 1.9 | -318.9 | 3.3 |
| **Balance as of 31.12.2021** | **491.7** | **2,878.0** | **40.7** | **46.5** | **151.8** | **3,608.7** |
| Cost | 491.7 | 5,048.4 | 104.2 | 85.3 | 151.8 | 5,881.4 |
| Accumulated depreciation | | -2,170.4 | -63.5 | -38.8 | | -2,272.7 |
| **Average depreciation rate (%)** | | **3.5%** | **7.2%** | **6.6%** | | |
| Incl. leased under the finance lease terms, carrying amount | 0.0 | 45.4 | 1.2 | 0.0 | 0.0 | 46.6 |
| Incl. leased under operating lease, carrying amount | 1.6 | 95.1 | 0.5 | 0.3 | 0.0 | 97.5 |
| Incl. pledged, carrying amount | 0.1 | 8.1 | 0.0 | 0.0 | 0.0 | 8.2 |
| **Total movements in 2022** | **7.6** | **107.9** | **8.7** | **0.9** | **39.6** | **164.7** |
| Acquisitions and improvements (see Note b8) | 2.7 | 74.8 | 7.3 | 5.0 | 279.4 | 369.2 |
| Non-monetary government grants received | 4.2 | 3.2 | 0.0 | 0.1 | 0.3 | 7.8 |
| Depreciation and write-downs | -2.6 | -187.9 | -7.8 | -7.2 | -1.0 | -206.5 |
| Sales at selling price | -4.7 | -3.8 | -0.3 | 0.0 | 0.0 | -8.8 |
| Sales revenue | 4.2 | 1.7 | 0.2 | 0.0 | 0.0 | 6.1 |
| Non-monetary government grants awarded | -0.2 | -4.6 | -0.1 | -0.2 | 0.0 | -5.1 |
| Non-monetary contributions and payments | -0.1 | -2.4 | 0.0 | 0.0 | 0.0 | -2.5 |
| Revaluation | 4.2 | 2.3 | 0.0 | 0.0 | 0.0 | 6.5 |
| Reclassification | -0.1 | 224.6 | 9.4 | 3.2 | -239.1 | -2.0 |

| | Land | Buildings and facilities | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|
| **Balance as of 31.12.2022** | **499.3** | **2,985.9** | **49.4** | **47.4** | **191.4** | **3,773.4** |
| Cost | 499.3 | 5,311.0 | 117.5 | 91.1 | 191.4 | 6,210.3 |
| Accumulated depreciation | | -2,325.1 | -68.1 | -43.7 | | -2,436.9 |
| **Average depreciation rate (%)** | | **3.6%** | **7.0%** | **8.2%** | | |
| Incl. leased under the finance lease terms, carrying amount | | 52.0 | 1.2 | 0.8 | 0.0 | 54.0 |
| Incl. leased under operating lease, carrying amount | 4.9 | 101.6 | 0.5 | 0.3 | 0.0 | 107.3 |
| Incl. pledged, carrying amount | 0.1 | 7.2 | 0.0 | 0.0 | 0.0 | 7.3 |

**Note b8**

**Acquisition of property, plant and equipment and intangible assets and investment property by fields of activity**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Education | 147.0 | 113.6 | 138.7 | 109.3 |
| Transport | 126.0 | 183.9 | 91.3 | 127.9 |
| Other | 37.4 | 38.3 | 17.3 | 18.6 |
| Water supply | 36.3 | 71.0 | 1.5 | 0.8 |
| Other housing and utilities | 36.8 | 51.4 | 24.3 | 37.5 |
| Leisure time, culture, religion | 67.3 | 91.6 | 58.8 | 82.9 |
| Environmental protection | 14.4 | 15.9 | 6.8 | 5.2 |
| Health care | 44.9 | 38.6 | 4.1 | 4.6 |
| Social protection | 15.1 | 22.8 | 13.2 | 22.0 |
| General government services | 15.0 | 4.5 | 14.6 | 4.4 |
| Public order and security | 0.5 | 0.2 | 0.5 | 0.2 |
| **Total non-current assets acquired** | **540.7** | **631.8** | **371.1** | **413.4** |

In the consolidated cash flow statement, the acquisition of non-current assets has been adjusted by a decrease in trade payables in the amount of 12.7 million euros (an increase of 23.4 million euros in 2021).

In the unconsolidated cash flow statement, the acquisition of non-current assets has been adjusted by an increase in trade payables in the amount of 7.4 million euros (an increase of 7.5 million euros in 2021).

For non-cash transactions, the adjustments affecting the cash flow statement are also recognised in Notes b11 (acquisitions from finance leases) and b12 (acquisitions through government grants where the cash was transferred directly to the supplier).

In the cash flow statement, acquisition of non-current assets includes VAT expense on acquisitions of non-current assets (see Note b17).

**Note b9**

**Other liabilities and prepayments received**

In millions of euros

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Other short-term liabilities and prepayments received** | **54.4** | **86.9** | **120.6** | **47.0** | **77.8** | **111.7** |

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Interest payable | 1.8 | 0.5 | 0.5 | 1.1 | 0.2 | 0.2 |
| Other accruals | 0.4 | 0.3 | 0.3 | 0.1 | 0.0 | 0.0 |
| Government grant liabilities | 3.7 | 2.5 | 3.1 | 6.7 | 4.3 | 5.4 |
| Other liabilities | 6.9 | 8.5 | 6.9 | 4.6 | 5.7 | 4.3 |
| Prepayments for government grants | 33.3 | 67.1 | 102.8 | 31.7 | 64.4 | 97.2 |
| Other deferred income | 8.3 | 8.0 | 7.0 | 2.8 | 3.2 | 4.6 |
| **Long-term liabilities and prepayments received** | **3.2** | **3.3** | **3.6** | **11.4** | **12.9** | **12.2** |
| Government grant liabilities | 0.0 | 0.0 | 0.0 | 10.6 | 12.1 | 11.6 |
| Trade payables | 1.7 | 1.8 | 1.9 | 0.4 | 0.4 | 0.1 |
| Other liabilities | 0.9 | 1.1 | 1.1 | 0.0 | 0.1 | 0.1 |
| Deferred income | 0.6 | 0.4 | 0.6 | 0.4 | 0.3 | 0.4 |
| **Total other liabilities and prepayments received** | **57.6** | **90.2** | **124.2** | **58.4** | **90.7** | 123.9 |

**Note b10**

**Loan liabilities**

In millions of euros

**A. Consolidated report**

**A1. Loan liabilities by residual term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **82.5** | **838.4** | **71.5** | **992.4** |
| Up to 1 year | 25.9 | 100.7 | 8.5 | 135.1 |
| 1 to 5 years | 32.8 | 380.5 | 23.7 | 437.0 |
| More than 5 years | 23.8 | 357.2 | 39.3 | 420.3 |
| **Balance as of 31.12.2021** | **56.6** | **907.0** | **65.9** | **1,029.5** |
| Up to 1 year | 10.7 | 121.5 | 8.4 | 140.6 |
| 1 to 5 years | 24.4 | 419.4 | 19.9 | 463.7 |
| More than 5 years | 21.5 | 366.1 | 37.6 | 425.2 |
| **Balance as of 31.12.2022** | **45.9** | **1,006.8** | **67.5** | **1,120.2** |
| Up to 1 year | 10.1 | 129.2 | 8.1 | 147.4 |
| 1 to 5 years | 16.5 | 489.5 | 17.8 | 523.8 |
| More than 5 years | 19.3 | 388.1 | 41.6 | 449.0 |

**A2. Movements in loan liabilities and interest expense**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **82.5** | **838.4** | **71.5** | **992.4** |
| Received | 0.0 | 178.4 | 3.6 | **182.0** |
| Repayment | -25.9 | -109.8 | -9.2 | **-144.9** |
| **Balance as of 31.12.2021** | **56.6** | **907.0** | **65.9** | **1,029.5** |
| Received | 0.0 | 217.5 | 11.1 | **228.6** |
| Repayment | -10.7 | -116.5 | -9.4 | **-136.6** |
| Reclassification | 0.0 | -1.3 | 0.0 | **-1.3** |
| Change due to acquisition and loss of controlling influence | 0.0 | 0.1 | -0.1 | **0.0** |
| **Balance as of 31.12.2022** | **45.9** | **1,006.8** | **67.5** | **1,120.2** |
| Interest expenditure in 2021 | -0.8 | -6.7 | -3.9 | -11.4 |

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| Average interest rate (%) | 1.2% | 0.8% | 5.7% | 1.1% |
| Interest expenditure in 2022 | -0.8 | -10.3 | -2.9 | -14.0 |
| Average interest rate (%) | 1.6% | 1.1% | 4.3% | 1.3% |

**B. Unconsolidated report**

**B1. Loan liabilities by residual term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **79.4** | **717.4** | **53.1** | **849.9** |
| Up to 1 year | 23.9 | 85.2 | 2.5 | 111.6 |
| 1 to 5 years | 31.7 | 317.4 | 10.0 | 359.1 |
| More than 5 years | 23.8 | 314.8 | 40.6 | 379.2 |
| **Balance as of 31.12.2021** | **55.6** | **779.9** | **51.0** | **886.5** |
| Up to 1 year | 9.9 | 93.1 | 2.5 | 105.5 |
| 1 to 5 years | 24.2 | 361.1 | 10.2 | 395.5 |
| More than 5 years | 21.5 | 325.7 | 38.3 | 385.5 |
| **Balance as of 31.12.2022** | **45.7** | **866.9** | **57.7** | **970.3** |
| Up to 1 year | 9.9 | 107.6 | 3.3 | 120.8 |
| 1 to 5 years | 16.5 | 413.3 | 11.7 | 441.5 |
| More than 5 years | 19.3 | 346.0 | 42.7 | 408.0 |

**B2. Movements in loan liabilities and interest expense**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **79.4** | **717.4** | **53.1** | **849.9** |
| Received | 0.0 | 155.8 | 0.5 | **156.3** |
| Repayment | -23.8 | -93.3 | -2.6 | **-119.7** |
| **Balance as of 31.12.2021** | **55.6** | **779.9** | **51.0** | **886.5** |
| Received | 0.0 | 188.9 | 9.8 | **198.7** |
| Repayment | -9.9 | -101.9 | -3.1 | **-114.9** |
| **Balance as of 31.12.2022** | **45.7** | **866.9** | **57.7** | **970.3** |
| Interest expenditure in 2021 | -0.8 | -5.2 | -3.6 | -9.6 |
| Average interest rate (%) | 1.2% | 0.7% | 6.9% | 1.1% |
| Interest expenditure in 2022 | -0.8 | -8.1 | -2.7 | -11.6 |
| Average interest rate (%) | 1.6% | 1.0% | 5.0% | 1.2% |

Non-current assets leased under finance lease and pledged as collateral for loans are recognised in Notes b6 and b7. Information on mortgages established and current assets pledged to secure loans is provided in Note b21.

**C. Interest expenditure**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| On loan liabilities | -14.0 | -11.4 | -11.6 | -9.6 |
| On derivatives | 0.0 | 1.0 | 0.0 | 1.0 |
| On discounted liabilities | -0.5 | -0.5 | -1.5 | 0.0 |
| **Total interest expenditure** | **-14.5** | **-10.9** | **-13.1** | **-8.6** |

**Note b11**

**Grants received and awarded**

In millions of euros

**A. Grants received**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Foreign aid** | **111.8** | **113.0** | **78.2** | **62.2** |
| From European Union | 103.2 | 106.8 | 71.1 | 56.2 |
| Other foreign aid | 8.6 | 6.2 | 7.1 | 6.0 |
| **Domestic grants** | **883.6** | **864.2** | **798.1** | **788.9** |
| From state budget | 859.0 | 830.1 | 781.2 | 764.1 |
| From sate foundations and companies | 11.8 | 22.9 | 5.6 | 12.6 |
| From other public sector entities | 4.5 | 4.2 | 4.5 | 6.5 |
| From private sector residents | 8.3 | 7.0 | 6.8 | 5.7 |
| **Total grants received** | **995.4** | **977.2** | **876.3** | **851.1** |

Local governments receive most of the foreign aid through the state. In the consolidated report, 5.8 million euros was received directly from foreign partners (5.6 million euros in 2021), and in the unconsolidated report 4.4 million euros (4.5 million euros in 2021).

**Grants received by areas of activity**

| | Consolidated | | | | Unconsolidated | | | |
|---|---|---|---|---|---|---|---|---|
| | 2022 | | 2021 | | 2022 | | 2021 | |
| | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets |
| Education | 476.8 | 34.7 | 424.5 | 31.3 | 475.6 | 33.5 | 423.4 | 33.9 |
| General government services | 120.7 | 11.8 | 135.2 | 22,5 | 115.3 | 11.7 | 130.7 | 21.9 |
| Housing and utilities | 2.2 | 26.7 | 1.6 | 57.0 | 1.2 | 14.8 | 1.5 | 27.7 |
| Transport | 98.6 | 36.6 | 85.3 | 54.0 | 38.5 | 36.6 | 35.3 | 53.8 |
| Other | 11.9 | 14.7 | 11.6 | 13.6 | 3.0 | 10.2 | 3.2 | 10.2 |
| Leisure time, culture, religion | 14.2 | 21.6 | 15.9 | 36.3 | 10.7 | 19.3 | 11.9 | 32.7 |
| Environmental protection | 3.0 | 6.9 | 1.7 | 16.1 | 2.9 | 2.6 | 1.7 | 2.6 |
| Social protection | 93.9 | 6.1 | 50.2 | 9.0 | 93.0 | 5.2 | 49.3 | 8.8 |
| Health care | 2.3 | 12.1 | 2.8 | 8.3 | 0.3 | 1.3 | 0.6 | 1.7 |
| Public order and security | 0.3 | 0.3 | 0.3 | 0.0 | 0.3 | 0.3 | 0.2 | 0.0 |
| **Total grants received** | **823.9** | **171.5** | **729.1** | **248.1** | **740.8** | **135.5** | **657.8** | **193.3** |

In the consolidated report, 13.7 million euros (40.2 million euros in 2021) was received in kind for the acquisition of non-current assets (grants were transferred directly to suppliers) and 8.1 million euros as transferred assets (14.3 million euros in 2021) (see Notes b6, b7).

In the unconsolidated report, 3.1 million euros (10.4 million euros in 2021) was received in kind for the acquisition of non-current assets (grants were transferred directly to suppliers) and 7.9 million euros as transferred assets (14.9 million euros in 2021) (see Notes b6, b7).

Government grants received for acquisition of non-current assets have been adjusted by the change in received prepayments and receivables in the cash flow statement.

**B. Grants awarded**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Family allowances | -18.3 | -15.3 | -18.6 | -15.7 |
| Subsistence benefit | -54.8 | -16.2 | -54.8 | -16.2 |
| Benefits for disabled people | -8.9 | -9.1 | -9.2 | -9.2 |
| Education allowance | -3.9 | -3.5 | -3.9 | -3.5 |
| Social tax paid on social benefits | -3.7 | -3.8 | -3.7 | -3.8 |
| Other social benefits | -29.5 | -23.1 | -29.3 | -22.9 |
| Government grants for operating expenses | -141.6 | -120.7 | -221.2 | -173.7 |
| Government grants awarded for acquisition of non-current assets | -11.9 | -14.8 | -72.1 | -32.7 |
| **Total grants awarded** | **-272.6** | **-206.5** | **-412.8** | **-277.7** |

**Grants awarded by activities**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Education | -17.0 | -14.7 | -29.7 | -25.3 |
| General government services | -2.9 | -2.4 | -6.3 | -5.1 |
| Housing and utilities | -8.6 | -7.4 | -11.8 | -11.1 |
| Transport | -80.2 | -65.8 | -174.4 | -98.3 |
| Other | -4.2 | -5.3 | -8.3 | -11.0 |
| Leisure time, culture, religion | -39.3 | -38.2 | -51.1 | -50.1 |
| Environmental protection | -1.8 | -1.6 | -3.3 | -4.4 |
| Social protection | -117.0 | -69.4 | -118.3 | -70.2 |
| Health care | -0.8 | -0.8 | -8.8 | -1.4 |
| Public order and security | -0.8 | -0.9 | -0.8 | -0.8 |
| **Total grants awarded** | **-272.6** | **-206.5** | **-412.8** | **-277.7** |

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been reduced by non-monetary government grants (see Notes b6, b7). Changes in prepayments and liabilities of government grants awarded for acquisition of non-current assets have also been taken into account.

**Note b12**

**Goods and services sold**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **State fees (see Note b2)** | **2.2** | **2.3** | **2.3** | **2.3** |
| **Income from economic activities** | **881.1** | **797.4** | **194.5** | **157.2** |
| **Revenue from health care** | **508.3** | **477.7** | **16.8** | **16.7** |
| Income of hospitals | 465.2 | 436.5 | 0.0 | 0.0 |
| Other income from health care | 43.1 | 41.2 | 16.8 | 16.7 |
| **Income from housing and utilities** | **152.6** | **137.9** | **35.7** | **27.7** |
| Lease and rent | 33.3 | 28.6 | 22.5 | 18.2 |
| Income from utilities | 103.0 | 93.2 | 10.8 | 7.4 |
| Other income from housing and utilities | 16.3 | 16.1 | 2.4 | 2.1 |
| **Income from educational activities** | **64.4** | **52.8** | **62.1** | **50.8** |
| Income from catering service | 12.9 | 10.3 | 12.5 | 10.0 |
| Kindergarten attendance fees | 32.2 | 27.8 | 32.2 | 27.8 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Other income from educational activities | 19.3 | 14.7 | 17.4 | 13.0 |
| **Other goods and services sold** | **155.8** | **129.0** | **79.9** | **62.0** |
| Income from transport services | 10.8 | 7.5 | 4.8 | 3.5 |
| Income from culture and leisure time activities | 31.7 | 20.8 | 22.0 | 14.3 |
| Income from social assistance activities | 59.7 | 49.7 | 39.0 | 31.0 |
| Other goods and services sold | 53.6 | 51.0 | 14.1 | 13.2 |
| **Total goods and services sold** | **883.3** | **799.7** | **196.8** | **159.5** |

**Note b13**

**Other income**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Profit/loss from non-current assets sold (see b6, b7) | 12.5 | 25.7 | 11.5 | 24.3 |
| Income from providing natural resources for use (see Note b2) | 15.4 | 16.3 | 15.4 | 16.3 |
| Fines (see Note b2) | 2.2 | 2.3 | 2.0 | 2.0 |
| Pollution charges (see Note b2) | 0.5 | 0.4 | 0.5 | 0.4 |
| Interest income on debt | 0.2 | 0.2 | 0.2 | 0.1 |
| Other income | 6.4 | 4.7 | 3.9 | 3.4 |
| **Total other income** | **37.2** | **49.6** | **33.5** | **46.5** |

In the cash flow statement, receipts from the sale of non-current assets have been adjusted by the change in receivables; the consolidated report shows a decrease of 1.3 million euros (an increase of 0.2 million euros in 2021), the same in the unconsolidated report.

**Note b14**

**Labour costs**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Wage expenditure** | | | | |
| Persons elected and appointed to a position | -14.7 | -12.0 | -14.7 | -12.0 |
| Officials | -73.1 | -66.2 | -73.1 | -66.2 |
| Members of supervisory boards and management boards | -10.7 | -10.3 | 0.0 | 0.0 |
| Employees | -1,116.6 | -1,021.0 | -790.3 | -719.9 |
| **Total wages of full-time employees** | **-1,215.1** | **-1,109.5** | **-878.1** | **-798.1** |
| Total wages of temporary and external employees | -27.6 | -25.7 | -19.6 | -18.6 |
| **Total wage expenditure** | **-1,242.7** | **-1,135.2** | **-897.7** | **-816.7** |
| **Average number of employees (in full-time equivalents)** | | | | |
| Persons elected and appointed to a position | 232 | 189 | 232 | 189 |
| Officials | 3,023 | 3,025 | 3,023 | 3,025 |
| Members of supervisory boards and management boards | 312 | 281 | 0 | 0 |
| Employees | 63,290 | 62,711 | 48,000 | 47,482 |
| **Total average number of employees** | **66,857** | **66,206** | **51,255** | **50,696** |
| **Other labour costs** | | | | |
| Fringe benefits | -2.8 | -1.9 | -1.4 | -1.0 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Taxes and social security contributions | -416.7 | -380.8 | -302.6 | -275.8 |
| Capitalised production | 1.0 | 0.8 | 0.1 | 0.1 |
| **Total other labour costs** | **-418.5** | **-381.9** | **-303.9** | **-276.7** |
| **Total labour costs** | **-1,661.2** | **-1,517.1** | **-1,201.6** | **-1,093.4** |

Labour costs by activities are presented in Note b18.

**Note b15**

**Management expenses**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Cost of managing property, buildings and premises | -227.7 | -178.2 | -192.1 | -156.1 |
| Costs of managing facilities | -145.7 | -127.1 | -140.9 | -126.0 |
| Medical equipment and services | -111.4 | -109.6 | -7.9 | -8.2 |
| Foodstuffs and catering services | -54.5 | -47.4 | -47.0 | -41.1 |
| Transport services | -24.9 | -18.2 | -29.1 | -21.2 |
| Cost of managing vehicles | -58.8 | -40.0 | -13.8 | -11.9 |
| Cost of teaching materials and trainings | -46.5 | -40.1 | -46.5 | -40.2 |
| Information and communication technology expenses | -39.2 | -38.8 | -30.3 | -30.7 |
| Cost of managing work machinery, equipment and fixtures and fittings | -46.9 | -40.4 | -28.8 | -30.7 |
| Administration costs | -28.3 | -26.5 | -19.6 | -18.4 |
| Communication, culture and leisure time expenses | -41.1 | -32.0 | -35.3 | -28.3 |
| Social services | -33.5 | -29.1 | -44.5 | -39.3 |
| Production costs | -34.0 | -25.3 | -0.4 | -0.3 |
| Training costs of labour force | -12.3 | -8.4 | -9.9 | -6.7 |
| Research and development | -5.6 | -5.1 | -4.3 | -4.2 |
| Miscellaneous other management expenses | -30.0 | -32.8 | -21.5 | -17.3 |
| **Total management expenses** | **-940.4** | **-799.0** | **-671.9** | **-580.6** |

Management expenses by activities are presented in Note b18.

**Note b16**

**Depreciation of non-current assets**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Depreciation of investment property (see Note b6) | -6.4 | -6.1 | -4.7 | -4.7 |
| Depreciation of property, plant and equipment (see Note b7) | -315.1 | -286.4 | -206.5 | -187.2 |
| Depreciation of intangible assets | -2.4 | -2.7 | -0.8 | -1.0 |
| **Total depreciation of non-current assets** | **-323.9** | **-295.2** | **-212.0** | **-192.9** |

Depreciation of non-current assets by activities is presented in Note b18.

**Note b17**

**Other expenditure**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| VAT expense on operating expenses | -119.8 | -102.6 | -96.2 | -82.9 |
| VAT expense on acquisition of non-current assets | -73.2 | -81.8 | -64.6 | -74.9 |
| Other tax and fee expenses | -9.7 | -9.2 | -0.3 | -0.3 |
| Expenditure on doubtful receivables | -1.3 | -0.8 | -1.2 | -0.7 |
| Other expenditure | -1.1 | -1.3 | -0.4 | -1.0 |
| **Total other expenditure** | **-205.1** | **-195.7** | **-162.7** | **-159.8** |

**Note b18**

**Expenditure by activity**

In millions of euros

**A. Consolidated report**

| | 2022 | | | | | 2021 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total |
| General government services | 131.2 | 39.8 | 17.7 | 21.3 | **210.0** | 123.5 | 37.8 | 17.9 | 16.7 | **195.9** |
| Public order and security | 4.7 | 2.0 | 0.1 | 0.5 | **7.3** | 4.5 | 1.6 | 0.1 | 0.4 | **6.6** |
| Economy | 99.8 | 154.6 | 108.7 | 33.5 | **396.6** | 88.1 | 123.7 | 101.9 | 39.3 | **353.0** |
| Environmental protection | 19.1 | 96.8 | 14.2 | 23.0 | **153.1** | 17.1 | 80.6 | 14.0 | 19.2 | **130.9** |
| Housing and utilities | 48.8 | 100.1 | 54.2 | 19.0 | **222.1** | 43.0 | 81.0 | 49.9 | 20.5 | **194.4** |
| Health care | 313.1 | 160.8 | 23.7 | 30.0 | **527.6** | 293.1 | 148.8 | 19.5 | 25.6 | **487.0** |
| Leisure time, culture, religion | 98.9 | 82.0 | 33.7 | 17.7 | **232.3** | 90.0 | 68.9 | 29.6 | 20.5 | **209.0** |
| Education | 845.4 | 239.4 | 65.3 | 65.2 | **1,215.3** | 769.9 | 201.3 | 56.2 | 54.9 | **1,082.3** |
| Social protection | 100.2 | 64.9 | 6.3 | 9.4 | **180.8** | 87.9 | 55.3 | 6.1 | 9.5 | **158.8** |
| **Total expenditure** | **1,661.2** | **940.4** | **323.9** | **219.6** | **3,145.1** | **1,517.1** | **799.0** | **295.2** | **206.6** | **2,817.9** |

**B. Unconsolidated report**

| | 2021 | | | | | 2020 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total |
| General government services | 126.9 | 37.2 | 17.6 | 20.8 | **202.5** | 119.4 | 35.9 | 17.7 | 16.4 | **189.4** |

| | 2021 | | | | | 2020 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total | Labour costs | Management expenses | Depreciation and change in value | Other expenditure | Total |
| Public order and security | 4.7 | 2.2 | 0.1 | 0.5 | **7.5** | 4.4 | 1.8 | 0.1 | 0.4 | **6.7** |
| Economy | 22.6 | 80.1 | 75.3 | 31.5 | **209.5** | 19.0 | 73.9 | 70.9 | 37.6 | **201.4** |
| Environmental protection | 7.8 | 87.3 | 4.3 | 17.6 | **117.0** | 6.7 | 72.6 | 4.1 | 14.3 | **97.7** |
| Housing and utilities | 18.0 | 58.5 | 14.8 | 13.4 | **104.7** | 15.0 | 52.1 | 13.9 | 15.3 | **96.3** |
| Health care | 14.1 | 5.2 | 2.3 | 1.1 | **22.7** | 14.4 | 5.1 | 1.5 | 1.4 | **22.4** |
| Leisure time, culture, religion | 87.0 | 76.2 | 28.6 | 16.9 | **208.7** | 79.5 | 65.3 | 25.3 | 19.9 | **190.0** |
| Education | 837.8 | 255.1 | 63.7 | 66.2 | **1,222.8** | 763.4 | 213.5 | 54.3 | 54.7 | **1,085.9** |
| Social protection | 82.7 | 70.1 | 5.3 | 7.8 | **165.9** | 71.6 | 60.4 | 5.1 | 8.4 | **145.5** |
| **Total expenditure** | **1,201,6** | **671.9** | **212.0** | **175.8** | **2,261.3** | **1,093.4** | **580.6** | **192.9** | **168.4** | **2,035.3** |

Other expenditure includes other operating expenses, interest expense and other financial expenses.

**Note b19**

**Transactions with public sector entities and related entities**

In millions of euros

**A. Receivables and liabilities with other public sector and affiliated entities**

| | Consolidated | | | Unconsolidated | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Assets** | **279.9** | **252.8** | **233.3** | **314.4** | **282.4** | **241.1** |
| **Current assets** | **279.8** | **252.7** | **233.2** | **244.7** | **206.4** | **192.4** |
| Tax, state fee and fine receivables | 156.7 | 144.8 | 134.8 | 156.7 | 144.8 | 134.8 |
| Other claims and prepayments | 123.1 | 107.9 | 98.4 | 88.0 | 61.6 | 57.6 |
| **Non-current assets** | **0.1** | **0.1** | **0.1** | **69.7** | **76.0** | **48.7** |
| Other claims and prepayments | 0.1 | 0.1 | 0.1 | 69.7 | 76.0 | 48.7 |
| **Liabilities** | **178.8** | **206.8** | **239.7** | **139.2** | **214.2** | **203.1** |
| **Current liabilities** | **124.4** | **148.7** | **180.4** | **101.4** | **172.7** | **159.3** |
| Trade payables | 21.1 | 13.8 | 9.9 | 22.0 | 15.7 | 11.6 |
| Deferred taxes | 72.4 | 66.2 | 62.0 | 51.0 | 107.8 | 43.8 |
| Other liabilities and received prepayments | 23.8 | 62.9 | 101.2 | 24.6 | 45.7 | 99.1 |
| Loan liabilities | 7.1 | 5.8 | 7.3 | 3.8 | 3.5 | 4.8 |
| **Non-current liabilities** | **54.4** | **58.1** | **59.3** | **37.8** | **41.5** | **43.8** |
| Loan liabilities | 53.1 | 56.8 | 57.7 | 26.8 | 29.3 | 32.0 |
| Other liabilities and received prepayments | 1.3 | 1.3 | 1.6 | 11.0 | 12.2 | 11.8 |

**B. Income and expenditure from other public sector entities**

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Income from operations** | **3,100.7** | **2,884.5** | **2,525.9** | **2,326.9** |
| Taxes and social security contributions | 1,603.2 | 1,429.8 | 1,603.2 | 1,429.8 |
| Goods and services sold | 499.3 | 467.5 | 40.9 | 33.8 |

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Grants received | 981.2 | 964.6 | 865.0 | 840.8 |
| Other income | 17.0 | 22.6 | 16.8 | 22,5 |
| **Operating expenses** | **-333.1** | **-283.1** | **-519.1** | **-190.1** |
| Grants awarded | -6.4 | -4.8 | -220.7 | -136.0 |
| Management expenses | -123.5 | -84.2 | -137.4 | 104.0 |
| Other operating expenses | -203.2 | -194.1 | -161.0 | -158.1 |
| **Operating result** | **2,767.6** | **2,601.4** | **2,006.8** | **2,136.8** |
| **Financial income and expenditure** | **0.7** | **5.5** | **13.9** | **13.2** |
| Profit/loss from financial investments | 1.6 | 6.0 | 13.7 | 12.8 |
| Other financial income and expenses | -0.9 | -0.5 | 0.2 | 0.4 |
| **Surplus or deficit for the reporting period** | **2,768.3** | **2,606.9** | **2,020.7** | **2,150.0** |

The consolidated report includes the transactions of the entities included in the group with the state and other legal persons in public law (except local governments) with the companies, foundations and non-profit associations under their controlling influence, as well as with all public sector associates (companies and foundations under significant influence).

The unconsolidated report includes the transactions of the entities included in the group with the companies, foundations and non-profit associations under their controlling influence, as well as with the state and other legal persons in public law (except local governments) and the companies, foundations and non-profit associations under their controlling influence and with all public sector associates (companies and foundations under significant influence).

**Note b20**

**Transactions with other related parties, subject to disclosure**

In millions of euros

In accordance with the public sector financial accounting and reporting guidelines, the annual report discloses information on transactions that do not comply with legislation or the general requirements for internal documents of an accounting entity or with market conditions; and discloses information about transactions made with the members of the accounting entity's senior and executive management, their close family members and the foundations, non-profit associations and companies under their controlling influence.

Accordingly, local governments have reported transactions with related parties:

| | 2022 | 2021 |
|---|---|---|
| Receivables | 0.4 | 0.1 |
| Liabilities | 0.2 | 0.3 |
| Non-current assets acquired from related companies | 0.1 | 0.2 |
| Revenue from goods and services sold | 0.2 | 0.1 |
| Grants awarded to related foundations and non-profit associations | -1.4 | -0.8 |
| Economic costs from related foundations and non-profit association | -0.4 | -0.3 |
| Economic costs from related companies | -0.6 | -0.8 |
| Economic costs from related natural persons | -0.7 | -0.6 |

**Note b21**

**Material contingent liabilities and receivables**

In millions of euros

| | Consolidated | | Unconsolidated | |
|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2022 | 31.12.2021 |
| **Contingent liabilities** | **1,002.6** | **850.7** | **544.3** | **433.4** |

| | | | | |
|---|---|---|---|---|
| Delivery contracts and investment liabilities for acquisition of non-current assets | 415.3 | 286.9 | 374.8 | 263.5 |
| Continuing operating lease liabilities | 145.3 | 138.4 | 141.0 | 134.5 |
| Grant and co-financing liabilities | 7.4 | 8.6 | 1.6 | 5.3 |
| Non-current assets pledged as loan security (see Note b6, b7) | 204.4 | 195.4 | 7.6 | 8.3 |
| Current assets pledged as loan security | 25.4 | 24.3 | 0.0 | 0.0 |
| Other contingent liabilities | 206.8 | 197.1 | 19.3 | 21.8 |
| **Contingent claims** | **108.4** | **140.2** | **59.5** | **91.4** |
| Continuing operating lease receivables | 16.4 | 18.8 | 7.3 | 7.8 |
| Receivables based on contracts signed for grants | 92.0 | 121.4 | 52.2 | 83.6 |

The residual value of the assets leased and capital-leased are disclosed in Notes b6 and b7.

Other contingent liabilities include a liability to reimburse the residual value of assets in the amount of 198.7 million euros (181.1 million euros as of 31 December 2021) upon termination of the agreement with AS Tallinna Soojus in accordance with the lease and operator agreement of AS Tallinna Soojus.

# 4 Information on public sector and general government sector

## 4.1 Balance sheet

In millions of euros

| | Public sector | | | General government | | | Note |
|---|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 | |
| **Assets** | | | | | | | |
| **Current assets** | | | | | | | |
| Cash | 2,734.5 | 2,504.5 | 2,885.1 | 2,138.5 | 2,646.2 | 2,652.9 | c2 |
| Financial investments | 3,811.1 | 2,039.0 | 2,198.2 | 1,864.2 | 453.0 | 649.2 | c3 |
| Tax, state fee and fine receivables | 1,285.5 | 1,153.0 | 1,035.4 | 1,339.0 | 1,210.8 | 1,068.3 | |
| Other claims and prepayments | 2,716.0 | 3,112.8 | 2,439.3 | 1,064.5 | 746.8 | 694.3 | c4 |
| Derivatives | 199.8 | 160.2 | 31.8 | 0.0 | 0.0 | 0.0 | |
| Inventories | 771.9 | 393.1 | 347.1 | 432.2 | 231.6 | 188.7 | |
| Intangible current assets | 444.1 | 208.6 | 85.3 | 0.0 | 0.0 | 0.0 | a12 |
| Biological assets | 62.6 | 41.6 | 31.6 | 3.1 | 1.8 | 1.3 | Note c11 |
| **Total current assets** | **12,025.5** | **9,612.8** | **9,053.8** | **6,841.5** | **5,290.2** | **5,254.7** | |
| **Non-current assets** | | | | | | | |
| Ownership interest in foundations and non-profit associations | 0.0 | 0.0 | 0.0 | 19.0 | 18.9 | 19.0 | c5 |
| Ownership interest in subsidiaries and affiliated associates | 180.4 | 163.7 | 100.0 | 4,183.8 | 4,024.4 | 3,715.9 | c6 |
| Financial investments | 12,314.2 | 12,763.4 | 10,323.6 | 518.1 | 348.6 | 342.4 | c3 |
| Other claims and prepayments | 913.1 | 903.4 | 843.8 | 931.5 | 913.2 | 852.1 | c4 |
| Derivatives | 496.5 | 187.6 | 23.7 | 0.0 | 0.0 | 0.0 | |
| Investment property | 252.5 | 248.7 | 250.7 | 202.2 | 203.7 | 204.2 | c7 |
| Property, plant and equipment | 17,064.2 | 16,360.5 | 15,581.6 | 10,085.9 | 9,590.4 | 8,967.7 | c8 |
| Intangible assets | 374.9 | 344.9 | 316.5 | 242.8 | 208.7 | 178.4 | c9 |
| Biological assets | 2,188.9 | 946.6 | 772.8 | 30.6 | 18.5 | 14.0 | Note c11 |
| **Total non-current assets** | **33,784.7** | **31,918.8** | **28,212.7** | **16,213.9** | **15,326.4** | **14,293.7** | |
| | | | | | | | |
| **Total assets** | **45,810.2** | **41,531.6** | **37,266.5** | **23,055.4** | **20,616.6** | **19,548.4** | |

| | Public sector | | | General government sector | | | Note |
|---|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** | |
| **Liabilities and net assets** | | | | | | | |
| **Current liabilities** | | | | | | | |
| Prepayments of taxes, state fees and fines received | 682.7 | 603.8 | 508.0 | 695.2 | 615.8 | 517.3 | |
| Trade payables | 745.0 | 589.5 | 450.5 | 504.1 | 405.2 | 329.9 | |
| Payables to employees | 364.8 | 325.1 | 301.5 | 292.1 | 263.0 | 246.7 | |
| Other liabilities and received prepayments | 15,315.1 | 15,497.5 | 12,954.3 | 1,593.3 | 1,155.3 | 847.2 | c12 |
| Provisions | 888.0 | 479.6 | 387.0 | 406.2 | 134.5 | 140.7 | c13 |
| Loan liabilities | 1,768.3 | 948.8 | 1,020.6 | 583.3 | 624.7 | 656.9 | c14 |
| Derivatives | 169.1 | 116.1 | 11.5 | 0.0 | 0.0 | 1.0 | |
| **Total current liabilities** | **19,933.0** | **18,560.4** | **15,633.4** | **4,074.2** | **3,198.5** | **2,739.7** | |
| | | | | | | | |
| **Non-current liabilities** | | | | | | | |
| Provisions | 4,124.8 | 3,803.2 | 3,303.6 | 4,075.2 | 3,753.0 | 3,252.7 | c13 |
| Loan liabilities | 6,559.4 | 6,040.6 | 5,661.2 | 5,729.7 | 4,568.9 | 4,264.6 | c14 |
| Other liabilities and received prepayments | 418.1 | 261.9 | 195.3 | 44.7 | 50.8 | 46.0 | c12 |
| Derivatives | 32.1 | 37.8 | 4.4 | 0.0 | 0.0 | 0.0 | |
| **Total non-current liabilities** | **11,134.4** | **10,143.5** | **9,164.5** | **9,849.6** | **8,372.7** | **7,563.3** | |
| | | | | | | | |
| **Total liabilities** | **31,067.4** | **28,703.9** | **24,797.9** | **13,923.8** | **11,571.2** | **10,303.0** | |
| **Net assets** | | | | | | | |
| **Minority shareholding** | **295.8** | **277.3** | **128.8** | **13.9** | **11.2** | **9.2** | |
| **Net assets of public sector or general government** | | | | | | | |
| Reserves | 1,189.7 | 1,174.6 | 1,160.4 | 703.9 | 691.6 | 680.0 | c16 |
| Hedging reserve | 698.4 | 211.5 | 34.1 | 0.0 | 0.0 | 0.0 | a18 |
| Other reserves | 12.5 | 8.2 | 5.9 | 0.0 | 0.0 | 0.0 | |
| Accumulated surplus or deficit | 12,546.4 | 11,156.1 | 11,139.4 | 8,413.8 | 8,342.6 | 8,556.2 | |
| **Total net assets of the public sector or general government sector** | **14,447.0** | **12,550.4** | **12,339.8** | **9,117.7** | **9,034.2** | **9,236.2** | |
| **Total net assets** | **14,742.8** | **12,827.7** | **12,468.6** | **9,131.6** | **9,045.4** | **9,245.4** | |
| | | | | | | | |
| **Total liabilities and net assets** | **45,810.2** | **41,531.6** | **37,266.5** | **23,055.4** | **20,616.6** | **19,548.4** | |

# 4.2 Statement of financial performance

In millions of euros

| | Public sector | | General government sector | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Income from operations** | | | | | |
| Taxes and social security contributions | 11,423.6 | 10,290.4 | 11,494.3 | 10,344.7 | c17 |
| Goods and services sold | 4,089.5 | 2,934.0 | 963.5 | 759.9 | c18 |
| Grants received | 1,236.2 | 1,084.9 | 1,150.2 | 1,046.0 | c15 |
| Other income | 676.8 | 323.5 | 310.2 | 227.4 | c19 |
| **Total income from operations** | **17,426.1** | **14,632.8** | **13,918.2** | **12,378.0** | |
| **Operating expenses** | | | | | |
| Grants awarded | -6,060.7 | -6,037.1 | -6,257.2 | -6,214.4 | c15 |
| Labour costs | -4,170.2 | -3,800.7 | -3,698.1 | -3,384.7 | c20 |
| Management expenses | -3,811.4 | -2,918.5 | -2,244.7 | -1,914.5 | c21 |
| Depreciation and change in value of non-current assets | -1,114.6 | -1,048.7 | -730.0 | -670.1 | c22 |
| Pass-through taxes, state fees, fines | -517.6 | -332.9 | -517.6 | -332.9 | c23 |
| Doubtful taxes, state fees, fines | -35.2 | -39.2 | -34.2 | -39.4 | c23 |
| Other expenditure | -941.4 | -345.3 | -148.6 | -70.3 | c23 |
| **Total operating expenses** | **-16,651.1** | **-14,522.4** | **-13,630.4** | **-12,626.3** | |
| | | | | | |
| **Operating result** | **775.0** | **110.4** | **287.8** | **-248.3** | |
| | | | | | |
| **Operating result from change in fair value of biological assets** | **1,263.5** | **183.9** | **13.4** | **5.0** | Note c11 |
| | | | | | |
| **Financial income and expenditure** | | | | | c24 |
| Profit/loss from financial investments | 33.1 | 6.2 | 321.7 | 305.7 | |
| Interest expense | -510.9 | -333.8 | -176.9 | -142.3 | |
| Income from deposits and securities | 260.6 | 192.3 | -8.3 | -2.8 | |
| Other financial income | 4.2 | 4.3 | 6.0 | 5.8 | |
| Other financial expenses | -0.5 | -0.5 | -0.5 | -0.1 | |
| **Total financial income and expenditure** | **-213.5** | **-131.5** | **142.0** | **166.3** | |
| | | | | | |
| **Surplus or deficit for the reporting period** | **1,825.0** | **162.8** | **443.2** | **-77.0** | |
| | | | | | |
| **Incl. public sector's or general government's part of surplus/deficit** | **1,790.2** | **146.3** | **440.5** | **-79.0** | |
| **Incl. the share of minority shareholding surplus or deficit** | **34.8** | **16.5** | **2.7** | **2.0** | |

# 4.3 Cash flow statement

In millions of euros

| | Public sector | | General government sector | | Note |
|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | |
| **Cash flow from principal activities** | | | | | |
| **Operating result** | **775.0** | **110.4** | **287.8** | **-248.3** | |
| Depreciation and change in value of non-current assets | 1,114.6 | 1,048.7 | 730.0 | 670.1 | c22 |
| Profit/loss from non-current assets sold | -71.8 | -59.9 | -64.7 | -54.1 | c19 |
| Revenue from government grants received for acquisition of non-current assets | -606.8 | -493.7 | -545.8 | -457.4 | c15 |
| Expenditure on government grants awarded for acquisition of non-current assets | 191.3 | 192.9 | 263.7 | 290.0 | c15 |
| Other non-cash adjustments | 182.8 | 16.7 | -6.4 | -7.6 | |
| **Total adjusted operating result** | **1,585.1** | **815.1** | **664.6** | **192.7** | |
| Net change in current assets | -840.5 | -577.0 | -470.0 | -245.0 | |
| Net change in liabilities | 1,107.7 | 85.0 | 590.4 | 661.2 | |
| **Total cash flows from principal activities** | **1,852.3** | **323.1** | **785.0** | **608.9** | |
| **Cash flows from investment activities** | | | | | |
| Investments in non-current assets | -1,915.0 | -1,705.6 | -1,194.4 | -1,216.5 | c10 |
| Capital gains from non-current assets sold | 84.8 | 77.8 | 72.0 | 62.4 | |
| Government grants received for the acquisition of non-current assets | 456.1 | 459.2 | 386.9 | 418.6 | c15 |
| Government grants invested for acquisition of non-current assets | -177.7 | -185.1 | -229.8 | -266.8 | c15 |
| Paid upon the acquisition of financial investments | -3,628.8 | -600.1 | -2,092.1 | -695.1 | |
| Received from the sale of financial investments | 2,290.0 | 922.8 | 497.2 | 876.6 | |
| Paid upon the acquisition of holdings | -14.1 | -91.8 | -8.4 | -98.3 | c6 |
| Dividends received | 9.7 | 10.5 | 166.6 | 87.7 | |
| Dividends paid, reductions from acquisition and loss of controlling influence and reclassification | -17.6 | -6.5 | 0.0 | 0.0 | |
| Received from the sale and liquidation of holdings and reclassification of holdings into the general government sector | 27.9 | 179.6 | 3.5 | 22.8 | |
| Loans issued | -31.8 | -83.2 | -34.3 | -85.0 | |
| Repayments of loans received | 58.2 | 40.5 | 51.0 | 42.0 | |
| Financial income received | 182.4 | 190.8 | 2.8 | -5.9 | |
| **Total cash flows from investment activities** | **-2,675.9** | **-791.1** | **-2,379.0** | **-857.5** | |
| **Cash flows from financing activities** | | | | | |
| Loans received | 2,468.9 | 1,227.5 | 1,900.2 | 950.5 | c14 |
| Loan repayments | -1,115.0 | -958.2 | -795.0 | -691.0 | c14 |
| Interest paid and other financial expenses | -300.3 | -181.9 | -18.9 | -17.6 | |
| **Total cash flows from financing activities** | **1,053.6** | **87.4** | **1,086.3** | **241.9** | |
| **Net cash flows** | | | | | |
| Cash and cash equivalents at the beginning of the year | 2,504.5 | 2,885.1 | 2,646.2 | 2,652.9 | c2 |
| Cash and cash equivalents at the end of the year | 2,734.5 | 2,504.5 | 2,138.5 | 2,646.2 | c2 |
| **Change in cash and cash equivalents** | **230.0** | **-380.6** | **-507.7** | **-6.7** | |

# 4.4 Statement of changes in net assets

In millions of euros

**A. Public sector**

| | Net assets of the public sector | | | | | | Minority shareholding | Total | Note |
|---|---|---|---|---|---|---|---|---|---|
| | Stabilisation Reserve Fund | Other reserves (see Note c16) | Hedging reserve | Other reserves | Accumulated surplus or deficit | Total | | | |
| **Balance as of 31.12.2020** | **431.9** | **728.5** | **34.1** | **5.9** | **11,139.4** | **12,339.8** | **128.8** | **12,468.6** | |
| Revaluation of investment property | | | | | 3.9 | **3.9** | | **3.9** | c7 |
| Revaluation of property, plant and equipment | | | | | 20.0 | **20.0** | | | c8 |
| Actuarial gains and losses in provisions for pensions | | | | | -167.6 | **-167.6** | | **-167.6** | a16 |
| Revaluation of risk hedging instruments | | | 177.4 | | | **177.4** | | **177.4** | a18 |
| Exchange rate differences attributable to foreign subsidiaries and other comprehensive income of affiliated undertakings | | | | 2.3 | | **2.3** | | **2.3** | |
| Surplus or deficit of the reporting period | | | | | 146.3 | **146.3** | 16.5 | **162.8** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **177.4** | **2.3** | **2.6** | **182.3** | **16.5** | **198.8** | |
| Purchase and sale of minority holdings | | | | | 27.7 | **27.7** | 138.5 | **166.2** | a9A |
| Holdings consolidated for the first time | | | | | 0.6 | **0.6** | | **0.6** | |
| Dividends paid | | | | | | **0.0** | -6.5 | **-6.5** | |
| Reallocation | -1.8 | 16.0 | | | -14.2 | **0.0** | | **0.0** | c16 |
| **Balance as of 31.12.2021** | **430.1** | **744.5** | **211.5** | **8.2** | **11,156.1** | **12,550.4** | **277.3** | **12,827.7** | |
| Revaluation of investment property | | | | | 0.6 | **0.6** | | **0.6** | c7 |
| Revaluation of property, plant and equipment | | | | | 9.3 | **9.3** | | **9.3** | c8 |
| Actuarial gains and losses in provisions for pensions | | | | | -394.7 | **-394.7** | | **-394.7** | a16 |
| Revaluation of risk hedging instruments | | | 486.9 | | | **486.9** | 3.4 | **490.3** | a18 |
| Exchange rate differences attributable to foreign subsidiaries and other comprehensive income of affiliated undertakings | | | | 4.3 | | **4.3** | | **4.3** | |
| Surplus or deficit for the reporting period | | | | | 1,790.2 | **1,790.2** | 34.8 | **1,825.0** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **486.9** | **4.3** | **1,405.4** | **1,896.6** | **38.2** | **1,934.8** | |
| Purchase and sale of minority holdings | | | | | | **0.0** | -2.1 | **-2.1** | a9A |
| Dividends paid | | | | | | **0.0** | -17.6 | **-17.6** | |
| Reallocation | -6.2 | 21.3 | | | -15.1 | **0.0** | | **0.0** | c16 |
| **Balance as of 31.12.2022** | **423.9** | **765.8** | **698.4** | **12.5** | **12,546.4** | **14,447.0** | **295.8** | **14,742.8** | |

**B. General government**

| | Stabilisation Reserve Fund | Other reserves | Accumulated surplus or deficit | Total | Minority shareholding | Total | Note |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **431.9** | **248.1** | **8,556.2** | **9,236.2** | **9.2** | **9,245.4** | |
| Revaluation of investment property | | | 3.8 | **3.8** | | **3.8** | c7 |
| Revaluation of property, plant and equipment | | | 18.1 | **18.1** | | **18.1** | c8 |
| Actuarial gains and losses in provisions for pensions | | | -167.6 | **-167.6** | | **-167.6** | a16 |
| Surplus or deficit of the reporting period | | | -79.0 | **-79.0** | 2 | **-77.0** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **-224.7** | **-224.7** | **2.0** | **-222.7** | |
| Reclassification and adjustment of holdings into the general government sector | | | 22.7 | **22.7** | | **22.7** | |
| Reallocation | -1.8 | 13.4 | -11.6 | **0.0** | | **0.0** | c16 |
| **Balance as of 31.12.2021** | **430.1** | **261.5** | **8,342.6** | **9,034.2** | **11.2** | **9,045.4** | |
| Revaluation of investment property | | | 0.6 | **0.6** | | **0.6** | c7 |
| Revaluation of property, plant and equipment | | | 8.4 | **8.4** | | **8.4** | c8 |
| Actuarial gains and losses in provisions for pensions | | | -394.7 | **-394.7** | | **-394.7** | a16 |
| Surplus or deficit of the reporting period | | | 440.5 | **440.5** | 2.7 | **443.2** | |
| **Total surplus or deficit of the reporting period** | **0.0** | **0.0** | **54.8** | **54.8** | **2.7** | **57.5** | |
| Reclassification and adjustment of holdings into the general government sector | | | 28.7 | **28.7** | | **28.7** | |
| Reallocation | -6.2 | 18.5 | -12.3 | **0.0** | | **0.0** | c16 |
| **Balance as of 31.12.2022** | **423.9** | **280.0** | **8,413.8** | **9,117.7** | **13.9** | **9,131.6** | |

## 4.5 Accounting methods and valuation principles

The public sector report includes the state, local governments, other legal persons in public law and persons under their direct or indirect controlling influence (entities listed in Notes a1, b1 and c1).

The general government sector report includes the state (unconsolidated report), local governments (unconsolidated report) and other legal persons in public law belonging to the general government sector (see Note c1 A, unconsolidated data). Furthermore, the general government sector includes foundations, non-profit associations and companies under the controlling influence of all the aforementioned legal persons in public law which receive more than half of their revenue in the form of grants from other general government entities and are not sufficiently free to make commercial decisions under market conditions. In defining the general government sector, the principles established by the International Monetary Fund GFS (Government Finance Statistics) and by the European Union ESA (the European System of Accounts) are applied.

The report is based on the reports submitted by the entities presented in Notes a1, b1 and c1 in accordance with the public sector financial accounting and reporting guidelines (see 2.6. Accounting methods and valuation principles). Receivables, liabilities, income and expenses between reported entities have been eliminated.

The report is presented in millions of euros.

# 4.6 Notes (c1–c28)

**Note c1**

**Entities consolidated in the report**

In millions of euros

The public sector report consolidates all reporting entities, including the state, local governments, other legal persons in public law and entities under the controlling influence of all the above persons (see Notes a1, b1 and c1).

The general government report includes consolidated government agencies (see Note a1 A), local government units (unconsolidated, see Note b1 A), other legal persons in public law belonging to the general government sector (unconsolidated, see Note c1 A), general government foundations, non-profit associations and subsidiaries under the controlling influence of the state, local governments and other legal persons in public law (see Notes a1 B, b1 B, b1 C, c1 B).

This Note contains data on legal persons that are not included in the reports of the state or local governments but are consolidated in the public sector or in the general government sector in addition to the state and local governments.

**A. Other legal persons in public law**

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Total** | **17,528.6** | **2,672.9** | **3,570.3** | **-3,352.3** | **186.0** | **18,372.6** | **2,459.2** | **3,399.1** | **-3,248.5** | **185.8** |
| **Entities included in the general government sector** | **2,632.9** | **2,160.8** | **3,559.2** | **-3,318.6** | **244.3** | **2,321.1** | **1,887.9** | **3,388.5** | **-3,219.9** | **167.0** |
| Health Insurance Fund | 727.9 | 579.7 | 2,049.9 | -1,891.5 | 159.9 | 544.2 | 391.9 | 1,931.2 | -1,795.3 | 135.9 |
| Estonian Unemployment Insurance Fund | 661.9 | 539.6 | 788.9 | -757.2 | 33.7 | 604.1 | 505.8 | 800.5 | -809.5 | -9.0 |
| Estonian Academy of Arts | 34.8 | 29.1 | 15.7 | -15.8 | -0.1 | 34.5 | 28.9 | 12.7 | -12.2 | 0.5 |
| Estonian Academy of Music and Theatre | 20.7 | 18.6 | 10.7 | -10.7 | 0.0 | 22.8 | 18.7 | 9.2 | -9.1 | 0.1 |
| Estonian University of Life Sciences | 87.8 | 77.7 | 49.3 | -45.4 | 4.0 | 82.8 | 73.7 | 45.0 | -40.2 | 4.9 |
| Tallinn University | 68.3 | 44.9 | 54.1 | -50.2 | 3.8 | 64.4 | 39.9 | 45.8 | -46.8 | -1.1 |
| Tallinn University of Technology | 174.0 | 126.6 | 127.8 | -125.5 | 2.5 | 156.6 | 124.1 | 123.8 | -118.9 | 4.8 |
| University of Tartu | 352.5 | 268.9 | 247.9 | -247.7 | 0.3 | 351.6 | 268.6 | 233.8 | -224.6 | 9.2 |
| Estonian Academy of Sciences | 7.1 | 6.7 | 2.7 | -2.8 | -0.1 | 7.2 | 6.8 | 2.5 | -2.3 | 0.2 |
| National Institute of Chemical Physics and Biophysics | 20.3 | 15.6 | 7.8 | -8.2 | -0.4 | 20.8 | 16.0 | 7.7 | -8.0 | -0.3 |
| Estonian Public Broadcasting | 40.9 | 33.3 | 47.3 | -46.2 | 1.1 | 41.6 | 32.2 | 43.5 | -42.2 | 1.2 |
| National Library of Estonia | 33.2 | 30.5 | 32.0 | -16.0 | 15.9 | 15.4 | 14.6 | 9.4 | -9.4 | 0.0 |
| Estonian National Opera | 10.6 | 8.7 | 14.6 | -15.4 | -0.8 | 11.0 | 9.5 | 13.7 | -13.2 | 0.5 |
| Cultural Endowment of Estonia | 29.6 | 25.9 | 39.3 | -31.5 | 7.7 | 20.8 | 18.2 | 33.2 | -30.7 | 2.4 |
| Defence League | 62.3 | 55.0 | 46.9 | -46.5 | 0.3 | 58.2 | 54.6 | 52.1 | -49.7 | 2.3 |
| Guarantee Fund | 296.3 | 296.2 | 16.5 | -0.3 | 16.4 | 280.6 | 280.6 | 16.5 | -0.3 | 15.0 |
| Chamber of Notaries | 2.6 | 2.3 | 1.5 | -1.5 | 0.0 | 2.7 | 2.3 | 1.5 | -1.4 | 0.1 |
| Estonian Auditors' Association | 0.9 | 0.8 | 0.7 | -0.7 | 0.0 | 0.9 | 0.9 | 0.6 | -0.6 | 0.0 |
| Estonian Bar Association | 0.6 | 0.2 | 4.7 | -4.7 | 0.0 | 0.4 | 0.2 | 4.8 | -4.8 | 0.0 |
| Estonian Chamber of Enforcement Officers and Trustees in Bankruptcy | 0.6 | 0.5 | 0.9 | -0.8 | 0.1 | 0.5 | 0.4 | 1.0 | -0.7 | 0.3 |
| Chamber of Estonian Patent Attorneys | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Entities not included in the general government sector** | **14,895.7** | **512.1** | **11.1** | **-33.7** | **-58.3** | **16,051.5** | **571.3** | **10.6** | **-28.6** | **18.8** |
| Bank of Estonia and the Estonian Financial Supervision and Resolution Authority | 14,895.7 | 512.1 | 11.1 | -33.7 | -58.3 | 16,051.5 | 571.3 | 10.6 | -28.6 | 18.8 |

**Holdings of other legal persons in public law in foundations and non-profit associations**

| | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Total** | **33.6** | **28.4** | **23.7** | **-20.3** | **3.7** | **23.9** | **20.8** | **18.1** | **-15.0** | **2.9** |
| **Included in the general government sector** | **0.7** | **0.5** | **1.2** | **-1.1** | **0.0** | **0.5** | **0.4** | **1.0** | **-0.8** | **0.2** |
| Eesti Kunstiakadeemia SA | 0.3 | 0.2 | 0.2 | -0.2 | 0.0 | 0.3 | 0.2 | 0.3 | -0.1 | 0.2 |
| SA Eesti Muusika- ja Teatriakadeemia Fond | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| MTÜ Eesti Maaülikooli Spordiklubi | 0.1 | 0.1 | 0.6 | -0.5 | 0.0 | 0.1 | 0.1 | 0.5 | -0.5 | 0.0 |
| SA Eesti Maaülikooli Joosep Tootsi Fond | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 |
| SA Eesti Maaülikooli Mahekeskus | 0.1 | 0.1 | 0.1 | -0.1 | 0.0 | 0.1 | 0.1 | 0.0 | 0.0 | 0.0 |
| SA Artur Nilsoni Fond | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Tallinna Ülikooli Rahastu | 0.2 | 0.1 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Läänemaa Elukeskkonna Tuleviku-uuringute SA | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| MTÜ Tartu Välismaalaste Teenuskeskus | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 | 0.0 | 0.0 | 0.1 | -0.1 | 0.0 |
| **Not included in the general government sector** | **32.9** | **27.9** | **22,5** | **-19.2** | **3.7** | **23.4** | **20.4** | **17.1** | **-14.2** | **2.7** |
| SA Tartu Teaduspark | 5.6 | 4.0 | 1.6 | -1.8 | -0.2 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| SA Järvselja Õppe- ja Katsemetskond | 20.4 | 20.3 | 4.6 | -1.0 | 3.7 | 16.7 | 16.6 | 3.5 | -0.9 | 2.6 |
| MTÜ Dormitorium | 1.6 | 1.3 | 1.4 | -1.4 | 0.0 | 1.6 | 1.3 | 1.1 | -1.0 | 0.0 |
| MTÜ Tallinna Ülikooli Spordiklubi | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 |
| MTÜ Tartu Üliõpilasküla | 2.0 | 1.1 | 4.7 | -4.5 | 0.2 | 1.6 | 0.9 | 3.8 | -3.8 | -0.1 |
| MTÜ Tartu Ülikooli Akadeemiline Spordiklubi | 0.6 | 0.2 | 3.3 | -3.5 | 0.0 | 0.6 | 0.4 | 3.1 | -2.9 | 0.2 |
| MTÜ Tartu Üliõpilasmaja | 0.4 | 0.2 | 0.7 | -0.8 | 0.0 | 0.4 | 0.3 | 0.4 | -0.4 | 0.0 |
| MTÜ TTÜ Üliõpilasküla | 2.3 | 1.0 | 4.4 | -4.3 | 0.1 | 2.4 | 0.9 | 3.6 | -3.6 | 0.0 |
| MTÜ TTÜ Spordiklubi | 0.0 | -0.2 | 1.4 | -1.5 | -0.1 | 0.1 | 0.0 | 1.2 | -1.2 | 0.0 |
| MTÜ TTÜ Kultuurikeskus | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 | 0.0 | 0.0 | 0.2 | -0.2 | 0.0 |

**B. Holdings of other legal persons in public law in subsidiaries**

| | Share of ownership interest (%) | 31.12.2022 | | 2022 | | | 31.12.2021 | | 2021 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Assets | Net assets | Income from operations | Operating expenses | Operating result | Assets | Net assets | Income from operations | Operating expenses | Operating result |
| **Total** | | **3.9** | **3.0** | **1.5** | **-1.2** | **0.2** | **3.8** | **2.7** | **1.2** | **-1.1** | **0.2** |
| **Not included in the general government sector** | | **3.9** | **3.0** | **1.5** | **-1.2** | **0.2** | **3.8** | **2.7** | **1.2** | **-1.1** | **0.2** |
| OÜ Muusa Majutus | 100 | 3.4 | 2.6 | 0.6 | -0.4 | 0.1 | 3.4 | 2.4 | 0.5 | -0.4 | 0.1 |
| OÜ Eerika Farm | 100 | 0.5 | 0.4 | 0.9 | -0.8 | 0.1 | 0.4 | 0.3 | 0.7 | -0.7 | 0.1 |
| E-Kyla Arendus OÜ | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| OÜ Torni Hostel | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| E-dok OÜ | 100 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| UniTartu Ventures OÜ | 100 | 0.3 | 0.3 | 0.0 | -1.0 | -0.1 | 0.1 | 0.1 | 0.0 | -0.1 | -0.1 |

**Note c2**

**Cash and cash equivalents**

In millions of euros

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| Cash | 19.6 | 18.3 | 16.0 | 2.0 | 1.3 | 1.0 |
| Bank accounts in banks | 1,819.6 | 2,182.0 | 2,523.5 | 1,390.3 | 2,423.7 | 2,357.8 |
| Term deposits in banks | 895.3 | 304.5 | 345.6 | 746.2 | 221.5 | 294.1 |
| **Total cash** | **2,734.5** | **2,504.8** | **2,885.1** | **2,138.5** | **2,646.5** | **2,652.9** |
| Interest income from cash and cash equivalents (see Note c24) | 8.9 | 2.9 | 3.0 | 1.2 | -5.3 | -2.9 |

General government funds in the amount of 454.7 million euros were deposited at the Bank of Estonia as of 31 December 2022 (1,013.1 million euros as of 31 December 2021).

**Note c3**

**Financial investments**

In millions of euros

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| **Short-term financial investments** | **3,811.1** | **2,039.0** | **2,198.2** | **1,864.2** | **453.0** | **649.2** |
| Bonds at fair value | 3,188.6 | 1,862.4 | 2,057.3 | 1,598.8 | 448.6 | 630.5 |
| Held-to-maturity bonds at depreciated cost | 258.1 | 4.1 | 4.7 | 258.1 | 4.1 | 4.7 |
| Short-term loans against securities | 178.4 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Listed shares | 185.8 | 172.2 | 136.2 | 7.1 | 0.1 | 0.1 |
| Unlisted shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 13.9 |
| Other short-term financial investments | 0.2 | 0.3 | 0.0 | 0.2 | 0.2 | 0.0 |
| **Long-term financial investments** | **12,314.2** | **12,763.4** | **10,323.6** | **518.1** | **348.6** | **342.4** |
| Term deposits in banks | 1.6 | 1.6 | 1.8 | 1.6 | 1.6 | 1.8 |
| Holding in investment funds at fair value | 0.1 | 0.2 | 0.9 | 0.0 | 0.0 | 0.7 |
| Other investments in equity instruments | 0.0 | 4.5 | 4.1 | 0.0 | 4.5 | 4.1 |
| Bonds at fair value | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 |
| Held-to-maturity bonds at depreciated cost | 35.7 | 21.7 | 18.7 | 35.7 | 21.7 | 18.7 |
| Bonds held for monetary policy purposes | 10,987.8 | 9,932.2 | 7,800.3 | 0.0 | 0.0 | 0.0 |
| Ownership interest in international organisations | 388.1 | 377.6 | 364.0 | 215.3 | 210.1 | 207.5 |
| Holding in venture capital funds (see Note a3) | 260.5 | 109.4 | 109.1 | 260.5 | 109.4 | 109.1 |
| Listed shares | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 |
| Unlisted shares | 0.8 | 0.4 | 0.1 | 0.1 | 0.1 | 0.0 |

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Other long-term financial investments | 639.1 | 2,315.3 | 2,024.1 | 4.4 | 0.7 | 0.0 |
| **Total financial investments** | **16,125.3** | **14,802.4** | **12,521.8** | **2,382.3** | **801.6** | **991.6** |
| Incl. recorded at fair value | 3,635.5 | 2,144.7 | 2,304.0 | 1,866.9 | 558.6 | 740.9 |
| Incl. recorded at adjusted cost | 12,489.8 | 12,657.7 | 10,217.8 | 515.4 | 243.0 | 250.7 |
| Income from bonds in reporting period (see Note c24) | 154.5 | 138.4 | 177.3 | -10.4 | -3.2 | -2.2 |

Bonds held for monetary policy purposes include the bonds acquired by the Bank of Estonia under the securities market programme of the national central banks in the Eurosystem, the public sector bond purchase programme, and the bonds acquired under the emergency purchase programme to mitigate the economic effects of the pandemic. The bonds are recorded at depreciated cost. The risks materialised are managed between euro area central banks in proportion to their holdings in the European Central Bank. The market value of these bonds as of 31 December 2022 was 9,434.3 million euros (the market value of the securities acquired as of 31 December 2021 was 9,671.7 million euros). No impairment has been identified. The Governing Council of the European Central Bank has decided that all future cash flows are expected to be received.

In addition to the state's ownership interest in international organisations (see Note a3), the respective ownership interest of the Bank of Estonia amount to 172.8 million euros (167.5 million euros as of 31 December 2021), including ownership interest in the European Central Bank in the amount of 95.3 million euros (95.3 million euros as of 31 December 2021) and ownership interest in the International Monetary Fund (IMF) in the amount of 77.3 million euros (73.8 million euros as of 31 December 2021).

Other long-term financial investments include foreign exchange reserves transferred by the Bank of Estonia to the European Central Bank in the amount of 113.7 million euros (113.7 million euros as of 31 December 2021), loans related to monetary policy operations to euro zone credit institutions in the amount of 150.0 million euros (1,881.5 million euros as of 31 December 2021) and the account of SDR, the unit of account of the IMF, in the amount of 371.1 million euros (319.4 million euros as of 31 December 2021). Loans to euro area credit institutions related to monetary policy operations are distributed by euro area central banks in proportion to their holdings in the European Central Bank.

**Note c4**

**Other claims and prepayments**

In millions of euros

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Short-term receivables and prepayments** | **2,716.0** | **3,112.8** | **2,439.3** | **1,064.6** | **746.8** | **694.3** |
| Trade receivables | 497.3 | 398.1 | 236.4 | 66.4 | 48.1 | 35.7 |
| In gross amount | 514.1 | 407.9 | 249.4 | 71.6 | 51.5 | 39.5 |
| Doubtful receivables | -16.8 | -9.8 | -13.0 | -5.2 | -3.4 | -3.8 |
| Interest receivables | 76.7 | 47.9 | 51.4 | 9.3 | 2.2 | 1.2 |
| Other accrued income | 55.1 | 72.3 | 55.6 | 1.2 | 1.0 | 1.6 |
| Loan receivables | 68.6 | 31.0 | 30.8 | 70.8 | 32.6 | 33.4 |
| Outstanding government grants (see Note c15 A) | 724.4 | 539.0 | 487.2 | 723.8 | 532.3 | 483.6 |
| Intra-Eurosystem claims | 1,004.9 | 1,837.6 | 1,388.4 | 0.0 | 0.0 | 0.0 |
| Paid security deposits | 46.3 | 33.3 | 57.8 | 1.3 | 1.1 | 0.8 |
| Other receivables | 57.2 | 25.3 | 26.9 | 16.3 | 15.2 | 14.6 |
| Prepaid government grants | 77.1 | 55.9 | 43.2 | 88.4 | 64.8 | 74.0 |
| Other prepaid expenses | 108.4 | 72.4 | 61.6 | 87.1 | 49.5 | 49.4 |
| **Long-term receivables and prepayments** | **913.1** | **903.4** | **843.8** | **931.5** | **913.2** | **852.1** |

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| Loan receivables | 783.5 | 839.2 | 787.0 | 794.6 | 841.9 | 788.3 |
| Interest receivables (see Note a6) | 30.3 | 39.5 | 34.5 | 30.3 | 39.5 | 34.5 |
| Dedicated funds (see Note a5) | 0.0 | 0.0 | 0.0 | 14.8 | 14.8 | 14.9 |
| Outstanding government grants (see Note c15 A) | 6.0 | 6.0 | 5.5 | 6.0 | 6.0 | 5.5 |
| Other claims and prepayments | 93.3 | 18.7 | 16.8 | 85.8 | 11.0 | 8.9 |
| **Total receivables and prepayments** | **3,629.1** | **4,016.2** | **3,283.1** | **1,996.1** | **1,660.0** | **1,546.4** |

Intra-Eurosystem claims are claims by the Bank of Estonia to the European Central Bank related to the distribution of euro banknotes in the amount of 1,004.9 million euros (1,294.7 million euros as of 31 December 2021), net claims arising from settlements with central banks of the Eurosystem in the amount of 0 euros (554.8 million euros as of 31 December 2021), and other intra-Eurosystem claims in the amount of 0 euros (-11.9 million euros as of 31 December 2021).

**Note c5**

**Ownership interest in foundations and non-profit associations**

**A. Public sector**

In the public sector report, foundations and non-profit associations (see Notes a1 B1, b1 B, c1 B) are consolidated line-by-line.

**B. General government**

| | 31.12.2022 | 31.12.2021 | 31.12.2020 |
|---|---|---|---|
| State ownership interest (see Note a8) | 8.3 | 8.3 | 8.4 |
| Local government ownership interest (see Note b4) | 3.7 | 3.7 | 3.7 |
| Ownership interest of other legal persons in public law | 7.0 | 6.9 | 6.9 |
| **Total ownership interest in foundations and non-profit associations** | **19.0** | **18.9** | **19.0** |

**Note c6**

**Ownership interest in subsidiaries and associates**

In millions of euros

| | Public sector | | | General government sector | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| State ownership interest (see Note a9) | 89.4 | 67.5 | 60.4 | 3,823.8 | 3,671.4 | 3,427.7 |
| Ownership interest of state foundations and companies in the general government sector | 0.0 | 0.0 | 0.0 | 9.0 | 9.0 | 9.0 |
| Local government ownership interest (see Note b5) | 99.6 | 104.6 | 47.3 | 348.4 | 341.6 | 276.3 |
| Local government foundation ownership interest | 0.6 | 0.5 | 0.4 | 2.8 | 2.4 | 2.4 |
| Ownership interest of other legal persons in public law | -9.2 | -8.9 | -8.1 | -0.2 | 0.0 | 0.5 |
| Eliminations between sectors | **180.4** | **163.7** | **100.0** | **4,183.8** | **4,024.4** | **3,715.9** |
| **Total ownership interest in subsidiaries and associates** | 89.4 | 67.5 | 60.4 | 3,823.8 | 3,671.4 | 3,427.7 |

**Movements in ownership interest**

| | Public sector | General government | | |
|---|---|---|---|---|
| | Associates | Subsidiaries | Associates | Total |
| **Balance as of 31.12.2020** | **100.0** | **3,686.6** | **29.3** | **3,715.9** |
| Monetary contributions and payments | 67.7 | 39.8 | 58.5 | 98.3 |
| Non-monetary contributions and payments | 0.0 | 7.5 | 0.0 | 7.5 |
| Reclassification | -0.8 | -9.8 | 0.0 | -9.8 |
| Dividends received | -10.5 | 0.0 | 0.0 | 0.0 |
| Profit/loss based on the equity method (see Note c24) | 7.3 | 0.0 | 0.0 | 0.0 |
| Write-downs and reversals of write-downs (see Note c24) | 0.0 | 212.7 | -0.2 | 212.5 |
| **Balance as of 31.12.2021** | **163.7** | **3,936.8** | **87.6** | **4,024.4** |
| Monetary contributions and payments | 14.1 | 8.4 | 0.0 | 8.4 |
| Non-monetary contributions and payments | 0.0 | 3.3 | 0.0 | 3.3 |
| Received from sales | -0.7 | -3.5 | 0.0 | -3.5 |
| Profit/loss on sale of holdings | 0.6 | 3.4 | 0.0 | 3.4 |
| Reclassification | 0.6 | -3.9 | 0.0 | -3.9 |
| Dividends received | -9.7 | 0.0 | 0.0 | 0.0 |
| Profit/loss based on the equity method (see Note c24) | 4.2 | 0.0 | 0.0 | 0.0 |
| Effect of foreign exchange rate differences on the total profit of the associates directly reflected in the net asset reserves | 7.6 | 0.0 | 0.0 | 0.0 |
| Write-downs and reversals of write-downs (see Note | 0.0 | 151.6 | 0.1 | 151.7 |
| **Balance as of 31.12.2022** | **180.4** | 4,096.1 | **87.7** | **4,183.8** |

**Dividends on holdings**

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| From subsidiaries | 0.0 | 0.0 | 158.7 | 79.8 |
| From associates | 9.7 | 10.5 | 7.9 | 7.9 |
| **Total dividend income from ownership interest** | **9.7** | **10.5** | **166.6** | **87.7** |

**Note c7**

**Investment property**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **248.7** | **250.7** | **203.7** | **204.2** |
| Cost | 351.5 | 347.5 | 280.2 | 277.9 |
| Accumulated depreciation | -102.8 | -96.8 | -76.5 | -73.7 |
| **Total movements** | **3.8** | **-2.0** | **-1.5** | **-0.5** |
| Acquisitions and improvements | 0.9 | 7.8 | 0.8 | 7.6 |
| Depreciation and write-downs | -9.2 | -9.0 | -6.6 | -6.6 |
| Sales at selling price | -12.3 | -10.4 | -7.9 | -9.1 |
| Sales revenue | 10.3 | 8.0 | 6.0 | 7.2 |
| Reclassification | 13.4 | -2.3 | 5.1 | -3.5 |
| Government grants received and awarded | 0.1 | 0.1 | 0.1 | 0.1 |
| Non-monetary contributions received and transferred | 0.0 | 0.0 | 0.4 | 0.0 |
| Changes due to acquisition and loss of controlling influence | 0.0 | -0.1 | 0.0 | 0.0 |
| Revaluation (see Statement of changes in net assets) | 0.6 | 3.9 | 0.6 | 3.8 |

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the end of the period** | **252.5** | **248.7** | **202.2** | **203.7** |
| Cost | 361.5 | 351.5 | 281.9 | 280.2 |
| Accumulated depreciation | -109.0 | -102.8 | -79.7 | -76.5 |
| Incl. leased under operating lease, carrying amount | 134.8 | 132.2 | 110.4 | 104.8 |
| Incl. pledged to cover loans, carrying amount | 15.4 | 17.0 | 4.8 | 2.5 |
| **Revenue and expenditure** | | | | |
| Income from lease and rent, right of superficies and usufruct | 32.4 | 29.7 | 18.4 | 16.3 |
| Administrative expenses of investment property | -5.3 | -4.2 | -5.3 | -4.0 |

**Note c8**

**Property, plant and equipment**

In millions of euros

**A. Public sector**

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **1,361.6** | **9,566.0** | **283.9** | **3,372.4** | **200.6** | **797.1** | **15,581.6** |
| Cost | 1,361.6 | 15,574.7 | 728.7 | 6,418.0 | 353.8 | 797.1 | 25,233.9 |
| Accumulated depreciation | | -6,008.7 | -444.8 | -3,045.6 | -153.2 | | -9,652.3 |
| **Total movements in 2021** | **40.4** | **477.3** | **51.8** | **52.6** | **9.9** | **146.9** | **778.9** |
| Acquisitions and improvements | 8.1 | 90.8 | 7.0 | 148.4 | 12.5 | 1,436.9 | 1,703.7 |
| Depreciation and write-downs | -0.1 | -586.2 | -52.2 | -309.7 | -21.2 | -2.7 | -972.1 |
| Sales at selling price | -46.8 | -10.4 | 0.0 | -9.9 | -0.1 | 0.0 | -67.2 |
| Sales revenue | 43.7 | 3.6 | 0.0 | 4.4 | 0.1 | 0.0 | 51.8 |
| Non-monetary government grants received | 0.7 | 2.7 | 13.0 | 4.4 | 0.1 | 0.0 | 20.9 |
| Non-monetary government grants awarded | 0.0 | -0.2 | 0.0 | -0.4 | -0.2 | 0.0 | -0.8 |
| Reclassification | 21.8 | 961.3 | 84.0 | 212.8 | 18.3 | -1,289.9 | 8.3 |
| Changes due to acquisition and loss of controlling influence | -0.6 | 10.7 | 0.0 | 2.4 | 0.5 | 1.3 | 14.3 |
| Revaluation (see Statement of changes in net assets) | 13.6 | 5.0 | 0.0 | 0.2 | -0.1 | 1.3 | 20.0 |
| **Balance as of 31.12.2021** | **1,402.0** | **10,043.3** | **335.7** | **3,425.0** | **210.5** | **944.0** | **16,360.5** |
| Cost | 1,402.0 | 16,516.3 | 815.9 | 6,662.1 | 385.3 | 944.0 | 26,725.6 |
| Accumulated depreciation | | -6,473.0 | -480.2 | -3,237.1 | -174.8 | | -10,365.1 |
| **Average depreciation rate** | | **3.7%** | **6.8%** | **4.7%** | **5.7%** | | |
| Leased under the finance lease, carrying amount | 0.0 | 34.8 | 0.0 | 189.9 | 0.3 | 0.0 | 225.0 |
| Leased under operating lease, carrying amount | 169.1 | 140.6 | 0.0 | 56.9 | 0.5 | 0.0 | 367.1 |
| Pledged to cover loans, carrying amount | 3.7 | 185.3 | 0.0 | 34.2 | 0.0 | 0.0 | 223.2 |
| **Total movements in 2022** | **23.4** | **317.9** | **48.1** | **-106.5** | **1.9** | **418.9** | **703.7** |
| Acquisitions and improvements | 19.5 | 94.3 | 5.1 | 151.3 | 14.5 | 1,532.7 | 1,817.4 |
| Depreciation and write-downs | -2.7 | -620.2 | -51.2 | -327.9 | -23.2 | -4.1 | -1,029.3 |
| Sales at selling price | -53.7 | -10.2 | 0.0 | -8.3 | 0.0 | 0.0 | -72.2 |
| Sales revenue | 50.8 | 7.1 | 0.0 | 3.5 | 0.0 | 0.0 | 61.4 |
| Non-monetary government grants received | 1.8 | 2.5 | 5.3 | 6.0 | 0.3 | 0.0 | 15.9 |

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| Non-monetary government grants awarded | 0.0 | -0.8 | -1.5 | -0.2 | 0.0 | 0.0 | -2.5 |
| Reclassification | 0.3 | 847.1 | 90.4 | 69.6 | 10.0 | -1,110.5 | -93.1 |
| Changes due to acquisition and loss of controlling influence | 0.0 | -2.8 | 0.0 | -0.5 | 0.0 | 0.1 | -3.2 |
| Revaluation (see Statement of changes in net assets) | 7.4 | 0.9 | 0.0 | 0.0 | 0.3 | 0.7 | 9.3 |
| **Balance as of 31.12.2022** | **1,425.4** | **10,361.2** | **383.8** | **3,318.5** | **212.4** | **1,362.9** | **17,064.2** |
| Cost | 1,425.4 | 17,236.3 | 898.8 | 6,736.7 | 400.6 | 1,362.9 | 28,060.7 |
| Accumulated depreciation | | -6,875.1 | -515.0 | -3,418.2 | -188.2 | | -10,996.5 |
| **Average depreciation rate** | | **3.7%** | **6.0%** | **4.9%** | **5.9%** | | |
| Leased under the finance lease, carrying amount | | 43.9 | 0.0 | 134.0 | 0.9 | | 178.8 |
| Leased under operating lease, carrying amount | 174.4 | 160.5 | 0.0 | 5.9 | 0.5 | | 341.3 |
| Pledged to cover loans, carrying amount | 3.7 | 173.7 | 0.0 | 54.5 | 0.0 | | 231.9 |

**B. General government**

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| **Balance as of 31.12.2020** | **750.9** | **6,547.1** | **283.9** | **751.7** | **188.2** | **445.9** | **8,967.7** |
| Cost | 750.9 | 10,716.5 | 728.7 | 1,696.8 | 312.2 | 445.9 | 14,651.0 |
| Accumulated depreciation | | -4,169.4 | -444.8 | -945.1 | -124.0 | | -5,683.3 |
| **Total movements in 2021** | **31.8** | **336.4** | **51.7** | **30.5** | **9.4** | **162.9** | **622.7** |
| Acquisitions and improvements | 7.2 | 68.5 | 7.1 | 108.4 | 10.8 | 978.7 | 1,180.7 |
| Depreciation and write-downs | 0.0 | -439.4 | -52.2 | -105.3 | -18.1 | -2.1 | -617.1 |
| Sales at selling price | -43.0 | -6.7 | 0.0 | -3.5 | 0.0 | 0.0 | -53.2 |
| Sales revenue | 40.4 | 3.1 | 0.0 | 3.3 | 0.0 | 0.0 | 46.8 |
| Non-monetary contributions and payments | -0.4 | -6.5 | 0.0 | 0.6 | 0.0 | 0.0 | -6.3 |
| Non-monetary government grants received | 0.7 | 3.7 | 12.9 | 4.4 | 0.1 | 0.0 | 21.8 |
| Non-monetary government grants awarded | 0.0 | -0.4 | 0.0 | -0.4 | -0.2 | 0.0 | -1.0 |
| Reclassification | 13.6 | 709.4 | 83.9 | 22.9 | 16.1 | -813.7 | 32.2 |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.0 | 0.0 | 0.0 | 0.7 | 0.0 | 0.7 |
| Revaluation (see Statement of changes in net assets) | 13.3 | 4.7 | 0.0 | 0.1 | 0.0 | 0.0 | 18.1 |
| **Balance as of 31.12.2021** | **782.7** | **6,883.5** | **335.6** | **782.2** | **197.6** | **608.8** | **9,590.4** |
| Cost | 782.7 | 11,382.4 | 815.9 | 1,784.8 | 341.2 | 608.8 | 15,715.8 |
| Accumulated depreciation | | -4,498.9 | -480.3 | -1,002.6 | -143.6 | | -6,125.4 |
| **Average depreciation rate** | | **4.0%** | **6.8%** | **6.3%** | **5.5%** | | |

| | Land | Buildings and facilities | Defence related non-current assets | Plant and equipment | Other non-current assets | Work-in-progress and prepayments | Total |
|---|---|---|---|---|---|---|---|
| Leased under the finance lease, carrying amount | 0.0 | 35.3 | 0.0 | 97.0 | 0.3 | 0.0 | 132.6 |
| Leased under operating lease, carrying amount | 1.9 | 101.6 | 0.0 | 0.5 | 0.3 | 0.0 | 104.3 |
| Pledged to cover loans, carrying amount | 0.8 | 80.2 | 0.0 | 0.3 | 0.0 | 0.0 | 81.3 |
| **Total movements in 2022** | **14.4** | **250.2** | **48.2** | **35.5** | **1.7** | **145.5** | **495.5** |
| Acquisitions and improvements | 11.2 | 87.0 | 5.1 | 104.0 | 11.4 | 914.5 | 1,133.2 |
| Depreciation and write-downs | -2.6 | -474.5 | -51.2 | -116.8 | -20.0 | -3.4 | -668.5 |
| Sales at selling price | -53.9 | -8.6 | 0.0 | -1.5 | 0.0 | 0.0 | -64.0 |
| Sales revenue | 51.2 | 6.1 | 0.0 | 1.3 | 0.0 | 0.0 | 58.6 |
| Non-monetary contributions and payments | -0.3 | -3.2 | 0.0 | 0.0 | 0.0 | 0.0 | -3.5 |
| Non-monetary government grants received | 1.9 | 2.4 | 5.3 | 6.0 | 0.3 | 0.0 | 15.9 |
| Non-monetary government grants awarded | 0.0 | -3.4 | -1.5 | -0.2 | -0.2 | 0.0 | -5.3 |
| Reclassification | 0.1 | 643.5 | 90.5 | 42.6 | 9.9 | -766.0 | 20.6 |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.1 | 0.1 |
| Revaluation (see Statement of changes in net assets) | 6.8 | 0.9 | 0.0 | 0.1 | 0.3 | 0.3 | 8.4 |
| **Balance as of 31.12.2022** | **797.1** | **7,133.7** | **383.8** | **817.7** | **199.3** | **754.3** | **10,085.9** |
| Cost | 797.1 | 11,936.3 | 898.8 | 1,873.1 | 354.5 | 754.3 | 16,614.1 |
| Accumulated depreciation | | -4,802.6 | -515.0 | -1,055.4 | -155,2 | | -6,528.2 |
| **Average depreciation rate** | | **4.1%** | **6.0%** | **6.5%** | **5.7%** | | |
| Leased under the finance lease, carrying amount | | 42.1 | 0.0 | 89.7 | 0.9 | | 132.7 |
| Leased under operating lease, carrying amount | 3.5 | 116.6 | 0.0 | 0.5 | 0.3 | | 120.9 |
| Pledged to cover loans, carrying amount | 1.0 | 75.8 | 0.0 | 0.0 | 0.0 | | 76.8 |

**Note c9**

**Intangible assets**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **344.9** | **316.5** | **208.7** | **178.4** |
| Cost | 780.9 | 703.5 | 528.9 | 469.8 |
| Accumulated depreciation | -436.0 | -387.0 | -320.2 | -291.4 |
| **Total movements** | **30.0** | **28.4** | **34.1** | **30.3** |
| Acquisitions and improvements | 113.3 | 100.1 | 88.2 | 77.0 |
| Depreciation and write-downs | -76.1 | -67.6 | -54.9 | -46.4 |
| Reclassification | -7.0 | -5.9 | 0.8 | 0.7 |
| Revaluation | 1.2 | 1.7 | 0.0 | 0.0 |
| Changes due to acquisition and loss of controlling influence | -1.4 | 1.2 | 0.0 | 0.0 |

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Non-monetary government grants awarded | 0.0 | -1.1 | 0.0 | -1.0 |
| **Balance at the end of the period** | **374.9** | **344.9** | **242.8** | **208.7** |
| Cost | 863.4 | 780.9 | 604.6 | 528.9 |
| Accumulated depreciation | -488.5 | -436.0 | -361.8 | -320.2 |
| **Average depreciation rate (%)** | **9.3%** | **9.1%** | **9.7%** | **9.3%** |

**Note c10**

**Acquisition of property, plant and equipment and intangible assets and investment property by fields of activity**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Transport | 407.2 | 491.1 | 351.6 | 418.4 |
| Fuel and energy | 527.3 | 341.5 | 0.3 | 0.6 |
| Other | 120.3 | 82.6 | 53.9 | 43.0 |
| Housing and utilities | 72.7 | 122.4 | 26.9 | 41.5 |
| Environmental protection | 17.9 | 19.0 | 10.2 | 8.2 |
| Education | 238.6 | 203.3 | 238.3 | 205.6 |
| Leisure time, culture, religion | 102.9 | 106.6 | 99.0 | 103.5 |
| National defence | 125.1 | 178.7 | 125.1 | 178.8 |
| Public order and security | 44.8 | 35.6 | 44.8 | 35.8 |
| Health care | 131.6 | 109.6 | 129.8 | 109.6 |
| Social protection | 42.1 | 43.3 | 42.1 | 43.6 |
| General government services | 101.1 | 77.9 | 100.2 | 76.7 |
| **Total non-current assets acquired** | **1,931.6** | **1,811.6** | **1,222.2** | **1,265.3** |

In the cash flow statement of the public sector, the acquisition of non-current assets has been adjusted by a decrease in trade payables in the amount of 15.6 million euros (an increase of 71.8 million euros in 2021).
In the cash flow statement of the general government sector, the acquisition of non-current assets has been adjusted by an increase in trade payables in the amount of 16.9 million euros (an increase of 37.8 million euros in 2021).

In the cash flow statement, the acquisition of non-current assets has also been adjusted by incurring finance lease liabilities (see Note c14) and capitalised interest expense (see Note c24).

**Note c11**

**Biological assets**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Balance at the beginning of the period** | **988.2** | **804.4** | **20.3** | **15.3** |
| Sales at selling price | -0.3 | -0.2 | -0.1 | -0.1 |
| Sales revenue | 0.1 | 0.1 | 0.1 | 0.1 |
| Change in fair value | 1,263.5 | 183.9 | 13.4 | 5.0 |
| **Balance at the end of the period** | **2,251.5** | **988.2** | **33.7** | **20.3** |
| Incl. current assets | 62.6 | 41.6 | 3.1 | 1.8 |
| Incl. non-current assets | 2,188.9 | 946.6 | 30.6 | 18.5 |

Growing forest ready for cutting accounts for 2,242.2 million euros of the public sector's biological assets at the end of the reporting period (978.5 million euros as of 31 December 2021), including 53.9 million euros recognised as a short-term

part (32.5 million euros as of 31 December 2021). The majority of it is made up by growing forest ready for cutting (see Note a14).
Growing forest ready for cutting amounts to 30.2 million euros of the general government sector's biological assets at the end of the reporting period (19.8 million euros as of 31 December 2021), including 3.1 million euros recognised as a short-term part (1.8 million euros as of 31 December 2021).

**Note c12**

**Other liabilities and prepayments received**

In millions of euros

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2020** | **31.12.2022** | **31.12.2021** | **31.12.2020** |
| **Other short-term liabilities and prepayments received** | **15,315.1** | **15,497.5** | **12,954.3** | **1,593.3** | **1,155.3** | **847.2** |
| Tax, state fee and fine liabilities | 83.2 | 79.5 | 46.4 | 66.3 | 64.0 | 39.7 |
| Interest payable | 55.1 | 42.2 | 22.3 | 17.9 | 0.9 | 1.1 |
| Other accruals | 33.3 | 72.3 | 62.1 | 0.8 | 2.7 | 10.0 |
| Grant liabilities | 276.9 | 235.1 | 235.9 | 324.6 | 278.0 | 252.1 |
| Bank notes in circulation | 4,071.6 | 4,000.0 | 3,715.4 | 0.0 | 0.0 | 0.0 |
| Customer deposits | 9,601.9 | 10,250.1 | 8,227.4 | 108.8 | 76.5 | 31.8 |
| Security deposits | 45.4 | 45.5 | 34.0 | 36.8 | 38.2 | 27.9 |
| Liabilities on sale of assets (see Note a15) | 54.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other liabilities | 39.0 | 32.1 | 34.3 | 32.2 | 26.4 | 28.7 |
| Prepayments for government grants (see Note c15) | 991.3 | 650.4 | 446.0 | 982.8 | 645.7 | 439.1 |
| Other deferred income | 63.4 | 90.3 | 130.5 | 23.1 | 22.9 | 16.8 |
| **Long-term liabilities and prepayments received** | **418.1** | **261.8** | **195.3** | **44.7** | **50.8** | **46.0** |
| Trade payables | 6.8 | 5.8 | 1.4 | 3.6 | 2.7 | 1.2 |
| Interest payables (see Note a17) | 30.3 | 39.5 | 34.5 | 30.3 | 39.5 | 34.5 |
| Other liabilities | 26.2 | 30.9 | 40.3 | 1.5 | 1.7 | 6.6 |
| Other deferred income | 354.8 | 185.6 | 119.1 | 9.3 | 6.9 | 3.7 |
| **Total other liabilities and prepayments received** | **15,733.2** | **15,759.3** | **13,149.6** | **1,638.0** | **1,206.1** | **893.2** |

Since joining the Eurosystem, the Bank of Estonia recognises euro banknotes in circulation according to the basis for allocation of euro banknotes to the national central banks in the Eurosystem, which is the ownership interest of each national central bank in the European Central Bank. The difference between the value of the banknotes actually issued by a central bank and the value resulting from the allocation of banknotes gives rise to remunerated intra-Eurosystem balances (see Note c4).

As of 31 December 2022, customer deposits in bank accounts of Estonian banks opened in the Bank of Estonia, including those to cover the mandatory reserve, overnight deposits and funds that are not freely available amounted to 7,514.2 million euros (9,651.6 million euros as of 31 December 2021), the counterpart of the units of account of the International Monetary Fund (IMF) amounted to 369.8 million euros (365.1 million euros as of 31 December 2021), net liabilities from settlements with euro area national central banks through an account opened in the European settlement system Target2 amounted to 1,516.3 million euros (0 million euros as of 31 December 2021).

**Note c13**

**Provisions**

In millions of euros

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | Short-term | Long-term | Total | Short-term | Long-term | Total |
| **Balance as of 31.12.2020** | **387.0** | **3,303.6** | **3,690.6** | **140.7** | **3,252.7** | **3,393.4** |
| Pension provisions | 83.8 | 3,106.8 | **3,190.6** | 83.3 | 3,105.7 | **3,189.0** |
| Environmental protection provisions | 79.5 | 31.8 | **111.3** | 0.0 | 0.4 | **0.4** |
| For legal costs | 1.6 | 4.0 | **5.6** | 1.5 | 4.0 | **5.5** |
| Provisions for guarantee liabilities and loan securities | 104.8 | 32.6 | **137.4** | 8.2 | 32.2 | **40.4** |
| Other provisions | 117.3 | 128.4 | **245.7** | 47.7 | 110.4 | **158.1** |
| **Total movements in 2021** | **92.6** | **499.6** | **592.2** | **-6.2** | **500.3** | **494.1** |
| Formation of provisions | 233.9 | 522.8 | **756.7** | 8.3 | 522.8 | **531.1** |
| Disbursements | -288.9 | 0.0 | **-288.9** | -161.4 | 0.0 | **-161.4** |
| Interest on discounted provisions | 0.0 | 125.6 | **125.6** | 0.0 | 124.4 | **124.4** |
| Change due to acquisition and loss of controlling influence | -0.5 | -0.7 | **-1.2** | 0.0 | 0.0 | **0.0** |
| Reclassification | 148.1 | -148.1 | **0.0** | 146.9 | -146.9 | **0.0** |
| **Balance as of 31.12.2021** | **479.6** | **3,803.2** | **4,282.8** | **134.5** | **3,753.0** | **3,887.5** |
| Pension provisions | 114.8 | 3,697.9 | **3,812.7** | 114.4 | 3,697.1 | **3,811.5** |
| Environmental protection provisions | 195.9 | 31.7 | **227.6** | 0.0 | 0.3 | **0.3** |
| For legal costs | 2.2 | 4.1 | **6.3** | 1.3 | 4.1 | **5.4** |
| Provisions for guarantee liabilities and loan securities | 116.3 | 46.0 | **162.3** | 10.5 | 46.0 | **56.5** |
| Other provisions | 50.4 | 23.5 | **73.9** | 8.3 | 5.5 | **13.8** |
| **Total movements in 2022** | **408.4** | **321.6** | **730.0** | **271.7** | **322.2** | **593.9** |
| Formation of provisions | 431.3 | 536.3 | **967.6** | 40.6 | 535.5 | **576.1** |
| Disbursements and uses | -375.2 | -0.1 | **-375.3** | -120.2 | 0.0 | **-120.2** |
| Interest on discounted provisions | 0.0 | 139.4 | **139.4** | 0.0 | 138.0 | **138.0** |
| Change due to acquisition and loss of controlling influence | 0.0 | -1.7 | **-1.7** | 0.0 | 0.0 | **0.0** |
| Reclassification | 352.3 | -352.3 | **0.0** | 351.3 | -351.3 | **0.0** |
| **Balance as of 31.12.2022** | **888.0** | **4,124.8** | **5,012.8** | **406.2** | **4,075.2** | **4,481.4** |
| Pension provisions | 381.6 | 4,023.5 | **4,405.1** | 381.3 | 4,023.0 | **4,404.3** |
| Environmental protection provisions | 431.5 | 26.8 | **458.3** | 0.0 | 0.3 | **0.3** |
| For legal costs | 3.2 | 4.0 | **7.2** | 3.2 | 4.0 | **7.2** |
| Provisions for guarantee liabilities and loan securities | 15.9 | 44.1 | **60.0** | 9.4 | 44.1 | **53.5** |
| Other provisions | 55.8 | 26.4 | **82.2** | 12.3 | 3.8 | **16.1** |

In the public sector, the provisions for guarantee liabilities and loan securities include the provision by the Bank of Estonia for risks related to financial investments in the amount of 3.6 million euros (103.6 million euros as of 31 December 2021), and for the exchange of Estonian kroons in the amount of 27.7 million euros (27.9 million euros as of 31 December 2021).

**Note c14**

**Loan liabilities**

In millions of euros

**A. Public sector**

**Loan liabilities by residual term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,906.9** | **3,567.2** | **207.7** | **6,681.8** |
| Up to 1 year | 463.6 | 537.9 | 19.1 | **1,020.6** |
| 1 to 5 years | 782.1 | 1,152.8 | 105.1 | **2,040.0** |
| More than 5 years | 1,661.2 | 1,876.5 | 83.5 | **3,621.2** |
| **Balance as of 31.12.2021** | **2,843.2** | **3,930.5** | **215.7** | **6,989.4** |
| Up to 1 year | 418.8 | 499.6 | 30.4 | **948.8** |
| 1 to 5 years | 807.8 | 1,311.9 | 88.1 | **2,207.8** |
| More than 5 years | 1,616.6 | 2,119.0 | 97.2 | **3,832.8** |
| **Balance as of 31.12.2022** | 3,782.1 | **4,363.4** | **182.2** | **8,327.7** |
| Up to 1 year | 1,085.2 | 661.6 | 21.5 | **1,768.3** |
| 1 to 5 years | 150.5 | 1,532.6 | 76.2 | **1,759.3** |
| More than 5 years | 2,546.4 | 2,169.2 | 84.5 | **4,800.1** |

**Movements in loan liabilities**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,906.9** | **3,567.2** | **207.7** | **6,681.8** |
| Received | 401.8 | 825.7 | 31.0 | **1,258.5** |
| Revaluations | 0.1 | -0.1 | 0.2 | **0.2** |
| Reclassification | -0.2 | -2.7 | 0.1 | **-2.8** |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.1 | -1.1 | **-1.0** |
| Repayment | -476.0 | -460.0 | -22.2 | **-958.2** |
| Depreciation of loan cost | 10.6 | 0.3 | 0.0 | **10.9** |
| **Balance as of 31.12.2021** | **2,843.2** | **3,930.5** | **215.7** | **6,989.4** |
| Received | 1,496.1 | 972.8 | 24.9 | **2,493.8** |
| Revaluations | 0.2 | -0.1 | 0.0 | **0.1** |
| Reclassification | 0.0 | -27.5 | -26.5 | **-54.0** |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.1 | -0.1 | **0.0** |
| Repayment | -570.5 | -512.5 | -32.0 | **-1,115.0** |
| Depreciation of loan cost | 13.1 | 0.1 | 0.2 | **13.4** |
| **Balance as of 31.12.2022** | 3,782.1 | **4,363.4** | **182.2** | **8,327.7** |
| Interest expenditure in 2021 (see Note c24) | -28.6 | -15.8 | -9.9 | -54.3 |
| Average interest rate | 1.0% | 0.4% | 4.7% | 0.8% |
| Interest expenditure in 2022 (see Note c24) | -39.5 | -27.5 | -9.0 | -76.0 |
| Average interest rate | 1.2% | 0.7% | 4.5% | 1.0% |

**B. General government**

**Loan liabilities by residual term**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,037.9** | **2,747.9** | **135.7** | **4,921.5** |
| Up to 1 year | 451.1 | 194.2 | 11.6 | **656.9** |
| 1 to 5 years | 32.9 | 753.7 | 38.4 | **825.0** |
| More than 5 years | 1,553.9 | 1,800.0 | 85.7 | **3,439.6** |
| **Balance as of 31.12.2021** | **1,989.2** | **3,070.7** | **133.7** | **5,193.6** |
| Up to 1 year | 411.2 | 201.5 | 12.0 | **624.7** |

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| 1 to 5 years | 24.4 | 832.5 | 37.2 | **894.1** |
| More than 5 years | 1,553.6 | 2,036.7 | 84.5 | **3,674.8** |
| **Balance as of 31.12.2022** | **2,925.9** | **3,261.4** | **125.7** | **6,313.0** |
| Up to 1 year | 359.8 | 211.5 | 12.0 | **583.3** |
| 1 to 5 years | 16.5 | 1,022.3 | 35.2 | **1,074.0** |
| More than 5 years | 2,549.6 | 2,027.6 | 78.5 | **4,655.7** |

**Movements in loan liabilities**

| | Bonds | Loans | Finance lease | Total |
|---|---|---|---|---|
| **Balance as of 31.12.2020** | **2,037.9** | **2,747.9** | **135.7** | **4,921.5** |
| Received | 401.8 | 548.7 | 10.1 | **960.6** |
| Reclassification | 0.0 | 0.6 | 0.5 | **1.1** |
| Depreciation of loan cost | 1.3 | 0.1 | 0.0 | **1.4** |
| Repayment | -451.8 | -226.6 | -12.6 | **-691.0** |
| **Balance as of 31.12.2021** | **1,989.2** | **3,070.7** | **133.7** | **5,193.6** |
| Received | 1,496.1 | 404.1 | 10.9 | **1,911.1** |
| Reclassification | 0.0 | 0.0 | -0.3 | **-0.3** |
| Changes due to acquisition and loss of controlling influence | 0.0 | 0.1 | 0.0 | **0.1** |
| Depreciation of loan cost | 3.4 | 0.1 | 0.0 | **3.5** |
| Repayment | -562.8 | -213.6 | -18.6 | **-795.0** |
| **Balance as of 31.12.2022** | **2,925.9** | **3,261.4** | **125.7** | **6,313.0** |
| Interest expenditure in 2021 (see Note c24) | -3.8 | -5.9 | -8.1 | -17.8 |
| Average interest rate | 0.2% | 0.2% | 6.0% | 0.4% |
| Interest expenditure in 2022 (see Note c24) | -13.6 | -17.6 | -6.9 | -38.1 |
| Average interest rate | 0.6% | 0.6% | 5.3% | 0.7% |

For information on loan collaterals, pledged assets and assets leased under finance lease, see Notes c27, c7, c8.

**Note c15**

**Grants received and awarded**

In millions of euros

**A. Grants received**

**A.1. Public sector**

| | Balance as of 31.12.2020 | | Calculated revenue 2021 | Balance as of 31.12.2021 | | Calculated revenue 2022 | Balance as of 31.12.2022 | |
|---|---|---|---|---|---|---|---|---|
| | Receivables (see Note a3) | Prepayments received (see Note a15) | | Receivables (see Note a3) | Prepayments received (see Note a15) | | Receivables (see Note a3) | Prepayments received (see Note a15) |
| From European Union | 484.4 | 404.9 | 985.8 | 528.8 | 602.9 | 1,119.0 | 713.5 | 919.2 |
| Other foreign aid | 7.5 | 37.4 | 65.0 | 15.7 | 43.7 | 62.6 | 16.6 | 69.1 |
| Domestic grants | 0.8 | 3.7 | 34.1 | 0.5 | 3.8 | 54.6 | 0.3 | 3.0 |
| Total grants received | **492.7** | **446.0** | **1,084.9** | **545.0** | **650.4** | **1,236.2** | **730.4** | **991.3** |

**Income from grants received by area of activity**

| | 2022 | | | | 2021 | | | |
|---|---|---|---|---|---|---|---|---|
| | Income for operating expenses | Income for intermediating operating expenses | Income for acquisition of non-current assets | Income for intermediating acquisition of non-current assets | Income for operating expenses | Income for intermediating operating expenses | Income for acquisition of non-current assets | Income for intermediating acquisition of non-current assets |
| Agriculture | 18.5 | 257.3 | 2.7 | 48.6 | 18.3 | 247.3 | 16.5 | 32.9 |
| Transport | 3.7 | -1.0 | 116.0 | 0.4 | 3.7 | 2.1 | 74.3 | 6.0 |
| Other | 54.6 | 15.2 | 127.0 | 38.9 | 28.2 | 11.7 | 65.3 | 29.9 |
| Education | 107.8 | 21.3 | 79.5 | 0.3 | 89.5 | 24.9 | 66.0 | 0.3 |
| Housing and utilities | 0.2 | 0.1 | 12.2 | 44.7 | 0.2 | 0.0 | 18.4 | 34.6 |
| Environmental protection | 12.4 | 0.9 | 13.0 | 11.7 | 6.1 | 0.9 | 35.2 | 25.6 |
| General government services | 44.7 | 4.1 | 36.9 | 0.8 | 41.5 | 3.3 | 24.8 | 0.2 |
| Health care | 18.1 | 0.1 | 45.3 | 2.0 | 40.5 | 0.1 | 24.8 | 7.7 |
| Social protection | 46.6 | 1.8 | 7.1 | 2.8 | 42.2 | 1.5 | 6.8 | 1.5 |
| Leisure time, culture, religion | 7.2 | 1.3 | 0.1 | 0.3 | 10.0 | 1.6 | 0.3 | 0.3 |
| National defence | 5.6 | 0.2 | 5.6 | 0.0 | 10.5 | 0.0 | 14.3 | 0.0 |
| Public order and security | 8.6 | 0.1 | 10.9 | 0.0 | 7.0 | 0.1 | 8.0 | 0.0 |
| **Total grants received** | **328.0** | **301.4** | **456.3** | **150.5** | **297.7** | **293.5** | **354.7** | **139.0** |

During the reporting period, 9.9 million euros of foreign aid (13.3 million euros in 2021) was recovered due to violation of the requirements, including 4.8 million euros of foreign aid intermediated outside the public sector (7.6 million euros in 2021) (recognised as a reduction in revenue).
Intermediated grants in the amount of 451.9 million euros (a total of 432.5 million euros in 2021) reflect grants received from European Union funds and other foreign aid which the public sector did not use for its operating expenses or for acquisition of non-current assets but passed on to beneficiaries outside the public sector (also recorded as grants awarded, see section B).
In the cash flow statement, government grants received for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8). In addition, cash flows from investment activities have been adjusted by an increase in government grants prepayments received of non-current assets by 59.2 million euros (a decrease of 3.9 million euros in 2021) and an increase in receivables by 193.6 million euros (an increase of 17.4 million euros in 2021).

**A2. General government sector**

| | Balance as of 31.12.2020 | | Calculated revenue 2021 | Balance as of 31.12.2021 | | Calculated revenue 2022 | Balance as of 31.12.2022 | |
|---|---|---|---|---|---|---|---|---|
| | Receivables (see Note a3) | Prepayments received (see Note a15) | | Receivables (see Note a3) | Prepayments received (see Note a15) | | Receivables (see Note a3) | Prepayments received (see Note a15) |
| From European Union | 482.9 | 401.1 | 952.2 | 528.2 | 600.1 | 1,055.3 | 712.9 | 914.7 |
| Other foreign aid | 5.3 | 34.6 | 59.1 | 9.6 | 41.8 | 63.0 | 16.6 | 65.3 |
| Domestic grants | 0.9 | 3.4 | 34.7 | 0.5 | 3.8 | 31.9 | 0.3 | 2.8 |
| **Total grants received** | **489.1** | **439.1** | **1,046.0** | **538.3** | **645.7** | **1,150.2** | **729.8** | **982.8** |

**Income from grants received by area of activity**

| | 2022 | | | | 2021 | | | |
|---|---|---|---|---|---|---|---|---|
| | Income for operating expenses | Income for intermediating operating expenses | Income for acquisition of non-current assets | Income for intermediating acquisition of non-current assets | Income for operating expenses | Income for intermediating operating expenses | Income for acquisition of non-current assets | Income for intermediating acquisition of non-current assets |
| Agriculture | 18.3 | 257.4 | 2.7 | 48.6 | 18.0 | 247.4 | 16.5 | 32.9 |
| Transport | 3.3 | -0.9 | 87.3 | 28.9 | 3.6 | 2.1 | 49.3 | 26.0 |
| Other | 30.9 | 14.3 | 65.8 | 39.2 | 26.8 | 11.0 | 33.7 | 30.3 |
| Education | 107.7 | 21.6 | 79.5 | 0.3 | 89.3 | 25.2 | 66.0 | 0.3 |
| Environmental protection | 10.6 | 2.6 | 0.3 | 24.4 | 4.5 | 2.5 | 0.2 | 60.6 |
| Housing and utilities | 0.2 | 0.1 | 10.9 | 46.0 | 0.2 | 0.0 | 16.9 | 36.0 |
| Social protection | 46.6 | 1.8 | 7.1 | 2.8 | 42.2 | 1.5 | 6.9 | 1.4 |
| Health care | 18.1 | 0.1 | 45.4 | 1.9 | 40.5 | 0.1 | 24.8 | 7.7 |
| Leisure time, culture, religion | 7.1 | 1.3 | 0.1 | 0.3 | 9.8 | 1.6 | 0.3 | 0.3 |
| General government services | 44.7 | 4.1 | 37.0 | 0.8 | 41.5 | 3.3 | 24.8 | 0.2 |
| National defence | 5.6 | 0.2 | 5.6 | 0.0 | 10.5 | 0.0 | 14.3 | 0.0 |
| Public order and security | 8.6 | 0.1 | 10.9 | 0.0 | 6.9 | 0.1 | 8.0 | 0.0 |
| **Total grants received** | **301.7** | **302.7** | **352.6** | **193.2** | **293.8** | **294.8** | **261.7** | **195.7** |

Pass-through income in the amount of 495.9 million euros (490.5 million euros in 2021) reflects grants received from European Union funds and other foreign aid and revenue from the sale of emission allowances, which the state did not use for its operating expenses or for acquisition of non-current assets but passed on to beneficiaries outside the general government (also recorded as government grants awarded, see section B).
In the cash flow statement, government grants received for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8). In addition, cash flows from investment activities have been adjusted by an increase in government grants prepayments received of non-current assets by 56.6 million euros (a decrease of 3.0 million euros in 2021) and an increase in receivables by 199.5 million euros (an increase of 13.9 million euros in 2021).

**B. Grants awarded**

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Pensions | -2,186.2 | -2,054.4 | -2,186.2 | -2,054.4 |
| Compensation for temporary incapacity for work | -183.0 | -222.9 | -183.0 | -222.9 |
| Compensation of medicines and medical devices | -225.6 | -193.3 | -225.6 | -193.3 |
| Other health insurance benefits | -387.0 | -350.5 | -393.5 | -356.3 |
| Unemployment insurance benefits | -136.8 | -113.0 | -136.8 | -113.0 |
| Family allowances | -715.8 | -628.2 | -715.8 | -628.2 |
| Subsistence benefit | -74.1 | -27.1 | -74.1 | -27.1 |
| Benefits for the unemployed | -52.7 | -45.7 | -52.7 | -45.7 |
| Benefits for disabled people | -71.5 | -76.5 | -71.5 | -76.5 |
| Work ability allowance | -391.9 | -367.4 | -391.9 | -367.4 |
| Education allowance | -51.1 | -49,1 | -50.9 | -49.0 |
| Social tax and funded pension paid in special cases | -165.8 | -214.5 | -165.8 | -214.5 |
| 4 percent temporarily payable to the II pillar of mandatory funded pension funds and the rate of return calculated on it | -21.6 | -205.5 | -21.6 | -205.5 |
| Formation of public sector pension provisions | -42.9 | -44.1 | -42.9 | -44.1 |
| Other social benefits | -60.7 | -54.9 | -60.4 | -54.6 |
| Government grants for operating expenses | -1,102.7 | -1,197.1 | -1,220.8 | -1,271.9 |
| Government grants awarded for acquisition of non-current assets | -191.3 | -192.9 | -263.7 | -290.0 |
| **Total grants awarded** | **-6,060.7** | **-6,037.1** | **-6,257.2** | **-6,214.4** |

In the cash flow statement, government grants awarded for the acquisition of non-current assets have been adjusted by non-monetary government grants (see Note c8).
In addition, the public sector cash flow statement takes into account an increase of 8.2 million euros in government grants for the acquisition of non-current assets (increase of 7.2 million euros in 2021) and a decrease of 2.9 million euros in prepayments paid (increase of 1.3 million euros in 2021).
Moreover, the general government cash flow statement takes into account an increase of 28.8 million euros in government grants for the acquisition of non-current assets (increase of 2.6 million euros in 2021) and an increase of 0.2 million euros in prepayments (decrease of 18.6 million euros in 2021).

**Grants awarded for operating costs and acquisition of non-current assets by areas of activity**

| | Public sector | | | | General government | | | |
|---|---|---|---|---|---|---|---|---|
| | 2022 | | 2021 | | 2022 | | 2021 | |
| | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets | For operating expenses | For acquisition of non-current assets |
| Agriculture | -294.4 | -56.9 | -292.2 | -39.1 | -294.4 | -56.9 | -292.3 | -39.1 |
| Transport | -98.5 | -1.1 | -81.8 | -8.3 | -128.2 | -36.3 | -106.1 | -50.1 |
| Other | -103.5 | -40.8 | -95.3 | -53.5 | -179.1 | -54.0 | -130.8 | -60.5 |
| Education | -95.8 | -0.4 | -90.7 | -0.5 | -99.1 | -0.5 | -93.8 | -0.5 |
| Environmental protection | -8.4 | -14.2 | -7.6 | -28.4 | -15.8 | -31.0 | -15.4 | -71.6 |
| Housing and utilities | -3.3 | -57.1 | -3.4 | -38.3 | -3.9 | -60.3 | -4.0 | -40.9 |
| Social protection | -24.8 | -2.9 | -108.6 | -2.4 | -24.8 | -2.9 | -111.0 | -2.3 |
| Health care | -4.1 | -2.0 | -3.5 | -8.0 | -4.2 | -4.9 | -3.6 | -8.0 |
| Leisure time, culture, religion | -130.6 | -8.8 | -144.6 | -10.2 | -132.9 | -9.2 | -146.4 | -12.4 |
| General government services | -324.7 | -4.8 | -351.7 | -2.3 | -323.7 | -5.3 | -350.8 | -2.7 |
| National defence | -10.3 | -1.5 | -13.4 | -1.5 | -10.3 | -1.5 | -13.4 | -1.5 |
| Public order and security | -4.3 | -0.8 | -4.3 | -0.4 | -4.4 | -0.9 | -4.3 | -0.4 |
| **Total grants awarded** | **-1,102.7** | **-191.3** | **-1,197.1** | **-192.9** | **-1,220.8** | **-263.7** | **-1,271.9** | **-290.0** |

Grants to non-residents, including membership fees, amounted to 435.2 million euros in the public sector (453.7 million euros in 2021), of which 313.5 million euros (340.6 million euros in 2021) was meant for the general government services provided by the public sector.
Grants to non-residents, including membership fees, amounted to 363.2 million euros in the general government (452.1 million euros in 2021), of which 312.5 million euros (339.6 million euros in 2021) was meant for the general government services.

**Note c16**

**Reserves**

In millions of euros

| | Balance as of 31.12.2020 | Formation/decrease 2021 | Balance as of 31.12.2021 | Formation/decrease 2022 | Balance as of 31.12.2022 |
|---|---|---|---|---|---|
| Stabilisation Reserve Fund (see Note a20) | 431.9 | -1.8 | 430.1 | -6.2 | 423.9 |
| Other state reserves (see Note a20) | 37.9 | 3.9 | 41.8 | 8.6 | 50.4 |
| Local government reserves | 0.4 | 0.0 | 0.4 | 0.0 | 0.4 |
| Reserve capital and risk reserve of the Health Insurance Fund | 117.8 | 9.5 | 127.3 | 9.9 | 137.2 |
| Reserve capital of the Unemployment Insurance Fund | 92.0 | 0.0 | 92.0 | 0.0 | 92.0 |

| | Balance as of 31.12.2020 | For-mation/de-crease 2021 | Balance as of 31.12.2021 | For-mation/de-crease 2022 | Balance as of 31.12.2022 |
|---|---|---|---|---|---|
| **Total general government reserves** | **680.0** | **11.6** | **691.6** | **12.3** | **703.9** |
| Reserve capital of the Bank of Estonia | 480.4 | 2.6 | 483.0 | 2.8 | 485.8 |
| **Total public sector reserves** | **1,160.4** | **14.2** | **1,174.6** | **15.1** | **1,189.7** |

The reserve capital of the Health Insurance Fund must form at least 6% of the budget and the risk reserve at least 2% of the size of the health insurance budget.

The reserve capital of the Unemployment Insurance Fund must form at least 10% of the size of its assets.

Pursuant to the Bank of Estonia Act, at least 25% of the annual profit is directed to the increase of the reserve capital every year.

**Note c17**

**Taxes and social security contributions**

In millions of euros

| | Public sector | | General government | | Expenditure on pass-throughs (see Note c23) | | Expenditure on doubtful receivables (see Note c23) | |
|---|---|---|---|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 | 2022 | 2021 |
| **Social tax and social security contributions** | **4,582.5** | **4,136.0** | **4,582.5** | **4,136.0** | **-451.0** | **-283.1** | **-10.5** | **-10.8** |
| Social tax for pension insurance | 2,518.7 | 2,231.5 | 2,518.7 | 2,231.5 | -288.6 | -105.4 | -6.1 | -6.0 |
| Social tax for health insurance | 1,637.5 | 1,494.2 | 1,637.5 | 1,494.2 | 0.0 | 0.0 | -3.9 | -3.9 |
| Unemployment insurance premiums | 264.0 | 232.3 | 264.0 | 232.3 | 0.0 | 0.0 | -0.5 | -0.6 |
| Funded pension contributions | 162.3 | 178.0 | 162.3 | 178.0 | -162.4 | -177.7 | 0.0 | -0.3 |
| **Taxes on goods and services** | **3,807.6** | **3,398.8** | **3,838.6** | **3,429.6** | **0.0** | **0.0** | **-12.8** | **-16.2** |
| Value added tax | 2,773.3 | 2,391.7 | 2,778.4 | 2,396.4 | 0.0 | 0.0 | -12.3 | -16.1 |
| Excise duty | 985.0 | 971.2 | 995.2 | 981.7 | 0.0 | 0.0 | -0.5 | -0.1 |
| On alcohol | 241.4 | 222.9 | 241.4 | 222.9 | 0.0 | 0.0 | -0.2 | 0.0 |
| On tobacco | 245.4 | 243.9 | 245.4 | 243.9 | 0.0 | 0.0 | -0.3 | -0.1 |
| On fuel | 497.0 | 503.1 | 500.2 | 506.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| On electricity | 0.9 | 0.9 | 7.9 | 8.4 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other excise duties | 0.3 | 0.4 | 0.3 | 0.4 | 0.0 | 0.0 | 0.0 | 0.0 |
| Gambling tax | 30.6 | 19.1 | 46.2 | 34.7 | 0.0 | 0.0 | 0.0 | 0.0 |
| Parking charges | 9.0 | 7.8 | 9.0 | 7.8 | 0.0 | 0.0 | 0.0 | 0.0 |
| Advertising tax | 7.5 | 6.8 | 7.5 | 6.8 | 0.0 | 0.0 | 0.0 | 0.0 |
| Road and street closure fees | 2.2 | 2.2 | 2.3 | 2.2 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Income tax** | **2,897.2** | **2,639.9** | **2,928.2** | **2,654.5** | **0.0** | **0.0** | **-5.5** | **-5.7** |
| Personal income tax | 2,308.5 | 2,169.4 | 2,308.5 | 2,169.4 | 0.0 | 0.0 | -3.4 | -3.7 |
| Corporate income tax | 588.7 | 470.5 | 619.7 | 485.1 | 0.0 | 0.0 | -2.1 | -2.0 |
| **Property tax** | **52.3** | **52.3** | **61.0** | **61.1** | **0.0** | **0.0** | **-0.1** | **-0.1** |
| Land tax | 47.2 | 47.2 | 55.9 | 56.0 | 0.0 | 0.0 | -0.1 | -0.1 |
| Heavy goods vehicle tax | 5.1 | 5.1 | 5.1 | 5.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Customs duty** | **84.0** | **63.4** | **84.0** | **63.5** | **-65.0** | **-48.3** | **0.0** | **0.0** |
| **Total taxes** | **11,423.6** | **10,290.4** | **11,494.3** | **10,344.7** | **-516.0** | **-331.4** | **-28.9** | **-32.8** |

Social security contributions are passed on to funded pension funds and customs duties to the European Commission.

**Note c18**

**Goods and services sold**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **State fees** | **93.1** | **90.6** | **93.5** | **90.9** |
| **Income from economic activities** | **3,996.4** | **2,843.4** | **870.0** | **669.0** |
| Income from sale of electricity | 1,673.7 | 979.5 | 9.9 | 6.1 |
| Income from transport services | 292.2 | 248.7 | 44.4 | 33.5 |
| Income from agriculture and forestry | 313.6 | 232.6 | 9.1 | 8.6 |
| Income from mining, processing industry and construction | 221.6 | 273.9 | 0.1 | 0.1 |
| Income from heat energy sold | 85.1 | 71.7 | 6.5 | 4.9 |
| Income from educational activities | 110.5 | 95.0 | 113.2 | 97.2 |
| Income from communication services | 105.2 | 118.0 | 0.9 | 0.0 |
| Lease and rent | 71.5 | 59.9 | 34.9 | 29.1 |
| Income from health care | 83.7 | 73.4 | 69.8 | 63.5 |
| Income from water and sewerage services | 67.9 | 65.1 | 2.8 | 1.9 |
| Income from culture and arts | 45.8 | 28.8 | 44.9 | 28.2 |
| Income from social assistance activities | 46.9 | 41.8 | 46.9 | 41.8 |
| Income from sports and recreational activities | 23.3 | 15.9 | 17.5 | 11.9 |
| Sale of emission allowance credits | 334.5 | 248.8 | 334.3 | 248.7 |
| Sale of statistical transfers of renewable energy | 0.0 | 7.6 | 0.0 | 7.6 |
| Sale of rights | 44.5 | 19.5 | 35.2 | 10.7 |
| Other goods and services sold | 476.4 | 263.2 | 99.6 | 75.2 |
| **Total goods and services sold** | **4,089.5** | **2,934.0** | **963.5** | **759.9** |

**Note c19**

**Other income**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Profit/loss from non-current assets sold (see Notes c7, c8, c11) | 71.8 | 59.9 | 64.7 | 54.1 |
| Interest income from deferred taxes | 16.2 | 13.1 | 16.3 | 13.2 |
| Compensation awarded by court rulings | 9.6 | 9.4 | 9.6 | 9.4 |
| Fines and other fines to the extent of asset | 35.1 | 21.4 | 26.2 | 21.2 |
| Income from providing natural resources for use | 51.5 | 31.4 | 110.1 | 54.5 |
| Pollution charges | 19.5 | 17.6 | 41.1 | 36.3 |
| Road usage charges | 21.4 | 21.1 | 21.5 | 21.3 |
| Profit/loss from sale of inventories | 8.1 | 5.7 | 7.2 | 4.5 |
| Profit from revaluation of derivatives | 426.1 | 93.8 | 0.0 | 0.0 |
| Other income | 17.5 | 50.1 | 13.5 | 12.9 |
| **Total other income** | **676.8** | **323.5** | **310.2** | **227.4** |

**Note c20**

**Labour costs**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Wage expenditure** | | | | |
| Persons elected and appointed to a position | -37.0 | -33.2 | -37.0 | -33.2 |
| Officials | -514.6 | -473.8 | -514.6 | -473.8 |
| Members of supervisory boards and management boards | -31.2 | -29.1 | -15.8 | -14.7 |
| Employees | -2,403.7 | -2,186.7 | -2,049.3 | -1,877.8 |
| **Total wages of full-time employees** | **-2,986.5** | **-2,722.8** | **-2,616.7** | **-2,399.5** |
| **Wages of temporary and external employees** | **-73.5** | **-67.4** | **-70.5** | **-63.2** |
| **Special pensions and pension increases** (see Note a23) | **-99.7** | **-91.2** | **-99.7** | **-91.2** |
| **Total wage expenditure** | **-3,159.7** | **-2,881.4** | **-2,786.9** | **-2,553.9** |
| **Average number of employees (in full-time equivalents)** | | | | |
| Persons elected and appointed to a position | 588 | 551 | 588 | 551 |
| Officials | 19,274 | 19,836 | 19,274 | 19,836 |
| Members of supervisory boards and management boards | 601 | 562 | 332 | 320 |
| Employees | 114,610 | 112,795 | 100,361 | 99,425 |
| **Total average number of employees** | **135,073** | **133,744** | **120,555** | **120,132** |
| **Other labour costs** | | | | |
| Fringe benefits | -19.4 | -12.1 | -14.4 | -9.2 |
| Taxes and social security contributions | -1,025.7 | -933.0 | -904.5 | -827.7 |
| Capitalised production | 34.6 | 25.8 | 7.7 | 6.1 |
| **Total other labour costs** | **-1,010.5** | **-919.3** | **-911.2** | **-830.8** |
| **Total labour costs** | **-4,170.2** | **-3,800.7** | **-3,698.1** | **-3,384.7** |

Labour costs by areas of activity are presented in Note c25.

**Note c21**

**Management expenses**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Production costs | -1,365.1 | -831.4 | -4.5 | -6.7 |
| Cost of managing property, buildings and premises | -386.0 | -317.4 | -438.5 | -342.1 |
| Medical equipment and services | -291.9 | -325.4 | -288.3 | -322.4 |
| Costs of managing facilities | -248.4 | -224.9 | -212.4 | -190.0 |
| Cost of managing vehicles | -227.6 | -168.7 | -127.8 | -96.6 |
| Information and communication technology expenses | -159.1 | -145.1 | -130.9 | -120.9 |
| Defence-related equipment and materials | -166.4 | -102.7 | -166.5 | -102.7 |
| Administration costs | -136.5 | -119.5 | -109.8 | -98.5 |
| Cost of managing work machinery, equipment and fixtures and fittings | -123.3 | -111.3 | -95.2 | -91.3 |
| Social services | -180.6 | -144.1 | -180.8 | -144.3 |
| Communication, culture and leisure time expenses | -116.2 | -88.1 | -107.6 | -79.9 |
| Foodstuffs and catering services | -77.3 | -67.5 | -75.5 | -66.5 |
| Cost of teaching materials and trainings | -78.1 | -65.0 | -78.8 | -65.3 |
| Transport services | -38.1 | -26.8 | -31.2 | -20.8 |
| Travel expenses | -61.0 | -41.6 | -58.1 | -40.6 |
| Other special equipment and materials | -38.0 | -24.1 | -32.4 | -19.9 |

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Change in provisions for security and guarantee losses | -0.3 | -15.8 | 0.5 | -14.9 |
| Research and development | -28.2 | -30.0 | -25.6 | -27.6 |
| Staff training expenses | -34.5 | -22.5 | -29.5 | -19.0 |
| Special clothing and uniforms | -12.1 | -13.1 | -10.8 | -11.9 |
| Miscellaneous other management expenses | -42.7 | -33.5 | -41.0 | -32.6 |
| **Total management expenses** | **-3,811.4** | **-2,918.5** | **-2,244.7** | **-1,914.5** |

Management expenses by areas of activity are presented in Note c25.

**Note c22**

**Depreciation and change in value of non-current assets**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| Depreciation of investment property (see Note c7) | -9.2 | -9.0 | -6.6 | -6.6 |
| Depreciation of property, plant and equipment (see Note c8) | -1,029.3 | -972.1 | -668.5 | -617.1 |
| Depreciation of intangible assets (see Note c9) | -76.1 | -67.6 | -54.9 | -46.4 |
| **Total depreciation and change in value of non-current assets** | **-1,114.6** | **-1,048.7** | **-730.0** | **-670.1** |

Depreciation and change in value by areas of activity are presented in Note c25.

**Note c23**

**Other expenditure**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Expenditure on doubtful tax, state fee and fine receivables** | **-35.2** | **-39.2** | **-34.2** | **-39.4** |
| Tax receivables (see Note c17) | -28.9 | -32.8 | -28.9 | -32.8 |
| Interest receivables on deferred taxes | -4.9 | -5.3 | -4.9 | -5.5 |
| Receivables adjucated based on court rulings | -0.3 | -0.2 | -0.3 | -0.2 |
| Fine receivables | -1.0 | -0.9 | -1.0 | -0.9 |
| Natural resource use and pollution charges | -0.1 | 0.0 | 0.9 | 0.0 |
| **Expenditure on passing on taxes, state fees and fines** | **-517.6** | **-332.9** | **-517.6** | **-332.9** |
| Transfer of tax revenue (see Note c17) | -516.0 | -331.4 | -516.0 | -331.4 |
| Pass-through state fees | -1.6 | -1.5 | -1.6 | -1.5 |
| **Other expenditure** | **-941.4** | **-345.3** | **-148.6** | **-70.3** |
| Expenditure on doubtful loan receivables | 6.4 | 7.4 | 6.5 | 7.6 |
| Expenditure on other doubtful receivables | -11.1 | -3.2 | -3.6 | -3.6 |
| Expenditure related to state secrets | -143.5 | -108.3 | -143.5 | -108.3 |
| Expenditure on emission allowances | -428.7 | -192.0 | 0.0 | 0.0 |
| Write-down of inventory | -3.4 | 41.1 | -2.4 | 41.1 |
| Loss from revaluation of derivatives | -349.8 | -72.5 | 0.0 | 0.0 |
| Other expenditure | -11.3 | -17.8 | -5.6 | -7.1 |

**Note c24**

**Financial income and expenditure**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Operating result from ownership interest (see Note c6)** | **33.1** | **6.2** | **321.7** | **305.7** |
| By equity method | 4.2 | 7.3 | 0.0 | 0.0 |
| Profit/loss from sale and liquidation | 28.9 | -1.1 | 3.4 | 5.5 |
| Income from dividends | 0.0 | 0.0 | 166.6 | 87.7 |
| Write-downs and reversals of write-downs | 0.0 | 0.0 | 151.7 | 212.5 |
| **Interest expense** | **-510.9** | **-333.8** | **-176.9** | **-142.3** |
| On loan liabilities (see Note c14) | -76.0 | -54.3 | -38.1 | -17.8 |
| Capitalised interest expense | 7.3 | 3.2 | 0.0 | 0.0 |
| On derivatives | 0.0 | 1.0 | 0.0 | 1.1 |
| On discounted liabilities | -139.4 | -125.8 | -138.0 | -124.5 |
| Interest expense of the Bank of Estonia on intra-Eurosystem balances | -52.5 | -19.0 | 0.0 | 0.0 |
| Other liabilities | -250.3 | -138.9 | -0.8 | -1.1 |
| **Income from deposits and securities** | **260.6** | **192.3** | **-8.3** | **-2.8** |
| Interest income from cash and cash equivalents (see Note c2) | 8.9 | 2.9 | 1.2 | -5.3 |
| Interest income from bonds (see Note c3) | 154.5 | 138.4 | -10.4 | -3.2 |
| Interest income of the Bank of Estonia on intra-Eurosystem balances | 37.0 | 35.4 | 0.0 | 0.0 |
| Profit from sale and revaluation of shares | 17.7 | 17.4 | 0.4 | 5.5 |
| Net financial income of the Bank of Estonia | 30.5 | -12.7 | 0.0 | 0.0 |
| Other income from deposits and securities | 12.0 | 10.9 | 0.5 | 0.2 |
| **Other financial income** | **4.2** | **4.3** | **6.0** | **5.8** |
| Income from profit of Bank of Estonia | 0.0 | 0.0 | 0.9 | 0.9 |
| Interest income from loans | 2.2 | 2.3 | 2.5 | 2.5 |
| Interest income on discounted receivables | 2.1 | 2.4 | 2.2 | 2.4 |
| Other financial income | -0.1 | -0.4 | 0.4 | 0.0 |
| **Other financial expenses** | **-0.5** | **-0.5** | **-0.5** | **-0.1** |
| **Total financial income and expenditure** | **-213.5** | **-131.5** | **142.0** | **166.3** |

The public sector entry “Interest income from bonds” reflects, among other things, the interest income of the Bank of Estonia from various securities and intra-Eurosystem balances of 166.3 million euros (141.5 million euros in 2021).
The public sector entry “Interest expense” on other liabilities includes, inter alia, the interest expense of the Bank of Estonia on various financing transactions, including transactions with deratives, totalling 249.3 million euros (137.9 million euros in 2021).

**Note c25**

**Expenditure by areas of activity**

In millions of euros

**A. Public sector**

| | 2022 | | | | | 2021 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **Labour costs** | **Management expenses** | **Depreciation** | **Other expenditure** | **Total** | **Labour costs** | **Management expenses** | **Depreciation** | **Other expenditure** | **Total** |
| General government services | 340.0 | 174.1 | 80.7 | 335.5 | **930.3** | 313.3 | 147.1 | 73.3 | 169.0 | **702.7** |
| National defence | 165.7 | 265.9 | 79.1 | 51.4 | **562.1** | 154.6 | 189.2 | 79.4 | 49.9 | **473.1** |
| Public order and security | 349.9 | 83.5 | 24.4 | 91.6 | **549.4** | 319.2 | 75.3 | 23.7 | 61.2 | **479.4** |
| Economy | 644.4 | 1,925.2 | 593.2 | 826.9 | **3,989.7** | 569.0 | 1,280.3 | 573.2 | 251.1 | **2,673.6** |
| Environmental protection | 62.4 | 111.3 | 20.7 | 1.0 | **195.4** | 56.9 | 90.5 | 20.4 | 0.8 | **168.6** |
| Housing and utilities | 50.2 | 70.3 | 54.5 | 1.1 | **176.1** | 43.8 | 62.6 | 50.0 | 1.1 | **157.5** |
| Health care | 734.8 | 404.3 | 58.8 | 4.5 | **1,202.4** | 690.1 | 437.8 | 50.2 | 20.7 | **1,198.8** |
| Leisure time, culture, religion | 219.6 | 185.5 | 60.1 | 0.4 | **465.6** | 202.4 | 166.0 | 49.0 | 0.4 | **417.8** |
| Education | 1,308.7 | 370.2 | 122.3 | 0.9 | **1,802.1** | 1,190.6 | 313.0 | 111.4 | 0.5 | 1,615.5 |
| Social protection | 294.5 | 221.1 | 20.8 | 139.5 | **675.9** | 260.8 | 156.7 | 18.1 | 124.9 | **560.5** |
| **Total expenditure** | **4,170.2** | **3,811.4** | **1,114.6** | **1,452.8** | **10,549.0** | **3,800.7** | **2,918.5** | **1,048.7** | **679.6** | **8,447.5** |

**B. General government**

| | 2022 | | | | | 2021 | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **Labour costs** | **Management expenses** | **Depreciation** | **Other expenditure** | **Total** | **Labour costs** | **Management expenses** | **Depreciation** | **Other expenditure** | **Total** |
| General government services | 320.3 | 188.2 | 78.9 | 33.9 | **621.3** | 295.8 | 160.1 | 71.6 | 12.3 | **539.8** |
| National defence | 165.8 | 278.4 | 79.1 | 51.5 | **574.8** | 154.6 | 197.8 | 79.5 | 49.9 | **481.8** |
| Public order and security | 350.0 | 86.0 | 24.4 | 91.6 | **552.0** | 319.2 | 77.9 | 23.7 | 61.2 | **482.0** |
| Economy | 255.1 | 323.8 | 260.5 | 3.4 | **842.8** | 227.9 | 274.3 | 244.1 | -57.8 | **688.5** |
| Environmental protection | 45.9 | 104.4 | 9.9 | 0.1 | **160.3** | 41.7 | 83.8 | 8.9 | 0.1 | **134.5** |
| Housing and utilities | 23.1 | 63.9 | 17.9 | 0.4 | **105.3** | 18.8 | 55.1 | 15.8 | 0.6 | **90.3** |
| Health care | 724.1 | 417.3 | 58.5 | 4.4 | **1,204.3** | 681.0 | 444.2 | 49.9 | 20.7 | **1,195.8** |
| Leisure time, culture, religion | 211.3 | 148.5 | 58.2 | 0.3 | **418.3** | 195.0 | 123.8 | 47.5 | 0.4 | **366.7** |
| Education | 1,308.0 | 408.4 | 121.8 | 0.9 | **1,839.1** | 1,189.8 | 337.0 | 111.0 | 0.4 | **1,638.2** |
| Social protection | 294.5 | 225.8 | 20.8 | 139.5 | **680.6** | 260.9 | 160.5 | 18.1 | 124.9 | **564.4** |
| **Total expenditure** | **3,698.1** | **2,244.7** | **730.0** | **326.0** | **6,998.8** | **3,384.7** | **1,914.5** | **670.1** | **212.7** | **6,182.0** |

Other expenditure includes other operating expenses, interest expense and other financial expenses. The change in public service pension provisions affecting labour costs is reflected under social protection expenditure (see Note a23).

**Note c26**

**Transactions with public sector entities and related entities**

In millions of euros

**A. Receivables and liabilities with other public sector entities and related entities**

| | Public sector | | | General government | | |
|---|---|---|---|---|---|---|
| | 31.12.2022 | 31.12.2021 | 31.12.2020 | 31.12.2022 | 31.12.2021 | 31.12.2020 |
| **Assets** | **5.8** | **9.0** | **8.4** | **587.0** | **1,143.6** | **566.4** |
| **Current assets** | **5.7** | **8.9** | **8.2** | **535.5** | **1,091.8** | **515.5** |
| Cash and bank accounts | 0.0 | 0.0 | 0.0 | 454.7 | 1,013.1 | 440.8 |
| Tax, state fee and fine receivables | 2.8 | 2.2 | 2.4 | 56.3 | 60.1 | 35.3 |
| Other claims and prepayments | 2.9 | 6.7 | 5.8 | 24.5 | 18.6 | 39.4 |
| **Non-current assets** | **0.1** | **0.1** | **0.2** | **51.5** | **51.8** | **50.9** |
| Other claims and prepayments | 0.1 | 0.1 | 0.2 | 51.5 | 51.8 | 50.9 |
| **Liabilities** | **5.7** | **6.1** | **4.2** | **159.0** | **156.2** | **131.5** |
| **Current liabilities** | **5.4** | **5.8** | **4.0** | **99.3** | **87.3** | **51.3** |
| Trade payables | 4.4 | 2.6 | 3.3 | 32.1 | 25.1 | 17.4 |
| Prepayments of taxes, state fees and fines received | 0.3 | 0.7 | 0.5 | 12.8 | 12.7 | 9.8 |
| Other liabilities and received pre-payments | 0.7 | 2.5 | 0.2 | 49.0 | 43.9 | 18.0 |
| Loan liabilities | 0.0 | 0.0 | 0.0 | 5.4 | 5.6 | 6.1 |
| **Non-current liabilities** | **0.3** | **0.3** | **0.2** | **59.7** | **68.9** | **80.2** |
| Other liabilities and received pre-payments | 0.3 | 0.3 | 0.2 | 0.0 | 0.2 | 0.3 |
| Loan liabilities | 0.0 | 0.0 | 0.0 | 59.7 | 68.7 | 79.9 |

**B. Income and expenditure from other public sector entities and related entities**

| | Public sector | | General government | |
|---|---|---|---|---|
| | 2022 | 2021 | 2022 | 2021 |
| **Income from operations** | **22.6** | **25.6** | **172.9** | **115.9** |
| Taxes and social security contributions | 3.4 | 3.5 | 74.2 | 57.8 |
| Goods and services sold | 16.2 | 19.4 | 12.4 | 10.8 |
| Grants received | 0.1 | 0.1 | 0.7 | 1.5 |
| Other income | 2.9 | 2.6 | 85.6 | 45.8 |
| **Operating expenses** | **-27.7** | **-24.9** | **-380.3** | **-335.3** |
| Grants awarded | -8.0 | -6.5 | -210.0 | -187.9 |
| Management expenses | -19.4 | -18.2 | -171.3 | -147.2 |
| Other operating expenses | -0.3 | -0.2 | 1.0 | -0.2 |
| **Operating result** | **-5.1** | **0.7** | **-207.4** | **-219.4** |
| **Financial income and expenditure** | **4.8** | **7.4** | **319.9** | **302.7** |
| Profit/loss from financial investments | 4.8 | 7.4 | 321.7 | 305.8 |
| Other financial income and expenses | 0.0 | 0.0 | -1.8 | -3.1 |
| **Surplus or deficit for the reporting period** | **-0.3** | **8.1** | **112.5** | **83.3** |

The public sector report includes the transactions of public sector entities with related entities (companies and foundations under significant influence).

The general government sector report includes the transactions of general government entities with subsidiaries, non-government foundations and non-profit associations, the State Forest Management Centre and companies and foundations under significant influence.

**Note c27**

**Material contingent liabilities and assets**

In millions of euros

| | Public sector | | General government | |
|---|---|---|---|---|
| | **31.12.2022** | **31.12.2021** | **31.12.2022** | **31.12.2021** |
| **Contingent liabilities** | **7,200.4** | **6,688.1** | **6,085.6** | **5,604.9** |
| Delivery contracts and investment liabilities | 2,263.8 | 1,606.0 | 1,537.9 | 859.0 |
| Liabilities in connection with ownership interest in international financial institutions (see Note a30 A) | 1,655.1 | 1,647.0 | 1,655.1 | 1,647.0 |
| Balance of student loans issued by banks (see Note a6) | 36.5 | 42.0 | 36.5 | 42.0 |
| Non-current assets pledged as loan security (see Note c7, c8) | 247.3 | 240.2 | 81.6 | 83.8 |
| Current assets pledged as loan security | 21.4 | 44.6 | 0.0 | 0.0 |
| Guarantees given (also see Note a30 B) | 2,019.2 | 2,033.8 | 2,020.6 | 2,034.2 |
| Liabilities from continuing operating lease agreements | 248.9 | 222.5 | 218.4 | 216.5 |
| Grant award and pass-through liabilities (based on contracts signed) | 196.6 | 234.2 | 223.9 | 286.2 |
| Liabilities related to court cases | 304.6 | 426.1 | 301.7 | 426.1 |
| Other contingent liabilities | 207.0 | 191.7 | 9.9 | 10.1 |
| **Contingent claims** | **416.1** | **447.8** | **40.9** | **38.2** |
| Receivables from continuing operating lease agreements | 416.1 | 447.8 | 40.9 | 38.2 |

The carrying amounts of the assets leased under operating lease and assets leased under finance lease are disclosed in Notes c7 and c8.

# Signature to the consolidated annual report

The consolidated annual report of the state for the financial year that ended on 31 December 2022 consists of the management report and the consolidated and unconsolidated financial statements of the state. Furthermore, it presents additional information on the entities of the local governments and the public sector and the general government.

The consolidated annual report of the state was prepared by the Ministry of Finance and audited by the National Audit Office. As a result of the audit, the National Audit Office has prepared an audit report on the state's annual accounts for 2022.

The audit report of the National Audit Office is presented to the Government of the Republic together with the consolidated annual report.

/signed digitally/

Mart Võrklaev
Minister of Finance